Angel One (ANGELONE)

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(Formerly Known as Angel Broking Limited)
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INZ000161534, CDSL: IN-DP-384-2018, PMS:
INP000001546, Research Analyst:
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To,
Listing Department
National Stock Exchange of India Limited Department of Corporate Service
BSE Limited
Exchange Plaza, C-1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
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Mumbai - 400 001.

Symbol: ANGELONE Scrip Code: 543235

Dear Sirs,

Subject: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on July 13, 2022, intimating of the earnings call with analysts and investors to be hosted by the Company on July 15, 2022, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same

Kindly take the same on record.

Thanking you,
For Angel One Limited
(Formerly Known as Angel Broking Limited)

Naheed Patel
Company Secretary and Compliance Officer
Membership no. A22506

Date: July 19, 2022
Place: Mumbai

Angel One Limited
Q1 FY23 Earnings Conference Call

July 1 5, 2022

MANAGEMENT:
Dinesh Thakkar

Chairman &
Managing Director Narayan
Gangadhar

Chief Executive
Officer Vineet Agrawal

Chief Financial
Officer Dinesh
Radhakrishnan

Chief Product &
Technology Officer Jyotiswarup
Raiturkar

Chief Technology
Officer
Ankit Rastogi

Chief Product
Officer Prabhakar
Tiwari

Chief Growth
Officer Ketan Shah

Chief Strategy
Officer Dr. Pravin Bathe

Chief Legal &
Compliance Officer Subhash Menon

Chief Human
Resources Officer
Bhavin Parekh

Head of
Operations, Risk &
Surveillance Devender
Kumar

Head of Online
Revenues Hitul Gutka

Head of Investor
Relations

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Modera tor: Ladies and gentlemen, good day, and welcome to the Angel One Limited Q1 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Hitul Gutka. Thank you, and over to you, sir.
Hitul Gutka : Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q1 FY23 Financial and Business Performance . The recording of today's call and the transcript will be uploaded on our website in the Investor Relations section. The Financial Results, Investor Presentation and Press Release are also available on the website.
For today's earn ings call, Angel is represented by its leadership team. We have with us today Mr. Dinesh Thakkar – Chairman and Managing Director; Mr. Narayan Gangadhar – Chief Executive Officer; Vineet Agrawal – Chief Financial Officer; Dinesh Radhakrishnan – Chief Produ ct and Technology Officer; Jyotiswarup Raiturkar – Chief Technology Officer; Ankit Rastogi – Chief Product Officer; Prabhakar Tiwari – Chief Growth Officer; Ketan Shah – Chief Strategy Officer; Dr. Pravin Bathe – Chief Legal and Compliance Officer; Subhash Menon – Chief Human Resources Officer; Bhavin Parekh – Head of Operations, Risk and Surveillance; Devender Kumar – Head of Online Revenue; SGA, our IR consultants.
Our leadership team will give you a brief overview of the operational and the financial performance for the quarter gone by, followed by a Q&A session.
As a reminder, I would just like to inform you all that the company does not provide any operational and financial guidance. There may be some forward -looking statements during the call, which mu st be viewed in the aggregate with the risks that the company faces.
With this brief introduction, I would now like to invite Dinesh Thakkar for his opening remarks.
Dinesh Thakkar : Thank you, Hitul. Good morning, everyone.
After a very strong FY22, the broking industry started the current year on a positive note with 6.9 million new demat accounts opened and cash and F&O ADTO for the industry

witnessing a sequential growth of 10% in Q1 FY23. All this despite a somber m acro environment, which was dampened due to risk -off sentiment , firm commodity prices, geopolitical tensions and expectation of a global recession. Econom ies across the world, including India, are facing inflationary pressure, which led to upfront loading of interest rates. As the supply side situation improves, inflation should come down just leading to normalization of interest rates in the future. A recent report released by RBI highlights that , India , is today , better positioned to mitigate external risks and global spillovers as compared to the t aper tantrum period.
These global headwinds have led to ephemeral correction in capital markets. During the ongo ing correction, India continued to witness net outflow by FI Is in cash segment. However, this was more than offset by inflows from domestic institutions and retail investors. For 9 consecutive months now, retail investors have been net buyers with direct i nvestments of over Rs. 1.4 trillion in the cash segment on NSE. As on March 2022, holding of retail investors in India Inc. continued to rema

in steady at 9.7%. All this
only highlights the growing financialization of savings of Indian economy.
This is a si gnificant and fundamental shift that the country is experiencing. In the long term, as the young India commences their journey in capital markets, depth of India's capital markets will further deepen. This segment forms a backbone for a growing investor ba se in the country.
Digital brokers like us , leveraging technology , are advancing further to cater to geographically dispersed population with small ticket needs. We are transforming not only the industry landscape, but also the financial well -being of every individual. RBI, in its recently released financial stability re port, mentioned that apart from declining real returns, improved availability of information on investment, widespread public awareness, easy KYC and client on -boarding process and effective use of technology are drivers of widening investor base, includin g first -time investors.
As more first -time investors are on -boarded, especially during such period of market correction, there is bound to be some inertia in their activity. However, older clients continue to remain active. The same is witnessed from growi ng ADTO, number of cash trades and F&O contracts for the industry. This represents growing maturity of the retail investors and their ability to handle volatility better. Going forward, as th ese first-time investors mature in the system, their contribution to the overall metric will also improve. This, coupled with more clients being on -boarded from untapped geographies will propel growth. I strongly believe that the long -term structural growth opportunity for the industry continues to remain intact.
Digita l players like Angel are building efficiency in pricing and processes as we harness the power of technology like artificial intelligence, machine learning, data science, et c. to build resilient business models. Use case of this are presently across client acquisition, on -boarding, engagement and communication, et c. and the same will be

leveraged in the other areas of business as well. Using this tech development, I believe that equity will find a credible wallet share, which is currently negligible with eve ry individual in the country. This will happen as more investors on board and they systematically invest in equities.
To facilitate and build a conducive environment for the latter, industry players are building large repositories of content and will help both new to market and experienced investors. Angel has demonstrated its strong market position premised on its tech - focused approach over the past few years. Our endeavor to offer clients the best investing experience is reaping rich dividends as evidenced by our strong operational performance over many quarters. Even in tough market conditions , as witnessed over the pas t couple of quarters, we have been able to protect our turnover market share while expanding our share in total Demat accounts, incremental Demat accounts and NSE active client base. This shows the solid fundamentals on which our business have been built.
To further extend and take advantage of maturing ecosystem, we are preparing to broaden our product portfolio. As a first step, we have rolled out the first phase of our Super App , to a limited set of clients on the OS as well as web platform. Narayan will detail out some of the operational metrics of our Super App.
I am happy to share that the Board has approved the distribution of 35% of quarter’s consolidated post -tax profits as the first interim dividend to the shareholders. The record date has already been communicated to the shareholders via our stock exchange notification.
I now request Narayan to brief you on the operational aspect of the business.
Narayan Gangadhar : Thank you, Dinesh. Thank you all for joining us today.

I will walk you through some of
our recent developments and our operational performance.
The strategic pillar on which Angel has been built is client -centricity and addressing their problems by using technology. With this intent in mind, we commenced our journey to develop our Super App last year. I'm delighted to inform that we have successfully rolled out the first phase of our Super App to limited clients on the iOS, which is the Apple , and the web platforms.
The Super App has been architected and built on 5 fundamental principles: Simplicity, Transparency, Availability, Reliability and Swiftness. The cutting -edge technologies used to build the app will empower and enhance client experience. The tech innovation ranges from crafting dynamic native experiences on mobile apps to creating consumer cohorts and assigning curated journeys.

The new app is packed with features and upgrades to the existing ones, like a new homepage, which is like a centralized hub that co ntains all critical information required by clients. It houses multiple cards for display of information such as real -time index performance, client portfolio performance, funds transfer, insta trade, good till trigger, stock SIPs and other features. We ha ve investment recommendations, portfolio analyzer which help facilitate especially our first-time investors to invest properly. Here, we recommend a basket of stocks to our clients. Using the portfolio analyzer, clients will be able to monitor the return p erformance at the stock and sector level within their portfolio. We have also incorporated something known as similar stocks that tells our clients about peer stocks to the ones they are viewing.

We further optimized client on -boarding journey through a re freshed KYC 2.0. This new version is equipped with real -time validations and assimilates continuous feedback from clients. It helps onboard clients faster and helps them drive more efficiency and do -it-yourself account opening journey.

We have revamped the entire post -trade activities with DASH as a new section. With this, we bring in more transparency for a lot of our clients with respect to P&L statements, trades and charges and such. Clients can view their P&L in a calendarized view, which helps them to identify the outcome of their tra ding for a particular period or a particular day. As a result of all this, we have seen a reduction in client calls to our contact center for post -trade clarifications.

During this quarter, we undertook some corrective measures with respect to our smart API to enhance its performance and make it more stable and scalable. As a highlight to our Q4 2022 earnings call, we went live with the direct mutual fund option for our clients on our Angel BEE app. Over the next few quarters, we will continue to emphasize on building strong holistic ecosystem to empower our clients to invest via this channel. Once we achieve stability of this product, we will migrate the same to our Super App as well. This will effectivel y lead to significant expansion of our lifetime relationship with clients.

On the IOS Super App version, we have reached approximately 30% active user base by June end, which comprises both migrated and new users. We are experiencing encouraging signs of a cceptance. We have witnessed an improvement in client activation between 0 to 15 days for our new IOS app, while comparing previous IOS app by a massive 16 percentage points.

The Web version has a smoother UX and superior performance as compared to our earlier version . Learnings from issues on our vintage web platform enabled us to develop this new platform that is smoother, more stable and secure.

We addressed some key pain points relating to our KYC journey for our Web users, which led to an approximate 10% growth in our KYC web journey. This easy -to-use

product demystified the daunting experience of today's trading into an awesome simple experienc e.

Over the last month of operations of our Super App, we have received positive response from our clients , along with some feedback to improve experience. These upgrades are being worked on and being implemented on our upcoming releases in our iOS , Web and Android platforms.

On the technology side, we undertook architecture upgrades to our payment gateway system. This led to lower latency, improved security, lower drop rates, better monitoring and alerting requirements. This has contributed to a n 80% reduc tion in the time taken to load banking pages for our clients across all apps.

In Q1 FY23, we received feedback from clients with respect to our legacy broadcast system on our Web platform. This was a major overhaul we undertook as we moved away from third -party service providers to designing and developing the same in -house. Our new broadcasting system facility increased reliability, scalability, low latency, et c., thus giving far more optimized output to our clients. Additionally, we undertook process optimization around back -office, which led to reduction in time for billing -related activities by about 80%.

Coming to our operational performance, Q1 has been historic as we have been one of the few players to surpass the 10 million client mark . Other parameters around our operational and market share are , we acquired 1.3 million clients on a gross basis during Q1. 95% of these clients came from Tier-2, Tier-3 cities. This led to a 51-basis point expansion in our Demat market share to 10.8%. On an incre mental Demat account basis, our market share expanded to 17.5%. Our NSE active client base grew to 4 million. As a result, our overall share in NSE active client base expanded by 43 basis points sequentially to 10.6% as of June 30, 2022. Our ADTO, average daily turnover, grew by 9% to approximately 9.4 trillion, thus translating to 20.8% market share in overall retail equity turnover. Our turnover market share improved in June to 21.2% from nearly 20% in May. Our number of orders at 207 million was similar to our Q1 numbers.

These operational parameters demonstrate a high level of resilience that the business model has , despite market cycles. For 39 months in a row since migrating to a flat pricing structure, we have experienced growth in our average daily o rders in over 80% instances when the headline indices corrected by 5% or more. We are confident of the robustness of our business model and strongly believe that our engines will facilitate us to garner superior growth from target markets. This is premised on our client -centric approach as we leverage technology to build a sustainable and profitable business.

We continue to expand and hire top tech talent. We are continuing to invest and build in our tech and product leadership team to help us achieve and a ttain our overall market

leadership. These assets build in superior performance for our clients through products and thus making the business robust, reliable and competitive.

I'm very happy to welcome Mr. Dinesh Radhakrishnan as our Chief Product and Tech nology Officer. He has a rich 25 -plus years of global experience in building top - quality software products for brands like Intel, Bloomberg, Rakuten and Ola across U.S.A. and India. Dinesh will lead technology , product and design teams at Angel.

With this, I now request Vineet Agrawal – our CFO, to brief you on the financial performance. Thank you. Over to you, Vineet.

Vineet Agrawal : Thank you, Narayan. Good morning, everyone. I will take you through the financial snap shot for the quarter gone by.

As mentioned by Dinesh bhai and Narayan earlier, Angel continued to deliver a strong performance on all operating parameters even in a challenging macro environment.

Co

ming straight to our Q1 FY2023 financial performance, our gross revenues remained flat at Rs. 6.9 billion. Key driv ers of our gross revenues were :

Gross broking revenue, which remained stable at Rs. 4.7 billion. This accounted for approximately 69% of our gross revenues. Interest income, which includes interest on our client funding book and interest earned from deposits with exchanges, grew by approximately 14% quarter -on-quarter to Rs. 1.2 billion. This accounted for about 18% of our gross revenues. The ancillary transaction income, which is linked to the turnover of our clients, accounted for nearly 8% of our t otal gross revenues, came in at Rs. 543 million. Depository income, which contributed 4% to the total gross income, registered a decline of approximately 17% quarter -on-quarter. This was due to muted activity in the cash delivery segment. Income from distr ibution of third -party products accounted for 1% of our gross revenues , grew by approximately 15% sequentially.

Our Q1 gross broking revenue is further split as follows: Share of F&O segment increased to 81%, while the contribution of cash segment came dow n marginally to 14%. Share of commodity and currency segments remained flat at 4% and 1%, respectively. The average revenue per customer for the quarter was Rs. 453. This was primarily due to a higher share of new -to-market clients, which were over 87% of our gross acquisitions for the quarter. Bas is our experience, these clients initially are low revenue accretive , but stabilize and prime in activity with time. This is a secular trend and is not something to worry about as we expand our base and market sha re, keeping our margins in line.

Our net broking revenue from less than 2-year-old clients on our platform continued to remain robust at 73% in Q1 FY23. This is driven by a multifold increase in our client base over the last 2 years. The net broking revenue under the flat fee plan continued to

witness very strong momentum, thereby contributing to a significant 85% of our overall net broking revenue . Share of the total net income from our flat fee clients to the consolidated total net income , grew 1.7x to 84% in Q1 of FY23 from 50% in Q1 of FY21.

This being the first quarter of the current financial year, it incorporates the impact of salary incremen ts given to our employees. Our employee cost for the quarter also factors in the proportionate impact of the budgeted variable pay for the current financial year. As discussed in our Q4 FY22 earnings call, we have granted 1.03 million options to our employ ees under the LTI 2021 plan during the quarter. The full year incremental cost of the incremental stock grants will be about Rs. 600 million for FY23. In line with the same, Q1 FY23 accounts for about Rs. 130 million, that is over 19% of this cost.
Our ref ined acquisition engines facilitated a healthy client addition in Q1 FY23. During the quarter, we spent little aggressively on client acquisitions, which led to higher OpEx. Despite this, our overall payback metrics continue to remain intact of within 2 qu arters. Due to this higher cost of Q1 of FY23, operating margin came in at about 48% and our consolidated profit after tax from continuing operations stood at Rs. 1.8 billion.
Our consolidated earnings per share stood at Rs. 21.9 per equity share on a quar terly basis.
On the balance sheet side, cash and cash equivalents decreased to approximately Rs. 48 billion, largely due to a decrease in client funds to approximately Rs. 36 billion. The period ending client funding book was at about Rs. 16 billion, where as borrowings stood at under Rs. 12 billion. Some enhancements in tech capabilities led to a marginal increase in fixed assets to Rs. 1.7 billion as of June 2022 from Rs. 1.6 billion as of March 2022.
Our net worth increased to over Rs. 17 billion as of Ju ne 2022. Our annualized av

erage
return on equity came in at 44.1%.
With this, I conclude the presentation and open the floor for further discussion.
Moderator : We will now begin the question -and-answer session. The first question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.
Sahej Mittal : So, sir, a couple of questions from my side. I mean, what is the targeted activation rate for the Su per App given that currently we are at 30% activation rate. So, I mean compared to our old app and given that this new Super App has much more additional features, so what is our targeted rate on the activation? That is my first question. And second is on the admin expenses. Now given that we had a 16% dip in the customer additions on a sequential basis, so the OPEX should have seen some moderation given that marketing expenses are variable in nature. So, what was the marketing expense for the first quarter and the last quarter and what has led to such a spike if this was not

on the back of the marketing expenses? And just to clarify, does the staff cost ex of ESOP include the variable pay in the first quarter? Yes, these are my first questions.
Narayan Gang adhar : Okay. So, let me take the first one, and I'll hand it over to Vineet to give you the fine details, okay. So, see, for your first question was around the activation for the new Super -App. Now, as a whole, we are building this platform for new custome rs for a longer period of time. We're looking at customers with an overall life time value of more than 5 to 10 years. And what we are building is currently , we from our overall wealth management portfolio of which equity trading is one part of it, we are targeting a net activation rate of around 50%. Now we don't really go and build to that number, but that's where we naturally believe that our acquired clients will end up in over a period of time. So, as you rightly mentioned, today, our activation ratio is, for example, around 38 or it's actually a little over 40%. But if you look at that very number over a sliding window of the past 3 years, it has only increased. It was somewhere around 20% or 25% a few years ago. And over the last few years, it has ste adily gone up. Now this has happened because we are introducing newer and newer capabilities, newer and newer products, and we are introducing newer and newer features for our new customers that are coming on to our platform. So, I believe that when the fu ll Super App is launched and when we have the wide range of products, including mutual funds, bonds, fixed income products, all of those available on the platform, I believe we should be at an activation rate of more than 50% or more, okay. Now that's the answer to your first question. Now to your next point, I'll let Vineet answer it, but let me just give you the strategic view here. See, we are currently in an investment phase. The market is grossly underpenetrated. By most counts, even today, we are only looking at a 4% to 5% penetration in India. And we very firmly believe that this number is going to grow another 10x within the next decade, and we want to be in the pole position when that happens. So, over the last 18 months, we had begun this journey o f investing in our tech and product platforms. And I see this journey, this investment phase continuing for the next 2 or 3 quarters. And post that, we'll kind of hit a steady state, if you will, at least from a

personal investment point of view, right? So, the overall mix of our expense is largely driven by our future ambitions and where we want to get to within the next in the next couple of years. Now with that, I will hand it over to Vineet, who can answer the questions around the ESOPs that you had and the split of marketing expense, at least at a high level. Yes, Vineet?

Vineet Agrawal : Yes, Narayan. So, we do not disclose the customer acquisition cost as a business practice. But I can tell you one thing is that our payback metrics remain intact within 2 quarters, as I mentioned in the speech. So, the overall metrics remain strong. Generally, in the first quarter, due to IP L and other factors, there is a slight increase in the customer acquisition cost, which normalizes for the future quarters. Now coming to your question about the employee costs, yes, the variable pay is provisioned quarter -on-quarter. So, the entire budgete d variable pay for the year is spread across the entire year in the financials, and it has an element of variable pay provision.

Sahej Mittal : Sir, so does the Rs. 90 crore run rate for staff cost sound good on a quarterly basis for the balance financial y ear '23?

Vineet Agrawal : I'll not be able to give you a guidance on that because we have some plans of new hires as well, but it's going to be in this ballpark.

Sahej Mittal : And sir, what were the tech cost, tech spends which go into our OpEx for this qua rter?

Vineet Agrawal : As a matter of policy, again, we do not disclose the tech spend, but it's generally in the ballpark of about 15% to 18% of the total net cost that we incur.

Moderator : The next question is from the line of Prayesh Jain from Motilal Os wal. Please go ahead.

Prayesh Jain : Congratulation s on a decent set of numbers , given the tough market conditions that we had seen in Q1 . A few questions from my end. First ly, could you give some numbers around the number of contracts traded on the derivatives side for us in Q1 of this year and sequentially also, what kind of growth you would have seen?

Narayan Gangadhar : Mr. Jain, can you just repeat your question one more time? You want to know the number of contracts on the derivative side?

Prayes h Jain : Yes, number of contracts traded.

Narayan Gangadhar : Number of contracts traded. I don't know if we can divulge that information. Let me hand it over to our team. Vineet, does anyone who has that data?

Vineet Agrawal : In the F&O segment, we had about 153 million orders executed on our platform for the quarter. This was about 6 million higher than the previous quarter at 147 million.

Prayesh Jain : I'll possibly take that offline as well. Secondly, Narayan or Dineshbhai, this question is for both o f you guys. We have seen , like June was a decent ADTO growth in terms of derivatives, where we had seen a retail ADTO growth of around 1.6% for the industry. But we also know that there were 5 Thursdays in that generally, so higher expiry volume. So, how d o you see the volume traction from here on, especially considering that the regulator has been talking about restricting the F&O activity of retail traders? So, what kind of regulations do you think that they can bring across? Or any impact on because of t his that could come on the volumes going ahead?

Narayan Gangadhar : So, first of all, we had 22 trading days, right, in June. And as you rightly said, this was an odd month where we had those 5 Thursdays. And obviously, that means there's a lot of expiry ha ppening. And clearly, that shows in the volume. But I think if you look at the number, Mr. Jain, you'll see that month -over-month, the ADTO has risen by about 9.2%. And year -over-year, the number has grown by about 118%. I'm talking about Angel's numbers, right? Now clearly, relative to the industry, we have grown faster. I think the data speaks for itself, right? If you look at how fast the rate at which we are

growing and the rate at which the market is growing, we are accelerating that. Now that said, I think in terms of future outlook, right, currently, as of this point, we don't see any tailwinds in the market that lead us to believe that there is going to be a further significant down spike coming at a macro level. And obviously, we can't predict the future. But when we look at what our product strategy is, which is things which we can control is what are we doing to drive client engagement? What are we doing to improve our activation ratio? What are we doing to improve our F&O participation? I don't se e any change or any deceleration of those plans. And as far as the SEBI and regulations are concerned, yes, we do expect more regulatory headwinds coming. But in the last 3, 4 months, a lot of these regulatory, the framework for the regulatory game plan ha s been set already for the year because half the year is already over. I mean the calendar year, not the fiscal year. So, even if there are changes further out, we think that our product strategy and our business strategy doesn't change because our custome rs are coming with the same motivation of trading and building wealth. And obviously, derivatives is one part of it. Cash is another part of it. F&O is another part of it. Commodity is another part of it. And then you have mutual funds, bonds and other are as in which we want to offer those products and services to our clients. So, we are looking at a very holistic view which goes beyond the micro dips and turns. And if you look at our earnings presentation which we have prepared, we had shared and Dineshbha i has also mentioned this many times, we have given data for the last 15 years about dips that we see in the market and correlation in Angel's volume. And oftentimes, we see like a quick rebound. Now that's really what the historical precedent is. Now that said, nobody has a crystal ball to look at what the future is going to look like. But we do know our product strategy stays the same, get Spark launched, build the Super App out with mutual funds and then expand into other wealth management products. That is not going to change. So, hopefully that answers your question.

Prayesh Jain : Narayan, just to explain that point further, what are the aspects of the F&O trading, which regulator can really bring for some and controls that can restrict the trading activity? Or what are the thoughts that the regulator is having right now with regards to controlling this?

Narayan Gangadhar : So, I'll actually refer this question to our team. They can give you a more fine print answer on what specifically the policies have been. But in general, right, there are tighter regulations around margins, which we need to comply with. And that is actually for the betterment of the whole industry. I actually believe these regulation s, they're actually good for the customer because in some sense, they introduce guardrails to ensure that the business practices are streamlined and there's nothing that goes out of fact, like what you are seeing in the U.S. markets today, right? So, these are built for protection. That said, specifically, I don't see anything that has been introduced targeted at F&O, but maybe Bhavin and Ketan, who are on the call, if you guys recollect anything maybe you can add?

Bhavin Parekh : So, good morning, everyone. Regulators have been actually looking at it in terms of they were a little uncomfortable on the F&O side, the volume growth vis -a-vis the cash market growth. But predominantly, we don't see anything major coming in because there are enough control s at the time of on boarding a customer into F&O segment, which takes care of the interest of the customers as well. And predominantly, today, as an organization in the industry, most of the people don't offer F&O upfront. There are financial documents that have b een required to be given by the customers to activate an F&O segment. So, as a whole, we don't see any major regulations coming around this particular aspect. But yes, it would be left on to the regulators. There are no such major talks which is happening at the industry level right now.

Narayan Gangadhar: An

d we haven't seen anything in the last 6 months or so, Bhavin, about this?

Bhavin Parekh : Nothing Narayan. See, there was a couple of meetings at the NSE level but there were top brokers who have been called for it. And they had this discussion, but nothing concrete has come out of it.

Prayesh Jain : Just one more point, Narayan, like on the marketing spend again. So, you mentioned that you'll have spent more on customer acquisition in this quarter, but that kind of not coincide with the incremental acquisition that you would have done, the cost of acquisition per customer would have gone up. And simultaneously if I look at your ARPU that has been coming off, and I think that in this quarter has declined sharply. You outlined the reasons for the same, that generally in a tough market, the first-time customers will not be trading so actively. But rather in this quarter with this kind of an environment, wouldn't you want to spend less er on customer acquisition and more depend on organic channels rather than spending? Or how is your thought proce ss with regards to future trajectory in terms of spending on customer acquisition, whether you would want to spend on through some more focusing on quality customers. What is your thought process there?

Narayan Gangadhar : So, first of all, that's a great q uestion, Mr. Jain. So, see, basically, you actually nailed it right on the head, right . In the last 4 months, we have been taking a very targeted approach to marketing, where we spend our marketing dollars. And as we already said at the start of the call, obviously, being the IP L season and everything else, generally, the cost of the clicks are higher at this time of the year than they ever are. Now there's also a macro pressure and the prices are getting jacked up largely because the acquisition funnel is coming under pressure because when you look at venture -backed players who are also pumping in money to acquire market share, even they have come under pressure because the venture funding is getting squeezed out. So, obviously, at this time, only companies which have a very clear playbook of acquiring customers and curating them should continue to spend. So, Angel is very much in that boat. We have built our acquisition strategy over a period of almost at least 8 to 10 quarters. We have 8 to 10 quarters of precedent on how to acquire these guys, how to acquire our customers digitally, how to cur ate them through the journey and then how to realize

revenue from them. So, that playbook is still the same. But your observation is absolutely correct. Is that over the next 3 months, I actually see our marketing spends are going to be slightly curtailed because we believe that at this point, it doesn't justify more investment on that front, especially when our organic efforts are kicking in. We already have a very healthy organic growth. So, we want to continue investing in that. And then when the Super A pp is ready, we want to go out with a bang and scale out the message for the audience. So, that's how we are looking at it.

Prayesh Jain : My last question is on the MTF book. We've seen that your MTF book has remained stable, but your average ticket size h as increased substantially. In fact, Q -on-Q, if I look it’s more than doubled. And also, the share of large ticket customers is increasing. So, anything to be worried about there? Or how are you looking at the MTF book from here on?

Narayan Gangadhar : Let me have Vineet answer that. At a macro level, when you look at how we look at the MTF business, overall, the controls that have been put in place, overall the risk rules that we have put in place to manage risk associated with that, none of those have thrown off any red flags. But let me hand it over to Vineet who can maybe give a little bit more nuanced answer there.

Vineet Agrawal : You're absolutely right, Narayan

. The fundamentals remain strong. The underlying securities are intact, and our robust risk m anagement systems take care of the mark -to-market requirements. So, we don't see any kind of concern there.

Prayesh Jain : Do you share the overall size of the holdings of customers in the Demat account that you have?

Vineet Agrawal : No, we don't disclose that.

Moderator : The next question is from the line of Prachi from B ay Capital. Please go ahead.

Prachi : My question was actually related to your app downloads, which is around 25 million. And when I look at your client base, that is around 10 mil lion client base. So, just wanted to understand the journey from an app download, what you actually classify the app download, would it have repeat customers who’ve deleted every download of the app? And the conversion rate to actually then becoming client s, what is the conversion rate? Has it improved? And what is Angel doing to improve that? If you could just talk a little bit on that.

Narayan Gangadhar : Yes. So, see, as in any kind of a digital activation system, we have a full funnel for optimizing the lead all the way from the time the lead comes into the system until the time the install actually takes place, right? And this entire funnel has obviously a lot of gaps. And some of these gaps are not just in the control of the product or the tech or even the business teams. There are factors that are beyond our control. For example,

the targeting that Google gives is often not correct, right? And then sometimes what happens is that the person, as you rightly said, there's a repeat install case that happens . And many times, people download the app but don't actually end up converting. So, at a macro picture, we try to optimize the entire funnel because the end goal that we want is from the time the lead is generated till the time the install happens, that is only one half of the problem. The second half of the problem is when the install happens from there, we want to get the person to complete their KYC. So, our systems optimized for this macro pipeline, and individually, we don't have much leverage over how we can control a specific instance of either driving an installed ratio up or driving a lead closer up, right? We try to manage the funnel rather than the individual aspects of it. So, if Prabhakar is online, I would like him to just add a few things here and maybe

give a little bit more color to this topic.
Prabhakar Tiwari : Yes. Thanks, Narayan. And I mean, absolutely, we are in a tech and product busines s now. And the funnel is in our control since the client, people fill up the lead form. But beyond that, in terms of click, like, impressions, views and all, we rely a lot on digital platforms. However, what works in our favor is that we are a continuous l earning machine. We have a lot of models which are available in terms of click scoring and funnel optimization. We do a lot of incrementality tests for individual sources. And also, as Narayan pointed out earlier that we are a multisource business. So, our acquisition is not just on paid, which is on the kind of, in a way saying mercy of Google or Meta, but we also have our internal channels in terms of DRA, referral, organic, even sub - broker channel. So, this allows us to have a very well diversified appro ach to customer acquisition and thanks to all the data science projects which we take up, we are able to kind of improve the things on a continuous basis.
Moderator : The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.
Aejas Lakhani : Firstly, team congratulations on good numbers in this rather difficult time period. So, my first question is to Narayan, Bhavin and Dinesh Bhai, if you would like to sort of chip in here. So, you mentioned, Bhavin, about the fact that the reg ulator has sat to the top brokers at NSE and d

iscussed some of the queries. But just 2 things here. I'm trying to still corroborate. So, you mentioned that incoming clients, you take financial documents and the controls embedded are better. And you also me ntioned in the opening remarks that most of these new cohort of clients are from Tier-2, Tier-3 towns. So, their income levels to the financial documents they have and the regulatory conversation that you mentioned, isn't this bothering the regulator that the guys who are coming from Tier-2, Tier-3 towns are essentially trading. And I'm actually just seeking to understand more about how the regulator is thinking because the ADTO piece is really large today. Or let me reverse this and ask you that how is the client cohort today different than what it was in the earlier regime because of which the regulator may not do anything brash on regulations here? I hope I've been able to articulate my thoughts regarding my question.

Narayan Gangadhar : Yes. There are 2, 3 questions mixed in your questions. Why don't I first hand it over to Bhavin, let him answer the questions around controls of the F&O. Then I'll give some perspective on the broader picture. So, Bhavin, go ahead.
Bhavin Parekh : Yes. So, Mr. Lakhani , basically, when I mentioned about the NSE meeting, it was just about NSE was trying to understand how the on -boarding is happening at the digital side of the broking system. And anyway, there are very well laid down regulations by SEBI and exchanges that what documents are required. These are not new. These documents are required since almost 2 decades now since the time F&O has started. And predominantly, those are like bank statements or your IT returns and your Demat holding. What we want to ascertain is, yes, there is some financial strength when the customer is trading in derivatives. And so , they were just trying to understand this. There were no red flags or some major insights that they were trying to draw. All that they were asking was whether all customers are by default given this particular segments, which practically all industry players said, it is only a particular percentage of the overall customers coming into the fold is opting for this segment. I hope that gives you an understanding of wh at was the meeting all about.
Narayan Gangadhar : Yes. So, let me give you the broader perspective, okay? See, the first thing is that as digital player , there is a consolidation happening in the industry. The top 5 players are today make up about 70% to 75 % of the entire business. Growth is happening in that concentrated space. So, we are obviously one of the largest players in that category. So, clearly, there will always be more scrutiny on Angel. And we should welcome that, and we are welcoming that. So, let me first start by acknowledging that. That is happening as a consequence of our growth. Now as more and more people come online, the regulators' main concern is to try and ensure that the right controls and the right rules are being enforced by eve ry major corporation, whether it is us or any of the other large brokers. So, for them with scale, this is the first time we are testing the fidelity of the system. So, when they come to us or when they visit our competitors, what they are trying to do, is they're trying to assess the readiness of our system which is what Bhavin just talked about, is that we have a well -developed system, which has been built over the last 2 decades to ensure that there is proper curation of these clients. Now, it is wrong a ctually to assume that the regulator doesn't want people to invest in F&O, that is idiotic, right? Ultimately regulator is not here to guide which instrument to pick and which not to pick. The regulator is simply interested to ensure that you have a

platfo rm company, are you ensuring that all the rules, all the regulations, all the knob

s
are in place. And I think that is the gist and summary of what they are trying to accomplish . And I'm very happy to report that even though at the recent NSE visits, we had a very productive discussion, we walked them through our books, we showed them here is the tools we have, here is the automation we have built and here is the process we follow. And as time goes by , we'll continue to innovate on them and so will the regul ator. So, I think it will be overall net -net good for everybody.

Moderator : The next question is from the line of Ashwani Agarwal from Edelweiss Mutual Fund. Please go ahead.

Ashwani Agarwalla : With the current capacity, how many clients can we onboard? Currently, we have about roughly 1 crore clients. So, how many more we can onboard and with the CapEx for the next 1 year?

Narayan Gangadhar : Yes. Hi, Mr. Ashwani. So, the answer is we can onboard as many as we get. See, we have built the system for scale. And from a regulatory standpoint, from a back -end standpoint, we are definitely ready for scale. Now from a front end and system standpoint, we have been built for han dling a peak, which is 2x to 3x the traffic that we can handle. I want to just have Mr. Jyoti, who is our CTO, just address this point on how we are thinking about scaling the system. Jyoti, can you please share your perspective here?

Jyotiswarup Raiturkar : As Narayan confirmed, right, basically, our system is scalable. That means, let's say, we can support x users by y machines to support 2x users. We just need to add some few more machines, the same co de works . So, essentially, it's like a horizontally scalable system. We just need to keep adding machines as the new user s coming in.

Ashwani Agarwalla : My last question is you must be keeping a track of the profitability of your clients. So, as compared to January or March, how many of your clients are still making profits on their investments?

Narayan Gangadhar : So, this is a data that we don't share. But I can tell you that see, as a platform company, our goal is to provide the best experience to the client. And holistically, it's actually also breaching ki nd of privacy laws if we kind of look further deeper into who's making money, who is not and all that, right? That said, at a macro level, we try to give them the right kind of data to help them make the call. And the way we do it Mr. Ashwani is that as a platform company, my goal is to make sure that I give you a product that is always working. We have, for example, as Jyoti mentioned, we have the highest SLA today in the industry. There is not a single stockbroker in India who has the SLA of Angel. We are operating at 99.95 which is the highest possible SLA you can ever operate and sometimes we even operate at 99.99 which is extreme, which is the app never goes down. This is one of the main reasons that we are able to attract so many clients and the NPS is as high as it is, right? Now this is something that we control. That's our promise to the investor. Secondly, ou r promise is to get them all the data that they need to make the call. Now that said, whether the person gets profitable on the first trade or the tenth trade or the fourth trade, that really is something that's a very nuanced topic, something which is not within the purview of a platform business. So, we don't look at it that way.

Moderator : The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain : Two questions. One is the ARPU continues to decline for us. I think on a quarter -on-quarter basis, it continues to decline at 5%, 6%. And in case the customer acquisition also slows down, then probably our broking revenue will start to see moderation. So, why this ARPU continues to decline despite a bit of slowdown in the incremental customer acquisition? T

hat is first question. Secondly, I think our app rating has also marginally reduced in this quarter versus what it was last quarter. So, any insights on that, why that has happened? These are the 2 questions, sir.

Narayan Gangadhar : Yes. So, I'll take the first one. See with the case of ARPU now, there are 2 parameters that are at play, right? First is there are newer and newer customers entering the marke t. 90% of everybody who is joining the market is a first-time trader, okay? And this ratio was not 90% up until 3 years or 4 years back. Broking suddenly has become a commodity play. It has become a commodity mass market product because there is no other v ehicle available today in India to actually grow your wealth. You're not going to go to the bank. They're only giving 3% or 4%. You have to enter equities to build wealth over a long period of time. So, because of this, clearly, when somebody joins, there is a higher barrier to entry and there is a higher friction to get them to trade, to get them to understand the system and such. So, I think this is the first part of it. The second part of it is see the costs, even though individually, the cost per lead a nd all is kind of trending up, if you look at a micro view, at a macro view, these costs are actually going down relative to the number of people we are bringing on board. So, if I look at the next 2 years, 3 years out, right, this cost of acquisition at s ome point is going to start plateauing up. It is not going to keep increasing because we are going to hit that scale beyond which network effects are going to kick in. So, with the overall ARPU and other interesting trend we are seeing is that as the customer ages through the system and this is very, very important. As somebody spends the first year, the second year, interestingly, they spend the same amount of money or more, actually, in the second year than the first year, which means now if you take a long -term lifetime value of, let's say, 5 years, you are looking at a client that is extremely lucrative for us to acquire. And our business today, as Dinesh has, I think, always mentioned this in earlier calls, is that we aim to breakeven within 6 mont hs. And maybe there are some periods where the 6 months become 7 months, but it doesn't change the overall acquisition strategy or the revenue strategy. I want Devender, who is on our call, he is our Head of Revenue, to give a few perspectives here as well . Devender .

Devender Kumar : Yes. So, I think rightly mentioned by Narayan that there is a mix of new clients and existing clients. The motto that we have been going on is we want to acquire market share and grow very robustly. And as we expand our marketpl ace, the newer client base that we are able to approach, obviously, they're not going to come at the same ARPU as old clients. It's obviously a little less. And the motto that we keep in check basically is that whether we are acquiring this client at the s ame profitability level. As mentioned by Narayan, that we have kept our 6 -month breakeven point intact by looking at the right kind of clients and right kind of revenue in the right way. And that's what has been the motto. And if I look at from an overall point of view, again, Narayan rightly

mentioned it that now when we look at the first year behavior of a client and second year behavior and third year and so on, we have been seeing a very incremental trend in terms of the way they behave and the way they experience our services and generate revenues for us has been very stable and it is actually on an incremental trend which actually proves that there is a long -term value that you are actually looking at. Though we today look at the first year, 6 months b reakeven. But now the overall horizon of a client is actually expanding, which might stretch beyond 5 years to 10 years as well. And that's what I thi

nk the long -term value of a client signifies it. And we are building for scale, which basically means as w e go to newer pockets of India, obviously, the ARPU at an overall level, what we need to make sure is that we are doing it at the same profitability level as we have done in the past. And that's where I think we have found really good success, and we have continued to do the same thing with the same motto.

Narayan Gangadhar : And your next question was around the apps, the app store rating, right. So, let me address that also. See, this month, when we build our systems, right, we have systems that we build i n-house, which depend on external systems like, for example, for Aadhaar authentication, that's not something that we build, right? It's something built by external agencies, right? So, this quarter, we had a couple of cases where some of the external systems were down. And because of this, the client experience during that window of 2 hours, 3 hours was very subpar. Obviously, because of that, it has a direct impact on the rating as customers feel that they are not able to fulfill what they are out to fulf ill. The second part of it is that we are innovating very fast. And one of my deeply held beliefs is that when you move fast, you have to be willing to understand that you might break a few things also. And this is the price of innovation, is that you work , you iterate fast, you launch a lot of features. And sometimes in that speed, you end up making a few mistakes and then you course -correct those mistakes because we are innovating and adding so many features, there have been cases this past quarter where we have actually missed the ball. And the good news is we have corrected very quickly, and we get back on the horse. So, I expect this to continue till the product keeps innovating and changing, right? And this is, as Mark Zuckerberg, the Founder of Facebo ok, he says this, right, keep moving fast and break things, right? In that spirit, we are not saying we

should break it, but there will be minor blips along the way, and this is one of those.
Moderator : The next question is from the line of Ravin from ICIC I Securities. Please go ahead.
Ravin: So, my question is related to one of the questions you answered in the past. So, basically, exchange was related to the F&O on -boarding. So, one thing with NSE meeting was called was because we wanted only to see that whether the checks and balances are kept in p lace. But what will be the actual checks and balances where a customer has been rejected to enter into or is not on -boarded on our derivative platform?
Narayan Gangadhar : Bhavin, can you answer this questio n? Anything you want to share here?

Bhavin Parekh : See, basically, there are very well rules which have been laid down on boarding a customer, what documents are required and how it has to be there. So, practically, whatever exchange and SEBI have prescrib ed over a period of time, there are various other innovations that we have actually created internally also to ensure that the right set of customers actually get on -boarded.
Dr Pravin Bathe : So, one of the things what actually regulators do is also they g et into a consultative approach, okay? And this is what actually they have been doing over the past years or so, if you actually see they have been coming out with various consultation papers as well as they have been consulting the market intermediaries, participants, et c., so that they can accordingly come out with appropriate regulations wherever required also. So, this also meeting what Bhavin mentioned was on the similar lines. And there is nothing which has come out of it, and that's what we are also saying that wherever we are actually finding gaps, et c., those are getting plugged from the regulatory end as well as from the intermediaries side as well.
Ravin: And are there a

ny benchmarks, suppose if a person who wants to enter a derivative profile or a derivative platform, does he has to keep a minimum networ th or minimum bank balance? Can you just quantify the benchmark over here that a client having only like Rs. 500 to Rs. 1,000 in his account is really not allowed to enter on the derivative platform. Is there any benchmark related to this?
Dr Pravin Bathe : So, regulator has not specified anything around this, okay? However, we do have our processes in place to ensure that only the right set of clients actually carry out such activities or so.
Ravin: So, sir, in future, if option volumes are increasing day by day and majority of the small ticketed items, I assume to be an option buyer, right, while option sell ers will be definitely requiring the amount of margin. So, in that case scenario, when regulator comes up with any benchmark that a new customer who has been filing returns in the excess of about Rs. 2 lakh or Rs. 2.5 lakh is only allowed to be on -boarded. Where do you see in our profile of clients these volumes to go?
Bhavin Parekh: See, Ravin, this I think, is very farfetched
Ketan Shah: I would say that it's really not right to preempting what regulators actions will come. What is important is that what is the process that we have and what are the controls that we have to onboard the customers. Ultimately, the objective is that the customers should not lose their money blindly. And for that, do we have enough controls? And regulators have already spelled out a process around it, which the entire industry is following. And similar is the case with us. So, right now, it's not correct to preempt.
Narayan Gangadhar : So, that's a very good point, Ketan. And just to add to that, as we mentioned, as Ketan mentioned, see, today, if you look at the mother , if you look at the foundation of all these

common controls, right, they are all rooted in the technology stack, which is built by the Government of India, whether it is Aadhaar, UPI and all that. Like ultimately, when we get to Sahamati layer, where there will be a lot of data sharing, where Indians and customers will be empowered to share their data transparently across platform s, absolutely, there will be new regulations that will come, which will actually work in the interest of the customer. But that future is still a few years out. And I believe that by the time we get to that future, the trading volume that you're seeing her e is going to grow by another 20x, 30x. So, the systems will evolve, and our eyes are on what that future is. Today, we only have the Aadhaar stack. And that's why there is not much data that is at a macro level, easily available to share. But if you look at what's coming in the future by Government of India, right, I mean what Mr. Modi has outlined, our Prime

Minister, right, there's a lot of interesting features coming in the future, which will change the way we do business. And I think it will be only pro-business and pro customer. So, it will work for everybody's favor. So, we're looking forward to that.
Moderator : The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta : Sir, on your expenses side, if you help us understand how much is sort of a fixed cost and how much is related to the amount of business that we are doing. So, that is question #1.
Narayan Gangadhar : Yes. Vineet, could you please, take this?
Vineet Agrawal : Sarvesh, if you see our P&L, the finance cost, the fees and commission expense, these are all 100% variable. And the employee cost is also partially variable because a lot of it is linked to the performance. The sales and marketing cost is variable. So, a large part of our cost is variable and it depends on what the volumes are or how the market, the turnover or the number of orders happen.
Sarvesh Gupta : So, wh

at percentage of other expenses and employee expense broadly would be fixed?
Vineet Agrawal : We can easily moderate our expenses by about 30%, 35% without doing much share efforts.
Sarvesh Gupta : Understood. And earlier, since we have been in the investment phase, and so is there a timeline to it? Or this is for the next foreseeable future? Do we see that continuing because of variety of additions that we are doing across the place?
Narayan Gangadhar : Yes. So, this is a broad question, right? I mean what is our objective? Our objective is get to the #1 position in broking and eventually in wealth m anagement. And my immediate objective is I want to grow faster than the competition. It's as simple as that. We want to grow faster than the industry. We want to grow faster than the competition. Now to fuel that, we need innovation in product and tech, ma inly product and tech,

okay? Because it's largely a tech a tech and product triangulation that along with better operating procedures with risks and ops that ultimately drives and creates that value for over a sustained period of time, right? So, what from where we stand right now. We believe this is a very, very important phase. The next 18 to 24 months are very important to continue investing and building that pole position. So, that's why I said early on in the call, the next quarter 1 or 2 quarters, we will be in this space. And at that point, I believe we would have built enough of a foundation to continue to scale this business to the next level because we don't want to slow down. We are a growth company. We are not a mature Procter & Gamble type company.
Sarvesh Gupta : And as you scale up across various things, are you finding any asset classes compared to, let's say, 2, 3 quarters back, is our new positive or rather more positive on any other asset class. Al so, apart from the equities where we feel that very likely we will be able to prepone this out of the revenue pool that we can get from that particular asset class? And why is that if at all that?
Narayan Gangadhar : Yes. It's a great question. So, the 2 ob vious places where money is shifting is clearly equities, but also mutual funds and ETFs, to some degree, right? So, clearly, those are 2 areas where I believe in India, the ETF exposure today is one of the highest , it's at an all-time high. And what custo mers really want is they want to manage and balance their risk. So, clearly, mutual funds give them the diversification and such. So, as a platform company, we have to be ready with those products. And this is where, if you look at where we are focused on, we want to build the platform, give that equity experience first because that's extremely important. And then going to further accelerate and bring that same value add on mutual fund journeys and ETFs. Now there is a couple of other interesting areas which are emerging. See, fixed deposits is the granddaddy of all inves tments in India. It has the most number of investments today are all in FDs, and there is no clear FD product today on the market and our customers are asking us for it. So, we have to start putting our heads together and figure out what's a good, aggregat ed product to build here, fixed income product because clearly, there is a customer appetite for that. So, if you look at where we are headed, mutual funds is next, ETFs are one, and then a fixed income category, which includes fixed deposits as well as bo nds and sovereign gold bonds. So, I look at these 3 categories also, which are shaping up.
Sarvesh Gupta : In mutual funds, is there any revenue model that we can envisage in this era of direct mutual funds and people like ly to buying everything directly fr om the AMC? So, as an intermediary, any revenue model that we can envisage there?
Narayan Gangadhar : See, to be honest, the industry is struggling with this as well,

right? The only revenue
model that at least has some merit is building adjacencies around it. You get the customer in. They are on the direct mutual fund platform, very much like what some of the venture -backed companies are doing. They're not making any money. But t hen eventually, the hope is that you get them hooked and then you give them that

experience when it comes to either equity products or IPOs or whatnot. On the back end, at least there is no white space that we can take out to innovate at least not what we see at this point. But we do see this as a great tool for overall wealth management of our customers over a long period of time. See, one very important thing that has changed is if you look at customers that we are acquiring today now, these customers are going to be with us for the next 20, 25 years. So, there are going to be people, a large set who are going to be in their 30s, in their 40s who want to invest in products which are not equities produced and this is where we need to be ready. And this ques tion, actually, I also would like Dinesh to give his perspective on this. Dinesh bhai, do you want to give your perspective on this as well?

Dinesh Thakkar : Sure, sure. See, what is important, like if you look at like digital space, opportunities are really dynamic and are really expanding at a very high rate. And if you look at this new generation, they want to buy everything, they want to be served on a digital platform. So, what is important for a company like Angel, we have to look out for places where we can acquire customers and we are confident enough once we acquire a customer and get them used to our platform, they will buy one other product, and we'll be able to get some good lifetime revenue from the customer. So, it would not be right to really pinpoint on which product they will buy and will make revenue or will make profit. But we are confident that once a customer who is on -boarded on our platform and the kind of platform that we are building, customer journeys that we are building, this custome r will buy one or the other product in his lifetime. So, if you look at digital model, what is important? Customer acquisition cost to lifetime value. We believe that lifetime value, currently what we are looking at is nothing to what we can really achieve in this space. So, overall, we would like to go into an area where we are able to acquire a customer at a very reasonable price. And keeping in mind their lifetime value of a customer, what we're getting currently would only increase from here. So, overal l, we are very positive about like being into digital space and being into kind of like platform company. So, beyond broking, I see lots of kind of an area where we can generate revenue and ex tend this lifetime value of customer.

Moderator : The next questi on is from the line of Hiten Jain from Invesco. Please go ahead.

Hiten Jain : I have 1 question. So, I appreciate the point that you made that because we keep adding customers where the lifetime value gets realized later on over the course of the year as and when the mix increases in favor of higher vintage clients, that is the time where ARPU will show better outcomes. But I was just analyzing this quarter. So, this quarter after long we have seen a slowdown in total clients. So, over the last few quarters, sequentially, total clients were growing at between 20% to 30%. This quarter, it's grown at 13%. But despite that, we have not seen any improvement in ARPU. So, ideally, this is a quarter where your mix has increased in favor of higher vintage clients. So, we should have seen some better outcomes on ARPU? Or the other way to look at it is that despite adding 13% sequential clients, 13% growth sequentially in clients and 8% in

active clients, our net revenue is flat sequentially. So

, what is your assessment of this?
On the face of it, it looks weak.

Narayan Gangadhar : Yes. See, it's weak. So, weak is a statement which has to be taken in context of the broader market also, right? If you look at how the indices have performed and the customer sentime nt and not just across investing. If you look at just customer sentiment today in India, right, it is currently at, I wouldn't say it was depressed, but it is cautionary. There are lots of sectors where people are deferring investments. People who wanted to buy homes are currently waiting. Loan volumes are down. So, this is not a micro trend which is only specific to retail or client investing. It is happening across the country. Now that said, what we are seeing is that in such trends, right, there is a pe riod of wait and watch. So, these customers who are coming on board, definitely they are getting active, which you have already seen in our numbers, right? The numbers speak for themselves. So, the activation is happening. And what is also happening in par allel is that there is a lot of traffic just to understand what kind of products are available in the market. And today, if you look in the equity space, whether it is cash, whether it is derivatives, whether it is equity, whether it is mutual funds, prett y much there is a bearish sentiment on all of them. So, clearly, when new customers are coming to the market, if the appetite was to invest, let's say, Rs. 1,000, the guy will only invest Rs. 500. So, this ARPU thing that you're seeing, especially in this particular quarter, if you just take a like what is it like a magnifying glass view, right, I believe this quarter has been and the next quarter likely will be a little bit of an exception where you are seeing both the macro trend working against the indus try and also you're seeing the effect of a business which is compounding and more clients are coming on board. So, we should not be quick to judge which is what. Longer term, as we mentioned, the fundamentals of our business are still valid because we are still breaking even from that same customer even with the reduced ARPU in under 6 months. So, it tells you that overall, at a macro level, things are evening out. Now when you look forward from here from another 3, 4 months out, right, I believe this trend will continue, right? Because till there is some clarity on what the future situation will look like. But for us, the focus is very clear: Continue to acquire customers, continue to curate them and continue to activate them the right way. So, we are not c hanging our game plan, which is what I mentioned earlier.

Dinesh Thakkar : Let me add over here, Dinesh here. Hiten, when you're looking at our ARPU and all that, so today, currently, we are getting revenue from our broking stream. So, what I was referring to was that digital space is evolving. So, there are regulations getting formed, apps are being made to improve customer journey for other services and all that. So, when we talk about extending lifetime value, it is not going to happen in a day or 2, it w ill require lots of regulation to be framed as we are making Super App, journeys to be built in that. So, overall, when we acquired a customer, we are looking at next 5, 10 years. So, we'll not look at month -on-month drop or increase because that is a primary function of a market as currently our revenue comes from broking services. But when we talk about extending lifetime value, we are talking about introducing many

more services. For that we require a better regulation. As Narayan said, that we are looking forward at lots of regulation formed on that layer of Sahamati account aggregator and all that. Once we get more data, once our app stabilizes in terms of different journeys, we can expect a higher lifetime value from vintage customers.

Moderator : The n ext question is from the lin

e of Chintan Patel from Satco Capital Markets Limited.
Please go ahead.

Chintan Patel : So, what would be yield differential between normal clients or flat fee clients and associat ed partner clients?

Narayan Gangadhar : Sorry, what is the yield differential. Can you please explain that? I didn't think I got it.

Dinesh Thakkar: Ketan can really answer this. So, like we are into flat broking plan. I think Ketan will be the right person to answer it.

Narayan Gangadhar : Yes. Ketan, please take it.

Ketan Shah : So, we have a flat broking plan for direct clients as well as AP, right? So, the rate of brokerage is same for all the customers, whether he comes through AP or whether he comes through a direct channel. So, as such there is no difference in terms of yield.

Moderator : The next question is from the line of Franklin Moraes from Equentis Wealth Advisory.
Please go ahead.

Franklin Moraes : So, I wanted to know your thoughts on the account aggregator framework. Currently, it's in the nascent stages and predominantly banks are participating in that. But from your interactions with regulators, when can broking entities be a part of this account aggregator framework? And how is it likely to change the landscape?

Narayan Gangadhar : Yes. So, currently, obviously, as you rightly said, very early days. In fact, the product itself, if you look at their APIs, it's a fully electronic product, right? And it's in a very nascent stages, right? But that said, the banks have just started to embr ace it. Now what is in it for us is that for us, what this gives us, is this gives us a very good 360 view into the fidelity of the clients we are acquiring. Based on the information and whether it is information that we get from their banks or from their assets, which are held in other sources, right, this account aggregation framework can help us introduce better products to the client. And today, we obviously don't have that much line of sight because the data simply is not available. Let's take a small example. Let's say, we want to offer a unique pledge product, okay? And let's say we want to offer a unique pledge on collateral against some of your other assets. Today, there is no line of sight we have on any of that stuff. Do you simply know what secur ities you have, whether you want to square it or not. That's a very myopic view. Because if you as a person, you may have multiple assets in different places. You may have an asset in your fixed deposit. You may have an asset in your stock account. So, if we get a 360 view, we can come up

with a much more better holistic product to add more value to the clients and improve that value proposition. So, from where we sit, we see this as a huge, huge advantage. Secondly, we see that this data is going to get commoditized. So, very simply, the data is not going to be a differentiator going forward. It will only be the experience. So, this is extremely important because if you look at venture -backed companies, the idea there is, you get customers in, you get th eir data and then you can kind of scale out. But that with Sahamati coming on board or whatever Paytm Money or whoever else has put so much capital or any of the other VCs for acquiring customers, that kind of value add dissipates overnight. And we believe that is good for the industry because that will drive innovation in areas where it should be, like customer experience, it will drive innovation in newer products, it will drive innovation and better risk management, which is where the product differentia tion should be rather than simply throwing money and acquiring customers. So, this is a huge area for us. And clearly, there is more here. I want also Dinesh to add his perspective because he's also been championing this for quite some time. So, Dinesh, pl ease go ahead.

Dinesh Thakkar : Sure. See, with Sahamati layer, especia

lly this the account aggregator has been like a very interesting thing for us since many years, and we have been tracking it. And fortunately, like now SEBI has also started uploading da ta of customers. So, it is a matter of time that we will get more information on customers. I'm seeing this as a big game changer. If you look at like U.K. market, what happened after they introduced something similar like PS D1, PS D2, now they are talking about PS D3, which opened up lots of markets like prime APIs and all that. So, we are investing heavily on technology, keeping in mind that when all the things happen, we must be ready with some good solutions and very like engaging solutions for people who are not expert in financial services. So, if you look at our investment, which goes on AI, ML, data scientists and all that, they are very hungry about right information, right data source and all that. So, we believe once this kind of like an account agg regator where information of customer comes in place, we would become a very big player in terms of TAT, in terms of providing prime APIs to our like business associates and gaining more market share in terms of people like who want to have a proper financ ial planning from us. So, like we talk about wealthtech and all that, all that opportunity opens up once we get authenticated right data. So, we are very kind of an optimist and we are looking forward to see that SEBI regulated entities also are given acce ss to information of customers.

Franklin Moraes : Next question is, when you talk of active client base, what is the definition of getting qualified as an active client?

Narayan Gangadhar : Devender, maybe you give them the actual technical definition.

Deven der Kumar : So, internally, we have multiple metrics, but I think at an industry level, NSE comes out with the metrics of people who have at least put one trade in last 12 months. And that's

how I think NSE has been, yes. So, we are also doing the same way. So, we're also doing on the same way, people who have done at least one trade in last 12 months.

Franklin Moraes : So, monthly, I mean, on a monthly basis, the number would be far lower, at least for the last 3, 4 months. Would that assessment be right?

Devender Kumar : Yes. It will be similar to what industry experience is in terms of month and 12 month relations.

Franklin Moraes : And my last question is on the average revenue, we have been giving qualitative assessment in terms of how the average revenue has been declining. And what are the reasons for the same. But could you throw some numbers or like from your assessment, by when can we see this average revenue per client moving up north of 650?

Narayan Gangadhar : Yes. So, we don't give any forwa rd-looking guidance on any of this stuff. But I'll have Devender give you a little bit of insight into how the revenue team is looking at the big vectors that influence the number. Yes, Devender, please take it.

Devender Kumar : Yes. So, when you look at AR PU of a client, obviously, one angle is the activation, how you are bringing up the activations that many people contribute, start looking at using your services, which will start contributing to revenue. And the second angle is the retention that we spoke about, which is a long -term value of a client of how they behave 3 months down the line, 6 months down the line and so on and so forth. I think there's a middle factor of monetization as well, where we look at particularly, which are the additional servic es that they are using, which will start contributing into revenue of a client. So, as an ARPU today, when we look at, I think Dinesh Bhai mentioned this thing, that we look at only broking services as a main churner of revenue for us. But as we go ahead, the multiple services that we are going to launch through our Super App will result in, we obviously alrea

dy started tracking metrics like product per customer that they are using, obviously, the size, ticket size of the customer that we look into. So, if you look at from a wholesome point of view, there are multiple levers through which you can build the ARPU of the client, which we are monitoring. And obviously, this has been continuously going up, as shown by various kinds of numbers. But as an overall i ndustry trend, if you really look at where we stand as a penetration of India. And we are kind of expanding the market into pockets which are unserved in nature, Tier-3, Tier-4, Tier-5 cities, where the ticket size are lower. If I look at it from a long -term point of view, I see that the ARPU of a client will go up with the introduction of multiple services over a period of time where you actually serve them with the full spectrum of financial services. But in the short run, we are obviously penetrating ver y, very strongly. So, these 2 factors will actually counteract and we will see that the ARPU is pretty stable at some point of time when the penetration has been achieved. And till that point of time, I think the major point to look into is whether we are able to acquire these clients with the right kind of profitability. Because we do really want to know really, reach the zenith of India, where we are the highest penetrated in India, and which would mean that we will acquire a lot

of Tier-3, Tier-4, Tier-5 clients and get them into financial services, which is getting served through the digital platform that we are building across. So, you have to look at it from 2 pronged way. And at a long term, you can look at very stable view. I think the larger v iew that you would look into is how is the scale going up and how the multiple services that are coming in, which will answer it.

Franklin Moraes : Thank you, Devender.

Moderator : The next question is from the line of Samyak Shah from Dinero Wealth. Please go ahead.

Samyak Shah : So, my question is regarding the share of top 5 digital brokers. As it is seen in the presentation, it has fallen to 69% compared to the last fiscal which was at 73%. So, any particular reason or your view on that?

Narayan Gangadhar : So, if you look at the top 5 players as an aggregate over the last 3 years, 4 years, the trend is that it's growing faster than what you see in other siloed broking environments, like bank based broking. So, maybe one quarter here or there, the numbers might be off. But at a macro level, the writing is already on the wall. When you look at the number of clients we are acquiring digitally and if you look at us and you look at some of our other competitors, I th ink it's fair to say that these 3 or 4 brokers will have the giant share of new customer acquisition over the coming months. And I also should add that if you look at Angel's own performance, in last month, we had about 34% of all these clients incremental ly that were added on the exchange. 34% of them came to Angel. So, our numbers are also growing phenomenally there, right? So, overall, I look at that trend continuing. And even if there is a few corrections here and there, I don't see that as a long -term trend at all.

Moderator : The next question is from the line of Jignesh from GMO. Please go ahead.

Jignesh : So, activation rate has declined close to 130 bps Q -o-Q. I believe partly because of moderating the new client addition. In current environment, w ith more you can say in moderation in the new client addition. Directionally, the activation rate will further decline, you can say, and go back to the earlier level? Or what is the view you are having?

Narayan Gangadhar : No, I don't see it declining to the p revious levels. Given that the sentiment in the market is also bearish at this point, as I mentioned, newer customers coming to the market. See, newer customers today, the biggest challenge

today is educating the new customer. It's not about the trading vo lume or any of those things. Those things will continue to grow only. The big issue here for every company right now, tech companies, fintech companies, the #1 challenge is newer customers are coming online, how do we educate them. And the product has beco me very, very complex. Now if you look at any fintech product and not just broking, even outside broking, they are very complex to

use. And with new buyers, how do you educate these guys? How do you get them and build awareness? This is one of the main rea sons why you are seeing like a dip in activation and things like that, along with the fact that the market sentiment is quite bearish. So, what I look at is that my objective is to look at how does this activation ratio move when clients have been in the s ystem for 1 year, been in the system for 2 years, been in the system for 3 years because that is what we need to control. So, when you are joining the system just because of the sheer volume, the activation might be low, that is okay. But when you're in th e system for a long period of time, that number needs to improve. So, overall, I don't see th e number dipping. I think it would come back to its original numbers. And in the sense, it will continue to get better. But there will be a few quarters blip here and there, where still new customers are calibrating the market, which is something that is expected in this kind of an environment.

Jignesh : My second question is if you take about new client addition, growth is moderating, and we are now on the size able base of the total active client and the total client. Assuming the 3 - to 5-year client of the life of the client, so 2 years down line our active client and the client start, you can say moderating or that might be start declining also considering that new client addition may not be strong enough to support the attrition level.

Narayan Gangadhar : Correct. So, the good thing is that as long as the top of the funnel grows at a fast rate, even if there is a corresponding slip on the other side, meta -meta the business will continue to stay healthy. See, because if you look at what we are optimizing for, we are here to build this business over a longer period of time. So, the if you ask what my attention is on, I am only interested in expanding the top of th e funnel. This is what my team, myself, Prabhakar Tiwari, who's our Chief Growth Officer, right, I mean this is what we focus on. We focus on expanding that funnel, getting more people to the platform and growing it up, right? Now there is another interest ing trend, is that with a 10 million client base, obviously, the number of people who have never traded is also going up. So, good thing is that we have acquired these customers. They are on our platform. So, now you're looking at a latent customer base wh ose KYC we have done, but we have to incite them to trade. So, this opens up a great opportunity to look even within our own customer base to generate new business for us. So, what I'm trying to say here is that if you look at the big picture, we have more than one knob in our control to actually adjust this number. So, it's not just as simple as top of the funnel has shrunk. It's a little bit more nuanced than that.

Moderator : The next question is from the line of Prateek from Nippon India Mutual Fund. Ple ase go ahead.

Prateek Poddar : Just wanted to check with you if you could give us a timeline for the rollout of Super App on the Android platform. And then also the wealth management products over it, right? If you can, would the wealth management products, would follow the same strategy first on the iOS platform and the web based and then followed by Android?

Narayan Gangadhar : Right. Yes. Thank you, Prateek. Great question. S

ee, our plan is, as we discussed in the last earnings call, this quarter, we will be finishing the iOS deployment. We are far ahead of schedule there. We want to start the Android deployment this quarter. My sense is it will take 1 quarter because there's about 8 -point -something million clients. It's going to be one of India's largest m igrations. And also, Prateek, one thing of interest here, is unlike other competitors, we have not built 2 applications. We just built one actual Super App, which will be upgraded in place. So, it is the first time that such a migration is being attempted in India, right? So, now what I am seeing is that we start somewhere in the next month, 1 month, 1.5 months for Android. And then I expect it to go for another quarter with the full migration being done. Ankit is our Chief Product Officer. Ankit, do you wa nt to add anything here?

Ankit Rastogi : That well covers, Narayan.

Narayan Gangadhar : Yes, great. So, from our side, that's what we have. And in terms of broad product strategy, I think also the same playbook that we are building for the web app , for the mobile app , the same template of deployment we are going to take it to web products

also, to other , to mutual fund products also. Mutual fund product s, I expect it to be in the Super App in probably a quarter's time.
Prateek Poddar : You mean on the iOS version?
Narayan Gangadhar : Yes, in the iOS, yes. So, that will be the first ….
Prateek Poddar : And then you roll out to Android, right?
Narayan Gangadhar : Yes. And also , that will be the very first time you will see 2 different journeys in one app. This will be the first actual Super App, one of the very first ones in India. You'll see 2 journeys, equity journey and mutual fund journey from the same application in iOS, a nd that will be a very big milestone for our business, actually, and also for the industry also.
Prateek Poddar : And given that you are now on -boarding or getting the mutual fund journey on the Super App, your client base on the funnel will increase, right ? That's a fair understanding.
Narayan Gangadhar : Absolutely, yes. It will increase, and that is going to be another area of focus. One other gentleman had asked this question earlier for our acquisition strategy. See, we have to grow the funnel. And by gr owing the funnel, we have so far been growing on the back of our equity product, and we have had a phenomenal success. Now imagine once the wealth management product is ready, then we are going to double down. Then our reach grows dramatically because we c an attract more customers to the platform. So, this is why we are in serious investment phase at this point, like it's a very good growth point for our company.
Moderator : Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments.

Dinesh Thakkar : Thank you, everyone, for joining us today on this earnings call. Unlike developed economies, where equity penetration is high, India's growth opportunity remains insulated due to high under penetration. Growth in Demat accounts reflects rising equity adoption of India. The rise of retail investors is witnessed from their growing participation over the last couple of years. They have demonstrated tremendous strength as they withstand market volatility, coupled with aggressive FII selling. As the fundraising activity resumes and more companies get listed, investing opportunity will only expand for investors. All this gives me confidence that India's capital markets ar e well poised to catapult into a next phase of growth.
Angel is well poised to benefit from these growth opportunities. We rank amongst top 10 players, both retail and institutional combined, in daily F&O turnover in the country. This is a testimony to our best-in-class technologically advan

ced product and the superior business model that we have built. The resilience of our business is demonstrated from our Q1 FY '23 operational and financial performance. This will only improve going forward, supported by better market conditions. Angel will be the torchbearer of demat proliferation in the country as a new age India gradually understands the benefit of superior return profile of equity over the other low -risk assets. We will spare no effort in helping investors achieve their goals while also improving their overall investment journey. We have successfully demonstrated the security of our digital strategy and plan to augment the same as we move forward to attain our goal of market leadership. I a m certain this goal is not too far away.
I wish to thank you all for your continued support and confidence in Angel One. For further queries, please do reach out to Hitul Gutka – our Head IR or SGA, our Investor Relations advisors. I wish you all a good da y ahead. Stay safe, stay strong. Thank you.
Moderator : Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2022

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To,
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Symbol: ANGELONE Scrip Code: 543235

Dear Sirs,

Subject: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on September 28, 2022, intimating of the earnings call with analysts and investors to be hosted by the Company on October 14, 2022, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same

Kindly take the same on record.

Thanking you,
For Angel One Limited
(Formerly Known as Angel Broking Limited)

Naheed Patel
Company Secretary and Compliance Officer
Membership no. A22506

Date: October 18, 2022
Place: Mumbai

Angel One Limited
Q2 FY23 Earnings Conference Call

October 14 , 2022

MANAGEMENT:
Dinesh Thakkar

Chairman &
Managing Director Narayan
Gangadhar

Chief Executive
Officer Vineet Agrawal

Chief Financial
Officer Dinesh
Radhakrishnan

Chief Product &
Technology Officer Jyotiswarup
Raiturkar

Chief Technology
Officer
Ankit Rastogi

Chief Product
Officer Prabhakar
Tiwari

Chief Growth
Officer Ketan Shah

Chief Strategy
Officer Dr. Pravin Bathe

Chief Legal &
Compliance Officer Subhash Menon

Chief Human
Resources Officer
Bhavin Parekh

Head of
Operations, Risk &
Surveillance Devender
Kumar

Head of Online
Revenues Hitul Gutka

Head of Investor
Relations

 Moderator: Good morning, ladies and gentlemen, and welcome to Angel One Limited's Q2 FY'23 Earnings Con ference Call. This conference call may contain forward -looking statements about the comp any, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hitul Gutka. Thank you, and over to you, sir.

Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us tod

ay to
discuss Angel One's Q2 FY'23 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and press release are also available on the website.

For today's call, Angel is represented by its leadership team. We have with us today Dinesh Thakkar, Chairman and Managing Director; Narayan Gangadhar, CEO; Vineet Agrawal, CFO; Dinesh Radhakrishnan, Chief Product and Technology Officer; Jyotiswarup, Chief Technology Officer; Ankit Rastogi, Chief Product Officer; Prabhakar Tiwari, Chief Growth Officer; Ketan Shah, Chief Strategy Officer; Dr. Pravin Bathe, Chi ef Legal and Compliance Officer; Subhash Menon, Chief Human Resources Officer; Bhavin Parekh, Head of Operations Risk and Surveillance; Devender Kumar, Head of Online Revenue; and SGA o ur IR Consultants.

The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, followed by a Q&A session. As a reminder, I would like to inform you that the company does not provide any operational and financial guidance. There may be certain forward -looking state ments during the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Narayan Gangadhar for his opening remarks.

Narayan Gangadhar: Thank you, Hitul, and good morning, everyone. Q2 FY'23 has been a strong quarter for Indian capital markets, with indices returning 8% and 16% for NIFTY and NIFTY Midcap , respectively, supported by healthy volumes in cash, F&O and commodity segments. This is contrary to negative returns of 4% to 21% delivere d by some of the developed and developing markets. Global investment climate has been dampened by rising interest rates, rising inflation, geopolitical tensions, the risk of recession, et cetera. During this period, India too, raised interest rates to rope in inflation, which has been higher than the comfort zone of RBI. This may moderate growth prospects of the country.

However, the silver lining is that India added another 6 million -plus demat accounts during the quarter, thus expanding its demat base to approximately 103 million as of September 2022. We strongly believe we have a strong, long runway ahead of us. This stems from the fact that India's demographic dividend is largely underrepresented by the current investor base. With nearly 435 million uni que PAN card holders as of March 2019, there is enough growth opportunity available.

While the headline demat account is about 103 million in terms of unique accounts, this may be significantly lower as many investors have multiple demat accounts . Thus indicating a robust growth opportunity for the industry as we progress towards achieving penetration levels, akin to other developing or developed markets.

Diversification of assets is another growth driver for us, and this, coupled with rising wallet sha re across financial products. The country is already witnessing a fall in the share of physical assets as the current generation better understands the virtues of investing in financial assets. With an average age of just over 28, India has the youngest po pulation across the world. As this cohort grows in their working career , they will prime to become future wealth holders with a larger deployment in financial assets. We at Angel are clearly building products and are fine -tuning our acumen t o service this category of population, especially from Tier 2, 3 and beyond cities of India.

Since most of these clients will be first timers, there's a greater responsibility on regulators. Over the last year or so, the regulators have played a phenomena l role in crea ting a conducive environment for investors and reducing their risk of investing in the capital markets. We sincerely appreciate their efforts to increase retail participation in equity and the overall financial markets. Such insulated environ ment encourage s more investors to participate in India's growth story and players like us are using technology to empower these investors to better leverage this opportunity.

Our digitally enhanced products enables us to steer ahead of our peers. This is evident from o ur robust operating performance we have been reporting month -on-month amidst volatility in the market. Our endeavor to bring capital markets to large parts of the society is playing out well as we continue to onboard over 1 million clients pe r quarter , for 6 consecutive quarters now, with more than 93% coming from Tier 2, 3 and beyond cities. We garnered about 19% share in incremental demat accounts opened in India during Q2 FY'23, thus representing almost 1 out of every 5 clients onboard ed.

Rising share i n incremental accounts led to a steady expansion in the overall demat market share to 11.3% as of September 2022, from 7.5%, 6 quarters back. This demonstrates the superiority of our digital marketing strategies.

The robustness of our busine ss model is dep icted from the rising turnover market share, which now stands at over 21%. Our clients transacted average of more than INR12 trillion daily through 230 million cumulative orders in Q2 of FY'23, which makes this our best quarter ever.

Septem ber '22 was our best month in terms of average daily orders and turnover. Our emphasis on deploying advanced analytical capabilities based on data science, machine learning and AI across acquisition, onboarding, engagement, communication, et cetera, has ai ded us to consi stently grow despite tough market conditions.

Last few quarters have been challenging for the industry due to market volatility. In this background, new -to-market investors have taken some time to start their investing journey. And this is reflected from the approximately 300 bps quarter -on-quarter contraction in active client ratio for the industry to

36.4%.

At Angel too, we have seen our active ratio declined by approximately 250 bps quarter -on-quarter. However, what is heartening and a t estimony to our client acquisition strategy is that despite this decline in active ratios, we clocked our highest -ever ADTO and the number of orders in Q2 FY'23.

To further extend and benefit from the maturing ecosystem, we rolled out the first phase of ou r Super -App on iOS, which is Apple, and the web platform to a limited set of clients, which was progressively offered to the entire iOS population.

We have become one of the first listed fintech companies at our scale in the country to successfully demons trate such a la rge migration to a new app without operating two parallel versions of the app. With the new application,

we have a far better capability to iterate quickly, and we have demonstrated a industry high SLA, service level agreement , of 99.995%. O ver the last 2 months, we constituted a customer council to proactively assess clients' experience and receive feedback from our clients. We are now better positioned than ever to close the loop faster and course correct wherever required.

There are still some upgrades planned, which will be integrated and rolled out during this current quarter. With the changes incorporated on iOS, we experienced constant decline in client complaints and we experienced a corresponding increase in Net Promoter Score, NPS, for our journey s by over 40%. This was an important learning for us as we replicated the critical responses on to our Android version as well, and we are now ready to initiate the Android rollout during the quarter.

During the quarter, we focused on scali ng up our organ ic traffic and revamped our website with this purpose in mind.

The optimized site led to
11% increase in page load speed on mobile. We also got rid of technical debt built over years of extended workflows and layers of cache, which calcinated our portfolio feature and made it sluggish. Hence, it was imperative for us to rewrite the entire code, which now makes the feature nearly 7x more efficient.

Customer requested updates are now faster and easier due to fewer touch points. We deploye d fully managed clou d solutions for improved traceability, reliability and monitoring of our services, which further improved our troubleshooting process. We have also scaled up efficiency on charts as well as integrated the upgraded version of trading view library and resolve d issues that led to slowness, et cetera. We continued to ruggedize the core trading services, thus building improvements for better reliability, monitoring and alerting and automated deployment of services.

A new data center was commissioned as a replacem ent to our vintage data center. This one has better hardware and networking capabilities. We recently concluded mock testing and validation of the same. I'm very happy to share that the Board of Directors have approved distrib ution of 35% of the quarter's consolidated post -tax profits as the second interim dividend to shareholders.

With this, I now request Vineet Agrawal, our CFO, to brief you on the financial performance of our company. Thank you very much. Over to you, Vinee t.

Vineet Agrawal: Thank you, Narayan. Good morning, everyone. It is heartening to see that despite the tumultuous phase in capital markets globally, India continued its resilient performance, and we reported healthy operating and financial performance q uarter -on-quarter. Q2 of FY'23, continued this trend as we report our best quarterly performance across all key parameters.

Our gross revenues grew by 9% sequentially to a historic best of Rs 7.5 billion. Gross booking income continues to remain the mains tay revenue driver at Rs 5.2 bi llion contributing 70% to our gross revenues. Interest income, which includes interest on our client funding book and interest earned from deposits with exchanges remained stable at Rs 1.2 billion contributing about 17% to ou r gross revenues. Higher volume s on our platform led to approximately 20% sequential increase in our ancillary transaction income to Rs 651 million, accounting for about 9% of our gross revenues. Depository income contributed 4% to our gross revenues at Rs 270 million. Income from distr ibution of third -party products declined sequentially due to muted IPO environment and accounted for 1% of our gross revenues.

For Q2 FY'23, gross broking revenues further split as follows, share of F&O segment increa sed to 82%, while contribution of cash segment came down
 marginally to 13%. Share of commodity and currency segments remained flat at 4% and 1%, respectively. The average revenue per client, which is calculated on the entire client base at the end of the q uarter stood at Rs 430 for the quarter. This trended lower, primarily due to a higher share of the new-to-market clients, which were 88% of our gross acquisitions for the quarter. Basis our experience , these clients initially are low revenue accretive, b ut stabilized in prime time. D espite this, we have been able to maintain our growth and profitability metrics.

On a cohort basis, we have seen revenue per client mature as they progress into year 2 and onwards of the wealth creation journey. In contrast to our pre digital model, where year 2 revenue per client were significantly lower than year 1 , the same is now more stable. Since we acquired clients at a robust pace over the last 2 years, their share in the net broking revenue continued to dominate at 6 9% in quarter 2 FY'23. Here, I wish to draw your attention to the fact that now some of the older cli

ents are moving to the next aging bucket of 2 to 5 years. As a result, we are witnessing an increase in our net broking revenue from this cohort thus indic ating longevity of clients and their corresponding activity levels.

Our net broking revenue under the flat fee plan continued to witness very strong momentum contributing to a significant 85% of our overall net broking revenue. Share of total net income f rom our flat fee clients to the consolidated total net income grew 1.5x to 85% in Q2 FY'23 from 58% in Q2 of FY'21. Since Q2 FY'23 has full quarter impact of the grants issued in Q1, ESOP cost appears higher on a sequential basi s. This will normalize going forward as the older grants complete their tenure and corresponding cost will not be reflected.

Upfront margin penalty was earlier passed on to the clients. However, basis clarifications received from the regulator, we have no w reversed the same and provide d the entire amount of Rs 166 million pertaining to the period from October 2021 to September 2022 in current quarter. This amount forms part of our other expenses. As discussed in the previous earnings call, we witnessed som e softening of costs towards ac quiring clients in Q2 of FY'23. This is likely to normalize further as we progress into future quarters.

Our payback metrics continue to remain efficient with breakeven being achieved within 2 quarters. Our Q2 FY'23 operating margin came at 52.4%. Accordingly, we achieved our lifetime best quarterly profit of over Rs 2.1 billion. Our consolidated earnings per share stood at Rs 25.6 per equity share on a quarterly basis.

On the balance sheet side, cash and cash equivalent increased to nearly Rs 53 billion. Our other financial assets increased to Rs 19.4 billion. This increase is largely due to the cash collateral parked with the clearing corporations as a run -up to the quarterly running account settlement in early October 2022.

The period ending client funding book was at Rs 16.7 billion. Our borrowings increased to Rs 30 billion at the end of the quarter. A large part of this incremental borrowing is temporary in nature, which has already been repaid as we speak. The borrowings were utilized to partly fund our client funding book, p lace margins with the exchanges to fulfill the incremental margin and allocation requirements, partly to temporarily fund the running account settlement obligations.

Our continued inve stments in development of the Supe r-App and augmentation of our IT infra, that is data center in DR site, led to an increase in our fixed assets by Rs 540 million to Rs 2.2 billion as of September 2022. Our net worth increased to over Rs 18.9 million as of September 2022, with our book val ue per share at Rs 226.5. Our annualized average return on equity stood at 45.5%.

 With this, I conclude the presentation and open the floor for further discussion. Thank you.

Moderator: The first question is from the li ne of Prayesh Jain from Motilal Os wal. Please go ahead.

Prayesh Jain: Congratulations on great set of numbers. Just a few questions from my side. Firstly, Narayan, could you talk about customer acquisition and the way you are thinking about spending on cu stomer acquisition and what channe ls that you'll use in this new environment that they are coming in. So firstly, could you talk on that front, as to how do you see this shaping up going ahead?

Secondly, we want a deeper explanation on the increase in the financial assets and borrowings from Vineet, if you can give some more clarity as to what happened? And Vineet it will be great if you could extend that context and help us understand as to really how the things shaped up when the payout on the first Frida y, the previous week happened. S o that would be great if you could explain that? And yes, so that would be the questions that I have right no

w.

Narayan Gangadhar: Great. Thank you Prayesh. So you've asked 3 different questions. So let's go one by one. So see, our acquisition strategy, right . Our acquisition strategy has not really changed from the past few quarters. We believe that this is a market that is currently in expansion phase . We believe there's a lot of new entrants coming into the market, an d we want to tap them when they are young. We want to tap them when they are young and we want to curate them.

So very specifically, by young, I mean, people who are under the age of 25, who are in their first jobs and who are just getting started with th eir journeys. This cohort is going to conti nue to mature over time. And as you see in our financial results already, because the cohorts are matured, our revenue streams and our businesses have stayed pretty robust because as these client groups continue t o get better understanding of the markets, better understand the financial ecosystem, better understand the products involved, they tend to trade more. And also, they tend to look at the wealth management in a whole holistic portfolio. So our game plan for acquisition has really not changed. We are focused on acquiring these customers.

Secondly, as far as how we continue to curate these customers, our strategy has always been, we believe that there is going to be a need for introducing a portfolio of produ cts, which is why we are investing very hea vily in our Super -App, and as the Super -App gets launched, we are going to be introducing multiple journeys in the future so that this same cohort that we acquired today can continue to nurture and expand their ow n investment horizons over a longer period of time.

Now you asked another question about borrowing, which I'm going to defer to Vineet. He can give you some more data there. But let me just answer one of your final questions, which is around payout. So pa yout, as you guys know, it has been a major event, it was a much antic ipated event for the whole industry. But I'm extremely happy to report that we have performed exceptionally well on this front, and we have had pretty much zero to no business loss at all. In fact, if anything, ou r business numbers have improved post this payout event because we used this opportunity to reinforce our technology strength and actually come up with better experiences to allow clients to refurbish the platform with capital and things like that. So I wi ll leave this now to Vineet, who can touch on the borrowing cost and others.

Prayesh Jain: Yes, Narayan before Vineet gets in, could you give certain example as to really what have transpired on that side? And so whether you were able to get the money fro m the client on the same day or whether you 've got the money by over the weekend because this leads to a lo ss in float income,
 right, for you guys to a certain extent. So could you give some example what really transpired in this 2 days?

Narayan Ganga dhar: Sure. So see, the payout happened on the 7th, as you guys already know, right? And we basically swung into action pretty much that same weekend. We hardened our processes. We hardened our product experiences around the pay -in factor. And because of t his hardening and the investment that we made u pfront, we saw that we had recovered almost 80% of the capital within the first 3 or 4 business days. So as a result of that, right on the very first day, that is the very first day after the payout, we actual ly didn't see any loss in our order volume. Of course, we don't share those numbers, but we didn't see pretty much any loss. On the contrary, within 2 days, the order volumes were up, right?

So this essentially is a testament to not only our technology prowess in handling this transition fully, becau se I'm sure you're aware that there were many other institutions with actually

this process of payout, pay -in with
downtimes and things like that. But fortunately, we were well prepared, we have approa ched this very scientifically and accordingly much ahea d of time, and we run a lot of aggressive campaigning also from a product strategy perspective, which really helped us communicate to the client in terms of methods in which we can have zero lost produc tivity as we continue to trade. So this is really how t he whole thing materialized. Now over to Vineet, who can address the questions on borrowing. Vineet, over to you.

Vineet Agrawal: Yes. Thank you. So I've already explained in the speech that the incre mental borrowings that we see at the period -end balance sheet were largely temporary in nature, and these were primarily to use the proceeds to fund the incremental client funding book , the margins that we place d with the exchanges towards segregation as we ll as allocation requirements and of course, some was u sed towards the fulfillment of the client payout in the first week of October.

Prayesh Jain: What was the other financial assets jump?

Vineet Agrawal: So this money that we borrowed and the FDs tha t matured over a period of time, we just parked them as cash with the clearing corporations in anticipation of the payout. So most of the FDs were maturing towards the end of the quarter or early in October.

Prayesh Jain: Okay. I will take this offline.

Vineet Agrawal: Sure.

Moderator: The next question is from the line of Uday Pai from Investec. Please go ahead.

Uday Pai: Yes, I wanted to know the impact of the regulation of margin requirement at the client level and not at a company level. What w ould be the impact of this on the business?

Narayan Ga ngadhar: So see, as far as the regulation change is concerned, I'm assuming you're still talking about the payout, correct?

Uday Pai: No, no. Margin requirement at the client level.

Narayan Gangadh ar: You're talking about the margin side. So essentiall y, at a client level, there is no perceived impact per se, largely because it's a better workflow and a better orientation of client funds to help and protect their ability to trade subsequently . So from t hat perspective, the upfront margin, which now we have to pass it back to the client, right, it's anyway something that the regulatory changes which have happened have already been factored. We have already built those features in our products and our back -office systems.

So ultimately, all this has actually done is, it has introduced a much greater level of transparency around how the costs are managed, both from the regulator, from a broking standpoint and also it helps the client manage their costs very well. So if anything, I think this is a great catalyst to help more people come to the market. So with this, I will just hand this over to Bhavin he's our head of operations. So he can add some more perspective here.

Bhavin Parekh: Thank you, Narayan. Go od morning, everyone. See, pertaining to the allocation circular, where anyways, segregation and allocation circular that you are referring to, this came into existence in this quarter itself, and we are well ahead of that particular thing. See, a nyways, whatever customer assets that we get as funds or securitie s, it's parked at the exchange. Anyways, pledge of securities went live almost a year back. So that was actually allocated to that particular customer who is pledging the securities. The fun d allocation went in this quarter, and there is no impact on the b usiness as such because we used to follow the same work flow earlier also.

Vineet Agrawal: Just to add what Bhavin said, this is Vineet. So we've been able to place enough and more bank gua rantees with the cleari ng corporations to take care of the incrementa l working capital requirement for margin segr

egation.
And in fact, we've not seen any decline in the business. In fact, this can actually be an opportunity for us to actually grow o ur business with some tweaks.

Narayan Gangadhar: And just to add to that, just to close this out. I think we are going to see more push from the regulators, which is actually great for the rest of the industry. Because what they are trying to minimize is the amount of client float, which is either unutilized or not clearly utili zed at either their end or with the brokers. So I believe this is actually a great move on behalf for the rest of the industry. And as Vineet said, this will open doors for bet ter innovation on the product side.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah: Sir, my first question would be, our quarterly average revenue per client has been mostly Rs 430 and it has been declining for at least from last 6 quarters or so. So can yo u just quantify on that part, it would be great?

Narayan Gangadhar: I don't understand the question. So what do you want me to quantify?

Pujan Shah: Yes. So from Q2 '21, if we check the quarter, we were earning an average revenue of Rs 714. And now we a re earning average revenue of Rs 430. What is actually the declining, like what's your view on this actually?

Narayan Gangadhar: See I think this is happening because our indu stry is maturing. There are more and more people coming to the market. And if yo u look at our business, let's say, 5 years back, the participants were only few and far in between. Most people would not even enter into equity markets about 5 years ago. It was still considered a niche product. Today, what has happened is the commodity a ppeal of equity investing has significantly broadened and as Dinesh Bhai always says, he's our founder, right? So he always makes this point that this is poised to expand over the coming decade.

Now as this expansion happens, as new entrants come to the m arket, I think it's very natural to see 2 things go down. One is obviously the average revenue because the ticket size and everything will go down and adjust itself to the aver age mean of the people we acquired. And second is so will our operating costs be cause ultimately, we are now starting to offer this product at almost planet -scale. So because of this, what's going to happen is as a business as a whole, I do think that at s ome point, this trend will materialize, it will normalize at some point, but tha t point is not today. So it will normalize
 maybe in a few years when things have just started to plateau out a little bit, like I think the custom er acquisition has started to plateau out a little bit.

But at the same time, if you look at the way we are a pproaching the business, we want to run the business at a healthy operating margin between 45% and 50%, that's our stated objective. And to that end, we look at our goal is to expand this market and continue to penetrate, underpenetrated segments and drive broader retail participation. So if I were to give you a full 360 view on it, yes, I think this trend is here to stay. But at the same time, I think with greater volumes comin g in, I think the robustness of the business will only continue to get better an d better and better with time.

Pujan Shah: My second question would be on employee stock options. Can you just quantify how much expense will be there for FY'24 and '25?

Vine et Agrawal: You were asking how much expenses would be there for FY'24.

Pujan Shah: Yes. And half of FY'23. So you can quantify for FY'23, FY'24, if you can?

Vineet Agrawal: With the current grants that have been already done with, the estimated cost for FY'24 for the incremental grants would be about Rs 47 crore. And for FY'23, it should be in the range of about Rs 25 crore, R

s 30 crore.

Moderator: The next question is from the line of Aditya Dixit from Morgan Stanley India Company Private Limited. Please go ahead.

Aditya Dixit: Many congratulations, first of all, on an amazin g set of numbers. I actually just have one question. As you continue to acquire new customers in Tier 2, Tier 3 cities, from a top of the funnel perspective, what are y ou really seeing in terms of behavior? Is that acquisition really happening from a digi tal sort of stand purely? Is it a mix of 2 through your sub -broker networks? Or is it predominantly physical initially, and then moving them on to digital?

Narayan Gang adhar: So the entire acquisition is digital. There is nothing physical at all. What we are seeing in Tier 2, Tier 3, is the penetration from a digital standpoint is extremely robust. What we are also seeing is that as these clients onboard, their engag ement with the product is also very significant because in these underdeveloped markets , right, under penetrated markets, what we are seeing is that there is a lot of appetite to understand the product, to understand what are the options available, to unde rstand what kind of financial tools are available at their disposal.

So this is a very ripe customer base for us to harvest. So from our perspective, obviously, in terms of terminal value, we really don't see much difference between Tier 2, Tier 3 or Tier 1, and that's testament to our strong economic growth the country itself is seeing acr oss. And this is a cornerstone of our strategy because we want to continue building our presence and our brand in Tier 2 and Tier 3 and eventually even Tier 4, 5 and 6 m arkets. We are already strong there, but we need to make it even more stronger.

Aditya Dixit: Have you, again, think about your customer split irrespective of which tier. Do you see more customers coming in from the salaried segments or more coming into t he self -employed segments?

Narayan Gangadhar: I don't know, interesting question. I do n't think we have any greater insights than what's available in the market. So I won't be able to tell you what's the actual split in terms of salaried versus non -salari ed. We generally look at only a macro level view from the KYC. So yes, there is some KY C data, but I'm not sure if it is truly representative. But if I were to gauge just based on what we are seeing in the KYC, I would say, majority of them would be employ ed. And there will be a small percent, maybe 5%, 10% whatever, who are in the self -empl oyed bucket. So this is what we see so far.

 Moderator: The next question is from the line of Deepak from Haitong Securities. Please go ahead.

Deepak Sonawane: I have 2 questions mainly related to our cost of acquisition. So can you give us a breakup, I mean, your advertisement and business promotion expense that has been sitting in other expenses. So can we have the absolute number for your marketing cost for the quart er?

Narayan Gangadhar: Deepak, we don't share those numbers largely. I'm sure you want to appreciate that's very sensitive data. Clearly, it's a competitive moat that we don't want to share, right . Now that said, just to give you a broader sense of our c ost of acquisition, the core metric that we are after at the top line is we want to make sure that we run the business always between 45% and 50% OPM. So no matter what the operating costs, no matter what the overall situation, our goal will be always to g row the top line and maintain this operating margin going forward.

So as far as the fin ancial envelope of computation is concerned, this is the macro level number. Similarly, our turnaround, when we say, are time to recoup, right, it's still breakeven, it's still at around 2 quarters, and we have not really changed that or moved back signi ficantly. So within these parameters, our compan

y operates the whole business. And this across what I can tell you is this metric is true across most of the channels th at we pursue for acquisition, okay . So that's how we look at our entire business plan an d our entire holistic acquisition strategy.

Deepak Sonawane: Okay. Fair, sir. Sir, my second question is towards Vineet sir. How do we account our marketing costs? I m ean do we defer it over the year, I mean, book it on a quarterly basis or is it on a mon thly basis?

Vineet Agrawal: The entire customer acquisition cost is expensed out in the month in which the customer is acquired.

Moderator: The next question is from the line of Prachi Kodikal from Bay Capital Partners. Please go ahead.

Prachi Kodikal: So my first question is regarding this chart you have on Slide 10 of the presentation. So here you're saying that the share of top 5 digital brokers in incremental NSE clients this quarter has drastically reduced. So it's been in the 70s and this quarter it has almost come down to 40%. What is the reason for that? This drastic drop that has happened?

Narayan Gangadhar: Yes. See, there's a couple of things , right. First is what has happened overall is that the current market conditions are still recovering. It's not fu lly, fully recovered just yet, right . And already, the country has seen its fourth interest rate hike within this year alone. The repo rate today at the RBI level is 5.9%. And any time there is a 40 bps to 50 bps hike in the central bank interest rates, na turally, there is going to be a muted participation in the market because cost of capital becomes more and more expensive and things like that.

So for this reason, there is also another factor at play here is that every central bank, if you look at what t he Central Bank of U.K. is going through, if you look at what the Central Bank of China, just for example, are going through, right , almost in every cas e, there is a macro theme which is being developed. And become of this, what has happened is overall par ticipation is a little bit subdued than it normally was. I think apart from this, we don't see any other extraneous conditions that can explain why the situation is what it is.

Prachi Kodikal: But my question was directed more towards the share of digital brokers going down so drastically and that of traditional brokers going up. So I mean, the data in Q2 of '21 and this is the first time we've seen this trend in almost 2 years, that is.

Narayan Gangadhar: Yes. So as I was explaining, right, a couple of t hings. Because for many of the other digital brokers that are continuing to play in the market, right, their acquisition strategies and their strengths are directly correlated to the strength of the overall investment climate. And many of these digital bro kers, they are also VC -backed. Unlike us, we are publicly traded and we operate with full fiscal transparency and such. In many cases, the numbers have gone down because the VCs have started putting less money into the ecosystem.

So yes, this trend is als o a combination of what's playing out in the venture world, which you are seeing today in the top 5 digital brokers. And as you can see, out of the top 5, almost there's no bank -based broker in there. It's basically all new age brokers, right , and out of t he top 5, 3 of them are the VC funding. So as the venture climate has dried out, which is what I was explaining earlier, because of rising interest rate s and such, the climate is not right, is not perceived as right for further investment, at least from th e top 5. But from our perspective, our game plan and our acquisition play and our strategy hasn't changed. If anything, we continue to increase our inve stment and our participation to drive this number overall.

Prachi Kodikal: Got it. Also, my second ques tion is if you could just hel

p me bridge the gap.
So when I look at your average daily turnover, that has been increasing steadily. But on the other han d, ARPU has been falling on a quarterly basis. So just 2 numbers. How should we think about it increasin g average daily turnover and reducing ARPU?

Narayan Gangadhar: See, increasing ADTO is very clear that our existing customers are participating and the y are participating heavily in the market. And they are participating heavily in the sense that they're participating at an expected rate of cliff, which we normally always see in the previous quarters, right? So that part is going well. Now at the same ti me, the ARPU, as we explained, the ARPU decline can be attributed to the fact that as this business beco mes a more commodity business, we're going to start seeing the net ARPU obviously go and normalize to a certain level, right?

And as we see that, what we are seeing, though, is the overall unit economics of the business are still very strong, which is wha t I was explaining earlier, is that with the fall in ARPU, with the growing customer base, with more cohorts getting matured, our terminal value for the business is only going to continue to get stronger and stronger. In many ways, this business is becomin g more like a commodity stock. And this is where we are in the very early days of that. So if you look at the trajectory over the next 5 years, you are essentially seeing the makings of a rapid fire commodity business, which is going to grow very substanti ally, and it's in a serious acceleration phase at this point in the industry.

Vineet Agrawal: If I can just add, the average revenue per client, as we disclosed, is on the entire base at the end of the quarter. So while we are adding clients month -on-mont h, the calculation is done for the entire base at the end of the quarter. And if you see that the ARPU will show a slightly lower trend because those cl ients who are coming in, let's say, in the last few days or a couple of weeks may not be immediately tra ding. That's one. On the turnover side, the turnover is increasing because the number of orders and the activity levels have increased for those who are trading.

Prachi Kodikal: Correct. Correct. So that's what I was trying to get at. So if the activity l evel is increasing, shouldn't that translate to higher ARPU is all I was trying to ask.

Vineet Agrawal: So yes, so actually, the number of orders have increased. If you see, the orders quarter -on-quarter have grown considerably. So that shows that the activity levels have increased.

 Prachi Kodikal: But does that also mean concentration is increasing, so the top trading clients are trading more. Is that a fair comment to make?

Vineet Agrawal: Whatever is the industry trend that's continuing. I mean it's n ot like we have a significantly lower number of clients trading a larger volume. Whatever is the industry trend that continues for us as well.

Narayan Gangadhar: And to just add to that, right? What we are also seeing is that as I said, our latent base, l atent base is customers who are residually in the system who have been there for a long time , and their engagement is obviously continuing to get stronge r and stronger, which is what explains, which is how the numbers can be rationalized and explained, righ t? Because you are acquiring new guys. Let's say, 80% or 90% of your customers are new. They are obviously not contributing a significant portion of the revenue. But the folks that we have acquired in the past, who we have curated and they continue to rema in in the system and their engagement actually goes up, which is why you're seeing their order volumes at 230 million orders, right , so that explains th e macro trend. And this is what I was explaining earlier that I expect the ARPU to normalize. It's g oing to normalize at some point

. And that some point, I don't think anybody in the industry can predict when it is, right? Because we are still in rapid grow th mode.

Vineet Agrawal: In fact, one more important thing is to decouple the way we look at the turnov er and then compare it with the ARPU because ARPU is now largely driven by flat fee plan, which is driven by the number of orders placed on our platform , executed on our platform. So it's very important to see how the number of orders is growing. The turno ver in some ways could be misleading because if there is an F&O trade happening, then the turnover constitutes the contract value. So it's always good t o check the number of orders to get a better sense.

Moderator: The next question is from the line of Ga utam Jain from GCJ Financial Advisors LLP. Please go ahead.

Gautam C Jain: I was just looking at your balance sheet. I couldn't understand it properly. So you said sometime back, what is lying in other asset Rs 1,939 crore?

Vineet Agrawal: Rs 1,939 crore . So a large part of it, almost all of it is the cash that we place with the exchanges, in form of margins.

Gautam C Jain: Okay. And you report c ash and cash equivalent, that is cash within your bank, right?

Vineet Agrawal: That would be cash in our bank and the fixed deposits. So equivalent means the cash in some other form, which is fixed deposits. So if you see cash, cash equivalents, bank bala nce put together, which is Rs 53 billion, that would be in the form of fixed deposits and cash and Other finan cial assets, Rs 1,939 crore, almost the entire amount is the liquid cash that we placed with the clearing corporations, because there was a payout ev ent happening in the first week of October.

Gautam C Jain: So we increased cash level at our end, just t o mak e sure that we are smooth in terms of payout, right?

Vineet Agrawal: Yes, absolutely.

Gautam C Jain: That is the reason why the borrowing has gone up sequentially?

Vineet Agrawal: Yes. So part of that was funded through short -term borrowings.

Gauta m C Jain: Okay. And can you help me understand your ESOP cost because it's volatile. In Q1, it was Rs 17 crore. This quarter, it's Rs 22 crore. So on what basis we understand it would be going forward?

Vineet Agrawal: So the ESOP cost of Rs 17 crore in qu arter 1, a large part of it was the grants were done towards the third week of April. Hence, in the quarter 1, the entire 90 days cost w as not there. Now if you extrapolate that cost, it will come to about Rs 22-odd crore, and that's what we've report ed in this quarter. And I said about Rs 30-odd crore would be the cost for the next half year of the grants that have already been done.

Gautam C Jain: Okay. Okay. So Rs 25 crore each quarter?

Vineet Agrawal: Yes, roughly about that. No, Rs 25 crore ea ch qu arter, no. Rs 30 crore would be the incremental cost for the entire half year going forward, H2.

Gautam C Jain: Okay. Got it. And sir, if I look at your number of orders. The September month was significantly higher than July and August. So was there any one-off because we were running at 7 crore order and suddenly, in September, it was 9 crore plus. Just help us understand was ther e any one -off or some event because of that, the order has gone up, or we are consistently going above 9 crore? I mea n, can you just throw some light on that?

Narayan Gangadhar: See, I think the September month, this month was a good month for the mark et overall. But just to keep things in perspective, had the global political situation not being so tense, naturall y, this year, you would have seen most months operate at this number, okay? Because if you look at the history of where the market was 2 year s ago and the rate of growth, the growth got muted from its normal rate of growth, it actually got muted because of the geopolitical climate. So we feel what is happening is, at a macro level, India has been one of the few countries, in fact, I would say, in developing economies, perhaps the only country, which has operated with a very high degree of economic resil ience and very good fiscal policies by the Reserve Bank of India, which has helped us kind of deal with these headwinds in a much more better manner. This is why capital markets, the impact is not as high as you see elsewhere.

So the rate of growth, I don 't think anybody can explain to you, if there is any one event that has caused it? No. In fact, if you look, the fourth interest rate hike ac tually went on September 30 , right. So, if you look at the history, the RBI has been doing it , almost all of those h ave a ctually protected our country against severe inflationary pressures and severe fiscal pressures. So I think what you're seeing in the market, this is a way of the market to reward and kind of show that trust back in our entire financial ecosystem. Tha t's really the only explanation that at least I have to this. And there's no other macro trend which has changed.

Gautam C Jain: It's cl early a normal number, right?

Narayan Gangadhar: Yes, there's nothing unique that has happened except that the count ry ha s done a good job.

Gautam C Jain: Okay. And the final question is, we have provided some reversal of margin penalties , which we charge to the client around Rs 16 crore, Rs 17 crore. That is one off, right? That is not recurring and that won't come in Q 3, Q4 , right?

Narayan Gangadhar: No, no, that's not a recurring item. No.

Moderator: The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mittal: Congratulation on a great set of numbers. Sir, a couple of ques tions from my side. Firstly, on the marketing spend. So in FY'22 the marketing spends were close to about Rs 300 crore which found about 55 % of your admin and OpEx, right? So what percentage of your marketing spends are fixed in nature. So if your customer additions go to zero right in a hypothetical case, even then how much would we continue to incur? And the second one is with
 regards to this question was about what proportion of our customers are now coming from the organic channels .

Narayan Gangadhar: Okay. So 2 questions. I'll go one by one. First is, on the marketing expense, see we don't divulge the split o r we don't talk really about how we don't talk about the makeup of our spend in a public domain, okay . So this is where our key c ompet itive intelligence and our strategy is kind of playing out in those numbers. So obviously, for obvious reasons, I cannot tell you why and what and what not.

Now let's talk about I guess your important question is what is the degree of elasticity in t he ma rketing spend. The elasticity is almost 100%. In the sense that, yes, there is some residual spend which is there month -over-month, obviously, for example, things like brand. We cannot just turn that down to zero, right . But 90% of whatever we spend e very month is elastic by nature and by nature it is dependent on market conditions, which we continue to monitor and demonstrat e. I want to have Prabhakar Tiwari, who is our Head of Marketing and Growth. I wanted to just add a few things there. PT Over to you.

Prab hakar Tiwari: Thanks, Narayan. See, we operate in a competitive market, and you know our venture -backed competition, the y are also hungry for growth. And we have been keeping on the top notch in terms of incremental acquisition and we are going after marke t share. So of course, our marketing spends will be a higher percentage of our cost. But I agree with Narayan that it's 100% elasticity as far as our marketing spends are concerned, there are basic levels of maintenance level of spends, whic

h are requ ired and rest of it
directly goes into brand building and getting better and more incremental market share. And we have a gro wth path where we want to be number one. So this marketing spends , we are very efficient on that, as Narayan already

pointed out. So th at's what I wanted to comment on.

Sahej Mittal: Sorry, I respect the confidentiality. But just to get a sense, maybe so me flavor around what percentage of your customers are coming from the organic.

Prabhakar Tiwari: I mean, we cannot comment on the individual makeup number, but I can tell you that this has gone up and it's on a higher double -digit number.

Moderator: The next question is from the line of Darshi l Pandya from Fintrust Capital. Please go ahead.

Darshi l Pandya: Sir, as we have seen our comm odity and F&O segment share going up, but one is that where do you look at this stuff? And other is the cash segment part, which we have seen a degrowing stay or you can say a stable part. So can you throw some light on that? Where do you see in the n ext f ew quarters?

Narayan Gangadhar : See, we don't see the mix between these 3 segments change dramaticall y within the next 2 quarters. And that's largely because as we have discussed, our Super -App strategy is just going to materialize in this quarter. Th is quarter, next quarter is investment time for us. We are going to be launching the Super -App. We are goi ng to launch new journeys. So as of this point, there is no product impetus to actually change the composition of F&O to cash as such. So I expect thi s cur rent split to kind of remain the same or within the same standard deviation. If the standard deviation is 5%, then you can do the math on what it will be, right? So I think it will continue to be within these bounds.

Now obviously, as we have already commu nicated, our long -term strategy, however, is to introduce more diverse financial products, which will eventually have an impact on the revenue streams, which you have seen today. But today, we are not ready to have that conversation because our very f irst leg of the journeys has not gone like from a product side.

Darshi l Pandya: And sir, one m ore question. We have around 28% of the population, which is on a young side, or we can see a major population coming into the younger side. So do you see the ad dress able market, I saw the investor presentation. But do you see the numbers going much higher than what is anticipated in the investor presentation part?

Narayan Gangadhar: That is an excellent, excellent question. To be honest, I am 1,000% bullish on this b ecause my personal prediction is that, that number is only going to explode, right . Becau se of exactly the reason that we have been discussing in this call, right . You have a captive customer base who's already digital, the cost of acquisition in the sense the cost of learning is kind of next to zero, and they are already familiar with the in struments available in the market. Now maybe they don't really understand the full scope of those instruments well because they're still learning. But my sense is that, as Prabhakar was saying earlier, with Tier 2, 3 and then eventually 4, 5 and 6 opening up, my belief is that the numbers will be actually higher. But of course, for when we do the math, the only back test ed like normal based on our line of sight is only related to the markets that we operate in today. We don't really try to extrapo late more than where then what we know we can get in and make a difference right .

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capi tal. Please go ahead.

Sarvesh Gupta: Most of my questions have been answered. Just 1 thing on the expense side and the flexibility that you now have maybe because of the launch of Super - App, which has already been done. So

in terms of the major incrementa l
spends on your OpEx side, how much more flexibility do you see now? And is it that we should take this as a new norm in terms of the OpEx that we have? Or there are some big chunky items that you foresee in the coming quarters or years?

Narayan Gangadh ar: Yes. So Sarvesh, see, we are a company that is growing, okay? We are not a Hindu stan Unilever or anything like that. We are not a commodity shop. We are a fast -moving growth company. If you look at the next 5 years of the company, it is going to be in an aggressive investment phase. So the metric that we hold ourselves to is really th e operating margin. At the end of the day, whether the operating expense goes up or even if it goes down or whichever or it's stays same , right? What I am looking at is t op line and the OPM. Within those parameters, if that means on an absolute level, if the revenue continues to go on a tear, and if I'm spending even 2x more, I think as far as the business is concerned, it still doesn't matter because we are maintaining abso lutely healthy and a growable business rate.

So I was saying given that we are in this investment phase for the next 5 years, I see us continuing to build out multiple products, multiple portfolios. And to that end, I also see that our operating experiences , our operating expense will continue to reflect that. But at the same time, we are h olding ourselves to the 45% to 50% OPM. And that's really the overall metric that the business is going to be, that's the framework in which we are operating the business. So the actual absolute number will go up or go down, I don't think that's very relev ant.

Sarvesh Gupta: Sure. So that is well understood that if the revenues were to go up on a tear, then you can rapidly expand your OpEx as well. Just wanted to understan d that do you have that flexibility on the other side. So for example, if we were to see headwinds coming through because of macros or anything. Do you have that enough flexibility or the levers in your operating structure to also maintain that sort of mar gin?

Narayan Gangadhar: Correct. That's a very good question. And I think here, the proof is in the pudding, right . We have been sharing our numbers for the last 6 or 7 quarters. If you go and look through all the quarters, there have been cycles
 in which the VCs have pumped in a lot of cash. You yourself can see that look at last year's number, you see our margin when the VC community was going guns blazing on the acquisition route. But we have stayed the course. And today, when the VC funding has dried u p, ou r strategy is still the same. So if you look, I can answer your question just w ith the last 18 -month data that we have already presented to you, presented in our financials.

Now going forward, obviously, from what I see, the only real headwind that we do need our strategy at this particular point is that there is some macro event that happ ens, which is complete ly not within our control. But from my perspective, our mission is very clear. We have to get to a pole position in equity and start introducing ot her w ealth management journeys within our Super -App. So to that end, there is no oth er extraneous tailwind , which I see that is working against the industry or against the business we operate. So this is at least my 2 cents on the whole topic.

Sarvesh Gu pta: Understood. There was recent news of the regulator might be considering, ASBA s ort of a structure when it comes to the maintenance of excess margin at the client level. So do you have any comments to offer if that were to be implemented, of course, in F&O, there is a requirement of a margin. And so from your understanding, of course, I know that this is not yet implemented, but if this were to be implemented, then what can be potential impact on our interest

income and other revenue line items.

Naraya n Gan gadhar: See, the ASBA thing is an eventuality, okay . It's going to happen. And I feel that it is one of those regulatory changes, which is going to increase our market penetration. It is actually got to help us accelerate it because what has happened is that SEBI has created a n excellent safety net. They have created a very good safe ty net that eliminate d every margin of error from the broking side. And my hats off to them because they have done their job and when this regulation gets imposed and when i t com es to ASBA , as in our business, we now have to come up with clever and intere sting ways from a product perspective to continue to drive that to build on that innovation. We used to do funds pay out. Now this is the first time it went like October 7, we had it right.

We harnessed all our energies and to our very surprise the very n ext Monday, we actually ended up trading more than what we did the previous Monday, because we channelize their energy from the product side, from the tech side, we introduc ed be tter product features, better journeys that lets the client engage continuousl y on a continuous basis . Now similarly, with ASBA, yes, there will be some loss to interest income. Now we have not done any quick math, which gives how much it is, maybe Vineet can comment on it. It doesn't look that material at least as at this point. By then, I think we will continue to innovate on the product side. We would have had multiple journeys live. So the composition itself would be very different. Vineet, do you wa nt to add anything here?

Vineet Agrawal: Actually, it's very difficult to for ecast anything. This entire concept is at a very nascent stage. Let us have some clarity around it and the time lines and perhaps then we can do some maths and come back wit h som e numbers. But today, it's very difficult to quantify anything.

Moderator: The next question is from the line of Anshuman Jain from ICICI Securities. Please go ahead.

Anshuman Jain: So I had a question regarding the Super -App launch. So as you said, this is going to happen this quarter on the Android app. And one of the metrics which we should see ideally is improvement in activation ratio. So if you could share the outlook on client addition and the activation ratio in FY'23 and FY'24. That is my ques tion.

Narayan Gangadhar: Yes. See, what I see is that, obviously, the engag ement, right . I think your question is mostly around the engagement. So what I see is that as the app

 launches, it generally takes about 2 quarters for the app to mature, okay . This is true for any application, not just our application. And case in point , if you look at Flipkart's app, if you look at the PhonePe, I mean every major tech company, there is a baking period for this app.

Now what we are seeing is that in our gestation perio d, call it baking period that we do post launch, I expect the numbers to continue to remain the same. I expect no major change on either the activation journey or anything of that sort, whether it is 15 -day activation or 1 -month activation or 1 -year activation. I don't expect a lot of movement largely because customers are getting acclimatized , but as the product scales, as it gets to 100% rollout and such, I do expect that, over time, the level of engagement will go up. Now in absolute terms, I can't quant ify it for you what that would look like because our clie nt base also will continue to accelerate at the same pace. But if you were to just look at a macro level, I think you can expect these robust numbers to continue.

And historically, we have done a phenomenal job on the activation side. We were only at some where in the 30% in the low 30s or even late 20s as late as 1.5 years, 2 years ago, whereas you look at the number now, I mean it's substant

ially higher. And that's largely because of improvemen ts in product and tech. And that is likely to continue. That t rajectory will continue.

Anshuman Jain: And in terms of the 100% launch, so all these parameters, the progress that we have, you have been giving periodical update. Obviously, which has been very he lpful. But by FY'23, if you have the full launch of the a pp, right? So the benefits which should start accruing from FY'24 on a steady state basis?

Narayan Gangadhar: The launch will be done by FY'23. I think you're spot on about that. And what I see is post that, we will be starting to launch other journeys, r ight. And I'll have Ankit, who is our Chief Product Officer, just comment on this. Basically, at a macro level, we are obviously building the Super -App platform to launch other new journeys. And I'll let Ankit just talk about how he's thinking about the long-term growth there.

Anshuman Jain: And also, other new journeys if you could also share that, what are those specific journeys chronology as such? Ankit, yes if you could just take.

Ankit Rastogi: So as you heard, right, we are pretty clinical in the way we are launching. iOS we have already done, and we'll be starting with Android very soon in this quarter. And as I mentioned, it will be done by FY'23. The way we are looking into this is that the first asse t cla ss, while we are robusting our equities after that would be mutual funds. We have already informed this, the direct mutual funds. And we will closely monitor each of this, right . And this is the fundamental definition of a Super -App, how better we ar e abl e to cross - sell engage across the se asset classes, right . And then this is cross play across all the customer points . And I think the one metric, which was mentioned in the earnings call, which continues to be our obsession is the Net Promote r Sco re. So we closely monitor our feedbac ks. We'll continue doing that. And as a result, I think this rollouts will be monitored.

Anshuman Jain: So if I summarize you, just 1 last thing from my side. So basically, in FY'23, we will have a full launch and in FY'24, we would have some of the benefits of the launch , and in terms of new products, it would be the MF part, which would be activating in a big way in FY'24.

Narayan Gangadhar: Right, tha t is absolutely correct.

Moderator: The next question is from the line of Kajal from iSec Services Private Limi ted. Please go ahead.

Kajal: Yes. So a couple of things, sir. So I think it was initially also discussed that the activity level has gone up because you have seen orders are going up and also the number of per ticket size per order has also gone up
 accord ingly because volumes have go ne up, but the activation rate per se in that way is quite low. So any other specific reason that you have seen why activation is only 200,000 versus that 12,00,000 new additions?

Narayan Gangadhar: Yes. So let me actually giv e you first a macro answer, a nd then I'll turn it over to Devender, who can give you a little bit more deeper insight into how we are looking at it. See, first at a macro level, our overall activation numbers are still within the healthy range that we are personally tar geting, okay. So from that perspective, if you look at the proof is in the total number of orders. Actually, ultimately that's the proof of the pudding right . If you look at total number of orders, that's steadily grown, and if you look at the engagement, that has also steadily grown. And clearly, that is visible in the bottom line numbers. Now macro level, obviously, because of the current economic climate, there has been a headwind against it. I'll turn it over to Devender now who can just shed some more light on it and give us a perspective on how we are thinking about activation and how does he see this trend changi

ng going forward . Devender, over to you.

Devender Kumar: Yes. Thanks, Narayan. Hi Kajal. I think there are 2 qu estio ns. One on the activit y levels and the second one is on the activation rate, I think if you look at the activation rate in the last quarter at an overall industry level. I think what Narayan has highlighted, again, I will say the same thing is basical ly the market conditions ha ve been muted. I know large activation is constituted by the large number of investments and investment opportunities that are existing because of market conditions. So we have seen industry wide difference and change in the last quarter, particularly whic h is also reflective with us. The difference can be that the whole industry has gone down more steeply, where as now we have been in the positive side, reflect ed by the positive active clients that we have added in the las t qua rter, which is around 1.6 lakhs where the industry has actually de -grown, so it actually talks about at an overall level, at an overall level, what are the market conditions and opportunities looking like? And how are the participants participating.

And w e have seen that we ha ve done better than the industry. That's from the point of view on activation side. And I think a lot of activities that we do is to teach clients in terms of what is the right reason for investments, what are the right ways of i nvest ment with the right in struments of investments. And obviously, there is a wholesome industry level , which guides on how people will actually be propensive towards taking positions in that. So that teaching has remained robust. We have found that a lo t of people are still engag ing at a very, very high level and at the various kind of teaching activities, instrument activities that they're doing. And the instrument that we're bringing in terms of investment are really, really showing high engagement and which we will continue doi ng. So there's people who are finding the right opportune time, which as the industries, again, I think, I believe, as it goes up, will bring back all the people in a much more larger phase. So that should address the same part o n the activation side.

And on an activity level, as we can understand that why the orders are going up. It is like the opportunity in terms of for the trading clients has been very high in the last quarter. So firstly it is reflecting in the ticket size o f the client or let's say t he active level of a client, which is actually creating a lot of a large number of orders for us. So there are 2 sides to it, and both are not reflected in the last quarter. And we see a very opportune time because as the Indian econo my has been resilient in these tough times, this will reflect it more prominently as we go ahead, where more people will find the right reasons to invest in more towards the Indian markets. So that's where we are going to Tier 2, Tier 3, Tier 4 market s, wh ich are maturing to th ese understanding and taking positions in them. Hopefully that addresses your question in terms of how activation rate is actually moving.

Kajal: My second one question is on during the conversation, sir, answered some terminal value you see no change in your Tier 2, 3 or like 1 clients. So is it in terms of like traded value that you see that Tier 1 client or a Tier 2, 3 things

 the same number? Or is it that ARPU provided by these clients is the same across geographies. So what is your reading there?

Narayan Gangadhar: Yes. See, generally speaking, right, they are all within the same ball, for example, the Tier 1s always have a greater concentration of greater than or folks that are greater than the age of 30, and who are profes siona ls. If you take t heir ARPU, obviously, it will be higher than somebody who is equivalently placed, who is in a Tier 3 city in the same age group, right

. So
there are differences like that. But those differences are not material enough for me to change our product strategy or our acquisition strategy. They are just simply data points which we see, and we continue to hone in our acquisition play based on them. But macro level, there isn't much difference to answer your question, very precisely. It's with in the same margin of error .

Kajal: Okay. And lastly, 1 question on since you are one of the highest in F&O space. And even now also in this market, you saw a share rising. Did you do any study since you have retail customers that what will be the share of making profit versus m aking losses , if 100 are t rading what will be that ratio?

Narayan Gangadhar: Yes. See, I think let me first answer this question. This is a very philosophical question. We have to answer it a little bit. We have to look at what our visi on is as a company, okay? First of all, Angel is a platform. Our job is when customers come on the platform, we have to educate them. We have to curate them, and we have to give them the right kind of information to make the right decision. Now this is wit hin o ur responsibili ty is to provide enough guardrails in the system , so the client doesn't accidentally do something stupid, okay. So when folks come on to our system, we take extra precaution to make sure they understand the market. We teach them. We are the only company to day, the only 1 in fintech that invest so heavily in education. And the proof is if you go look at the number of Angel videos, there are more than 6,000 videos that are there that cover everything under the sun, right from option strate gy to intraday to ho w you can make money to what is the stop loss order, what is the product. So we go into a lot of detail to educate.

Secondly, on the product side, as Ankit told you guys just a few minutes ago, right. The product is built with enough g uardr ails, so that the customer understands what are the parameters within which he can exercise his financial outcome. If you look at InstaTrade, which is one of our most popular features, it is the only, only, only feature in the market where you can act ually quantify your risk even before you make the first investment. So our job is to provide these kind of tools, provide these kind of levers. Now beyond that, what happens for a client perspective, how many of them make money, how many of them lose money this and that, tha t actually, in many ways, is not even ethical for us as a company that we will look at, because it's not some, it's an intrusion into their privacy, which we don't want to do, right .

So our is, as a platform, build the right platform, g ive the highest le vel of transparency, give clients enough tools using machine learning and AI, so they can understand how building and wealth, how equity trading fits into their overall wealth management study. This is why we are investing in the Super -App bec ause some of our customers are, in fact, a lot of our customers want the mutual fund product, it's not like we woke up one morning and said, we need to do mutual fund. Our customers have asked us for it. We are coaching our customers that you should b e inv esting in bon ds. You should be investing in corporate bonds, right . We are the only ones who have even a product around that. So our job is to give this diversification. Then ultimately, the client can decide based on their level of risk, what works and wh at doesn't w ork. It's a little long -winded answer, but I wanted to give you the philosophy behind how we are approaching the company.

Moderator: The next question is from the line of Sumit Jankar from Motilal Oswal Financial Services Limited. Please go ah ead.

 Sumit Jankar: My question is related to commodity market share. So from last year, it is increasing every month. So what actually has

helped you in growing your
ADTO . Also, you are acquiring now half of the market share. Can you please put som e light on this? And my second question is, what is your current currency market share?

Narayan Gangadhar: Yes. So I will defer this over to Ketan, who heads our commodity business and he can give you an idea on what's going on there. Ketan, over to you.

Keta n Shah: Yes. Thanks, Narayan. So commodity, see, if we look at commodity market, largely the industry market, the volumes are growing in options, which is a new product launch from MCX side. And we were the first entrant in terms of providing options on mo bile, mobile plat form and a web platform. That's the large reason for us to gain the market share.

Narayan Gangadhar: Yes. So as Ketan just said, that sums up very, very well actually. And as you said, in futures the market share is kind of constant for u s and options may obviously increase. And I think one of the things, Ketan, correct me if I'm wrong, right? You also have built a mobile journey, right, in the options for this since last year or something like that? Is it that since we launched that.

Ketan Sh ah: Yes, 2 years.

Narayan Gangadhar: Yes. So that's another thing. It's a combination of that product as well as what Ketan just said.

Moderator: Thank you. The next question is from the line of Sakshi Goenka from Soham AMC. Please go ahead.

Saks hi Go enka: Congr atulations on good set of numbers. I had a quick question around your MTF book per client exposure has gone up significantly. I think few quarters back it u sed to be in the 45,000 to 50,000 range . It's now trending more towards at much higher leve l. So I just want ed to understand, is there some kind of deal statement ? Or do you have seen a trend of higher client exposures.

Vineet Agrawal: Yes. So yes, per client exposure is growing. But if you see the overall spread of the book, almost 80%, 84% of the clients are less than 1 lakh in exposure, I think, about 10% or 11% are between 1 lakh to 5 lakhs. So that I think is a healthy trend. And this is a complementary product bridge financing kind of arrangement for clients. So if they see an opportunity to le verage their margins and take some exposure in some stock where we see some value in between, let's say, 30 to 90 days they opt for this. In terms of the churn and all, so this book churns in about 45 to 60 days. So there is not a very long exposure in this book and I d on't see any reason to be concerned about this increase in the exposure per client.

Sakshi Goenka: Understood. Another question is since the industry has slowed down significantly, but you guys are doing a great job in terms of customer acqui sition. Has our CAC per incremental customer gone up vis -a-vis what we were spending maybe 6 to 8 months back? Or you think we are pretty much okay in terms of CAC.

Narayan Gangadhar: Yes. So see, as we discussed earlier, right, even a year ago, we w ere a iming to bre akeven in 6 months. And even today, we are breaking even in 6 months. So from a risk -reward adjusted perspective, I think the materially, nothing has changed. Now the actual numbers, some months, as you know, like during IPL time, CAC actu ally does go up. But then we acquire it in a way that we know we can still recoup within 6 months. So from our perspective, really, nothing changes. Prabhakar, if there is anything you want to add here, you can just add if you want to throw some light. PT Over to you.

Prabha kar Tiwari: So Narayan, I think what you commented is a absolutely right .

Sakshi Goenka: Understood. And just one final question from my end. Any outlook on your tech spends post this year once your Super -App has been launc hed a nd the ball is rolling, do you think expense will start to come down going forward?

Narayan Gangadh ar: Yes. See

, as we said, now we are in an investment phase , right? So as of this point, we don't expect that we are not optimizing for conserving our expense s. We are optimizing for growing our top line. That also includes growing other businesses that we want to get into. So at a macro level, we are trying to keep our stated goal is to keep the company operating between 45% to 50% OPM. Some months, it might b e hig her. Just as the last few months ago or last quarter, I think it was a little over 50%. It has even gone as high as 56%, right . And some months or some quarters, it might go below 45% also, right . But that said, we will always normalize it to betwee n 45% and 50%. And to that end, yes, as we enter next year, I do expect the operating expenses to increase, but at the same time, there will be a diversification, there will be enough other new businesses that we need to build out, we need to scale. And I still expect the OPM to be within the same number that we have just talked about.

Moderator: As that was the last question that the management could answer today. I would now like to hand the conference over to Mr. Narayan Gangadhar for closing comments.

Naraya n Gangadhar: Yes. Actually, I would hand it over to Dinesh Thakkar for his closing comments. Actually, let me just take it, okay. So again, finally, thank you, everybody, for joining us on this earnings call. New Age In dia is gradually understanding the potential of equity markets as stacked up against conventional risk -free and physical assets. In times to come as the ecosystem scales up and more investors gear up to learn and better understand benefits of long -term inv esting, coupled with continuous development of mobile and Internet infrastructure, I am very confident that more individuals will have larger wallet share towards financial assets. We have a clear pathway laid out to provide access to capital markets to a large population. Our endeavor is to garner a large share of the 65% population that resides in Tier 2 and Tier 3 cities.

Our superior products give us an ability to stay ahead of the competition, the resilience of our business as demonstrated over many q uarters, gives me a lot of confidence about the growth trajectory going forward. Angel will be the torchbearer of equity proliferation in the country. We continue to endeavor to partner our clients in achieving their financial goals while improving their overall investment journey. We have successfully demonstrated the superiority of our digital strategy and plan to augment the same as we move forward to attain the number 1 position in the industry. I am certain this goal is not too far away. I wish to than k all of you for your continued support, confidence in Angel One. For further inquiries and queries, please do reach out to Hitul Gutka, our Head of IR, or SGA our Investor Relation advisers. I wish you all a good day ahead. Stay safe, stay strong. Thank y ou.

Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2023

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www.angelone.in Angel One Limited
(Formerly Known as Angel Broking Limited)
CIN: L67120MH1996PLC101709
SEBI Registration No Stock Broker: INZ000161534,
CDSL: IN -DP-384 -2018, PMS: INP000001546,
Research Analyst: INH000000164, Investment Advisor: INA000008172,
AMFI Regn. No. ARN –77404, PFRDA, Regn. No. -19092018.

To,
Listing Department
National Stock Exchange of India Limited Department of Corporate Service
BSE Limited
Exchange Plaza, C -1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Symbol: ANGELONE Scrip Code: 543235

Dear Sir/ Madam,

Subject: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on January 2, 2023 , intimating of the earnings call with analysts and investors to be hosted by the Company on January 17, 2023 , please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same .

Thanking You,

Yours faithfully,
For Angel One Limited
(Formerly Known as Angel Broking Limited)

Naheed Patel
Company Secretary and Compliance Officer
Membership No: A22506

Date: January 20,2023
Place: Mumbai

Encl: As above

NAHEED
REHAN PATELDigitally signed by NAHEED REHAN PATEL
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Angel One Limited
Q3 FY23 Earnings Conference Call

January 17, 202 3

MANAGEMENT:
Dinesh Thakkar

Chairman &
Managing Director Narayan
Gangadhar

Chief Executive
Officer Vineet Agrawal

Chief Financial
Officer Prateek Mehta

Chief Business
Officer Dinesh
Radhakrishnan

Chief Product &
Technology Officer
Jyotiswarup
Raiturkar

Chief Technology
Officer Ankit Rastogi

Chief Product
Officer Prabhakar
Tiwari

Chief Growth
Officer Ketan Shah

Chief Strategy
Officer Subhash Menon

Chief Human
Resources Officer
Dr. Pravin Bathe

Chief Legal &
Compliance Officer Saurabh
Agarwal

CXO Business

Management Bhavin Parekh

Head of
Operations, Risk &
Surveillance Devender
Kumar

Head of Online
Revenues Hitul Gutka

Head of Investor
Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Angel One Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity, for you to ask questions, after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero, on your touchtone phone. Please note, that this conference is being recorded.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company, as on date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to pre dict.
I now hand the conference over to Mr. Hitul Gutka. Thank you and over to you, sir.
Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q3 FY '23 financial and business performance. The recording of today's earnings call and the transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on our website.
For today's call, Angel is represented by Mr. Dinesh Thakkar, Chairman and Managing Director; Narayan Gangadhar, CEO, Vineet Agrawal, CFO. We also have the senior leadership team of Angel, along with SGA, our IR consultants. We will give you a brief overview, of the operational and financial perfo rmance for the quarter gone by, and the floor will be open for Q&A thereafter.
As a reminder, I would like to inform you that, the company does not provide any operational and financial guidance. There may be some forward -looking statements during the call , which must be viewed in aggregate, with the risks that the company faces.
With this brief introduction, I now invite Narayan Gangadhar for his opening remarks.
Narayan Gangadhar: Thank you, Hitul, and good morning, guys. Good morning, everybody. First, I would like to wish everybody on the call, a very happy and prosperous New Year.
In 2022, India outperformed global markets by approximately 37%, which reflects government's economic measures, to facilitate business. Even the World Bank, in its recently released report suggested that, India is expected to be amongst the fastest - growing economies and expects India's monetary and fiscal tightening, to be less pronounced. All of this will drive India's growth of capital markets, which has more than 108 million demat accounts, as of December 2022.
India’s young demography strongly favors technology assimilation and Angel is well positioned to cater business population, through our digital products and engagement tools. In Q3, we rolled out the android version of our Super -App, to the first batch of our

clients. With this, the app is now available on all platforms, iOS, Web and Android. The Super -App, builds the bridge for us, to become long -term collaborators for o ur clients

in their journey of wealth creation. Since Android is a large base for us, we have been very scientific in this rollout.
To give you some color on scale, in terms of daily logins , with only 15% rollout in December 2022, Android is 1.2 times , that of iOS in scale. I'm very happy to share that, this transition has been steadily gaining acceptance, with our clients. The customer council, which was formed in Q2 of FY '23, proactively assessed client experience and received feedback, post the Android rollout, which were incorporated into the app. We recently green -lighted, the proposal to scale out the launch and deployment to the entire population.
So, let me give you some feelers, about the initial feedback of our Android Super -App. The app has been arch

itected, to handle plan et scale, and I'm pleased to share that the app functioned extremely well, when the floodgates were open and large volumes of orders were seen in Q3. The app recorded an uptime of around 100%.
Typically, there would have been so me softness, when such migration happens, but we have not seen any. Order per client, for those migrated to the Super -App versus the vis-à-vis, their activity on older app, continues to hold up. The Play Store rating of 4.2 as of December, reflects the hig h level of acceptance by our clients. Early trends in overall NPS, demonstrates superior client experience and higher satisfaction, as compared to the older app.
Now we continue -- we also focused on incorporating changes to adhere to various compliances, like implementing two factor authentication, which offers an incremental layer of security, to all our clients and making changes to display trade and charges upfront. We successfully completed the second round of clients' funding payout, without any impac t to our business.
We built KYC 2.0 to experience for our web, mobile clients from scratch. In Q3, we also introduced mutual fund services on all three platforms of our Super -App, thus making the transition of the app, to become a True Super -App. Efforts undertaken in Q2 to revamp our website are paying off as well, as witnessed by high web traffic in Q3 FY '23.
On the tech side, we continue with our ruggedisation effort. We rewrote multiple back -end APIs. We removed various inter-dependencies and hardened our systems, and we deployed engineering excellence pattern, by automating our processes and various tools. We also deployed new machine -learning algorithms, to improve the effectiveness of our online campaigns.
Our focus on data science, artificial intelligence and machine learning, is yielding positive results across acquisition, onboarding, engagement and communication. We

continued to acquire close to one million clients, even in a tough market, thus taking our overall cl ient base to 12.5%. More than 95% of the clients, were acquired from Tier -2, Tier-3 and beyond. With this, our share in India's total demat accounts expanded to 11.6%, as of December 2022.
Angel has been amongst the few players, to consistently maintain a positive trajectory, in active client base. We have improved our market share, to a record high of 12%, as of December 2022. I am extremely happy to share that, we also have now attained the third position, amongst all brokers in NSE active clients. The ro bustness of our business and superior client fabric, is demonstrated from our turnover market share, which stood at 21%.
Our clients transacted an average of more than 14 trillion daily through 226 million cumulative orders in Q3 FY '23. December was our s econd best month, in terms of average daily orders and best in terms of average daily turnover. I'm happy to share that the Board of Directors, have approved the distribution of 35% of our post-tax profits, as a third interim dividend to our shareholders.
With this, I now request Mr. Vineet Agrawal , our CFO, to brief you on the financial performance of the company. Over to you Vineet. Thank you.
Vineet Agrawal Thank you, Narayan. Good morning, everyone. I'm pleased to share with you that, we have yet again reported strong operating and financial performance, despite a challenging environment. In quarter 3 of financial year 2023, we reported our highest quarterly profit of Rs. 2.28 billion. Our gross revenues grew nearly 2% sequentially to Rs. 7.6 billion, de spite to lesser trading days, during the quarter.
Gross booking income continues to remain the mainstay revenue driver at Rs. 5.1 billion, contributing 67% to our gross revenues. Interest income, which includes interest

on our client funding book and inte rest earned from deposits, with exchanges, grew 10% seque

ntially, to nearly Rs. 1.4 billion, contributing 18% to our gross revenues.
Better yields on deposits, had augmented this income stream.
Ancillary transaction income de -grew by nearly 4% sequentially to Rs. 627 million, accounting for over 8% of our gross revenues. Depositary income contributed about 4% to our gross revenues, at Rs. 270 million. Income from distribution of third -party products, grew nearly 17% sequentially, due to up -tick in IPO offer ings accounting for 1% of our gross revenues. During the quarter, we have reported a one -time capital gain of approximately Rs. 90 million, arising out of the sale of an unused office property. This forms a part of our other income.
Our quarter 3 financial year 2023 gross broking revenue, is further split as follows: Share of F&O segment remained stable at 82%. Contribution of cash segment came down marginally to 12%. Share of commodity segment grew to 5% and share of currency segment remained flat at 1%. T he average revenue per client, which is

calculated on the entire quarter ending client base, stood at Rs. 398. This trended lower, primarily due to a higher share of new -to-market clients. These clients initially have a subdued activity level, which normalizes over time. Despite this, we have been able to maintain our growth and profitability matrix.
On a cohort basis, we have seen revenue per client mature, as they progress into year two and onwards, on our platform now , in contrast to our pre -digita l model, where year two revenue per client, was significantly lower than year one. Since we have been acquiring clients, at a robust pace over the last two years, their share in net broking revenue continued to dominate at 66% in quarter 3 of FY 2023.
Here , I wish to draw your attention to the fact that some of our older clients, are now moving into the next aging bucket, of two to five years. As a result, we are witnessing an increase, in our net broking revenue from this cohort, thus indicating longevity and stickiness of clients, corresponding to their activity levels.
Our net broking revenue under the flat fee plan continued to witness strong momentum, contributing to a significant 86% of our overall net broking revenue. Share of total net income from ou r flat fee clients, to the consolidated total net income, grew 1.3x to 86% in quarter 3 from 67% in quarter 3 of FY 2021.
In quarter 3 FY 2023, our overall opex, net of fees and commission payout and finance cost, was lower by about 0.4% quarter -on-quarter . The profit margin for the quarter expanded sequentially to 53.9%. While we have consistently delivered healthy operating profit margin, we believe a more sustainable margin profile, for our business, is in the range of 45% to 50%. With the launch of the android version of our Super -App, we plan to spend more, on its promotion for the next few quarters.
Depreciation of assets for the quarter was marginally higher at Rs. 80 million, on account of capitalization of certain assets. Our consolidated earnings p er share for the quarter, was Rs. 27.4. At Rs. 800 million, this is the highest absolute dividend payout, by the company, in any quarter, taking the total dividend across three interims for FY 2023 at almost 97% of the total dividend payout for FY 2022.
On the balance sheet side, cash and cash equivalent increased to over Rs. 62 billion. Period ending client funding book was at about Rs. 13.8 billion. Our period -end borrowings were Rs. 15 billion. These were utilized towards financing our client funding book, margins with exchanges to fulfill the 50% cash margin requirement, on behalf of the clients. Our investment in the Super -App and commissioning of new data center, led to an increase in our fixed assets to Rs. 2.3 billion as of December 2022. Our net worth increased to over Rs. 20.6 billion as of December 2022. The nine -month FY 202

3
annualized return on equity stood at 45.6%.
With this, I conclude the presentation and open the floor for further discussion. Thank you.

Moderator: The first question is from the line of Swarnabh a Mukherjee from B&K Securities.

Swarnabh a Mukherjee: Two questions. So, the first one is, wanted your comments on the interest income part, the number has come hi gher sequentially. So, if you could split this out between the interest yield and then the margin funding book and that on the deposits with the exchange and provide comments on how your, you know the rate levied on the MTF book, has it moved or have you p assed on any kind of borrowing cost increases to your customer? And also comment on the NIM of this, part of the business? So that would be my first question.
Narayan Gangadhar: Vineet, can you please take this?
Vineet Agrawal: Hi, Swarnabh a, good morning. The overall interest income has -- the reason for the increase is two fold. One, the yields have increased by about 50 or 55 basis points and the overall quantum has increased by about Rs. 550-odd crores. So that's the reason why we've seen the i ncrease in the interest income. The yields on the client funding book remain same at about 18% per annum and the NIM is also similar to what it was in the past, at about 8%, 9% annual.
Swarnabh a Mukherjee So just to clarify sir, so when you say that the yie lds have increased by 50 -55 basis points, since you are saying that...
Vineet Agrawal : On the deposits
Swarnabh a Mukherjee: What would be the quantum of the deposits that you hold with the exchange in Q3?
Vineet Agrawal : It varies. So on an average, it would be about Rs. 4,000 -4,500 crores.
Swarnabh a Mukherjee: Secondly, on the number of orders. So I understand that this quarter, we were missing, I think, a couple of trading days. But apart from that, also if we factor that in, I think , given generally the run rate of orders that you have per day, I think we would not have done any significantly higher than what we would have done last quarter, even if there were two more addition al days .
So wanted to know your thoughts on , what is the experience you are seeing on this side? Are the orders now coming with higher number of lots, because your ADTO is increasing? And what are the steps you are taking to increase the number of orders, because I think that is the primary revenue driver rathe r than the ADTO part. So wanted to know your thoughts on this?
Narayan Gangadhar: So see, first of all, as we announced in the results, right, we are at a point where there is a lot of -- there are two trends that are going on. First, there is a macro tren d and the macro trend of softer markets are already visible in many sectors, as well as many of our own competitors also. We are seeing the same kind of trend line, as far as market softness is concerned. Now secondly, what has happened is, in terms of lot size or anything, we have not seen any change. So that has not budged.

Now in terms of people trying to trade and people's activation levels, they are slowly changing, as more and more people try to test the waters, because with rising interest rates, there is obviously a little bit of slowdown in terms of the natural propens ity to enter into the equity markets.
That said, I believe the fundamentals of the business are holding on pretty strong, which is witnessed already in terms of all accounts. So hopefully, that answers your question. But in terms specifically on ADTO, the re has been no -- or lot size, there has been no witnessable change. There are other changes coming to the product, which will influence how our customers experience the broking journey, how do they experience mutual fund journeys and such, which will impa ct the overall order count going forward .
S

warnabh a Mukherjee: What I was trying to understand was that, if we were to focus on the revenue growth side. Then from your comments, I get a sense that , it could be a possibility that given the softness in the overall macro picture, we have kind of come closer to a peak for the broking business.
So I just wanted to understand -- because of the fact that the mutual fund side, we will be doing a direct kin d of a business. So, what would be your focus area on the revenue growth, since broking might be for the time being, might remain a little bit sticky ?
Narayan Gangadhar: No. So I didn't said broking was peaked. All I'm saying is that , in this particular qu arter there has been softness, okay? Broking market, we are at least another decade from it even starting to peak. It's a long -- I expect the next decade to two decades to be a serious bull run for the economy , as well as a serious bull run for also all t he players, and especially digital players in the business. So the long -term future prospects remain extremely strong.
However, what has happened, is given how the dollar has fluctuated in the last three months, it has gone up and down almost by 10% or 15% , just within the last quarter

itself, right? And while our country, while we have stayed largely insulated, there are still peer pressures in terms of how the banking system has responded.
Because of that, obviously, with interest rates rising, people hav e a natural tendency in such markets to go, look to adjusting their risk profile. Naturally, more than people, if you look at the number of FDs that were opened this quarter, it's also at an all -time high, okay? So naturally, there is an inverse correlatio n there.
But what we see, is we see trend strength stabilizing. We see this to be a trend, which will kind of stabilize out, as we especially enter into the budget season, which is coming up in the next month or so. And then again, we expect the markets to revert back to their main state.

So overall, from a macro point of view, I think there is no -- we don't -- at least I don't see any slowdown coming. That said, I think the dampness will be there for a few -- for a month or for a quarter, till the uncerta inty settles down. So that's what I was saying.
As far as mutual fund is concerned, you made a statement that we are going to go with direct, right? And that is absolutely correct. And our entire strategy actually is basically with the Super App , we want to give our customers this diversification to enter and consume new financial products, which today obviously we are not provid ing. So, we expect that with that, the overall stickiness from the app to go up, and the overall trade propensity also to go up.
Swarnabh a Mukherjee: Last couple of questions, quick ones, sir, one would be, whether we should see any kind of impact on your financials due to the T+1 settlement, that's one. And if I could get your comments on how we could see the employee benefit expense, whether it has now come to a peak level, and why a slightly lower tax.
Narayan Gangadhar: I couldn't understand your question. I was not able to hear, it's cracking out. Can you repeat just the first the third question and then we will answer the fourth separately? What was your third question?
Swarnabh a Mukherjee: So one was impact of T+1 on your financial. The second was employee benefits expense, whether -- it has -- we have done Rs. 90 crores. So , should we consider this to be somewhat closer t o the peak, or should we expect even some more inflation there going ahead? And thirdly, tax rate is slightly lower this quarter sequentially. So , any reason for that, and how we should expect it to...
Narayan Gangadhar: You asked three questions in that o ne question. So let me just go one by one, okay? First is, let's start with T+1, okay. T+1 actually, I would like either

-- Bhavin, can you take this call on T+1? What impacts are we seeing from the ops side ?
Bhavin Parekh: Sure, sure, Narayan. T+1 is goin g to be very beneficial for the customers' overall pay - in, pay -out cycle. And marginally, we would see a drop in the margins, which exchange collects on the cash market segment. Today, F&O is already on T+1. Cash market was T+2, and that is where two days of margin used to get blocked , which would get released even fo r the customer, as well as for the brokers. And that would have a little benefit on the overall deposits that we keep with the exchange.
But as far as customer is concerned, T+1 actually becomes very, very beneficial, because every settlement happens on th e next day itself, so that they can take a rational call in terms of -- in case if they want to sell it in the short term, they would be able to do it. So this is going to have a very positive impact overall.
Narayan Gangadhar: And the next question -- and just to actually add to that, from the product and tech side, this actually is a great win for the customer, because it also lets us introduce some interesting journeys, which historically we were not able to do, because the fact that the

processing time has shrunk, it opens up other opportunities for us, to improve the experience. So it's a great thing for everyone.
So the second question was around taxation, the tax rate. Vineet, just can you quickly take that and then I'll answer about the employee cost . Go ahead, Vineet.
Vineet Agrawal: The headline tax rate remained same at about 25% or so, a slight variation due to the impact of deferred tax calculation. But overall, it's in the same range at about 25% for the group.
Narayan Gangadhar: And your final question on employee costs. See, I think the costs are already there.

You've already seen the cost for this quarter. But you asked a broader question. The broader answer is, see, we are currently in the growth phase of our business. We are -- for Angel, th is is just day zero, we are just getting started. We just went public two years back, and we are a hyper growth company.
For the next few years, we are going to continue investing in our people. We are going to continue investing in our hardware. We are g oing to continue investing in our process. That is going to result in extra spend. But we have always said, our goal is to operate the business in the 45% to 50% ballpark of the operating -- we want to keep our OPMs that way.
And so far, we have been succe ssful in keeping it. If you look at the record over the last two years, in fact, we have done an excellent job. It's been, in fact -- this quarter, it's at an all -time high of 50 -plus, 54 actually, right? So our goal is to operate between 45 and 50, and th at's the envelope we should be looking at.
Moderator: The next question is from the line of Sahej Mittal from HDFC Securities.
Sahej Mittal: So firstly, just one clarification on the customer payback period -- customer acquisition costs payback period, is it still holding up at six months?
Narayan Gangadhar: Yes. It is holding up at that -- in the six month range, as you have mentioned .
Sahej Mittal: If that is the case, then the customer drop -off rate seems to be very high, because the new custo mers acquired are turning active at most in the next six months of acquiring them. But the increase in your NSE active clients seems weak indicating that the old -- that the drop of rates for the old customers remain very high. So can you give some comments around that maybe around -- yes so that's the first question.
Narayan Gangadhar: I don't think that your data is correct, but the conclusion is not something I agree with, so let's go one by one, okay. See first thing is that you remember this yea r, when we report the data on ARPU and everything, it's an average data, okay? It's

average over
all our cohorts, which we have acquired till date. Now we have had a couple of events through the year, which were outlier events.

All of us, we went out the great guns during LIC IPO. Including that period, we acquired a lot of customers. And that base, which was acquired during that period, obviously, that base hadn’t performed as we would have liked, because the IPO itself was a damper and post that the coun try never really even recovered from the aftershock of that.
So what we are seeing is, as we continue to scale our acquisition strategy, we continue to focus on those Tier 2, Tier 3 customers and there, we don't see a change in the activation rate at all. In fact, we are still activating close to 50% of our customers within the first 15 days. So I would like Prabhakar to add a few words here in terms of the acquisition side, and I will switch over to Devender, who will answer your question about how the guy s are performing in terms of cohorts. PT, you want to take over?
Sahej Mittal: And maybe I'll just add something to this. So maybe keep aside the addition which you did in the last 12 months, but if you can also talk about the customers which you acquired prior to last 12 months, so more than one year, but less than two years. So how is that customer doing about ? So for example, a customer was doing 10 orders in a quarter, then what's the trading intensity now? So is some reasoning on this ?
Narayan Gangadha r: That is not the thing you asked in the first place. But okay. Different question, no problem. I'll answer that. Okay. See, this question around how the cohorts are doing. I'm going to hand over to Devender to answer in a few minutes here. But overall, w hat has changed, and this is very important for all of us to understand, if we were operating this business with a lens of breaking even in six months, seven months, whatever it is okay.
But fundamentally, we never really had a lens on lifetime value, okay? Whereas now, the company has had more than three to four years of operational data of running in a discount broking, fully digital environment. Do you agree . We have never operated in this model before that. Only last three, four years, we have operated in this model. And we have a lot of data now which shows that the cohort behavior and the revenue from one year to the next is only increasing.
So I will now hand it over to Devender beca use we are trying to shift our acquisition strategy to go from a three months, six months breakeven horizon to a lifetime view. And I'll be talking more about this in the call, but I want Devender now to jump in here and give you some data on how the trend line looks like as far as cohorts are concerned.
Devender Kumar: Hi, Mr. Mittal. I think just to re -corroborate know what Narayan has shared across, when

we look at clients, I think the pockets of growth that is happening in India is coming from Tier 2, Tier 3 and Tier 4 cities , and our focus has remained laser -focused on reaching these places, so that we become part of this growth that is going across .

And we have kept the guardrail of maintain ing the profitability around six months. That is what has happened. So as Narayan mentioned , during the IPO month, we went all

guns blazing and we acquired a lot of clients, who wanted to do LIC IPO. That particular cohort has not performed, similar to other quarters, but that's an aberration.

Coming to second question, how is the 12 -month old c lient really performing? And our data is saying, now since we have data of clients acquired in at least last three years, with a discount broking model, we are able to see that the second year revenue for the clients, who have the second year, is almost si milar or little higher in comparison to the first year revenue of the clients.

So w

e are seeing stability of revenue of the client, as they move to second year, third year and fourth year, and we are seeing a similar trend from second year and third year, these are clients that got acquired during the COVID period , that's why we're not talking about it. But we are clearly able to see that, the behavior of clients is actually stabilizing, from first year onwards. So to answer your question on last twelve mo nth onwards, the behavior of revenue is actually very stable and very encouraging. That's the second part.

On the third part of the question, where you asked about the activation side of things, I think at an overall level, since we are going to Tier 3 and Tier 4 cities, and our activation actually has got very, very robust. What you see from an industry point of view is, overall industry is kind of operating in a very subdued economy environment.

The macro environment actually got very soft actually. And that is what is affecting everyone, not only us. But in that period, what you can clearly see is that, we are kind of over -performing at least compared to our peers. So, our cohort -- these clients acquired in Tier 3, Tier 4, cities are actually activating better, and what Narayan also highlighted.

So actually, from an internal point of view, there is a macro picture of India, where things are little subdued. But internally and from a competition point of view, we are very -very strongly performing, as our m arket share in the industry, actually is going up, which is reflected by the NSE active reaching almost 12%, by the end of this quarter. So all these three combine s together, hopefully address your question how we are going about it.

Sahej Mittal: Devender if you can talk about, so of the 100 customers which you acquired, say, in FY '22, and you activated the 40 customers out of those 100 customers. So of those 40 customers, how many customers are still trading or if you can share out of those 40 customers, how many customers have dropped off? And maybe what's the average customer lifetime for Angel's customers? Is it more than six months because what we understand is that for a highly active customer, trading in options, the lifetime is not more tha n six months to nine months?

Narayan Gangadhar : No, that's a conclusion. That’s you're giving your hypothesis, right? So we'll tell you where, what our data is telling us. I can't comment on your hypothesis. Okay. See, it's very simple, that we today keep 50% of our customers. Our activation rate at one point

in time, two years back was around 30% to 35%. It has dramatically gone up to 45%, and off late, it has even started hitting 50, if you look at 0 to 15 days

If you take a one -year activation, our numbe rs are even higher than that. Okay. So basically, what has happened is, your first question on how many of those activated customers stay on in the next year? The answer is close to 80% of them do stay, because that's the only reason, we are seeing the sec ond year revenue to be almost the same as the first year revenue. A guy who is contributing INR 100 cheque today, is continuing again to contribute INR 100 in the next year.

In fact, we even see that somebody who has now matured three years into the system because our I -Trade plan is currently it's entering its fourth year, I believe, fourth or fifth year. We have this data now that shows us that even third year the behavior is the same.

So overall, the ratio has not shifted. In fact, it has gotten better. Now in terms of whether the trading propensity changes within 90 days or 180 days that is not something we comment on at that macro level on that micro level . Because, that's where you can understand, there are a lot of sensitivities around that data, whic h we use internally. But we can tell you this much that overall, the activation ratio and engagement ratios have n

ot dropped cohort by cohort.
Sahej Mittal: So if I understood this correctly, 80% of your active customers in a particular year, continue in t he second year of the trading journey?
Narayan Gangadhar : Correct.
Sahej Mittal: And maybe one, if I can ask one last question, and maybe this is directed more towards Mr. Dinesh Thakkar, given that he has been in the industry for 20, 25 years. So how do you anticipate, what is your sense on the trading charges going up from here on from INR 20 to maybe INR 30 or INR 40? Do you anticipate increase in the trading charges, in the next one or two years?
Narayan Gangadhar: So let me take that question, it is a business decision , okay. First of all, we believe that as far as trading charges are concerned, going down is basically ruled out. Anything going down historically, players have tried taking it down, but it has not moved the needle. So there is not much R OI on that play.
Now in terms of raising it, I believe at this point, there is no compelling business reason that our team feels to raise it. Now it's a decision we will continue to evaluate from time to time. But as far as we see, as far as all the macro s are considered in the market, I don't see any reason to raise that. I would like Prateek Mehta, who's our Chief Business Officer, to give his perspective on how he sees order costs changing in the future. Any thoughts you can share Prateek?

Prateek Mehta: So the point, I would agree to Narayan said that eventually ou r reaction on what is the right commission level for consumers, will rest on what makes sense, and we'll have to continue to evaluate that, depending on various factors in the market, what consumers are getting, what is the competitive scenario, etc. Havin g said that, what is happening right now is also that a bunch of players, where growth was turbocharged, because of all the, VC or PE investments that came into the space , we’ll see that they might have their P&Ls might be under pressure, and they might be under pressure to raise rates. So we'll as I said and as Narayan has also said, we ’ll continue to watch this and evaluate, if we need to respond to that in any form or fashion. But right now, as far as the consumers are concerned, we would want to have th em the best experience on the product, and as well as commercially as well.
Sahej Mittal: And what is the build in capacity for the derivative trades from current levels given the kind of explosive growth you are seeing without incurring any additional capex?
Narayan Gangadhar: Sorry, I didn't quite catch that question. The question is, what's the can you repeat again?
Sahej Mittal: Build in capacity for Angel to handle derivative trades in a single day, given that the orders are going up …
Narayan Gangadhar: So good thing is that we have been provisioned for peak and I believe you're asking this in light of our scaling traffic here. So basically see, we have been provision ed for peak . And I don't anticipate much in terms of any rise in capex, e specially as far as , that at some point, we'll have to start looking at building out newer data centers and such, to scale our business even more. And there could be and that's something we have not yet looked at, right? I mean that is something we'll continue to plan as we go forward.
Sahej Mittal: That means you're seeing -- so currently we are seeing close to about four million orders in a day, which are being done through our system. So what kind of capacity is built on? How many trades can be handle d on the current system from this four million, doubt?
Narayan Gangadhar: Jyoti, can you just give a quick flavor on this?
Jyotiswarup Raiturkar: Sure Narayan. So essentially, our systems are horizontally scalable, right? So if you get more orders, we just have to deploy another building block, which will serve the new s

et of the order. So as long as we can deploy hardware, theoretically, we can go to any levels of scale. And this is what we've been doing for the last few quarters , right . Every time we hit new highs, we just deploy a new building block to serve the load
Moderator: The next question is from the line of Jignesh Kamani from GMO.
Jignesh Kamani: Just reiterating on the cohort, so if you take about our daily order per day, which

declined by arou nd 23 percentage Y -o-Y and ARPU, which declined by 20%. This impact is mainly because of zero to two -year old client, right, for more than two years

old and more than three -year old clients, both ARPU and daily order per day has not declined, right?

Naraya n Gangadhar: Correct. That is correct Jignesh.

Jignesh Kamani: And second thing on the Tech Investments, our fixed assets has increased by 42% Y -o-Y. So how much Tech Investment you capitalized in the third quarter and the full year, nine months?

Narayan G angadhar: Yes. This is a question for Vineet. Vineet, do you have data handy? How much have capitalized, do you have it handy? One second?

Vineet Agrawal: In quarter 3, we capitalized about INR 25 crores of capital work in progress. And for the entire nine months, I think it's in the range of INR 70 crores, INR 80 crores.

Jignesh Kamani: And how many period we amortize this Tech Investment?

Vineet Agrawal: So software, we amortized over a five -year period and hardware we amortize over five or six years.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Congrats on a great set of numbers. Narayan, just in first ly, could you talk about the customer acquisition strategy now, things have been kind of difficult in the market, especially because of the macro environment and secondly, I have to understand the competition has also increased, for acquiring customers. So a year back, what was your strategy was , and what kind of strategies are you implementing now? What changes are you thinking about from a future acquisition perspective?

Narayan Gangadhar: Brilliant question. So let me see, we have -- let's give a recap of the past two years in a nutshell, okay? In the past two years, our strategy has been at a macro level, we try to acquire and breakeven all clients within six months. That's been our overall playbook.

Now we went with the playbook, our overall macro picture is that we want to keep the company operating at an OPM of 45% of 50%. Going forward, we still want to keep, we want to stick to the 45% to 50% point as far as the overall OPM is concerned.

But at a micro level , we want to we are revisiting this whole six -month play, because what we are seeing today, is that our clients are sticking around in the system a lot longer than we thought. That is we are seeing that our second year , a person that we acquire today, is n ot just a, it was not like we acquire and then we drops -off after next year, that's not true. Because guys are staying on the platform. The second year, they are in fact contributing same or even more revenue than they contributed first year. Third year re venues are starting to rival their second year revenues. So which means, my strategy no longer is just looking at a six -month payback period, we are looking now at a lifetime play. Now this lifetime play is something we want to approach while keeping

the b roader company envelope, which DT has talked about many times in the past, Dinesh Thakkar, about the 45% to 50%. We believe we can accomplish our lifetime play within that 45% to 50% envelope, right? Now so that's the first thing, this is changing. What is changing next year is, moving from six -month look backs to a lifetime view, Number one.

Number two is our strategy this year is, we want to penetrat

e very selectively in certain markets, because what we are realizing is now the markets are naturally they are depressed, okay? And likely, that will change once the budgets and everything get announced. So what we have realized is, we are no longer a market participant. We are actually the market maker right now.

If you look at our acquisition numbers for alm ost eight to ten months straight, we have been number two in acquisitions. And if you look at ADTO, we are far ahead than the number one acquired. In terms of NSE actives, we have grown faster than almost everybody, and all other major players have de -grow n, including the number one player who is privately listed. Now what this means for us, is we want to take a role of a market expander and a market enabler, and we want to start looking at what new cohorts to go after.

So, two things are changing, just to recap and answer your question. One is the

payback, looking more at a lifetime value. This aligns very well with our Super -App strategy. And number two is, we are going to start looking at which cohorts we want to pick and choose, because we know that some cohorts are far more profitable than others. So, this is where we stand. Now I can't obviously divulge a lot more detail, because these are highly sensitive data. But hopefully, there gives you a flavor of what the next year is going to look like.
Prayesh Jain: Great, interesting. Also in this light, your market share in terms of NSE active clients is 12%, ADTO is 21%. How do you see this panning out? I think we've mentioned in the past that you want to become the largest digital broker. But how do you see this panning out over the say next two to three years?
Narayan Gangadhar : It’s a great question. See my internal benchmark is very clear. I want us to get to at least 18% to 20% NSE active number. If we get to 18% to 20%, by far, we will be the dominant player. Naturally, that will translate to an ADTO of around 30% to 35%. I think this is where I want the company to aim for.
Now on our natural trajectory, I believe with the right kind of product interventions, we'll get there and that's where, I think what we have realized is, unlike we have never thankfully changed our playbook. Even when people were burning capital and VC money, we stayed the course. So whatever steps we take, is always going to be with that broader perspective in mind. But ove rall, I think the ADTO and as you're spot on, is that the two matrix we look at, ADTO and NSE active, both of them are a critical function of how our business performs.

Prayesh Jain: In this journey, what are the regulatory challenges, that you anticipate and how do you plan to overcome them?
Narayan Gangadhar: So, I'll have Bhavin give you more color on this in just a few minutes. But see, basically, what has happened is, I want to give a huge shout out and round of applause also to the regulators. Because what they have done, is by introducing those changes, they have actually created a fair playing field, and they have created a safe ecosystem for all participants. We have always told, we have a vision for having 10 crore s customers on our platform.
Now t he only way it's going to go to 10 crores, is if the customers feel safe. Today, they don't feel safe. They still loose ends to tie, which the regulators are coming wonderfully on. So, I believe the regulatory environment is going to get tighter. Any oppor tunity to earn free money, is going to go out. So, we have to get smarter. I mean, whether it is ASBA, whatever it is, that might be more regulatory change.
I'll have Bhavin give you an overview of some of the bigger things, that are happening this year, a nd then that will give a sense of how the business is shaping. Bhavin?
Bhavin Parekh: Yes, Narayan. Mr. Jain, basically, we have always remained positive about all the regulatory

changes, because they aim at investor safety and investor protection. The meta point, that regulators drive is, how safe are the investors and there we act like a custodian for their wealth or their assets, and that is where that safety measures have to come in. We have always remained positive.
So, in a nutshell, see there would b e lot of things that the regulators would be working. So, I don't want to preempt in terms of what actions are going to come in, over a short - term or a long -term aspect. But whatever has come, has made market more safer and better for investors to trade in this particular market.
So, we have always taken this in a very positive spirit, and it always gives us an opportunity, to grow with -in this framework. So, I will leave it at that, because there are some speculations, there would be a lot of white papers that SEBI would be working and stuff like that. But as and when it comes, we'll have a better insight, about answering those questions.
Prayesh Jain: Last question from my side, just a clarification, this MF which will be direct, but you will still earn br okerage on every transaction, right?
Narayan Gangadhar: No, it's a proper direct offering. I don't think, we there's no plan to charge any extra brokerage for that. Prateek, am I mistaken this?
Prateek Mehta: So, we have on the consumer side, it will end u p being a regular direct -offering and as Narayan pointed out, that's not a place where we are planning to charge brokerage.
Having said that, in our partner channel and we'll possibly continue to watch this, because SEBI has also come out with the transact ion only platform play, and we'll see

if at some point in time, there's an opportunity and the customer rationale to do it. But for now, it will be another convenience on the platform, as far as the consumers are concerned.
Prayesh Jain: So just to clarify this, there will be no revenue that you'll earn from mutual funds subscription, by your customers on the platform, right?
Narayan Gangadhar: Sorry Prateek, go ahead.
Prateek Mehta: Yes, except for the sub -broker channel .
Moderator: The next question is f rom the line of Gautam Chand Jain from GCJ Financial Advisors.
Gautam Chand Jain: Congratulations for a very good set of numbers. I was looking into the fee and commission income that for the quarter is Rs. 609 crore. Out of which, Rs. 510 crores is the broking income. So, what constitutes other than the broking income, the Rs. 99 crores?
Narayan Gangadhar: Yes, Vineet can you just share the breakdown?
Vineet Agrawal: Rs. 510 crores is brokerage and about Rs. 8 crores is distribution income. The othe r operating income of Rs. 63 crores constitutes the turnover charges, the primary source of the other operating income.
Gautam Chand Jain: Okay. And the DP charges is included in Rs. 63 crores?
Vineet Agrawal: No. DP charges is separate.
Gautam Chand Jain : But that is part of Rs. 609 crores?
Vineet Agrawal: Yes. That's about Rs. 27 crores DP charges.
Gautam Chand Jain: But that is not part of broking income, right?
Vineet Agrawal: No, broking is Rs. 510 crores.
Gautam Chand Jain: And fee -- the commissio n payable to the partners, is declining quarter -after-quarter. That is primarily due to your fixed fee plan income which is growing more? Is that the correct way to look at?
Vineet Agrawal: Yes. As I also mentioned in the earlier part of my speech, that th e proportion of the fixed fee income, the number of clients and the proportion is increasing and that's the reason why, overall, we are seeing a decline in the fees and commission payout.
Gautam Chand Jain: And just to clarify out of Rs. 510 crores...
Mode rator: Mr. Jain, may we request you to please rejoin the queue. We have participants waiting for their turn.

Moderator: The next question is from the line of Nidhesh from Investec.
Nidhesh: I have two questions. Firstly, the way our revenue model is desig ned. It doesn't grow over a period of time, even if the customer wealth increases, let's say, five years out. The ARPU from the customer at best will be flattish on a four, five year’s vintage basis. So, do you see any possibility of a revenue model, which grows with customer wealth over a period of time? So that is first question.
Second question is, if you look at our admin and other expenses that has actually, if we exclude the one -off of last quarter that has actually grown quarter -on-quarter. While the new customer acquisition, has slowed down quite significantly on a quarter -on-quarter basis, I understand that this expense line item is linked to customer acquis ition costs. So why this number has not declined? These are the two questions, sir.
Narayan Gangadhar: So first of all, we don't give a breakdown of our customer acquisition cost at that level. But I'll still answer the question to whatever degree we can. But let's take your first question. See, the first question is right. We are currently, if you look at our ARPU, we today are approaching an ARPU of around 400. Now that has two, three years of cohorts in it. Now in any digital business, you need to have at least one generation of cohort and at least you have to bake them in your system for at least two or three quarters, to know what the long -term impact is going to be.
Now at the current rate of growth, what I do anticipate is that at some point, this wi ll plateau out. In the sense, the ARPU it's not like to go from Rs. 398 to Rs. 150 or something like that. How it went from Rs. 699 to say Rs. 398. I don't expect that kind of a drop. What I expect, is that the median will converge. It will converge to a n umber. The number could be Rs. 320, Rs. 330. Currently, we don't have a , we have a guess, but we don't have a good approximation of what that will be. We know that it will be in that range. That's one.
Now second thing is, that what we are seeing though is our median acquisition cost and our overall unit economics continue to be very robust. We are still operating the

company within the 45% to 50% range. In fact, this quarter, we are at 54% and so that we could have actually spent more, but we didn't.
So, what we see is that the overall unit economics is likely to stay at a macro trend to the 45% point, while, I shift the company away from the six month payback mindset to a lifetime view. And this is a ve ry, strategic call, because if you look at our journey, what do we want in the next five years? We want revenue diversification. We want people to come in and build a wealth management platform. That has been the vision of the company. For that, we already have the right cohorts, which are going to mature.
So, I want to just, this is my high -level view on how we are going to play this strategy out. I will just hand over to Prateek. Prateek, if you can give them a lens of how you see

the business, the Super -App business play out, and how you see our cohorts maturing and things, that would be very helpful.
Prateek Mehta: It's a great question, because if you look at new consumer, their life stage and their earnings potential and hence, as outcome of that stage of wealth, that progresses with time. And if you look at our consumers, they already have a very great relationship with the platform. They're coming in on a regular basis, they log in, they transact, and if you look at the traditional way of looking at a ny of the digital businesses, there's a high recency and frequency in terms of how they interact with the platform, and there's the intimate relationship, as far as the transactional money is concerned.
Now in that context, we already know some of the thin gs that our consu

mers have been
asking us for, like we've had some intelligence on the distribution business as well , basis our historical forays in that area. So, we would be clearly building out solutions for a specific area. Like mutual fund or somethin g that Narayan already hinted about. But we know that there are various other need of state that consumers are talking about and have been asking us for.
While we have not disclose d what is the exact plan on each of those initiatives and how will we roll them out. But we have learnt a lot about what our consumers need and have been asking us for, and we will be building a bunch of solutions across the board, both on the product side and also on the financial services side, so which essentially will feed in then into the maximizing the lifetime value of the consumer, which is the larger lens we are now taking on our consumer relationships.
Nidhesh: And just a small follow -up that when we are talking about focus on lifetime value, does that mean that the customer acquisition costs, we are willing to increase our customer acquisition costs, because lifetime value will be a significant multiplier of that? Is that the mindset change you're talking about?
Narayan Gangadhar: Absolutely correct. Now, of course, how we increase it is going to be our secret sauce. But yes the macro trend is correct. See now that we have invested in the Super -App, we have built a Super -App, and we know our custome rs like the journey. The only way to our profile customers for let's say, we were to introduce insurance product, we were to introduce lending product, that person is very different than the broking product, a broking customer . There is some similarity , but still that cohort needs its own maturation or own incubation. So , we know that there is a business case , so we have to start expanding that reach while operating within the 45% to 50% point. That's the catch. Is that -- as long as we can re main in the right envelope, we are golden.
Moderator: The next question is from the line of Ankit Babel from Subhkam Ventures.
Ankit Babel: So, my first question is on you on your ESOP cost? In last quarter you had mentioned that the ESOP cost would be Rs. 30 crores in the second half of this year. And if you look at the ESOP cost in third quarter it is already at Rs. 21 crores. So that transfers to

Rs. 40 crores or Rs. 45 crores for the second half. So just wanted to have your comments on that?
Narayan G angadhar: Yes, so Vineet has already commented on the break-down of the cost. So I think that is the accounting part, Vineet, if you want to add.
Vineet Agrawal : Sure. So if you recollect in my previous discussions, I've told that the overall ESOP cost for the year will be about Rs. 80-odd crores, out of which the incremental for the issuance grants that were done in 2022 will be about Rs. 60 odd crores. And we

continue to toe that line. So the overall, t otal cost for the year would be about Rs. 80 crores, incremental would be about Rs. 60-odd crores.
Ankit Babel: So what it would be next year sir? Whatever ESOP cost which would flow down from the P&L, total ESOP cost for next year?
Vineet Agrawal : Next year it's going to be about Rs. 50-odd crores for the issuances that have already been done. For the issuance that is going to happen in this year, those costs will depend on how many stock options we issue and what are the breakup.
Ankit Babel: Any approximate amount sir? Because I mean it's very volatile on a quarterly and yearly basis, just for our consumption?
Vineet Agrawal : We won't be able to give you a number right now, because we are still not firm on the quantum of issuance.
Narayan Gangadhar: One thing I can comment, we can give you a, just to comment on how we are looking at it. Basically like every publicly traded company, we have a stock option plan, we

have
a stock option pool. And we have a certain framework a round how much of the pool we allocate each year. So we will always stick to the legal and the fiscal guideline which has been established by our Board of Directors and our Chairman and Board of Directors. So we will always stick to that, whatever percenta ge that is.
Now, within that percentage, yes, there is elasticity. Last year, for example, we spent one point something percent. This year, we might, we don't know, we might be spending 2%, we just don't know that. Whatever we spend, it will be within the overall envelope done by the Board with the ESOP plan, number one. And number two, it will be within the overall profitable envelope that we have talked about.
So overall, if you are wondering if our expense is going to shrink, the answer is no, because as a growing company, we have to continue to expand our talent and our reach. So I don't see the ESOP costs going down. It's not like Google or Amazon, where they have already invested in all the employees so far ahead of time that now they can afford to k eep it at whatever a few basis points of their overall P&L.
A very good case in point is if you look at HDFC, in the first 10 years of their P&L, look at their ESOP costs. It's always increasing. So that's how growth companies operate

because you need tha t premium to get talent onto the team. But that's just to give you an idea of, I wanted to just give you the color of how we are thinking about it, just so you have a sense of how we are planning.
Ankit Babel: I understand it won't come down, but I'm just worried will it shoot up drastically in the coming years?
Narayan Gangadhar: See, let's say, if it shoots up, okay, that means that we have the right vehicle to justify the return on investment. Ultimately, you have to look at employees as our prime assets. They are the ones that are moving the needle and creating business value. I f I invest 10 bucks, if I can get 1000 bucks of value, then it's a brain dead decision. If in absolute terms it means I'm spending more so be it. We are actually adding more to the bottom line.
So, what we do is when we do the plan we look at overall, we a re in the business of maximizing opportunity cost for investors, shareholders and employees. And if we cannot return, cannot create that market, if we cannot create that opportunity then obviously, there is going to be a correction in our piece of costs and everything accordingly. But so far, that has not been the case. So, that's really how we look at it.
So, the mindset is gro wth and the mindset is wealth creation for the institutional shareholders, company and obviously also for employees.
Moderator: The next question is from the line of Prithul Shah from Anubhuti Advisors.
Prithul Shah: My question is with respect to the adve rtisement spends for the quarter and nine months ended December this year. So, what is the expenditure for advertisement spends?
Narayan Gangadhar: We don't go into that level of we don't discuss that level of detail. But I can just have PT give you a broa d flavor and PT can you just walk him through how we have strategized this year?
Prabhakar Tiwari: So see, we are a very established brand last year, when we did rebranding that time we spent enough advertising dollars to ensure that our total awareness re aches the 90% kind of level. This year, we have been conservative because one, the market was soft. And second, we were waiting for our new app to be fully in place. But in terms of advertising spends, our strategy is to be conservative, more digital spend s, less TV, more digital and focus more on organic traffic with the spends, focus more on search volumes across Play Store, YouTube and Google. So that has been our strategy. So

we have been conservative, but I think once our app is in place, post this qua rter, star

ting this quarter to next year, we are going to be more aggressive given that we will be supporting new lines and new businesses also.
Prithul Shah: And the next question is with respect to the active clients. So currently those clients is basica lly 34%. So where do you see this ratio going in medium term ?

Narayan Gangadhar: So, I think in the medium term, I believe our activation rates will be basically hovering around the same point. Largely, this is for a couple of reasons. One is that there ha s been no significant decay, either decay or appreciation in our cohort groups. If you look at the quarter the people that we have acquired, the age profile, the tier in which they are coming from, nothing has changed. So I don't think the number will chan ge dramatically.
However, what will change is that we will have new people coming to Angel, which we have never had. We have never had anybody who has come to Angel for anything other than stock broking. But that 100% I'm certain is going to change. Becaus e as you can see, we have always talked about our road map we are going to launch MF. MF has already launched. And I told you guys, it's going to come next in Q1, but we are actually ahead of schedule. So, we already launched it.
Next, we are working on a lot of products, insurance is coming up. We have including other exciting products on the lending side, which we'll talk about when the time is right. But we are working on multiple new families of products. So, I do expect that with that, the overall acti vation ratio will actually get a slight bump. But what it is, I can't quantify this yet. We don't have the data.
Prithul Shah: So basically, you are saying that with the new app, the client acquisition number, the gross client will slightly inch up. But th e broking side, it might not likely to translate into the trading volumes or trading orders per se and that will result into slightly lower in terms of activation ratio or how should we look at?
Narayan Gangadhar: No. It will go up. It cannot come down. So , it will only go up.
Prithul Shah: Because what we are seeing is the industry -wide ratio also declined to the two years back ratio, sub-30% level. And we are also tracking that trend, what the industry is facing. So, we are kind of concerned about whether that ratio will slip below 30% any day.
Narayan Gangadhar: I don't see that ratio slipping below 30%. See, I know that some of our othe r brokers, large digital brokers have come out and said that , I know what you're referring to. But see, you should look at their acquisition set. Well, our largest broker, the number is lower for him, not for us. For us, the number is black and white. We a re publishing every month and every quarter.
So, we are not seeing any decline. Now in fact, I would say we are not -- I would go as far as to say that -- and Devender you should add, you should bring your perspective year. I actually think that the super app, the activation can get better because customers come to the app for more reasons than just broking. But let me just refer to Devender here because he has a lot more data which he looks at and he can give you some more perspective. DK. over to you.

Devender Kumar: We I look at the NSE active clients, I think overall, the industry is trending lower because it's on macro environment. And this trend, I think, is going to subside and lower in some time. It has not subsided yet. So, the overall industry wil l continue degrowing for some time and long with that, our numbers are also going to go. But as rightly mentioned by Narayan that we see the lower impact because our activation programs and our behavior of clients who are new to the cohort is actually increasing over the last quarter period. We are seeing higher activation of clients who ar

e now because with the launch of the new platform and the new ML -based and data science -based program that we have started. So , we are actually able to see that ramp -up happening very, very strongly. So at an overall, we don't see that these numbers will go very down, definitely not below 30%, maybe around 32%, it might go to. But we definitely see that they still plateau out. And as we launch more services, I think there will be more acquisition of cross -selling of clients where you will actually sell the right products to the right client, which will actually increase act ivation in the long run. Just think about it this way that today we acquire clients in a one pocket and we then try to figure out solutions for them and then go ahead. But when you try to do the same thing in multiple pockets, you will have understanding o f doing the right thing to right product, which will then allow only the right product people to get into the system and actually experience services to that level. So, I see that this has plateau ed out and this will continue that way.

Narayan Gangadhar: And also just to add one more thing. You should look at every month, we publish our NSE active numbers. Why don't you do this? Why don't you plot a graph of our activation number. And plot Zerodha's right next to it. And you’ll see the answer. I don't want to use the competitor's name here, but do that analysis yourself, just do it over the p ast 12 months, you will see how fast they have decelerated and you'll see how fast we have grown. So you will get your answer right there.

Prithul Shah: We have done that. So, the number two guy without naming it has been losing the activation number quite rapidly.

Narayan Gangadhar: Exactly. So, that's why we are -- that's why I was yes.

Prithul Shah: That's the reason why our concern, we are not seeing that in Angel and that's a very positive print, which we are reading right now. But given the macro built up right for the next

Moderator: I'm sorry to interrupt you, sir. But your voice is breaking, we are unable to hear you clearly.

Prithul Shah: I was saying that the market was kind of stabilizing or likely to not generate enough return versus past few y ears, which the market has witnessed . We might see this trend for the temporary , more services you guys are able to bring in the app then that will start to reverse. But before that, it will trend down that was the concern I had.

Narayan Gangadhar: See, in terestingly, I’ll tell you one other way to look at it. Let's assume that the market , I don't believe it is going to be bearish, okay? But let's just say it actually goes into a bear mode, okay? Even then, if we are growing faster in this broking industry than the competition and we are growing, then our business is already in great shape. This is a long-term play for us. We see this as a multi -decade play .

So overall, fr om all lenses our strategic position continues to become stronger as we introduce the Super App platform. So, there's a lot of room for improvement. We are not saying no to that. But as it stands, we are off to a good start.

Moderator: The next question i s from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta Congratulations on a decent set of numbers. Sir, one, most of my questions have been answered. But one thing which I wanted to understand that given that our business hardly has any worki ng capital requirement or much of even if you are adding hardware, but that's also not much compared to our absolute profit base. So, why can't we increase sustainably the dividend payout rate from the current 35 -odd percent, because there's really not muc h of a need, especially during this time when the growth is also not coming through as strong because of the macro reason? So, that is question number one. And secondly, you were talking about

this active client ratio. And when I was seeing this graph for the last two years, you versus the industry, I think our active client ratio versus the industry was at a much higher with a much higher gap. So, we were better off compared to the industry at a higher margin. And that has actually come down in the last 10 years -- in the last two years. So, what explains that? Because ideally, we would have expected our active client ratio minus the industry active client ratio to be trending upwards, but it has actually, in the last eight quarter span it has actually tren ded downwards.

Narayan Gangadhar: Yes. So actually two things. First of all, let me take the -- I'll just very quickly talk about dividend payout and then get to other stuff. See, dividend payout -- first of all, we're in a growth phase of our company righ t now, okay? So, our growth phase of the company, our strategy is to continue reinvesting our capital in expanding our business, building our book of business and growing and expanding into new territories and new areas. So, there is not much to add beyond that. D. T. Dinesh Thakkar is on call as well. D. T. is there anything you'd like to add this before we jump to the next question.

Dinesh Thakkar: No. So I think what is important is to keep in mind that we have a high aspiration and potential seems to be quite huge. So definitely, this kind of like earnings that we have, I think it's not very big enough like to think about an increasing dividend at this stage.

What we are doing, I think it is perfect. And we have to keep enough capital for whatever growth opportunities we see in the future. And already we have like invested huge amount on Super App and we would like to see that we are able to capitalize, capture good market share in each and every service that we offer. That will require a good amount of c apital backing with us.

Narayan Gangadhar: Thank you, Dinesh . So, and now your other question on activation see , basically there, right, if you remember last year, there was a huge influx of venture money. And there were huge ETF -related schemes which were going on. And that completely skewed the activation chart. If you look at the number four player right? They w ere at an industry all-time high activation ratio because they were giving out free ETFs. And the minute I give out free ETFs or even INR 10 rupees you trade on the platform that shows up as an NSE active number. Whereas we never did that. We have never do ne that. We don't do that even now , okay? So obviously at a macro level, yes, you can say that why do these numbers look so different, right? But if you look at the actual NSE active number, there, we have only continued to rise.

So, when it comes to people actually trading, we are keeping more traders on our platform than everybody else. And I think that's the more important trend we should -- that we are focused on. Other than that, these numbers whether it's 35% or 40%, it's kind of a moot point if the person doesn't end up staying on the platform and trading, right? So, we have to look at it from that point of view.

Sarvesh Gupta: And as you are thinking of adding more and more to our Super App now , in the past few years, there were so many new entities, which came to the game doing variety of stuff. And now that VC money is not flowing in as strongly as in previous years , so, are you also seeing some inorganic opportunities in the market right now that we can sort of bolt -on to? Or we feel that it is better to organically sort of build -up everything in our own way?

Narayan Gangadhar: A great question, actually, great question. See, in the past, we had we could never even look at it because we -- without having a Super -App platfor m, there is no play to integrate you know. There's no value creation there for the customer.

Whereas now that the platform

is built, I think I'd say, as a team, we are strategically going to look at both organic and inorganic options. And you are absolutel y correct that with the funding seen drying up, there are some excellent opportunities which will open up and, we are currently open to those ideas, if the timing is right.

Moderator : Thank you. The next question is from the line of Deepak Sonawane from Ha itong Securities.

Deepak Sonawane: Congratulations on a good set of numbers. So, I just have one question regarding our client base. I just wanted to understand much more in detail regarding our customer profile. If you see that over the last eight quarter s, we have been adding around 1.2 million customers, right, on a quarterly basis. Can you just give us color and more color based on -- I mean among these 1.2 million customers, how many customers -- I mean, how many percentage of customers are not trading at all with us? I mean -- and even after a particular period of time, we have been -- I mean we give up in terms of nudging these customers to get active…

Narayan Gangadhar : So, yes. Got it. Okay. So usually, we don't give this level of data, but at least I'll try to answer -- I'll try to answer a part of that question. So, your question really is what is the dormancy metrics going to look like? How does it evolve? Because we are paying upfront cost. See, the issue is that, I've already paid the KYC c ost for acquiring all these customers, among those only 50% are becoming active. The remainder of the 50%, what are we doing about it? Because it's sunk money. Now, that's the marketing that the Holy Grail of marketing, if you can optimize and fine tune yo ur CAC to that level. So first of all, even with 50% activation, which is obviously, it's a phenomenally high number, we are performing extremely well. Even if that number goes down by another 5%, we'll still be performing very well. So, I'm not too worrie d about that metric, right? But your other question is very insightful. See, we have -- over the last year, we are one of the few companies today who have built a machine learning -based dormancy model,

okay. And just this quarter, actually, we hit an all -time high in terms of how many dormant clients became reactive. So, I look at this as an emerging area for Angel, because with very large customer base, a large part of our customer base is already within our system. They already have the KYC; they have jus t gone dormant. If you rekindle them back, your obviously, your time -to-market, your brand efficiency, all of that goes up dramatically. So, this is a strategic initiative, which has been -- which we have been working on for the last year and we have start ed seeing some phenomenal results in that. But the results are still too early to call out at this point. But we are -- to give you an idea, we are -- it's a heavy data science influence play and we have actively started looking at this. And we, in fact, w e track it at the CEO level. That is at my level. So, that gives you an idea of how important that is you know.
Moderator: Thank you. The next question is from the line of Suraj Nawandhar from Sampada Investments. Suraj , please go ahead with the -- your qu estion your line is unmuted . As there is no response, we'll move to the next question, which is from the line of Gautam Chand Jain from GCJ Financial Advisors. As line has been placed on the hold, we'll move to the next question, which is from the line of Shubham Goel from Motilal Oswal.
Shubham Goel: Yes, I wanted to ask that the company is giving out dividend, right?
Narayan Gangadhar: Yes. Sorry?
Shubham Goel: The company must be giving out dividend, right?
Narayan Gangadhar: Yes. Vineet had already announced that. Yes.
Shubham Goel: So, my doubt regarding that was that if the company is also spending money on technology, then how and why

is it giving dividend? Like why not invest more money into technology?
Narayan Gangadhar: See, basically, when we set the it's a great question. See but when we did the plan and when we look at the overall fiscal outlook of the company, right, we feel that for the kind of growth we want and for the kind of scale we want, we can operate well within the

financia l envelope of the 45% OPM. And in some quarters, as you saw, like this quarter, our OPM is 54%. We don't ever want to be at that number. We actually want to be between 45%, 47% if you ask me. But many times, what happens is because our operational efficien cy, that is still much higher than we think, we believe it's very wise to return that money as dividend back to our shareholders. Because very simply could the -- our capital needs were completely addressed. We don't need any more cash than this as of this point. And if needed, we always have other ways and we can revisit that topic .
Moderator: The next question is from the line of Anant from Electrum Portfolio.
Anant: My first question is basically what is the update on the incorporation of the AMC? And the second thing is what is the outlook on your distribution business side?
Narayan Gangadhar: Yes. So, incorporation on AMC, I think the paperwork is on. We likely expect it to complete within the next quarter or so I think it will be ready by then. Now tha t said, just because its formed it doesn't mean we are going to spring into action, right? It's going to take us some time to figure out how we actually go and actuate a plan to operationalize it. That's a longer topic, which we currently have not -- we are currently working on the right models there.
Your second question is more relevant is distribution. Our entire future play is built on the distribution p latform. This is where we are hedging our -- not hedging, this is where we are -- hedging is the right work actually. We are actually hedging on this for the long term because I anticipate that our profile, our customer base is so strong that there is huge opportunity to up -sell and build even more stickiness than introducing new products. Prateek, do you want to just give us a sense of how you're thinking about the step pyramid of all these services?
Prateek Mehta : Shubam, the way we are thinking on this, right and that if you look at the consumer and typical -- we are currently in the broking space and something which is larger than broking is the entire saving space. And then, of course, there is an earnings space and there is spending space, right? So, if you look at the consumer, literally 100% of the consumers are earning and they're spending, right? Some of them are saving and some of them are investing and then eventually, some of them are active in broking, right? What we want -- what we have realiz ed is that our consumers and especially as the years have rolled by, our consumer profile is continuing -- a large number of consumers are still very young. So, what is going to happen over the next few years is that their requirement for financial service s across all of these states is just going to go up. And

hence, we will solve for whatever problems they might have across these areas. Now, to what Narayan has already alluded to, which is there would be some interest ing lending solutions that will come by. There's insurance and then -- depending on what is the right experience and what is the right product for our consumers we'll keep doing more on the distribution side. Clearly, mutual fund , insurance and some of the ot her fixed income products will be part of the play, which we are already in panel we've been

distributing in the past, but that is something that we'll expand on the product and then there completely new solution that we will build over the cours

e of the c oming year and beyond.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Narayan Gangadhar for closing comments.

Narayan Gangadhar: Yes. So, thank you, everyone, for joining us today on the earnings call. As we have discussed, we are extremely excited and really super pumped about the launch of our Android app. This app is going to be the cornerstone of all our future journeys and we are betting big on how we can introduce newer and newer products to the market on top of this platform.

So, we continue to invest and open up the market. We are going to take a pool position in expanding the market going forward. We want to continue our pen etration in Tier 2, Tier 3 and even to Tier 4 and 5 cities and bring these customers live on our platform and expose them to this wide range of products that we are about to build. So, we'll also continue to invest in up -leveling our clients through better education and better refinement of our digital infrastructure.

So, I want to thank all of you for your continued support and confidence in Angel One. For any further queries, please do reach out to Hitul, our Head of IR or SGA, our Investment Relation Adv isors. I wish all of you a great day ahead. Stay safe and stay strong. Thank you very much.

Moderator: Thank you. On behalf of Angel One Limited that concludes this conference. Thank you for joining us, you may now disconnect you lines .

Call: Apr 2023

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CIN: L67120MH1996PLC101709
SEBI Registration No Stock Broker: INZ000161534,
CDSL: IN -DP-384 -2018, PMS: INP000001546,
Research Analyst: INH000000164, Investment Advisor: INA000008172,
AMFI Regn. No. ARN –77404, PFRDA, Regn. No. -190920 18.

To,
Listing Department
National Stock Exchange of India Limited Department of Corporate Service
BSE Limited
Exchange Plaza, C -1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Symbol: ANGELONE
Scrip Code: 543235

Dear Sir/ Ma'am,
Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on April 6, 2023, intimating of the earnings call with analysts and investors to be hosted by the Company on April 18, 2023, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same.

Thanking You,

Yours faithful ly

For Angel One Limited
(Formerly Known as Angel Broking Limited)

Naheed Patel
Company Secretary and Compliance Officer
Membership No: A22506

Date: April 21,2023
Place: Mumbai

Encl: As above

“Angel One Limited
Q4 FY '23 Earnings Conference Call ”
April 18, 202 3

MANAGEMENT : MR. DINESH THAKKAR – CHAIRMAN AND MANAGING
DIRECTOR – ANGEL ONE LIMITED
MR. VINEET AGRAWAL – CHIEF FINANCIAL OFFICER –
ANGEL ONE LIMITED
MR. HITUL GUTKA – HEAD INVESTOR RELATIONS –
ANGEL ONE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Angel One Limited's Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance, and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Hitul Gutka. Thank you, and over to you.

Hitul Gutka: Good morning and welcome, everyone. Thank you for joining us today to discus s Angel One's Q4 FY '23 financial and business performance. The recording of today's earnings call and the transcript will be uploaded on our website under the investor relations section. The financial results, investor presentation, and the press release are also available on the website.

For today's call, Angel is represented by Mr. Dinesh Thakkar, Chairman and Managing Director, Mr. Vineet Agrawal, CFO. We also have the other senior leadership team, along with SGA our IR consultants. The leadership team will give us a brief overview of the operational and financial performance of the quarter gone by, followed by the Q&A session. There may be certain forward -looking statements during the call, which must be viewed in aggregate with the risks that the compa ny faces.

With the brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks.

Dinesh Thakkar: Thank you, Hitul. Good morning, everyone. I'm leading the call after a few quarters. However, let me reassure you that this is temporary. The le adership team at Angel One is built on a strong foundation, and needless to say, this professional team is capable of leading not only business growth and goals, but overall communication as well.

With Narayan Gangadhar's decision to move on, the day -to-day operation of the company will continue to be led by the team of high -caliber professionals under my active guidance. I would like to take this opportunity to once again state on the record our appreciation to Narayan for having led the organization for n early two years, while wishing him all the best in his future endeavors.

We continue to strengthen our core teams as we maintain our focus on immense growth opportunities, keeping in mind our desire to improve customer experience consistently. Our goal is to partner with all Indians in their wealth creation life cycle by offering them all financial products they need as they grow.

The team is further strengthened by the addition of Mr. Amit Majumdar as an Executive Director for Strategic Initiatives of the company. It gives me great pleasure to welcome

Amit, who has had a variety of experience in the BFSI, health consulting business and has also been associated with Angel One in the past. Amit brings deep rigor and experience in the area of business growth a nd profitability. He will oversee various strategic initiatives that Angel One wishes to explore going forward.

This is on the leadership front. Leadership team is aligned with the vision of making

Angel One India's most trusted fintech brand, empowering billion lives, leveraging the power of data and technology.
FY '23 has been another year of strong performance for Angel One, in which we continue d to strengthen the business with each passing quarter. We launched the Super App and have seen suc cessful migration and transition of all clients to the new app. It

will be fair to say that this was perhaps one of the largest migration in digital space achieved by any company in India within the shortest possible frame.
Even in tough market conditions, our performance in FY '23 has demonstrated great resilience across various parameters, such as our market share in India's incremental demand account grew by 366 bps to 18.4 %. We concluded the year with a client base of 13.8 million, making us one of India's largest retail stockbrokers. Our orders, a key revenue driver for our business, grew by 36% year -on-year to 926 million. The underlying ADTO more than doubled to over Rs. 13 trillion, thereby expanding our market share in overall retail equity turn over by 57 bps to 21.8 %. Our digital playbook very clearly demonstrates the strong foundation on which our business is premised.
Some highlights include our total client base grew by 7.6x over the last three years , as we penetrated more deeply into Tier 2 and beyond pockets and onboarded many new to market clients . Our net revenues correspondingly grew by 4.9x over this period. Our digital model offers significant operating leverage, as shown from margin expansion and a 10 -fold jump in our profits over the last three years.
This superlative performance has come without any compromise on profitability or investments to spur the growth of our businesses. The fact that our operating margin has remained above our desired range of 45% to 50% gives us very strong headroom to achieve our aggressive growth targets.
Let me share with you some insights about the quality of our business the team has built at Angel One. The fundamental principle at Angel One has always been to stay focused on unit economics and run a pro fitable business, keeping clients at the center while enhancing their experience and wow quotient with the Angel One app. Our business model is geared towards attracting young cohorts who do not have physical access to capital market.
This young digital na tives have a long runway in their career with sustainable revenue potential across multiple product offering on our Super App. As we speak, approximately 43% of our clients acquired in FY '23 fall into this category of less than 25 years in age. Our digita l model has enabled us to penetrate deeper into Tier 2, Tier 3 and beyond cities, acquiring such client and serving them profitably. Empirical data

on past client behavior suggests they continue to contribute healthy revenue over a five year period and bey ond. Our digital business model demonstrates further improved revenue progression as client continue their journey on our platform.
In our Q4 FY '23 investor presentation, we have shown some strong data points evidencing this behavior , wherein the robustne ss of our digital model demonstrates a very healthy LTV to CAC of 7.8X based on first three years of aggregate client revenue. We firmly believe that as a client spends more time on our platform and consumes more service, this LTV to CAC has a long runway of growth.
This strong LTV to CAC trend further strengthens our mission of aggressively taking advantage of massive growth opportunities in underpenetrated geography while maintaining our robust contribution margin profile. Our seamless digital offering co upled with our trusted brand fulfills the basic principle pursued in any multi -generational product suite.
The inherent success of our Super App strategy is further strengthened by the strong growth in monthly unique SIPs observed in the first quarter of i ts full -fledged rollout. As we offer other financial products catering to an evolving needs of this client, we are confident about expanding our relationship across their long tenure, thus achieving the true potential of our Super App.
Our low fixed cost s tructure built on a very stable, agile and scalable digital model insulates our margin profi

le under all market conditions. This places us among the few highly profitable cash accretive business in the ever -evolving fintech industry. More details are provided in the presentation.
We continue to believe that the strengthening regulatory framework across various

aspects emphasizes providing stronger guardrails, especially for growing retail investor base. This has bee n proven with continual growth across the multiple regulatory interventions in the past.
The ensuring regulations on client funds management is a further decisive step in building the confidence of retail participants. Our purpose is to collaborate product ively with regulators in achieving this goal. I hope this incremental insight has enhanced your understanding of our business.
Vineet will now take you through our financial performance, post which we will be happy to answer your questions.
Vineet Agrawal: Thank you, Dineshbhai, and good morning, everyone. FY 23 has been a breakthrough year for us as we increased our client base from 9.2 million to 13.8 million clients as we registered record high net revenue, EB ITDA and profit after tax. During these four quarters, Angel One has outpaced the industry to gain market share while delivering a strong performance across multiple operating and financial parameters. Our Q4 FY2023 financial performance continued its strong trajectory with the gross revenues growing by 9% quarter -on-quarter to Rs. 8.3 billion.

Gross broking revenue grew by approximately 14% quarter -on-quarter to Rs. 5.8 billion. This accounted for about 70% of our total gross revenues for Q4 FY23 as compared to 67% in Q3 FY23.
Interest income which includes interest earned from our client funding book and from deposits with exchanges has remained stable sequentially at Rs. 1.4 billion accounting for about 16% of our gross revenues in Q4 of FY23.
The ancillary transaction income linked to the turnover grew by nearly 21% sequentially. This accounts for 9% of our gross total revenues.
The aforesaid has been achieved due to a strong 20.5% market share in India's incremental demat accounts, 16% quarter -on-quarter growth in orders to 263 million, 28% quarter -on-quarter growth in ADTOs to Rs. 18.5 trillion leading to an expansion of 124 bps in our overall retail equity turnover to 22.8%.
Our consolidated EBDAT margin for the quarter stood at 57.5% in comparison to 53.9% for quarter three.
Our Q4 FY23 margin has been positively impacted by Rs. 300 million on account of reversal of stock option grants. Our consolidated profit after tax from continuing operations increased by 17.1% quarter -on-quarter to Rs. 2.67 billion. Taking into consideration the reversal of grants , which positively impacted by Rs. 300 million, the consolidated profit after tax on adjusted basis would be Rs. 2.45 billion. For FY23, consolidated gross revenues grew by 32% year -on-year to Rs. 30 billion. EBDAT grew by 43% year -on-year to Rs. 12.2 billion , this translates to 53% margin. Profit after tax from continuing operations grew by 42% year -on-year to Rs. 8.9 billion.
For FY23, the aggregate dividend payout is 37% totalling to Rs. 3.3 billion. The period end cash and cash equivalent increased to Rs. 55 billion. Client funding book was Rs. 11 billion whereas borrowings stood at Rs. 8 billion. Robust profitability along with efficient capital utilization led to an improvement in return on average equity to 47.5% for FY23. With this, I conclude the presentation and open the floor for further discussion. Thank you.
Moderator: We have a first question from the line of Swarnabh a Mukherjee from B&K Securities. Please go ahead.
Swarnabh a Mukherjee: Yes, thank you. Good morning, sir. Congrats on a great set of numbers. First one, I wanted to understand, you have mentioned that your margin requirements might go up as a result of upst reaming

of client funds and the incremental cost will be around Rs.
40 crores for nine-month FY24. So just if you could put a little bit more colour on this, why would the margin requirement go up? Is this because you will have to have the funds to be p laced in the exchanges? Some colour on that, please.
Dinesh Thakkar : Sure, sure. Vineet, if you answer this question?

Vineet Agrawal: Sure. So, Swarnabha, in the SEBI board meeting dated 29th of March, the board approved the framework for upstreaming of client funds effective 1st of July 2023. Under this framework, the funds shall be up streamed only in the form of cash, lien-mark fixed deposits or pledge of units of mutual funds, etc. This means that bank guarantees submitted as a margin to the stock exchanges have been kept outside the purview of the upstreaming framework. So, this was allowed earlier, but in this current upstrea ming framework, this has been kept out. So, this will lead to increasing the proprietary capital required under the segregation and allocation of collateral at a client level. And hence, the calculation which we've done, this means that it requires additio nal working capital for the company.

Swarnabh Mukherjee: So, that would be the total amount around Rs. 600 crores of additional working capital requirement. Would my calculations be correct, sir?

Vineet Agrawal: Sorry, I couldn't understand the question clearly.

Swarnabh Mukherjee: So, I mean your additional working, I mean the additional borrowing that may be required would be around to the tune of Rs. 600 crores?

Vineet Agrawal: It would be around Rs. 700 crores to Rs. 800 crores and the incremental cost for that would be about Rs. 40 crores for this nine months and tentatively about Rs. 50 crores, Rs. 55 crores on an annual basis.

Swarnabh Mukherjee: Sure. Couple of questions from the revenue side. First of all , in this quarter, particularly in the month of March, we have seen very strong momentum in terms of number of orders . Just wanted to get your views on if you think this should be sustainable or was it a reflection of the market conditions where, and we ca n maybe see some normalization going ahead. And also on the ancillary transaction charges that we had, that has also gone up. Although the number is relatively small in the mix, but it has gone up quite a bit compared to last quarter. So, also wanted to un derstand what is going on here.

Dinesh Thakkar : Let me take your question on order first, then on ancillary business transaction, Vineet will answer on that. See, in terms of order, we don't go month by month. There would be for this market like would continue to be a bit cyclical. But what we have seen during all the cycles like orders, number of orders that we get per quarter or per month has also has progressively increased. So, if you look at the block of like three months, six months and one year, we look at trajectory when we plan our year, we look at the trajectory based on number of orders which increases on every quarter basis. Every quarter would be having a good month, bad month. It is a combination of different, different kind of like factors which impacts retail participation. But overall, ou r observation is that during all the cycles, we have seen number of orders from retail have constantly increased. On this ancillary transaction, Vineet, if you can answer.

Vineet Agrawal: This ancillary income is linked to the transaction, the turnover cha rges that the exchange is levying on us. And then we levy on the client. So, this will increase in tune

with the increase in the ADTO. So, as you see the ADTO quarter -on-quarter has been growing and that is linked to the increase in the transaction charg es or ancillary transaction income as we call it.

Swarnabh Mukherjee: Sure, sure sir. And Vine

et, on the interest income part that you report as part of your P&L, has there been some kind of reclassification between interest income and other income?

Vineet Agrawal: Yes, we've consolidated the income which was reflecting in two parts of the financial statement into interest income. Otherwise, there's no change. Just for the ease of understanding.

Swarnabh Mukherjee: Okay. So, now your interest income wil l have the margin funding book interest income plus your float income as well as your other own income from your own proprietary book? Would that be correct?

Vineet Agrawal: That's correct .

Swarnabh Mukherjee: Understood. And lastly, couple of things on employee expenses and other expenses, if you can give some colour how to think about these numbers because other expenses have gone up this time and employee expenses have come down slightly, ex-off the ESO P cost, so, if you can give some colour about this?

Vineet Agrawal: So, in Q4, the employee expenses other than the ESOP expenses have come down primarily due to some reversals in the provision of variable pay etc. which we made throughout the year. That's the only impact. Otherwise, there's no major change in that.

Swarnabh Mukherjee: Okay. And other expenses, will it remain close to that, next to Rs. 100 crores mark?

Vineet Agrawal: Yes. So, other expenses, a large driver of the other expenses are the client acquisition cost. So, as we keep on increasing the acquisitions quarter -on-quarter, this cost is going

to grow. It's a variable cost. And other costs are primarily on account of cloud expenses
which again are linked to the turnover or the volume that happens on our platform. So,
that also are going to grow.
Swarnabh Mukherjee: Sure. So, last question on the ESOP side. So, if you could highlight the reason for
reversal of grant and any reversal you would expect to see…
Moder ator: I am sorry, sir. Your voice was breaking. Can you repeat, please?
Swarnabh Mukherjee: Yes. So, I was asking on the ESOP cost, if you could highlight the reason for reversal
of the grant and any subsequent of reversal which we can expect in upcoming q uarters?
Dinesh Thakkar : Yes, Vineet. You can take this.
Vineet Agrawal: So, in terms of the future impact of the reversal, there will not be any future impact
because once the stock grant s have been reversed , whatever cost that was there,
we've taken the reversal. So, there's not going to be any impact in the future.

Swarnabh Mukherjee: Okay. That's all. Thank you so much for all your answers.
Moderator: Thank you. We have our next question from the line of Sahej Mittal from HDFC
Securities. Please go ahead.
Sahej Mittal: Hi. Morning all. Thanks for taking my question. So, first is on the other expense, right?
If I look at slide number 24, printed slide 24, so you have been saying that the other
expenses are sort of elastic? But if I look at the cost for second quarter FY'23 and the
customer additions in Q2 FY'23 versus Q4 FY'23, right? The customer additions have
only gone up from 12 lakhs to 13 lakhs, but other expenses are short of 30%? So, what
explains this? I mean, if you can split it out in terms of the marketing expenses, maybe
some branding expenses because this is not indicative of elasticity or if I am reading
out something wrong in this number.
Dinesh Thakkar : See, you have to read this way that what we are showing as a variable cost, this is
something that we can control in bad market conditions. So, most of the cost what has
been shown like finance cost or commission that we pay to sub broker or a variable
cost which is combination of marketing and all that, that can be like, we have lever to
control that.
Now, on your question of that cost of acquisition like how much we acquired Q3 and
Q4, I will ask Prateek to reply this on why this cost varies because as we said that we

are going to an area where actually pockets which are under penetrated, which are
difficult to capture and Angel has been very successful in terms of acquiring customer
who are in this kind of those pockets and age group of around 25.
So, it is really like a unique to Angel that we have acquired those customer and we are
profitable acquiring those customers. So, as we are going deeper into this pocket, these
are the pockets which are growing at a higher rate and because of our unique ap proach
in terms of like we acquire customer, we see that their journeys are creating revenue
and we are profitable in terms of each and every acquisition that we do in this kind of
cohort , our cost definitely would not be comparable to previous quart ers we are referring
to that. So, Prateek, if you can just throw light on that.
Prateek Mehta: Thanks Dinesh bhai. Mr. Mittal, just to add to what Dinesh bhai has already shared with
you, broadly the 8% incremental market share, if you look at it, or 8% in crements in
number of customers, this comes in an environment where the actual additions in the
DEMAT additions in the industr y has come down, right. So, while the industry additions
have come down, we have actually expanded both the number of customers and we
also expanded our market share in the new acquisitions. And this primarily is a function
of the acquisition engine that we have perfect ed, looking at the younger customer and
looking at Tier 2 and Tier 3 geography to expand our reach.
As far as the break -even on these customers is concerned, we continue to break -even
within two quarters. So, we are comfortable with our product experience and customer
experience and we know that once these customers come in, we are able to engage

them meaningfully and continue our -- both our acquisition market share and the
profitability of these clients, both of them are conserved and hence we are definitely
very comfortable about the increases that we might see temporarily.
And the long -term building block on this will continue to remain the LTV by CAC that

we have shared in the presentation and that, as you have seen, continues to remain at
7.8 for the first three years and it continues to add enduring revenue to us in the long
term. So, as long as we are comfortable with that, we will continue expanding.
Dinesh Thakkar: And one second, our revenue officer would like to add something. Devend er, you would like to add on this last quarter acquisition?
Devender Kumar: Yes. Hi, Sahej. So, I think from quarter 3 to quarter 4 point of view, Sahej, the number of sales has grown by almost 30% as mentioned earlier. And I think th e cost in terms of acquisition has also grown in line. But the overall performance remains as we are a growth company, we are driving growth, so we are going to enter new pockets and we have been entering pockets in a very profitable way. We have maintained breaking point at around two quarters. So, that's the two things that have been there. But, you know, just to answer that part of it, I think the Q4 sales has also grown by 30%, which is in line with what you have seen.
Sahej Mittal: Because if I look at the cohort -based revenues, right, because if you are seeing that in a difficult DEMAT addition environment, if you are going out and spending higher expenses on a per -customer basis, but the incremental revenues which these new customers are contributing, in no way we understand even from the ecosystem is that they will be contributing in such a way that the payback period would remain at six months. So, the numbers don't seem to add up, what kind of efficiencies are we looking at? Because the payback period will definitely shoot up , right?
Dinesh Thakkar: No, currently, like whatever cohorts we are acquiring, we give current position. Whatever we are saying six months, it is based on this current q

uarter. So, the way we analyze is that whatever cohorts we acquire every month -on-month, so whatever cost you are seeing, we analyze b ased on what kind of like revenue we will get from those particular cohorts . So, what we are mentioning right now is based on current cohorts that we have acquired.
Sahej Mittal: Right, and if you can please quantify the cloud expenses which we have recorded in this quarter and will it for the full year?
Dinesh Thakkar: Vineet do we disclose cloud expenses separately?
Vineet Agrawal: No, we don't disclose the expenses in tha t detail. So, when we release the financials with the schedules , we will have some data around the other expenses.
Sahej Mittal: Right and one last thing is on the employee expense. So, if you can please, give out that, the split between your employee in your staff, what proportion would be fixed and what is the variable component?

Dinesh Thakkar: Vineet?
Vineet Agrawal: Yes, so typically the increments, the variable pay and the ESOP cost that we onboard as part of our total cost ar e variable in nature and can be, managed or reduced.
Sahej Mittal: Right, and of our, overall staff cost, what proportion would be variable pay? I mean, my question was around that?
Vineet Agrawal: So, total of all of these would be about 30%, 35%.
Sahej M ittal: 35% And I mean of the Rs. 30 crores reversal and ESOP expenses, what proportion of those ESOP reversals is attributable to the CEO exit? The ex -CEO exit?
Vineet Agrawal: The entire 300 million is on account of that.
Moderator: We have our next question from the line of Aditya Chheda from In Cred Asset Management. Please go ahead.
Aditya Chheda: Yes, hi, can you break down the cash and cash equivalents and investments into the cash which company has and cash which is for the margin requirement?
Dinesh Thakkar: Vineet?
Vineet Agrawal: Yes, the cash and cash equivalent of 55 billion of that almost 40 billion is the client funds and the rest is the net worth of the company that has been used for margins or…
Aditya Chheda: Got it, right.
Moderator: Thank you. We have our next question fro m the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, hi, congratulations on good set of numbers and must appreciate the kind of presentation is uploaded every time with more granular details on the various aspects of the business. Coming to my first question, I would just want you to expand the point on th at Rs. 40 crore s impact what you have spoken. Is it pertaining to the -- if the client gives 100% collateral against which you have to kind of deposit cash to the clearing corporation?
Dinesh Thakkar: Vineet?

Vineet Agrawal: Yes. Segregation of margins that requires that the client has to bring in at least 50% in cash and 50% non -cash. Where the clients offer more non -cash collateral , the broker has to pitch in with their prop funds which can be in the form of cash, FDs or BGs. So, this is one reason why the working capital requirement increases and of course there is also this element of segregation of margins across various segments where also we need to have some margins with the exchanges.

Prayesh Jain: Okay. And secondly, could you just you know expl ain this slide seven in a slightly more detailed manner?
Dinesh Thakkar: Yes. Here we are trying to like -- there were lots of questions in terms of what kind of a LTV to CAC a broking kind of like a company can expect from their client. So, we have kind of a historical record of people in that physical era where we have seen that the customer life extends beyond 5 years and kind of a like revenue that we get from customers drop but gradually it continues or gets steady after 3rd y ear.
So, when we are moving to digital era, we are seeing an improve

ment in customer's
revenue or lesser drop of customer revenue from 1st year to 2nd year and from 2nd year to 3rd year. And if you go by empirical data or evidences which are there, the customer life cycle even in physical era where actually there used to be lots of customer revenue loss because of dealers attriting and all that. In digital era because clients are downloading an app, it remains on their phone.
We are not only seeing improvement in progressive years but this can continue beyond 5 years. So, this is what we are trying to compare that customer revenue from stock broking , it is not just for a year or two, it continues beyond 5 years and in digital era we are seeing an improvement of customer revenue from compared to what we were seeing in that pre -digital era.
Prayesh Jain: If I have understood it correctly, a customer acquired in H1 20 gave Rs. 100, the cohort gave Rs. 100. In H1 21, they gave Rs. 69 of broking revenues. Is that assumption, is that understanding , correct?
Dinesh Thakkar: I will ask Devend er to expla in you the slide properly. Devend er, if you can just explain the slide properly.
Devender Kumar: Yes, sorry. So, hi Prayesh. Can you just explain, can you just ask the question again for simplicity and clarity? I will answer that.
Prayesh Jain: I just want ed to understand. So, is my understanding correct that in that slide seven, H1 20 you are mentioning 100% and in the year two you are mentioning that as 69%. So, is that understanding correct that the customer who gave you Rs. 100, customer that you acquired in H1 20 gave you Rs. 100 in H1 20. In H1 21, they gave Rs. 69. In H1 22, they gave Rs. 63 rupees. Is that what you are showcasing out here?
Devender Kumar: Yes, correct. So, that is what it is. In the year one, the y have given us Rs. 100 and in the year two, if I look at H1 20 clients, they gave Rs. 69 and in the year three, they gave Rs. 63. If you look at the recent most quarter, where clients have completed year two, this is completed data of clients. So, H2 ’21 gave Rs. 100 and in year two, they gave Rs. 86 to us. Yes, that's right, Prayesh.
Prayesh Jain: Okay, got it. And you know, my third question and last question would be on the float income. You know, there is a lot of thing now that you know, ASBA may or may not be getting implemented, that could be forced while it is voluntary right now. But eventually,

it may be, it will be implemented in some form for the secondary market. So, just wanted to get some numbers around the float income that we generate and which could be at risk for say, you know, whenever that ASBA gets implemented?
And also, Dinesh bhai, if you can throw some thoughts on how do you see the ASBA implementation really happening in the industry, whether that will lead to consolidation or how, you know, what proportion of customers would be kind of willing to move to ASBA, some thoughts there that will be helpful?
Dinesh Thakkar: Yes, see, what we have seen is that whenever there is concern like regulatory changes, which helps bring in more confidence in retail, we see a huge improvement in terms of participation from retai l in equity market. So, we are very bullish, every implementation that regulator is doing is bringing more confidence of retail customer and we are seeing

huge penetration. If you look at like our TAM, almost like people who are holding PAN card and all t hat, it is beyond 50 crores and all that. But what is stopping them from coming to the market when markets are giving such an excellent return, is somewhat they are not finding this market to be very kind of like reliable or trustworthy.
So, my opinion is that all this kind of like changes which happens, it happens to expand the market and people like us who have a huge market share, only they gain further market share when these are implemented. So, my view is

that ASBA right now appears
to be a bit far away. Right now, we are talking about gearing up for upstreaming and all that.
ASBA does not seem to be coming in near future, but whenever it comes, we are not seeing a kind of like there can be impact in terms of float income and all that. But we are more dependent on broking income and other income related to financial services.
So, I feel a huge consolidation will happen in terms of clients would move towards more digital kind of like brokers because they have a perfect ecos ystem to take care about online transfers and all that. But point is that even RBI and banks should be ready with those kind of like real -time technologies. According to my opinion, it is a bit time away from here.
Prayesh Jain: Okay, got it. And lastly, a ny thoughts that you have that you know, whether the brokerage rate should increase who blinks the eye first because the cost of operations, cost of compliance by every announcement of the regulator is just going up. So, you know, do you have any thoughts around how the brokerage rate will move and who will blink the eye first ? Because next year you have an Rs. 40 crores impact, possibly, on an annualized basis a Rs. 60 crores impact because of the upstreaming of funds. There is additional, I think, regulator had put in on identifying fraudulent accounts that system has to be in place. So, there are many compliance costs tha t have gone up. So, do you think that Rs. 20 per order is a fair cost or do you think that will be that will have to be increased in the near future?
Dinesh Thakkar: See, for industry, there is a huge cost, operating cost increases as well as if you loo k at technology and all that regulators coming heavily on having proper like the data center

and proper kind of like cyber securities and all that. What it suggests that you need a scale to be into this business. A medium -sized or a small -sized brokerage house cannot continue to be profitable unless and until they raise the rate. But players like us who have a huge operating levers, they are very kind of like profitable because incremental business what we get straight away it results in improvement in our bottom line.
So, I do not think that bigger brokerages like us would think about changing the rate. That is my personal opinion , because we are seeing we have a huge operating margin and we would not like to be very much concerned about few costs increasing here and there. If you look at total kind of like the way we do compliance and the way we handle technology and all that, already we have taken lots of concern upfront costs to fulfill that requirement of regulators.
With this also we are saying our margins are quite decent enough. Every business works based on operating margin. If we are getting 50% and we can accommodate all this cost and because of scale we get an advantage . So, it is just add up to our advantage of getting more market share when mid -sized broker is unable to like adjust this cost in their cost structure and increase the rate.
So, that is where I feel people like us would be having, organi zations like us would be having an advantage of more dependent on acquiring or getting more market share and offsetting this increased cost.
Prayesh Jain: Okay. Thank you so much and all the best.
Dinesh Thakkar: Thank you.
Prateek Mehta : Hi Prayesh. Just to add on your first question which was around slide number seven. Just to give you a little more color on the data that we have shown there. If you look at the pre -digital era, for any customer who used to go Rs. 100 in year 1, year 2 used to become Rs. 47 and then year 3 used to become Rs. 32 and then it would become stable at about 26% up into an annuity business. So, what we have done when we are showing this LTV information to you, we are showing that 47% which used to be in year 2

has
now improved to 86% and 32% in year 3 has now improved to 77%.
So, and hence what we have done is that in the model we have taken the current

behavior of the customer cohort that we have seen and we modeled out for every Rs.
100 that we are getting in year 1, we are taking Rs. 86 for year 2 and Rs. 77 for year 3.
And we also know from our historical experience that this customer is going to stay with
us for the long term and will continue to give us revenue at a stab le rate over a window,
which extends beyond the 5 year that we have modeled here.
Prayesh Jain: That is helpful, but just one line item in that estimation, the slide eight, what is the direct cost that is at Rs. 100 crores in year 1 and also Rs. 60 crores in year 2 and year 3?

Vineet Agrawal: Prayesh, this is the cost to serve the client. So, the first year cost that you are seeing at about Rs. 100 crores , it includes the cost of onboarding the client and thereafter
whatever is the cost to serve the client, the direct cost.
Prayesh Jain: Okay, so roughly around Rs. 40 crores is what you are saying is onboarding and rest is kind of total service?
Vineet Agra wal: Yes.
Prayesh Jain: Yes, got that. That is very helpful and this is a very interesting slide that you have put across. Thank you.
Dinesh Thakkar: Thank you.
Moderator: Thank you. We have a question from the line of Nidhesh Jain. Please go ahead, sir.
Nidhesh Jain: Thanks for the opportunity. Sir, on the slide seven where you explained the cohort data, how is the trend for clients that we have acquired in FY'22, in FY'23 , I think that data
we have not shared in that cohort and the clients that we have acquired in FY'21, 2
years hence, how is the behavior there?
Dinesh Thakkar: Prateek, if you would like to take this question.
Vineet Agraw al: Nidhesh, we have shared the data for the clients that we have acquired in financial year '22 in the next slide which is slide number eight. So, builds the scenario where we are
saying that for those clients that we have acquired in financial year '22, what was the
revenue that we generated only from those clients in that period? What was the upfront
cost that we incurred and then going forward, what is going to be the revenue based on
the trajectory that we are seeing in slide number seven?
Nidhesh Jain: Yes, sir. I think in FY'23, in slide number eight, it is the estimate. It is not actual da ta for FY'23. That is right or based on the clients how they have behaved. FY'21 clients how
they have behaved in FY'22, we have extrapolated that the clients that we have
acquired in FY'22, they will behave the same way in FY'23.
Vineet Agrawal : Yes, so in the second year, when the clients, those that we have acquired in financial year 2022, when they move, some of them have moved to the second year and some
of them will move to the third year. So, based on the trajectory that we have seen, their
revenues will move in this progression.
Nidhesh Jain: I think it would be an actual data, not an estimate for FY'22 or FY'23, that was one
observation. Second is, sir, the other operating expenses that we have seen incre ase,
is it reasonable to assume that the acquisition cost per customer has gone up now
versus what we used to do in the past? Though breakeven period still remains less than
6 months, but per unit cost of acquiring a customer has gone up. Is that a reasona ble
understanding?

Dinesh Thakkar: See, we don't disclose cost of acquisition, but just to answer your question, as I said that as we are moving towards deeper kind of like pocket , like Tier 3 and beyond, what
we look at business unit, when we hav e certain cost of acquisition, whether that unit is
profitable. So, we don't clearly focus on increase or decrease in cost of acquisition.
Currently, our focus is on increa

sing market share.
So, whichever pocket we feel that this LTV to CAC is profitable o r we can achieve a
certain X on that, we try to go into that pocket and get a new set of customers. So, our
current focus is on market share and LTV to CAC.
Nidhesh Jain: Sure. And then lastly, in the last early call, we have mentioned that we will move more towards LTV to CAC framework, which may lead to an increase in operating cost
because historically we were focusing on payback period of two quarters or less. N ow,
we will be moving towards LTV to CAC model. So, that moment has happened and
consequently, how should we think about EBITDA margins and FY24?

Dinesh Thakkar: Yes. So that moment has happened, as promised, that's the reason these slides are included, that we will be now tracking LTV to CAC. So now it is not like that this thing our operating costs will increase. Now we are more kind of, have visibility in terms of what revenue we can expect from a customer when it comes to projecting revenue for five to six years from the same cohort that we are acquiring. So, based on that, we are fine tuning our model in such a way that wherever we feel that we would be able to maintain operating margin of 50%, we would like to go aggressive in terms of acquiring those cohorts.
So that's the reason we told that we would be moving our model towards LTV to CAC and we will be disclosing all these numbers every quarter. But our focu s would be to maintain this operating margin between 45% to 50%. Our focus would be to increase market share. Our focus would be to become a leader in this industry. We need to take very unconventional kind of step where these cohorts which are profitable, we should not avoid them.
Vineet Agrawal : So, Nidhesh, the purpose of including these slides as Dinesh has mentioned is just to bring that there is a long -term visibility in terms of the revenue and the profitability or the margins that we expect from clients that we acquire. Otherwise, what was happening is we were fixated with a payback period of six months or seven months or five months. And we were not looking at revenues beyond that. So, what we want to portray here is t hat in our business, once we acquire a client, there is a multiple year revenue profile that the client has. And that is what we want to portray.
So, we take the cost upfront and then there is a strong margin profile, very strong contribution margin that t hese clients give over the multiple period.
Nidhesh Jain: So just one follow up on the Super App. There we have seen that mutual fund SIP has almost doubled after we have launched mutual fund on our Super App . But that will not be a revenue generating stream because I believe that most of these will be direct

funds. What are the rollout plan for other financial service products which will be revenue generating?
Dinesh Thakkar: Yes, we have a head, Saurabh, who heads this other income on the Super App. So, we have started this journey of mutual fund, just one quarter back and we have achieved a good kind of I would say, uptick from that. So, I would ask Saurabh to explain about other journeys that we are going to include on our Super App. Saurabh?
Saurabh Agarwal: Yes. Thanks, Dinesh bhai. We have already launched mutual funds in the quarter starting January and in two or three months we have seen number of SIPs grow 2x. The other products that we intend to launch this year primarily fall into the unsecured consumer lending space. So, where we will be acting as distributors to begin with and then move int o creating our own risk models. So, I think lending, unsecured consumer lending, just to answer your question, unsecured consumer lending for the retail space will be the key focus area for us to generate revenue in the future. We will also be delving deep er into the insurance business going forward.
Nidhesh Ja

in: Yes. Thank you. That's it from my side.
Moderator: Thank you. We have a question from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.
Ajox Frederick: Hi. Thanks for the opportunity. Sir, I have two questions. One is on the number of orders per NSE active client s in the F&O space. If I do the math, it used to be about 40 orders per client and that has jumped to 50 orders in the quarter. So, the last eight quarters it used to be 38, 39, 40. But certainly there's been a substantial jump in 4Q, FY23. Can you please help me understand that?
Dinesh Thakkar: Vineet do we disclose this number of order or it is calculated, like pattern calculated?
Vineet Agra wal: The segment -wise breakup of the orders per client.
Dinesh Thakkar: Yes. Okay, fine. Devender, if you can just answer this phenomenon.
Devender Kumar: Yes. Thanks, Dinesh. Hi, Frederick. So, Frederick, when you look at NSE active client base that we overall looking at and it's driven by overall investor category of clients. When you look at the whole industry, this number is driven by investor category of clients. And when we look at our business, basically, it is driven by orders. Where orders is really what is driving it and where various segment penetration like F&O, commodity, currency, MTF and other categories play a role. So, from an overall point of view, it's not right to compare these two matrices because they ar e not in the same space. One is driven by the overall investor and business is rather driven by investor plus other categories of product that we distribute and then we provide on our platform. So, from

an overall point of view, I would say that we should not relate the two in that sense.
Ajox Frederick: Okay. Got it. And, sir, again, since our persistency is getting better and we have good visibility, why do we stick with a 45% to 50% kind of an EBITDA margin? Because the

contribution margin is very attrac tive and we are going to enter products which are going to give us better contribution. So, what makes it conservative is my question.
Dinesh Thakkar: Yes, we are not conservative. What we are saying that cohorts that we acquire because of digital model, t hat particular cohort, they improve on their contribution margin. But because we are into an investment phase where we want to become a kind of like most trusted brand in FinTech, thing we would be into this investment phase for a few years. So, when we ar e investing, we are conscious about not to go overboard. But be within that reasonable limit of whatever additional cash we are generating. Some amount should be put on innovation and upfronting on new technologies, acquiring new market share. So, we would be conscious about spending and maintaining this margin, operating margin of 45% to 50%.
Having said that, that does not mean cohorts that we have acquired, their margins will keep on increasing. As you saw that, what we have shown in t hat page number eight, the cohort that we acquired in ‘22, that will continue to improve on their contribution margin. But because we are developing this kind of Super App , we have developed this Super A pp for this year, we have launched it. We are launchi ng mutual funds. We will be launching lending products, insurance products. We will continue to be into a kind of like heavy investment phase where we would not lose an eye on operating margin between this 45% to 50%, which includes investment in all kinds of new technologies and acquiring customers for those cohorts.
Ajox Frederick: That is very helpful. Sir, what is the ESOP outstanding right now?
Dinesh Thakkar: Sorry, I did not get your question.
Ajox Frederick: The ESOP cost which will be coming i n the coming quarters?
Dinesh Thakkar: Yes. So you want to know what is the ESOP cost?
Ajox Frederick: Yes.
Dinesh Thakkar: Vineet?
Vineet A

grawal: The current year full ESOP cost is about Rs. 53 crores. As against that, the ESOP cost for the next year tentative is going to be about Rs. 110 crores , but that includes cost for some PSUs that have been granted, which is about Rs. 85 crores. So, only for the RSUs and the stock options, it's about Rs. 25 crores. PSUs have been granted considering a very stretched business growth. So, unless we achieve t hat stretch business growth, we are not going to…
Dinesh Thakkar: I will answer that Vineet. So, like normal ESOP and RSU would be around Rs. 25 crores as Vineet said. This year as we are ready launched, we have launched Super App , we have worked out a stretch target for people. If they achieve that, then we have made allotted PSUs for those segments and those targets.

Ajox Frederick: Okay. This is very helpful sir. Thank you and all the best.
Dinesh Thakkar: Thank you.
Moderator: Thank you. We have a next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Yes sir. Thank you for taking my question. Just one was an observation on the rating on Play Store for the app. It seems to have declined. It was 4 versus some peers now higher than us. Any comments on that? And second one would be if you could share any market share targets that you may have in terms of the ADTO business?
Dinesh Thakkar: What was the second question?
Pallavi Deshpande: Any targets on market share for the ADTO business?
Dinesh Thakkar: Okay. Let first Ankit cover this rating of our app.
Ankit Rastogi: Yes. Hi Pallavi. Play Store ratings which is Android app ratings are reflection of the reviews and ratings combined. And it’s a moving number. Since we were migrating from the old app to the new app, obviously there was an element of su rprise to a few customers. And that’s why there was a fluctuation. Earlier also by the way we were at, I just mentioned we were at 4.2. The latest number by the way as of now today is 4.1.

And it is a moving number and we are very optimistic that it will t ouch 4.5.
Pallavi Deshpande: Right. And second one would be on the market share target.
Dinesh Thakkar: Is it on market share of ADTO you are asking?
Pallavi Deshpande: Yes.
Ankit Rastogi: So, what exactly is your question on market share of ADTO?
Pallavi Deshpande: So, would we have a FY24 target in terms of market share there? And this is actually tying in with the earlier question that was asked with regard to price increases. So, is it the market share?
Dinesh Thakkar: Price increase already we have answered. And like increase in market share and all that, that would be more of a forward -looking statement , that we don't disclose or we don't say. But in terms of rates and everything already have answered. That is the point that we are able to see…
Pallavi Deshpande: I was just trying to tie up , that, would that be, is it market share that drives us now?
Dinesh Thakkar: Yes, definitely. We would be spending to gain more market share. Already we have done it every quarter. So, focus would be increasing our market share. Yes, right.

Pallavi Deshpande: And on the operating margin I think you mentioned 45% to 50%. So, that implies a decline in FY24.
Dinesh Thakkar: Yes, that includes even upfront of costs that we take for new technology. Investments that we do in new segments and investment that we do to acquire more customers. Because when you acquire a customer for that year, our operating margin is not same. So, what I was saying broadly, we would be g uided by this operating margin of 45% to 50%. But if you look at cohort wise, our contribution margin tends to increase for every cohort that we acquire.
Pallavi Deshpande: Right, got it. Thank you so much.
Moderator: Thank you. We have our next question

f rom the line of Deepak Sonawane from Haitong Securities. Please go ahead.
Deepak Sonawane: Yes, hi, sir. Thank you for the opportunity. So, my question is regarding our fees and commission expenses. So, for FY23, we have reported around Rs. 641 crores of the fees and commission expenses. And as I understand correctly, the majority of that will be to the sub broker, paid to the sub broker. So, apart from that, I mean, are there any agencies, I mean, are there any stakeholders that we pay commissio n or fees just for acquiring a client or else just getting those clients on, I mean, getting those clients active. So do we account that expense as in this fees and commission expense?
Dinesh Thakkar: Vineet will answer that and pos t that Ketan can take th is question.
Vineet Agrawal: So, the fees and commission expenses is purely the sharing of broking revenue with the sub brokers, with the authorized persons for whatever revenue that we generate from that channel. Nothing else is recorded in that.
Deepak S onawane: So, this is just only authorized person and not, I mean, any entity, I mean, that you acquire clients through online channels, right?
Vineet Agrawal: No, this is only sub brokers.
Deepak Sonawane: Okay, got it.
Moderator: We have our next question from the line of Jignesh Kamani from GMO. Please go ahead.
Jignesh Kamani: Hi. Just on the activation rate, so it has been declining since last couple of quarters. I just want to know the reason behind this and where it stabilise . And if you further dissect, its more due to the new client added in last two -three quarters where the activation is lower or in old client also we were seeing some fatigue and their activation is declining?
Dinesh Thakkar: See, first of all, we have shown the slide w here we are clearly showing that activation and number of orders are not really connected. As we acquire more customer, few customers become active in that quarter. And when market condition changes, we see lots of more customer getting active. So over all what we have seen is that there is no

strong correlation. If you check slide number 38, where we are clearly showing though based on market condition, activation ratio changes. But if you look at number of orders, they steadily grow. So our assumption is that as market, currently this quarter market was not great. There were like no volatility and no interest from retail as well as even

other participants. But as this kind of like market movement improves, we will see a better activation. But when it comes to number of orders, we are seeing that steadily grows.
Jignesh Kamani: But if I further dissect it, so if two -three year old client, there also activation rate is declined or is mainly because of the new client is not becoming much active because of the current market condition?
Dinesh Thakkar: Devender, you will be able to answer this?
Devender Kumar: Yes, thanks Dinesh bhai. So Jignesh, it's similar for old and new client because it is the overall buoyancy of the client, people are interested. So, we are looking at 12 months, people who have invested at least once in 12 months because NSE Active represents that. And this is primarily driven by how the overall market sentiment looks like which have been subdued in the last quarter. And it affects the new customers as well as the old customers in a similar way. It's not much different. Actually, for old customers, it's a little lesser. But from an overall point of view, it affects them in a similar way. There's no difference between the two.
Jignesh Kamani: Understood. Thanks a lot.
Moderator: Thank you. We have our next question from the line of Aejas Lakhani from Unifi Capital . Please go ahead.
Aejas Lakhani: Yes. Team, firstly again, credit to all of you for putting out the incremental information quarter -after-quarter and providing

incremental insights into the business. It's really very helpful. So, credit to all of you for that. Dinesh bhai, my one question is that again on slide number seven, the data that you put out in the post -digital era for the customers who are far more sticky as compared to the pre -digital era, the counter narrative to that is that Dinesh bhai they have not seen market cycles. So how would you comment or how would you advise us to think because these are fairly new customers. Again, they've not seen seasoning and maturity across cycles. So how do you expect their behaviour or if you could comm ent a little on that?
Dinesh Thakkar: Yes. Lakhani, excellent question. When we are referring to empirical data, it covers almost like your dot -com bubble, your global financial crisis. This is a sample like what we are creating in front of you from FY15 t o FY19. But if you ask my experience that clients who are active in that post -digital era also had a similar trend in crisis situation when market dipped , and again, when it recovered, we saw same kind of trend panning out. So, when you say five years and beyond, it includes one bull market, one bear market, and all that. So, behaviour of a customer who comes to the market remains the same. So, what we are saying is that if pre -digital era, this was a different trend, a

customer what we acquired, it is not that they remained only when markets were good and they ran away when markets were bad.
They remained in the market for five years and beyond. Same thing we are going to see in the digital era also. Like it is not because of COVID or because of t hat they are new to market. People who are new to market in 2001 or 2005 to 2007, if you remember, there was a huge bull market. But post that also, when we calculated five years block and beyond, it remained almost same. So, when we take an LTV of a custo mer for broking, we usually take five years and beyond and then try to map it in terms of how this behaviour would be from one year to two year and two year to three years and beyond. So if you look at slide number 18 that we have shown, in that we have sh own that despite all different market cycles, when we have seen this kind of like huge volatility in Nifty , retail participation has progressively increased. The number of orders you see has progressively increased. What it means, every customer who was acquired in that phase remained active beyond certain periods. It is not just only in that phase when markets were good, they were active. After that, they become inactive. So, if we take the whole cohort, what we look at that active customer base, they are the ones who contribute in the market. So, when you look at active customer base, it does not drop like suddenly, if you look at NSE active client base, data is available to public. So, when we go into granularity of our data, we have seen, I'm t alking about last 15, 20 years, the customer that you acquire remain active five years and beyond.
So, we are showing that trend in slide number seven. What it was historical and how we are seeing improvement in digital natives. The reason for improvement, as I said previously, in physical era, when we acquired a customer, it was served by a relationship manager. If they attrite we'll lose that revenue from that active customer. In digital era, what we are seeing when a customer is acquired, they remain on our

platform and are served on our platforms. That's the reason we are seeing increment
from like first year to second year compared to previous era.
Aejas Lakhani: Got it Dinesh bhai, that was very helpful. And Dinesh bhai, going into the next year, what are the key metrics that you would track for growth that you are tracking?
Dinesh Thakkar: See, as I said, that we have been successful in terms of acquiring customers from tier two and beyond. So, we would remain ag

gressive in terms of acquiring those
customers. Our model has been successful in terms of acquiring those customers and getting decent revenue. If I look at operating margin from those customers also, it is very attractive. Plus, we have added mutual fun d journey. So definitely that attracts stickiness of customer who wants to invest in some other product apart from stockbroking. Progressively, in maybe fourth quarter of this financial year, we are going to introduce third party lending and all that. So, we would like to be distributor of all services. That's the reason I said that this year also we are looking at a kind of like being into investment phase. And we have worked out a stretched target for our team. And we are confident that we will be able to get good market share in areas which are non-broking areas. So, going forward, our focus now would be, not only achieving a good position in stockbroking kind of like area, but also achieving a good position in

mutual fund, starting our businesses in lending, as well as going a bit aggressive on insurance side as well.
Aejas Lakhani: Got it. All the best, Dinesh bhai. Thanks.
Dinesh Thakkar: Thank you.
Moderator: Thank you. We have our next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Thank you for the opportunity. My first question is basically on the same other expense cost. So, if I do the math, is it fair to assume that to maintain the EBDAT margins around 45 to 50, this overall expense will be like 27 to 28 % of the total fee and commission income. That's the way you want to operate these other opex given you said it is largely variable in nature?
Dinesh Thakkar: Vineet, please answer this.
Vineet Agrawal: Yes it remains in that trajectory. So if you see the net income is about Rs. 2,300 crores and our other expense is in line of 25% or so.
Sanketh Godha: Got it. And the question on the margin given to the clearing corporation, just wanted to understand that the float income, what you're going to earn from the clients will remain but the additional borrowing cost will be the additional cost which will impac t from FY'24 onwards, right? So the float income is not going to go away, it's only if ASBA becomes the reality, the only way to trade, then you have a challenge with respect to the float income. Does , my understanding is right?
Vineet Agrawal: Absolutely right, so there is no impact on the float income under the upstreaming mechanism. It's just that there will be some incremental cost of borrowing.
Sanketh Godha: Can you break down Vineet, the Rs. 520 crores of interest income in the operating part into MTF , interest income on your own money and float money or client money?
Vineet Agrawal: That right now I won't be able to share, once we upload the schedules you'll have that data.
Sanketh Godha: Got it. And finally on the entire margin, what you give to the clearing corporation, can you give a broader breakup of the entire margin broken down into cash collected from the clients themselves and bank guarantee and the lien on FD? You indicated that Rs. 40 crores is the cash and Rs. 15 crores is closer to your own money, but what amount is bank guarantee? Is it the same amount what you are borrowing around Rs. 700 crores to Rs. 800 crores?
Vineet Agrawal: No. So, we don't disclose the breakup and I mean, the underlying cash and cash equivalent whi ch we give to the exchanges is in that range of Rs. 4,000 crores of client funds and the rest of our funds. How much of that is in the form of bank guarantee that we don't disclose.

Sanketh Godha: Got it. And last one, MTF income somehow has not done great for us in FY '23. Any measures internally you have taken to build this book over FY '24 where that additional source of i

ncome can come, which has struggled in '23?
Dinesh Thakkar: Ketan, if you can take this question?
Ketan Shah: Yes. So MTF we are working on that strategy to increase the book size and the market share there. So right now we'll not be able to disclose that, but ye s we are on it.
Sanketh Godha: But the trajectory is to make sure that in '24, the fund size or the lending portion s hould be much better than what you have expected from -- what we have witnessed in '23?
Ketan Shah: Yes. So that's the plan.
Dinesh Thakkar: Sanketh, first of all like we are not too much dependent on margin trading book because that is a concern like anci llary services given to customer , who is onboarding for stock broking activity. There are lots of customers who do F&O and lots of customer , who are doing on cash segment. So this cash segment is more dependent on market conditions. If at all we see a good rally in the market, they try to borrow more. So there would not be any linear correlation between like our revenue growth and growth in MTF, but having said that, we are working on lots of new products on MTF side. So we will see improvement on that side .
Sanketh Godha: Got it sir. Thank you sir.
Vineet Agrawal: Just one correction. So a few minutes back, I had mentioned the ESOP cost as Rs. 110 crores. The breakup of that into PSUs and the other stock options is PSUs is about Rs. 55 crores and not Rs. 85 crores and the rest is again Rs. 55 crores, so.
Dinesh Thakkar: So it remains same as last year, almost same.
Vineet Agrawal: Yes. Just that correction.
Moderator: Thank you. We have a question from the line of Sanjay Kumar from ithought PMS. Please go ahead.
Sanjay Kumar: Hi, thanks for the opportunity. So just one question. So I understand equity F&O structural trend since 2008, '1 0. So, but what is happening in commodity ADTO? Because it's also growing exponentially. Are we enjoying the efforts of MCX or is it down to what we are doing? Like now we've gone from 25% market share to 55%, it's a phenomenal performance. So just wanted to understand this part.
Dinesh Thakkar: Ketan, if you can take this question?
Ketan Shah: Yes. So if you look at commodity, largely the new volumes are coming on the options side and MCX is introducing various products on the options side. And given the f act that we were the early provider of options on our platform, on the mobile platform, that's the benefit that we are getting today and hence our market share there is growing.

Sanjay Kumar: Okay. Is this also a structural trend like equity F&O or is it l inked to volatility in commodity prices, so it's more short -term in nature?
Ketan Shah: So MCX is bringing lots of innovative products there and MCX were so options were lacking on their platform, which now we are seeing lots of traction to it. So those products are actually helping business growing.
Sanjay Kumar: Okay. So right now, I think it's at 4%, 5% kind of contribution. So can it go to double digits or can it add more value for us going forward?
Ketan Shah : It would be too early to quantify that, but we are seeing good traction there for sure.
Sanjay Kumar:: Okay sir, that’s it from my side.
Moderator: Thank you. We have our next question from the line of Sakshi Goenka from Sohum AMC. Please go ahead.
Sakshi Goenka: Hi thank you fo r taking my question. Just one follow -up on the margin funding. Suppose a secondary ASBA is implemented and all customers go for secondary ASBA, is that Rs. 4,000 crores on our balance sheet, which is in the form of trade payables, will that disappear? Is that understanding correct?
Moderator: Sorry to interrupt. Ma'am, can you use your headphone, please, your handset?
Sakshi Goenka: Yes. Can you hear me now?
Moderator: Yes. Please go ahead.
Sakshi Goenka: Yes. Just a follow -up question on that margin

funding supposing a secondary ASBA is implemented and all customers opt for it, will the Rs. 4,000 crores of trade payables, which are sitting on our balance sheet disappear?
Dinesh Thakkar: Vineet?
Vineet Agrawal: It's very early to comment on that because we still don't have any visibility of how and when this ASBA mechanism is going to get implemented. Whether it will become mandatory both for the clients or the brokers or is it going to be optiona l, so it's very

difficult to actually quantify anything.
Sakshi Goenka: No, but assuming that everybody opts for it because everything will be now blocked in your bank account and nothing will be coming to you guys, so is it fair to understand that Rs. 4,000 crores will not be with you?
Dinesh Thakkar: It is a very hypothetical question. Right now like, we would not be able to answer that because we have to look at, like how smooth and easy would be for a customer to use that ASBA. So we are dealing with customers who actively require funds, limits and all that. So they don't appreciate even a delay of a millisecond. So this whole banking

system has to gear up to those concern like transfers of funds and all that. So I would say this is hypothetical quest ion. Right now, we'd not be able to answer it.
Sakshi Goenka: Yes. Just one follow -up. Any timelines on appointment of new CEO?
Dinesh Thakkar: We are looking out for an appropriate candidate, looking at what plans we have for next three to five years. So as and when we are able to identify a candidate, we'll announce it to the market.
Sakshi Goenka: Sure. Thank you so much for your time.
Moderator: Thank you. We have our next question from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: Yes, thank you for the opportunity sir and congratulations for a great result. Sir, we have ancillary transaction revenue of around Rs. 258 crores and so this is like over and above what we pay to the exchange. So generally many brokers charge their clients on an actual basis. So is it we charge transaction charges to our clients with over and above the actuals that we pay to the exchange? And is this revenue under risk of any regulatory thing because generally, we have seen prac tices in the broking community that they charge on actual basis?
Dinesh Thakkar: No, we charge based on exchange basis of slabs, so definitely our turnover in exchange is different and client -wise slab is a bit different. So there is no concern like thing that concerns us right now because it is as per what business they want to promote and what we charge is also within that regulatory framework.
Dixit Doshi: Yes. Okay. So because your volumes are high, you were charged at a lower slab by the exchange, that's what you're saying.
Dinesh Thakkar: Right.
Dixit Doshi: And sir in this interest income, our float income would be roughly around Rs. 200 crores?
Dinesh Thakkar: Vineet, if you can take this question?
Vineet Agrawal: We are not disclosi ng the breakup of the float income and the interest income, which we earn from client funding book yet. Once we release our full set of financials with the schedules, you'll have that.
Dixit Doshi: Okay. And sir, since we are what is the investment that we have done in our Super App and that investment is complete now or and the Super App is live and active now?
Vineet Agrawal: So in terms of the capex spend that we've done, as I had mentioned earlier, it's in the range of about Rs. 30 crores and the entire capex spend has been capitalized since the Super App is already live on the platform.

Dixit Doshi: Okay. And if I heard you correctly answering one of the questions earlier, you said that you'll be distributing loan products and we will also tak e the loan book in our book or we'

ll take the risk or we'll just distribute the loan products?
Dinesh Thakkar: No. We would be a distributor apart from this kind of stock broking and AMC business.
Dixit Doshi: So it will be a platform for loan?
Dinesh Thak kar: Yes.
Dixit Doshi: We won't take the risk of the loans.
Dinesh Thakkar: No.
Dixit Doshi: Okay. And my last question, sir, because we are generating a lot of cash, almost and most of these products that we want to diversify is kind of a service and distribution kind of product, which may not require this kind of investment. So what do you think about investing this cash flow that we generate every year?
Dinesh Thakkar: I think, like we have a decent dividend distribution policy to take care of excess cash,

and we are definitely looking at lots of kind of investment and opportunities in the market, which can help us grow our market share in other areas of services that we aspire to become a leader.

Dixit Doshi: And lastly sir, by when are we planning to launch our own mutual fund?

Dinesh Thakkar: Vineet, if you can just.

Vineet Agrawal: Yes. So we got an in -principal approval as a sponsor in February and we have some time to submit our final application. Once we submit the final application, t he regulator takes anywhere between three quarters to four quarters to complete the processing and give us the final approval, post that we can launch our schemes. So technically it's about at least six quarters away.

Dixit Doshi: Okay Thank you.

Moderator: Thank you. We have our next question from the line of Saptarshee Chatterjee from Centrum PMS. Please go ahead.

Saptarshee Chatterjee: Yes, thank you for the opportunity sir and congratulations on great set of numbers. I have just one question t hat you have said that the activation rate that has slowed down, it is across the Board. But when I see your slide number 22, where you have given age - wise bracket of like cohort wise, distribution of brokerage income. There I see that two to three ye ars, you have very high growth compared to other cohorts. Is it that their like number of orders per client is very different from otherwise or like how to read about this slide?

Dinesh Thakkar: Devender, would you like to take this question?

Devender Kuma r: Yes. Hi, Saptarshee. So when you look at this slide, Saptarshee, this basically tells us the clients in various age brackets, so our main uptick of client growth started in FY '21 when post -COVID -- in fact, pre -COVID and then post -COVID, it just jumped up heavily like the industry as well. So what you're seeing here, when you see 242 going to 845, this is the large influx of clients that came in comparison to previous two to three years, that is being represented here.

If you look at the recent t ime where I think we are acquiring at a very healthy rate of clients, that represents that is a more clear -cut understanding of how the revenues are progressing in terms of that. But if you look at the past data, our base before FY '21 was pretty small. We have acquired a large base of customers, more than 1 crore since then and that's what is representing when you look at this chart. So when you look at beyond two to three years, it will show a very significant growth in that particular year is what is vis ible from this chart. So you can't compare it from that point of view.

But if you want to look at from this point of view like I'll give you an example. The Q4 '22 client, which is 1,534 as a revenue number, that number as we have shown before, if those clients have moved to second year which is basically Q4 '23, that has become 1,329. So you can actually see the correlation with slide seven where we have spoken about how the year one revenue and year two revenue of a client looks like. So this is the movement of clients over one to two years, two to three years.

So when you

look at from a quarter four point of view the same clients gave us 1,534 in the first year and the same clients gave us 1,329 the second year when they moved to the second year cohort time. So that's the way you read it and post two years, basically the number of clients have increased drastically, that's why it's difficult to read in this chart at this point of time.

Saptarshee Chatterjee: Understood, sir. Just one related question is that your slide number seven beautifully gives the lifetime like how the revenue is acquired for the client, but I'm saying, for slide number 22, if my question is that for less than one year's client, the revenue numbers actually is not growing much. Is it that concerns that the quality of the new incoming client is deteriorating or like how do you read this?

Devender Kumar: So again, I think Dinesh bhai also mentioned. Whenever you look at revenue, looking at six months and 12 months period is the right way to look at it. Here we have presented a quarterly revenue breakup, the revenue that we got in the quarter four, which was kind of a subdued quarte r as well. So when you want to look at from that point of view, this number is not too readable. We'll have to look at from a yearly point of view to cover various kinds of market scenarios and a normalized revenue, which is comparable in nature, so we can not read the revenue in that front because there you have their market conditions of that particular quarter affecting it. But moreover, if you ask me from an overall point of view, we have seen stability in terms of the first year revenue that we are gett ing from the clients in the prior year in this financial year is what our models and what data base showing at this point of time.

Saptarshee Chatterjee: Okay, thank you so much.
Moderator: Thank you. We'll take our last question from the line of Anand Bha vnani from WhiteOak. Please go ahead.
Anand Bhavnani: Thank you for the opportunity. Two questions. One is on insurance. So insurance is typically seen as an extremely high -push product and a lot of large players in this space, insurance distribution , they have call centers and they are setting up physical offices. How do you think of your insurance plan and your right to win in this segment?
Dinesh Thakkar: Second question?
Anand Bhavnani: Yes. Second question is on how do you see the impact of extension of, as for equity trading on your volumes. Do you have an expectation of how this should lead to change in equity volumes? And also can it affect your commodity volumes given that several of your customers might be doing both equities and commodi ties?
Dinesh Thakkar: First question, insurance, Saurabh will answer that, but let me address your second one. The extension of time depends on how much they're going to extend. If they extend only till five, it will not be big impact on our volumes. Neither our cost will change because we are a digital player. So, if they extended like a commodity market till midnight, then we will see a good increase in volume. There's people who would like to take advantage of global market trends and all that. So we will see less of a gap up and gap down that will create more confidence in retail that there would not be any overnight kind of like risk in equ ity market. So we are very hopeful if at all this time is extended till midnight, we will see a good improvement in market volumes and a good participation from retail. On your first question on insurance, Saurabh, if you can answer that?
Saurabh Agarwal: So we already have a very large sub -broker base and very strong agent presence on the ground, that will obviously help us in building our insurance portfolio. Having said that, our core belief is insurance industry will also undergo strong change in terms of making things more digitized over -time and which is where our core B2

C app and the focus on consumer value prop will come into play. So we'll not be pushing insurance hard like agents have done over the past. I think that is not the core agenda. If that answer your question?
Anand Bhavnani: Sure. Thanks and all the best
Moderator: Thank you. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, sir.
Dinesh Thakkar: Thank you for joining us on today's call. I hope we had been able to answer all your queries. Should you require any assistance, please feel free to get in touch with Hitul Gutka, Head IR or SGA, our Investor Relationship Advisor. Good day.
Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

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(Formerly Known as Angel Broking Limited)
CIN: L67120MH1996PLC101709,
SEBI Registration No Stock Broker:INZ000161534,
CDSL: IN-DP-384-2018, PMS:INP000001546,
Research Analyst: INH000000164, Investment Advisor: INA000008172,
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To,
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Mumbai - 400 001.

Symbol: ANGELONE Scrip Code: 543235

Dear Sir/Madam,

Subject: Transcript of 27th Annual General Meeting of Angel One Limited

Please find enclosed transcript of the 27th Annual General Meeting (“AGM”) of the Company held on Friday, June 23, 2023 at 10.30 a.m. IST.

Further, the video recording of the AGM is available on the Company’s website www.angelone.in/investor-relations/company-stock-exchange-announcements

This is for your information and records.

Thanking you,
For Angel One Limited
(Formerly Known as Angel Broking Limited)

Naheed Patel
Company Secretary and Compliance Officer

Date: June 26, 2023
Place: Mumbai
Encl: As above

ANGEL ONE LIMITED
TRANSCRIPT OF THE 27th ANNUAL GENERAL MEETING OF ANGEL ONE LIMITED
HELD AT 10:30 A.M. ON FRIDAY, JUNE 23, 2023 THROUGH VIDEO
CONFERENCING
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ Good morning, members. I would like to extend a warm welcome to all of you joining us for our 27th Annual General Meeting. The Company Secretary informs that the requisite quorum for the meeting is present, I now call the meeting to order.
■ In compliance with the circulars and directions issued by MCA and SEBI the company has convened this 27th Annual General Meeting through a video conference. The company has taken the requisite steps to ensure that the members are able to participate seamlessly in this meeting by availing itself of the services of NSDL. This has helped us to conduct the meeting through video conferencing and enabled active participation of members at this AGM and for remote e-voting and e-voting during the meeting. This meeting is also being live streamed on NSDL website and YouTube channel. Technology has provided all of us with a bridge to connect with each other as and when we so desire. To ensure wider participation from our shareholder family from different locations in India and abroad, we are conducting our third Annual General Meeting post listing virtually.
■ Let me now introduce you to the board members and our company's key managerial personnel.
■ Mr. Muralidharan Ramachandran – Lead Independent Director and Chairman of Risk Management Committee and ESG Committee. He is also a member of Audit Committee and the NRC. He is attending this meeting from Washington DC.
■ Mr. Muralidharan Ramachandran – Independent Director & Chairman of Risk Management Committee and ESG Committee, Angel One:
■ Hi, everybody.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Ms. Mala Todarwal – Independent Director and Chairperson of the Audit Committee and the Stakeholder Relationship Committee. She is also a member of NRC. She has joined the meeting from Mumbai.
■ Ms. Mala Todarwal – Independent Director and Chairperson of the Audit Committee and Stakeholder Relationship Committee, Angel One:
■ Hello.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Mr. A.K. Sridhar, Independent Director and Chairperson of NRC. He is also a member of the Audit Committee and the Risk Management Committee. He is attending this meeting from Mumbai

.
■ Mr. A.K. Sridhar - Independent Director and Chairperson of NRC, Angel One:
■ Hello, good morning, everyone.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Mr. Kalyan Prasath, Independent Director. He is a member of Risk Management Committee and the CSR Committee and the Stakeholder Relationship Committee. He is attending this meeting from Madurai.
■ Mr. Kalyan Prasath - Independent Director, Angel One:
■ Good morning, everybody.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Mr. Krishna Iyer, Non-Executive Director. He is a member of the CSR Committee and the ESG Committee. He is attending this meeting from Pune.
■ Mr. Krishna Iyer – Non-Executive Director, Angel One:
■ Hello, everyone.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Mr. Ketan Shah, Whole-time Director joining from Mumbai. He is a member of Risk Management Committee.
■ Mr. Ketan Shah – Whole-time Director, Angel One:
■ Hello, everyone.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Mr. Amit Majumdar, Whole-time Director, joining from Mumbai. He is a member of Stakeholder Relationship Committee.
■ Mr. Amit Majumdar – Whole-time Director, Angel One:
■ Hello, everyone.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Mr. Vineet Agrawal, Chief Financial Officer, joining from Mumbai.

■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:
■ Hello, everyone.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Ms. Naheed Patel, Company Secretary and Compliance Officer, joining from Mumbai.
■ Ms. Naheed Patel – Company Secretary and Compliance Officer, Angel One:
■ Hello.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Also attending this meeting are:
■ Mr. Viren H. Mehta and Mr. Jaikishan Wadhwani, representatives for M/s. S.R. Batliboi & Company, LLP, statutory auditors of the company.
■ Mr. Vaibhav Dandawate, representative of M/s. MMJB & Associates, LLP, secretarial auditor of the company.
■ Mr. Sanket Shroff and Mr. Punit Rathi, representative for M/s. KPMG Assurance and Consultancy Services, LLP, internal auditors of the company.
■ Ms. Ashwini Inamdar representative for M/s. Mehta & Mehta, Practising Company Secretary, who have been appointed as scrutinizer to scrutinize the e-voting.
■ Since the notice has already been circulated to members, I take the notice convening the meeting as read.
■ Attention of the members is drawn to the fact that the statutory audit report on financials has no observations or qualification and is taken as read.
■ Further I would like to draw your attention to the remark of the secretarial auditor in the report for FY22-23 – “kindly be informed that the board has taken note of the remark of secretarial auditor and clarifies as below.”
■ 1. The composition of NRC is not in compliance with provision of Regulation 19 of SEBI LODR for the period of 1st April, 2022, to 17th May, 2022. Further the company has affirmed the said regulation is in compliance in the corporate governance report for the respective quarters which was erroneous. However, the composition was duly constituted with effect from 18th May, 2022.
■ Our explanation pursuant to the provision of the SEBI LODR 3rd Amendment which came into effect from 1st January, 2022, two-third of the members of the NRC shall be independent directors. As of 1st April, 2022, the NRC of the

company had 5 members of which 3 were independent. The company interpreted that at least 3 members of NRC have to be independent being two third of 5, which arrives at 3.33. However, the stock exchange clarified that the higher number of decimal is to be considered and the number of independent members of NRC

shall be rounded off to 4. In view of the above the company re-constituted the NRC on 18th May, 2022, and made good the compliance with r

espect to
the composition of NRC.
■ 2. Second remark - there were some e-form filing pending with respect to allotment of shares and charges with the MCA due to technical issue at the V3 portal.
■ Our explanation – “this is a common concern faced by companies, however the company will endure to file the form as soon as issue with MCA is resolved”.
■ I extend my best wishes to all of you and hope your loved ones are safe and healthy. I would also like to express my heartfelt gratitude to you all for your continued faith in us which has always encouraged us to move forward and achieve dynamic milestones during our journey.
■ India is poised to make a significant leap into a global economic order. The country is on the track to become the third largest economy in the world by 2027, heralding an era of explosive and sustained economic growth for its people. Importantly the trajectory and magnitude of this growth is already bringing in enhanced living standards and improved lifestyle beyond the top 30 cities and other urban centres presenting significant growth potential.

■ We are living in an India of tomorrow, a nation that is preparing to reap the benefit of this growth potential which is being driven by a massive tidal wave of digital transformation. The exponential growth of financial literacy as well as ever increasing use of smart phone and internet, Indians are remodelling their saving habits by embracing dynamic new avenues of wealth creation instead of relying solely upon traditional asset classes. India's digital stack has empowered millions to enter the investing fold giving them an opportunity to capitalize on India's growth story. The growth in number and the scale of investors has exhilarated the adoption of fintech platform as they offer exceptionally simple onboarding and engagement processes making them easily accessible to almost everyone in the country. Simply put these platforms have democratized the investing ecosystem by empowering millions to ascend the economic pyramid. The growth of this platform also reflects India's continuously maturing capital market which has witnessed quantum changes over the past 30 years. The biggest change has been the significant expansion in both depth and the size as more retail investors participate and companies approach market to meet their capital requirements. Thanks to technology driven information

revolution, retail investors now have access to a level playing field enabling them to make educated decisions.

■ Digitization has fuelled this large scale growth in retail participation and democratization amongst investors. The progressive financialization of household savings is exemplified by the growing base of Demat accounts which stood at around 114 million as of March 2023 leading to an exponential increase in India's market capitalization from Rs. 4.09 trillion in FY97 to over Rs. 256 trillion in FY23 thus making India the 6th largest equity market in the

world. The share of retail investors expanded to 36.5% and 27.7% in the equity cash as well derivative turnover in FY23 from 33 and 23% respectively in FY16.

■ This sustained growth has been possible due to a strong regulatory environment commensurate with the complexity of Indian capital markets. I strongly believe that the regulatory framework will keep evolving as the regulatory authorities continue providing stronger guardrails especially for the growing retail investors. Such interventions consolidate the confidence of retail participation thereby aiding the growth of industry. We continue productively to collaborate with regulators in their endeavour to make the capital market resilient and safe for their participants.

■ Despite this healthy growth, India remains a largely underpenetrated market with just over 8% of the total population having Demat accounts and over 2% being active on NSE. In terms of market capi

talization to GDP

India still has a significant room for growth. I strongly believe India is on the track to become one of the largest capital market in the world. We are witnessing transformational changes around technology and innovation which presents us with an opportunity to empower a billion Indians to make informed choices in their wealth creation journey.

■ Angel will be a leading player in mobilizing substantial portion of household savings into avenues of wealth creation. Over the past few years Angel One has metamorphosed into a future ready fintech business through a multi-dimensional evolution with an aim to developing a sustainable and profitable digitally powered financial service institute.

■ With significant strategic financial operational progress over this period Angel One has demonstrated resilience to weather local and global turbulence and uncertainty. Amongst the signposts of our persistence and superior digital playbook we have achieved an astounding eightfold growth in our client base. Our net revenue has increased fivefold and our profits have soared tenfold over the past 3 years.

■ The Indians of today demand a friction less experience in their investment journey. Aligned with this, Angel launched its Super App across all platforms to address the wealth creation aspiration of every Indian. During

the year we successfully migrated and transitioned all our clients to the new app. It will be fair to say this is perhaps this is one of the largest migrations in digital space achieved by any company in India within the shortest possible timeframe. This app will be a prime driver for Angel to become a trusted fintech brand empowering a billion lives by leveraging power of data and technology.

■ Angel will reap long term benefit as we deliver on 3 strategic focuses.

1. Achieving market leadership,
2. Augmenting AI/ML capabilities,
3. Increasing customers' life time value.

■ Super App is a vehicle through which our strategy will be executed. We have been buoyant by its success as evidenced by strong growth in monthly unique SIPs during the first quarter of its full-fledged roll out. This diversification will further broaden as we offer other financial products to meet the evolving needs of our clients. Through this strategy we are confident of entering into a long-term relationship with our clients thus harnessing the true potential of our Super App.

■ During the year we continued to invest and expanding our capabilities and infrastructure, and commissioned a new data centre which will enable us to leverage our new ML based data science programs and serve our client more efficiently. We also invested in strengthening our human capital in the domains of technology, product development, digital revenue, acquisition functions with critical and niche talent coming from leading technology companies. Their hands-on experience in building planet-scale consumer focusing retail products and the solutions will be reflected as our Super App evolves going forward.

■ The Angel One team has been further strengthened with the addition of Mr. Amit Majumdar as Executive Director for Strategic Initiatives. It gives me great pleasure to welcome Amit, who has had considerable experience in BFSI, health care and consulting business and has also been associated with Angel One in the past. Amit brings deep rigour and innovation to our business cycle as well as our growth and profitability. He will oversee various strategic initiatives Angel One wishes to explore.

■ Regarding our operational and financial performance for FY23, I am delighted to state that Angel continues to create newer benchmarks. During the year we expanded total client base by 49.5% year-on-year to 13.8 million as we onboarded 4.7 million clients making Angel one of the largest retail stock brokers in India. With this we garnered 12% market share in India's Demat Account and 18.4% market sh

are in India's incremental
Demat accounts. Our digital engagement capabilities exhibited sustained improvement in our share of active clients on NSE to 13.1%. With nearly 4.3 million clients thus included us among the few players to maintain the consistency of positive trajectory. Scalability is one of the pillars of Angel

One's digital capabilities and this was best illustrated when our client executed an average of Rs. 13.6 trillion in a daily turnover across nearly 926 million orders on our platform. We grew our overall retail equity turnover market share to 21.8% and our commodity turnover accounted for 51.4% of market share during the year. Angel has always focused on unit economics and runs a profitable business. While prioritizing client's interest and enhancing their experience we made remarkable progress in FY23, as we achieved revenue of Rs. 30.2 billion representing a growth of 31.5% over the previous year. Correspondingly, our operating profit grew by 42.9% over the last year to Rs. 12.2 billion further expanding our operating profit margin to 53.3% in FY23. Our PAT from continuing operations increased by 42.4% over the corresponding period last year to Rs. 8.9 billion.

■ On the cohort basis we have seen healthy revenue over the 5 year period and beyond. Our digital business model demonstrates further improved revenue progression in clients continuing their journey on our platform. With a very healthy LTV to CoA of 7.8 times based on the first 3 years of aggregate client revenue, we believe as our clients spend more time on our platform and consumes more services this LTV to CoA multiple will have a long runway of grow thus signifying a robust annuity nature of the business.

■ On the balance sheet side, cash and cash equivalent increased to Rs. 54.9

billion. Our investment in Super App and commissioning of a new data centre led to an increase in our fixed assets to Rs. 2.5 billion. Our net worth increased to Rs. 21.6 billion. Our FY23 returns on average net worth stood at 47.5%. We continued our journey to maximize shareholders' value with an aggregate dividend payout of Rs. 39.9 per equity share which translated into all time high payout of 37.3% of the reported PAT. This reflects our endeavour to provide our attempt to return to our shareholders while continuing to invest in the growth of the business.

■ Our strong governance policy, robust internal control system and effective shareholder communication differentiates us from our peers. We are respected in the industry for our disclosure standards and have created benchmark in the systems and processes. We support empowering the youth to make informed investment decision through a wide bouquet of digital content.

■ At Angel One we have continued to learn, build, grow efficiently while expanding our client base and diversifying our product offering, with the depth and breadth of fintech capabilities and our strategy to maximize lifetime client value we remain well positioned to leverage emerging opportunities.

■ For FY24 our key focus will be to strengthen our AI capabilities across the entire value chain of the business. As we introduced more products this

initiative will enhance the experience and engagement of our clients leading to expanding revenue streams and better margins.

■ I am excited to share that Angel is at the cusp of building a distinctive asset management business, having received in principle approval as a sponsor in February 2023 the full-fledged launch of this business is still a few quarters away. The asset management business will catapult your company into a different league of diversified fintech businesses as we capitalize on this space just as we have done in the broking industry. We will continue to focus our mission of democratizing the culture of investing in equity and catering to all segments of our target client across smaller towns and cities. This will further

enhance our ability to play a larger role in expanding India's journey of financial inclusion.

■ I would like to take this opportunity to offer my gratitude to our board, our stakeholders, the government, business partners, lenders and the shareholders who have trusted and supported us in our journey.

■ I would like to thank the regulatory authorities for their consistency in proactively taking decisive steps to protect the interest of retail investors and making Indian equity secure and widely accessible.

■ Finally, my sincere thanks to the entire Angel One team that has worked tirelessly to deliver the highest level of service. We strive to continue our progress with optimism while driving our Fintech playbook and building on the achievement of FY23.

■ I will now request Ms. Naheed Patel, our Company Secretary to explain the general instructions regarding participation and voting at this meeting to you all.

■ Ms. Naheed Patel – Company Secretary & Compliance Officer, Angel One:

■ Thank you, Mr. Chairman.

■ Good morning, dear members, a warm welcome to all attending this 27th Annual General Meeting of our company. I hope our members are safe and healthy.

■ The facility to join this AGM through video conferencing is being made available to all the members on first come first served basis pursuant to the regulatory requirements. For the smooth and seamless conduct of the meeting members will be kept on mute by default to circumvent any disturbance. During the question-and-answer session we will announce the names of the pre-registered speakers in sequence. Thereafter, the speaking facility for the respected member will be unmuted by the moderator when his or name is called out.

■ Members asking questions or seeking clarifications are requested to keep their video on or use their earphones or handset. In case any member is facing a technical problem with the video transmission, they can ask questions through audio. If there is any connectivity issue at the speaker's end whereby we are unable to connect to the speaker we would request the next speaker to join, and once the connectivity is restored for the earlier speaker, he or she will be requested to speak after the other pre-registered speakers have completed their turns. In the interest of all the members I would request the speakers to restrict their questions to the matters being transacted at the meeting and keep their comments brief and avoid repetition of questions.

■ As per the provisions of the Companies Act, 2013, and the SEBI LODR regulations, 2015, the company had provided remote e-voting facility to the members through NSDL platform to cast their votes prior to this meeting. The cut-off date was 16th June 2023. The remote e-voting commenced on Sunday 18th June 2023, at 9 am IST and concluded yesterday 22nd June, 2023, at 5 pm IST. Members as of cut-off date' only shall be entitled to cast their votes. Members who have not cast their votes through remote e-voting and who are attending this meeting, will have an opportunity to cast their votes during the meeting. The voting window is already open for all the members, and will also be available for the next 15 minutes after the conclusion of the meeting. Members who have cast their votes through remote e-voting, will be eligible to participate at the AGM,

but will not be eligible to vote again at the AGM. Members can go to the home page of NSDL and cast their votes during the meeting. As regards voting at this meeting, there will be no voting by show of hands, and the resolutions set forth in the notice are not required to be proposed and seconded. All the requisite statutory registers, including the Register of Members, Register of Directors and Register of Director's Shareholding are available for inspecting in electronic mode. Members seeking to inspect the same, can send in a mail request to the company's email id – investors@angelbrok

ing.com As this meeting is conducted through audio-visual means, the proxy facility is not necessary, and accordingly has not been provided. During the meeting, if a member needs any assistance or has any queries regarding participating or e-voting, the shareholder must refer to the Frequently Asked Questions for shareholders and E-voting User Manual for the shareholders available at the Download section of www.evoting.nsdl.com or write an email to evoting@nsdl.co.in . You may also contact the helpline 1800 1020 990 or 1800 2244 30. The details are also mentioned in the notice of the meeting. Thank you very much. We will now move to the Question & Answer session.

■ The names of the registered speakers will now be announced. I request our Chairman – Mr. Dinesh Thakkar to interact with the speakers.

■ I now call upon Mr. Hardik Jain, who is the first speaker shareholder. His DP Id is 1202890001251367.

■ Mr. Hardik Jain – Shareholder:

■ Thank you for the opportunity. First of all, you've done a commendable job. What we've done in the last 3 years is really very very nice, and the way you've distributed dividends is also very appreciated. Sir, now I have few questions about the business and the balance sheet. Sir, in the balance sheet you mentioned that we have 21,000 authorised person's network. So now, what I assume is, we are a fully online kind of a business where we acquire clients online. So, what is the role of this authorised person, and do we also intend to expand our physical network in the future? This is my first question.

■ Secondly, by when are we planning to start our AMC business? And in the Annual Report you have mentioned that it will be digitally powered by quant based recommendation engine, and it will be different from the normal AMC business that we see today. So, can you please elaborate on this, what are we exactly trying to do in this AMC business?

■ Thirdly, we have 55% market share in commodity turnover, which is very nice. But, what do you think is the reason for such high market share and what have we done differently from our competitors? That's because, such a high market share is very unusual.

■ Also sir, at the time of account opening, do we charge anything to our

customer? And if yes, what are the charges and how much? And how much cash do we have on our books excluding clients' funds which belongs to us? So, this is one thing, because I could not understand from the balance sheet, because there are many clients' funds also in the cash and bank balances.
■ Now, there were talks about market timing extension. Any update on the same, and how it can affect us? Sir, we have a big margin funding book. So just to understand the risk side, how much percentage margin do we take from the clients, and what is the average interest rate that we get here? Our trading software, and more importantly, super app, is it entirely developed in-house, or is it given to some external agency to build the software? And also, the maintenance of that software, is it entirely done in-house, or is it done by some external software company? Sir, income from depository operations last year was 126 crores and it reduced to 100 crores this year, despite our number of demat accounts which have opened, which has increased drastically. So, if you can explain why the income from depository operations has decreased despite that? See, other operating income has 265 crores i.e. mainly transaction charges net of payouts to the exchanges. So, I assume that this is the exchange charge, your transaction charge is based on some slabs depending on your turnover. So, does exchange give you refund on a monthly basis? Is my understanding correct, if you can explain this?

■ Last two questions sir, sorry. Advertisement and publicity expense last year was 376 crores. So, do you have any budget that you have made for this year or next year as to how much you want to spe

nd on advertising and publicity
going forward? And lastly, we have more than 1 crore customers who login to our app on a daily basis. We have very valuable data, like age profile, income profile of these customers. So, what are other various ways that you are thinking to monetise this kind of a valuable data? These are my questions sir. I hope to receive answers on them. Thank you.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Hardik, thank you very much for the compliments, first of all. And, I think, you have taken care of all shareholders' questions, and you have called almost all questions what a shareholder would like to ask. Okay, let us go one by one.
■ So, you have asked about authorised person. I would request Ketan to answer that.
■ Mr. Ketan Shah – Whole-time Director, Angel One:
■ Yeah sure. Hi Hardik. So authorised person, that channel is very very important for us for client acquisition and for servicing them. As we move on to tier 3, tier 4 kind of cities for penetration, this channel is going to play a very important role. If you look at the revenue contribution, the AP channel has contributed 23% of our net broking in FY23 versus 25% in FY22. I hope that answers your question.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Okay. Then on AMC business. See, the reason we chose to go to the AMC vertical was, we feel that there's lots of opportunity when it comes to… including lots of people who have not yet come to equity market. These are the people who live in

rural towns and all that. And as you know, that most of our customers have come from tier 2 and beyond. So, we believe that passively managed funds, smart beta product and some portion of actively managed fund would be something which would differentiate our offering from many traditional players. So, I think there is a big scope for Angel to play in that role, where we are able to expand this reach of equity through passively managed funds, index funds, ETFs and all that. So, our model would be, primarily, passively managed funds and smart beta and quants and all that. Some portion may be in actively managed funds, because retail people love to be into small and mid-cap where coverage is very less. So, we feel, some tadka of all that would be necessary to give you some better performance.
■ On your third question, commodity turnover, why it is so high and what is the differentiator that we have built? I'll request Ketan to answer this.

■ Mr. Ketan Shah – Whole-time Director, Angel One:

■ So Hardik, there are multiple reasons, and I'll share one by one. So one foremost is that, the first important reason is that, we were the first to introduce auction/option on our platform, the super app that we are talking about, for transacting options on commodity. Second is, our product experience on this platform is far superior than others. We also provide research advisory for that segment. So basically, when we offered this product on our platform, we got that first mover advantage and garnered a healthy market share there. And last but not the least is that, today, we are operating commodity and equity business under the same license, which allows us giving fungibility of margins to both segments to our customers. So, these are the few reasons, because of which, we have garnered a decent market share in commodities.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ Okay. On your fourth question regarding account opening charge, see, the day we went digitised, we believed that we have to give best service to customers at the best price. So, if you look at unit-wise returns and all that, they are decent enough. As I said, what we want to see, is that more and more people really join the equity market and we don't want to create any hurdle. So, there are no account opening charges, and we are the best priced in the industry a

s of now.

■ And second, if you look at services that we offer, like advisory, research and margin trading, if you compare to our industry, our focus is always on how to optimise our cost and how to scale up our business so that we are able to provide an advanced service without any price to our customer. So to answer your question, we don't charge anything for account opening.

■ Now, on your fifth question, which is how much cash… Vineet, if you can answer that, how much cash and all that… ?

■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:

■ Sure. Thank you for asking this question. Our own cash as of 31st of March, net of the clients' funds that we have, is about Rs.1,250 odd crores.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ Okay. And, on your question about market timing extension, see, you must have read in newspapers and all that, that discussion has been going on, nothing has been firmed out yet. Our view is that, this extension should be allowed, because only then will retail be able to participate. And there's lots of volatility because of the US market and all that, that is our view. But, when it comes to the regulator and all that, this is just at a discussion stage. We haven't heard anything concrete from the regulator as yet.

■ Seventh, your question is on margin funding book. Vineet, if you can answer that.

■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:

■ Yes. So, we offer margin trading funding to our clients for up to 80% of the purchase value of the equities in the cash delivery segment. And, this is in a graded manner, so it depends on the quality of the stock funded. The interest that we charge to our clients for the MTF is 18% per annum.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ On your question of trading softwares, whether it is in-house? So, just to answer that, all our development of technology, back end, front end, including the super app, is all in-house; maintenance is in-house. So, we have a team of around 600 engineers on the technology and product side, we have a decent size of team on data science and machine learning as well.

■ Your next question is on income from depository. Vineet, if you can answer this.

■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:

■ Sure. So, the income from depository operations reduced, as you rightly said, and that's primarily because the cash delivery orders were lower by about 20% year on year. And, this has a direct impact on the depository operations, because we recover basis the number of orders executed on the cash delivery segment.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ Okay. On your next question about operating income of 265… about that transaction charges and all that, see, there is a slab for the customer, and because of our huge volume, our slab with the exchange is different. So, it is not that the exchange refunds us, they charge us at that level where the volumes are.

■ On your next question, advertisement and expenses, Vineet if you can answer this.

■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:

■ As a matter of policy, we do not give any guidance in terms of how much are we going to spend in the current financial year as compared to the previous financial year. But, most of this advertisement and publicity is spent towards client acquisition. Some part of this is also spent towards branding and publicity expenses.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ On your next question of 1 crore customers, and we have valuable data, how do we leverage it? As I said, we are building a big team on AI and ML and FY24 is dedicated and focused on how to leverage this data for the benefit of the customer, so that they're able to sell multiple products. So yes, we are investing heavily on AI-ML technologies and data science,

and progressively you will see that we will be one of the players who would be using this data science in a very different way where we're able to pinpoint the customer's need and their requirement, and product which should be suitable to that person. Thank you very much Hardik for all these questions. I hope we have answered all your questions.

■ Mr. Hardik Jain – Shareholder:

■ Thank you for patiently answering all my questions. I really appreciate it. Thank you.

■ Ms. Naheed Patel – Company Secretary and Compliance Officer, Angel One:

■ Thank you Mr. Jain. We now call upon our next speaker shareholder, Mr. Vinod Agarwal having DP id IN 30311610678714. Good morning Mr. Agarwal.

■ Mr. Vinod Agarwal – Shareholder:

■ Thank you. Respected Chairman Dinesh Thakkar ji, good morning and regards to every one sir. This is the third AGM that I'm joining virtually with you since your IPO, and this is your third meeting after the IPO also. So, I'm joining from the first meeting of your company post IPO. Compliments for achieving very good financial figures. The revenues were high by about 21%, your PAT was high by about 42%, very good sir. And in the broking and depository business you had 2,441 crores of revenue in the broking side, and in the client funding side you had 261 crores. Overall, the revenues were about 3,061 crores, which is very good sir. Sir, I have 2-3 small queries.

■ One is on… on page 7, it mentions the dividend as 39.9 and on page 87 when I add up the dividend for the financial year, it comes to 42.10, on the dividend which you have declared for FY22-23. What is mentioned on page 87, that adds up to 42.10. So, there's a little dichotomy, I don't understand that sir. And I'd like to know, is our company also giving stock lending and borrowing scheme to the customers of Angel One, I'd like to know. And sir, our company, I'm sure will be doing better as the financial inclusiveness of the country's population is getting… and the economy is gong to $5 trillion also soon. Also, the company is going to

launch the AMC business. We already have AMC products for third parties which is about Rs. 21 billion under our management. But when we launch

our own, we also will have our own AMC business and that also will give us good revenues, and we're bullish on the prospects of the company.

■ Another thing, our current market price is about Rs. 1,600 today. I would just like to know, is the company thinking of sub-dividing the share or giving out bonus shares? The reserves are good, the company's performance is good, even the EPS is good. Do consider this. I wish the company all the best. Signing off. This is Vinod Agarwal from Mumbai. Thank you sir.

■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:

■ Thank you very much Vinod ji. Thank you for your wishes, compliments and blessings. See, on the dividend front, Vineet, do you have any explanation, or can we write back to him?

■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:
■ So upfront, Vinod ji, what we have declared in page 87 is including the dividend that was distributed… the final dividend for last year, which was distributed in FY23. And, the 39.9 is the current year's dividend, including the final dividend. So, 35.9 + 4 = 39.9. So, that's the gap. So, one is on cash basis, the other is on the declared basis.
■ Mr. Vinod Agrawal – Shareholder:
■ Just one second Vineet. This mentions the dividend declared. 'The board during the meeting declared the dividend on 20th April, 2.25'. These are the dividends declared on page 87. When I add up those dividends declared within the year, from April till March, that comes to 42.1.
■ Mr. Vineet Agrawal – Chief Financial Officer, Angel One:
■ Yes. So, the dividend declared on 20th of April was actually paid in FY23, which was pertaining to FY22. So, cash basis it's 42.2 and on declared basis for the last financial year, from 1st April

till 31st March, including the final
dividend which will be approved by the shareholders, is 39.9.
■ Mr. Vinod Agarwal – Shareholder:
■ Okay, I get it. Thank you.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ On stock lending and borrowing, Ketan, if you can just throw light on that.
■ Mr. Ketan Shah – Whole-time Director, Angel One:
■ So Vinod ji, as long as our systems and processes are concerned, we have that capability to offer SLBM. But unfortunately, the volumes are not there in that

segment and there is no much interest shown from the customer's side. As and when that volume comes, definitely our customers will be able to take benefit of it.
■ Mr. Vinod Agarwal – Shareholder:
■ I feel that if you start, the volumes will start. Because you've not started, the volumes are not there. It's a paradox sir, it's one after the other. The cat comes first and then the mouse comes. That is it sir. Just start it sir, you'll get. And it's a high margin business sir. Most of the companies have 10-15% of the SLBM rate that they take.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Sure, point noted. Your point on AMC, we have been always strong on the distribution business. So, after this super app launch, we are going more aggressive in terms of getting into very faraway pin codes and all that, and we have seen very good traction for this quarter. Plus when we launch our own AMC, this would be unique products where we want to bring in more low ticket size customers. When we look at equity, equity can easily give a CAGR of 12-13%. It is far better than any kind of risk-free asset, FDs and all that. So, our endeavour would be to create awareness about equity class and make it available to people who have very low ticket size. So, let us hope that we are successful, as successful as we are into broking, and create some big disruption in the AMC business.
■ Your fourth point on sub-division of stocks. We have taken note of it. Whenever it is needed, if our directors, consultants, everybody feels that it is necessary, we shall take that step. Right now we don't have any plans, it will remain as it is. Thank you very much for all the questions, and thank you very much for your best wishes, and being present in all AGMs all the years.
■ Mr. Vinod Agarwal – Shareholder:
■ Thank you sir. Wishing you the best.
■ Ms. Naheed Patel – Company Secretary and Compliance Officer, Angel One:
■ Thank you speaker shareholders. Thank you Chairman. We now move to the closing comments from the Chairman.
■ Mr. Dinesh Thakkar – Chairman & Managing Director, Angel One:
■ Thank you very much for your questions and your suggestions. Hope we were able to satisfy all the answers and queries raised by you all. I want to thank you all for your participation and constructive suggestion and comments. I now request our members who have not voted earlier, to cast their vote on the matters set out in the notice. The e-voting facility will

remain active at the NSDL e-voting website for the next 15 minutes, to

enable members to cast their vote. Ms. Naheed Patel – Company Secretary, has already briefed you on this meeting's voting process. The consolidated result of the remote e-voting and the e-voting

during the meeting, will be announced within 48 hours from the conclusion of the meeting, and made available on the company's website, on the website of NSDL, ad on the website of the stock exchange. All resolutions as set out in the notice, receiving the requisite number of votes, will be deemed to be passed on the date of the AGM. Now we call the formal business before the meeting as over. The meeting will conclude at the end of 15 minutes form now. Once again, I thank each one of you for attending this Annual General Meeting today. I sincerely wish that you and your family members stay safe and healthy in the times ahead. Thank you very

much for attending
the meeting. Have a good day.

Call: Jul 2023

Angel One Limited
(Formerly Known as Angel Broking Limited)
CIN: L67120MH1996PLC101709,
SEBI Registration No Stock Broker:INZ000161534,
CDSL: IN-DP-384-2018, PMS:INP000001546,
Research Analyst: INH000000164, Investment Advisor: INA000008172,
AMFI Regn. No. ARN–77404, PFRDA, Regn. No.-19092018. CSO, Corporate & Regd Of■ce:
601, 6th Floor, Ackruti Star, Central Road, MIDC,
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T: (022) 2820 5943 | (022) 4000 3600
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E: support@angelone.in
www.angelone.in To,
Listing Department
National Stock Exchange of India Limited Department of Corporate Service
BSE Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Symbol: ANGELONE Scrip Code: 543235

Dear Sirs/ Ma'am,

Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation June 28, 2023, intimating of the earnings call with analysts and investors hosted by the Company on July 14, 2023, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same.

Thanking you,

For Angel One Limited
(Formerly known as Angel Broking Limited)

Naheed Patel
Company Secretary and Compliance Officer

Date: July 19, 2023
Place: Mumbai

Encl: As above

Angel One Limited
Q1 FY '2 4 Earnings Conference Call

July 14, 202 3

MANAGEMENT:

Dinesh Thakkar

Chairman &
Managing Director Vineet Agrawal

Chief Financial
Officer Prateek Mehta

Chief Business
Officer Jyotiswarup
Raiturkar

Chief Technology
Officer Ankit Rastogi

Chief Product
Officer
Amit Majumdar

ED - Strategic
Initiatives Prabhakar
Tiwari

Chief Growth
Officer Ketan Shah

Chief Strategy
Officer Deepak
Chandani

Chief Data Officer Subhash Menon

Chief Human
Resources Officer
Dr. Pravin Bathe

Chief Legal &
Compliance Officer Saurabh
Agarwal

CXO New
Business Bhavin Parekh

Head of
Operations, Risk &
Surveillance Devender
Kumar

Head of Online
Revenues Hitul Gutka

Head of Investor
Relations

Disclaimer: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange will prevail.

Moderator: Ladies and gentlemen , good day, and welcome to the Angel One Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs , opinions and expectation of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, sir.

Hitul Gutka: Thank you, Ryan. Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q1 FY '24 financial and business performance. The recording of today's earnings call and tra nscript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Dinesh Thakkar, Chairman and M anaging Director, Vineet Agrawal, CFO. We also have the other senior leadership team of Angel One on the call, along with SGA, our IR consultant.

The leadership team will give us a brief overview of the operational and the financial performance of the quar ter gone by followed by a Q&A session. Please note that there may be certain forward -looking statements during the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Dinesh Thakkar for his opening remarks.

Dinesh Thakkar: Thank you, Hitul. Good morning, everyone. I'm happy to share that Angel One has continued to deliver strong performance and I will take you through some of the key developments of the quarter and important initiative wh ich are lined up during the financial year. Vineet will walk you through our financial performance thereafter.

During the quarter, we maintained our focus on investing in technology and product to offer our clients a seamless experience on all our digital platforms. We endeavour to develop a user -friendly platform for new to market clients while making it swift for experience d traders . We continue to refine our customer journey on our Super App, shipping out key functionalities and enhancement regularly. Th is has led to a further improvement in our overall NPS to a historic high. I'm happy to share that Angel One features in the top 15 club of free finance apps across Play Store and App Store, outperforming many of our peers as we compete with ba nking, payment, lending , wealth apps .

We'll be rolling out several exciting features this year such as the always on order feature, which will enable clients to place orders at any time of the day, including even when they are out of the network, thus improving engagement with our app. We are

also developing an advanced conditional order platform on which a statement will be translated to an order via a large language model. We have further enhanced our SmartStore , a market place offering a wide range of exclusiv e rule-based fintech apps catering to clients' diverse needs. Its integration with our Smart API facilitates trade execution for clients. In addition, the SmartStore provides educational resources, including blo gs and webinars that keep clients updated with the latest trend and insights in the investment space. We are in the process of enhancing the SmartStore basket in a manner that is relevant and comprehensive acr

oss all the financial needs of our customers.

Angel One is a dominant retail focused fintech platform with a large and growing client base. With our focus on a more comprehensive financial services playbook , we commissioned the direct m utual fund journey on the Super App, which has been a resounding suc cess. This model has witnessed a fourfold growth in registered SIP to over 430,000 in Q1 FY '24 over the sequential quarter. I'm happy to share that Angel One is amongst top 2 players in India in terms of incremental registered SIP in June 2023.

Next, we a re building partnerships and journeys to operationalize the distribution of consumer credit products, which is expected to go live over the course of the year. This year, we have planned a formidable brand campaign to enhance awareness of our full stack fi ntech platform, which aims to address all our customers' financial needs and aspiration.

Our network of Authorized Person , AP, the affiliate business channel, remains one of the important growth engine in the business. We continue to dominate the industry with the largest network of Authorized Person in the country at over 21,000 channel partners. As of June 2023, we further augment and build greater efficiency in the channel, ensuring highest level of compliance and governance. And to facilitate the APs to serve our clients better across multiple asset classes, we have further upgraded the NXT platform, which is an industry -first dedicated digital platform to them. For us to capture the full potential of our distribution capabilities of digital f inancial products, we believe all affiliate channels, including IF As, insurance agents , MF distributors are extremely important. This channel represents large untapped potential for us.

With our ability to harness big data at Angel One through our AI/ML ca pabilities in discerning patterns, trends and the preference of customers and to offer service digitally, our fintech DNA will be able to better empower such affiliates to serve a larger audience than has been hither to been possible. This will further ena ble them to expand their product basket, thus ensuring customer retention. Besides, this will help us fulfil our aspiration to positively influence the lives of underserviced population of the country, which relies purely on such affiliates for achieving t heir financial goals.

Our comprehensive digital capabilities, combined with such affiliate channels serving a large customer base, will foster a mutually rewarding partnership. We are in the process

of hiring a Chief Business Officer - Affiliate Channel to comprehensively capture this large potential.

Since we now have a large pool of clients and a huge data lake, we are focusing on better utilizing this by further augmenting our data analytic capabilities. Over the past 9 months, we have centralized seve ral heterogenous data sources to produce fact-based data sets on a common data platform. This centralized database collects and integrate various eligible client data, including user persona , engagement, trading behavio ur, product touchpoint attributes, clickstream data and trans action data. This comprehensive repository empowers our product , tech and growth functions as they gain holistic insight into clients' behavio ur and preference to further personalize engagement, thus improving client satisfaction an d retention.

During the quarter, we collaborated with a U.S. -based service provider to conceptualize and implement GPT -driven chatbot for our customer support system. The chatbot is being trained on a large language model with our client specific and other tempora l data. This initiative has resulted -- has delivered a 70% success rate as of now. We aim to incorporate real -time insights into a conversational model and go live during the current financial year.

To scale this up mor

e effectively , we have expanded our management bandwidth with on-boarding of Mr. Deepak Chandani as Chief Data Officer. Deepak comes with a strong grounding in business intelligence , data analytics and data science and possesses strong AI/ML -related capabilities, having led thes e initiatives in his past assignment with companies such as British Petroleum, UBS, Apple and Infosys.

In our pursuit to become India's most trusted and preferred fintech brand, we will continuously explore opportunities that are synergic to this objective . In this context, we are also exploring inorganic acquisition and partnerships, partnership opportunity across the consumer financial products and service landscape, including core tech product distribution platform, we alth-tech, learning and content enga gement platform, which would enhance and complement our existing and future offerings.

Last but not the least, it gives me great pleasure to announce that we have been ranked 52nd amongst top 100 best company to work for in India by the Great Place to Work Institute besides topping the fintech category and also being amongst top 25 in BFSI sector. These achievements are possible because of our firm belief in our core values of innovation, speed, thinking bi g, collaboration, trust and customer centricity. Th us, bringing about a collective sense of purpose and passion amongst all Angelites.

Coming to the operational performance in Q1 FY '24, we continue to demonstrate healthy progress. Our overall NPS continues to grow handsomely. Angel's share of

India's increment al demat accounts stood at 21.3% as we concluded the quarter with a total client base of over 15 million. Our orders , a key revenue driver for our business, remained robust at 249 million, with the underlying ADTO growing by 23% quarter -on-

quarter to nearly R s. 23 trillion as we continue to expand our market share in overall retail equity turnover by 175 bps quarter -on-quarter to 24.5%.

I hope this insight has given you a flavo ur of our tech -driven business and our efforts to have a more integrated financial product pla y. Vineet will now take you through our financial performance after which we will be happy to answer your questions.

Vineet Agrawal : Thank you, Dinesh bhai, and good morning, everyone. FY '24 has commenced on a positive note for us as we surpassed the 15 million clients marked in June 2023 and achieved our highest ever market share across retail overall equity turnover and NSE active cl ients.

Whilst the business continues to be on a very strong footing, Q1 FY '24 had its own peculiarities in terms of 3% or 2 lesser number of trading days compared to Q4 FY '23, impact of annual increments and continued investments in tech and product. To this extent, Q1 has to be looked at slightly differently.

In Q1 FY '24, our total gross revenue stood at R s. 8.1 billion. Gross booking revenue was lower by 4% sequentially to nearly Rs. 5.6 billion, accounting for about 69% of our total gross revenues for Q1 FY '24. Share of F&O segment in gross b roking revenue reduced to 84% in Q1 FY '24 from 87% in Q4 of FY '23. Contribution of cash and commodity segments expanded to 10% and 5%, respectively, as compared to Q4 of FY '23.

Approximately 78% of our net broking revenues are contributed by clients from direct channel and 22% by our clients associated with the affiliates channel. It is important to note that as clients mature on the Angel One platform, their contribution to the net broking revenue continues to remain strong. This trend is evident from the rising share of net broking revenue from 2 to 3 years cohorts in Q1 FY '24. This cohort has consistently grown over the quarters and now stands at 22%, up by almost 3x from 8% in Q1 FY '22.

The longevity of these young new -to-market revenue -generating clients on the platform is further being fortifie

d throug h various initiatives , developments and offerings across the ent ire spectrum of Angel One Super App platform.

Interest income, which includes interest earned from client funding book and from deposits with exchanges, grew by approximately 6% quarter -on-quarter to Rs. 1.4 billion. This accounted for about 18% of total gross revenues in Q1 of FY '24. Ancillary transaction income linked to the turnover stood at approximately Rs. 0.7 billion, accounting for 8% of Q1 FY '24 total gross revenues.

Employee benefit expenses, which stood at Rs. 1 billion in Q1 FY '24, include the impact of annual increments to employees, non -cash accrual of costs towards annual grants of stock options and proportionate accrual of the budgeted variable pay for the curr ent financial year. Other opex for the quarter stood at nearly Rs. 2 billion, which grew in line

with our operations driven by spend s on client acquisition, software, connectivity & maintenance expenses, demat charges, CSR and other expenses.

Our consolida ted operating margin for the quarter stood at 48.6% versus 51.2% in Q4 of FY '23. It may be recalled that in Q4 FY '23, employee benefit expenses had a one -time positive impact of Rs. 405 million on account of reversal of stock option grants and year-end variable pay provision, leading to a higher -than-usual operating margin percentage. Therefore, on an adjusted basis, there is a 7.4% decline in EB DAT on a sequential basis from Rs. 3.3 billion in Q4 FY '23 to Rs. 3.1 billion in Q1 FY '24.

Similarly, on an adjusted basis, our consolidated profit after tax from continuing operations declined 6.9% quarter -on-quarter from Rs. 2.4 billion in Q4 FY '23 to Rs. 2.2 billion in Q1 FY '24.

The Boar d has approved distribution of 35% of the quarter's post -tax profits as first interim dividend to the shareholders, aggregating to Rs. 775 million. This translates to Rs. 9.25 per equity share.

Period -end cash and cash equivalents increased to Rs. 66 billion on the back of
increase in client margins. Client funding book remained stable at Rs. 11.4 billion as of
June 2023 compared to Rs. 11.5 billion as of March 2023. Consolidated net worth of
the company grew by 9.6% to Rs. 23.7 billion. As we conti nue to operate the business
within the desired margin profile, our Q1 FY '24 annualized return on average equity
remains a healthy 39%.
With this, I conclude the presentation and open the floor for further discussion. Thank
you.
Moderator: Thank you. Our f irst question comes from the line of Swarnabha Mukherjee with B&K
Securities. Please go ahead.
Swarnabha Mukherjee: Hi sir, thank you for the opportunity and good morning. So couple of things that I wanted
to understand was first on the employee expense si de, if you could give us a break up
of fixed and variable components and how to think about this for the next three quarters.
So, is the variable component provisioned only in this quarter, or will it be spread over
the next three quarters as well, which m eans that we should see a run rate of a similar
level along this?
And also, your comments on the add -on interest cost that you have highlighted, Rs. 40
crores to Rs. 50 crores earlier, now that it has gotten shifted by a couple of months. So,
is there a ki nd of change in guidance from your side regarding that? And then I would
have a follow -up also on the client acquisition, so after your answers we may can ask
that?
Dinesh Thakkar: Sure, sure. Mr. Mukherjee, let Vineet answer your two questions. Vineet, if you can take
it over.

Vineet Agrawal: Sure. So, Swarnabha , we do not disclose the breakup of the fixed and variable
employee cost. And to answer to your question about how much of the variable cost
has been factored in, this is spread over the e ntire year. So, one-fourth of the budgeted

variable pay for the current financial year would be part of the Q1 expenses and then
proportionately it will be spread over the other three quarters.
Your question about the update on the additional expenses that we are going to incur
because of the circular, well, it is more or less in line with what our guidance was in
quarter four and we continue to maintain that guidance. Again, that depends on the
movement of the turnover and volumes on the platform. But the variance could be
maybe 5% or 7% here and there. That is it, not more than that.
Swarnabha Mukherjee: Okay, understood. So, in the balance sheet on the borrowing front, so that number is
over th e last two quarters around Rs. 750 crores to Rs. 850 crores, it used to be
upwards of Rs. 1200 crores 2-3 quarters back, even before you had th at additional
working capital requirement for paying out clients on by the first week of every quarter.
So can yo u point to the reason why this borrowing numbers have come down from Rs.
1200 plus to this Rs. 850 crores around?
Vineet Agrawal: Sure. So largely our borrowing is linked to the onward lending that we do towards MTF
and T+7. So as this number has come down over the last quarter or so , similarly, the
borrowing has come down. And again, whatever cash we generate from the business,
quarter -on-quarter that is again fed back into the business to fund the MTF and the T+7.
Swarnabha Mukherjee: Sure, sure. Very helpful. Just quickly on the client acquisition, so I'm just looking at your
numbers over the last six months, around 2.5 million customers have been added, but
if you look at the active clients' numbers, so it has gone up by 0.2 million. So just wanted
to understand whether you are seeing any different trends in terms of activating these
clients or what it means for your payback periods at the current standpoint?
Dinesh Thakkar: Yes. Yes, thanks. Devend er, if you can just answer this.
Deve nder Kumar: Hi, Swarnabha . This is Devend er. So , if you look at the overall market, Swarnabha , the
overall market has also been adding a very large amount of clients, where the total base
of clients is almost touched 12 crores now. And if you look at the a ctive base of NSE
which is close to 3 crores. So, if you look at from an overall industry point of view, the
overall active base which is the active participation of retail has been subdued in the
last two quarters. And as a result, the same is reflecting in our case as well, where our
active base is kind of, has been stagnant, or let's say, has been stable to an extent. But
from an overall point of view, during this period, when we look at our market share in
terms of NSE active cli ents, we have been gaining market share, almost two percentage
point is what we have gained in the last two quarters, which is reflective of the
robustness of the way we have been doing our digital business.

From an overall per se, I think we are launching multiple services on the mutual fund side, and we have plans to monetize or, let's say, provide various kinds of products and

services to our clients, which will further enhance the active base that we are going to look forward at. So that's precisely the reason.

Vineet Agrawal : Swarnabha just to add, what you need to also monitor is the number of orders executed on our platform because that is something which translates into revenue for us. And if you see, as I mentioned in my comment, that our 1 -to-2 and 2-to-3-year client base has been giving us higher revenues. So that kind of shows the stickiness on the platform. So that is something that people need to be aware of. As a percentage, it may vary the active client versus the total client base, but it is more important to see the number of orders and the longevity of the revenue generating clients on the platform .

Swarnabha Mukherjee: Yes, Yes. So, like just if I

calculate, I mean that number comes around 10%, but I'm pretty sure that you will be actually activating more customers because few older ones might actually be also dropping out. Just wanted to understand that if I were to just look at the incremental customer base but compared to the market, what you are seeing, do you see your rates kind of reac tivation rates to be on the higher side, maybe not as much as on the peak of the market but right now on the higher side compared to market or would we be fairly at a similar level?

Devender Kumar: So, from an overall point of view, if I look at from an industry point of view, the overall industry activation rate is close to 25% and we are close to 30%. So, we are doing better than what the industry average looks like, but in the long period of time we are looking at the current market outlook an d the current market conditions , this has remained subdued and we feel that it will in line with what market performance and market behavior is looking like in the coming time. But we are doing better than our peers from an industry point of view with our overall rate being 30% in comparison to the industry rate of 25%.

Vineet Agrawal : Just to add to that, Swarnabha this is a very interesting data point because it only shows a client who has traded once in the tra iling 12 months, that client might have done number of orders instead of one, but that somehow is not being captured in this data point which is available for the industry and therefore, to that extent you can't really concentrate on this data point.

Moderator: Thank you. Our next question comes fro m the line of Prayesh Jain with Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, I had a few questions. Firstly, if I look at the industry, the MTF book has been on the rise, but for us it has been kind of a steady trend rather than any impact from the peak we are on the much lower side. So, what is the reason why we have not focused on this business given that the margins have been much, the peak margin norms have kind of made it much better than the earlier scenario. That is first.

Second, I wanted to c heck, you know, with respect to the threshold level of the broker - wide limits. Where are we and what happens in case we hit those thresholds? In the past, I think there has been some mention about having a different card and getting

implementing the same t here. But is it really possible to do that execution? That is my second question.

And third one is you mentioned in the opening remarks about focus on the AP network. Does it mean that we are kind of changing our approach and seeing that, on the lower Tier or Tier 3 and Tier 4 towns, you need stronger presence through AP network? How should we read into this?

Dinesh Thakkar: Yes, see on your first question about MTF book, as I always have maintained my stand that we are not into kind of like everything in m argin funding, lending and all that. Mostly it is in kind of like bridge funding given to people who are trading in cash and they want some fund for say like their interim need. So, we are not very much focused to increase our margin funding book. Beyond, it is a part of service that we provide in our brokerage book. So, we don't do a ESOP funding and all that. So, we believe that as market like small cap, mid cap, will see a rally, there will be a proportionate growth, but to expect a linear growth in MTF, that is not our focus.

Okay, second on our threshold kind of a limit, I think still we are far away from that, but we have enough kind of a like contingency plan to take care when we hit that.
On your third point on affiliate channel, if you look at India, that population apart from digital, there are lots of population who are dependent on bit assisted model. And when it comes to when we are going to all services beyond broking, look at mutual fun

d, if
you look at in surance and lending products and all that, still it is like an assisted kind of a model.
So, to have a proper focus and have a market share and leadership position in all segments that we'll be offering on our Fintech platform, we thought it is best to hav e a scale in all offering that we do. Plus, if you look at the platform that we provide to our affiliate channel, it is high on technology. Now, when we talk about data science and all that, today, if you look at affiliate channels , they are unable to guide customers very effectively because of lack of information and data with them. And with kind of like competency that we have to build technology and to build platforms, which with the kind of like AI/ML tools, we believe that we would be able to achie ve a better market share across all our product offering, be it on digital platform or B2C, or be it people who want an assisted model in products like mutual fund, insurance and lending products and all that.
That is the reason we want to create a proper focused kind of a division who does not miss out on any kind of like market share across all this kind of like offering. Our focus remains on being a technology player, using this technology data science so that we are able to be effectively grow and expan d this market across all categories.
Prayesh Jain: Okay, got that. Just a follow up on the second question. So, what are the contingency plans in case we hit that threshold level?

Dinesh Thakkar: See, like there are lots of things which can be worked out. Today we allow clients to keep do trading on all kinds of instruments and all that. So, when time comes, we will be very specific in terms of how we can save that bandwidth. Apart from that, we have one more membership that with us. So, we can split that b usiness also. So that is not an issue. When time comes, we'll address it appropriately. Right now, I don't think we -- that is like under our consideration to see that, how we are going to take care of threshold.
Prayesh Jain: Dinesh bhai if I get one last follow -up. When you mentioned that MTF book is not a focus area and just more of an offering to the customers, but don't you think, this is a very safe business now and relatively much safer than what it used to be earlier and can be a very good revenue stream and profit stream for you. So why not increase the focus in this product and improve the offerings that we have currently? Or do you see that because on our platform, the cash volumes are much lower and you don't earn a lot of revenues out o f the cash delivery segment, you would want to focus continue be on F&O segment and not so much in cash segment. Is that the way to think about it? Because…
Dinesh Thakkar: No. That is wrong way of thinking, Prayesh. I think that our focus on retail lendin g is there. We would like to be a leader in that. What I was trying to say, when you look at this lending book, it consists of retail lending, plus many other components, HNI and all that, that we are not interested. The focus is not to increase this MTF a t any cost. We are a focused player. So, we want to achieve more market share, better market share in retail segment.
In retail segment, if you see, we are growing. So, retail does not work in a linear way because when they find some good opportunity on op tion side, they get very active on option side. Suddenly , when you see small and mid -cap picking up, they will come to cash segment. So, my point is that, when it comes to retail offering or retail requiring this kind of service, we would be very aggressiv e, we would like to have a highest market share. But being focused on MTF and trying to go into other segments, where we are not interested to serve other kind like needs of that customer, we would not like to just for the sake of increasing margin funding book,

would like to go into that segment.
That is what I meant.
Prayesh Jain: Thank you so much for the details. Thank you, sir. All the best.
Moderator: Thank you . Our next question comes from the line of Nidhesh Jain with Investec. Please go ahe ad.

Nidhesh Jain : Thanks for the opportunity. On SIP, so when we are saying that, we have become number 2 player in SIPs, is it on number of SIPs? And does it include all the participants, including banks, nonbanks? And how will be the -- our positioning i n terms of value of SIPs?
Dinesh Thakkar: Okay. Saurabh would the right person to answer this. Saurabh if you can?

Saurabh Agarwal : All right. Thanks. The number includes banks, nonbanks, fintech's , everyone. So, we are second overall in the market. In terms of the value of the SIP, this is not an information that we disclosed proactively, but will be in line with most other players in terms of direct mutual fund in the market.
Nidhesh Jain : Sure. Secondly, how are the trends on payback period, which used to be two quarters earlier. How are the trends for this -- in this quarter on the payback side?
Dinesh Thakkar: Vineet, if would like to answer this?
Vineet Agrawal: So, Nidhesh Jain , again, we wo uld want you to concentrate more on the LTV to CAC. Of course, the payback remains more or less in that bandwidth. But it's more important to understand what the LTV to CAC is and that, as we explained in our presentation, it's a very healthy, 8x the CAC. So, that is more important a metric to concentrate on.
Nidhesh Jain : Sure. And lastly, so when you're talking about this affiliate channel strategy, we already have some 21,000 channel partners. And probably as we scale it, this number may become much larger. So, do we have also plans to have insurance b roking license? Beca use without insurance b roking license, the value proportion on the insurance side will not be that material.
Dinesh Thakkar: See, currently, like we are in the process of creating this -- strengthening this vertical. So, in terms of granular detail of this kind of business model in affiliate channel, give us some time, we will be more clear and give more disclosure by the next quarter.
Nidhesh Jain : Sure. Thank you, sir. That's it from my side.
Moderator: Thank you. Our next question comes from the line of Sumit Rathi with Centrum PMS. Please go ahead.
Sumit Rathi: Thank you for giving me the opportunity, sir, to ask this question. My questions have partially answered. But I wanted to check that our active client as a percentage of gross client has b een in a declining trend and that you rightly said, it's been with competitors also. How do we see this trend getting going forward basis or would it get stabilized at what level, if you can give some colour on that?
Dinesh Thakkar: See Sumit , activity of a customer depends on market conditions. You know that we are into kind of like cyclical market, where we see activation of customers for a year, it appears to be normal. But if we track it month -on-month and all that, it will appear to be going up and dow n. So, my point is that we are introducing lots of services to make this customer base active.
For us, what is important, that what is the lifetime value we are creating from our customer , are we able to extend that . That is where our focus is. Our focus is not on day-to-day, what customer is doing, but we try to compare ourselves with competition and all that.

But our journey that we are building up fintech is far different than what industry is building. So slowly a nd progress ively you will see, we also wanted activation ratio often customers should increase and that customer should become active on many other products, which will not be captured by NSE 's database.
Sumit Rathi: Okay. Makes sense, sir. And l

astly, on the ESOP cost, how will the trajectory be going forward if we have to see like next two years, three years down the line?
Dinesh Thakkar: Vineet, if you can answer this.
Vineet Agrawal: So, I can't give you a forward -looking kind of a number. But for this year, the budgeted spend on ESOP is about Rs. 50 crores, Rs. 55 crores.
Sumit Rathi: All right, sir. And any update on our AMC business launch, where we are progressing in that, like that would be my last question?
Dinesh Thakkar: Vineet, if you can answer this.
Vineet Agrawal: Sure. So, we are in the process of creating the entire infrastructure and the organization. We've already incorporated the asset management company and the trustee company.

And hopefully, in the next couple of weeks or three weeks, we should be able to file our application for final approval.
Sumit Rathi: Okay. And with the final approval, what time does it take to really launch the products and all that?
Vineet Agrawal: Well, it depends. Normally, our understanding is, it will take about two quarters for SEBI to come back with th e final approval. And immediately, we can launch schemes.
Sumit Rathi: All right, sir. Thank you. Thanks a lot, for all the clarification.
Moderator: Thank you. Our next question comes from the line of Gautam C Jain with GCJ Financial Advisors. Please go ahead.
Gautam Jain: Good morning. Congratulations for good set of numbers and thanks for giving opportunity. My first question is, how much is the gap between us and other top two player in t erms of rank based on NSE active client?
Dinesh Thakkar: See, that data is available on the website. Somebody can answer, Bhavin or Ketan.
Devender Kumar : Yes. The top two players, I...
Dinesh Thakkar: No, what is the rank, he is asking. Rank, I think right now, we are in the top, active clients, we are third, right?
Devender Kumar : Yes. We are rank number three.
Dinesh Thakkar: That is his question.

Gautam Jain: Gap between our market share and top two market share?
Dinesh Thakkar: Gap between market share you are saying?
Gautam Jain: Yes.
Dinesh Thakkar: Yes. We can just share the number, yes.
Devender Kumar : So today -- so our market share is 14.3% in the June month. They're just checking the top player, that is close to 20% market s hare. So, the gap is...
Dinesh Thakkar: Gautam . Let me clarify. This gap does not show you anything in terms of revenue and all that. So, this would be a wrong parameter for you to track. But we are giving you data. But if you look at the revenues and all that, that will be far more better kind of reflection of health of business and where particular player stands.
Gautam Jain: Okay. Yes, I got it . And my second question is your gross booking income to your order. If I calculate, it's Rs. 22.4 per order. And that has -- we have seen the bottom in Q4, which was Rs. 22.1 and it has gone up now Rs. 22.4. So, it's like, yield has improved or because of mix change between discounted scheme and traditional plan for direct to channel revenue because of the fee broking income from the number of orders gone up sequential?
Dinesh Thakkar: I'm not sure whether we are tracking it. Devender, you have any like clarity on this?
Devender Kumar : So, we track it. I t's in stable nature, but we don't really disclose how it is t rending to the market.
Gautam Jain: Okay, fine. And last is, can we get the breakup of interest income between interest received from the client and interest on our investment book?
Dinesh Thakkar: Vineet, do we disclose that?
Vineet Agrawal: No, we don't disclose, but I can give you a directional view. So, as we mentioned in our annual report as well, about 75 -80% of the interest that, we generate on the fixed deposits comes from the client margins and the balance is on our own proprietary funds. So t

hat's how the trend is. But the number that we've disclosed in the quarterly financials is the consolidated number of the interest e arned from MTF as well as interest earned on fixed deposits.
Gautam Jain: Okay. And what will our cost of borrowing?
Vineet Agrawal: The cost of borrowing is remaining in that same ballpark of about 8% and 8.5%.
Gautam Jain: Okay. Great. And lastly, the other cost has gone up sequential , despite the number of orders have declined. So , was any one -off in that? Or have you increased some variable cost to acquire the clien t or some fixed has gone up. How to read that?

Vineet Agrawal: No, it's in line with the growth of the business. So that's what I mentioned in the comment as well that the other expenses are growing in line in terms of the number of clients that we are acq uiring and the growth in the volume of the business.
Gautam Jain: Okay. Great. And are you seeing any improvement in number of orders since market

has started doing good even after June, daily number of orders?
Vineet Agrawal: You will see the number being published at the end of or the early part of August for the July month. We will not be able to disclose any number right now.
Gautam Jain: Okay. Great. Thanks you so much. I'm done.
Moderator: Thank you. Our next question comes from the line of Pallavi Deshpande with Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Yes, sir. Thank you for taking my question. Just wanted to understand on the SIP book, how much would be from a regular plan versus the d irect plan? And second would be on this -- on the credit business that you're looking. Have we hired the Chief Credit Officer and the tie -up with the NBFC? Thank you.
Dinesh Thakkar: Thank you. Pallavi. Saurabh, if you can just answer this.
Saurabh Agarwal: So, in terms of the breakup between the direct book and the regular book, that is not something that we are disclosing for now. And the second question around credit, right, since we are largely into the distribution of credit products and not bei ng a lender ourselves, we don't need to hire a Chief Credit Officer. Having said that, the team in terms of building the lending business is getting hired, and we are hiring top quality talent there to take the lending business forward.
Pallavi Deshpande: And what would be the size of the team you were looking at?
Saurabh Agarwal: That is not something we tend to disclose.
Pallavi Deshpande: Okay. Thank you, sir.
Vineet Agrawal : It will be commensurate to be the kind of business that we develop. So, it's not something that will be static.
Pallavi Deshpande: Right. Thank you so much.
Moderator: Thank you . Our next question comes from the line of Sanketh Godha with Avendus Spark. Please go ahead.
Sanketh Godha: Thank you for the opportunity. Sir, what I understand from the mutual fund strategy is that you typically sell largely direct plan on the app on, the Super App. But the incremental strategy, what you have been seeing on affiliate people selling the third-party products, which is mutual fund, the insurance and everything. Sir, just wanted to understand, the 21,000 people who, in your view, how many are already into this

product distribution? And incrementally, why they need to switch to Angel to distr ibute on your behalf?
And also wanted to understand, when you are going offline, which means that, we give the tech solution to them, whether you will be focusing unlike app, Super App story, more selling regular plan there so that you third party fee income will grow. So just wanted to understand the broader strategy there, how you're looking at it. And how much it can potentially contribute since you are already looking to hire a C hief Business Officer to cater to this particular segment? How much revenue you

are targeting to
generate from this particular piece ?
Dinesh Thakkar: Coming to your second question that is very important so when we talk about affiliate channel currently 21 ,000 are authorized persons primarily focused on stock market activity, plus they are selling over third -party products. But we feel that if you want to be successful in all the products because when we are introducing everything on fintech platform, so it makes sense for us to have a scale of that business. Look at all third -party products apart from this stock -- including stockbroking, sorry. There is an audience who would like to have some assistance when they are going for that service or buying produc t like, insurance, lending product and all that. And given the fact that we have a best technology platform , already for stockbroking, we extend a platform called NXT and because of that they are able to be more effective in terms of serving their client n eed. So, we want to enhance that kind of like capabilities of our authorized people, plus attract the people who are into distribution of mutual fund , IFAs and all that. So that they are also able to take benefit of advanced technology platform that we hav e and plus as I said that we are getting deep into data science and all that . So, all said and done we want to see that affiliate channel , everywhere on all the channels , whatever they are selling they have a right kind of information for products they are selling. So that we are able to include more people in this financial service.
So digital is one way , we have proved that we are able to acquire customer serve their need, but when we look at mutual fund industry, when you look at insurance, when you look at lending, still we feel that there is enough business in those affiliate channels but what is the gap between currently what is happening is a good technology bridge, a

good technology platform, which can help them to be more effective in terms of servicing their customers. So, our approach of super app giving all kinds of services on platform remains same. But we feel this is a natural extension to digital capabilities that we have created and that will help us to get more market share.
So, we are not as in broking also we are not focused that affiliate channels should sell only like, traditional products and all that. We are going to extend all digital, all latest services to them also they can sell traditional, they can sell whatever we think is right for in customer, it is up to them. But what we are going to give them, a scale better price and better data management and information management of end -customer.
Sanket h, I just missed your first question, direct plan, what is?

Sanketh Godha: Because super app, we preferably sell direct mutual fund plans so that your customer remains more engaged with the apps and probably ends up trading more. That's broadly the strategy which I understand. Then if it is the offline mode which is AP model then the mutual funds what you will distribute there would be typically the regular ones where you will earn commission that is the whole idea is what I wanted to understand, or it will be similar to…
Dinesh Thakkar: See, what happens Sanket h, when somebody is providing some additional service, he or she is entitled to charge some fee. And it makes s ense for a customer also who is not total digital or who want some assistance in terms of their services, so it makes sense for them to pay some small premium. So that their asset management and everything is managed properly.
Sanketh Godha: Got it. But si r, just wanted to understand but given our distribution income quarterly run rate is say, Rs. 8 crores today, so which is coming from third -party products. So given this strategy, any number you have in mind? This quarterly run rate maybe in two years or three years can become 3

x or 4x compared to what you generate on per quarter basis?
Dinesh Thakkar: Yes. See, Sanket h, our aspirations are very high in terms of gaining market share and gaining revenue also from that. But if you see, third -party product which is sold in affiliate channel, it has a revenue attached to that. So difficult to put a number right now but as you know that whichever division or vertical will go into, we'd like to be a leader in that. So fairly, you can say that what is the market share of a leader in that segment , would like to be closer to that.
Sanketh Godha: Okay sir, great. And last Vineet, one small question. This 90 -- our finance cost or interest cost is Rs. 18.3 crores and we have guided that the number would be Rs. 40 crores because of the change in rules with respect to upstreaming of client money. So just wanted to understand out of the Rs. 40 crores for nine months FY ’23, how much is already sitting in first quarter FY ‘24?
Vineet Agrawal: So Sanket h, this Rs. 18 crores does not include this Rs. 40 crores. So Rs. 40 crores, we'd calculated effective 1st of July. If you read it carefully, we'd said that the upstreaming circular is going to be implemented from 1st of July and that's how we'd calculated it for a pro -rated period of nine months in the current financial year to Rs. 40 crores and the annualized cost, we had estimated to be about Rs. 50 crores, Rs. 52 crores. We more or less stand by that again there could be some changes due to the change in volume and g rowth in the business. But as I mentioned earlier, it's not going to be a very significant number.
Sanketh Godha: So basically, if I go by that Rs. 18 crores, which you reported in first quarter FY ’24, probably will become maybe Rs. 30-odd crores or Rs. 32-odd crores in next year as these rules get implemented, right?

Vineet Agrawal: Again, it's very difficult to estimate because the cost of -- finance cost is also linked to what my client funding book is going to be and what the benefits of the efficiency in the clearing corporations are going to come back to us. So, it's difficult to estimate that number.
Sanketh Godha: Okay Vineet, thanks for that. That’s it from my side.
Moderator: Thank you. Our next question comes from the line of Nidhesh Jain with Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity again. So, on the -- again on the question of the SIPs, so can you share some data around how much SIPs are taken from active customers and how from non -active customers? I'm trying to understand that because of SIPs, because of these new product additions, are we able to get incremental engagement from non -active customers or largely the active customers are coming for the SIPs and other products?
Dinesh Thakkar: Nidhesh Jain , we don't have a breakup of that, but I can tell you t his all this whatever is mutual fund we are selling, we are selling to only our existing customer base and Saurabh would be able to add more light to this.
Nidhesh Jain : So, the idea is to understand basically, the existing customer base is divided into tw o parts active and inactive. Active customers are giving us revenue, non -active are not giving us revenue. So, if we are able to engage more with non -actives in future there is a possibility of to monetize them. From that point of view, I was trying to und erstand.
Dinesh Thakkar: Yes, Saurabh is going to take.
Saurabh Agarwal: Yes. I'll just give you directional flavour, right. Active versus inactive what is the share in terms of SIP that we can't disclose but what we have already started to see, is becaus e of the customers who are buying mutual funds from us and having a portfolio with us, their engagement and their retention on the platform has started to already show green shoots. And that will materialize into decent broking numbers going forward. We ar

e still quite early into the mutual fund journey, so it is difficult to really quantify those numbers but in terms of engagement and retention, we are already seeing good traction.
Nidhesh Jain : Sure. So that is from the active customers but any colour on the inactive customers? Are we able to sell mutual funds to the inactive customers who are not trading, they have our app but not trading but maybe interested in mutual funds.
Saurabh Agarwal: Yes. I mean so, in terms of the mix of the customers of active versus inactive as I just told a few moments back, we can't give the exact split, but we are seeing good chunk of inactive customers also starting to buy SIPs and do lump sums with us.
Nidhesh Ja in: Sure, okay. Thank you, sir , thank you. That's it from my side.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain with Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, hi. Just a couple of questions again. Firstly, on the finance -- consumer finance business, I missed that part when you were mentioning about what kind of strategy you would be implementing there. Just throw some -- if you could throw some light again on what is the strategy about distribution of finance products? That is one. And I'll ask the second question after that.
Dinesh Thakkar: Saurabh, if you can just take this?
Saurabh Agarwal : Hi Prayesh. So, in terms of the strategy around consumer credit ri ght, we'll be starting with launching personal loans. The opportunity is quite large there and we're looking to tap into that business. In terms of the model, we'll be undertaking distribution without taking any risk on our books which can actually help us scale big. And however, in the medium term, we don't intend to just be a vanilla distributor. We are building intelligence around AI/ML based models to assist our lending partners in all aspects of the lending journey, using internal and external customer data. And this can potentially enable us to get higher distribution margins going forward.
What looks good for us, primarily, with the initial analysis that we have done and the engagements that we are in the process of with our lenders, is one the overal l base quality in terms of the credit profile of the customer looks quite good.
Secondly, the engagement of the on the platform with our customers is already high and mutual fund scaling in a very short time frame without any external marketing is a testim ony to that, which can enable us higher offtake even for credit from the platform.
And third is, we have proprietary data around clients and high-quality data intelligence which will enable us to get higher approval rates and higher commissions from our lenders. So, this is largely, our consumer credit strategy. Personal loans being the product to go live within a few months. We'll also look at credit cards in some time but still early to comment on that.
Prayesh Jain: Okay. And have you tied -up with any N BFCs or banks currently?
Saurabh Agarwal : Yes, we are in the process. I mean, discussions are happening with the top banks and NBFCs in the country. And you could hear something good from us in the coming quarters.

Prayesh Jain: Okay, got that. And just on this finance book again, so does Angel also charge to customers who give -- bring in 100% collateral and the 50% is funded by Angel? Interest gets charge d to those customers?
Vineet Agrawal: No. We do not charge anything for that. So, any customer who brings in incremental non-cash collateral, over and above 50%, we allow them to bring that collateral but we do not charge anything for that.

Prayesh Jain: Okay, got that. And just lastly on this strategy on the associated person. So, your associated person network is a franchisee network, right? Is that the right way to unders

tand, or there could be just individuals also having working from their own home?
Dinesh Thakkar: You are talking in terms of affiliate channel that we are talking about?
Prayesh Jain: Yes. Associated person's network. So, could you just give some more clarity as to even these are having a brick -and-mortar presence in their areas or wor king from home?
Dinesh Thakkar: Ketan, i f you can address this?
Ketan Shah : Yes. So, it's a mix of this authorized person. They are individual, they are corporates, so all mixed people are there.
Prayesh Jain: Okay. And you mentioned that you will be also looking at hiring IFAs and these individuals, who can bring us volumes on distributi on, right? Is that what I got it correctly?
Dinesh Thakkar: Yes, yes, correct.
Prayesh Jain: Got it. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Sumit Rathi with Centrum PMS. Please go ahead.
Sumit Rathi: Yes. So, on the lending business segment only, sir, though, you given a lot of clarity already. Just wanted to check that the risk is not on our balance sheet but are we going to also get engaged ourselves into collection process over there, or that collection would also be the responsibility of your NBFC partner?
Dinesh Thakkar: Saurabh
Saurabh Agarwal : So in terms of collection just nudging the customers to remind them that their EMIs are due etcetera, which is what we call soft collections is something that we can help our lenders with but hard collections, where -- which is what we call collections in the industry is something that the lenders only will undertake.
Sumit Rathi : All right, sir. Thank you for the clarification.
Moderator: Thank you. Our next ques tion comes from the line of Sumit Jankar with SaiGanga Niwas. Please go ahead.
Sumit Jankar: Thank you for providing the opportunity. I had a question regarding the active clients . What is the share of active clients , who are trading into derivatives? And how much share contribution of derivative clients has increased in active clients ? And my next question is that a derivative clients tends to make loss, so the tendency or the lifespan of a derivative clients is lower as compared to cash. So, is there any way that you're looking to -- for retention of this type of clients ?

Dinesh Thakkar: Okay. Sumit, first of all, we don't give breakup of active clients in derivatives and all that. So, and second question, when you look at a customer's journe y, always it starts, whenever it starts from equity, especially traders, most probably they are going to make losses at all. You have seen people around you who have started their equity journey and if they are bit kind of risk taker, they'll get into a pr oduct which may result in losses but that does not mean they stop being into the market.
So, when we talk about lifetime value, what happens that customer comes is looking for some extra income initially, one or two years. So, he's trading or she's trading but after third year, they tend to look into wealth creation opportunities. They don't shy away from totally from equity market, but they change their approach, they change their strategy, they change their investment in this market.
So, when we calculate lifetime value, it includes all these phases. When we are saying, now you are looking beyond just the people who are active as a trader or into just equity, where we would like to expand this lifetime value by giving offering them or so that they can cont inue with mutual fund, some insurance product or some lending product and

all that.
So overall, we should not put any colo ur to traders that they come to the market they make losses and they forever go away from the market. There is no other asset class where they can invest where they can get a good wealth creation opportunity. So, we have seen across like,

whatever my experience is in this industry for 30 years, initially,
everybody trade, they make some losses and people who understand virtue of equity they remain in equity market for almost ever.
Sumit Jankar: Okay. Thank you, sir. Thank you for answering in depth. And all the best.
Dinesh Thakkar: Thank you.
Moderator: Thank you. Our next question comes from the line of Sahil Shah with Bridge Capital. Please go ahead.
Sahil Shah: Yes, hi. So, sir, I have three questions. First is on the account of the aggregator and sahmati tie-up, will it be a playing a level field for -- a level playing field for everyone right now?
Dinesh Thakkar: You want to ask all three questions or you want one -by-one?
Sahil Shah: Yes, I'll ask all three. So yes. Second would be on the mortality. So just wanted to ask on active versus inactive, and how do we currently make our inactive clients active?
And the la st question is on the cohort analysis. So, we have highlighted for FY ’22, this analysis, how do we see this trend in the past four, five quarters, how was it?
Dinesh Thakkar: Okay. On account aggregat or, Ankit, if you can just answer that?

Ankit Rastogi: Hi Sahil. Ankit, here. So, we have gone live with account aggregator. An account aggregator as a service from sahmati is available for all the fintech players. We are one of the consumers and we see the beauty of account aggregation is that as mor e-and-more aggregators and including suppliers and the requesters come to the platform, it will be the exponential growth for all. So more -and-more accounts get linked irrespective of who does that it will be beneficial for all. So right now, our on -boardi ng has been powered by that and we'll also look into further use cases of that.
Dinesh Thakkar: Sahil, can you repeat your question on mortality?
Sahil Shah: Yes. So basically, it was on active versus inactive. And how do we make our inactive clients acti ve again, so it will be the process behind it?
Dinesh Thakkar: Yes. Processes to introduce more services like, we are working out with coming out with lots of kind of like, new services. Devender, if you would like to continue from here?
Devender Kumar: Hi Sahil, so from the point of making inactive client active, inactive mortality , inactive client active, there are two points here. From overall point of view, there are multiple services that we have . We have launched MF and we have multiple insur ance as well. So we look at overall spectrum like IPO, ETF all services comes into picture where we look at exposing our clients and making them learn about these new services to get them into it . From the point of view of getting the clients active again in the broking segment, different clients have different activation rate. Let's say, some clients will know let's say, like, a delivery clients will activate maybe once in six months and once in two years maybe and some clients are active on a daily basis. So, we have a very clear program for each cohort of client, where we're looking at a delivery client who has done delivery investments let's say, one year back and now what are they looking at and how are they going to look at rebalancing. Similarly , trader who are trading for a monthly cycle, for a weekly cycle, so we actually cohortize them in every aspect. And the way we actually make them active is basically offering them a lot of education in terms of what are the tools that the different client s are using within the app, which is what is making the m progress into a better mature state of usage of a service as well. And obviously, we do a lot of discounting offers in terms of our pricing to an extent to, for clients who are inactive for a very la rge period of time. So as to see, how we can initiate them back into the system as well. So, we will look at these two pron ged strategies, plus m

ulti -product strategies to really work on the overall base of our clients.
Sahil Shah: Okay. Thank you. And las tly, I just wanted to I ask some of the trend over the past four, five quarters on the cohort analysis?
Dinesh Thakkar: Devender, if you can just take this?
Vineet Agarwal : No. So, we will not be sharing this data on a quarterly basis because this data gets curated , we test the data and then we publish it. So, you will have to wait for some time for us to refresh this data.

Sahil Shah: No problem. Thank you so much and all the best .

Dinesh Thakkar: Thank you.
Moderator: Thank you. Our next question comes from the line of Hardik Jain with White Stone Financial Advisors. Please go ahead.
Hardik Jain: Yes. Good afternoon, sir. Thank you for the opportunity. So, my question is on the distribution platform for the lending business that we are trying to build. So, from what I understand, you will help your NBFC and bank clients to source borrowers or clients based on from our app. And also, you'll use machine learn ing and other technologies to assess the credit quality of the borrower. So, you will do this business only through your platform or you can also give this API of this of your software to the lending partner where your credit assessment engine can run behi nd the front end of your credit partner?
Dinesh Thakkar: See currently objective is to use our platform so that we are able to give more services to our customer. Saurabh, would be the right person to take it from here.
Saurabh Agarwal : Yes, so I mean, the thing that you are trying to mention is us being a TSP, right? Just a Technology Service Provider. So fundamentally, TSP as a business is starting to become a low margin business because there are too many players offering the same services to NBFC in ter ms of just the platform play. And there is much more money to be made by being a distributor and by being an intelligent distributor. So, we don't intend to just hive out our technology platform to other lenders to underwrite their customers and without us being a distributor there.
Moderator: Thank you. Our next question comes from the line of Pratik Shah, an investor, please go ahead.
Pratik Shah: Thanks for taking my question and congratulations, Angel team, for putting a great set of numbers and increas ed market share. I have a couple of questions. The first one is, as we know that the company is in a process of hiring a new CEO, just wanted to check the status of that and by when we can expect this announcement? And second one is how Angel One is incorp orating machine learning and artificial intelligence in this broking service or any advisory service?
Dinesh Thakkar: Yes, so process of like looking out for a right candidate is on. It would be very difficult to put a timeline because we are looking at so meone very senior and seasoned, but all said and done, there are hiring agencies who are looking out for candidates. Second on use of AI/ML on broking or any other services. Jyoti, would you like to take this question?
Jyotiswarup Raiturkar : Sure, DT. Hi, so…
Dinesh Thakkar: And then Deepak can add, because Deepak is just joined, so maybe you can just give a perspective on our business and Deepak can talk about new technologies and everything, what you would be using.

Jyotiswarup Raiturkar : Sure. So, we use AI/ML across the customer journeys on our platform for example just in this now release we have talked about customer support so we have leveraged a LLM model with contextual data specific to us to help answer customer queries and it has got a 70% success rate. Besides this, we also leverage it from our acquisition during KYC for various things like signature recognition etcetera.
And even for our activations right for churn management of clients

, we figure out what is the right campaign or right ca mpaign needed for a particular person to get activated on the platform.
Dinesh Thakkar: Deepak, if you'd like to add on this, your vision strategy have seen the world.
Deepak Chandani : Yes, thank you very much. I'm very excited to be here today. I think as Jyoti mentioned, a lot of things are going on. Here, I see a lot of technology play while we can use artificial intelligence, machine learning, data science, to kind of enhance customer engagement, experience and further revenue increase for us.
So, I'm looking into all the initiatives which are running right now and have a lot of ideas from the past. We have done journeys at Apple in which we have a lot of customer base, and we use that halo effect in which a customer comes in and then we push them onto v arious journeys. That's what we are planning to do in Angel One.

So I'm in process of building a strategy roadmap and using technology, I am hoping we will be able to enhance customer engagement , experience and revenues for us. So please hold on for more c oming quarters and we will come up with exciting ways on how our customers get benefit. Thank you.

Pratik Shah: Yes, thanks, sir. And one more question, sir. Like we have, all we know that BSE has also introduced this derivative segment with launching of S ensex and Bankex, but we are still not supporting that. So, any plans to introduce that with our super app?

Dinesh Thakkar: Yes, Bhavin can take this question and Ankit can add on product side.

Bhavin Parekh : Sure. Yes, BSE has actually started the Sensex weekly options and the Bankex as well. We have evaluated that and we have started working on this. In the start of quarter three, we should be live a little before that, but there is an integration which has already started in the towards that as well. Ankit .

Ankit Rastogi : Yes, Yes, nothing to add there.

Moderator: Thank you. Thank you. Our next question comes from the line of Prathamesh with Proinvest Nirmiti. Please go ahead.

Prathamesh: So, I wanted to understand what impact will be there on our order volumes with the recent changes in the weekly expiry that have been done by NSE and BSE?

Dinesh Thakkar: See, when weekly expiries increase, definitely there is some kind of an uptick on customers engagement and all that. Devender, you would lik e to answer this question?

Devender Kumar: So generally, when the weekly expiry is coming up, we have seen improvements in line with market. And I think what we are seeing is much more distributed behavior, rather than concentrated behavior, is what we are able to see. And which is overall increasing the engagement of people as multiple instruments are getting distributed across the week.

So, it is overall increasing the engagement of people in a much more focused way, which was concentrated earlier in natu re and which is helping the overall business. We can't quantify how much impact it will bring, but it is a benefit for the overall business that we are able to see.

Moderator: Thank you. As there are no further questions, I would now like to hand the confe rence over to Mr. Dinesh Thakkar for closing comments.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we have been able to answer all your queries. Should you require any assistance, please feel free to get in touch with Hitul Gutka, Head IR, or SGA, our investor relationship advisor. Good day.

Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

Angel One Limited
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CDSL: IN-DP-384-2018, PMS:INP000001546,
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Mumbai - 400 001.

Symbol: ANGELONE
Scrip Code: 543235

Dear Sir/ Ma'am,
Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Further to our intimation on September 25, 2023, intimating of the earnings call with analysts and investors to be hosted by the Company on October 13, 2023, please find enclosed herewith the transcript of the said earnings call for your reference and records.
The transcript of the earnings call will be posted on the Company's website at www.angelone.in .
You are requested to take note of the same.

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
Membership No: A22506

Place: Mumbai
Date: October 17, 2023

Angel One Limited
Q2 FY '2 4 Earnings Conference Call

October 13, 202 3

MANAGEMENT :
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Thakkar Vineet
Agrawal Amit
Majumdar Ravish

Sinha Jyotiswarup
Raiturkar Ankit
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Chairman &
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Director Chief Financial
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Chief Product
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Chief Business
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Chief Data
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Parekh Hitul
Gutka
Chief Legal &
Compliance
Officer Chief Human
Resources
Officer Head of Online
Revenues
Head of
Operations, Risk
& Surveillance Head of Investor
Relations

Moderator: Ladies and gentlemen, good day and welcome to the Angel One Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. This conference call may contain forward -looking statements a bout the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult

to predict. I now hand the conference over to Mr. Hitul Gutka from Angel One Limited.
Thank you, and over to you, sir.
Hitul Gutka: Good morning and welcome, everyone. Thank you for joining us today to discuss Angel One's Q2 FY '24 financial and business performance. The recordi ng of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website.
For today's call, Angel One is represent ed by Dinesh Thakkar, Chairman and Managing Director; Vineet Agrawal, CFO. We also have the senior leadership team of Angel One along with SGA, our IR consultants. The leadership team will give you a brief overview of the operational and financial performa nce of the quarter gone by, followed by a Q&A session.
Please note, there may be certain forward -looking statements during the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Mr. Di nesh Thakkar for his opening remarks.
Dinesh Thakkar: Thank you, Hitul. Good morning, everyone. I'm happy to share that quarter 2 FY '24 reflects the superior execution of Angel One's robust growth strategies as we continue to gain market share across vari ous parameters. I will take you through some of the company's key development and leave you with a summary of our plans for the next few quarters, after which Vineet will walk you through our financial performance.
Seamless and superior client experience on our digital platform is the bedrock of company's growth. To maintain this growth in digital era, we must always prioritize our clients' needs and keep current with the rapid pace of technological and product development.
During the quarter, we rolled out enhancements across the Super App, which led to further improvement in our overall NPS. I'm happy to share that we continue to innovate and offer our clients some of the industry's leading features across all offerings on our platform. We hav e focused especially on simplifying the onboarding process for both new to market and experienced clients, thus giving them a superior experience of our tech capabilities right from the first point of contact with our Super App.

The success of this approa ch is evident from our improved ranking amongst the top 10 club of free finance apps on Play Store and our third-place ranking on iPad. Since majority of our clients are digital natives hailing from Tier 2 cities and beyond, who are new to market, it is imperative we create journeys that are user -friendly, compelling and easy to follow as we handle them through their initial experience of our products. For example, through Trade Buddy within the Super App, we present a platform from which these new invest ors can embark on their first trading journey. This feature compiled by influencers within diverse customer cohort offers a repository of curated educational videos in regional languages, which leads to better acceptance and

motivation to
consume such cont ent. Moreover, to encourage and help young people to invest systematically and build their lifetime wealth, we have deployed and released the stock SIP feature.
Over the course of the year, we will roll out several more exciting features such as market -- open interest analytics, global indices and stock discovery. This will further simplify our clients' investing and trading journey.
Our endeavor to develop a lifelong relationship with our clients through a comprehensive digital financial services playboo k has reaped handsome dividends, evident in the steady uptick of unique SIP registered through our app. With over 7,25,000 unique SIP registered in quarter 2 FY '24, we continue to remain India's second largest player in terms of incremental registered SIP s.
Furthermore, we are systematically broadening our financial services offering with plans to close the financial life cycle loop our clients by distributing consumer credit products on our digital platforms in the upcoming quarters. We are currently bui lding the platform and integrating our lending partners. We are also developing data -driven intelligence across customers' credit profile to help lenders’ underwriting process.
With such a large client pool, we have access to a large quantum of data. We are harnessing the power of data by building predictive models driven by deep learning of our clients' behavioral pattern to further elevate the client experience on our platform. These models are integrated in our system using AI/ML techniques to craft hy per-personalized journey, ultimately enhancing client's satisfaction and delight. We have

developed significant pivotal strategies to augment our decision -making process based on this advanced insights and forecast, which has enabled us to adapt quickly to changing market conditions. We are investing in AI -led personalization to enhance user discovery on our Super App. We are also working towards incorporating the recommendation of Data Protection Act to the extent notified to ensure greater security and co nsent framework for our clients.
As mentioned in our quarter 1 FY '24 earnings call, we rolled out our brand campaign to enhance awareness of our full stack fintech platform to address all our clients' financial needs and aspirations. The reception of this platform has been a resounding success, as we have noted through our brand track exercise.

During the quarter, we onboarded Nishant Jain: as our Chief Business Officer for Assisted Business. He was pivotal in scaling up the online ordering business of Zo mato and growing the merchant network of BharatPe. Nishant has also held senior leadership position at Coca -Cola and PepsiCo.
Nishant's experience in building large -scale franchisee will help formulate alliance with essential stakeholders and enhance busin ess performance through our strategic growth of our assisted business. Here, we plan to diversify and become a multichannel business as we build an ecosystem that offers a full suite of financial products on our platform. We will leverage the new data set and our digital capabilities to empower our partners to serve a wider client base. We plan to further augment our NXT platform as we integrate more features based on data , thus enabling our partners to have a more integrated approach to growth. Through thi s medium, we'll be able to connect and positively influence our large -underserved segment of country's population.
I'm also happy to introduce Ravish Sinha, who has taken over the reigns as CPTO. Ravish has a remarkable track record spanning over 2 decades. He held senior leadership positions in cutting -edge technology companies such as Flipkart and Yahoo. Ravish will drive the delivery of Angel's product vision, strategy, design, engineering and cross -functional influence.
During the quarter,

the Board approved our business restructuring plan, which includes
the purposed move of our broking business under our direct and assisted channel to our wholly owned subsidiary, Angel Crest Limited and Angel Securities Limited, respect ively. By doing this, Angel One Group will have a more focused and efficient organizational structure, and each business will have better flexibility and independence to foster growth and become a leader under their respective segments. As Angel One will b e a flagship company, it will continue to house the Super App, tech infrastructure and development, product development, data analytics and other business support functions. Since all the companies are wholly owned subsidiaries, there will be no negative i mpact on financial performance of the company.
In quarter 2 FY '24, we moved ahead with the filing of final approval of our AMC business. We are progressing rapidly in setting up the business infrastructure and building the team and are continuously engag ed with regulator on this regards.
It gives me a great pleasure to share with you that our organizational culture is being well recognized. We have now been listed amongst the top 100 best companies to work for in India, both for women and millennials, a r ecognition given to us by the Great Place to Work Institute . This fortifies our commitment to develop a safe and secure workplace for everyone.
I'm delighted to share with you that our operational performance in quarter 2 FY '24 has been historic. We have acquired over 2 million customers in quarter 2 FY '24, which is our lifetime best, thus growing our client base to over 17 million as of September 2023.

This growth has advanced our share of India's incremental and total demat accounts to 22% and 13.2%, r espectively.
Our orders, a key revenue driver of our business, grew by robust 36% sequentially to over 338 million, again marking our lifetime best. The ADTO generated on our platform continued to be in an uptrend, growing by 30% quarter -on-quarter to nea rly Rs. 30 trillion as we continue to gain market share in overall retail equity turnover by 168 bps

quarter -on-quarter to 26.2%.
In H1 FY '24, we acquired over 3.4 million clients and reported nearly 587 million orders executed on our platform, which is 73% and 63%, respectively, of FY '22 performance.
I hope these insights have given you a flavor of our tech -driven business model and our growth strategy to become a more Integrated Financial Service play. Vineet will now take you through our fina ncial performance, after which, we will be happy to answer your questions. Vineet, over to you.
Vineet Agrawal: Thank you, Dineshbhai, and good morning, everyone. As highlighted by Dineshbhai, quarter 2 of FY '24 has been a very strong quarter for us as we present our historic best performance across both operational and financial parameters.
Our quarterly total gross revenues exceeded the Rs. 10 billion mark for the first-time during quarter 2 of financial year '24. This was driven by robust market condit ions, coupled with amplified client activity, as seen from our historic best average daily turnovers, average daily orders, which grew by 29.7% sequentially to 5.4 million, taking our aggregate orders to 338 million in quarter 2 FY '24. Notwithstanding tha t there were 3, that is 5% , more trading days in quarter 2 of FY '24 when compared to FY '21 -- quarter 1 o f FY '24, our gross broking revenue grew by 30.4% quarter -on-quarter to nearly Rs. 7.3 billion, accounting for about 69% of our total gross revenues for quarter 2 of FY '24.
F&O continues to drive our gross broking revenue, contributing 85% in quarter 2 of FY '24, while the share of cash and commodity segments remained stable at 11% and 4%, respectively. Since majority of our clients are unde r the direct channel, their share in our net broki

ng revenues stood at approximately 78% and the balance 22% was contributed by clients acquired through our Assisted Business. As clients continue to transact on our platform, their contribution to revenues remain robust. Share of more than 2 -year-old clients steadily increased to 46% in quarter 2 from 25% in quarter 2 of FY '22. The longevity of these young new -to-the-market, revenue -generating clients on the platform is further being fortified through our v arious initiatives, developments and offerings across the entire spectrum of Angel One's Super App platform.
It is noteworthy that we continue to witness healthy revenue progression as clients become more attuned to our platform. I would like to emphasize that our cohort level data remains exceptionally robust. The most -- recent data regarding broking revenue from clients entering their second, third and fourth years shows strong performance at 85%, 80% and 63%, respectively, of their first-year revenue. When we apply this

updated behavioural data to our client set acquired in FY '22, the 3 -year estimated revenue to Cost of Acquisition continues to remain very robust at 7.9x. This reinforces the strong unit economics underlying our business.
Interest income, which includes interest earned from our client funding book and from deposits with exchanges grew by approximately 25% quarter -on-quarter to Rs. 1.8 billion. This accounted for 17% of total gross revenues in quarter 2 of FY '24.
The ancillary transaction income linked to the turnover clients do on our platform stood at approximately Rs. 0.9 billion accounting for nearly 9% of quarter 2 FY '24 total gross revenues.
Finance cost was higher by 44% quarter -on-quarter to Rs. 264 millio n in quarter 2 of FY '24 on account of higher average borrowings for the period in line with higher client funding book. Quarter 2 of FY '24, finance cost also includes the impact of higher borrowings for substituting the underlying collateral for bank gua rantees with own funds towards margins with clearing corporation pursuant to the SEBI circular, discontinuing any client funds as collaterals for bank guarantees.
Employee benefit expenses, including ESOP cost at Rs. 1.3 billion in quarter 2 of FY '24, was higher sequentially due to increase in our head count and related hiring spends. Other opex for the quarter of over Rs. 2.6 billion grew in line with our operations, driven by spends on higher client acquisition, thei r onetime onboarding costs, operating expenses towards tech infrastructure, demat charges, CSR and other expenses.
Our consolidated operating margin for the quarter stood at 51.3% versus 48.6% in quarter 1 of FY '24. 26% increase in depreciation and amorti zation costs to Rs. 112 million in quarter 2 of FY '24 was on account of the commissioning of our disaster recovery site at Chennai.
Our consolidated profit after tax from continuing operations grew 37.9% quarter -on-quarter from Rs. 2.2 billion in quarter 1 to over Rs. 3 billion in quarter 2 of FY '24.

For quarter 2 FY '24, the Board has approved a distribution of 35% of post -tax profits as second interim dividend to the shareholders, aggregating to Rs. 1.06 billion, translating to Rs. 12.7 per equity share.
Our H1 FY '24 total gross revenues and profit after tax stood at Rs. 18.6 billion and Rs. 5.3 billion, respectively, representing a growth of 30.1% and 32.9% over the corresponding period last year. Period -end cash and cash equivalent increased to Rs. 76 billion on the back of increase in client margins. Period end client funding book grew to nearly Rs. 19.5 billion, compared to Rs. 11.5 billion as of March 2023.
Consolidated networth of the company grew to Rs. 26.1 billion. As we continue to operate the business within our desired margin profile, our H1 FY '24 annualized return on average equity remains healthy at 44%.

With this, I conclude the presentation and open the floor for further discussion. Thank you.
Moderator: Thank you, very much sir. We will now begin the question -and-answer session. The first question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.
Swarnabh Mukherjee: Yes. So first of all, I'd like to congratulate all of you for the strong performance that yo u have reported. Now coming to questions. First question is on the assisted part of the business. So in slide six, you have given some color on how -- what is the plan, but I request you to give it a little bit more granular and in a qualitative manner so that we can understand for this part of -- the journey of the business is expected from this part.
And given that you have mentioned the involvement of leading DSAs and mutual fund distributors, so are we eventually going to mold this part of business into a national distributor kind of a model? And will retail the -- our core focus areas? Or are we going to kind of move up the scale and target the HNI as well? So that is the first question.
Secondly, sir, I also wanted to understand a couple of things on the recent business performance. First of all, the strong increase in the number of orders that we are recording per day. So, what would be the reasons, if you could break it down? So apart from the fact that the overall market remains buoyant, how is activation of new customers going on? How is that resulting in -- BSE also ramping up in volume? And similar levers, if you could point out in a little bit more detail on that.
And thirdly, relat ed to the customer acquisition, I wanted to understand the strong growth we are seeing , how would be the contribution of the AP channel related to that and directives that have come up, where we are standing on that. So, these are my questions.
Dinesh Thak kar: So Mr. Mukherjee, what I understand, your first question was on assisted channel. So, I will ask Nishant to answer that part.
Nishant Jain: Yes. Thanks for your question -- let me kind of paint a picture, which may help you kind of decipher what one i s intending to do.
Today, if you look at our existing scenario, we are primarily centered around a single channel of acquisition, which is sub -brokers and primarily in the equity , F&O play . Now if one was to zoom out, what you would see is that there are l imitless possibilities and a lot of opportunity for partnerships which exists if one was to kind of look at tie -ups with fintechs, various health tech players, banks.
Even if you look at certain other channels, for example, the mutual fund distributors or the PoSPs or the DSAs. If one was able to kind of provide a good product market fit and kind of cater to the niche that they exist in, perhaps there are a lot of syner gies that could be built out. So the idea of assisted business is, therefore, to have a multichannel,

multiproduct play and be able to eventually build a funnel through which we cross -sell our anchor -products at a certain point in time with the end objecti ve being creating a Angel One equivalent size in the next 3 to 5 years within assisted business.
Dinesh Thakkar: Okay. Mr. Mukherjee, I was unable to get your second part of the question. Can you repeat that?
Swarnabh Mukherjee: Yes, so -- second part on t he assisted business, was that once we embark on the plan and thank you, Nishant, for giving this color. So, once we embark on this plan, will it

kind of center around our existing customer -- kind of customers we tap in to right now, say, younger customer s and I think an increasing mix towards Tier 2, Tier 3 customers? Or shall we also kind of gravitate towards maybe more higher ticket customers and be more -- act like more a wealth outfit in the making? So that was, I think, my second part

of the question on the assisted sales.

Dinesh Thakkar: Yes. So, like -- target audience that we'll be targeting -- would be much beyond broking. As Nishant said, that we would be looking at like distribution channels where we can serve lots of other products like insuran ce, mutual fund, lending product. And even that will include lots of kind of like wealth management kind of a like product. So overall, the kind of end market we are looking at is much beyond that what we were catering to previously.

Nishant Jain: And just to add to what Dineshji has mentioned. See, we are looking at various customer cohorts. So, the idea is not to cater to -- not to have a singular strategy for the entire spectrum. The idea is to create customer personas, create customer cohorts and be abl e to serve them basis what they require. And therefore, to your question, answer would be that, yes, we will be serving different other segments as well over and beyond what we currently do. And that's the whole idea of creating a wider playfield.

Swarnabh Mukherjee: Understood, this is very helpful. Thanks also on the other couple of questions.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi, good morning, everyone and congratulations on a great set of numbers. Sir, firstly, on the interest cost. You mentioned that there has -- there is some impact of the upstreaming element, then the margin trade funding book was also higher. But if I look at the interest cost, that's just gone up by Rs. 8 crores. And you had mentioned earlier that around Rs. 40 crores impact would be just for 9 months just because of upstreaming. So that itself would entail around the Rs. 12 crores, Rs. 13 crores of incremental cost for th e quarter? That is my first question. Could you triangulate that for me as what -- how should we look at this interest cost for this quarter and going ahead? Second is we've seen a very sharp ramp -up in customer acquisition in this quarter. So, what really has changed? And what kind of momentum or things should we look at going ahead? And I think the previous question was also about one of the elements

which was unanswered was with regards to the volumes that came in as -- per day, per customer volumes have also been rising. So, what is the kind of trajectory that we are looking at?

And lastly, you set up a new subsidiary for wealth management. What is that exactly? And whether the distribution is going to be sitting in this company. How are you going to distribute the business of APs or online of distribution business will be -- will it be housed under this subsidiary? Or how it's going to pan out? Could you leave that out for us? Those will be my three questions.

Dinesh Thakkar: So, I will answe r the rest of the questions. Interest cost , Vineet will take that later. On sharp ramp -up of retail acquisition customers and all that, that is attributed to our shifting from like old app to new Super App, which has a better journey and it has like lots o f like areas where customers are able to really like and when they look at broking services, they're finding it easy to use our app and we engage with our app.

So, our -- based on that improvisation in journeys and all that, we have seen a huge kind of like ramp -up in NPS and all that, which clearly shows that people are liking our app. And there is always a referral word of mouth in our market because this market i s nowadays because of social media and all that. It's easy to understand that this app is better and people refer for each other. So that is one of the reason.

And second reason would be that last quarter, as you said, that we'll be spending on our brandin g exercise so that people know what kind of like this shift we have done from single kind of broking app to this latest kind

of like app. So that has also helped us. And plus, we had spent more this time on acquiring customers, keeping in mind unit -wise economy. But we were able to optimize our marketing, our acquisition through different, different channels. That's the reason I would say this combination of all the factors that we saw ramp up in our customer acquisition.

In terms of volumes, again, credit will go to kind of like journeys that we have built, we're are able to engage customers, we're able to monitor the customer journey. And we were able to build a good data science team, who is helping us in terms of -- giving us some content like informatio n about customers, their profile, what they would like and how they'll get engaged more. If you look at when we introduce this SIP journey, that has helped us to our customers not only to buy one more product, but this customer is engaged for one more prod uct. That gives us more kind of time with customer and our app.

And your question on the wealth management. Wealth Management, the total solution is not a distribution business. We would be creating lots of content solutions for HNI. And we would like to g o into a ticket size, which has been challenging in the market how to serve a ticket size of Rs. 50 lakh, Rs. 1 crore and around that area. If you look at wealth management, across market, they're focused more on Rs. 5 crores to Rs. 10 crores and above.

But we believe that kind of like technology capabilities that we have and data science tools that we are using now, we can bring to this market kind of a like very effective product, which is effective for HNIs and Ultra HNIs and give this kind of like solut ion to even people who want to just invest Rs. 50 lakh and Rs. 1 crore.

So that is our target for this wealth management. We will start in a normal way, serving HNIs and all that with proper solution, but we'll move towards using technology and bringing th is cost of acquiring customer with this ticket size of Rs. 50 lakh and Rs. 1 crore lower and make them profitable. So, for other businesses like for our product - based solutions, we have AMC and all that. So that will complete our approach in terms of wealt h management. On interest part, I request Vineet to answer that.

Vineet Agrawal: Sure. Good morning Prayesh. On the interest increase, so when we gave a guidance of Rs. 40 crores for the nine months, it was based on the assumption that the bank guarantees for client denominated funds will scale down gradually, and that's what has happened. From 1st of May 2023 to 30th of September, the scaling down has been gradual. And therefore, the cost will not be linear. Now that the client denominated bank guarantees have completely gone, so the cost will be higher for this quarter and the quarter after that.

Prayesh Jain: So just, Vineet, further extending that point, you mentioned -- so this quarter still, even if I assume that you have a very limited port ion of that Rs. 40 crores, that assume it's around Rs. 5 crores against, so the total cost has gone up by Rs. 8 crores only, where your funding book has gone up, your borrowings on the balance sheet has gone up. So somehow, I'm not able to -- unless your c osts have -- your borrowing costs have gone down materially, I'm just trying to understand as to what really kind of brought that -- the increase or so less?

Vineet Agrawal: So, the funding book has not gone up for the entire quarter. It's towards the seco nd half of the quarter that the funding book has grown. If you see the average is about Rs. 14.5-15 million or so. So , when you see the period end book, then obviously, it's Rs. 19.5 billion as compared to Rs. 11.5 billion at the start of the year. So, it's not a sudden increase that has happened at the start of the quarter and therefore, the funding is also -- the borrowing has also increased in proportion to that. Wh

at you see in the balance sheet is the period end number, it's not the average borrowing that you've seen.

Prayesh Jain: So is it fair to assume that, out of that Rs. 40 crores, what you have mentioned, a good portion of, let's assume around Rs. 35 crores, is still yet to come? Or would you want to change that number of Rs. 40 crores to a lower number?

Vineet Agrawal: No, I'll maintain that Rs. 40 crores because there is growth in business and therefore, there will be requirement of margins to be placed with the exchanges. So, we will continue to maintain that guidance of Rs. 40 crore s or so for the financial year.

Prayesh Jain: And just a follow -up on the acquisition costs you've been mentioning customer acquisition costs, if I just divide the total admin cost and the number of acquisitions that

made, it used to be around Rs. 1,500 pe r customer until for the past three quarters, it's coming at Rs. 1,250. Obviously, the base is much better because of 1.3 million was the run rate and 2.1 million is now. But is there anything else to read into it, whether the customer acquisition cost tra jectory and this momentum would continue?

Vineet Agrawal: So, the admin cost is not directly for the cost of acquisition. There are other elements as well, including the operational cost towards tech infrastructure, the branding cost that we have incurred, the onboarding cost that is there. So, you cannot directly divide the number with the number of clients that we have acquired. The customer acquisition costs have not moved significantly in the same line as it was earlier. As you know, we don't disclose t he numbers, so I'll leave it at that.
Prayesh Jain: Thank you so much.
Moderator: Thank you. We'll take the next question from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Thank you for the opportunity. Yes. Sir, two set of questions. One is on a bit harping on the orders -- client orders and all. If you give us some colour on the trading difference between a mature client versus new client, as you already mentioned in your opening remarks that the mature , two -year older customer cohort is contributing more to our broking , net broking revenues. If you can provide color on how the mature clients trade or the order or quarterly order versus a new client, can you give some color that is, more business is comi ng. Obviously, intuitively, it looks like more business is coming. But how skewed it would be, that I would like to understand. And what kind of risks you foresee in terms of these orders softening down from the mature -- any thought process or any concern you have that this order might taper down in the upcoming future? That would be the question.
And second, on the cost side, you did mention that we are in line with what we are spending right now. I believe there will be some thought process in terms of n umber of customer onboarding at an aggregate level, either be it share or in the overall demat accounts in the country, and post which, the need for spending more towards client acquisition will start to decline.
So, any thought process around that, where the inflection point will come or the target that you have internally worked out. From that point onwards, the need for investing for client acquisition will start to taper off, if you can provide that understanding? These are the two set of questions. Tha nks.
Dinesh Thakkar: Chintan, what you're looking at, very granular kind of a detail, the things that we don't provide. What we provide, it is in our presentation, Slide 11. I'll ask our revenue officer, Devender to touch upon that. But before that, let me just cover on like c ost side and all that. Right now, it's very difficult to say, what impact like this thing kind of like would be seeing in cost in near future. Because what we are seeing, unit -wise economy ha

s been

very profitable. So, we try to spend based on our own kind of metrics that we have, which is a bit propr ietary to us in terms of how much we should be spending.
So, when you see there is a good opportunity to acquire customers, which are profitable, we try to press that lever. So overall, I can say, looking at un der penetration, this trend seems to be like -- will continue for a long time because India, if you see, hardly 3% to 3.5% people are active in this asset class.
So -- the performance of this asset has been excellent. So, I don't feel that there would be any kind of like phase where clients would not look at this market or building their wealth or creating a second income. So, I will ask Devender to touch upon whatever data I can provide in terms of client per order cohorts and all that. Devender?
Devender Kumar : Yes, hi, Chintan, from an overall point of view -- if you look at orders from mature clients and new clients point of view, so from a mature and new clients point of view, as Dineshbhai had already mentioned that, we came out with new journeys on th e app with simplified usage for the active users, particularly, where you k now option watchlist has come out. And also, for the new users, we have been building a new journeys , Trade Buddy is another product that we had come out. So obviously, we have improved the journey of new users and active users very robustly on the app. And that we've also used data science to customize it for different profiles of clients , which has come out really -really well in terms of the eventual order that you see on the platform. Obviously, this is also supported by two major factors, like market going to all -time high and also multiple expiry days, which provides more opportunity for active traders who participate in multiple days. So, they are also added on in terms of active participation of active users, particularly very, very strongly.
But if you look at from a mature and new clients point of view, we see this impact has come equally on both fronts. We have seen equal impact on mature users, whic h is very high active users, as well as new users, who are starting to come into the market

and start experiencing different financial equity services in that itself . So, these are the two prime reasons that we have seen within the system which has helped in terms of growing the orders.
Chintan Sheth: So repeat orders, I believe, will be based on the income they generate from trades , right? And given market is also support ing to some extent, the kind of ordering we are seeing right now looks like to follow through to continue. But what are -- from the Angel's point of view, the kind of information and the kind of future you are providing – whether, if you can give us how pr ofitable this newer or mature cohorts independently? Whether they are making money, which brings them back to the trading activities -- is it what we are seeing currently? Or anything different you are reading there?
Dinesh Thakkar: See, Chintan, let me ta ke this question one second. This market, ups and down is not a new phenomena from the day stock market was incorporated. If you look at like already, we share that kind of a data, what kind of repeat business we get on year one, year two, year three. So, we had to look at cohort -wise revenue, whether it continues

or not. Whether we look at dot.com bubble era or we look at global financial crisis era. We have seen market really going to a zone where investors, traders lost money. And because they come to th e market with limited risk capital. Because they are earning -- they are generating kind of like revenue. So, they are kind of like engaged in the market. Not that they just do trade, they make loss and they shy away from the market. So based on kind of the hi

storical trend, we have analysed that trend in this digital era is far better in terms of repeat order because when they download an app, app stays with them. So, whenever they see an opportunity in the market, then may feel that, okay, when they enter, that an opportunity was not good and they made some losses. But they go back to nowadays, like social media, try to see what's the right approach, where they went wrong, do some back testing. And again, they are active in the market .
Chintan Sheth : Correct. Okay. So, the behaviour has changed, which -- and the kind of ease of accessing the trading data and app through an app is helping them to come back in the market...
Dinesh Thakkar: Access to market, access to information, access to experts like what we have built TradeBuddy and all that , talking to community and trying to evolve -- understand. So, all said and done, market has done good performance. They have realized, it is their mistakes. So, they have to improvise on that. This generation that way is very -- like proactive in terms of gaining knowledge and all that.
Chintan Sheth : Got it. I will join back in the queue. Thanks for the information.
Moderator: Thank you. We'll take the next question from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.
Bhuvnesh Garg: Yes, hi. Thank you for the opportunity. And congratulations for a very good set of numbers. Sir, a couple of questions on your new businesses. Firstly, on the lending products distribution. I just want to understand that, what would be your role in the partnership that you had mentioned in the prese ntation that through AI and ML models you would be creating profiles of your customer? And just want to understand, what would be your role in that partnership and what type of products that you will be offering through lending platform? So, yes, that's my first question.
Dinesh Thakkar: Yes, sure. So, Saurabh handles -- heads our this new business division. So, I will ask Saurabh to answer this.
Saurabh Agarwal : Hi, Bhuvnesh. In terms of the product that we'll be offering , to begin with, it will be consume r personal loans, unsecured consumer personal loans , and the kind of partnership that we'll be having with the lending banks or NBFCs will largely be in the capacity of a distributor. But we don't want to intend to just be a vanilla distributor. We want to give all the intelligence that we can to our lending partners to help them underwrite better, to help them collect better, so that their portfolio performance

increases and which, in effect, will mean, we can also benefit from better commissions from them over time.
Bhuvnesh Garg: Okay. Got it. And sir, any particular targets we have in this lending space in terms of AUM or in terms of revenue that we want to reach over the next three years?

Management: So actually, we can't give out that number, but we have very steep aspirations with respect to the credit business. We'll be -- we'll start slow to ensure that we have delive red the best experience to our customers and scale significantly post that. There is tremendous potential to grow the retail credit business in India.
Bhuvnesh Garg: Got it. And sir, second question is on our wealth management business. If I heard it corre ctly, you said that, you will be targeting customers in Rs. 1 crore to Rs. 10 crores tickets, it seems. Is that correct, sir?
Dinesh Thakkar: Let me just add that see, today, if you look at wealth management business now, like it is mostly focused on HNI a nd ultra HNI and average ticket size is Rs. 5 crores and above. So, we'll start our journey because the expertise lies with people who are managing fund at this ticket size. But we believe Angel has a unique capability -- So what I was trying to say that this wealth management piece currently is served for only HNI, ultra HNI

in a very effective way , what we call , where they are able to handle wealth in a right perspective. But if you look at India, India is market where actually we must be able to give similar kinds of solution and wisdom to lower ticket size, like Rs. 50 lakh, Rs. 1 crore, kind of a ticket size.
So, we would like to use the same kind of solutions what is provided by good wealth managers, use our technological capabilities, use data science, so that we are able to have an access at a lower cost, give solution at a lower cost. So, plan would be start a s a proper traditional wealth management business but try to use our technology and data science people so that we are able to serve a lower ticket size, middle belly which is growing at a rapid speed.
Bhuvnesh Garg: Got it, understood. And sir any particular targets we have for wealth management over the next three years?
Dinesh Thakkar: No, I think we are expecting that we'll make kind of like more announcements by last quarter of this financial year. Until now, we have just formulated our ideas and what we want to do, but we have to really get into the market to create a proper content strategy and how to go about go to market and all that. Okay, so you can expect some announcement from us maybe by the last quarter of this financial year.
Bhuvnesh Garg: Got it, thank you sir and wish you all the best.
Dinesh Thakkar: Thank you.
Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity. Sir, first question is on some data keeping questions. Basically, given the other opex it has grown significantly year -on-year in the current year. Sir, just if you can give how much was...
Dinesh Thakkar: Sanket, I was unable to understand you. Your voice is getting cracked in. Please, can you repeat it?
Sanketh Godha: Yes. The question I was asking, sir, was that given we have seen a strong growth in other opex in the current year, just wondering, large -- we believe th e large part of the growth could be driven by advertisement expenses. Can you just highlight how much we have spent on those advertisements? And then how sustainable it is going ahead? That's point number one.
On data keeping, I have two more questions. On e is if you can break down that Rs. 8 crores expense increase in the interest -- can we safely assume it is largely because of the changes with respect to upstreaming of the client money or bank guarantee not available. And lastly, given the Chairman has spoken about instant aneous settlement, I just wanted to understand the impact on us -- is the float income or what kind of float income we earn on the client money which could potentially disappear if instant aneous settlement gets implemented. That's on data keeping. I have a couple of questions on authorized channel -- assisted channel. Maybe after you answer this, I can ask that one.
Dinesh Thakkar: Vineet, can you take all these three questions?
Vineet Agrawal: Yes. So, about the cost that w e've incurred on branding, we don't disclose that, Sanketh. So, it's built in the other expenses. As I said, majority of the expenses – increas e in the expenses towards other expenses has been because of the growth in the client acquisition from 1.3 million to 2.1 million, plus the onboarding cost. And there is the cost that we've incurred for the branding campaigns that we have run during the quarter. That's on the other expenses part.
On the interest, again, I mean, I'm sorry, I can't disclose much details beyond the data that we've shared. But as I said, the increase in the margin requirement will go up with

the client denominated margins, bank guarantees getting abolished from 30th of September. So, there will be this incremental cost on the borrow ing and the BGs for the next two quart

ers. We've given a guidance for Rs. 40 crores during the nine months until 31st of March, and we maintain that.

Sanketh Godha: And lastly, Vineet, the float income on client money?

Vineet Agrawal: Well, that's somethin g which will pan out in the future. Right now, we have already shared a lot of information about the kind of income that we gen erate from clients' margins, et cetera. But as and when the instant settlement gets implemented, we'll see how the margins move an d then we'll be able to give a guidance on that.

Sanketh Godha: Okay. Perfect. Sir, the last -- the second question which I had was on the authorized channel or assisted channel model. Given we have been incrementally focusing on this business, and to the extent I understand this is a pass -through model. Suppose if you are earning Rs. 100 by distributing a loan or a mutual fund or any product on financial or on insurance in that sense. So, if you're earning Rs. 100, probably you need to pay Rs. 90 or Rs. 95 to the authorized person and Rs. 5 is what you might retain. So, I just wanted to understand how exactly you are going to build this model. And if I look at this model in silo, then is it safe to assume that t he EBITDA margins of this business will be invariably lower compared to what you do in the direct business model right now.

Dinesh Thakkar: Sanketh, I think you have to look at this model in a different way because when we talk about margins and all that, we don't take the cost. So that cost is taken by our assisted channel business partner and all that. So that way this model is very profitable and very kind of helpful in terms of cyclical times and all that , as all costs taken by our business partner. So, what we bring on the table is like affiliation with good manufacturers. And because of scale, we are able to negotiate a better price.

Second, we are able to use that kind of like solutions that we have and we can customize to the level where our busines s partner will be able to serve their customers better using our AI -ML tool and data science that we apply in our platform. So, we bring in a lot more than just kind of like giving an access to some manufacturers. But when it comes to managing customers' a sset portfolios, distribution, understanding, being more intelligent in terms of understanding asset allocation, that is where our USP comes in. That is where a platform like NXT and this are used. So that this – some of this kind of assisted business part ner is able to acquire more customers at a lower price. He is able to get more kind of like creative material in terms of communicating with the customer and acquiring more. And when it comes to serving also, we are able to tell in what are the products in the market and how each and every individual's portfolio is performing. So that's a huge kind of support, which kind of like channel partner gets. Nishant, if you want to add anything on this?

Sanketh Godha: Sir, just a follow up on that given in our broking business, to the extent I understand it is 70 -30 sharing. So, do you expect that 70 -30 sharing to operate in these other products also? Or it will be different meaningfully from what we experience in broking business?

Dinesh Thakkar: So, every business model is derived by what kind of an investment we are doing and what is an ROE to that? So, what we look at any business where there's a huge opportunity of deploying our kind of like opex or capex which generates reasonable, good, decent kind of like returns and it is scalable, so we would like to focus on that. Margin is not that important. So, 70-30, it can be 50 -50. It can be 90 -10. But what is important is that, what is the scale of that business and what we're bringing on the table, and wh at kind of returns we'll get on investments we are doing. So, I think because all these businesses does not require

huge capital. So ultimately it boils to business which is more sustainable. Because when we acquire these business partners, they are in the

market for -- like we have seen our business partners being in the market for like 10 - 10, 20 -20 years. And plus whatever margins we share with them, ratio is such that we both are profitable.

So, in that sense, it is not less profitable. It is kind of a thing which is required to gain more market share in whichever business we get into, to have a kind of like a diversity in terms of acquiring customers from whichever channel, they want to use our service. So, objective of being into assisted business, the thing is much wider than just looking at margins. So, I believe that India is still like there are digital natives. There are people who want assistance. And those who want assistance is also a bi g market. Combined with technology platform, what we can do now, it can create our unique USP. Yes, Nishant.

Nishant Jain: Yes. So just building on what you just said, Sir. See I mean, there is a role that channel plays and the role that is acquiring custo mers and bringing them on to our fold is primarily what they are focused around. And what the role that we as service providers play would be kind of creating those products, creating those customizations to be able to cater to that specific need. And ther efore, both the parties involved are adding value, and therefore, they are being reimbursed or they are able to charge for the value that they create. I think, I would like to look at it from this perspective and not from a margin sharing perspective.

Sank eth Godha: Got it. Got it. Perfect. And last one...

Nishant Jain: I can give you a specific example for that matter to kind of help you internalize this point. Let's say, as far as the lending model is concerned, and let's say, if I was to tomorrow tie-in with the DSAs of the world, and I play the role of a LSP, a loan service provider. Now in a scenario where I help them identify a specific cohort where we are able to charge a specific rate of interest. And therefore, creating enough lubrication in the system for them to be able to charge their DSA fee, which they, in any case, would be getting, and on top of which I am able to add value by that specific cohort and fulfilment of those journeys. And therefore, I am able to bring in my margin. It could be in form of LSP fee or it could be in form of upfront onboarding fee. So, these are different value adds that one is creating. And the overall proposition, therefore, becomes more robust.

Sanketh Godha: Got it. Got it, sir. Perfect. And lastly, given you have raised on the lending point. Just wanted to check that if the loan market you want to get into, whether ultimately, you will even start the payment aggregator model where the throughput through your channel will be significant. And therefore, the personal loan disbursement thing can be meaningful. Or you want to be a pure DSA or an aggregator of the DSAs kind of a model?

Nishant Jain : Well, this is a wider question, and I would request Dineshji to respond on this.

Dinesh Thakkar: Yes. So, we would always sound like to be a distributor of this product. We see a big opportunity in lending. If you look at lending market currently, know, so like what is

missing is last mile kind of like approach to end customer who are into remote areas and all that. An d when you look at digital native young people, they want to consume everything on digital platform. So, we would not like to underwrite risk and all that where we don't have some competency. Our competency lies in creating an access to the market, creatin g a huge distribution network and co -sharing that kind of like revenues with our manufacturers who are expert on risk management and collection and a

ll that.

Nishant Jain: In regards to your payment aggregator question, see, I mean, there are different sig nals that different companies use for underwriting purposes. Now, given that we are not necessarily into the underwriting part. I'm not sure if that is the signal we are using. I mean, payment aggregators using the transaction is able to underwrite the cus tomer who's actually intending to borrow. So, the perspective changes.

Sanketh Godha: Got it, got it. Perfect. Thank you very much. That’s it from my side.

Moderator: Thank you. We'll take the next question from the line of Hardik Jain from White Stone Financial Advisors Private Limited. Please go ahead.

Hardik Jain: Yes. Good afternoon, sir. Thank you for the opportunity. Sir this expiry changes happened, I think, from the 1st of September. So, if you can just give us the understanding how the volumes have moved up in the month of September versus August because I think now it has become a regular feature, and it will give us some kind of assessment how the volumes can move in this quarter also. So, this is my first question.

And sir, in terms of ancillary revenue, you said Rs. 90 crores is the kind of refund that we get because of our turnover. So, I just want to understand, isn't it required by the regulation to charge on an actual basis to the client the turnover charges. So that is my second question.

Secondly, sir, you have also mentioned that earlier, we were not able to give Sensex futures and options on our system, which has started, which you mentioned in the presentation. So, when did it start? Did it contribute something to the revenue in this quarter or it started after the quarter? So yes, these were my few questions.

Dinesh Thakkar: Yes. So, on expiry, we would not be able to comment much on that because this all changes which happened has been factored in our quarterly results. So, you have to take some informed decision based on numbers that we have shared.

And on charging or the thing rate to customers, we charge as per slabs. And like that is where there, that is kind of like whatever is like applicable to different -different traders based on that volume, we charge that. So, it is in line with regulation. And third, SEBI -- sorry , BSE, we started just last week. Still, it is not fully rolled out. The impact of BSE is not fully seen in our this quarter results.

Moderator: Thank you. The n ext question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good afternoon, Sir. Thanks a lot for taking my questions. I think most of them are already answered. Congratulations for a very good product. Nevertheless, one question that I had in my mind was on this unique SIP registered. So, this is certainly reaching a very significant sort of a scale. So, at the moment, ha ve you had any sort of discussions with the AMCs or thought any -- you have some thoughts about how to monetize this thing? And also, given that you are also going to launch your own AMCs, do you see any play between these two? And how do you see any monet ization overall to come up in this sort of a segment?

Dinesh Thakkar: Yes. Sarvesh, thank you for your question. And see, if you look at like our discussion, like since few quarters, we were focused on Super App. And we strongly believe individual who come s on our platform, he should get everything which that person needs to achieve his financial goals and all that.

The first step was like after broking to introduce some other kind of asset class, where we see some traction. The positive thing is that we we re able to see people like more services on the same platform. That's the reason we just launched in April.

In six months, we are number two in terms of unique SIP register. So that clearly shows that people who are on one app, they are ready to buy multip le services,

multiple
products provided we are able to give a right journey. So that is where our uniqueness in terms of building a Super App, building an engine which is more guided by data science and AI/ML tool is very effective in terms of understandin g what the customer wants and serving it at the right time.

So, we don't look at earnings from every transaction. What we look at that customer should be engaged on our app. If that person is engaged, today or tomorrow, they're going to consume more servic es on our platform. Some products can give us good revenue, some products may give less revenue. But overall, what is important, what is cost of acquisition and what is the lifetime value of this customer.

So, we believe until now, none of the industry has really focused on lifetime value, which is much beyond what we can imagine. So, because we are acquiring customer who is at the age of 25, 26. If you look at their lifetime value, it will be much beyond than what we have currently projecting. So today, if you look at like we have given numbers on that our cost of acquisition to until now in three years, we're able to recover almost 8x from our cohort. But if you are able to add few more services create more engagement, more stickiness, we believe that this parameter would have a positive impact. So that is where our focus is.

Now your question on our own AMC. Yes, we believe our AMC would be totally on passive ly managed fund. I believe that passively ma naged fund is the right product for young individuals who are starting their journey. One, because ETF is an easy product,

diversified product and it's easy to divide it into SIPs and invest regularly. So definitely being into passively managed fund, what is going to help us is our distribution network, which is huge. So that way, there is a synergy, there is a kind of like advantage position that we have, and we are going to leverage that.

Moderator: Thank you. We'll take the next question from the line of Varij Bangur from PICO Capital. Please go ahead.
Varij Bangur: Sir, I just wanted to ask on one thing. From July 1, I think the lot size of bank nifty has reduced from 25 to 15. So is there an impact of that also because a same trader would have to put in more number of orders for the same value that he's going to trade. And from that sense, would it be structural going forward as well? Because that number would remain the same, right, from July, August, September to the coming months now?
Dinesh Thakkar: Bhavin, can you take this question?
Bhavin Parekh : Yes, sir. So, see, the Bank Nifty contracts has definitely changed from 25 to 15. But it has got actually added in the number of trades that we have been reporting until now. So obviously, there a re a set of customers who would want to actually trade a particular quantity, for them, the number of orders would have gone accordingly. But to see whether this impact has actually caused the rise of orders would be -- we will not be able to mention on th at particular thing. But yes, there are certain customers who place orders based on number of lots. There are certain customers who place based on the number of quantity that they want to take.
Moderator: Thank you. We'll take the next question from the li ne of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: I just wanted to understand on the ESOP cost, if we factored in these, we've had these new hiring. So, what would be the cost we can factor in for the year?
Dinesh Thakkar: Vineet, can you take this question?
Vineet Agrawal: Sure. So, on the ESOP cost, the guidance remains the same. Overall, for the year, we had estimated the cost to be about Rs. 80 crores. The cost for new ESOPs that we have granted and expect to gr ant will be in the range of about Rs. 55 crores, Rs. 60 crores. So, we maintained that same guidan

ce.
Pallavi Deshpande: And secondly, on the ad spend. I think you mentioned that -- will that be ramping -up now as the -- given the new business is coming in the loan business and AMC? Do we see a ramp -up, further ramp -up in then from the current run rate?
Saurabh Agarwal : So, for the lending business and other distribution businesses, we are actually not spending money to acquire those customers. We already ha ve a large enough customer base internally who we could cross -sell and create a large enough portfolio

there. So, in terms of spending money to acquire customers this year and hence, brand spend increasing, that won't happen.
Moderator: Thank you. The next question is from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.
Bhuvnesh Garg: Thank you for the follow -up. Sir, just a data keeping question. Firstly, if you can provide the interest rate that we charge on our MTF book. And secondly, i f you can provide the breakup of our interest income into our MTF income and then FD interest income? Yes, these two questions.
Dinesh Thakkar: Vineet, please take this question.
Vineet Agrawal: Yes. We charge 18% annual for the MTF lending that we do. And of the total interest income that we have reported, almost 65% is from the fixed deposits and margins that we place with the exchanges and about 35% is from the margin trading.
Moderator: Thank you. The next question is from the line of Rucheeta Sharad Kadge from iWealth Management LLP. Please go ahead.
Rucheeta Kadge: Congratulations on a good set of numbers. So, I wanted to ask, sir, when do we see this AMC, the lending and the wealth management business starting up? Sorry, if I'm repeating the questi on, I must have missed it. So, if you could just give a little clarity on that.
Dinesh Thakkar: No, sure. No problem. On AMC and lending, I will ask Saurabh and Vineet to take this question. On wealth management, it's too early to comment anything on when it will start. So right now, we are at kind of a conceptualizing stage. So maybe you will hear more about this wealth management in next quarter in detail.
On AMC, Vineet, can you just elaborate. And on lending, later on then, Saurabh can add.
Vineet Agraw al: On the AMC business, we've already filed the application for final approval early August. We are in the process of building up the business infrastructure and the tech infrastructure and creating partnerships with key vendors. We expect SEBI to conduct an on -site inspection once we are ready with the entire infrastructure and the team in

place.
And thereafter, usually it takes about between one quarter to two quarters for SEBI to give their final approval. So most likely, we should be able to -- we ende avor to get our final approval either in the fourth quarter or early first quarter of the next financial year.
Saurabh Agarwal: On the credit business side, most likely before the end of this fiscal we should be able to go live.

Moderator: Thank you. The n ext question is from the line of Sumit Jankar, an individual investor. Please go ahead.
Sumit Jankar: My question is related to ARPC. Can you provide the numbers for this quarter and previous quarter?
Dinesh Thakkar: I'm not sure. Devender, do we provide A RPC?
Devender Kumar: We do not provide this information and this is internal information. So, we don't provide any such information.
Sumit Jankar: Okay. Sir, I have one more question related to derivative market share. As I can see, the derivative market share is all -time high. So, can you mention some reasons which helped you to gain 26.20% market share in this quarter, which is up by almost 200 bas is points as compared to previous quarter?
Dinesh Thakkar: Devender?
Devender Kumar : I think, as mentioned earlier, we had a number of new pro

duct journey improvements
that we have done on the product front, which is helping the active users to engage in a much more wholesome way, which has now started contributing in the right way in terms of participation. That has been the major impact now where we have made Sensibull free, we have got basket orders , we have got options watchlist . So, we have got multiple product journeys improvement that we have done which is causing easier usage by use rs who are active users particularly. So that is what is majorly helping the overall movement of the derivative market share as well as a result.
Sumit Jankar: Okay. I have one general question, just to ask, as you have good market share in derivative. Recently, five months, six months back ago, the SEBI made a report on derivatives profit and loss for the retail customers. It said that 89% client make loss and so can you tell, derivatives is a zero -sum game? So, is it is it that the remaining 10% of our earnings, the losses made about 90%. Or is it that the DIIs, FIIs or banks who are also trading in derivatives , they are receiving the profit? What is your take on t his?
Dinesh Thakkar: Sumit, it's a good observation. I think report does not give detail about if nine are losing. As you said, it's a zero -sum game, minus expenses. Where the other part is going? It can be going to people who are into kind of like arbitra ge business or FIIs who're hedging. But I think this report is not clearly mentioning that side. So, I would not be -- like we would not be the right person to answer this. You have to check with regulator on that.
Moderator: Thank you. The next question i s from the line of Hardik Jain from Whitestone Financial Advisors Private Limited. Please go ahead.
Hardik Jain: Just one bookkeeping question. Sir, how much cash would we have on our books other than the client margin as our own cash?

Dinesh Thakkar: Vineet?
Vineet Agrawal: Today, we deploy about Rs. 1,500 crores, Rs. 1,600 crores of our own cash other than the money that is there in long -term investments and assets. So, this is money that we deploy for margins and for the other working capital requirement s.
Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Yes. So just wanted to understand on the loan business. Would we be then targeting , since we said it a cross -sell, more of the Tier 2, Tier 3 customers and that would be the need to ask them ?
Dinesh Thakkar: Saurabh?
Saurabh Agarwal : What is the question, please? Can you just repeat the question?
Pallavi Deshpande: The loan business, for the loan business, since you mentioned it's going to be more initially the cross -sell. So, does that implies that we will be having more Tier 2, Tier 3

and Tier 4 kind of customers for that?
Saurabh Agarwal : So, since we are not acquiring customers for lending, we are cross -selling to our current base. So, whatever the composition is of the bas e that will be the composition of our lending business as well.
Pallavi Deshpande: Right. So that's an area pretty much ignored by the current fintech players. So, I mean, in terms of credit...
Saurabh Agarwal : That is where the opportunity lies, right? On e, market itself is under -penetrated and more -and-more lenders and issuers want to enter that market. And since we have a very highly engaged base in those same geographies, we have a very high potential to capture that market.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, Sir.
Dinesh Thakkar: Thank you for joining us on the call today. I hope we have been able to answer all your queries. Should you require any assistance, please feel free to get in touch with H

itul
Gutka, Head IR, or SGA, our Investor Relations Advisors. Good day.
Moderator: Thank you, sir, and the members of the management. Ladies and gentlemen, o n behalf of Angel One Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2024

Angel One Limited
CIN: L67120MH1996PLC101709,
SEBI Registration No Stock Broker:INZ000161534,
CDSL: IN-DP-384-2018, PMS:INP000001546,
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BSE Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Symbol: ANGELONE Scrip Code: 543235

Dear Sirs/ Ma’am,

Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation December 21, 2023, intimating of the earnings call with analysts and investors hosted by the Company on January 16, 2024, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company’s website at www.angelone.in .

You are requested to take note of the same.

Thanking you,

For Angel One Limited

Dinesh Thakkar
Chairman and Managing Director
DIN:00004382

Date: January 19,2024
Place: Mumbai

Encl: As above

Angel One Limited
Q3 FY '2 4 Earnings Conference Call
January 16, 202 4

MANAGEMENT :
Dinesh
Thakkar Vineet
Agrawal Amit
Majumdar Ravish

Sinha Jyotiswarup
Raiturkar Ankit
Rastogi
Chairman &
Managing
Director Chief Financial
Officer
ED - Strategic
Initiatives
Chief Product &
Technology
Officer Chief Technology
Officer
Chief Product
Officer

Prateek
Mehta Nishant
Jain Prabhakar
Tiwari Ketan
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Officer – Direct
Business Chief Business
Officer – Assisted
Business Chief Growth
Officer
Chief Strategy
Officer
Chief Data
Officer
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Security Officer
Dr. Pravin
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Resources
Officer Chief of New
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Head of Online
Revenues
Head of
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Hitul
Gutka
Head of Investor
Relations

Disclaimer: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange will prevail.

Angel One Limited
January 16, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Angel One Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you. And over to you, Mr. Gutka.
Hitul Gutka: Thank you. Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q3 FY '24 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and press release are also available on the website.
For today's call, Angel One is represented by Dinesh Thakkar, CMD; Vineet Agrawal , CFO. We also have the senior leadership team of Angel One, along with SGA, our IR consultant. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, followed by a Q&A session. Please not e that there may be certain forward -looking statements during the call, which must be viewed in aggregate with the risk that the company faces.
With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks. Thank you.
Dinesh Thakkar: Thank you, Hitul, and good morning and wish you all a very successful 2024. Let me begin by giving you all a perspective of how we think about growth as we strongly believe in the tremendous opportunity at our disposal.
Over the last 27 -plus years, our team has dedicated their efforts to offer clients the most suitable product in a seamless and efficient manner by harnessing power of data and technology. Over time, our organization has also ensured that it constantly evol ves with the needs of its client and strives to stay relevant. That has been the core proposition of Angel One. Our goal has been to not just provide services, but also to cultivate a culture of investment.
The digital assets we have developed are continuously evolving enriched with innovative features to ensure an unparalleled investing experience. It is through such exceptional experience that clients choose to remain engaged with a platform like us over th e long term. We firmly believe in the importance of encouraging long -term investing habits , even if it means that some services are not immediately remunerative .

Witnessing the change in today's retail investors, we have consciously and actively building their portfolio through SI P and direct equity investments is the incredible rewarding. It is heartening to see that long -term retail investments through both these channels of direct investment, direct equity and mutual fund stands about 1/3 in NSE free float market capitalization as of September 2023, even as many of them continue with their trading activity in different segments.
This gradual shift towards long -term wealth creation is an exciting prospect, defining the longevity of retail investor in India's capital markets. More individuals are recognizing the potential in these products driven by the opportunity for sustained growth. It is gratifying to see our efforts contributing to this transformation in India's investin

g landscape.
I'm happy to share that Angel One continues its robust performance in Q3 FY '24 as well. Angel One is among the few players to consistently expand its market share across various parameters while operating the business with very strong unit econom ics. This has been an especially historical quarter f or us as we acquired more than a million clients in a month and 2.5 million clients in a quarter for the first time , accounting for nearly a quarter of industry's net client addition.
This consistency in acquisition and expanding market share is premised on our superior tech and product development, topped by continuous enhancement focused on priming

our customers' experience. Let me take you through some of the company's key development, after which Vineet will walk you through our financial performance.
Broking and Super App. Our clients' needs are central to us. During the quarter, we channelised our effort to make the Super App more productive for them, thus double -clicking on their needs. Since majority of the clients are young and fresh in their investing journey, it is imperative that we focus on process improvements , right from easing their on -boarding experience to offering them unique features which simplifies their investment journey on the app. We integrated the Google mobile number picker in KYC journey, thus leveraging existing information from client's Google -linked accounts. This not only eases the data input step for our clients, but also improves the accuracy in capturing their contact details.
We launched our self -serve journey for our clients with the aim to empower them to modify and update their KYC documents through the DIY route , thus reducing the dependency on manual assistance. Moreover, we encourage and help this young client to invest and build their lifetime wealth. We developed and released the stock discovery feature on our Super App. These screeners host a collection of stocks like blue chips, sectori al themes, top gainers, etc., thereby improving engagement and encouraging client to build long -term portfolios.
Simultaneously, addressing the need of our experienced clients, we introduced some advanced features like open interest analytics. We also optimized the Web trading application with the rollout of TradeOne, an all -in-one solution offering seamless trading

experience, which allows our clients to quickly access multiple data points and just take more focused decisions . We also upgraded our charts with the introduction of some new free -to-use features for our clients. All this reflects on our commitment to continuously improve our product stack for both the new to market and experienced clients.
A culmination of this enhancement has led to further improvement in our overall NPS. Another indicator of highlighting superiority of our product is that Angel One has consistently ranked among top 10 finance apps on Play Store and App Store and is in the top 5 on iPad. We will continue our emphasis on improving experience for all our clients.
Over the next few months, we plan to roll out enhancements on our charts like Tick -by-Tick Data, which will provide clients with the most recent market activity. We also plan to develop an all encompassing equity portfolio view, aggregating that holding ac ross different platforms into one unified holding report.
MF and lending update. Our mutual fund offering on Super App has done exceptionally well since its launch. We created simple and user -friendly experience, results of whic h are clearly visible from the off take of SIP through our platform. Focusing on easy -to-use journeys, we installed pipes , allowing our clients to set up SIP mandate through UPI as well.
We also put efforts in optimizing the homepage, thus making it easier for user to discover funds. This tweaks led to a significant improveme

nt in conversion. Not just
that, we have also made enhancements to the NXT platform, ensuring our channel partners h ave better visibility and capabilities. Our latest addition, the SIP health score, is also well received. Through this, we encourage our client to stay discipline in the long-term investing journey. Features like this have culminated into better client retention on the app, with around 90% of SIP clients continuing to engage.
I am thrilled with the progress we have made in simplifying the journey of our client and supporting their investment habits. This has led to an incredible 17 -fold year -on-year increase in SIP registration to over 9,55,000 during the quarter ended December '23. Our sustained position as India's second largest player for incremental registered SIP is a testament to the effectiveness of Super App strategy and the value it brings to our clients.
Our aim is to partner with our clients at every important phase of their life. While providing equity and mutual fund is a pivotal part of this commitment, we are broadening the horizon. We are extending our touch points by venturing into distributing credit and fixed income product. During Q3 FY '24, we dedicated efforts to crafting journey to distribute credit products . These are currently undergoing beta -testing, and we are gearing up to launch this offering in the current quarter.

Initially, we will take a measured approach stepping in cautiously to grasp the nuances of the ecosystem better before we scale up the servicing offering. Our strategy for expanding this service vertical relies on the wealth of data from our extensive clie nt base. We will use this data to develop an informed approach, ensuring that as we expand our services align with precisely our clients need and expectation. This data - driven strategy is key to our gradual yet meaningful expansion.

Data science. A testament to success of our data -driven strategy is the sustained growth of our existing business. We are harnessing a vast pool of data and leveraging it to create predictive model using complex algorithms. This model analyse client behavior, thus empowering us to improve our engagement through personalize d experience.

Insight s from the in depth analysis play a pivotal role in our decision making process. Data equips us to swiftly adapt to market shifts, ensuring our strategy remain agile and responsive. Incrementally, our data driven machine learning algorithms allow us to strengthen in our security protocols and protect sen sitive information, thus effectively mitigating risks associated with fraud .

Content strategy. During the quarter, we sharpened our focus on our content strategy, which forms a bedrock to engage and educate people for various financial products and establish es industry thought leadership. A key tenet here is to leverage social media , communities and users to promote awareness.

Going forward, we will be rolling out multiple content initiatives aimed towards our target audience for brand recognition , engagement, recall, acquisition and eventually activation. We will design well -targeted authentic linguistically and culturally accessible content that sparks conversation around wealth, investment and finance amongst our future clients.

Assisted business unit. Coming to our plans for growing the assisted business, we have very high aspirations here , I strongly believe that we can and will disrupt the existing format of the business. Here, I wish to update that the tenure of NSE AP order served to us on July 14, 2023 has run its course . And we have now commenced on boarding new authorized persons . We will transform the ecosystem and improvise better engagement journey on our NXT platform.

Over the next couple of quarters, we will dedicate our efforts to building a strong foundation and will focus on assembli

ng a specialized team for this vertical. We will
have a targeted approach to expand our network of channel partners as we forge newer partnerships and penetrate further in underrepresented geographies. Here, too, we leverage our technology prowess as we build intelligence in our system premised on data.

Group CISO on -boarding. I am happy to introduce Anuprita Daga as our Group Chief Information and Security Officer. She is a distinguished thought leader with over 25

years of expertise in spearheading security transformation , architecture , defining and driving security strategy, data privacy, risk qualification and compliance with various global regulatory guidelines. She served as a CISO and Data Privacy Officer at Yes Bank prior to joining Angel One. Anuprita will enhance information secu rity, cybersecurity, data private framework at Angel One.

AMC. During the quarter, we progress building the leadership team for our asset management business. I am happy to share the on -boarding of Hemen Bhatia as the CEO of the business. Hemen brings along with him a wealth of experience cultivated over 17 -year in the asset management industry, which is last engagement being as Head of ETF at Nippon Life India Asset Management. Through this numerous engagement at industry and regulatory committee, Hemen has played a pivotal role in fostering growth of passive funds industry in India. He will lead the strategic direction and growth initiatives for our asset management business.

We also on -boarded Mehul Dama as the Chief Investment Officer for the business. Mehul comes with an equally strong repute with over 19 years of experience across financial services, of which more than 14 years were in asset management with companies like Nippon Life India Asset Management, Goldman Sachs Asset

Management and Benchmark AMC.
Operational Performance. I'm delighted to share that we delivered yet another historic performance during Q3 FY '24. For the first time, we acquired over 1 million clients in a month, thus leading to 2.5 million gross acquisition during the quarter. With such a strong acquisition run rate, we now account for nearly 1/4 of the industry's acquisition. With this, our period ending client base expanded to over 19 million, accounting for about 14% of India's Demat accounts. Robust client acuity led to 8.7% sequential growth in our average daily orders to 5.8 million, again our lifetime best.
The ADTO generated on our platform continued to be on an uptrend, growing by 21.4% quarter -on-quarter to nearly ■ 36 trillion, as we continue to gain market share in overall retail equity turnover by 62 bps quarter -on-quarter to 26.8%.
At Angel One, our steadfast commitment has always been to foster profitable growth. While we remain dedicated to the core ethos , we recognize that it is equally imperative to make strategic investment to strengthen the business and stay ahead of the curve. The investments made in Q3 FY '24 demonstrates our proactive approach. Whether it is building a team for newer businesses like asset management, expanding our client base or upgrading our tech and product to continuously prime client experience . We ackno wledge that this strategic move impact our margin in the short term. However, this investment will significantly contribute toward long -term profitable metrics.
In 9 months of FY '24, we acquired over 5.9 million clients and reported nearly 937 million orders executed on our platform, both of which are higher than what we did in the entire of the last year. I hope these insights have given you a flavor of our tech - driven business model and our growth strategy to become a more integrated financial

service play. Vineet will now take you through our financial performance, after which we'll be happy to answer your questions.

Vineet Agrawal: Thank you, Dinesh bhai. Good morning and happy 2024 to everyone. As highlighted by Dinesh bhai, Q3 FY '24 has been a very strong operational quarter for us as we achieved our historic best performance yet again with average daily orders growing by 8.7% sequentially to 5.8 million, taking our aggregate order count higher by 3.5% sequentially to 350 mil lion in Q3 FY '24.
Despite three lower number of trading days in the quarter, Angel One clocked its highest ever quarterly gross total revenue at ■ 10.6 billion, aided by a 17% sequential growth in interest income. Gross broking revenue declined marginally by 2.6% quarter -on- quarter to ■ 7.1 billion, in spite of higher order count.
The composition of orders underwe nt a shift in Q3 of FY '24 with cash segment orders growing by nearly 20% to 74 million. In the middle of Q2 of FY '24, we instituted a change in our tariff structure for the intraday cash segment, where we now charge clients 0.03% of the value of the order or ■ 20 per order, whichever is lower, as compared to our earlier structure of 0.25% or ■ 20 per order, whichever was lower. This change is the dominant reason for the decline in gross broking income for the quarter.
Gross broking revenues account for 67% of our total gross revenues. Within this, F&O continues to drive our gross broking revenue, contributing 84% in Q3 of FY '24, while the share of cash and commodity segments remained stable at 11% and 5%, respectively. Since majority of our clients are part of our direct business unit, their share in the -- in our net broking revenues stood at approximately 76%, while the balance 24% was contributed by clien ts acquired through our assisted business unit.
We are witnessing steady buildup of our long -term relationship with our clients. This is evident from the rising share of those clients who have been with us for more than 2 years. These cohorts accounted for 48% of the net broking revenue in Q3 of FY '24, a significant increase from about 25% in Q3 of FY '22.
Through several efforts, advancements and incremental product offerings across the Super App platform, we are further strengthening the lifetime value proposition of these young clients. During the quarter, we witnessed significant improvement in the cash delivery segment. Higher activity in this segment is an important lever for our client funding book, which witnessed a robust growth of 32.1% sequentially to average at ■ 18.6 billion for the quarter. This led to a corresponding growth in the interest we earned from this book. The interest earned on client funding, along with the interest earned on deposits with exchanges, led to a 17.2% sequential growth in our total interest income to ■ 2.1 billion, thus accounting for about 20% of the total gross revenues during the quarter.

The ancillary transaction income linked to the turnover clients do on our platform , stood at approximately ■ 0.8 billion, accounting for nearly 8% of Q3 FY '24 total gross revenues.
Finance cost was higher by nearly 35% quarter -on-quarter to ■ 356 million in Q3 FY '24 on account of higher average borrowings for the period, in line with higher client funding book and higher margin requirements with the growth in business. Of the ■ 400 million estimated increase in net finance cost due to the impact of higher borrowings for substituting the underlying collateral for bank guarantees with borrowed funds towards margins with the clearing corporation, pursuant to the SEBI circular, disco ntinuing any client funds as collateral for bank guarantees, we have incurred about ■ 160 million for the period between July to December '23 and estimate to incur another ■ 150 million in the ensuing quarter. This is due to the fact that most of the BGs with collateral as client funds matured by the end of September 2023 and the requirement for incremental
bo

rrowings went up after this.
Employee benefit expenses, including cost of granting ESOP, was at ■ 1.4 billion for the quarter, sequentially higher by 6.5% due to the addition of headcount, primarily in the asset management business, data and analytics, technology, operations functions and related hiring spends.
Other opex for the quarter clocked over ■ 3.2 billion, being 21.7% higher sequentially as we achieved our highest ever gross client acquisitions, leading to an increase in related one -time client acquisition and ongoing costs. Operating expenses were also higher on account of higher spends on tech infrastructure , dema t charges in line with growth in business and a quarterly incremental spend of ■ 25 million on CSR.
Flat revenue, coupled with aggressive client acquisition initiatives, led to a decline in our consolidated operating margin to 44% for the quarter versus 51.3% in Q2 of FY '24. This margin, however, remains in line with our guided range. This upfront onetime investment in acquiring more clients today will help us grow the business, grow the business yield going forward. Thus, reaping benefits of better operating leve rage.
16.7% increase in depreciation and amortization costs at ■ 131 million in Q3 was on account of commissioning of some of our network infrastructure and other costs of our data centers and disaster recovery sites.
Our consolidated profit after tax from continuing operations was lower by 14.5% quarter -on-quarter from ■ 3 billion in Q2 of FY '24 to over ■ 2.6 billion in Q3 FY '24.
For Q3 FY '24, the Board has approved a distribution of about 40% of post -tax profits as third interim dividend to the shareholders, aggregating to ■ 1.07 billion and translating to ■ 12.7 per equity share.
Our 9 -month FY '24 total gross revenues and profit after tax stood at nearly ■ 29.2 billion and ■ 7.9 billion, respectively, representing a growth of 33.4% and 26.1% over the corresponding period last year.

Period -end cash and cash equivalents increased to ■ 90.6 billion on the back of increase in clients margins. Period -end client funding book grew to nearly ■ 19.7 billion compared to ■ 11.5 billion as of March '23. Consolidated net worth of the company grew to ■ 27.9 billion. As we continue to operate the business within our desired margin profile, our 9 -month FY '24 annualized return on average equity remains a healthy 42.3%.
With this, I conclude the presentation and open the floor for further discussion. Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. We'll take the first que stion from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.
Swarnabh Mukherjee: I have a few questions that I'll quickly ask a couple of questions on the revenue side.
So if you could explain what made you change the tariff structure in the intraday part.
Is it competition or is it something else? And why ancillary revenue is down 10% despite overall volumes have gone up.
And also, if you can discuss a little bit in detail on the expenses side, particularly the customer acquisition cost. So what proportion of that will be part of our overall other

expenses line item and whether per customer acquisition costs have increased at a similar level to earlier and how we expect the payback from these customers as the payback period remains 6 months? Or any kind of change in the metrics that you are seeing? So these are my 2, 3 questions. I have other questions. If time permits, I'l l ask them after.

Dinesh Thakkar: Yes, excellent questions. See, on the tariff part, as repeatedly, we have told that we are actually market makers . We are able to expand market. So we have to go into kind of different geographies, different profile of customers and check what are the offerings which will attract them to onboard in this industry.

So

time and again, we have been kind of like coming out with lots of kind of like tariff structures and all that, where we are able to attract new set of customers. But what guides us, what we look at is that what is the cost of acquisition and what kind o f a lifetime value we can derive from this set of customers. So that is the prime reason that we -- all the time being first kind of like mo ver in this market to acquire new profile of customers. We have to try out different ways to onboard this customer.

But what we have seen, once the customer is on-boarded , almost lifetime value is just -- that justifies cost of equation to the tune where we want to maintain an OPM of 50% and above. So we look at that. Second, on ancillary revenue and all that, I would ask Vineet to cover it later. Let me just complete on your -- the cost of acq uisition and LTV side, although I have covered.

So our cost of acquisition has not increased, first of all. As I said that we go for different profiles, and every profile we try to map what an LTV achieved. If you look at all the

profiles that we are acquiring customers from open market, our cost to LTV has remained steady and we still maintain that breakeven of 6 months. Vineet, if you can just answer on ancillary revenue and expense side?

Swarnabh Mukherjee: Sir, just a follow -up on your response on this first question. Sir, so you have highlighted on the lifetime value of the customers and the feedback period. So in terms of -- on the margin overall, you have mentioned generally that 45% to 50% OPM is your ta rget range. But you have normally delivered better than that. Now should we consider that this particular quarter to be a relatively one -off quarter? Or were the margins came to the lower end of the range?

Or should we think that now we are going ahead to be more aggressive and that is why maybe over the next 2, 3 quarters, also our margins would start p laying out at the lower end of the region, if you could give some color on that.

Dinesh Thakkar: Yes, sure. As I said, our overall metrics, is cost of acquisition to LTV has not changed. But what happens like this quarter was full of seasons and all that. So when we take LTV of a customer is 5 years and beyond. So there will be a few quarters where clients are not active because, as you know, Diwali, Christmas, New Year and all that, activity are a bit lower. And plus this quarter, if you see, we had 3 less working days.

So overall, we don't see any impact on margin. But what will happen? If you get an opportunity to acquire more customers, it's an upfronting cost. So the impact will show a lower margin for that quarter. But if we extrapolate business model, that whole OPM has not changed. There are a few quarters when you get more opportunity to acquire more customer. You see that quarter, you may see OPMs less because of upfronting costs on acquiring customers, on -boarding customers, expanding our techno logy capabilities and all that.

So this quarter was more about investing in new of customers. If you look at our customer base has grown almost by 16.5% quarter -on-quarter. That is a huge. There's a cost of acquiring a customer. And revenue is going to come in the next five, six years. So if I look at the metrics of cost of acquisition and LTV, it is almost like similar to what it was the previous quarter.

So overall, I don't see that this impact on margin, what we are seeing in this quarter , is permanent . It is something that we got an opportunity to acquire more customers. We acquire, we invested on expanding our kind of like technology capabilities and all that. So there's a cost of cloud, there is a cost of on -boarding a customer. So overall, I can tell you that our cost of acquisition and LTV hasn't changed. So there is no impact on long-term guidance that we say that we would like to remain i

n that zon e of 45% to 50%.

But if we look at our cost of acquisition to lifetime value, what slide we show, it appears

to be around in the range of 75% to 80%. Slowly, you will see that, okay, this will play
out once kind of like India reaches a level where there is not a huge opportunity to grow

but we are more trying to get more wallet share of our customer. That is where a true
reflection of OPM would be visible.
But currently, as we are growing, as we see more opportunity to acquire customers, we
may see impact in a quarter or 2. And then again, if at all opportunity stabilizes, you'll
see we're going back to the same OPM. Plus, we are investing in new businesses. So
that new businesses will have impact in terms of we have to take upfront costs in the
new businesses.
But if I talk about broking, we have been maintaining this kind of like cost to LTV, but
new business addition that we are doing, incremental investment that we have to do is
not going to impact margin in a big way.
Vineet Agrawal: Swarnabh, on your question about ancillary income. So as we mentioned earlier, that
there were 3 less number of trading days in this quarter, and that is linked to the number
of trading days. So primary impact of the decline is because of the lesser number of
trading days.
Swarnabh Mukherjee: Okay, sir. But overall turnover, despite lesser number of trading days, would have
increased, right? So this would be kind of the fees that you pay to exchanges linked to
the turnover?
Vineet Agrawal: Yes. We -- as we also explained, the order mix has also undergone a bit of a change,
where cash delivery orders were higher as compared to the other segments. So it's a
mix of number of trading days as well as the change in the order mix.
Moderator: We'll take the next question from the line of Prayesh Jain from Motilal Oswal. Please
go ahead. Please go ahead.
Prayesh Jain: Yes. First of all, wish everyone a very Happy New Year. And I have a few questions.
Firstly, on the pricing price action again. Is it fair to understand that you want the mix of
your brokerage business to slightly increase towards the cash segment? And bec ause
you also alluded to the fact that this price cutting realization cutting would help you grow
your margin trade funding book as well. And so is that -- is there a change in thought
process where you want to kind of increase the share of c ash segment volumes? That
would be my first question.
Second is on the cost front. Again, what you alluded to there is no change in the cost.
Would there be any other additional costs that would have gone up sequentially apart
from client acquisition costs because that reflects in the in the increase in the o verall
admin costs? And lastly, on whether , with the RBI regulation changes, what would be
your approach on the lending, the loan distribution business?
And whether there is some thought on could you give some insights into as to how will
you approach this? What would be the ticket sizes that you would be looking at or some
information so that we can understand this. And just 1 small clarification, does th is ETF
SIP come into your client acquisition in any form? That would be my questions.

Dinesh Thakkar: Okay. Let us go one by one. One on this mix. See, we always said that we want to be
having a market share in all the segments. So you are right in terms of when it comes
to market share in cash segment, margin trading, everywhere we are looking up to be
in kind of a leadership position.
So wherever you find a pocket like there are clients who want to start their journey by
cash segment, we are equally kind of a like eager to acquire them and try to nurture
them on our platform. As I said, what we have realized, even when we take customers
or cash segment, lifetime value of this cus

tomer is almost quite decent in terms of unit
wise economy . So it surpasses like or maybe passes that kind of like test of OPM of
50% and around.
So yes, when we are looking at the new geographies, lots of customers, they don't want
to start activity, which is very intense high. They want to start building portfolio. They
want to buy cash segment. They want to make a portfolio. So we are very keen t o get
a market share over there. And that does not impact our cost of acquisition to LTV
metrics.

Second, when we come on expenses. Yes, this quarter, 1 cost was because of higher acquisition that we did. And plus, we did a lot of investment in building technology capabilities. So there were 2 content components, which was upfront and which was needed looking at the higher base that we are serving now. On this RBI regulatory regulation and on SIP, we don't acquire a customer. It is just cross -sell. Saurabh would be the right person to answer both these questions. Saurabh?

Saurabh Agarwal : I think your question on RBI, let's take a step back and understand what RBI has done and why, right? I think the core issue is leverage in the unsecured business across a few cohorts was building up and customers were getting burdened. And hence, what RBI has done , it has increased the risk weight. By doing that, what happens is cost of funds and hence, ROI for a few cohorts will go up.

Primarily, we believe that for lending business to go a long way in India, it has to be responsible lending. You can be overburdening the customer with a lot of leverage. So that is our view on what RBI has done, how does it impact us, right? So one is thi s is the foundation year for us to build the lending business. So as of now, we are in the beta testing stage.

Secondly, in terms of our plans in lending, we were never looking to get into small ticket lending, which is where the entire stress is build up. So direct impact on the business in the year going forward also looks to be very, very limited. In terms of th e ticket size that we are looking to target, it will be north of ■ 1 lakh on an average. So I think largely, we don't see any impact on us. In fact, we are quite positive that RBI has come out with this regulation now when we are in the initial phase of b uilding our business.

Having said that, since the industry is very large, there is a lot of demand, we are sure that the overall industry is poised to grow multifold over the next few years and we will be a key beneficiary of that growth.

Prayesh Jain: Okay. And just on the SIP thing, whether a customer is acquired and he invests in a SIP, invest in an ETF, which ideally for us will be 0 revenues. Would that still be counted in the gross client addition? How does that go?

Saurabh Agarwal : No, since we only do cross -sell on the MF SIP part, the client addition happens only when someone completes a KYC for opening a demat account, right? So someone doing a SIP or not doing a SIP, that does not get counted in your gross client addition.

Moderator: The next question from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Sir, on the affiliated channel partner side, if you can provide some more color what's your strategy around adding new set of adding new channel partners and whether that affiliated channel can be also leverage to expand your growth on the lending side of the business as well as your AMC side of the business in terms of distribution of the product, whether there will be an overlap to that, that will be the one.

And second, on the on the margin front. Again, sorry to harp on that. But this upfronting of cost, if you can elaborate in terms of , if I look at the cost was slightly offset -- the increased cost is understandable. But at the same time, the cut the tariff also impacted the margins slight more than the increased c

ost. So the understanding would be that this is the last leg of tariff cut, w hich we can see or there is still you need to optimize it if the market in favor of in terms of adding more number of c lients. That will be the 2 questions.

Dinesh Thakkar: Yes. On assisted channel, I will ask Nishant to give his view. Let me cover upfronting cost, which is very important to understand in this kind of business.

So what happens when we are acquiring a customer, as I said, that we have to do an upfronting cost, like we don't apportion this cost across the life cycle of the client. So when we are taking a big chunk of cost on customers when we acquire, we are able to realize only like , come to a breakeven only after 6 to 7 months. So there is a period where it takes time for us to breakeven on this cost. But, w hen we take the cost, it is reported immediately in that quarter.

So second comes when we are growing our customer base, we need to take care of their growing requirement in terms of technology capabilities, in terms of ruggedising our products and all that. So lots of kind of technology cost goes upfront . So when a client is acquired, we try to see that our capacities are created for these client so that they don't face and glitches any problem when they are trading in the future. So that way, when we are building any platform, there are lots of costs which immediately comes as an upfront cost, if we are increasing our base of customers, okay?

Second comes tariff impact. As I said, it is not a tariff impact. It is about how do we grow the market? In India, as you see, like 65 crores, we are having a PAN account. But they are not taking interest in equity, where we know that every person needs certain kind of like saving investment and equity has given an excellent re turn in terms of CAGR of 13%, 14% for 25 to 30 years. So we need to play ers like us have to really expand this market. So we need to go into an area, understand what tariffs would attract them, what kind of content would attract them. So there is also cost we have to take to attract these new geographies, new profiles.

So when we are working on a new tariff plan, what we look at is, is this customer profitable in the future? What would be his trajectory or her trajectory? If that comes as a trajectory , would be an OPM of 50% around, so try to modify change, work out a campaign, work out marketing around that. So on aggregate level, you may feel that we have reduced the tariff. We are reacting to how to acquire and how to get a new geographies, new profile in the market. That is how we have grown for all these years.

So we w ill continue our strategy to understand what this customer needs in terms of understanding content, in terms of journey on our platform, in terms of tariffs, which will make this person on board on our platform. So that's the reason tariffs, when we speak on tariffs, we look at lifetime value. If we are convince d that the lifetime value does not change, we will try to tweak it, that makes attractive for the customer, and that helps us to gain market share.

So this is what on upfront cost and tariff .

Chintan Sheth: What is this benchmark, LTV, you keep talking about what is the benchmark you keep the range, you keep in terms of is it linked to the income of that individual percentage of income of that individual? Or how should one look at the LTV for you? What is the LTV for you?

Dinesh Thakkar: Yes. So we look at every cohort and all that. But what we disclosed is the total cohort that we had acquired in FY '22. So if you look at that cohort behaviour is almost same. Like when we take up costs, almost LTV appears to be around in the region of 8x. So what we are seeing at that time also, we told that breakeven of this customer that we acquired is around 6 months, that trend continues. So when we talk abo

ut CAC to LTV,

we look at cohort wise profile wise. But when we disclose to you, it is more of like mix of all cohorts.

But what we look at, even like customers today, we don't go out and acquire customers for SIP. Because until now, we are not convinced in terms of CAC LTV. But we have enough customer base to sell them SIP, sell them mutual fund. So for other cohorts, whenever it becomes profitable, we go out in the market and acquire those customers at a new pricing or work out some content strategy or create some j ourneys, some referral programs.

So for us, for all these cohorts, it is important that we are able to maintain a margin of around 50%. So few cohorts will be giving above that , few cohorts will be giving a bit

below that . But we don't totally go into cohort, which we are not sure that we can make it profitable.

Chintan Sheth: Fair enough. On the assisted channel?

Dinesh Thakkar: On assisted channel, Nishant, if you can just?

Nishant Jain : Sure. Thanks for your question, Chintan. See, growth in assisted business has to be seen in 2 ways. One, deepening our relationship with our existing clients, which is where Dinesh ji had alluded to how we are planning to transform our NXT platform primarily through which our SBs engage with their end clients.

Adding a layer of cohort ization , personalization and therefore, being able to roll out relevant products to relevant users. So that's the first piece of this growth path. The second is with regards to engag ing with newer channel partners, the likes of mutual fund distributors, POSPs and DSAs to be able to unlock growth potential within mutual funds , within lending or within insurance. And the game of this multichannel play primarily to expand our footprint as also to deepen our relationship with the existing customer base.

Chintan Sheth: Okay. So that will be a separate channel than the broking affiliation partners that will be

a subset , right, for the insurance just to be...
Nishant Jain : What I am consider ing is that both these channels would be at play. Even our existing sub-brokers would be selling mutual funds and insurance products. And at the same time, we would have kind of new channel s getting unlock ed as we proceed.
Chintan Sheth: Sure. Sure. Okay. Any broad or near -term targets in terms of what we are lo oking at expanding the base of affiliated channel s? Or are we also looking at tweaking our commission to the channel partner so that the business, they get attracted to enroll with us and extend the ir engagement with their counterpart clients at the end? So are we trying to further incentivize them more initially and then grow that business? What will be the strategy there?
Nishant Jain : The idea is to build business on back of a solid foundation, which is where leveraging technology plays a key role and also engaging with quality channel partners to be able to provide a great experience from a customer point of view. These are the 2 focus points commercials and kind of discounting in any formal fashion is not the primary strategy.
Moderator : Thank you. We'll take the next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: I had just a couple of clarifications. So on Slide 11, where you have the vintage -wise revenue breakup, can you also share what is the vintage wise breakup of active clients as of now, around 5 million plus that you have?

Dinesh Thakkar: Vineet, would you like to take this question?
Vineet Agrawal: No. Right now, we don't disclose that information. So I don't have that with me right now.
Abhijeet Sakhare: Okay. Sure. No problem. And the disclosures on Slide 10 on the cohort of FY '22. So if you could just give some sense on how the FY '23 cohort has behaved so far?

Are the trends similar to FY '22 or any deviations?
Vineet Agrawal: I would ask you to wait for some maybe a quarter or so. We'll come up with an updated data point on this. So we've shared it for FY '22. Once we have the complete data for FY '23, we'll share with you.
Dinesh Thakkar: I mean, if you want to add this because why we took '22, not '23 because they haven't completed this. We are talking about lifetime value Abhijeet . So it is important that we have a data of 3 years and 4 years. So this was the closest year which comes where we can at least show some kind of like trend of a customer. But as I said, the breakeven of that time customer and today's customer remains same , 6 months. Amit do you want to add anything on this?
Amit Majumdar : This is because we went digital around FY '22, and we want to actually cover the journey of the digital customers how they have behaved. And FY '23 is effectively when they complete 3 years. And therefore, it was relevant. FY '22 is the customers who compl ete 3 years. And therefore, for the time being, it is relevant to look at the 3 -year LTV for that set of cohort customers, which has completed 3 years. As we get to the next financial year, we will again update this slide as Vineet just suggested .
Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: Sir, there was some tariff change in the cash segment. So if we have to compare only for the derivative segment, our brokerage income from the derivative segment would have been -- would have increased quarter -on-quarter or it was flat or we lost some volume or market share there and we saw some impact in the brokerage income in our Derivatives segment as well?
Dinesh Thakkar: Dixit, this market you have to see in context of like little bit dynamic. So like revenue from customer every quarter is not consistent. They are based on market situation, some events, some news. So this quarter, usually quarter 3 is always kind of like a very silent quarter because of festivals and all that. So comparing 1 quarter to other quarter this way may not be a proper comparison. What we look at the trajectory of a customer who become active and they remain actually for a few quart ers.
Dixit Doshi: Yes. The reason for asking this was because at the exchange level, the number of options contracts traded quarter -on-quarter was significantly high. So that...
Dinesh Thakkar: Okay. Bhavin, can you take this?

Bhavin Parekh : Yes, sir. Basically, this quarter, what we saw is a lot of weekly expir y got spreaded over the week. Bank Nifty expiry changed. Then obviously, Fin Nifty and the Mid Cap Nifty got a lot of participation.
What has happened is, though we see the number of contracts were traded higher, we have actually seen that the contract per order has increased for a customer. Premium has reduced when the customer trades and if it's an expiry date, the premium has actuall y gone down. So they are able to trade higher number of contracts for the same amount of premium that they want to trade for. This is the reason that we have been seeing that though the contract numbers have increased at the exchange, the same has not got translated into orders across exchange.
Devender Kumar : So Mr. Dixit, also just to add to this point that when we look at the overall growth of the market, we usually look at overall market share. So in case of F&O market share, if we compare to quarter 2 to quarter 3. In quarter 2, we were at 26.2% market shar e. And our market share has gone up to 26.9%, which is reflective of the fact how we have grown along and faster than the market itself. That's the way we gauge the overall growth of the segment itself.
So accounting for these 2 aspects , so we are looking at a flat thing, but overall market share has gone up, wh

ich is always showing how quarter 3 for the overall industry has been also a little subdued in nature.
Dixit Doshi: And because market share, we are referring to the retail market share? Because there must be a lot of Pro account volumes also in this. So we see net of that, right?
Devender Kumar : The retail market share was in quarter 2 used to be 26.2% in F&O segment; now we are at a retail market share of 26.9%, so which has sequentially gone up in quarter 3, as we mentioned.
Dixit Doshi: Okay. And 1 more question, sir. I missed it in the -- in your opening statement. Maybe if you can let us know by when we plan to start our AMC business?
Dinesh Thakkar: Yes, sure. Hemen, if you can just take this question.
Hemen Bhatia : Sure. So Mr. Dixit, currently, we are in the process of seeking the AMC, the MF license from SEBI and are doing the needful in terms of setting up the necessary infrastructure, processes, policies. So again, as I said it is a process we endeavor to get the license as soon as possible once all these formalities are complete, and we will have to wait for the regulator then to revert for any queries or any questions that they have on the existing setup, which we have. So it will be very difficult to give a timeline now, but our endeavor is to be on ground as well as possible.
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: I just wanted to understand, you mentioned about the increased headcount for the asset management, etc. So what is -- and then it's mentioned in your presentation, Page 12, that it's been put in other expenses to increase employees. So I just wanted to understand how many -- what was the amount of expense on the employee side and wide figures on that -- in the other expenses?
Dinesh Thakkar: Vineet, if you can take this?
Vineet Agrawal: Yes. So as we mentioned in the operating profit bridge, that the employee cost has increased by about ■ 56 million for the CTC cost and about ■ 30 million for the ESOP cost. So we've added about 107 employees overall in the -- across the group, including the new business data analytics, technology product. So with this, the cost has gone up by almost ■ 90 million, including the ESOP costs.
Pallavi Deshpande: So the other expenses don't include any employee expenses. Is that right?
Vineet Agrawal: So the other expenses do not include. All the HR -related costs are part of the employee expenses and ESOP costs.
Pallavi Deshpande: Okay. Secondly was on the tech team -- how much , what would be our spend on tech -- if you can give any -- as a percentage of revenue as well as a percentage of PBT?
Vineet Agrawal: No. We don't disclose that any percentage.
Pallavi Deshpande: Yes. And the number of people in the tech team last was 5 00, I don’t re call. And what is it now versus last year?
Vineet Agrawal: So across technology, product and digital footprint, we have more than 600 people.
Pallavi Deshpande: Right. And the AMC side is the hiring over, we need more hiring to be done for the people side then?

Vineet Agrawal: No. My understanding is most of the crucial hiring is over. Maybe a couple of associates may be required.
Pallavi Deshpande: Right, right. Just lastly on this, you mentioned about this cash side. I think I got some comments like you're interested in the market share and all. Is there any increase expected for the share of cash business or are we targeting, anything like that?
Dinesh Thakkar: So we have high aspirations in terms of increasing our market share, whatever it is possible. It would be difficult to put a number, but we would like to see that everywhere, like not just one segment, all the segments, wherever we become active , we focus on certain market share and would like to see incrementally every quarter, every

6 months,
we get better market share than where we are.
Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain: Is there an update on wealth management business that we have been talking about last quarter? And any update on the business model impact, which customer segment you will target and what is the model of reaching out those customers?
Dinesh Thakkar: As announced last quarter, that we are keen to start wealth management business. But as I said, that would be functional only in first quarter of next financial year. Currently, we are in the process of strategizing and working out a right kind of approach where we can use our technology and where we can serve customers who have this kind of like need for this kind of product.
It's a bit early to comment right now because we are in the process of putting our heads down and working on the right strategy. May be by end of next quarter, we'll be able to come out with some clear direction on wealth management piece.
Nidhesh Jain: Sure. Second, if I look at the derivatives revenue. That has declined 6% Q -on-Q versus a 1% decline in derivatives number of orders. So revenue per order in Derivatives segment has declined by almost 5%. So any particular; reason? Have we changed any pricing there? What has driven that?
Dinesh Thakkar: No, nothing like that. It may be like a number of contracts for all who would have increased value. Bhavin or take this or Devender?
Devender Kumar : So again, to mention, I think when you're looking at quarter -on-quarter, Mr. Nidhesh. There is a factor of 3 less trading days in this particular quarter. So there is already an impact of 3% to 4%, which has impacted by a lesser number of trading days.
Now coming to point #2, that overall F&O market has increased. I think Bhavin mentioned that how a number of contracts per order has gone up, which has resulted into the number of contracts increased not reflecting into order side, which is where our pricing model is set.
And the third point remains that when we look at the F&O market, right? We look at our market share, right, which has gone up from 26.2% to 26.9% from quarter 2 to quarter 3, which means that we have gained market share in the retail market share. Obviousl y, we only participate in retail market share today. So in retail market share, we have increased our share. And at an overall level, if you look at quarter 3 itself, because of the holiday season, there is obviously a subdued performance, overall market behaving in a little subdued way as well. So that is the...
Nidhesh Jain: My question was actually on revenue per order. If you look at F&O revenue divided by number of orders for us, that was around 23 -point something last quarter. That declined to 22.2, I think, in this quarter. So is there any pricing change in F&O or mix of flat fee has gone up. What has led to that 5% decline in revenue per order in the F&O segment for us?

Devender Kumar : So at an overall level, Mr. Nidhesh, so when you look at the overall order sizes, the flat fee contribution to our overall pipe used to be -- has increased by -- used to be around 85% in the last quarter, which has now increased to almost 89%.
Now that must be reflecting back in terms of the overall revenue per order because I think the flat fee clients are growing much faster pace in comparison to old customers which are at a percentage base with us. So that is maybe one of the factors also contributing in terms of the overall reflection of revenue per order than that you are looking at.

Nidhesh Jain: Sure. And also my last question is on opex . So if I look at admin, other expenses has gone up by ■ 57 crores this quarter. If you can get us some breakup that what was the main compon

ents of this increase, like what has -- what percentage of this has been contributed from customer acquisition, whether from other components, that would be helpful.

Dinesh Thakkar: Whatever we can give detail. Vineet, if you can just...

Vineet Agrawal: So there are 3 or 4 main components that have contributed to this growth. One is, of course, the 3.5 lakh more clients that we acquired during the quarter as compared to the previous quarter. The on -boarding cost of those clients, which is in a onetime offering cost that we incur.

The dema t charges have grown in line with the growth in the cash delivery volume and the income in the depository operations. The tech infra cost, the opex part of tech infra cost. And there has been a ■ 25 million additional contribution to CSR as compared to the previous quarter.

Moderator: We take next question from the line of Ashutosh Garud from Ambit PMS. Please go ahead.

Ashutosh Garud : So just wanted to understand on this tariff cut on the intraday segment and the upfronting cost. I mean, what I heard you mentioning about that you will continue this thing as long as you see a scope of acquiring clients given the low penetration and given how we are placed from a secular trend perspective, the segments which we operate, this l ooks like a fairly long -term approach as far as you get -- you're targeting these kind of customer acquisition and the tariff change. So would it be fair to assume that through FY '25 as well, will you see this kind of a margin percentage going ahead on th e operating front?

Dinesh Thakkar: Yes. Ashutosh like as you rightly said that, this seems to be a very secular trend , and we don't know where this trend will lead in terms of penetration, how much of population will be ready to really jump and start investing in equity. If that trend continues, we are talking about currently like if you look at active customer base, hardly 3 - 3.5 percentage of population is investing in equity and similar numbers are for mutual fund.

So point is that if that trend continues, it is really kind of like very profitable for us because it is just one time the lifetime you get an opportunity to acquire a customer when they are on -boarded, then to acquire a customer from competition is always difficult. So this trend, we have seen everywhere in the U.K., U.S., where this kind of a trend came and people started attracted towards equity. Players who become big, they became really a solid player who were able to work on a good profitable business.

It is difficult to say in terms of upfronting cost up to what level it will continue. But what I am seeing that this seems to be like a trend which is going to last up to at least we see a penetration of at least 15% to 20% of population coming on our platform and using our industry products.

On tariff costs, as I said, that we have to be dynamic because India is very diverse. There are different needs of people. So we have to look at that, what are the requirements and at what price they would be attracted on our platform.

As I said, that we are guided by our CAC to LTV as we see a margin of 50% and around. We try to go into a newer pocket and acquire newe r customers. That is how Angel One has grown since 2020. So all the time when you acquire a new set of customers, it's clear that our ARPU is decreasing. But when you look at our overall margins, it has remained intact than a few quarters when we become kin d of an aggressive acquiring customer, there is an upfront cost on technology, on -boarding, on acquiring a customer. But if you look at unit -wise economy, it is still very attractive to continue to see which are the pockets where we can acquire more customers and continue with this trend.

I would be very delighted to see this trend continues for next five to seven years. That means we are looking at dee

p penetration of this equity market where we become a leader. So in digital market, what is important is that what kind of market share we have and how many people are really using our services. In both the metrics in terms of acquiring a customer, we are a market leader. In terms of creating revenue from each customer that we are acquir ing, including like selling their mutual SIP and all that, we have been getting a good market share.

So overall, this suggests that this business model is strong enough and our platform is

very popular amongst all category of customers. There are a few platforms which are popular with trader category. But in our case, we have seen diversity of customers that we are able to acquire and serve and create revenue from them is quite immense. So that way, I feel, if this trend continues because of diversity we have a better business model, which can sustain for a longer period of time.
Devender Kumar : One more point to it, Ashutosh. One point to note now as we are looking at no grabbing market potential -- this is also reflecting in our cash market share. The post the tariff chain has happened, our market share used in cash market used to be stagnant in retail market share is to stay at around 13.8%.

In the first time, after eight quarters, we have seen a strong increase in market share as well. Wherein in quarter 3, we're looking at a market share of almost 15.1% in cash market as well. So it is in line with our aspiration of increasing the potential of India and grabbing larger market share, which is reflecting with the strategy going live as well, all from that point of view.
Ashutosh Garud : So just to add, I mean, on the -- and once you're starting on the AMC front, I would want to believe the LTV, which you assume now should go up as we go ahead because you're adding new verticals from business aspects.
Dinesh Thakkar: So Ashutosh, as I repeatedly told that till the time we are satisfied with OPM, what we do is we try to spend more on acquiring customers. If you think that, okay, I think two more products or LTV has increased. So we'll try to acquire more customers, spend more on acquiring new set of customers. So what is the guiding force for us is that CAC to LTV? And see, if you stop like growing, our margin may increase. But what is impor tant for us is that if there's a budget to acquire a new set of c ustomers, explore new profile of customers, we'll go ahead and do it.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Sir, when I see your customer acquisition, it's very visible that the bulk of the customer additions happening in tier 3 markets. Sir, your statement you made with L TV to CAC or payback period is six months. Is it even true for Tier 3 clients? Or your Tier 1 clients are cross subsidising Tier 3 clients and therefore you say it is 6 months? And because it's not converting into revenues because you added a single number in the second quarter, but it's not translated into revenue in third quarter. Just wanted to understand that it's cross subsidisation and we are hoping that it will play out in subsequent years rather than an immediate 6 -month basis for Tier 3 clients?
Dinesh Thakkar: First of all, the answer would be like require lots of components to be identified and to be really, we don't disclose all that for every cohort. Even you say Tier 1 urban and all that, Tier 3 also, we have KRA Yes, KRA No, 20 below , 25 age below , 25 above. So , what we look at is that bulk of customers that we acquire in that kind of like cohort, what kind of like CAC to LTV is there. As I said, that we are looking at OPM of 50% and above.
So different tiers will be having a different kind of ratio. We don't disclose those kinds of data. But what I'm trying to say is that even Tier 2, Tier 3

and beyond, CAC to LTV is
very profitable. And it meets our specification of maintaining an OPM of 45 to 50%. If you look at our customer base that we are acquiring, most of the customer, 80%, 85% are coming from Tier 3 and beyond.
There was an impact of Tier 3 and beyond. If there was an impact of Tier 3 and beyond, it would have been visible by this time. So in 3 years, if you see our trend is that we are acquiring maximum customer from Tier 3 and beyond. So clearly, it is visible that those

segments of customers are profitable , are contributing to our margins and that initiative that we took initially , though people are a bit skeptical in terms of our approach of going into Tier 3 and beyond. But what happened because we were first to get a great market share. When I'm saying, many organisations were able to acquire the customer from Tier 3. But we were the one who are able to make them active , create a good engagement kind of like programs , and today we can see that what suits we have kind of like deliver ed to in terms of revenue to -- revenue from each cohort of customer.

So to answer your question, Tier 3 and beyond is also a very profitable pocket. So we are very aggressively trying to acquire -- trying to work out proper kind of like marketing for those areas. And we feel that we being market leader in that , it's very easier for us to acquire because we have created journeys for this customer on our app. So when they are on boarded on or app in terms of content, in terms of nudges that we gave, pricing also that we have worked out is very effective for them. And for us, wha t is important, if you're able to activate it , if you're able to make this customer active, that is most important, and we have been successful in that.
Sanketh Godha: Got it. But just wanted to understand, is it a assumption, is it safe to assume that payback period is a little longer in Tier 3 compared to maybe long term, it will play out LTV to CAC. But on immediate payback period point of view, Tier 3 clients will take a little longer compared to Tier 1 inductions ?
Dinesh Thakkar: Currently, data does not suggest that. As I said, that depends on what kind of profile we are acquiring.
Sanketh Godha: Got it. And sir...
Dinesh Thakkar: But the data is not suggesting that Tier 3 can say like breakeven is higher than urban and all that.
Sanketh Godha: Got it. And I just wanted to understand the Tier 3, which is the channel, is it the same authorised person which are driving the growth in client addition? Or is it more direct or referred ? I just wanted to understand the color how you are managing to acquire more customers in these geographies.
Dinesh Thakkar: Sure. So Prabhakar our Chief Growth Officer will answer this , but let me tell you that we have two channels. One is the assisted channel, where customers are acquired through this like authorized person. On digital side, Prabhakar will be a better person to answer this.
Prabhakar Tiwari : Thank you for the question. I mean if you look at it, we have a strategy which is based on 3 pillars. First is a channel -specific. As Dinesh bhai pointed out, that we focus on specific channel and their cost -to-revenue ratios. So be it organic channel, be it referral channel, be it paid channel or be it financial influencer channel. We ensure that at a channel level, those profitability are maintained and we do a pan -India campaign leveraging various cohorts. Second approach we take is a si gnal-based approach.

Now the signal -based approach is unique to us, and this is what Dinesh bhai said, we have mastered since 2020, thanks to a very close collaboration between the acquisition revenue team that we know which signal to pass on to acquire customers, which are good revenue yield for us. And we also know

like what kind of investment we w ant to do behind those cohort of customers.
The third is what we call a catchment area. So we know for sure that there are certain places which are very heavy on trader kind of new cohort, and we ensure that we pay additional cost for additional revenue for those cohorts.
Why w e have been able to be successful on it is because somewhere both our performance marketing , brand and content work very closely with each other. And we try to go with a full funnel approach, whether it is Tier 2, Tier 3, Tier 4. So both our brand media choices and also in terms of performance marketing, paid channel choices are in sync with each other.
Sanketh Godha: Got it. But is it safe to assume that out of the total client acquisition on a marginal basis, the authorized person contribution is coming down, and it's more and more happening in the digital way of acquiring the customer?
Prabhakar Tiwari : Dinesh bhai, can you take it? Yes.
Dinesh Thakkar: Can you just repeat your question?
Sanketh Godha: So, I was just asking...
Dinesh Thakkar: I said that okay, that yes. Yes, please.
Sanketh Godha: My question was on incremental basis, whether the client acquisition is more happening outside the authorized but are more compared to the authorized person? I just wanted to understand on AP is still leading the client acquisition for us?
Dinesh Thakkar: No. See, like when we are talking about broad basing this market, definitely, digital marketing and all that would be a main engine of growth. Because assisted channel looks at quality of customer, okay? So they will acquire a new customer when they see a quality. But when we are acquiring digitally definitely, we expand and grow fast on digital side. If you look at our market share also on digital side, on flat brokerage and all that, it's increasing in our overall revenue pie.

So to answer you this question flatly would be in terms of when we're acquiring new pockets, new geography this B2C direct marketing would be having a higher market share and will be growing at a higher rate. And when it comes to assisted business, maybe in terms of acquisition, they will be a bit lower than digital side . But in terms of quality of revenue, there is far better because they are very selective .
Vineet Agrawal: And just to add to what Dinesh bhai said, the ratio remains almost same. Of the 100 clients that we acquired in any month or quarter, a fourth of those clients come from the

assisted business and 3/4 come s from the direct channel. So that ratio remains more or less same.
Sanketh Godha: Okay. Perfect, sir. And last one from my side. Sir, the authorised person led strategy on MF distribution. I just wanted to understand when it is going to go live and when we can see that number trickling down to our revenue? And second, we had a freeze on new addition of authorized person. So I believe 6 months are over. So as we have started adding more authorised person? Or still we are deepening our existing price person to this channel?
Dinesh Thakkar: Nishant if you can to take this question.
Nishant Jain : So as far as the embargo was concerned, it has been lifted , and we are pretty much open to acquiring more APs in areas where we don't have adequate representation. In areas where we have decent coverage of our APs, we would continue to grow on back of those channel partners. As I also mentioned in one of the earlier responses, that we are also going to be acquiring newer channel partners like mutual fund distributors, POSPs and DSAs in Phase 2.
Sanketh Godha: Perfect. On this MF distribution through authorized person, which was a stated strategy, when we can expect that number to trickle down in our top line and bottom line?
Nishant Jain : This is a futuristic statement. I'm not sure if I can make it here.
Sanketh Godha: But actually,

as you said, wealth management is expected to go live in 1st quarter of FY '25, then this MF distribution, which we are largely going to super.
Dinesh Thakkar: Sanketh, just to answer you, our MF through AP is already live. Now we are talking about scaling it up. So Nishant Jain has joined to scale up all the division, all that kind of distribution channel apart from authorized person.
Sanketh Godha: Sir, the reason I'm asking this question is that our distribution income is still ■ 10 crores, ■ 11 crores, which has not changed meaningfully in the last 2, 3 quarters. So when we can see this number to go up, given we are already live with the MF distribution?
Dinesh Thakkar: Sanketh what happens that, okay, to really like start any new division full fledge , it requires a kind of a like foundation period. So currently, I would say for assisted business beyond selling stock broking product and cash market product and scale it up require some kind of like investment in kind of working on the right strategy and right plan. So I would say you'll see some traction coming from this vertical maybe first quarter of FY '25.
Moderator: The next question is from the line of Mayank Bukrediwala from Citadel. Please go ahead.
Mayank Bukrediwala: You've already spoken about this issue, which is our futures our F&O ADTO growth has been much higher than the ordering growth, and this has been proved for many, many

quarters now, but it seems to have accelerated a lot in this particular quarter. I mean, if I just simply look at it over a 2 -year period, our F&O orders have increased by almost 2.2, while the ADTO has increased by almost 5.5. So this is a very large gap created over 2 years.
And I'm not sure if this is entirely explained by a decline in premiums and all of that. So I just want to understand what else is driving this? And this entire splitting of expiries, where we've got an index expiring every day has not really resulted in a material increase in F&O ordering for us. Do you anticipate that will happen from here onwards?
Dinesh Thakkar: One thing on ADTO and order I'll ask Devender or Bhavin to answer that on that -- split of expiry and all that. Again, there is one thing. The customer comes with a certain budget , certain wallet. So he can stretch his wallet only to certain amount of contracts and orders. So choice would be , he gets more choice, but that does not mean he is

going to trade more. So that is where like when a customer have choices, benefit would be more customers are attract ed towards market thinking there's a lots of choice. But individual, putting in more money, I don't think that is happening in retail side at least. So what you will see because of this kind and more product available, more people are attracted and they are getting affected and on -boarding on our industry. So that is a good thing that they get variety and they're attracted towards variety. Th at is what I feel.
If you look at expiry, there were enough product when Sensex and Bank Nifty and all that came up with a different expiry day . Because of wider choices, we are seeing customer base again started growing. So if you look at growth in this last December, was maximum . What is happening is that this market or this industry has to give lots of variety and look at more customers getting on -boarded rather than getting more wallet share from the same customer.
On ADTO to order, Devender would like to answer. I think I'm not audible. Bhavin or Devender can answer this. Question was that, okay, why this ADTO has increased 5.5x. I mean, it is related strike price and premium.
Mayank Bukrediwala: Your response on the order growth not picking up materially makes sense, which is why it's surprising as to why the ADTO growth picking up then, is a lot more, I don't know, is some activities -- does so

me institutional activity also pass through us or som ething which is driving this?
Dinesh Thakkar: No, we don't have institutional business. We just do retail.
Bhavin Parekh : Yes, sir. Sir, first of all , for clarification that ADTO is based on the notional calculation. So it is not just premium into quantity, but it is strike plus premium into quantity, and that's how the market share is derived on ADTO. So because the nifty values have gone up and the bank nifty values have gone up, there is a change in ADTO due to that. And also, there would be some factor on number of contracts per order. So both of this would have made the ADTO look higher. But practically, that's the reason, sir.

Dinesh Thakkar: So that's the general reason. I think the ADTO is strike price, but I think with this daily expiry premium has gone down. So what you're seeing, you may see ADTO has gone up. But what you should look at premium and kind of like customer has to pay premiums or they have to buy any contract.
Mayank Bukrediwala: No, that's right. But the difference is huge because your F&O ADTO growth is about 20% Q -o-Q, while your F&O order is flat Q -o-Q. Now this 20% cannot be entirely explained by the difference in the premium coming down is what I think. That premium has certa inly come down.
Dinesh Thakkar: We look at our market share has not gone down. And it is not that some other component in retail, what we are talking is about retail ADTO and retail order per client. So that is the only way we can explain.
Beyond that, I think there is no explanation. Because in this segment, institution is not included. So what we are seeing is that we track our market share. And that premium market share, I think we -- our market is increasing. So there is no reason for us to believe that somebody else is taking away the market share or business from us.
Bhavin Parekh : Sir, I'll just seconds more to reemphasize on this. What has happened is, see, the nifty values have gone up in this quarter, right? And when we talk about an ADTO, the notional value would depend on the strike price, right? Strike price has gone up. But the premium value because of the weekly expiries have gone down. So you might see a rise i n ADTO, but it would not translate into the actual premium turnover of the customers.
One factor is that. Second factor is very clearly that the number of contracts per order has gone up. So customer is able to create a higher number of contracts with the same premium value that they normally p lay with. And that is the 2 main reasons why you will see the disconnect .
Moderator: Ladies and gentlemen, due to the paucity of time, that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, sir.
Dinesh Thakkar: Thank you for joining us on the call today. I hope we have been able to answer all your queries. Should you require any assistance, please feel free to get in touch with Hitul Gutka , Head Investor Relations or SGA, our IR Advisors . Good day.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Angel One Limited, that concludes this conference. We thank you for joining us, and you may

now disconnect your lines. Thank you.

Call: Jan 2024

Angel One Limited
Q3 FY '2 4 Earnings Conference Call
January 16, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to Angel One Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you. And over to you, Mr. Gutka.

Hitul Gutka: Thank you. Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q3 FY '24 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and press release are also available on the website.

For today's call, Angel One is represented by Dinesh Thakkar, CMD; Vineet Agrawal , CFO. We also have the senior leadership team of Angel One, along with SGA, our IR consultant. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, followed by a Q&A session. Please not e that there may be certain forward -looking statements during the call, which must be viewed in aggregate with the risk that the company faces.

With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks. Thank you.

Dinesh Thakkar: Thank you, Hitul, and good morning and wish you all a very successful 2024. Let me begin by giving you all a perspective of how we think about growth as we strongly believe in the tremendous opportunity at our disposal.

Over the last 27 -plus years, our team has dedicated their efforts to offer clients the most suitable product in a seamless and efficient manner by harnessing power of data and technology. Over time, our organization has also ensured that it constantly evol ves with the needs of its client and strives to stay relevant. That has been the core proposition of Angel One. Our goal has been to not just provide services, but also to cultivate a culture of investment.

The digital assets we have developed are continuously evolving enriched with innovative features to ensure an unparalleled investing experience. It is through such exceptional experience that clients choose to remain engaged with a platform like us over th e long term. We firmly believe in the importance of encouraging long -term investing habits , even if it means that some services are not immediately remunerative .

Witnessing the change in today's retail investors, we have consciously and actively building their portfolio through SI P and direct equity investments is the incredible rewarding. It is heartening to see that long -term retail investments through both these

channels of direct investment, direct equity and mutual fund stands about 1/3 in NSE free float market capitalization as of September 2023, even as many of them continue with their trading activity in different segments.
This gradual shift towards long -term wealth creation is an exciting prospect, defining the longevity of retail investor in India's capital markets. More individuals are recognizing the potential in these products driven by the opportunity for sustained growth. It is gratifying to see our efforts contributing to this transformation in India's investin

g landscape.
I'm happy to share that Angel One continues its robust performance in Q3 FY '24 as well. Angel One is among the few players to consistently expand its market share across various parameters while operating the business with very strong unit econom ics. This has been an especially historical quarter f or us as we acquired more than a million clients in a month and 2.5 million clients in a quarter for the first time , accounting for nearly a quarter of industry's net client addition.
This consistency in acquisition and expanding market share is premised on our superior tech and product development, topped by continuous enhancement focused on priming our customers' experience. Let me take you through some of the company's key development, after which Vineet will walk you through our financial performance.
Broking and Super App. Our clients' needs are central to us. During the quarter, we channelised our effort to make the Super App more productive for them, thus double -clicking on their needs. Since majority of the clients are young and fresh in their investing journey, it is imperative that we focus on process improvements , right from easing their on -boarding experience to offering them unique features which simplifies their investment journey on the app. We integrated the Google mobile number picker in KYC journey, thus leveraging existing information from client's Google -linked accounts. This not only eases the data input step for our clients, but also improves the accuracy in capturing their contact details.
We launched our self -serve journey for our clients with the aim to empower them to modify and update their KYC documents through the DIY route , thus reducing the dependency on manual assistance. Moreover, we encourage and help this young client to invest and build their lifetime wealth. We developed and released the stock discovery feature on our Super App. These screeners host a collection of stocks like blue chips, sectori al themes, top gainers, etc., thereby improving engagement and encouraging client to build long -term portfolios.
Simultaneously, addressing the need of our experienced clients, we introduced some advanced features like open interest analytics. We also optimized the Web trading application with the rollout of TradeOne, an all -in-one solution offering seamless trading

experience, which allows our clients to quickly access multiple data points and just take more focused decisions . We also upgraded our charts with the introduction of some new free -to-use features for our clients. All this reflects on our commitment to continuously improve our product stack for both the new to market and experienced clients.
A culmination of this enhancement has led to further improvement in our overall NPS. Another indicator of highlighting superiority of our product is that Angel One has consistently ranked among top 10 finance apps on Play Store and App Store and is in the top 5 on iPad. We will continue our emphasis on improving experience for all our clients.
Over the next few months, we plan to roll out enhancements on our charts like Tick -by-Tick Data, which will provide clients with the most recent market activity. We also plan to develop an all encompassing equity portfolio view, aggregating that holding ac ross different platforms into one unified holding report.
MF and lending update. Our mutual fund offering on Super App has done exceptionally well since its launch. We created simple and user -friendly experience, results of whic h are clearly visible from the off take of SIP through our platform. Focusing on easy -to-use journeys, we installed pipes , allowing our clients to set up SIP mandate through UPI as well.
We also put efforts in optimizing the homepage, thus making it easier for user to discover funds. This tweaks led to a significant improveme

nt in conversion. Not just
that, we have also made enhancements to the NXT platform, ensuring our channel partners h ave better visibility and capabilities. Our latest addition, the SIP health score, is also well received. Through this, we encourage our client to stay discipline in the long-term investing journey. Features like this have culminated into better client retention on the app, with around 90% of SIP clients continuing to engage.

I am thrilled with the progress we have made in simplifying the journey of our client and supporting their investment habits. This has led to an incredible 17 -fold year -on-year increase in SIP registration to over 9,55,000 during the quarter ended December '23. Our sustained position as India's second largest player for incremental registered SIP is a testament to the effectiveness of Super App strategy and the value it brings to our clients.

Our aim is to partner with our clients at every important phase of their life. While providing equity and mutual fund is a pivotal part of this commitment, we are broadening the horizon. We are extending our touch points by venturing into distributing credit and fixed income product. During Q3 FY '24, we dedicated efforts to crafting journey to distribute credit products . These are currently undergoing beta -testing, and we are gearing up to launch this offering in the current quarter.

Initially, we will take a measured approach stepping in cautiously to grasp the nuances of the ecosystem better before we scale up the servicing offering. Our strategy for expanding this service vertical relies on the wealth of data from our extensive clie nt base. We will use this data to develop an informed approach, ensuring that as we expand our services align with precisely our clients need and expectation. This data - driven strategy is key to our gradual yet meaningful expansion.

Data science. A testament to success of our data -driven strategy is the sustained growth of our existing business. We are harnessing a vast pool of data and leveraging it to create predictive model using complex algorithms. This model analyse client behavior, thus empowering us to improve our engagement through personalize d experience.

Insight s from the in depth analysis play a pivotal role in our decision making process. Data equips us to swiftly adapt to market shifts, ensuring our strategy remain agile and responsive. Incrementally, our data driven machine learning algorithms allow us to strengthen in our security protocols and protect sen sitive information, thus effectively mitigating risks associated with fraud .

Content strategy. During the quarter, we sharpened our focus on our content strategy, which forms a bedrock to engage and educate people for various financial products and establish es industry thought leadership. A key tenet here is to leverage social media , communities and users to promote awareness.

Going forward, we will be rolling out multiple content initiatives aimed towards our target audience for brand recognition , engagement, recall, acquisition and eventually activation. We will design well -targeted authentic linguistically and culturally accessible content that sparks conversation around wealth, investment and finance amongst our future clients.

Assisted business unit. Coming to our plans for growing the assisted business, we have very high aspirations here , I strongly believe that we can and will disrupt the existing format of the business. Here, I wish to update that the tenure of NSE AP order served to us on July 14, 2023 has run its course . And we have now commenced on boarding new authorized persons . We will transform the ecosystem and improvise better engagement journey on our NXT platform.

Over the next couple of quarters, we will dedicate our efforts to building a strong foundation and will focus on assembli

ng a specialized team for this vertical. We will
have a targeted approach to expand our network of channel partners as we forge newer partnerships and penetrate further in underrepresented geographies. Here, too, we leverage our technology prowess as we build intelligence in our system premised on data.

Group CISO on -boarding. I am happy to introduce Anuprita Daga as our Group Chief Information and Security Officer. She is a distinguished thought leader with over 25

years of expertise in spearheading security transformation , architecture , defining and driving security strategy, data privacy, risk qualification and compliance with various global regulatory guidelines. She served as a CISO and Data Privacy Officer at Yes Bank prior to joining Angel One. Anuprita will enhance information secu rity, cybersecurity, data private framework at Angel One.
AMC. During the quarter, we progress building the leadership team for our asset management business. I am happy to share the on -boarding of Hemen Bhatia as the CEO of the business. Hemen brings along with him a wealth of experience cultivated over 17 -year in the asset management industry, which is last engagement being as Head of ETF at Nippon Life India Asset Management. Through this numerous engagement at industry and regulatory committee, Hemen has played a pivotal role in fostering growth of passive funds industry in India. He will lead the strategic direction and growth initiatives for our asset management business.
We also on -boarded Mehul Dama as the Chief Investment Officer for the business. Mehul comes with an equally strong repute with over 19 years of experience across financial services, of which more than 14 years were in asset management with companies like Nippon Life India Asset Management, Goldman Sachs Asset Management and Benchmark AMC.
Operational Performance. I'm delighted to share that we delivered yet another historic performance during Q3 FY '24. For the first time, we acquired over 1 million clients in a month, thus leading to 2.5 million gross acquisition during the quarter. With such a strong acquisition run rate, we now account for nearly 1/4 of the industry's acquisition. With this, our period ending client base expanded to over 19 million, accounting for about 14% of India's Demat accounts. Robust client acuity led to 8.7% sequential growth in our average daily orders to 5.8 million, again our lifetime best.
The ADTO generated on our platform continued to be on an uptrend, growing by 21.4% quarter -on-quarter to nearly ■ 36 trillion, as we continue to gain market share in overall retail equity turnover by 62 bps quarter -on-quarter to 26.8%.
At Angel One, our steadfast commitment has always been to foster profitable growth. While we remain dedicated to the core ethos , we recognize that it is equally imperative to make strategic investment to strengthen the business and stay ahead of the curve. The investments made in Q3 FY '24 demonstrates our proactive approach. Whether it is building a team for newer businesses like asset management, expanding our client base or upgrading our tech and product to continuously prime client experience . We ackno wledge that this strategic move impact our margin in the short term. However, this investment will significantly contribute toward long -term profitable metrics.
In 9 months of FY '24, we acquired over 5.9 million clients and reported nearly 937 million orders executed on our platform, both of which are higher than what we did in the entire of the last year. I hope these insights have given you a flavor of our tech - driven business model and our growth strategy to become a more integrated financial

service play. Vineet will now take you through our financial performance, after which we'll be happy to answer your questions.

Vineet Agrawal: Thank you, Dinesh bhai. Good morning and happy 2024 to everyone. As highlighted by Dinesh bhai, Q3 FY '24 has been a very strong operational quarter for us as we achieved our historic best performance yet again with average daily orders growing by 8.7% sequentially to 5.8 million, taking our aggregate order count higher by 3.5% sequentially to 350 mil lion in Q3 FY '24.
Despite three lower number of trading days in the quarter, Angel One clocked its highest ever quarterly gross total revenue at ■ 10.6 billion, aided by a 17% sequential growth in interest income. Gross broking revenue declined marginally by 2.6% quarter -on- quarter to ■ 7.1 billion, in spite of higher order count.
The composition of orders underwe nt a shift in Q3 of FY '24 with cash segment orders growing by nearly 20% to 74 million. In the middle of Q2 of FY '24, we instituted a change in our tariff structure for the intraday cash segment, where we now charge clients 0.03% of the value of the order or ■ 20 per order, whichever is lower, as compared to our earlier structure of 0.25% or ■ 20 per order, whichever was lower. This change is the dominant reason for the decline in gross broking income for the quarter.
Gross broking revenues account for 67% of our total gross revenues. Within this, F&O continues to drive our gross broking revenue, contributing 84% in Q3 of FY '24, while the share of cash and commodity segments remained stable at 11% and 5%,

respectively. Since majority of our clients are part of our direct business unit, their share in the -- in our net broking revenues stood at approximately 76%, while the balance 24% was contributed by clien ts acquired through our assisted business unit.
We are witnessing steady buildup of our long -term relationship with our clients. This is evident from the rising share of those clients who have been with us for more than 2 years. These cohorts accounted for 48% of the net broking revenue in Q3 of FY '24, a significant increase from about 25% in Q3 of FY '22.
Through several efforts, advancements and incremental product offerings across the Super App platform, we are further strengthening the lifetime value proposition of these young clients. During the quarter, we witnessed significant improvement in the cash delivery segment. Higher activity in this segment is an important lever for our client funding book, which witnessed a robust growth of 32.1% sequentially to average at ■ 18.6 billion for the quarter. This led to a corresponding growth in the interest we earned from this book. The interest earned on client funding, along with the interest earned on deposits with exchanges, led to a 17.2% sequential growth in our total interest income to ■ 2.1 billion, thus accounting for about 20% of the total gross revenues during the quarter.

The ancillary transaction income linked to the turnover clients do on our platform , stood at approximately ■ 0.8 billion, accounting for nearly 8% of Q3 FY '24 total gross revenues.
Finance cost was higher by nearly 35% quarter -on-quarter to ■ 356 million in Q3 FY '24 on account of higher average borrowings for the period, in line with higher client funding book and higher margin requirements with the growth in business. Of the ■ 400 million estimated increase in net finance cost due to the impact of higher borrowings for substituting the underlying collateral for bank guarantees with borrowed funds towards margins with the clearing corporation, pursuant to the SEBI circular, disco ntinuing any client funds as collateral for bank guarantees, we have incurred about ■ 160 million for the period between July to December '23 and estimate to incur another ■ 150 million in the ensuing quarter. This is due to the fact that most of the BGs with collateral as client funds matured by the end of September 2023 and the requirement for incremental
bo

rrowings went up after this.
Employee benefit expenses, including cost of granting ESOP, was at ■ 1.4 billion for the quarter, sequentially higher by 6.5% due to the addition of headcount, primarily in the asset management business, data and analytics, technology, operations functions and related hiring spends.
Other opex for the quarter clocked over ■ 3.2 billion, being 21.7% higher sequentially as we achieved our highest ever gross client acquisitions, leading to an increase in related one -time client acquisition and ongoing costs. Operating expenses were also higher on account of higher spends on tech infrastructure , dema t charges in line with growth in business and a quarterly incremental spend of ■ 25 million on CSR.
Flat revenue, coupled with aggressive client acquisition initiatives, led to a decline in our consolidated operating margin to 44% for the quarter versus 51.3% in Q2 of FY '24. This margin, however, remains in line with our guided range. This upfront onetime investment in acquiring more clients today will help us grow the business, grow the business yield going forward. Thus, reaping benefits of better operating leve rage.
16.7% increase in depreciation and amortization costs at ■ 131 million in Q3 was on account of commissioning of some of our network infrastructure and other costs of our data centers and disaster recovery sites.
Our consolidated profit after tax from continuing operations was lower by 14.5% quarter -on-quarter from ■ 3 billion in Q2 of FY '24 to over ■ 2.6 billion in Q3 FY '24.
For Q3 FY '24, the Board has approved a distribution of about 40% of post -tax profits as third interim dividend to the shareholders, aggregating to ■ 1.07 billion and translating to ■ 12.7 per equity share.
Our 9 -month FY '24 total gross revenues and profit after tax stood at nearly ■ 29.2 billion and ■ 7.9 billion, respectively, representing a growth of 33.4% and 26.1% over the corresponding period last year.

Period -end cash and cash equivalents increased to ■ 90.6 billion on the back of increase in clients margins. Period -end client funding book grew to nearly ■ 19.7 billion compared to ■ 11.5 billion as of March '23. Consolidated net worth of the company grew to ■ 27.9 billion. As we continue to operate the business within our desired margin profile, our 9 -month FY '24 annualized return on average equity remains a healthy 42.3%.

With this, I conclude the presentation and open the floor for further discussion. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. We'll take the first que stion from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: I have a few questions that I'll quickly ask a couple of questions on the revenue side. So if you could explain what made you change the tariff structure in the intraday part. Is it competition or is it something else? And why ancillary revenue is down 10% despite overall volumes have gone up.

And also, if you can discuss a little bit in detail on the expenses side, particularly the customer acquisition cost. So what proportion of that will be part of our overall other expenses line item and whether per customer acquisition costs have increased at a similar level to earlier and how we expect the payback from these customers as the payback period remains 6 months? Or any kind of change in the metrics that you are seeing? So these are my 2, 3 questions. I have other questions. If time permits, I'l l ask them after.

Dinesh Thakkar: Yes, excellent questions. See, on the tariff part, as repeatedly, we have told that we are actually market makers . We are able to expand market. So we have to go into kind of different geographies, different profile of customers and check what are the offerings which will attract them to onboard in this industry.

So

time and again, we have been kind of like coming out with lots of kind of like tariff structures and all that, where we are able to attract new set of customers. But what guides us, what we look at is that what is the cost of acquisition and what kind o f a lifetime value we can derive from this set of customers. So that is the prime reason that we -- all the time being first kind of like mo ver in this market to acquire new profile of customers. We have to try out different ways to onboard this customer.

But what we have seen, once the customer is on-boarded , almost lifetime value is just -- that justifies cost of equation to the tune where we want to maintain an OPM of 50% and above. So we look at that. Second, on ancillary revenue and all that, I would ask Vineet to cover it later. Let me just complete on your -- the cost of acq uisition and LTV side, although I have covered.

So our cost of acquisition has not increased, first of all. As I said that we go for different profiles, and every profile we try to map what an LTV achieved. If you look at all the

profiles that we are acquiring customers from open market, our cost to LTV has remained steady and we still maintain that breakeven of 6 months. Vineet, if you can just answer on ancillary revenue and expense side?

Swarnabh Mukherjee: Sir, just a follow -up on your response on this first question. Sir, so you have highlighted on the lifetime value of the customers and the feedback period. So in terms of -- on the margin overall, you have mentioned generally that 45% to 50% OPM is your ta rget range. But you have normally delivered better than that. Now should we consider that this particular quarter to be a relatively one -off quarter? Or were the margins came to the lower end of the range?

Or should we think that now we are going ahead to be more aggressive and that is why maybe over the next 2, 3 quarters, also our margins would start p laying out at the lower end of the region, if you could give some color on that.

Dinesh Thakkar: Yes, sure. As I said, our overall metrics, is cost of acquisition to LTV has not changed. But what happens like this quarter was full of seasons and all that. So when we take LTV of a customer is 5 years and beyond. So there will be a few quarters where clients are not active because, as you know, Diwali, Christmas, New Year and all that, activity are a bit lower. And plus this quarter, if you see, we had 3 less working days.

So overall, we don't see any impact on margin. But what will happen? If you get an opportunity to acquire more customers, it's an upfronting cost. So the impact will show a lower margin for that quarter. But if we extrapolate business model, that whole OPM

has not changed. There are a few quarters when you get more opportunity to acquire more customer. You see that quarter, you may see OPMs less because of upfronting costs on acquiring customers, on -boarding customers, expanding our techno logy capabilities and all that.
So this quarter was more about investing in new of customers. If you look at our customer base has grown almost by 16.5% quarter -on-quarter. That is a huge. There's a cost of acquiring a customer. And revenue is going to come in the next five, six years. So if I look at the metrics of cost of acquisition and LTV, it is almost like similar to what it was the previous quarter.
So overall, I don't see that this impact on margin, what we are seeing in this quarter , is permanent . It is something that we got an opportunity to acquire more customers. We acquire, we invested on expanding our kind of like technology capabilities and all that. So there's a cost of cloud, there is a cost of on -boarding a customer. So overall, I can tell you that our cost of acquisition and LTV hasn't changed. So there is no impact on long-term guidance that we say that we would like to remain i

n that zon e of 45% to 50%.
But if we look at our cost of acquisition to lifetime value, what slide we show, it appears to be around in the range of 75% to 80%. Slowly, you will see that, okay, this will play out once kind of like India reaches a level where there is not a huge opportunity to grow

but we are more trying to get more wallet share of our customer. That is where a true reflection of OPM would be visible.
But currently, as we are growing, as we see more opportunity to acquire customers, we may see impact in a quarter or 2. And then again, if at all opportunity stabilizes, you'll see we're going back to the same OPM. Plus, we are investing in new businesses. So that new businesses will have impact in terms of we have to take upfront costs in the new businesses.
But if I talk about broking, we have been maintaining this kind of like cost to LTV, but new business addition that we are doing, incremental investment that we have to do is not going to impact margin in a big way.
Vineet Agrawal: Swarnabh, on your question about ancillary income. So as we mentioned earlier, that there were 3 less number of trading days in this quarter, and that is linked to the number of trading days. So primary impact of the decline is because of the lesser number of trading days.
Swarnabh Mukherjee: Okay, sir. But overall turnover, despite lesser number of trading days, would have increased, right? So this would be kind of the fees that you pay to exchanges linked to the turnover?
Vineet Agrawal: Yes. We -- as we also explained, the order mix has also undergone a bit of a change, where cash delivery orders were higher as compared to the other segments. So it's a mix of number of trading days as well as the change in the order mix.
Moderator: We'll take the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead. Please go ahead.
Prayesh Jain: Yes. First of all, wish everyone a very Happy New Year. And I have a few questions. Firstly, on the pricing price action again. Is it fair to understand that you want the mix of your brokerage business to slightly increase towards the cash segment? And bec ause you also alluded to the fact that this price cutting realization cutting would help you grow your margin trade funding book as well. And so is that -- is there a change in thought process where you want to kind of increase the share of c ash segment volumes? That would be my first question.
Second is on the cost front. Again, what you alluded to there is no change in the cost. Would there be any other additional costs that would have gone up sequentially apart from client acquisition costs because that reflects in the in the increase in the o verall admin costs? And lastly, on whether , with the RBI regulation changes, what would be your approach on the lending, the loan distribution business?
And whether there is some thought on could you give some insights into as to how will you approach this? What would be the ticket sizes that you would be looking at or some information so that we can understand this. And just 1 small clarification, does th is ETF SIP come into your client acquisition in any form? That would be my questions.

Dinesh Thakkar: Okay. Let us go one by one. One on this mix. See, we always said that we want to be
having a market share in all the segments. So you are right in terms of when it comes
to market share in cash segment, margin trading, everywhere we are looking up to be
in kind of a leadership position.
So wherever you find a pocket like there are clients who want to start their journey by
cash segment, we are equally kind of a like eager to acquire them and try to nurture
them on our platform. As I said, what we have realized, even when we take customers
or cash segment, lifetime value of this cus

tomer is almost quite decent in terms of unit
wise economy . So it surpasses like or maybe passes that kind of like test of OPM of
50% and around.
So yes, when we are looking at the new geographies, lots of customers, they don't want
to start activity, which is very intense high. They want to start building portfolio. They
want to buy cash segment. They want to make a portfolio. So we are very keen t o get
a market share over there. And that does not impact our cost of acquisition to LTV
metrics.
Second, when we come on expenses. Yes, this quarter, 1 cost was because of higher
acquisition that we did. And plus, we did a lot of investment in building technology
capabilities. So there were 2 content components, which was upfront and which was
needed looking at the higher base that we are serving now. On this RBI regulatory
regulation and on SIP, we don't acquire a customer. It is just cross -sell. Saurabh would
be the right person to answer both these questions. Saurabh?
Saurabh Agarwal : I think your question on RBI, let's take a step back and understand what RBI has done
and why, right? I think the core issue is leverage in the unsecured business across a
few cohorts was building up and customers were getting burdened. And hence, what
RBI has done , it has increased the risk weight. By doing that, what happens is cost of
funds and hence, ROI for a few cohorts will go up.
Primarily, we believe that for lending business to go a long way in India, it has to be
responsible lending. You can be overburdening the customer with a lot of leverage. So
that is our view on what RBI has done, how does it impact us, right? So one is thi s is
the foundation year for us to build the lending business. So as of now, we are in the
beta testing stage.
Secondly, in terms of our plans in lending, we were never looking to get into small ticket
lending, which is where the entire stress is build up. So direct impact on the business
in the year going forward also looks to be very, very limited. In terms of th e ticket size
that we are looking to target, it will be north of ■ 1 lakh on an average. So I think largely,
we don't see any impact on us. In fact, we are quite positive that RBI has come out with
this regulation now when we are in the initial phase of b uilding our business.

Having said that, since the industry is very large, there is a lot of demand, we are sure
that the overall industry is poised to grow multifold over the next few years and we will
be a key beneficiary of that growth.
Prayesh Jain: Okay. And just on the SIP thing, whether a customer is acquired and he invests in a
SIP, invest in an ETF, which ideally for us will be 0 revenues. Would that still be counted
in the gross client addition? How does that go?
Saurabh Agarwal : No, since we only do cross -sell on the MF SIP part, the client addition happens only
when someone completes a KYC for opening a demat account, right? So someone
doing a SIP or not doing a SIP, that does not get counted in your gross client addition.
Moderator: The next question from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Sir, on the affiliated channel partner side, if you can provide some more color what's
your strategy around adding new set of adding new channel partners and whether that
affiliated channel can be also leverage to expand your growth on the lending side of the
business as well as your AMC side of the business in terms of distribution of the product,
whether there will be an overlap to that, that will be the one.
And second, on the on the margin front. Again, sorry to harp on that. But this upfronting
of cost, if you can elaborate in terms of , if I look at the cost was slightly offset -- the
increased cost is understandable. But at the same time, the cut the tariff also impacted
the margins slight more than the increased c

ost. So the understanding would be that
this is the last leg of tariff cut, w hich we can see or there is still you need to optimize it

if the market in favor of in terms of adding more number of c lients. That will be the 2 questions.

Dinesh Thakkar: Yes. On assisted channel, I will ask Nishant to give his view. Let me cover upfronting cost, which is very important to understand in this kind of business.

So what happens when we are acquiring a customer, as I said, that we have to do an upfronting cost, like we don't apportion this cost across the life cycle of the client. So when we are taking a big chunk of cost on customers when we acquire, we are able to realize only like , come to a breakeven only after 6 to 7 months. So there is a period where it takes time for us to breakeven on this cost. But, w hen we take the cost, it is reported immediately in that quarter.

So second comes when we are growing our customer base, we need to take care of their growing requirement in terms of technology capabilities, in terms of ruggedising our products and all that. So lots of kind of technology cost goes upfront . So when a client is acquired, we try to see that our capacities are created for these client so that they don't face and glitches any problem when they are trading in the future. So that way, when we are building any platform, there are lots of costs which immediately comes as an upfront cost, if we are increasing our base of customers, okay?

Second comes tariff impact. As I said, it is not a tariff impact. It is about how do we grow the market? In India, as you see, like 65 crores, we are having a PAN account. But they are not taking interest in equity, where we know that every person needs certain kind of like saving investment and equity has given an excellent re turn in terms of CAGR of 13%, 14% for 25 to 30 years. So we need to play ers like us have to really expand this market. So we need to go into an area, understand what tariffs would attract them, what kind of content would attract them. So there is also cost we have to take to attract these new geographies, new profiles.

So when we are working on a new tariff plan, what we look at is, is this customer profitable in the future? What would be his trajectory or her trajectory? If that comes as a trajectory , would be an OPM of 50% around, so try to modify change, work out a campaign, work out marketing around that. So on aggregate level, you may feel that we have reduced the tariff. We are reacting to how to acquire and how to get a new geographies, new profile in the market. That is how we have grown for all these years. So we w ill continue our strategy to understand what this customer needs in terms of understanding content, in terms of journey on our platform, in terms of tariffs, which will make this person on board on our platform. So that's the reason tariffs, when we speak on tariffs, we look at lifetime value. If we are convince d that the lifetime value does not change, we will try to tweak it, that makes attractive for the customer, and that helps us to gain market share.

So this is what on upfront cost and tariff .

Chintan Sheth: What is this benchmark, LTV, you keep talking about what is the benchmark you keep the range, you keep in terms of is it linked to the income of that individual percentage of income of that individual? Or how should one look at the LTV for you? What is the LTV for you?

Dinesh Thakkar: Yes. So we look at every cohort and all that. But what we disclosed is the total cohort that we had acquired in FY '22. So if you look at that cohort behaviour is almost same. Like when we take up costs, almost LTV appears to be around in the region of 8x. So what we are seeing at that time also, we told that breakeven of this customer that we acquired is around 6 months, that trend continues. So when we talk abo

ut CAC to LTV,
we look at cohort wise profile wise. But when we disclose to you, it is more of like mix of all cohorts.

But what we look at, even like customers today, we don't go out and acquire customers for SIP. Because until now, we are not convinced in terms of CAC LTV. But we have enough customer base to sell them SIP, sell them mutual fund. So for other cohorts, whenever it becomes profitable, we go out in the market and acquire those customers at a new pricing or work out some content strategy or create some j ourneys, some referral programs.

So for us, for all these cohorts, it is important that we are able to maintain a margin of around 50%. So few cohorts will be giving above that , few cohorts will be giving a bit

below that . But we don't totally go into cohort, which we are not sure that we can make it profitable.
Chintan Sheth: Fair enough. On the assisted channel?
Dinesh Thakkar: On assisted channel, Nishant, if you can just?
Nishant Jain : Sure. Thanks for your question, Chintan. See, growth in assisted business has to be seen in 2 ways. One, deepening our relationship with our existing clients, which is where Dinesh ji had alluded to how we are planning to transform our NXT platform primarily through which our SBs engage with their end clients.
Adding a layer of cohort ization , personalization and therefore, being able to roll out relevant products to relevant users. So that's the first piece of this growth path. The second is with regards to engag ing with newer channel partners, the likes of mutual fund distributors, POSPs and DSAs to be able to unlock growth potential within mutual funds , within lending or within insurance. And the game of this multichannel play primarily to expand our footprint as also to deepen our relationship with the existing customer base.
Chintan Sheth: Okay. So that will be a separate channel than the broking affiliation partners that will be a subset , right, for the insurance just to be...
Nishant Jain : What I am consider ing is that both these channels would be at play. Even our existing sub-brokers would be selling mutual funds and insurance products. And at the same time, we would have kind of new channel s getting unlock ed as we proceed.
Chintan Sheth: Sure. Sure. Okay. Any broad or near -term targets in terms of what we are lo oking at expanding the base of affiliated channel s? Or are we also looking at tweaking our commission to the channel partner so that the business, they get attracted to enroll with us and extend the ir engagement with their counterpart clients at the end? So are we trying to further incentivize them more initially and then grow that business? What will be the strategy there?
Nishant Jain : The idea is to build business on back of a solid foundation, which is where leveraging technology plays a key role and also engaging with quality channel partners to be able to provide a great experience from a customer point of view. These are the 2 focus points commercials and kind of discounting in any formal fashion is not the primary strategy.
Moderator : Thank you. We'll take the next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: I had just a couple of clarifications. So on Slide 11, where you have the vintage -wise revenue breakup, can you also share what is the vintage wise breakup of active clients as of now, around 5 million plus that you have?

Dinesh Thakkar: Vineet, would you like to take this question?
Vineet Agrawal: No. Right now, we don't disclose that information. So I don't have that with me right now.
Abhijeet Sakhare: Okay. Sure. No problem. And the disclosures on Slide 10 on the cohort of FY '22. So if you could just give some sense on how the FY '23 cohort has behaved so far?

Are the trends similar to FY '22 or any deviations?
Vineet Agrawal: I would ask you to wait for some maybe a quarter or so. We'll come up with an updated data point on this. So we've shared it for FY '22. Once we have the complete data for FY '23, we'll share with you.
Dinesh Thakkar: I mean, if you want to add this because why we took '22, not '23 because they haven't completed this. We are talking about lifetime value Abhijeet . So it is important that we have a data of 3 years and 4 years. So this was the closest year which comes where we can at least show some kind of like trend of a customer. But as I said, the breakeven of that time customer and today's customer remains same , 6 months. Amit do you want to add anything on this?
Amit Majumdar : This is because we went digital around FY '22, and we want to actually cover the journey of the digital customers how they have behaved. And FY '23 is effectively when they complete 3 years. And therefore, it was relevant. FY '22 is the customers who compl ete 3 years. And therefore, for the time being, it is relevant to look at the 3 -year LTV for that set of cohort customers, which has completed 3 years. As we get to the next financial year, we will again update this slide as Vineet just suggested .
Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors.

Please go ahead.
Dixit Doshi: Sir, there was some tariff change in the cash segment. So if we have to compare only for the derivative segment, our brokerage income from the derivative segment would have been -- would have increased quarter -on-quarter or it was flat or we lost some volume or market share there and we saw some impact in the brokerage income in our Derivatives segment as well?
Dinesh Thakkar: Dixit, this market you have to see in context of like little bit dynamic. So like revenue from customer every quarter is not consistent. They are based on market situation, some events, some news. So this quarter, usually quarter 3 is always kind of like a very silent quarter because of festivals and all that. So comparing 1 quarter to other quarter this way may not be a proper comparison. What we look at the trajectory of a customer who become active and they remain actually for a few quart ers.
Dixit Doshi: Yes. The reason for asking this was because at the exchange level, the number of options contracts traded quarter -on-quarter was significantly high. So that...
Dinesh Thakkar: Okay. Bhavin, can you take this?

Bhavin Parekh : Yes, sir. Basically, this quarter, what we saw is a lot of weekly expir y got spreaded over the week. Bank Nifty expiry changed. Then obviously, Fin Nifty and the Mid Cap Nifty got a lot of participation.
What has happened is, though we see the number of contracts were traded higher, we have actually seen that the contract per order has increased for a customer. Premium has reduced when the customer trades and if it's an expiry date, the premium has actuall y gone down. So they are able to trade higher number of contracts for the same amount of premium that they want to trade for. This is the reason that we have been seeing that though the contract numbers have increased at the exchange, the same has not got translated into orders across exchange.
Devender Kumar : So Mr. Dixit, also just to add to this point that when we look at the overall growth of the market, we usually look at overall market share. So in case of F&O market share, if we compare to quarter 2 to quarter 3. In quarter 2, we were at 26.2% market shar e. And our market share has gone up to 26.9%, which is reflective of the fact how we have grown along and faster than the market itself. That's the way we gauge the overall growth of the segment itself.
So accounting for these 2 aspects , so we are looking at a flat thing, but overall market share has gone up, wh

ich is always showing how quarter 3 for the overall industry has been also a little subdued in nature.
Dixit Doshi: And because market share, we are referring to the retail market share? Because there must be a lot of Pro account volumes also in this. So we see net of that, right?
Devender Kumar : The retail market share was in quarter 2 used to be 26.2% in F&O segment; now we are at a retail market share of 26.9%, so which has sequentially gone up in quarter 3, as we mentioned.
Dixit Doshi: Okay. And 1 more question, sir. I missed it in the -- in your opening statement. Maybe if you can let us know by when we plan to start our AMC business?
Dinesh Thakkar: Yes, sure. Hemen, if you can just take this question.
Hemen Bhatia : Sure. So Mr. Dixit, currently, we are in the process of seeking the AMC, the MF license from SEBI and are doing the needful in terms of setting up the necessary infrastructure, processes, policies. So again, as I said it is a process we endeavor to get the license as soon as possible once all these formalities are complete, and we will have to wait for the regulator then to revert for any queries or any questions that they have on the existing setup, which we have. So it will be very difficult to give a timeline now, but our endeavor is to be on ground as well as possible.
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: I just wanted to understand, you mentioned about the increased headcount for the asset management, etc. So what is -- and then it's mentioned in your presentation, Page 12, that it's been put in other expenses to increase employees. So I just wanted to understand how many -- what was the amount of expense on the employee side and

wide figures on that -- in the other expenses?
Dinesh Thakkar: Vineet, if you can take this?
Vineet Agrawal: Yes. So as we mentioned in the operating profit bridge, that the employee cost has increased by about ■ 56 million for the CTC cost and about ■ 30 million for the ESOP cost. So we've added about 107 employees overall in the -- across the group, including the new business data analytics, technology product. So with this, the cost has gone up by almost ■ 90 million, including the ESOP costs.
Pallavi Deshpande: So the other expenses don't include any employee expenses. Is that right?
Vineet Agrawal: So the other expenses do not include. All the HR -related costs are part of the employee expenses and ESOP costs.
Pallavi Deshpande: Okay. Secondly was on the tech team -- how much , what would be our spend on tech -- if you can give any -- as a percentage of revenue as well as a percentage of PBT?
Vineet Agrawal: No. We don't disclose that any percentage.
Pallavi Deshpande: Yes. And the number of people in the tech team last was 5 00, I don’t re call. And what is it now versus last year?
Vineet Agrawal: So across technology, product and digital footprint, we have more than 600 people.
Pallavi Deshpande: Right. And the AMC side is the hiring over, we need more hiring to be done for the people side then?
Vineet Agrawal: No. My understanding is most of the crucial hiring is over. Maybe a couple of associates may be required.
Pallavi Deshpande: Right, right. Just lastly on this, you mentioned about this cash side. I think I got some comments like you're interested in the market share and all. Is there any increase expected for the share of cash business or are we targeting, anything like that?
Dinesh Thakkar: So we have high aspirations in terms of increasing our market share, whatever it is possible. It would be difficult to put a number, but we would like to see that everywhere, like not just one segment, all the segments, wherever we become active , we focus on certain market share and would like to see incrementally every quarter, every

6 months,
we get better market share than where we are.
Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain: Is there an update on wealth management business that we have been talking about last quarter? And any update on the business model impact, which customer segment you will target and what is the model of reaching out those customers?
Dinesh Thakkar: As announced last quarter, that we are keen to start wealth management business. But as I said, that would be functional only in first quarter of next financial year. Currently, we are in the process of strategizing and working out a right kind of approach where we can use our technology and where we can serve customers who have this kind of like need for this kind of product.
It's a bit early to comment right now because we are in the process of putting our heads down and working on the right strategy. May be by end of next quarter, we'll be able to come out with some clear direction on wealth management piece.
Nidhesh Jain: Sure. Second, if I look at the derivatives revenue. That has declined 6% Q -on-Q versus a 1% decline in derivatives number of orders. So revenue per order in Derivatives segment has declined by almost 5%. So any particular; reason? Have we changed any pricing there? What has driven that?
Dinesh Thakkar: No, nothing like that. It may be like a number of contracts for all who would have increased value. Bhavin or take this or Devender?
Devender Kumar : So again, to mention, I think when you're looking at quarter -on-quarter, Mr. Nidhesh. There is a factor of 3 less trading days in this particular quarter. So there is already an impact of 3% to 4%, which has impacted by a lesser number of trading days.
Now coming to point #2, that overall F&O market has increased. I think Bhavin mentioned that how a number of contracts per order has gone up, which has resulted into the number of contracts increased not reflecting into order side, which is where our pricing model is set.
And the third point remains that when we look at the F&O market, right? We look at our market share, right, which has gone up from 26.2% to 26.9% from quarter 2 to quarter 3, which means that we have gained market share in the retail market share. Obviousl y, we only participate in retail market share today. So in retail market share, we have increased our share. And at an overall level, if you look at quarter 3 itself, because of the holiday season, there is obviously a subdued performance, overall market behaving in a little subdued way as well. So that is the...

Nidhesh Jain: My question was actually on revenue per order. If you look at F&O revenue divided by number of orders for us, that was around 23 -point something last quarter. That declined to 22.2, I think, in this quarter. So is there any pricing change in F&O or mix of flat fee has gone up. What has led to that 5% decline in revenue per order in the F&O segment for us?

Devender Kumar : So at an overall level, Mr. Nidhesh, so when you look at the overall order sizes, the flat fee contribution to our overall pipe used to be -- has increased by -- used to be around 85% in the last quarter, which has now increased to almost 89%.
Now that must be reflecting back in terms of the overall revenue per order because I think the flat fee clients are growing much faster pace in comparison to old customers which are at a percentage base with us. So that is maybe one of the factors also contributing in terms of the overall reflection of revenue per order than that you are looking at.
Nidhesh Jain: Sure. And also my last question is on opex . So if I look at admin, other expenses has gone up by ■ 57 crores this quarter. If you can get us some breakup that what was the main compon

ents of this increase, like what has -- what percentage of this has been contributed from customer acquisition, whether from other components, that would be helpful.
Dinesh Thakkar: Whatever we can give detail. Vineet, if you can just...
Vineet Agrawal: So there are 3 or 4 main components that have contributed to this growth. One is, of course, the 3.5 lakh more clients that we acquired during the quarter as compared to the previous quarter. The on -boarding cost of those clients, which is in a onetime offering cost that we incur.
The dema t charges have grown in line with the growth in the cash delivery volume and the income in the depository operations. The tech infra cost, the opex part of tech infra cost. And there has been a ■ 25 million additional contribution to CSR as compared to the previous quarter.
Moderator: We take next question from the line of Ashutosh Garud from Ambit PMS. Please go ahead.
Ashutosh Garud : So just wanted to understand on this tariff cut on the intraday segment and the upfronting cost. I mean, what I heard you mentioning about that you will continue this thing as long as you see a scope of acquiring clients given the low penetration and given how we are placed from a secular trend perspective, the segments which we operate, this l ooks like a fairly long -term approach as far as you get -- you're targeting these kind of customer acquisition and the tariff change. So would it be fair to assume that through FY '25 as well, will you see this kind of a margin percentage going ahead on th e operating front?
Dinesh Thakkar: Yes. Ashutosh like as you rightly said that, this seems to be a very secular trend , and we don't know where this trend will lead in terms of penetration, how much of population will be ready to really jump and start investing in equity. If that trend continues, we are talking about currently like if you look at active customer base, hardly 3 - 3.5 percentage of population is investing in equity and similar numbers are for mutual fund.

So point is that if that trend continues, it is really kind of like very profitable for us because it is just one time the lifetime you get an opportunity to acquire a customer when they are on -boarded, then to acquire a customer from competition is always difficult. So this trend, we have seen everywhere in the U.K., U.S., where this kind of a trend came and people started attracted towards equity. Players who become big, they became really a solid player who were able to work on a good profitable business.
It is difficult to say in terms of upfronting cost up to what level it will continue. But what I am seeing that this seems to be like a trend which is going to last up to at least we see a penetration of at least 15% to 20% of population coming on our platform and using our industry products.
On tariff costs, as I said, that we have to be dynamic because India is very diverse. There are different needs of people. So we have to look at that, what are the requirements and at what price they would be attracted on our platform.

As I said, that we are guided by our CAC to LTV as we see a margin of 50% and around. We try to go into a newer pocket and acquire newe r customers. That is how Angel One has grown since 2020. So all the time when you acquire a new set of customers, it's clear that our ARPU is decreasing. But when you look at our overall margins, it has remained intact than a few quarters when we become kin d of an aggressive acquiring customer, there is an upfront cost on technology, on -boarding, on acquiring a customer. But if you look at unit -wise economy, it is still very attractive to continue to see which are the pockets where we can acquire more customers and continue with this trend.
I would be very delighted to see this trend continues for next five to seven years. That means we are looking at dee

p penetration of this equity market where we become a
leader. So in digital market, what is important is that what kind of market share we have and how many people are really using our services. In both the metrics in terms of acquiring a customer, we are a market leader. In terms of creating revenue from each customer that we are acquir ing, including like selling their mutual SIP and all that, we have been getting a good market share.
So overall, this suggests that this business model is strong enough and our platform is very popular amongst all category of customers. There are a few platforms which are popular with trader category. But in our case, we have seen diversity of customers that we are able to acquire and serve and create revenue from them is quite immense. So that way, I feel, if this trend continues because of diversity we have a better business model, which can sustain for a longer period of time.
Devender Kumar : One more point to it, Ashutosh. One point to note now as we are looking at no grabbing market potential -- this is also reflecting in our cash market share. The post the tariff chain has happened, our market share used in cash market used to be stagnant in retail market share is to stay at around 13.8%.

In the first time, after eight quarters, we have seen a strong increase in market share as well. Wherein in quarter 3, we're looking at a market share of almost 15.1% in cash market as well. So it is in line with our aspiration of increasing the potential of India and grabbing larger market share, which is reflecting with the strategy going live as well, all from that point of view.
Ashutosh Garud : So just to add, I mean, on the -- and once you're starting on the AMC front, I would want to believe the LTV, which you assume now should go up as we go ahead because you're adding new verticals from business aspects.
Dinesh Thakkar: So Ashutosh, as I repeatedly told that till the time we are satisfied with OPM, what we do is we try to spend more on acquiring customers. If you think that, okay, I think two more products or LTV has increased. So we'll try to acquire more customers, spend more on acquiring new set of customers. So what is the guiding force for us is that CAC to LTV? And see, if you stop like growing, our margin may increase. But what is impor tant for us is that if there's a budget to acquire a new set of c ustomers, explore new profile of customers, we'll go ahead and do it.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Sir, when I see your customer acquisition, it's very visible that the bulk of the customer additions happening in tier 3 markets. Sir, your statement you made with L TV to CAC or payback period is six months. Is it even true for Tier 3 clients? Or your Tier 1 clients are cross subsidising Tier 3 clients and therefore you say it is 6 months? And because it's not converting into revenues because you added a single number in the second quarter, but it's not translated into revenue in third quarter. Just wanted to understand that it's cross subsidisation and we are hoping that it will play out in subsequent years rather than an immediate 6 -month basis for Tier 3 clients?
Dinesh Thakkar: First of all, the answer would be like require lots of components to be identified and to be really, we don't disclose all that for every cohort. Even you say Tier 1 urban and all that, Tier 3 also, we have KRA Yes, KRA No, 20 below , 25 age below , 25 above. So , what we look at is that bulk of customers that we acquire in that kind of like cohort, what kind of like CAC to LTV is there. As I said, that we are looking at OPM of 50% and above.
So different tiers will be having a different kind of ratio. We don't disclose those kinds of data. But what I'm trying to say is that even Tier 2, Tier 3

and beyond, CAC to LTV is
very profitable. And it meets our specification of maintaining an OPM of 45 to 50%. If you look at our customer base that we are acquiring, most of the customer, 80%, 85% are coming from Tier 3 and beyond.
There was an impact of Tier 3 and beyond. If there was an impact of Tier 3 and beyond, it would have been visible by this time. So in 3 years, if you see our trend is that we are acquiring maximum customer from Tier 3 and beyond. So clearly, it is visible that those

segments of customers are profitable , are contributing to our margins and that initiative that we took initially , though people are a bit skeptical in terms of our approach of going into Tier 3 and beyond. But what happened because we were first to get a great market share. When I'm saying, many organisations were able to acquire the customer from Tier 3. But we were the one who are able to make them active , create a good engagement kind of like programs , and today we can see that what suits we have kind of like deliver ed to in terms of revenue to -- revenue from each cohort of customer.
So to answer your question, Tier 3 and beyond is also a very profitable pocket. So we are very aggressively trying to acquire -- trying to work out proper kind of like marketing for those areas. And we feel that we being market leader in that , it's very easier for us to acquire because we have created journeys for this customer on our app. So when they are on boarded on or app in terms of content, in terms of nudges that we gave, pricing also that we have worked out is very effective for them. And for us, wha t is important, if you're able to activate it , if you're able to make this customer active, that is most important, and we have been successful in that.
Sanketh Godha: Got it. But just wanted to understand, is it a assumption, is it safe to assume that payback period is a little longer in Tier 3 compared to maybe long term, it will play out LTV to CAC. But on immediate payback period point of view, Tier 3 clients will take a little longer compared to Tier 1 inductions ?
Dinesh Thakkar: Currently, data does not suggest that. As I said, that depends on what kind of profile we are acquiring.
Sanketh Godha: Got it. And sir...
Dinesh Thakkar: But the data is not suggesting that Tier 3 can say like breakeven is higher than urban and all that.
Sanketh Godha: Got it. And I just wanted to understand the Tier 3, which is the channel, is it the same authorised person which are driving the growth in client addition? Or is it more direct or referred ? I just wanted to understand the color how you are managing to acquire more customers in these geographies.
Dinesh Thakkar: Sure. So Prabhakar our Chief Growth Officer will answer this , but let me tell you that we have two channels. One is the assisted channel, where customers are acquired through this like authorized person. On digital side, Prabhakar will be a better person to answer this.
Prabhakar Tiwari : Thank you for the question. I mean if you look at it, we have a strategy which is based on 3 pillars. First is a channel -specific. As Dinesh bhai pointed out, that we focus on specific channel and their cost -to-revenue ratios. So be it organic channel, be it referral channel, be it paid channel or be it financial influencer channel. We ensure that at a channel level, those profitability are maintained and we do a pan -India campaign leveraging various cohorts. Second approach we take is a si gnal-based approach.

Now the signal -based approach is unique to us, and this is what Dinesh bhai said, we have mastered since 2020, thanks to a very close collaboration between the acquisition revenue team that we know which signal to pass on to acquire customers, which are good revenue yield for us. And we also know

like what kind of investment we w ant to
do behind those cohort of customers.
The third is what we call a catchment area. So we know for sure that there are certain places which are very heavy on trader kind of new cohort, and we ensure that we pay additional cost for additional revenue for those cohorts.
Why w e have been able to be successful on it is because somewhere both our performance marketing , brand and content work very closely with each other. And we try to go with a full funnel approach, whether it is Tier 2, Tier 3, Tier 4. So both our brand

media choices and also in terms of performance marketing, paid channel choices are in sync with each other.

Sanketh Godha: Got it. But is it safe to assume that out of the total client acquisition on a marginal basis, the authorized person contribution is coming down, and it's more and more happening in the digital way of acquiring the customer?

Prabhakar Tiwari : Dinesh bhai, can you take it? Yes.

Dinesh Thakkar: Can you just repeat your question?

Sanketh Godha: So, I was just asking...

Dinesh Thakkar: I said that okay, that yes. Yes, please.

Sanketh Godha: My question was on incremental basis, whether the client acquisition is more happening outside the authorized but are more compared to the authorized person? I just wanted to understand on AP is still leading the client acquisition for us?

Dinesh Thakkar: No. See, like when we are talking about broad basing this market, definitely, digital marketing and all that would be a main engine of growth. Because assisted channel looks at quality of customer, okay? So they will acquire a new customer when they see a quality. But when we are acquiring digitally definitely, we expand and grow fast on digital side. If you look at our market share also on digital side, on flat brokerage and all that, it's increasing in our overall revenue pie.

So to answer you this question flatly would be in terms of when we're acquiring new pockets, new geography this B2C direct marketing would be having a higher market share and will be growing at a higher rate. And when it comes to assisted business, maybe in terms of acquisition, they will be a bit lower than digital side . But in terms of quality of revenue, there is far better because they are very selective .

Vineet Agrawal: And just to add to what Dinesh bhai said, the ratio remains almost same. Of the 100 clients that we acquired in any month or quarter, a fourth of those clients come from the

assisted business and 3/4 come s from the direct channel. So that ratio remains more or less same.

Sanketh Godha: Okay. Perfect, sir. And last one from my side. Sir, the authorised person led strategy on MF distribution. I just wanted to understand when it is going to go live and when we can see that number trickling down to our revenue? And second, we had a freeze on new addition of authorized person. So I believe 6 months are over. So as we have started adding more authorised person? Or still we are deepening our existing price person to this channel?

Dinesh Thakkar: Nishant if you can to take this question.

Nishant Jain : So as far as the embargo was concerned, it has been lifted , and we are pretty much open to acquiring more APs in areas where we don't have adequate representation. In areas where we have decent coverage of our APs, we would continue to grow on back of those channel partners. As I also mentioned in one of the earlier responses, that we are also going to be acquiring newer channel partners like mutual fund distributors, POSPs and DSAs in Phase 2.

Sanketh Godha: Perfect. On this MF distribution through authorized person, which was a stated strategy, when we can expect that number to trickle down in our top line and bottom line?

Nishant Jain : This is a futuristic statement. I'm not sure if I can make it here.

Sanketh Godha: But actually,

as you said, wealth management is expected to go live in 1st quarter of FY '25, then this MF distribution, which we are largely going to super.

Dinesh Thakkar: Sanketh, just to answer you, our MF through AP is already live. Now we are talking about scaling it up. So Nishant Jain has joined to scale up all the division, all that kind of distribution channel apart from authorized person.

Sanketh Godha: Sir, the reason I'm asking this question is that our distribution income is still ■ 10 crores, ■ 11 crores, which has not changed meaningfully in the last 2, 3 quarters. So when we can see this number to go up, given we are already live with the MF distribution?

Dinesh Thakkar: Sanketh what happens that, okay, to really like start any new division full fledge , it requires a kind of a like foundation period. So currently, I would say for assisted business beyond selling stock broking product and cash market product and scale it up require some kind of like investment in kind of working on the right strategy and right plan. So I would say you'll see some traction coming from this vertical maybe first quarter of FY '25.

Moderator: The next question is from the line of Mayank Bukrediwala from Citadel. Please go ahead.

Mayank Bukrediwala: You've already spoken about this issue, which is our futures our F&O ADTO growth has been much higher than the ordering growth, and this has been proved for many, many

quarters now, but it seems to have accelerated a lot in this particular quarter. I mean, if I just simply look at it over a 2 -year period, our F&O orders have increased by almost 2.2, while the ADTO has increased by almost 5.5. So this is a very large gap created over 2 years.

And I'm not sure if this is entirely explained by a decline in premiums and all of that. So I just want to understand what else is driving this? And this entire splitting of expiries, where we've got an index expiring every day has not really resulted in a material increase in F&O ordering for us. Do you anticipate that will happen from here onwards?

Dinesh Thakkar: One thing on ADTO and order I'll ask Devender or Bhavin to answer that on that -- split of expiry and all that. Again, there is one thing. The customer comes with a certain budget , certain wallet. So he can stretch his wallet only to certain amount of contracts and orders. So choice would be , he gets more choice, but that does not mean he is going to trade more. So that is where like when a customer have choices, benefit would be more customers are attract ed towards market thinking there's a lots of choice.

But individual, putting in more money, I don't think that is happening in retail side at least. So what you will see because of this kind and more product available, more people are attracted and they are getting affected and on -boarding on our industry. So that is a good thing that they get variety and they're attracted towards variety. Th at is what I feel.

If you look at expiry, there were enough product when Sensex and Bank Nifty and all that came up with a different expiry day . Because of wider choices, we are seeing customer base again started growing. So if you look at growth in this last December, was maximum . What is happening is that this market or this industry has to give lots of variety and look at more customers getting on -boarded rather than getting more wallet share from the same customer.

On ADTO to order, Devender would like to answer. I think I'm not audible. Bhavin or Devender can answer this. Question was that, okay, why this ADTO has increased 5.5x. I mean, it is related strike price and premium.

Mayank Bukrediwala: Your response on the order growth not picking up materially makes sense, which is why it's surprising as to why the ADTO growth picking up then, is a lot more, I don't know, is some activities -- does so

me institutional activity also pass through us or som ething which is driving this?

Dinesh Thakkar: No, we don't have institutional business. We just do retail.

Bhavin Parekh : Yes, sir. Sir, first of all , for clarification that ADTO is based on the notional calculation. So it is not just premium into quantity, but it is strike plus premium into quantity, and that's how the market share is derived on ADTO. So because the nifty values have gone up and the bank nifty values have gone up, there is a change in ADTO due to that. And also, there would be some factor on number of contracts per order. So both of this would have made the ADTO look higher. But practically, that's the reason, sir.

Dinesh Thakkar: So that's the general reason. I think the ADTO is strike price, but I think with this daily expiry premium has gone down. So what you're seeing, you may see ADTO has gone up. But what you should look at premium and kind of like customer has to pay premiums or they have to buy any contract.

Mayank Bukrediwala: No, that's right. But the difference is huge because your F&O ADTO growth is about 20% Q -o-Q, while your F&O order is flat Q -o-Q. Now this 20% cannot be entirely explained by the difference in the premium coming down is what I think. That premium has certa inly come down.

Dinesh Thakkar: We look at our market share has not gone down. And it is not that some other component in retail, what we are talking is about retail ADTO and retail order per client. So that is the only way we can explain.

Beyond that, I think there is no explanation. Because in this segment, institution is not included. So what we are seeing is that we track our market share. And that premium market share, I think we -- our market is increasing. So there is no reason for us to believe that somebody else is taking away the market share or business from us.

Bhavin Parekh : Sir, I'll just seconds more to reemphasize on this. What has happened is, see, the nifty values have gone up in this quarter, right? And when we talk about an ADTO, the notional value would depend on the strike price, right? Strike price has gone up. But the premium value because of the weekly expiries have gone down. So you might see a rise i n ADTO, but it would not translate into the actual premium turnover of the customers.
One factor is that. Second factor is very clearly that the number of contracts per order has gone up. So customer is able to create a higher number of contracts with the same premium value that they normally p lay with. And that is the 2 main reasons why you will see the disconnect .
Moderator: Ladies and gentlemen, due to the paucity of time, that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, sir.
Dinesh Thakkar: Thank you for joining us on the call today. I hope we have been able to answer all your queries. Should you require any assistance, please feel free to get in touch with Hitul Gutka , Head Investor Relations or SGA, our IR Advisors . Good day.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Angel One Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2024

Angel One Limited
Q3 FY '2 4 Earnings Conference Call
January 16, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to Angel One Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you. And over to you, Mr. Gutka.

Hitul Gutka: Thank you. Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q3 FY '24 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and press release are also available on the website.

For today's call, Angel One is represented by Dinesh Thakkar, CMD; Vineet Agrawal , CFO. We also have the senior leadership team of Angel One, along with SGA, our IR consultant. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, followed by a Q&A session. Please not e that there may be certain forward -looking statements during the call, which must be viewed in aggregate with the risk that the company faces.

With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks. Thank you.

Dinesh Thakkar: Thank you, Hitul, and good morning and wish you all a very successful 2024. Let me begin by giving you all a perspective of how we think about growth as we strongly believe in the tremendous opportunity at our disposal.

Over the last 27 -plus years, our team has dedicated their efforts to offer clients the most suitable product in a seamless and efficient manner by harnessing power of data and technology. Over time, our organization has also ensured that it constantly evol ves with the needs of its client and strives to stay relevant. That has been the core proposition of Angel One. Our goal has been to not just provide services, but also to cultivate a culture of investment.

The digital assets we have developed are continuously evolving enriched with innovative features to ensure an unparalleled investing experience. It is through such exceptional experience that clients choose to remain engaged with a platform like us over th e long term. We firmly believe in the importance of encouraging long -term investing habits , even if it means that some services are not immediately remunerative .

Witnessing the change in today's retail investors, we have consciously and actively building their portfolio through SI P and direct equity investments is the incredible rewarding. It is heartening to see that long -term retail investments through both these channels of direct investment, direct equity and mutual fund stands about 1/3 in NSE free float market capitalization as of September 2023, even as many of them continue with their trading activity in different segments.

This gradual shift towards long -term wealth creation is an exciting prospect, defining the longevity of retail investor in India's capital markets. More individuals are recognizing the potential in these products driven by the opportunity for sustained growth. It is gratifying to see our efforts contributing to this transformation in India's investin

g landscape.

I'm happy to share that Angel One continues its robust performance in Q3 FY '24 as well. Angel One is among the few players to consistently expand its market share across various parameters while operating the business with very strong unit econom ics. This has been an especially historical quarter f or us as we acquired more than a million clients in a month and 2.5 million clients in a quarter for the first time , accounting for nearly a quarter of industry's net client addition.

This consistency in acquisition and expanding market share is premised on our superior tech and product development, topped by continuous enhancement focused on priming our customers' experience. Let me take you through some of the company's key development, after which Vineet will walk you through our financial performance.

Broking and Super App. Our clients' needs are central to us. During the quarter, we channelised our effort to make the Super App more productive for them, thus double -clicking on their needs. Since majority of the clients are young and fresh in their investing journey, it is imperative that we focus on process improvements , right from easing their on -boarding experience to offering them unique features which simplifies their investment journey on the app. We integrated the Google mobile number picker in KYC journey, thus leveraging existing information from client's Google -linked accounts. This not only eases the data input step for our clients, but also improves the accuracy in capturing their contact details.

We launched our self -serve journey for our clients with the aim to empower them to modify and update their KYC documents through the DIY route , thus reducing the dependency on manual assistance. Moreover, we encourage and help this young client to invest and build their lifetime wealth. We developed and released the stock discovery feature on our Super App. These screeners host a collection of stocks like blue chips, sectori al themes, top gainers, etc., thereby improving engagement and encouraging client to build long -term portfolios.

Simultaneously, addressing the need of our experienced clients, we introduced some advanced features like open interest analytics. We also optimized the Web trading application with the rollout of TradeOne, an all -in-one solution offering seamless trading

experience, which allows our clients to quickly access multiple data points and just take more focused decisions . We also upgraded our charts with the introduction of some new free -to-use features for our clients. All this reflects on our commitment to continuously improve our product stack for both the new to market and experienced clients.

A culmination of this enhancement has led to further improvement in our overall NPS. Another indicator of highlighting superiority of our product is that Angel One has consistently ranked among top 10 finance apps on Play Store and App Store and is in the top 5 on iPad. We will continue our emphasis on improving experience for all our clients.

Over the next few months, we plan to roll out enhancements on our charts like Tick -by-Tick Data, which will provide clients with the most recent market activity. We also plan to develop an all encompassing equity portfolio view, aggregating that holding ac ross different platforms into one unified holding report.

MF and lending update. Our mutual fund offering on Super App has done exceptionally well since its launch. We created simple and user -friendly experience, results of whic h are clearly visible from the off take of SIP through our platform. Focusing on easy -to-use journeys, we installed pipes , allowing our clients to set up SIP mandate through UPI as well.

We also put efforts in optimizing the homepage, thus making it easier for user to discover funds. This tweaks led to a significant improveme

nt in conversion. Not just
that, we have also made enhancements to the NXT platform, ensuring our channel partners h ave better visibility and capabilities. Our latest addition, the SIP health score, is also well received. Through this, we encourage our client to stay discipline in the long-term investing journey. Features like this have culminated into better client retention on the app, with around 90% of SIP clients continuing to engage.
I am thrilled with the progress we have made in simplifying the journey of our client and supporting their investment habits. This has led to an incredible 17 -fold year -on-year increase in SIP registration to over 9,55,000 during the quarter ended December '23. Our sustained position as India's second largest player for incremental registered SIP is a testament to the effectiveness of Super App strategy and the value it brings to our clients.
Our aim is to partner with our clients at every important phase of their life. While providing equity and mutual fund is a pivotal part of this commitment, we are broadening the horizon. We are extending our touch points by venturing into distributing credit and fixed income product. During Q3 FY '24, we dedicated efforts to crafting journey to distribute credit products . These are currently undergoing beta -testing, and we are gearing up to launch this offering in the current quarter.

Initially, we will take a measured approach stepping in cautiously to grasp the nuances of the ecosystem better before we scale up the servicing offering. Our strategy for expanding this service vertical relies on the wealth of data from our extensive clie nt base. We will use this data to develop an informed approach, ensuring that as we expand our services align with precisely our clients need and expectation. This data - driven strategy is key to our gradual yet meaningful expansion.
Data science. A testament to success of our data -driven strategy is the sustained growth of our existing business. We are harnessing a vast pool of data and leveraging it to create predictive model using complex algorithms. This model analyse client behavior, thus empowering us to improve our engagement through personalize d experience.
Insight s from the in depth analysis play a pivotal role in our decision making process. Data equips us to swiftly adapt to market shifts, ensuring our strategy remain agile and responsive. Incrementally, our data driven machine learning algorithms allow us to strengthen in our security protocols and protect sen sitive information, thus effectively mitigating risks associated with fraud .
Content strategy. During the quarter, we sharpened our focus on our content strategy, which forms a bedrock to engage and educate people for various financial products and establish es industry thought leadership. A key tenet here is to leverage social media , communities and users to promote awareness.
Going forward, we will be rolling out multiple content initiatives aimed towards our target audience for brand recognition , engagement, recall, acquisition and eventually activation. We will design well -targeted authentic linguistically and culturally accessible content that sparks conversation around wealth, investment and finance amongst our future clients.
Assisted business unit. Coming to our plans for growing the assisted business, we have very high aspirations here , I strongly believe that we can and will disrupt the existing format of the business. Here, I wish to update that the tenure of NSE AP order served to us on July 14, 2023 has run its course . And we have now commenced on boarding new authorized persons . We will transform the ecosystem and improvise better engagement journey on our NXT platform.
Over the next couple of quarters, we will dedicate our efforts to building a strong foundation and will focus on assembli

ng a specialized team for this vertical. We will
have a targeted approach to expand our network of channel partners as we forge newer partnerships and penetrate further in underrepresented geographies. Here, too, we leverage our technology prowess as we build intelligence in our system premised on data.
Group CISO on -boarding. I am happy to introduce Anuprita Daga as our Group Chief Information and Security Officer. She is a distinguished thought leader with over 25

years of expertise in spearheading security transformation , architecture , defining and driving security strategy, data privacy, risk qualification and compliance with various global regulatory guidelines. She served as a CISO and Data Privacy Officer at Yes Bank prior to joining Angel One. Anuprita will enhance information secu rity, cybersecurity, data private framework at Angel One.

AMC. During the quarter, we progress building the leadership team for our asset management business. I am happy to share the on -boarding of Hemen Bhatia as the CEO of the business. Hemen brings along with him a wealth of experience cultivated over 17 -year in the asset management industry, which is last engagement being as Head of ETF at Nippon Life India Asset Management. Through this numerous engagement at industry and regulatory committee, Hemen has played a pivotal role in fostering growth of passive funds industry in India. He will lead the strategic direction and growth initiatives for our asset management business.

We also on -boarded Mehul Dama as the Chief Investment Officer for the business. Mehul comes with an equally strong repute with over 19 years of experience across financial services, of which more than 14 years were in asset management with companies like Nippon Life India Asset Management, Goldman Sachs Asset Management and Benchmark AMC.

Operational Performance. I'm delighted to share that we delivered yet another historic performance during Q3 FY '24. For the first time, we acquired over 1 million clients in a month, thus leading to 2.5 million gross acquisition during the quarter. With such a strong acquisition run rate, we now account for nearly 1/4 of the industry's acquisition. With this, our period ending client base expanded to over 19 million, accounting for about 14% of India's Demat accounts. Robust client acuity led to 8.7% sequential growth in our average daily orders to 5.8 million, again our lifetime best.

The ADTO generated on our platform continued to be on an uptrend, growing by 21.4% quarter -on-quarter to nearly ■ 36 trillion, as we continue to gain market share in overall retail equity turnover by 62 bps quarter -on-quarter to 26.8%.

At Angel One, our steadfast commitment has always been to foster profitable growth. While we remain dedicated to the core ethos , we recognize that it is equally imperative to make strategic investment to strengthen the business and stay ahead of the curve. The investments made in Q3 FY '24 demonstrates our proactive approach. Whether it is building a team for newer businesses like asset management, expanding our client base or upgrading our tech and product to continuously prime client experience . We ackno wledge that this strategic move impact our margin in the short term. However, this investment will significantly contribute toward long -term profitable metrics.

In 9 months of FY '24, we acquired over 5.9 million clients and reported nearly 937 million orders executed on our platform, both of which are higher than what we did in the entire of the last year. I hope these insights have given you a flavor of our tech - driven business model and our growth strategy to become a more integrated financial

service play. Vineet will now take you through our financial performance, after which we'll be happy to answer your questions.

Vineet Agrawal: Thank you, Dinesh bhai. Good morning and happy 2024 to everyone. As highlighted by Dinesh bhai, Q3 FY '24 has been a very strong operational quarter for us as we achieved our historic best performance yet again with average daily orders growing by 8.7% sequentially to 5.8 million, taking our aggregate order count higher by 3.5% sequentially to 350 mil lion in Q3 FY '24.

Despite three lower number of trading days in the quarter, Angel One clocked its highest ever quarterly gross total revenue at ■ 10.6 billion, aided by a 17% sequential growth in interest income. Gross broking revenue declined marginally by 2.6% quarter -on- quarter to ■ 7.1 billion, in spite of higher order count.

The composition of orders underwe nt a shift in Q3 of FY '24 with cash segment orders growing by nearly 20% to 74 million. In the middle of Q2 of FY '24, we instituted a change in our tariff structure for the intraday cash segment, where we now charge clients 0.03% of the value of the order or ■ 20 per order, whichever is lower, as compared to our earlier structure of 0.25% or ■ 20 per order, whichever was lower. This change is the dominant reason for the decline in gross broking income for the quarter. Gross broking revenues account for 67% of our total gross revenues. Within this, F&O continues to drive our gross broking revenue, contributing 84% in Q3 of FY '24, while the share of cash and commodity segments remained stable at 11% and 5%,

respectively. Since majority of our clients are part of our direct business unit, their share in the -- in our net broking revenues stood at approximately 76%, while the balance 24% was contributed by clien ts acquired through our assisted business unit.
We are witnessing steady buildup of our long -term relationship with our clients. This is evident from the rising share of those clients who have been with us for more than 2 years. These cohorts accounted for 48% of the net broking revenue in Q3 of FY '24, a significant increase from about 25% in Q3 of FY '22.
Through several efforts, advancements and incremental product offerings across the Super App platform, we are further strengthening the lifetime value proposition of these young clients. During the quarter, we witnessed significant improvement in the cash delivery segment. Higher activity in this segment is an important lever for our client funding book, which witnessed a robust growth of 32.1% sequentially to average at ■ 18.6 billion for the quarter. This led to a corresponding growth in the interest we earned from this book. The interest earned on client funding, along with the interest earned on deposits with exchanges, led to a 17.2% sequential growth in our total interest income to ■ 2.1 billion, thus accounting for about 20% of the total gross revenues during the quarter.

The ancillary transaction income linked to the turnover clients do on our platform , stood at approximately ■ 0.8 billion, accounting for nearly 8% of Q3 FY '24 total gross revenues.
Finance cost was higher by nearly 35% quarter -on-quarter to ■ 356 million in Q3 FY '24 on account of higher average borrowings for the period, in line with higher client funding book and higher margin requirements with the growth in business. Of the ■ 400 million estimated increase in net finance cost due to the impact of higher borrowings for substituting the underlying collateral for bank guarantees with borrowed funds towards margins with the clearing corporation, pursuant to the SEBI circular, disco ntinuing any client funds as collateral for bank guarantees, we have incurred about ■ 160 million for the period between July to December '23 and estimate to incur another ■ 150 million in the ensuing quarter. This is due to the fact that most of the BGs with collateral as client funds matured by the end of September 2023 and the requirement for incremental
bo

rrowings went up after this.
Employee benefit expenses, including cost of granting ESOP, was at ■ 1.4 billion for the quarter, sequentially higher by 6.5% due to the addition of headcount, primarily in the asset management business, data and analytics, technology, operations functions and related hiring spends.
Other opex for the quarter clocked over ■ 3.2 billion, being 21.7% higher sequentially as we achieved our highest ever gross client acquisitions, leading to an increase in related one -time client acquisition and ongoing costs. Operating expenses were also higher on account of higher spends on tech infrastructure , dema t charges in line with growth in business and a quarterly incremental spend of ■ 25 million on CSR.
Flat revenue, coupled with aggressive client acquisition initiatives, led to a decline in our consolidated operating margin to 44% for the quarter versus 51.3% in Q2 of FY '24. This margin, however, remains in line with our guided range. This upfront onetime investment in acquiring more clients today will help us grow the business, grow the business yield going forward. Thus, reaping benefits of better operating leve rage.
16.7% increase in depreciation and amortization costs at ■ 131 million in Q3 was on account of commissioning of some of our network infrastructure and other costs of our data centers and disaster recovery sites.
Our consolidated profit after tax from continuing operations was lower by 14.5% quarter - on-quarter from ■ 3 billion in Q2 of FY '24 to over ■ 2.6 billion in Q3 FY '24.
For Q3 FY '24, the Board has approved a distribution of about 40% of post -tax profits as third interim dividend to the shareholders, aggregating to ■ 1.07 billion and translating to ■ 12.7 per equity share.
Our 9 -month FY '24 total gross revenues and profit after tax stood at nearly ■ 29.2 billion and ■ 7.9 billion, respectively, representing a growth of 33.4% and 26.1% over the corresponding period last year.

Period -end cash and cash equivalents increased to ■ 90.6 billion on the back of increase in clients margins. Period -end client funding book grew to nearly ■ 19.7 billion compared to ■ 11.5 billion as of March '23. Consolidated net worth of the company grew to ■ 27.9 billion. As we continue to operate the business within our desired margin profile, our 9 -month FY '24 annualized return on average equity remains a healthy 42.3%.

With this, I conclude the presentation and open the floor for further discussion. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. We'll take the first que stion from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: I have a few questions that I'll quickly ask a couple of questions on the revenue side. So if you could explain what made you change the tariff structure in the intraday part. Is it competition or is it something else? And why ancillary revenue is down 10% despite overall volumes have gone up.

And also, if you can discuss a little bit in detail on the expenses side, particularly the customer acquisition cost. So what proportion of that will be part of our overall other expenses line item and whether per customer acquisition costs have increased at a similar level to earlier and how we expect the payback from these customers as the payback period remains 6 months? Or any kind of change in the metrics that you are seeing? So these are my 2, 3 questions. I have other questions. If time permits, I'l l ask them after.

Dinesh Thakkar: Yes, excellent questions. See, on the tariff part, as repeatedly, we have told that we are actually market makers . We are able to expand market. So we have to go into kind of different geographies, different profile of customers and check what are the offerings which will attract them to onboard in this industry.

So time and again, we have been kind of like coming out with lots of kind of like tariff structures and all that, where we are able to attract new set of customers. But what guides us, what we look at is that what is the cost of acquisition and what kind o f a lifetime value we can derive from this set of customers. So that is the prime reason that we -- all the time being first kind of like mo ver in this market to acquire new profile of customers. We have to try out different ways to onboard this customer.

But what we have seen, once the customer is on-boarded , almost lifetime value is just -- that justifies cost of equation to the tune where we want to maintain an OPM of 50% and above. So we look at that. Second, on ancillary revenue and all that, I would ask Vineet to cover it later. Let me just complete on your -- the cost of acq uisition and LTV side, although I have covered.

So our cost of acquisition has not increased, first of all. As I said that we go for different profiles, and every profile we try to map what an LTV achieved. If you look at all the

profiles that we are acquiring customers from open market, our cost to LTV has remained steady and we still maintain that breakeven of 6 months. Vineet, if you can just answer on ancillary revenue and expense side?

Swarnabh Mukherjee: Sir, just a follow -up on your response on this first question. Sir, so you have highlighted on the lifetime value of the customers and the feedback period. So in terms of -- on the margin overall, you have mentioned generally that 45% to 50% OPM is your ta rget range. But you have normally delivered better than that. Now should we consider that this particular quarter to be a relatively one -off quarter? Or were the margins came to the lower end of the range?

Or should we think that now we are going ahead to be more aggressive and that is why maybe over the next 2, 3 quarters, also our margins would start p laying out at the lower end of the region, if you could give some color on that.

Dinesh Thakkar: Yes, sure. As I said, our overall metrics, is cost of acquisition to LTV has not changed. But what happens like this quarter was full of seasons and all that. So when we take LTV of a customer is 5 years and beyond. So there will be a few quarters where clients are not active because, as you know, Diwali, Christmas, New Year and all that, activity are a bit lower. And plus this quarter, if you see, we had 3 less working days.

So overall, we don't see any impact on margin. But what will happen? If you get an opportunity to acquire more customers, it's an upfronting cost. So the impact will show a lower margin for that quarter. But if we extrapolate business model, that whole OPM

has not changed. There are a few quarters when you get more opportunity to acquire more customer. You see that quarter, you may see OPMs less because of upfronting costs on acquiring customers, on -boarding customers, expanding our techno logy capabilities and all that.
So this quarter was more about investing in new of customers. If you look at our customer base has grown almost by 16.5% quarter -on-quarter. That is a huge. There's a cost of acquiring a customer. And revenue is going to come in the next five, six years. So if I look at the metrics of cost of acquisition and LTV, it is almost like similar to what it was the previous quarter.
So overall, I don't see that this impact on margin, what we are seeing in this quarter , is permanent . It is something that we got an opportunity to acquire more customers. We acquire, we invested on expanding our kind of like technology capabilities and all that. So there's a cost of cloud, there is a cost of on -boarding a customer. So overall, I can tell you that our cost of acquisition and LTV hasn't changed. So there is no impact on long-term guidance that we say that we would like to remain i

n that zon e of 45% to 50%.
But if we look at our cost of acquisition to lifetime value, what slide we show, it appears to be around in the range of 75% to 80%. Slowly, you will see that, okay, this will play out once kind of like India reaches a level where there is not a huge opportunity to grow

but we are more trying to get more wallet share of our customer. That is where a true reflection of OPM would be visible.
But currently, as we are growing, as we see more opportunity to acquire customers, we may see impact in a quarter or 2. And then again, if at all opportunity stabilizes, you'll see we're going back to the same OPM. Plus, we are investing in new businesses. So that new businesses will have impact in terms of we have to take upfront costs in the new businesses.
But if I talk about broking, we have been maintaining this kind of like cost to LTV, but new business addition that we are doing, incremental investment that we have to do is not going to impact margin in a big way.
Vineet Agrawal: Swarnabh, on your question about ancillary income. So as we mentioned earlier, that there were 3 less number of trading days in this quarter, and that is linked to the number of trading days. So primary impact of the decline is because of the lesser number of trading days.
Swarnabh Mukherjee: Okay, sir. But overall turnover, despite lesser number of trading days, would have increased, right? So this would be kind of the fees that you pay to exchanges linked to the turnover?
Vineet Agrawal: Yes. We -- as we also explained, the order mix has also undergone a bit of a change, where cash delivery orders were higher as compared to the other segments. So it's a mix of number of trading days as well as the change in the order mix.
Moderator: We'll take the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead. Please go ahead.
Prayesh Jain: Yes. First of all, wish everyone a very Happy New Year. And I have a few questions. Firstly, on the pricing price action again. Is it fair to understand that you want the mix of your brokerage business to slightly increase towards the cash segment? And bec ause you also alluded to the fact that this price cutting realization cutting would help you grow your margin trade funding book as well. And so is that -- is there a change in thought process where you want to kind of increase the share of c ash segment volumes? That would be my first question.
Second is on the cost front. Again, what you alluded to there is no change in the cost. Would there be any other additional costs that would have gone up sequentially apart from client acquisition costs because that reflects in the in the increase in the o verall admin costs? And lastly, on whether , with the RBI regulation changes, what would be your approach on the lending, the loan distribution business?
And whether there is some thought on could you give some insights into as to how will you approach this? What would be the ticket sizes that you would be looking at or some information so that we can understand this. And just 1 small clarification, does th is ETF SIP come into your client acquisition in any form? That would be my questions.

Dinesh Thakkar: Okay. Let us go one by one. One on this mix. See, we always said that we want to be having a market share in all the segments. So you are right in terms of when it comes to market share in cash segment, margin trading, everywhere we are looking up to be in kind of a leadership position.
So wherever you find a pocket like there are clients who want to start their journey by cash segment, we are equally kind of a like eager to acquire them and try to nurture them on our platform. As I said, what we have realized, even when we take customers or cash segment, lifetime value of this cus

tomer is almost quite decent in terms of unit
wise economy . So it surpasses like or maybe passes that kind of like test of OPM of 50% and around.
So yes, when we are looking at the new geographies, lots of customers, they don't want to start activity, which is very intense high. They want to start building portfolio. They want to buy cash segment. They want to make a portfolio. So we are very keen t o get a market share over there. And that does not impact our cost of acquisition to LTV metrics.
Second, when we come on expenses. Yes, this quarter, 1 cost was because of higher acquisition that we did. And plus, we did a lot of investment in building technology capabilities. So there were 2 content components, which was upfront and which was needed looking at the higher base that we are serving now. On this RBI regulatory regulation and on SIP, we don't acquire a customer. It is just cross -sell. Saurabh would be the right person to answer both these questions. Saurabh?
Saurabh Agarwal : I think your question on RBI, let's take a step back and understand what RBI has done and why, right? I think the core issue is leverage in the unsecured business across a few cohorts was building up and customers were getting burdened. And hence, what RBI has done , it has increased the risk weight. By doing that, what happens is cost of funds and hence, ROI for a few cohorts will go up.
Primarily, we believe that for lending business to go a long way in India, it has to be responsible lending. You can be overburdening the customer with a lot of leverage. So that is our view on what RBI has done, how does it impact us, right? So one is thi s is the foundation year for us to build the lending business. So as of now, we are in the beta testing stage.
Secondly, in terms of our plans in lending, we were never looking to get into small ticket lending, which is where the entire stress is build up. So direct impact on the business in the year going forward also looks to be very, very limited. In terms of th e ticket size that we are looking to target, it will be north of ■ 1 lakh on an average. So I think largely, we don't see any impact on us. In fact, we are quite positive that RBI has come out with this regulation now when we are in the initial phase of b uilding our business.

Having said that, since the industry is very large, there is a lot of demand, we are sure that the overall industry is poised to grow multifold over the next few years and we will be a key beneficiary of that growth.
Prayesh Jain: Okay. And just on the SIP thing, whether a customer is acquired and he invests in a SIP, invest in an ETF, which ideally for us will be 0 revenues. Would that still be counted in the gross client addition? How does that go?
Saurabh Agarwal : No, since we only do cross -sell on the MF SIP part, the client addition happens only when someone completes a KYC for opening a demat account, right? So someone doing a SIP or not doing a SIP, that does not get counted in your gross client addition.
Moderator: The next question from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Sir, on the affiliated channel partner side, if you can provide some more color what's your strategy around adding new set of adding new channel partners and whether that affiliated channel can be also leverage to expand your growth on the lending side of the business as well as your AMC side of the business in terms of distribution of the product, whether there will be an overlap to that, that will be the one.
And second, on the on the margin front. Again, sorry to harp on that. But this upfronting of cost, if you can elaborate in terms of , if I look at the cost was slightly offset -- the increased cost is understandable. But at the same time, the cut the tariff also impacted the margins slight more than the increased c

ost. So the understanding would be that
this is the last leg of tariff cut, w hich we can see or there is still you need to optimize it

if the market in favor of in terms of adding more number of c lients. That will be the 2 questions.

Dinesh Thakkar: Yes. On assisted channel, I will ask Nishant to give his view. Let me cover upfronting cost, which is very important to understand in this kind of business.

So what happens when we are acquiring a customer, as I said, that we have to do an upfronting cost, like we don't apportion this cost across the life cycle of the client. So when we are taking a big chunk of cost on customers when we acquire, we are able to realize only like , come to a breakeven only after 6 to 7 months. So there is a period where it takes time for us to breakeven on this cost. But, w hen we take the cost, it is reported immediately in that quarter.

So second comes when we are growing our customer base, we need to take care of their growing requirement in terms of technology capabilities, in terms of ruggedising our products and all that. So lots of kind of technology cost goes upfront . So when a client is acquired, we try to see that our capacities are created for these client so that they don't face and glitches any problem when they are trading in the future. So that way, when we are building any platform, there are lots of costs which immediately comes as an upfront cost, if we are increasing our base of customers, okay?

Second comes tariff impact. As I said, it is not a tariff impact. It is about how do we grow the market? In India, as you see, like 65 crores, we are having a PAN account. But they are not taking interest in equity, where we know that every person needs certain kind of like saving investment and equity has given an excellent re turn in terms of CAGR of 13%, 14% for 25 to 30 years. So we need to play ers like us have to really expand this market. So we need to go into an area, understand what tariffs would attract them, what kind of content would attract them. So there is also cost we have to take to attract these new geographies, new profiles.

So when we are working on a new tariff plan, what we look at is, is this customer profitable in the future? What would be his trajectory or her trajectory? If that comes as a trajectory , would be an OPM of 50% around, so try to modify change, work out a campaign, work out marketing around that. So on aggregate level, you may feel that we have reduced the tariff. We are reacting to how to acquire and how to get a new geographies, new profile in the market. That is how we have grown for all these years. So we w ill continue our strategy to understand what this customer needs in terms of understanding content, in terms of journey on our platform, in terms of tariffs, which will make this person on board on our platform. So that's the reason tariffs, when we speak on tariffs, we look at lifetime value. If we are convince d that the lifetime value does not change, we will try to tweak it, that makes attractive for the customer, and that helps us to gain market share.

So this is what on upfront cost and tariff .

Chintan Sheth: What is this benchmark, LTV, you keep talking about what is the benchmark you keep the range, you keep in terms of is it linked to the income of that individual percentage of income of that individual? Or how should one look at the LTV for you? What is the LTV for you?

Dinesh Thakkar: Yes. So we look at every cohort and all that. But what we disclosed is the total cohort that we had acquired in FY '22. So if you look at that cohort behaviour is almost same. Like when we take up costs, almost LTV appears to be around in the region of 8x. So what we are seeing at that time also, we told that breakeven of this customer that we acquired is around 6 months, that trend continues. So when we talk abo

ut CAC to LTV,
we look at cohort wise profile wise. But when we disclose to you, it is more of like mix of all cohorts.

But what we look at, even like customers today, we don't go out and acquire customers for SIP. Because until now, we are not convinced in terms of CAC LTV. But we have enough customer base to sell them SIP, sell them mutual fund. So for other cohorts, whenever it becomes profitable, we go out in the market and acquire those customers at a new pricing or work out some content strategy or create some j ourneys, some referral programs.

So for us, for all these cohorts, it is important that we are able to maintain a margin of around 50%. So few cohorts will be giving above that , few cohorts will be giving a bit

below that . But we don't totally go into cohort, which we are not sure that we can make it profitable.
Chintan Sheth: Fair enough. On the assisted channel?
Dinesh Thakkar: On assisted channel, Nishant, if you can just?
Nishant Jain : Sure. Thanks for your question, Chintan. See, growth in assisted business has to be seen in 2 ways. One, deepening our relationship with our existing clients, which is where Dinesh ji had alluded to how we are planning to transform our NXT platform primarily through which our SBs engage with their end clients.
Adding a layer of cohort ization , personalization and therefore, being able to roll out relevant products to relevant users. So that's the first piece of this growth path. The second is with regards to engag ing with newer channel partners, the likes of mutual fund distributors, POSPs and DSAs to be able to unlock growth potential within mutual funds , within lending or within insurance. And the game of this multichannel play primarily to expand our footprint as also to deepen our relationship with the existing customer base.
Chintan Sheth: Okay. So that will be a separate channel than the broking affiliation partners that will be a subset , right, for the insurance just to be...
Nishant Jain : What I am consider ing is that both these channels would be at play. Even our existing sub-brokers would be selling mutual funds and insurance products. And at the same time, we would have kind of new channel s getting unlock ed as we proceed.
Chintan Sheth: Sure. Sure. Okay. Any broad or near -term targets in terms of what we are lo oking at expanding the base of affiliated channel s? Or are we also looking at tweaking our commission to the channel partner so that the business, they get attracted to enroll with us and extend the ir engagement with their counterpart clients at the end? So are we trying to further incentivize them more initially and then grow that business? What will be the strategy there?
Nishant Jain : The idea is to build business on back of a solid foundation, which is where leveraging technology plays a key role and also engaging with quality channel partners to be able to provide a great experience from a customer point of view. These are the 2 focus points commercials and kind of discounting in any formal fashion is not the primary strategy.
Moderator : Thank you. We'll take the next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: I had just a couple of clarifications. So on Slide 11, where you have the vintage -wise revenue breakup, can you also share what is the vintage wise breakup of active clients as of now, around 5 million plus that you have?

Dinesh Thakkar: Vineet, would you like to take this question?
Vineet Agrawal: No. Right now, we don't disclose that information. So I don't have that with me right now.
Abhijeet Sakhare: Okay. Sure. No problem. And the disclosures on Slide 10 on the cohort of FY '22. So if you could just give some sense on how the FY '23 cohort has behaved so far?

Are the trends similar to FY '22 or any deviations?
Vineet Agrawal: I would ask you to wait for some maybe a quarter or so. We'll come up with an updated data point on this. So we've shared it for FY '22. Once we have the complete data for FY '23, we'll share with you.
Dinesh Thakkar: I mean, if you want to add this because why we took '22, not '23 because they haven't completed this. We are talking about lifetime value Abhijeet . So it is important that we have a data of 3 years and 4 years. So this was the closest year which comes where we can at least show some kind of like trend of a customer. But as I said, the breakeven of that time customer and today's customer remains same , 6 months. Amit do you want to add anything on this?
Amit Majumdar : This is because we went digital around FY '22, and we want to actually cover the journey of the digital customers how they have behaved. And FY '23 is effectively when they complete 3 years. And therefore, it was relevant. FY '22 is the customers who compl ete 3 years. And therefore, for the time being, it is relevant to look at the 3 -year LTV for that set of cohort customers, which has completed 3 years. As we get to the next financial year, we will again update this slide as Vineet just suggested .
Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors.

Please go ahead.
Dixit Doshi: Sir, there was some tariff change in the cash segment. So if we have to compare only for the derivative segment, our brokerage income from the derivative segment would have been -- would have increased quarter -on-quarter or it was flat or we lost some volume or market share there and we saw some impact in the brokerage income in our Derivatives segment as well?
Dinesh Thakkar: Dixit, this market you have to see in context of like little bit dynamic. So like revenue from customer every quarter is not consistent. They are based on market situation, some events, some news. So this quarter, usually quarter 3 is always kind of like a very silent quarter because of festivals and all that. So comparing 1 quarter to other quarter this way may not be a proper comparison. What we look at the trajectory of a customer who become active and they remain actually for a few quart ers.
Dixit Doshi: Yes. The reason for asking this was because at the exchange level, the number of options contracts traded quarter -on-quarter was significantly high. So that...
Dinesh Thakkar: Okay. Bhavin, can you take this?

Bhavin Parekh : Yes, sir. Basically, this quarter, what we saw is a lot of weekly expir y got spreaded over the week. Bank Nifty expiry changed. Then obviously, Fin Nifty and the Mid Cap Nifty got a lot of participation.
What has happened is, though we see the number of contracts were traded higher, we have actually seen that the contract per order has increased for a customer. Premium has reduced when the customer trades and if it's an expiry date, the premium has actuall y gone down. So they are able to trade higher number of contracts for the same amount of premium that they want to trade for. This is the reason that we have been seeing that though the contract numbers have increased at the exchange, the same has not got translated into orders across exchange.
Devender Kumar : So Mr. Dixit, also just to add to this point that when we look at the overall growth of the market, we usually look at overall market share. So in case of F&O market share, if we compare to quarter 2 to quarter 3. In quarter 2, we were at 26.2% market shar e. And our market share has gone up to 26.9%, which is reflective of the fact how we have grown along and faster than the market itself. That's the way we gauge the overall growth of the segment itself.
So accounting for these 2 aspects , so we are looking at a flat thing, but overall market share has gone up, wh

ich is always showing how quarter 3 for the overall industry has been also a little subdued in nature.
Dixit Doshi: And because market share, we are referring to the retail market share? Because there must be a lot of Pro account volumes also in this. So we see net of that, right?
Devender Kumar : The retail market share was in quarter 2 used to be 26.2% in F&O segment; now we are at a retail market share of 26.9%, so which has sequentially gone up in quarter 3, as we mentioned.
Dixit Doshi: Okay. And 1 more question, sir. I missed it in the -- in your opening statement. Maybe if you can let us know by when we plan to start our AMC business?
Dinesh Thakkar: Yes, sure. Hemen, if you can just take this question.
Hemen Bhatia : Sure. So Mr. Dixit, currently, we are in the process of seeking the AMC, the MF license from SEBI and are doing the needful in terms of setting up the necessary infrastructure, processes, policies. So again, as I said it is a process we endeavor to get the license as soon as possible once all these formalities are complete, and we will have to wait for the regulator then to revert for any queries or any questions that they have on the existing setup, which we have. So it will be very difficult to give a timeline now, but our endeavor is to be on ground as well as possible.
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: I just wanted to understand, you mentioned about the increased headcount for the asset management, etc. So what is -- and then it's mentioned in your presentation, Page 12, that it's been put in other expenses to increase employees. So I just wanted to understand how many -- what was the amount of expense on the employee side and

wide figures on that -- in the other expenses?
Dinesh Thakkar: Vineet, if you can take this?
Vineet Agrawal: Yes. So as we mentioned in the operating profit bridge, that the employee cost has increased by about ■ 56 million for the CTC cost and about ■ 30 million for the ESOP cost. So we've added about 107 employees overall in the -- across the group, including the new business data analytics, technology product. So with this, the cost has gone up by almost ■ 90 million, including the ESOP costs.
Pallavi Deshpande: So the other expenses don't include any employee expenses. Is that right?
Vineet Agrawal: So the other expenses do not include. All the HR -related costs are part of the employee expenses and ESOP costs.
Pallavi Deshpande: Okay. Secondly was on the tech team -- how much , what would be our spend on tech -- if you can give any -- as a percentage of revenue as well as a percentage of PBT?
Vineet Agrawal: No. We don't disclose that any percentage.
Pallavi Deshpande: Yes. And the number of people in the tech team last was 5 00, I don’t re call. And what is it now versus last year?
Vineet Agrawal: So across technology, product and digital footprint, we have more than 600 people.
Pallavi Deshpande: Right. And the AMC side is the hiring over, we need more hiring to be done for the people side then?
Vineet Agrawal: No. My understanding is most of the crucial hiring is over. Maybe a couple of associates may be required.
Pallavi Deshpande: Right, right. Just lastly on this, you mentioned about this cash side. I think I got some comments like you're interested in the market share and all. Is there any increase expected for the share of cash business or are we targeting, anything like that?
Dinesh Thakkar: So we have high aspirations in terms of increasing our market share, whatever it is possible. It would be difficult to put a number, but we would like to see that everywhere, like not just one segment, all the segments, wherever we become active , we focus on certain market share and would like to see incrementally every quarter, every

6 months,
we get better market share than where we are.
Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain: Is there an update on wealth management business that we have been talking about last quarter? And any update on the business model impact, which customer segment you will target and what is the model of reaching out those customers?
Dinesh Thakkar: As announced last quarter, that we are keen to start wealth management business. But as I said, that would be functional only in first quarter of next financial year. Currently, we are in the process of strategizing and working out a right kind of approach where we can use our technology and where we can serve customers who have this kind of like need for this kind of product.
It's a bit early to comment right now because we are in the process of putting our heads down and working on the right strategy. May be by end of next quarter, we'll be able to come out with some clear direction on wealth management piece.
Nidhesh Jain: Sure. Second, if I look at the derivatives revenue. That has declined 6% Q -on-Q versus a 1% decline in derivatives number of orders. So revenue per order in Derivatives segment has declined by almost 5%. So any particular; reason? Have we changed any pricing there? What has driven that?
Dinesh Thakkar: No, nothing like that. It may be like a number of contracts for all who would have increased value. Bhavin or take this or Devender?
Devender Kumar : So again, to mention, I think when you're looking at quarter -on-quarter, Mr. Nidhesh. There is a factor of 3 less trading days in this particular quarter. So there is already an impact of 3% to 4%, which has impacted by a lesser number of trading days.
Now coming to point #2, that overall F&O market has increased. I think Bhavin mentioned that how a number of contracts per order has gone up, which has resulted into the number of contracts increased not reflecting into order side, which is where our pricing model is set.
And the third point remains that when we look at the F&O market, right? We look at our market share, right, which has gone up from 26.2% to 26.9% from quarter 2 to quarter 3, which means that we have gained market share in the retail market share. Obviousl y, we only participate in retail market share today. So in retail market share, we have increased our share. And at an overall level, if you look at quarter 3 itself, because of the holiday season, there is obviously a subdued performance, overall market behaving in a little subdued way as well. So that is the...

Nidhesh Jain: My question was actually on revenue per order. If you look at F&O revenue divided by number of orders for us, that was around 23 -point something last quarter. That declined to 22.2, I think, in this quarter. So is there any pricing change in F&O or mix of flat fee has gone up. What has led to that 5% decline in revenue per order in the F&O segment for us?

Devender Kumar : So at an overall level, Mr. Nidhesh, so when you look at the overall order sizes, the flat fee contribution to our overall pipe used to be -- has increased by -- used to be around 85% in the last quarter, which has now increased to almost 89%.

Now that must be reflecting back in terms of the overall revenue per order because I think the flat fee clients are growing much faster pace in comparison to old customers which are at a percentage base with us. So that is maybe one of the factors also contributing in terms of the overall reflection of revenue per order than that you are looking at.

Nidhesh Jain: Sure. And also my last question is on opex . So if I look at admin, other expenses has gone up by ■ 57 crores this quarter. If you can get us some breakup that what was the main compon

ents of this increase, like what has -- what percentage of this has been contributed from customer acquisition, whether from other components, that would be helpful.

Dinesh Thakkar: Whatever we can give detail. Vineet, if you can just...

Vineet Agrawal: So there are 3 or 4 main components that have contributed to this growth. One is, of course, the 3.5 lakh more clients that we acquired during the quarter as compared to the previous quarter. The on -boarding cost of those clients, which is in a onetime offering cost that we incur.

The dema t charges have grown in line with the growth in the cash delivery volume and the income in the depository operations. The tech infra cost, the opex part of tech infra cost. And there has been a ■ 25 million additional contribution to CSR as compared to the previous quarter.

Moderator: We take next question from the line of Ashutosh Garud from Ambit PMS. Please go ahead.

Ashutosh Garud : So just wanted to understand on this tariff cut on the intraday segment and the upfronting cost. I mean, what I heard you mentioning about that you will continue this thing as long as you see a scope of acquiring clients given the low penetration and given how we are placed from a secular trend perspective, the segments which we operate, this l ooks like a fairly long -term approach as far as you get -- you're targeting these kind of customer acquisition and the tariff change. So would it be fair to assume that through FY '25 as well, will you see this kind of a margin percentage going ahead on th e operating front?

Dinesh Thakkar: Yes. Ashutosh like as you rightly said that, this seems to be a very secular trend , and we don't know where this trend will lead in terms of penetration, how much of population will be ready to really jump and start investing in equity. If that trend continues, we are talking about currently like if you look at active customer base, hardly 3 - 3.5 percentage of population is investing in equity and similar numbers are for mutual fund.

So point is that if that trend continues, it is really kind of like very profitable for us because it is just one time the lifetime you get an opportunity to acquire a customer when they are on -boarded, then to acquire a customer from competition is always difficult. So this trend, we have seen everywhere in the U.K., U.S., where this kind of a trend came and people started attracted towards equity. Players who become big, they became really a solid player who were able to work on a good profitable business.

It is difficult to say in terms of upfronting cost up to what level it will continue. But what I am seeing that this seems to be like a trend which is going to last up to at least we see a penetration of at least 15% to 20% of population coming on our platform and using our industry products.

On tariff costs, as I said, that we have to be dynamic because India is very diverse. There are different needs of people. So we have to look at that, what are the requirements and at what price they would be attracted on our platform.

As I said, that we are guided by our CAC to LTV as we see a margin of 50% and around. We try to go into a newer pocket and acquire newe r customers. That is how Angel One has grown since 2020. So all the time when you acquire a new set of customers, it's clear that our ARPU is decreasing. But when you look at our overall margins, it has remained intact than a few quarters when we become kin d of an aggressive acquiring customer, there is an upfront cost on technology, on -boarding, on acquiring a customer. But if you look at unit -wise economy, it is still very attractive to continue to see which are the pockets where we can acquire more customers and continue with this trend. I would be very delighted to see this trend continues for next five to seven years. That means we are looking at dee

p penetration of this equity market where we become a leader. So in digital market, what is important is that what kind of market share we have and how many people are really using our services. In both the metrics in terms of acquiring a customer, we are a market leader. In terms of creating revenue from each customer that we are acquir ing, including like selling their mutual SIP and all that, we have been getting a good market share.

So overall, this suggests that this business model is strong enough and our platform is very popular amongst all category of customers. There are a few platforms which are popular with trader category. But in our case, we have seen diversity of customers that we are able to acquire and serve and create revenue from them is quite immense. So that way, I feel, if this trend continues because of diversity we have a better business model, which can sustain for a longer period of time.

Devender Kumar : One more point to it, Ashutosh. One point to note now as we are looking at no grabbing market potential -- this is also reflecting in our cash market share. The post the tariff chain has happened, our market share used in cash market used to be stagnant in retail market share is to stay at around 13.8%.

In the first time, after eight quarters, we have seen a strong increase in market share as well. Wherein in quarter 3, we're looking at a market share of almost 15.1% in cash market as well. So it is in line with our aspiration of increasing the potential of India and grabbing larger market share, which is reflecting with the strategy going live as well, all from that point of view.

Ashutosh Garud : So just to add, I mean, on the -- and once you're starting on the AMC front, I would want to believe the LTV, which you assume now should go up as we go ahead because you're adding new verticals from business aspects.

Dinesh Thakkar: So Ashutosh, as I repeatedly told that till the time we are satisfied with OPM, what we do is we try to spend more on acquiring customers. If you think that, okay, I think two more products or LTV has increased. So we'll try to acquire more customers, spend more on acquiring new set of customers. So what is the guiding force for us is that CAC to LTV? And see, if you stop like growing, our margin may increase. But what is impor tant for us is that if there's a budget to acquire a new set of c ustomers, explore new profile of customers, we'll go ahead and do it.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, when I see your customer acquisition, it's very visible that the bulk of the customer additions happening in tier 3 markets. Sir, your statement you made with L TV to CAC or payback period is six months. Is it even true for Tier 3 clients? Or your Tier 1 clients are cross subsidising Tier 3 clients and therefore you say it is 6 months? And because it's not converting into revenues because you added a single number in the second quarter, but it's not translated into revenue in third quarter. Just wanted to understand that it's cross subsidisation and we are hoping that it will play out in subsequent years rather than an immediate 6 -month basis for Tier 3 clients?

Dinesh Thakkar: First of all, the answer would be like require lots of components to be identified and to be really, we don't disclose all that for every cohort. Even you say Tier 1 urban and all that, Tier 3 also, we have KRA Yes, KRA No, 20 below , 25 age below , 25 above. So , what we look at is that bulk of customers that we acquire in that kind of like cohort, what kind of like CAC to LTV is there. As I said, that we are looking at OPM of 50% and above.

So different tiers will be having a different kind of ratio. We don't disclose those kinds of data. But what I'm trying to say is that even Tier 2, Tier 3

and beyond, CAC to LTV is
very profitable. And it meets our specification of maintaining an OPM of 45 to 50%. If you look at our customer base that we are acquiring, most of the customer, 80%, 85% are coming from Tier 3 and beyond.
There was an impact of Tier 3 and beyond. If there was an impact of Tier 3 and beyond, it would have been visible by this time. So in 3 years, if you see our trend is that we are acquiring maximum customer from Tier 3 and beyond. So clearly, it is visible that those

segments of customers are profitable , are contributing to our margins and that initiative that we took initially , though people are a bit skeptical in terms of our approach of going into Tier 3 and beyond. But what happened because we were first to get a great market share. When I'm saying, many organisations were able to acquire the customer from Tier 3. But we were the one who are able to make them active , create a good engagement kind of like programs , and today we can see that what suits we have kind of like deliver ed to in terms of revenue to -- revenue from each cohort of customer.
So to answer your question, Tier 3 and beyond is also a very profitable pocket. So we are very aggressively trying to acquire -- trying to work out proper kind of like marketing for those areas. And we feel that we being market leader in that , it's very easier for us to acquire because we have created journeys for this customer on our app. So when they are on boarded on or app in terms of content, in terms of nudges that we gave, pricing also that we have worked out is very effective for them. And for us, wha t is important, if you're able to activate it , if you're able to make this customer active, that is most important, and we have been successful in that.
Sanketh Godha: Got it. But just wanted to understand, is it a assumption, is it safe to assume that payback period is a little longer in Tier 3 compared to maybe long term, it will play out LTV to CAC. But on immediate payback period point of view, Tier 3 clients will take a little longer compared to Tier 1 inductions ?
Dinesh Thakkar: Currently, data does not suggest that. As I said, that depends on what kind of profile we are acquiring.
Sanketh Godha: Got it. And sir...
Dinesh Thakkar: But the data is not suggesting that Tier 3 can say like breakeven is higher than urban and all that.
Sanketh Godha: Got it. And I just wanted to understand the Tier 3, which is the channel, is it the same authorised person which are driving the growth in client addition? Or is it more direct or referred ? I just wanted to understand the color how you are managing to acquire more customers in these geographies.
Dinesh Thakkar: Sure. So Prabhakar our Chief Growth Officer will answer this , but let me tell you that we have two channels. One is the assisted channel, where customers are acquired through this like authorized person. On digital side, Prabhakar will be a better person to answer this.
Prabhakar Tiwari : Thank you for the question. I mean if you look at it, we have a strategy which is based on 3 pillars. First is a channel -specific. As Dinesh bhai pointed out, that we focus on specific channel and their cost -to-revenue ratios. So be it organic channel, be it referral channel, be it paid channel or be it financial influencer channel. We ensure that at a channel level, those profitability are maintained and we do a pan -India campaign leveraging various cohorts. Second approach we take is a si gnal-based approach.

Now the signal -based approach is unique to us, and this is what Dinesh bhai said, we have mastered since 2020, thanks to a very close collaboration between the acquisition revenue team that we know which signal to pass on to acquire customers, which are good revenue yield for us. And we also know

like what kind of investment we w ant to
do behind those cohort of customers.
The third is what we call a catchment area. So we know for sure that there are certain places which are very heavy on trader kind of new cohort, and we ensure that we pay additional cost for additional revenue for those cohorts.
Why w e have been able to be successful on it is because somewhere both our performance marketing , brand and content work very closely with each other. And we try to go with a full funnel approach, whether it is Tier 2, Tier 3, Tier 4. So both our brand

media choices and also in terms of performance marketing, paid channel choices are in sync with each other.
Sanketh Godha: Got it. But is it safe to assume that out of the total client acquisition on a marginal basis, the authorized person contribution is coming down, and it's more and more happening in the digital way of acquiring the customer?
Prabhakar Tiwari : Dinesh bhai, can you take it? Yes.
Dinesh Thakkar: Can you just repeat your question?
Sanketh Godha: So, I was just asking...
Dinesh Thakkar: I said that okay, that yes. Yes, please.
Sanketh Godha: My question was on incremental basis, whether the client acquisition is more happening outside the authorized but are more compared to the authorized person? I just wanted to understand on AP is still leading the client acquisition for us?
Dinesh Thakkar: No. See, like when we are talking about broad basing this market, definitely, digital marketing and all that would be a main engine of growth. Because assisted channel looks at quality of customer, okay? So they will acquire a new customer when they see a quality. But when we are acquiring digitally definitely, we expand and grow fast on digital side. If you look at our market share also on digital side, on flat brokerage and all that, it's increasing in our overall revenue pie.
So to answer you this question flatly would be in terms of when we're acquiring new pockets, new geography this B2C direct marketing would be having a higher market share and will be growing at a higher rate. And when it comes to assisted business, maybe in terms of acquisition, they will be a bit lower than digital side . But in terms of quality of revenue, there is far better because they are very selective .
Vineet Agrawal: And just to add to what Dinesh bhai said, the ratio remains almost same. Of the 100 clients that we acquired in any month or quarter, a fourth of those clients come from the

assisted business and 3/4 come s from the direct channel. So that ratio remains more or less same.
Sanketh Godha: Okay. Perfect, sir. And last one from my side. Sir, the authorised person led strategy on MF distribution. I just wanted to understand when it is going to go live and when we can see that number trickling down to our revenue? And second, we had a freeze on new addition of authorized person. So I believe 6 months are over. So as we have started adding more authorised person? Or still we are deepening our existing price person to this channel?
Dinesh Thakkar: Nishant if you can to take this question.
Nishant Jain : So as far as the embargo was concerned, it has been lifted , and we are pretty much open to acquiring more APs in areas where we don't have adequate representation. In areas where we have decent coverage of our APs, we would continue to grow on back of those channel partners. As I also mentioned in one of the earlier responses, that we are also going to be acquiring newer channel partners like mutual fund distributors, POSPs and DSAs in Phase 2.
Sanketh Godha: Perfect. On this MF distribution through authorized person, which was a stated strategy, when we can expect that number to trickle down in our top line and bottom line?
Nishant Jain : This is a futuristic statement. I'm not sure if I can make it here.
Sanketh Godha: But actually,

as you said, wealth management is expected to go live in 1st quarter of FY '25, then this MF distribution, which we are largely going to super.
Dinesh Thakkar: Sanketh, just to answer you, our MF through AP is already live. Now we are talking about scaling it up. So Nishant Jain has joined to scale up all the division, all that kind of distribution channel apart from authorized person.
Sanketh Godha: Sir, the reason I'm asking this question is that our distribution income is still ■ 10 crores, ■ 11 crores, which has not changed meaningfully in the last 2, 3 quarters. So when we can see this number to go up, given we are already live with the MF distribution?
Dinesh Thakkar: Sanketh what happens that, okay, to really like start any new division full fledge , it requires a kind of a like foundation period. So currently, I would say for assisted business beyond selling stock broking product and cash market product and scale it up require some kind of like investment in kind of working on the right strategy and right plan. So I would say you'll see some traction coming from this vertical maybe first quarter of FY '25.
Moderator: The next question is from the line of Mayank Bukrediwala from Citadel. Please go ahead.
Mayank Bukrediwala: You've already spoken about this issue, which is our futures our F&O ADTO growth has

been much higher than the ordering growth, and this has been proved for many, many

quarters now, but it seems to have accelerated a lot in this particular quarter. I mean, if I just simply look at it over a 2 -year period, our F&O orders have increased by almost 2.2, while the ADTO has increased by almost 5.5. So this is a very large gap created over 2 years.

And I'm not sure if this is entirely explained by a decline in premiums and all of that. So I just want to understand what else is driving this? And this entire splitting of expiries, where we've got an index expiring every day has not really resulted in a material increase in F&O ordering for us. Do you anticipate that will happen from here onwards?

Dinesh Thakkar: One thing on ADTO and order I'll ask Devender or Bhavin to answer that on that -- split of expiry and all that. Again, there is one thing. The customer comes with a certain budget , certain wallet. So he can stretch his wallet only to certain amount of contracts and orders. So choice would be , he gets more choice, but that does not mean he is going to trade more. So that is where like when a customer have choices, benefit would be more customers are attract ed towards market thinking there's a lots of choice. But individual, putting in more money, I don't think that is happening in retail side at least. So what you will see because of this kind and more product available, more people are attracted and they are getting affected and on -boarding on our industry. So that is a good thing that they get variety and they're attracted towards variety. Th at is what I feel.

If you look at expiry, there were enough product when Sensex and Bank Nifty and all that came up with a different expiry day . Because of wider choices, we are seeing customer base again started growing. So if you look at growth in this last December, was maximum . What is happening is that this market or this industry has to give lots of variety and look at more customers getting on -boarded rather than getting more wallet share from the same customer.

On ADTO to order, Devender would like to answer. I think I'm not audible. Bhavin or Devender can answer this. Question was that, okay, why this ADTO has increased 5.5x. I mean, it is related strike price and premium.

Mayank Bukrediwala: Your response on the order growth not picking up materially makes sense, which is why it's surprising as to why the ADTO growth picking up then, is a lot more, I don't know, is some activities -- does so

me institutional activity also pass through us or som ething which is driving this?

Dinesh Thakkar: No, we don't have institutional business. We just do retail.

Bhavin Parekh : Yes, sir. Sir, first of all , for clarification that ADTO is based on the notional calculation. So it is not just premium into quantity, but it is strike plus premium into quantity, and that's how the market share is derived on ADTO. So because the nifty values have gone up and the bank nifty values have gone up, there is a change in ADTO due to that. And also, there would be some factor on number of contracts per order. So both of this would have made the ADTO look higher. But practically, that's the reason, sir.

Dinesh Thakkar: So that's the general reason. I think the ADTO is strike price, but I think with this daily expiry premium has gone down. So what you're seeing, you may see ADTO has gone up. But what you should look at premium and kind of like customer has to pay premiums or they have to buy any contract.

Mayank Bukrediwala: No, that's right. But the difference is huge because your F&O ADTO growth is about 20% Q -o-Q, while your F&O order is flat Q -o-Q. Now this 20% cannot be entirely explained by the difference in the premium coming down is what I think. That premium has certa inly come down.

Dinesh Thakkar: We look at our market share has not gone down. And it is not that some other component in retail, what we are talking is about retail ADTO and retail order per client. So that is the only way we can explain.

Beyond that, I think there is no explanation. Because in this segment, institution is not included. So what we are seeing is that we track our market share. And that premium market share, I think we -- our market is increasing. So there is no reason for us to believe that somebody else is taking away the market share or business from us.

Bhavin Parekh : Sir, I'll just seconds more to reemphasize on this. What has happened is, see, the nifty values have gone up in this quarter, right? And when we talk about an ADTO, the notional value would depend on the strike price, right? Strike price has gone up. But the premium value because of the weekly expiries have gone down. So you might see a rise i n ADTO, but it would not translate into the actual premium turnover of the customers.

One factor is that. Second factor is very clearly that the number of contracts per order has gone up. So customer is able to create a higher number of contracts with the same premium value that they normally p lay with. And that is the 2 main reasons why you will see the disconnect .

Moderator: Ladies and gentlemen, due to the paucity of time, that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, sir.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we have been able to answer all your queries. Should you require any assistance, please feel free to get in touch with Hitul Gutka , Head Investor Relations or SGA, our IR Advisors . Good day.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Angel One Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Apr 2024

Angel One Limited
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CDSL: IN-DP-384-2018, PMS:INP000001546,
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Symbol: ANGELONE Scrip Code: 543235

Subject: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Further to our intimation on March 27, 2024, intimating of the earnings call with analysts and investors hosted by the Company on April 18, 2024, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same.

For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
ACS: 22506

Date: April 23, 2024
Place: Mumbai

Encl: As above

Angel One Limited
Q4 FY'24 Earnings Conference Call
April 18, 2024

MANAGEMENT :
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Thakkar Vineet

Agrawal Amit
Majumdar Ravish
Sinha Jyotiswarup
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Chief Data
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& Surveillance CEO – Asset
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Srikanth
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Co-founder –
Angel One
Wealth Head of Investor
Relations

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Moderator: Ladies and gentlemen, good day and welcome to Angel One Limited Q4 FY ’24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Hitul Gutka from Angel One limited. Thank you, and over to you, sir.
Hitul Gutka: Good morning and welcome everyone. Thank you for joining us today to discuss Angel One’s Q4 FY ’24 financial and business performance . The recording of today ’s earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results , investor presentation and press release are also available on the website.
For today ’s call, Angel One is represented by Dinesh Thakkar , Chairman and Managing Director ; Vineet Agrawal – Chief Financial Officer. We also have the senior leadership team of Angel One , along with SGA, our IR consultants.
The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a question and answer session . Please note that there may be certain forward -looking statements made during the call which must be viewed in aggregate with the risks that the company faces.
With this brief introduction, I now invite Dinesh Thakkar for his opening remark s.
Dinesh Thakkar: Thank you, Hitul. Good morning, everyone.
In the financial technology industry where innovation is the currency of progress, Angel One has stood as a beacon of excellence for three decades. Today, as we gather virtually here , I am filled with gratitude for the journey we have traversed , milestones we have achieved, the trust we have garnered among our clients. Our legacy is one of relentless pursuit of excellence, innovation and trust. Through this pursuit, we have established ourselves as a formidable player in India ’s fintech landscape, where our name resonates as a symbol of reliability and innovation. Our digital outreach has enabled clients located beyond metros and tier -one cities to access and consume capital market products. This democratization of financial services has been one of our pillars of growth and we continue to deepen our roots into untapped opportunities. As we have reinvested in expanding our client base and offering them a more robust

platform, we have witnessed very strong growth. I am delighted to share that our average daily order have grown 86% between Q1 and Q4 of FY’24 , in that process, achieving the peak orders per day of more than 10 million. This growth is testament to the resonance of our vision and the effectiveness of our performance.
With strong growth comes the responsibility to ensure adequate capitalization to sustain and fuel our expansion. In this spirit, we recently completed a capital raise of Rs.15 billion which will be primarily used for margin monies with stock exchange and t he growth of our MTF book. These efforts underscore s our commitment to prudently manage our resources.
We are extremely thrilled and humbled by the overwhelming response our fundraise received from both domestic and foreign investors as a testament to the confidence they have in our vision and strategy. To all our investors, both existing and ne

w, I extend
my heartfelt gratitude for your invaluable support and belief in our journey.
Turning to our operational performance , I am delighted to share with you that the Angel has once again delivered a historic performance during the quarter. We have experienced our highest ever quarterly gross acquisition, expanding our client base to new high of over 22 million. Furthermore, our cli ent executed over 470 million orders during the quarter. This client surge , coupled with robust activity witnessed on our platform across our product and service offering, reconfirm the resilience and the

scalabi lity of our systems.
At the heart of our growth story, lies an unwavering commitment to client centricity . This ethos has guided us through our digital transformation journeys, enabling us to build a solid roster of clients who not only transact with us but also advocate for us. Each cohort acquired has consistently given us stable revenue every year. Our vintage clients too , who have been with us for more than five years, continue to contribute very healthy revenues even today. With higher client acquisition year -over-year, their revenue contribution is consistent like the previously acquired cohort. The stability a nd profitability exhibited by each cohort and the continuous influx of new clients serves as a bedrock for our future growth.
Our digital model not only enables us to penetrate deeper into market but also fosters long-term relationship with the younger demography , driving value creation and client longevity . Through this digital engagement, clients from every acquired year tend to become active and transact in one or more segment over time. For instance, about 54% of clients acquired in FY’21 became active over the next four years and continue to engage on our platform across multiple segments. It is heartening to note that even i n respect of clients who commenced their journey as a trader, an overwhelming majority of them eventually build long -term equity portfolio, thus realizing the virtues of investing in equity as an asset class. This journey of value enhancement from novice t rader to mature investor is extremely encouraging and defines client longevity on our platform, thus ensuring sustained growth in the lifetime value of the customer. It also motivates

us to offer our clients other value -added services and partner with them in their quest for wealth creation.
As we chart the course for the future, our focus remains steadfast to enhance client experience on our platform through superior engagement journeys and product enhancement to create value at every touch point. We continued our focus on further fine tuning our KYC journey, which is the first point of client interaction with our systems.
We undertook development on the Super App with the rollout of dedicated sections for option strategies, allowing traders to disc over and execute predefined and custom strategies easily. We also release d a dedicated option expiry section which simplifies trading option on expiry days. To encourage creating long -term investing behavior, we enhanced journey for the cash segment as we introduce stock w idget featuring a list of popular stocks, most -traded stocks on the homepage, a predefined watch list segmented to some predefined personas .
Dedicated to revolutionise client engagement and experience, our assisted business has been building a dynamic array of products. As a part of development, we are transforming the NXT application, a universal platform for all our channel partners.
Key development s currently being carried out include intuitive and intelligent features, empowering our channel partners for better lead generation and management. With clear call to action button and high degree of personalization, the platform acts as a personalized com munication engine for our channel partners.
In o

ur Mutual Fund journey, client can now customize SIP amount and da tes, compare up to three Mutual Funds across all available parameters and track portfolio growth against indices. These innovations are driving significant growth in SIP adoption, reinforcing our position as a second largest player in incremental registered SI P. This underscores the effectiveness of our Super App strategy and the value it delivers to our clients. Last quarter alone, we registered nearly 1.4 million unique SIP, showcasing our commitment to guiding clients on their long -term investing journey and enhancing engagement on our platform.
Efforts continued during the quarter to seamlessly integrate credit and fixed income product into our platform, which is currently undergoing beta testing with select clients. Having crafted the MVP for this offering and initiating rigorous testing to ensu re reliability and effectiveness, we expect to scale up the operation over the next few quarters.
On the AMC front, we have onboarded the core leadership team who have been working to get the final approval from the regulator for the swift launch.
With respect to our Wealth Management foray, I am happy to introduce to you the team led by Srikanth Subramanian as the co -founders of our Wealth Management business. Srikanth has extensive experience at Kotak Mahindra Bank in life insurance, private

bank including global wealth ma nagement and investment advisory and more prominently in the Wel thTech initiatives at Kotak Cherry.

The co -founders offer decade of combined deep domain expertise across the function of wealth business and demonstrate impeccable skills to scale the wealth business with the sharp focus on tech -led models. While we will target the fast -growing segment of UHNI and HNI, we endure to progressively democratize this offering to the underrepresented segment in retail through differentiated digital offerings.

During the quarter, we further solidified our management bandwidth with the onboarding of Meenal Maheshwari Shah as our Group General Counsel. With a remarkable career spanning over 14 -years, Meenal's expertise extends to working on diverse legal transacti on, navigating complex legal landscape and providing insightful counsel on legal, policy and regulatory matters. Prior to joining Angel One, Meenal served as a group legal director and data protection officer at LemmaTree PTE Limited, a subsidiary of TEMAS EK, led the legal counsel function at Essar and Times of India.

We have secured the associate partner sponsorship for the coveted India Premier League (IPL) for five years starting in 2024. This sponsorship promises us extensive brand visibility , through on -ground digital and televised media, allowing us to engage with wider audience, particularly in tier -2 and tier -3 cities and beyond.

Our investments in Q4 FY'24 reflects our proactive stance in expanding our team, client base and technological capabilities to continuously prime our client experience. While these investments may impact short -term margins, they are crucial to our long -term growth and profitability.

Let me now take you through some of our operational highlights . We onboarded about 2.9 million clients within a quarter, stacking up the total client base of 22.2 million clients. This serves as a testament to our commitment to operational excellence. Robust client activity drew us 35% sequential increase in total executed orders for the quarter. The ADTO on our platform continued its uptrend, growing by 23% quarter -on-quarter to nearly Rs.44 trillion.

Looking ahead, we anticipate sustained growth, requiring increased working capital deployment. Consequently, the Board has decided to defer the dividend payout for the next few quarters to conserve resources, optimize our balance sheet and support our grow th trajectory.

Now, Vineet will walk you through our

financial performance before we open the floor
to your questions.

Vineet Agrawal: Thank you, Dineshbhai. Good morning, everyone.

As highlighted by Dineshbhai, Q4 of FY24 has been a very strong operational quarter for us as we achieved our historic best performance yet again with average daily orders

growing by 32.3% sequentially to 7.73 million, taking our aggregate order count higher by 34.5% sequentially to 471 million in Q4 of FY '24.

We clocked our highest ever quarterly gross total revenue at Rs.13.6 billion, registering a 28% quarter -on-quarter growth. Gross broking revenue grew by 30% quarter -on-quarter to Rs.9.2 billion. Gross broking revenues accounted for 68% of our gross total revenues. Within this F&O continues to drive the gross broking revenue contributing 85% in Q4 of FY '24, while the share of cash and commodity segments remain stable at 11% and 4% respectively. Since the majority of our clients are part of our direct busines s, their share in the net broking revenue stood at approximately 77% while the balance 23% was contributed by clients acquired through our assisted business.

Our volumes in the cash delivery segment continue to improve. Higher activity in this segment is an important lever for the growth of our client funding book, which grew by 9.1% sequentially to average at Rs.20.3 billion for the quarter. This led to a corresponding growth in the interest we earned on this book. The interest earned on client funding, along with the interest earned on deposits with exchanges, led to a 16.6% sequential growth in our total interes t income to Rs.2.5 billion, thus accounting for about 18% of the total gross revenues for the quarter.

The ancillary transaction income , linked to the turnover clients do on our platform , grew by 34.7% quarter -on-quarter to approximately Rs.1.1 billion, accounting for nearly 8% of our Q4 total gross revenues.

Finance cost was higher by about 56% quarter -on-quarter to Rs.556 million in Q4 of FY'24 due to a combination of higher average borrowings and higher cost of funds for the period. Higher borrowings were in line with the growth in client funding book and borrowings availed to fulfill margin obligations with the clearing corporation. The overall finance cost for the year has been within the anticipated increase as envisaged last year on account of incremental working capital required to manage the bank guaran tee requirements for margin obligation.

With every trading day as an expiry day for indices across NSE and BSE , and growing volumes, the working capital requirement for broking businesses of our scale and size have increased considerably over the last few quarters.

Employee benefit expenses including cost of granting ESOPs, was at about Rs.1.59 billion for the quarter, sequentially higher by 12% due to additional headcount primarily in the Wealth Management business, ramp up of our asset management business , data analytics, technology and product functions.

Our other opex for the quarter clocked at Rs.4.3 billion being 33% higher sequentially, driven by 17% growth in our client acquisitions, leading to an increase in one -time client acquisition cost and onboarding cost. Other expenses for the quarter also include Rs.227 million, apportion ed towards IPL associate sponsorship for related and related

digital and media advert spend. Operating expenses were also higher on account of higher spends on cloud infrastructure in line with the growth of the business. Here, I would like to inform you that Angel One will continue to invest in scaling up its brand over the next few years. In the ongoing quarter, we intend to spend about Rs.1.2 billion towards the remainder of the annual sponsorship cost and digital and electronic media advert throughout the ongoing IPL season. Our brand spend therea

fter for the res t of
the year will be in line with earlier trends. However, such spends will help us to significantly amplify the brand across the country, giving us better reach to our target audience.

Our consolidated EBDA T margin expanded to 44.8% for the quarter versus 44% in Q3 of FY ’24. This margin remains within our guided range. The upfront one -time investment in acquiring more clients today helps us to grow the business going forward, thus reaping benefits of better operating leverage.

Depreciation and amortization costs increased by 27% to Rs.167 million in Q4 of FY ’24 on account of augmentation of technology assets at a data center and disaster recovery site, required to manage the growing client base and order volumes.

Our consolidated profit after tax from continuing operations grew by 31% quarter -on-quarter from Rs.2.6 billion in Q3 to over Rs.3.4 billion in Q4, making this our highest ever quarterly profit.

Our FY ’24 total gross revenues and profit after tax grew by 42% year -on-year and 26% year-on-year to Rs.42.8 billion and Rs.11.3 billion respectively. Period ending cash and cash equivalent increased to Rs.98.4 billion on the back of an increase in clients margins and cash generated from the business. Period end client funding book grew to nearly Rs.17.7 billion compared to Rs.11.5 billion as of March 2023. The consolidated networth of the company grew to Rs.30.4 billion. This does not include the recently concluded fund raise of Rs.15 billion as the funds came in early April. As we continue to operate the business within our desired margin profile, our FY ’24 return on average equity remains healthy at 43 .3%.

The funds raised via QIP have been deployed as working capital into the business. The current quarter will have some elevated costs on account of IPL, annual increments and new stock grants, which will have an impact on the margin of the business for this quarter. The ROE post the fund raise will also see a decline before gradually going back with growth benefits of deployment coming in towards the end of the financial year.

With this, I conclude the presentation and open the floor for further discussion. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Swarna bh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee : Two, three questions from my side. First, in terms of your broking business, so the major metric which is the number of orders we are doing in a day, if you could give us some idea in terms of this growth, how much of that has come from what you alluded i n your initial speech that the number of days when expiry is happening has gone up. So, that must be one of the factors. What are the other factors which would have taken this number up for the quarter, including maybe client activation or existing clients trading more. If you could give some ballpark quantification of that, that would be very helpful? And going ahead, what would be your aspirations to take this number because we have already seen a sizable jump in the number from where i t was seen in FY23 and can it see a similar level of traction going ahead, what would be your aspiration if I were to ask you on that? So, that would be my first question and also maybe an addendum to that is if you could also give some color on what propo rtion of this number of orders that are coming in is coming from your engagement with BSE, that would be very helpful. So, that is the first part. The other things that the branding spend that you have mentioned, is it inclusive of the IPL -related costs that would be there in the P&L, if you could give some color on that? Sir, if you could also explain the pie chart in Slide # 10, which you have highlighted, in particular, wanted to understand that two cohorts that you have provided FY ’21 and

FY ’22, you have given a number which is close to around 50%, 54 % for FY ’21 set of clients and 49 % for FY ’22 set of clients who have transacted. So, what happens for the other close to 50% clients are? So, is there a scope of kind of accreting revenue out of them in future or would they remain as inactive customers and what broader message you would like to give to this slide if you could highlight that?

Dinesh Thakkar: First, I ’ll just answer in terms of increase in orders. If you see when we started this financial year, we were clocking around 42 lakh orders per day, which in Q4 was 86 lakh orders per day. Parallelly, if you look customers that we were acquiring was around 4, 4.2 lakh per this thing a month which by Jan and Feb we were clocking around 10 lakh client per month, that is we ’re acquiring around 10 lakh clients per month. So, this new set of customers, when they come in, definitely they are ac tive and what orders we get from our vintage clients and new cohorts also are of a similar kind of a nature when they are onboarded, within 10 to 15 days they are active on our platform. So, primarily it is because we have acquired a huge set of customer much beyond growth that we regularly clock and due to kind of like vintage clients also being active on our customer as we explained in Slide #9 and #10, combined with new set of customers, we saw activity growing up. And second proportion of order of BSE, we don ’t disclose that, but that is not a significant proportion. It is proportionate to whatever order we clock on NSE and all that. It is not that BSE has contributed in a big way, although we have a decent market share across NSE, BSE and all other segments. O n branding spend, yes, what we have shown, it includes IPL. Vineet would be the right person to walk you through this number. And on Slide # 10, specifically, Amit or Vineet, you can take this question.

Vineet Agrawal: On the IPL spend, as I just spoke in the commentary, we spent about Rs.22.7 crores in Q4 specifically in the month of March. This includes the proportionate share of the sponsorship as well as the spend towards media and digital adverts. So, as you would be aware, we ’ve won the bid for Rs.82 crores annual bid for associate sponsorship.

This what we are doing is we are spreading it across all the matches. So, there are about 74, 75 matches to be held in IPL this season, of which about 13 were held in the month of March. So, the proportionate share of that Rs.82 crores towards the sponsorship cost has been booked in the month of March along with the spends towards digital and media adverts , and the balance plus the spend towards digital and media adverts would be spent in the month of April, May and June across the entire season. That will be roughly in the range of about Rs.1.2 billion or Rs.120 crores.

Swarnabh Mukherjee: Sir, the remaining amount would be Rs.120 crores. So, nothing additional apart from the IPL?

Vineet Agrawal: On the IPL front, this will be the total spend and thereafter we will continue to spend on our brands as we do as part of our general spend.

Swarnabh Mukherjee: Sir, just to clarify one, in Slide # 9, you have given that for FY ’24, branding spend was around Rs.88 crores. So, that number for FY ’25, we can take Rs.120 crores. That will be a correct number?

Vineet Agrawal: No, Rs.120 crores only is in the first quarter. So, what you can do is you can reduce Rs.23 crores from Rs.88 crores and spread it over the balance, say, 10 months to understand what is the spend every month going forward in the future.

Swarnabh Mukherjee: So, understandably, sir, on this, the margin outcome of 1Q would be, I mean, lower compared to what your guided range is. For the full year, are we confident to remain in the guided range?

Vineet Agrawal: Yes. So, as I said, this elevated cost is going to be in Q1, but as we go t

hrough the
entire year, the margins would be in the range of the guided range and that 's where we always advise our analysts and investors to look at our business from a yearly basis and not on a quarter -on-quarter basis.
Dinesh Thakkar: Just to add over here, see, this branding cost and when we are acquiring more customer than what we acquired in previous quarter, it will appear there is an impact. As I always said, this is kind of an upfront cost. If you refer to Slide # 9, we are clearly showing that all vintage customers across five years have given us revenue. So, best way would be that till the time this phase of growth continues and we are hopeful it will continue for many more years, whenever in a quarter we acquire m ore than what we acquired in previous quarter, that will appear as a suppression of margin. But that is only upfronted cost which if at all you want to know, annual ised kind of an OPM that will help you to remove it for time being. And if you are taking it, you divide it by five years because you would have apportioned 12.5% of due kind of like cost that we have taken because lifetime value of a customer as shown in Slide # 9, it is five years and beyond. So, this all cost that we are taking upfronted in terms of acquiring more customer and getting more market share is making our business model more stronger.

Swarnabh Mukherjee: Sir, on the aspiration in terms of number of orders per day, if you could give some colour?
Dinesh Thakkar: As I said that till this time we are able to acquire more customers and we are able to get revenue from our existing customers. This number of orders will grow. Now, to give a number would be like getting into forward -looking statements.
Swarnabh Mukherjee: And if you could take my last question?
Amit Majumdar : Amit here, I 'll perhaps help you understand that slide. A couple of messages that we are giving out here. One is if you know the NSE headline active client that you usually get to see at the end of the month which NSE publishes, you will see that on an average Angel is about 27% to 28% active customers who are active on any given day in a rolling 12 -month period. So, that's the data that you see as a headline number. What we are trying to convey is that that is not the right way to look at the active customers. The right way to look at is how many unique customers are active over a longer period of time because not all cust omers become active in the year in which they are acquired. And they begin to test the market, they begin to test the platform, test the process, the journey, and then they slowly begin to get active. So, this slide that we are referring to actually shows that for FY '21 the cohort of customers that were acquired, close to 54 customers, 54% of them became active over the next four years. And we looked at that for the subsequent years cohort customers. In fact, in the subsequent year, close to 50% customers became active in the three years that that cohort existed. This implies that directionally it can be far more than 50% because all these customers become active over time. And that is the power of the platform that we are trying to convey so far as Angel is concerned. And in that context too, the other message we wanted to convey is even for customers who are doing pure futures and options, over time, after having understood the market well, begin to carry out long -term equity investment. And therefore, this slide actually shows almost all the F&O customers and there 's a very small portion of an F&O customer who have not gone into equity as an asset class, but an overwhelming majority of them eventually go into equities, build a portfolio and therefore stay c onsistent on the platform. Now, imagine these customers, even after doing F&O, because they have built an equity portfolio, one is, they have tested the fa

ct
that when they do long -term investment, mon eys grow, at the same time they 're now going to remain sticky on our platform when it comes to engaging with that customer, I hope Swarnabh that is clear to you.
Swarnabh Mukherjee: Just one point. So, the data shows that in both situations that the count for number of customers is only cash is higher than what it is for F&O. So, does that mean that people who are coming in near large part will actually only do cash and not F&O, am I getting it right?
Amit Majumdar : The journey here is that well , majority or at least some portion of our customers when they come on our platform, the first point of engagement could remain an F&O, but eventually they will also have equity. What this shows is F&O and equity. So, the blue

portion is actually F&O and equity. So, around close to about 25% or 30% of them are

F&O who are also doing equity and close to another about 40% of them are actually doing only equity. So, the point is, not everybody is doing F&O. People who are doing F&O are also doing cash, and people who are in cash are only doing cash.
Swarnabh Mukherjee: I will maybe take this offline to understand this a little better. There have been some news flows regarding regulators looking at the F&O space. This has come quite several times in the last one year. But any conversations you were having in terms of risk management of customers on the F&O side, if you could give some colo ur?
Dinesh Thakkar: Currently , if you see there is nothing concrete, whatever like discussion we are having with regulator that has been implemented and that is something like does not really concern us because their mostly focus is on not to lure a customer, not to kind of show wrong loss and profit statements and all that. I think that is quite old news now. There 's nothing new that I 've heard about.
Moderator: The next question is from the line of Sanketh God ha from Avendus Spark. Please go ahead.
Sanketh Godha: I am referring to Slide # 9 on the cohort analysis what you have given. See, if I do a simple math there, the revenue earned in that year where you acquired the client and do revenue per client in that particular year, then I see there is a structural decline in the revenue earned per new client what you have acquired means if I do that math that number is Rs.1,860 for FY '20, that number is Rs.700 for FY '24. So, just wanted to understand that incremental clients what you are adding, the marginal revenue they are bringing is meaningfully lower compared to what you are adding in FY '20. So, just wanted to understand that clie nt addition really matters from a revenue growth point of view because incrementally the revenue addition seems to be much lower for every client you had. That 's my first question. And the second question what I have is that with respect to QIP, Rs. 1,500 crores, you raised. Naturally, it will result in reduction in the working capital requirement. So, just wanted to understand how much borrowing costs will further come down in FY '25 going ahead with the fresh capital coming in? And lastly to Vineet, if I u nderstood it right, Rs.120 crores is what you will spend on IPL and that number will be a recurring number for next four years. That 's the way I need to look at it, right?
Dinesh Thakkar: So, let me answer the first one. See, on relative basis always when you acquire a new client from new territory or a new demography, always it takes time to optimize it. So, what we look at is not that okay, we want only customers who give like very high revenue and what we look at is what 's the cost to acquire new set of customers. And if that fits in our model where we say that whatever cost we take to acquire this customer would be able to give us an OPM of around 50% to 60%, we would lik e to go and expand. That is

how all digital players have expanded their market share. Traditional brokers were stuck with high ticket size. But we thought that we can go into new territories, acquire those customers if it is profitable, if unit wise econom y is favorable, we should

go and acquire those customers. So, if you look at demographic change which has happened across years , we are now acquiring customers from tier -3 and beyond. We are acquiring customers who are young , millennials and Gen Z and all that. So, these are new set of customers who are getting exposure to capital market. What we look at, if you look at our margins and all that, this is how we have expanded our market share and there is a stickiness of our customers whichever year we have acquired, t hey continue to be on our platform for next years, following years and we are able to cross - sell many products. So, right now it is too early to say what would be a lifetime value of a customer where we haven 't sold all the products to those customers. Wha t we look at is cost of acquisition and what would be lifetime value of a customer. With this cohort that we are acquiring also shows that lifetime value of a n customer would be around in the region of 7x. In digital model , I feel that up to the level of 5.5, 6x also we are profitable and we can maintain these margins. So, with that approach, every quarter we see what are the new kind of areas that we can get into. This process has been going on since last three, four years. So, we tried to get into new kin d of like channel, new kind of demography, new PIN codes and acquire customer. But what we see across years , they're able to give us a decent OPM. So, we would not look at relative basis, we look at absolute basis, what 's the cost, what 's the revenue.
Sanketh Godha: A follow -up on that, Dineshbhai. A small clarification. So, the number is Rs.700 per gross client today, so any number below which you believe that it is unviable to acquire more clients, maybe say Rs.400, Rs.500 -?
Dinesh Thakkar : When you see Rs.700, a ctually, whenever a year complete, client has not completed

12 months. Some clients we have acquired in the later quarter, some quarter we acquired in the previous quarter. If I look at 12 month steady state content revenue, there we don 't see any concern like big deterioration or big concern. Vineet, QIP and IPL, if you can take.

Vineet Agrawal: Sanketh , on the funds raised from QIP, we 've raised about Rs.1,500 crores and this will be deployed across the margins with the exchanges and to grow our MTF book. In terms of the finance cost, that is a subjectivity -based question because with the growth in the business volumes, the growth in finance cost will be t here. But I would tell you that it would be in that same range of what we have spent in the last quarter as a percentage of the gross revenue, it 's not going to be very different from that. But again, it depends on how we grow our client funding book and the volumes of the orders growth that we see for the current year. On the IPL cost, the commit -

Dinesh Thakkar: I would just like to add over here. Sanketh, this QIP was not to retire debt, it 's a growth capital. We can see a huge growth and we would like to deploy this capital for the growth of the business be it margin trading book or increasing orders and all that.

Vineet Agrawal: On the IPL, the committed cost for the next four years is about Rs.82.5 crores annual and beyond that, whatever we are going to spend on digital and media adverts is over and above that. For this year, you 're right, we have committed to spend almost like

Rs.143, Rs.145 crores over this entire IPL season including the media adverts and digital ads.

Sanketh Godha: One small clarification. Rs.120 crores is excluding Rs.22.7 crores you have already spent in

fourth quarter, right? So, for the full year, cost will be Rs.120 crores?

Vineet Agrawal: No, the cost of this entire IPL sponsorship and related advert spends is Rs.143 crores as we see it today, of which Rs.23 crores has been accounted for in Q4 and about Rs.120 crores will be accounted for in the current quarter.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Firstly, sir, like the spend on IPL now we 've already have almost seen one month of IPL. How has been the impact of the spend that we are doing on this -- Is the experience better than what we had thought or what we were doing without IPL, how has been the experience so far? Second, in fact, just following up on Sanketh 's question earlier, so if we look at that run rate has come off from Rs.1,860 to Rs.700 and even in the second year when we look at it, it 's come down from Rs.3,400 to Rs.1,500, for third year again, it's down from Rs.3,000 to Rs.1,600. That has been the declining trend. Whether is this somethin g where possibly these are the numbers that we should look at or is there a scope for this to further go down? So, the point that I am making is the customers that we would have acquired in FY '24 about 8.8 million, they have given around Rs.615 crores of revenues, so that is Rs.700. So, what would be the number of trades that they would have given, whether that is a number that is kind of achievable or possibly further more downside can be looked at on this number? And lastly, just a clarification if you can give on the presentation Slide # 10, What do you mean by when you say realized equity gain of Rs.5.5 billion and unrealized equity gain of Rs.18 billion, could you just clarify this for FY '22?

Dinesh Thakkar: Prayesh Jain, thank you for your compliment first of all. And now coming on IPL spend, although it is one month, but like broadly we are looking at increasing visibility of Angel One across Tier -3 and beyond and IPL is the best media to really see a jump up in terms of spontaneous recall or maybe people recollecting Angel One as a fintech player . So, the benefit of this would be a bit long -term, I would say this will take some time for this visibility to kick in and result in some good numbers. But what we are seeing is that now when we are running our digital campaign and all that, acceptability and kind of like recognition is very high, and we believe that this will result in some business numbers. And for us, it is important to be visible across all tiers, because mostly customers that we are getting is from Tier -3 and beyond and cricket is a very popular kind of sport across all age group. So, initial numbers are showing tremendous kind a like visibility benefit that we have got. So, we believe this will boil down to business numbers. So, that is the main objective that we went for IPL to get a good kind a like spontaneous recall and top of the mind recall from audience was looking at digital stock broking. In digital space, what happens? There is a space for three players. So, we want to see when a prospective customer is thinking about stock broking, does he r ecall our name on the top? That means you will get a market share of 35% to 40%. He or she has to recall that name in at least top three. So, that lead indicators which will help us that okay, when this population of people who are having PAN account, internet trading, internet account and all that which is around 50 crores to 60 crores. When they think about stock broking, are they thinking abo ut Angel One ? If the answer is yes, of this huge revenue pie that we are going to see in next five, six years, by defaul t there 's a lead indicator to suggest that like one out of three is recalling Angel One name. So, that's the purpose of this IPL and branding. Now coming to FY'24, the way you are calcula

ting, we acquired 8.8 million, but the revenue of the se customers did not come for all 12 months. So, if you see our most of the acquisition has happened in December, Jan and Feb. So, they haven 't contributed for a total of 12 months. The way we look at is that th ese are lead kind of like parameters for our data science team works that if you are getting this kind of like revenue in first month, second month, so they extrapolate what kind of in like lifetime value or revenue will get when they complete 12 -months. And we have been perfect modeling that to the tune of like error of 1.5%, 2%. So, the clients that we have acquired clearly show that they are profitable, and they will fall within that bracket of breakeven of six to seven months. They will fall in that bracket where you would be able to get an OPM of around 50%. So, that is our main objective, to be very focused on business metrics. So if a new pocket opens up and we see there is a huge potential in terms of increasing lif etime value and our data science team is able to extrapolate that trend. So, we try to spend early, and we have been doing it since the last three, four years. That 's the secret sauce that we were able to be successful in digital model. Now, we have perfected that modeling to an extent , if we acquire a customer, we are able to predict what kind of revenue we will get in the next 12-months. So, then we work out if it fits in our OPM and breakeven period and all that, we go aggressive and acquire that market share. On Slide # 10, Amit, would you like to take it forward on that?

Amit Majumdar : So, Prayesh, on the Slide # 10, what we mean by realized gain is these are customers who have traded in equity or at least bought an equity and then sold in the course of the last four years. So, for customers who were acquired in FY '21 in the four-year period that they have been in existence on our platform, some of them would have actually sold their portfolio in the course of four years and some have continued to hold the portfolio as on 31st March 2024. So, the realized equity gain is that part of the gain that was bought and sold in the course of the four years. The unrealized gain is those that are getting held, continue to be held as on FY '24 and that value of the portfolio is actually worth Rs.66 billion and a gain of Rs.24 billion of that Rs.66 billion, the Rs.66 billion includes the gain of Rs.24 billion.

Prayesh Jain: But sir, when you say Rs.7.4 billion, does that include only cash portfolio churn or is this also includes F&O because these are the clients who are doing both F&O and cash, right, so would that mean that they would have also earned some profits on F&O and combined or possible in a combination of loss in F&O and gains in cash, is that the right way to think about it?

Amit Majumdar : No, Prayesh. So, the purpose of that is to say that there is a realized equity gain. It is not about F&O. It 's pure equity gain. The intention here is to say that customers who are doing F&O are also doing equity and they are experiencing gain. That 's the purpose of the slide.

Dinesh Thakkar: There is a concern in the market that people just do F&O. What we want to say is that this young population is always attracted towards quick money. But not that once they 're unable to achieve something successful in F&O, they stop investing. They move towards investment. And once you move towards investment and you see some kind of like profit. This would be sticky on our platform because across all that kind of like life cycle when this person is thinking about saving instead of going to a bank and putting money at 6%, this person has seen the benefit of equity appreciation. This person will remain and put all that lifetime savings in equity market, if they learn how to really deal with mutual fund , equit

y, portfolios and all that. So, we are seeing early signs where we are seeing customers who started their journey as traders are also moving towards equity and creating a portfolio.

Prayesh Jain: Compliment on the amount of data you are disclosing. This is helping us to understand the business granularly. Thank you for sharing this information.

Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : On the corporate structure changes that we announced I think one or two quarters back, is there any update in the regulatory approval on the corporate structure changes that we are planning to do?

Vineet Agrawal: No, we are still engaging with the regulator in terms of making them understand the entire structure. So, no update as of now.

Nidhesh: What is the guidance for EBITDA margin -- are you saying that we will be in the guided range of 45% to 50% for full year FY ’25 even after accounting for IPL cost?

Dinesh Thakkar: As I said, if you look at like increased cost in acquisition and cost that we take in IPL, it has a huge benefit. But if we stagger it for 12 months, we would be within this range of 45% to 50% OPM and only impact would be other businesses that we are building that can have an impact of around 1.5%, 2%. Vineet, would you like to elaborate that?

Vineet Agrawal: So, what we envisage is that we will be in that range of about 45%, 47% for the next year, but there will be an impact of about 1.5% on the new businesses that we are building across AMC and wealth. So, you can take the average margin profile to be in the range of about 43% to 45% for the next year.

Nidhesh: Lastly, the new businesses that we are incubating, how do you think about from a medium term perspective, let ’s say three, five years, what sort of revenue contribution all these new excluding broking business can contribute to our P&L?

Dinesh Thakkar: See, we see huge kind of synergy and this all business that we are building , complements to what we are doing until now. So, when we are talking about acquiring customers as we look at the prospect, if we look at that our services should be available across all segments, be it mass affluent, HNI, UHNI and all that. So, it will take its own time for us to build all that businesses to a level where we say it will have a contribution in terms of revenue, profits and all that. But all said and done, we are seeing a huge opportunity in both the businesses, particularly Wealth Management where we have got very senior kind of like co -founders who know their business and we are excellent at in terms of technology and all that, we see a great future. But for this one or two years I think broking is doing excellently well and it makes sense for us to invest in future trends.

Nidhesh: But any number you want to put this out, x -percentage of revenue may come from the new businesses?

Dinesh Thakkar: As we said that in terms of expenses, this will have an impact of around say 1.5% on the OPM margin. But in terms of building a business, too early right now, Srikant h, would you like to give a brief on this Wealth Management .

Srikanth Subramanian : As Dinesh mentioned, very early stage, I think the teams have just come on board about a month, month and a half back. We do have aspirations to create two large verticals. One is to cater to the ultra-high net worth or in other words $5 million plus which is something that the team has almost two decades of experience in terms of catering to. We think that there are huge opportunities available there in terms of cost overheads that can be brought down using technolog y and that is one of the reasons why we are super excited being part of this family which is very efficiently used technology. And the second which I think is where a lot of interest also lies for all of us to create is the affluent or t

he emerging HNI as we call where there is a lot of width available for us to take all our trade and brand that we have taken so far for the ultra-rich to the next level of emerging rich in India. And I think that reach and width is not possible if we don ’t marry the right domain and right tech, and that is how we are trying to build. As far as some guidance is concerned, very early days. I think in some of the other calls that we will interact, we will have a little more guidance. We are also awaiting the necessary regulatory approvals to come in place before we hit the rubber on the road. So, we will keep everyone posted.

Moderator: We will take the next question from the line of Jayant K harote from Jefferies. Please go ahead.

Jayant Kharote : I have two questions. First is on the F&O broader market in general wanted your view sir. We ’ve seen a lot of HF Ts are sort of increasing, if you track the NSE market pulse for the share of co -location base d trades is now almost 60 %-65% in the equity derivative segment. We have seen the low latency prop traders were making profits, but retail still got to keep some , but with the HFT sort of increasing and the outlook is much, much larger players coming in the market in the next one or two years, do you think the retail profit pool can shrink meaningfully and then spread on these five products can come off meaningfully and it will have of course a knock -on effect on overall retail volumes. So, would love to hear how is your view of these two problems specifically because NSE is also adding the data center in New Bombay. So, that will open up much more colocation tracks. There is a regulatory sort of arbitrage between having access to those tracks for retail. So, just wanted you view on this one?

Dinesh Thakkar: See, when we look at F&O, there are two sides of a trade when it 's executed, one side is retail -retail, core retail. And the second side is HNI, HFT and FIIs who are putting that trade. So, when we are talking about retail, second leg is executed by these players what you 're talking about HFT or co -location or kind of like FIIs. So, retail is not impacted. You see, the market share of retail almost it has remained constant, that does not fluctuate in a big way, would be in the region of 44% to 45%. So, we take a part of the market share from this segment. We are not into HFT, we are not into colocation business, we are not into kind of unlike arbitrage desk. So, whatever volume you are seeing it is purely because of retail participation. So, what we are seeing is that retail in India is really taking lots of interest. They want to participate in the capital market. And when the y are participating, that is a segment that we are aiming at, and we are saying that we are able to increase market share. But if you look at retail that what is needed to come in this market? We are saying you need an internet connection, smartphone or any other device and you should have a PAN account and reasonab le saving where you can start your journey, investing in equity market. It can be as low as Rs.500, Rs.1,000, Rs.2,000 start your SIP in Mutual Fund . Slowly as you progress in your life, they try out different, different segments, F&O, cash, commodity and all that. So, we are seeing a huge opportunity, but the potential is huge. Now, when a larger player comes in this market, they enable larger market, they enable wider market to come in and participate. And we as I said that being recognized as an fintech player where we have a kind of an incremental kind of like market share on this incremental acquisition that we do , to the tune of 23%, 24% we are beneficial. Because our model is very different. The customer on our platform slowly evolves to a higher ticket size and moves towards kind of like area where he wants to invest in equity, Mutual Fund or

maybe later
on go towards Wealth Management product. So, we feel that the introduction of larger player is going to help expand this market. When we have such a big population, who have reasonable saving, what 's the reason they 're not coming to equity market? Because of lack of awareness, because they 're concerned about lots of things which must have happened in the past. So, we always feel that a new player coming in with a big budget is going to expand this market and that is going to help us increase our market share.

Jayant Kharote: Actually, my question was more about product profitability because we have limited products in the F&O market, right, five products. Because I was more worried that the product profitability of the spreads will become so thin that for the retail player basically does this lead to fatigue?

Dinesh Thakkar: No, currently we are not seeing any kind of price pressure or any fatigue in terms of the product that we are offering. Retail is just like playing on the direction of the market. So,

they buy, call or sell the thing, buy, put, beyond that their activity is limited. So, what we do is that we try to design certain kind of like product journeys where they 're able to understand this better. When it comes to pricing, I don 't think there 's any price pressure. In fact, there 's a concern like opportunity for us, even charge for cash segment. But right now, we are looking at kind of an revenue that we get from customers that are onboarded. It 's quite decent enough for us to justify our costs. We are not charging on cash segment. But if we want, we have a huge volume on the cash segment. If we want, we can charge it also. Few of the competition in fact are charging on cash segment. But we are saying there 's a huge cash like revenue that is generated to other segment, we are okay keeping that at a zero price.

Jayant Kharote: Second question is if you can explain the journey on the bank guarantee replacement, how has the -

Dinesh Thakkar: I am unable to hear you.

Jayant Kharote: If you could explain what is your average daily clearing margin with the clearing corporation, what 's the mix of bank guarantees in that, how much has been replaced and how is the journey over the next few quarters?

Dinesh Thakkar: As we said that this QIP was raised for growth, it was not for the replacement of any instrument, but Vineet would be the right person to take this question.
Vineet Agrawal: Our current bank guarantee deployment across the clearing corporations is about Rs.2,800 crores. And apart from that, we also avail intraday facilities for the time differences for the settlement with the exchanges.
Jayant Kharote: These Rs.2,800 crores is fully owned funded now?
Vineet Agrawal: Yes. Since September of 2023, all bank guarantees that we have been deploying in the business are own funded.
Jayant Kharote: This panel that the government is setting up with RBI, SEBI, there is some concern that the bank guarantee limits may be sort of difficult to get from banks. Anything you are hearing on our banks being a little more cautious in extending limit?
Vineet Agrawal: No, we did not face any kind of difficulty in availing bank guarantees.
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Just wanted to understand, We've seen on the AMC side, the peers go ahead, I mean, I understand it 's the approval side, were they faster in filing the approvals and that 's why they are ahead, just wanted to understand because we 've been leading so far in everything.

Amit Majumdar : We will take it. Hemen – our CEO is here.
Pallavi Deshpande: On the AMC side, I understand you mentioned some approvals pending, but we 've seen our peers actually launch

ed that ahead of us. So, wondering were we late in filing the approvals, are we behind them in filing them or how exactly that has happened?
Hemen Bhatia: On the AMC front, we are currently undergoing the process of getting the approval. While there is no regulatory TAT on when will get the approval, I can just say you that we are progressing well on that front. With reference to competition, I would not like to comment on any particular player but let me tell you as compared to the general in the industry trend of getting the approval, we are very much in line with where we are progressing currently, so nothing much to disclose on that front.
Pallavi Deshpande: You mentioned about the unrealized gain in the slide about the client making. Is that post the brokerage or pre -brokerage, equity gain of Rs.5.5 billion for the F&O client?
Amit Majumdar : Pallavi, this is the net realized gain; this is after all expenses for the customer. So, the customer has made a net gain on his portfolio. Either he has realized it by selling off and therefore it is called realized gain. And if he has not sold it and holding it, it is called unrealized gain. So, it is the gain to the customer after setting off of the cost of acquisition of those assets.
Pallavi Deshpande: After the brokerage expenses?
Amit Majumdar : Yes, these are all post -charges.
Pallavi Deshpande: So, on the advertising spend, we 've seen a significant ramp up even excluding the IPL this year triple the ad spend excluding IPL. So, could there be a regulatory backlash given this very high thing on the IPL side, I mean?
Dinesh Thakkar : Pallavi, we were always below average spending on branding and all that. If you look at like the last few quarters, it has been almost like been constant except for we getting into IPL sponsorship.
Pallavi Deshpande: Now, just given how much concern was there by SEBI, I mean like you said that there 's nothing much they can do, but given their concerns -?
Dinesh Thakkar : There is no restriction like that.
Moderator: The next question is from the line of Di xit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.
Dixit Doshi : First question is on Page #9 presentation where you have given the vintage clients. So, you have given the margins excluding the branding spend. It 's more or less flat over the last three years. Can you give a margin excluding the branding and the client acquisition cost, just to understand that once the vintage client's revenue comes, the vintage

client's margin is how it increases over the years? And secondly, on Wealth Management , you have mentioned that the cost will increase next year. So, will our business be similar to the other Wealth Management companies where we will be having a large pool of RMs and the physical bit is more of an offline business or being a technology player, we will be doing something differently on the Wealth Management side also and leverage our technology and also our existing 22 million customer base. And third, What will be the ESOP cost next year?

Dinesh Thakkar: We don 't really disclose the sales cost, but I think we have been incurring this high sales cost since many quarters that will give you a great sense in terms of what our OPM has maintained across all these quarters, maybe there is a quarter when we ramp up our sales, there is some kind of depression, but as revenue kicks in, we have seen that margin will catch up. Branding we gave separately because the new exercise we are doing , so, for all analysts to understand that, okay, what does this cost , so, that you all are aware that how this would be shaping up in maybe three, four quarters. So, vintage wise client already we had given a kind of like what kind of like revenue we generate. So, you see there is kind of like very less drop in customers we acquired even pre - F

Y'20, FY'21 and FY '20 & '21. So, if you take the sales cost, as you say, this chart clearly shows that there is a lifetime value of five years and beyond. Up to five years already, you can see the data. So, whatever sales cost we do, it has to be apportion ed for five years. But exact number we do not reveal, so I would not be able to help you on that. On the Wealth Management side, I will ask Srikanth to take it over, but on ESOP, Vineet can give you more clarity.

Vineet Agrawal: So, for the next financial year, our budget for the ESOP cost is about Rs.100 crores, of which about Rs.50, Rs.52 crores is the carry forward cost of the ESOPs that have been granted over the last two or three years and about Rs.50 crores will be the cost which will be incurred towards the new grants that we are going to do in this year.

Dinesh Thakkar: Srikanth, if you can take model and differentiator ?

Srikanth Subramanian : I think it 's a fair question, but in some sense your question also alluded to the answer, that is yes. We envisage the deep integration between domain and tech. I think at least we believe in the next five and 10 years the right to win in the ever-expanding Wealth Management landscape will be by people who can embrace technology in a way where you can take technology to much wider space. I think Wealth Management in India so far has been more about going deep. We at least in Angel One Wealth believe that it will now have to be played both in terms of depth, which is where high quality domain knowledge comes in, and in terms of width, which is where technology comes. So, for example , over the next few years many products that could be available in a fractional manner. We 've already seen white papers and circulars around fractional REITS . We are already seeing similar fractionalization across products. So, while the team has a deep insight on what the ultra-high net worth clients require and we w ill continue to service them. We will use technology for that space to bring opex down because one of the things that we see is, most of the cost models for current Wealth Management

firms are built keeping in mind revenue models which have completely changed. So, revenue models have over periods of time being disintermediated, have moved from upfront to a very back -ended kind of revenue model. So, we believe that usage of the right technology can enhance productivity. But we also think that large investors may not be 100% ready to fully consume everything without high quality RM. So, we envisage the right mix of an omnichannel kind of a requirement for a client and the next customer se gment, which is the HNI and the affluent , we will be present in both, that 's the plan in terms of having good quality RM, dispensing good quality wealth services and also using the technology leverage with the parent partner here Angel One , create interfaces across app and website which we will be able to give customer the right services. So, the idea is the right mix of domain and tech to be able to capture both depth and width which would be there.

Moderator: The next question is from the line of Aditya Sharma from Aditya Birla AMC. Please go ahead.

Aditya Sharma: The MTF book has declined quarter -on-quarter from Rs.1,980 -odd crores to Rs.1,770 crores while the market has been buoyant, especially the cash market has been quite buoyant last quarter. If you could just help us understand, I know it 's a balance sheet item, probably it was reflecting on the day 31st March, but I just wanted to understand the reasons for the decline?

Dinesh Thakkar: So, MTF book was also rising proportionate to our customer base and volumes that we did in terms of number of orders . But by Feb, we realize that it is going to a point where we need more capital. That is where we had put restrictions on customer availing this margin trai ling. So, that's the reason we did QIP and all that. So, that we are well capitalized to ride this trend kind of like growth in this MTF book. So, we took a pause. Now, we have restored back to normal. You will see a growth in MTF going forward .

Aditya Sharma: Any aspirations from your side in next two years, can we do around Rs.3,000 crores of lending in terms of MTF by the end of FY '26, is that a reasonable assumption to make?

Dinesh Thakkar: Yes, it is a reasonable assumption. So, like already, as I said that by Feb around Rs.2,100, Rs.2,200 crores of MTF. So, to get to that Rs.3,000 crores is like possible, it is not a difficult target, aspirational target will be higher than that.

Aditya Sharma: And also, sir, in terms of margins, when you have provided the breakup, so there has been significant improvement in terms of the margins from the AP business, so around 62%-odd. So, just wanted to understand, what 's the reason behind it and is it something structural or is it just for the quarter?

Dinesh Thakkar: No, no, it is structural. I think I would ask Nishant to give a brief on this AP business.

Nishant Jain: So, what has happened is that we were essentially having an omnichannel play whereby a lot of engagement with our existing sub -brokers was through digital means and we were also last year largely not acquiring new sub -brokers. So, any expense on

account of sales would not have happened, and therefore what you 're seeing is a slightly, I would say exaggerated version of what the usual margins would look like. Going forward as we kind of start onboarding new sub -brokers and we start incurring some of those costs, plus as we unlock new regions, in particular, rest of India where the exist ing presence or the existing contribution to the revenue is not that strong , I think some of these costs would also come into play and therefore the margin that you 're referring to would kind of sober down a bit, but yes, overall story is very robust, and we would continue to kind of register the similar momentum going forward that you 've seen in last year.

Aditya Sharma: Just a follow up on this. So, how are we progressing in terms of the AP addition, if you could share some bit of color on that, that would be helpful?

Nishant Jain: So, there has been a very, very strong interest ever since that we restarted that process. However, we have been a bit choicefull in terms of the kind of sub -partners that we would like to engage with. We have kind of enhanced some of those screening parameters and ensuring that people who are coming onboard are coming onboard with a certain persona and therefore the idea is that go ing forward we would like to onboard higher quality sub-brokers who can be kind of contributing meaningfully to the client addition and be a long -term partner along with us.

Moderator: The next question is from the line of Ar avind R from Sundaram alternates. Please go ahead.

Aravind R : What is our aspiration in terms of client addition and what is our aspiration in terms of improving that to make the client active, the client is becoming active usually in five years and now come down reasonably , is there any further improvement possible there? And what are our aspirations in lending and deposits business that we have mentioned either in terms of penetration among existing clients? And are there any aspiration in terms of disbursements by FY '25 or '26? And another question is considering the IPL association for five years, will this expense be recover for next five years?

Dinesh Thakkar: So, our aspirations on this client addition, as we always say, being a digital player, we would aim to get a market share of around , in new acquisition , to the tune of around 35%. That is where we feel that a digital player should position themselves. So, there 's an aspiration kind of like we have that w

hatever new client come to market, we should be aspiring to get to that market share. Progressively, we are inching towards higher number every quarter and all that. So, that is a positive thing. In terms of offering customer multiple service, we believe time has come that we have to leverage our Super App platform where we offer multiple services to customer to increase their lifetime value and engagement on our platform. So, because of that, we will see lots of active customers. As you refer to Slide # 10, we have clearly shown that when we acquire a customer across here they become more active on our platform. So, Amit, if you can take that point, that would be helpful. On lending side, Saurabh can take that

platform. I 'll just complete IPL and then hand it over to Amit and Saurabh. On IPL, it is not about recovering cost, it is about, as I said, that we have an aspiration to get a market share of new acquisition to 35%. And as I said in digital business lead indicators are that what a kind of recall people have for your brand. We do lots of surveys and exercise to see our spontaneous recall for our brand and top of the brand recall when we are asking them which is the broking firm you 're going to open. So, there should be Angel One name in that. That 's the lead indicator that we would be able to reach that market share of 35%. So, this IPL is more about visibility, about that spontaneous recall that people should have, if they 're thinking about stock broking, Angel One should come in their mind.

Amit Majumdar: Aravind, so as I understand, I guess you also want to understand how the customers will evolve over time, right? If that is the question, then I mean this slide actually says that in about four years ' time, I mean we are comparing this to or we are actually kind of veering the discussion towards the active customers and we are saying that notwithstanding what NSE reports as the total number of customers who are active in a given year. What we are seeing is that when we see a certain cohort of customers that we acquire in a certain year, how many unique customers of them actually become active over a period of time, and therefore this data actually represents that, that in FY'21, whatever customers we acquired, in this case 2.4 million, 54% of them became active over a period of four years. So, when we now revisit this data in the following year, I am sure we will see a larger number there and similar is the behavior of the subsequent cohort of customers that we acquired. So, I hope that address es your question, Arvind.

Aravind R: Yes, sir.

Amit Majumdar: I'll give this to Saurabh to address on the lending and deposits aspirations.

Saurabh Agarwal: Hi, Ar avind. I think your question on lending is what is our aspiration in the next couple of years, right?

Aravind R: Yes, sir.

Saurabh Agarwal: Lending is largely the biggest area in Financial Services in India, and we also have very high aspirations there. At the moment we are in beta testing phase of the lending product and the experience for our customers. And as soon as we are out of it, we will start to aggressively build this vertical in the next two to three years, you should see a very large lending distribution play from our side. In terms of deposits also, I think most likely this quarter or early next quarter we should b e out with our deposit offering, where we will have tied up with a few banks and NBFCs to offer their corporate bonds and FDs.

Aravind R: Any numbers you can give in terms of penetration you would like to see in few years or like the quantum of this that you would like to see through?

Dinesh Thakkar: So, this question is pertaining to overall penetration, right?

Aravind R: Yes, especially with respect to new business , mining the existing clients.

Sau

rabh Agarwal: I think as of now we are still in the early stages of the business, right. The aspiration is quite large, but too early to give out a number right now in terms of the penetration that we would hit.

Aravind R: Just one clarification. I understand the IPL association. I understand the importance of it. I am just trying to understand like will this expense continue for like FY '26, FY '27 also?

Dinesh Thakkar: See, Ar avind, if you look at IPL spend as our revenue will increase, so this spend would be very small amount compared to what we are spending today. So, we are spending this so that we are able to gain market share. So, when we see our growth rate and if this organiz ation becomes 3x or what we are in five years , this IPL spend would be quite small and insignificant.

Moderator: Ladies and gentlemen, due to time constraints, that would be the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, sir.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we were able to answer your queries satisfactorily. Should you require any assistance, please feel free to contact Hitul Gutka, Head of Investor Relations or SGA o ur IR Advisors. Good day.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Angel One Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Apr 2024

Angel One Limited
Q4 FY'24 Earnings Conference Call
April 18, 2024

MANAGEMENT :
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Agrawal Amit
Majumdar Ravish
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Raiturkar Ankit
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Technology
Officer Chief Technology
Officer
Chief Product
Officer

Nishant
Jain Prabhakar
Tiwari Ketan
Shah Deepak
Chandani Anuprita
Daga Meenal
Maheshwari
Shah
Chief Business
Officer – Assisted
Business Chief Growth
Officer
Chief Strategy
Officer
Chief Data
Officer
Group Chief
Information &
Security Officer Group General
Counsel

Dr. Pravin
Bathe Subhash
Menon Saurabh
Agarwal Devender
Kumar Bhavin
Parekh Hemen Bhatia
Chief Legal &
Compliance
Officer Chief Human
Resources
Officer Chief of New
Business Head of Online
Revenues Head of
Operations, Risk
& Surveillance CEO – Asset
Management

Srikanth
Subramanian Hitul
Gutka
Co-founder –
Angel One
Wealth Head of Investor
Relations

Moderator: Ladies and gentlemen, good day and welcome to Angel One Limited Q4 FY '24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Hitul Gutka from Angel One limited. Thank you, and over to you, sir.
Hitul Gutka: Good morning and welcome everyone. Thank you for joining us today to discuss Angel One's Q4 FY '24 financial and business performance . The recording of today 's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results , investor presentation and press release are also available on the website.
For today 's call, Angel One is represented by Dinesh Thakkar , Chairman and Managing Director ; Vineet Agrawal – Chief Financial Officer. We also have the senior leadership team of Angel One , along with SGA, our IR consultants.
The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a question and answer session . Please note that there may be certain forward -looking statements made during the call which must be viewed in aggregate with the risks that the company faces.
With this brief introduction, I now invite Dinesh Thakkar for his opening remark s.
Dinesh Thakkar: Thank you, Hitul. Good morning, everyone.
In the financial technology industry where innovation is the currency of progress, Angel One has stood as a beacon of excellence for three decades. Today, as we gather virtually here , I am filled with gratitude for the journey we have traversed , milestones we have achieved, the trust we have garnered among our clients. Our legacy is one of relentless pursuit of excellence, innovation and trust. Through this pursuit, we have established ourselves as a formidable player in India 's fintech landscape, where our name resonates as a symbol of reliability and innovation. Our digital outreach has enabled clients located beyond metros and tier -one cities to access and consume capital market products. This democratization of financial services has been one of our pillars of growth and we continue to deepen our roots into untapped opportunities. As we have reinvested in expanding our client base and offering them a more robust

platform, we have witnessed very strong growth. I am delighted to share that our average daily order have grown 86% between Q1 and Q4 of FY'24 , in that process, achieving the peak orders per day of more than 10 million. This growth is testament to the resonance of our vision and the effectiveness of our performance.
With strong growth comes the responsibility to ensure adequate capitalization to sustain and fuel our expansion. In this spirit, we recently completed a capital raise of Rs.15 billion which will be primarily used for margin monies with stock exchange and t he growth of our MTF book. These efforts underscore s our commitment to prudently manage our resources.

We are extremely thrilled and humbled by the overwhelming response our fundraise received from both domestic and foreign investors as a testament to the confidence they have in our vision and strategy. To all our investors, both existing and ne

w, I extend
my heartfelt gratitude for your invaluable support and belief in our journey.
Turning to our operational performance , I am delighted to share with you that the Angel has once again delivered a historic performance during the quarter. We have experienced our highest ever quarterly gross acquisition, expanding our client base to new high of over 22 million. Furthermore, our cli ent executed over 470 million orders during the quarter. This client surge , coupled with robust activity witnessed on our platform across our product and service offering, reconfirm the resilience and the scalabi lity of our systems.
At the heart of our growth story, lies an unwavering commitment to client centricity . This ethos has guided us through our digital transformation journeys, enabling us to build a solid roster of clients who not only transact with us but also advocate for us. Each cohort acquired has consistently given us stable revenue every year. Our vintage clients too , who have been with us for more than five years, continue to contribute very healthy revenues even today. With higher client acquisition year -over-year, their revenue contribution is consistent like the previously acquired cohort. The stability a nd profitability exhibited by each cohort and the continuous influx of new clients serves as a bedrock for our future growth.
Our digital model not only enables us to penetrate deeper into market but also fosters long-term relationship with the younger demography , driving value creation and client longevity . Through this digital engagement, clients from every acquired year tend to become active and transact in one or more segment over time. For instance, about 54% of clients acquired in FY'21 became active over the next four years and continue to engage on our platform across multiple segments. It is heartening to note that even i n respect of clients who commenced their journey as a trader, an overwhelming majority of them eventually build long -term equity portfolio, thus realizing the virtues of investing in equity as an asset class. This journey of value enhancement from novice t rader to mature investor is extremely encouraging and defines client longevity on our platform, thus ensuring sustained growth in the lifetime value of the customer. It also motivates

us to offer our clients other value -added services and partner with them in their quest for wealth creation.
As we chart the course for the future, our focus remains steadfast to enhance client experience on our platform through superior engagement journeys and product enhancement to create value at every touch point. We continued our focus on further fine tuning our KYC journey, which is the first point of client interaction with our systems. We undertook development on the Super App with the rollout of dedicated sections for option strategies, allowing traders to disc over and execute predefined and custom strategies easily. We also release d a dedicated option expiry section which simplifies trading option on expiry days. To encourage creating long -term investing behavior, we enhanced journey for the cash segment as we introduce stock w idget featuring a list of popular stocks, most -traded stocks on the homepage, a predefined watch list segmented to some predefined personas .
Dedicated to revolutionise client engagement and experience, our assisted business has been building a dynamic array of products. As a part of development, we are transforming the NXT application, a universal platform for all our channel partners. Key development s currently being carried out include intuitive and intelligent features, empowering our channel partners for better lead generation and management. With clear call to action button and high degree of personalization, the platform acts as a personalized com munication engine for our channel partners.
In o

ur Mutual Fund journey, client can now customize SIP amount and da tes, compare up to three Mutual Funds across all available parameters and track portfolio growth against indices. These innovations are driving significant growth in SIP adoption, reinforcing our position as a second largest player in incremental registered SI P. This underscores the effectiveness of our Super App strategy and the value it delivers to our clients. Last quarter alone, we registered nearly 1.4 million unique SIP, showcasing our commitment to guiding clients on their long -term investing journey and enhancing engagement on our platform.

Efforts continued during the quarter to seamlessly integrate credit and fixed income product into our platform, which is currently undergoing beta testing with select clients. Having crafted the MVP for this offering and initiating rigorous testing to ensu re reliability and effectiveness, we expect to scale up the operation over the next few quarters.
On the AMC front, we have onboarded the core leadership team who have been working to get the final approval from the regulator for the swift launch.
With respect to our Wealth Management foray, I am happy to introduce to you the team led by Srikanth Subramanian as the co -founders of our Wealth Management business. Srikanth has extensive experience at Kotak Mahindra Bank in life insurance, private

bank including global wealth ma nagement and investment advisory and more prominently in the Wel thTech initiatives at Kotak Cherry.
The co -founders offer decade of combined deep domain expertise across the function of wealth business and demonstrate impeccable skills to scale the wealth business with the sharp focus on tech -led models. While we will target the fast -growing segment of UHNI and HNI, we endure to progressively democratize this offering to the underrepresented segment in retail through differentiated digital offerings.
During the quarter, we further solidified our management bandwidth with the onboarding of Meenal Maheshwari Shah as our Group General Counsel. With a remarkable career spanning over 14 -years, Meenal's expertise extends to working on diverse legal transacti on, navigating complex legal landscape and providing insightful counsel on legal, policy and regulatory matters. Prior to joining Angel One, Meenal served as a group legal director and data protection officer at LemmaTree PTE Limited, a subsidiary of TEMAS EK, led the legal counsel function at Essar and Times of India.
We have secured the associate partner sponsorship for the coveted India Premier League (IPL) for five years starting in 2024. This sponsorship promises us extensive brand visibility , through on -ground digital and televised media, allowing us to engage with wider audience, particularly in tier -2 and tier -3 cities and beyond.
Our investments in Q4 FY'24 reflects our proactive stance in expanding our team, client base and technological capabilities to continuously prime our client experience. While these investments may impact short -term margins, they are crucial to our long -term growth and profitability.
Let me now take you through some of our operational highlights . We onboarded about 2.9 million clients within a quarter, stacking up the total client base of 22.2 million clients. This serves as a testament to our commitment to operational excellence. Robust client activity drew us 35% sequential increase in total executed orders for the quarter. The ADTO on our platform continued its uptrend, growing by 23% quarter -on-quarter to nearly Rs.44 trillion.
Looking ahead, we anticipate sustained growth, requiring increased working capital deployment. Consequently, the Board has decided to defer the dividend payout for the next few quarters to conserve resources, optimize our balance sheet and support our grow th trajectory.
Now, Vineet will walk you through our

financial performance before we open the floor
to your questions.
Vineet Agrawal: Thank you, Dineshbhai. Good morning, everyone.
As highlighted by Dineshbhai, Q4 of FY24 has been a very strong operational quarter for us as we achieved our historic best performance yet again with average daily orders

growing by 32.3% sequentially to 7.73 million, taking our aggregate order count higher by 34.5% sequentially to 471 million in Q4 of FY '24.
We clocked our highest ever quarterly gross total revenue at Rs.13.6 billion, registering a 28% quarter -on-quarter growth. Gross broking revenue grew by 30% quarter -on-quarter to Rs.9.2 billion. Gross broking revenues accounted for 68% of our gross total revenues. Within this F&O continues to drive the gross broking revenue contributing 85% in Q4 of FY '24, while the share of cash and commodity segments remain stable at 11% and 4% respectively. Since the majority of our clients are part of our direct busines s, their share in the net broking revenue stood at approximately 77% while the balance 23% was contributed by clients acquired through our assisted business.
Our volumes in the cash delivery segment continue to improve. Higher activity in this

segment is an important lever for the growth of our client funding book, which grew by 9.1% sequentially to average at Rs.20.3 billion for the quarter. This led to a corresponding growth in the interest we earned on this book. The interest earned on client funding, along with the interest earned on deposits with exchanges, led to a 16.6% sequential growth in our total interes t income to Rs.2.5 billion, thus accounting for about 18% of the total gross revenues for the quarter.

The ancillary transaction income , linked to the turnover clients do on our platform , grew by 34.7% quarter -on-quarter to approximately Rs.1.1 billion, accounting for nearly 8% of our Q4 total gross revenues.

Finance cost was higher by about 56% quarter -on-quarter to Rs.556 million in Q4 of FY'24 due to a combination of higher average borrowings and higher cost of funds for the period. Higher borrowings were in line with the growth in client funding book and borrowings availed to fulfill margin obligations with the clearing corporation. The overall finance cost for the year has been within the anticipated increase as envisaged last year on account of incremental working capital required to manage the bank guaran tee requirements for margin obligation.

With every trading day as an expiry day for indices across NSE and BSE , and growing volumes, the working capital requirement for broking businesses of our scale and size have increased considerably over the last few quarters.

Employee benefit expenses including cost of granting ESOPs, was at about Rs.1.59 billion for the quarter, sequentially higher by 12% due to additional headcount primarily in the Wealth Management business, ramp up of our asset management business , data analytics, technology and product functions.

Our other opex for the quarter clocked at Rs.4.3 billion being 33% higher sequentially, driven by 17% growth in our client acquisitions, leading to an increase in one -time client acquisition cost and onboarding cost. Other expenses for the quarter also include Rs.227 million, apportion ed towards IPL associate sponsorship for related and related

digital and media advert spend. Operating expenses were also higher on account of higher spends on cloud infrastructure in line with the growth of the business. Here, I would like to inform you that Angel One will continue to invest in scaling up its brand over the next few years. In the ongoing quarter, we intend to spend about Rs.1.2 billion towards the remainder of the annual sponsorship cost and digital and electronic media advert throughout the ongoing IPL season. Our brand spend therea

fter for the res t of
the year will be in line with earlier trends. However, such spends will help us to significantly amplify the brand across the country, giving us better reach to our target audience.

Our consolidated EBDA T margin expanded to 44.8% for the quarter versus 44% in Q3 of FY '24. This margin remains within our guided range. The upfront one -time investment in acquiring more clients today helps us to grow the business going forward, thus reaping benefits of better operating leverage.

Depreciation and amortization costs increased by 27% to Rs.167 million in Q4 of FY '24 on account of augmentation of technology assets at a data center and disaster recovery site, required to manage the growing client base and order volumes.

Our consolidated profit after tax from continuing operations grew by 31% quarter -on-quarter from Rs.2.6 billion in Q3 to over Rs.3.4 billion in Q4, making this our highest ever quarterly profit.

Our FY '24 total gross revenues and profit after tax grew by 42% year -on-year and 26% year-on-year to Rs.42.8 billion and Rs.11.3 billion respectively. Period ending cash and cash equivalent increased to Rs.98.4 billion on the back of an increase in clients margins and cash generated from the business. Period end client funding book grew to nearly Rs.17.7 billion compared to Rs.11.5 billion as of March 2023. The consolidated networth of the company grew to Rs.30.4 billion. This does not include the recently concluded fund raise of Rs.15 billion as the funds came in early April. As we continue to operate the business within our desired margin profile, our FY '24 return on average equity remains healthy at 43 .3%.

The funds raised via QIP have been deployed as working capital into the business. The current quarter will have some elevated costs on account of IPL, annual increments and new stock grants, which will have an impact on the margin of the business for this quarter. The ROE post the fund raise will also see a decline before gradually going back with growth benefits of deployment coming in towards the end of the financial year.

With this, I conclude the presentation and open the floor for further discussion. Thank

you.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Swarna bh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee : Two, three questions from my side. First, in terms of your broking business, so the major metric which is the number of orders we are doing in a day, if you could give us some idea in terms of this growth, how much of that has come from what you alluded i n your initial speech that the number of days when expiry is happening has gone up. So, that must be one of the factors. What are the other factors which would have taken this number up for the quarter, including maybe client activation or existing clients trading more. If you could give some ballpark quantification of that, that would be very helpful? And going ahead, what would be your aspirations to take this number because we have already seen a sizable jump in the number from where i t was seen in FY23 and can it see a similar level of traction going ahead, what would be your aspiration if I were to ask you on that? So, that would be my first question and also maybe an addendum to that is if you could also give some color on what propo rtion of this number of orders that are coming in is coming from your engagement with BSE, that would be very helpful. So, that is the first part. The other things that the branding spend that you have mentioned, is it inclusive of the IPL -related costs that would be there in the P&L, if you could give some color on that? Sir, if you could also explain the pie chart in Slide # 10, which you have highlighted, in particular, wanted to understand that two cohorts that you have provided FY ’21 and

FY ’22, you have given a number which is close to around 50%, 54 % for FY ’21 set of clients and 49 % for FY ’22 set of clients who have transacted. So, what happens for the other close to 50% clients are? So, is there a scope of kind of accreting revenue out of them in future or would they remain as inactive customers and what broader message you would like to give to this slide if you could highlight that?
Dinesh Thakkar: First, I ’ll just answer in terms of increase in orders. If you see when we started this financial year, we were clocking around 42 lakh orders per day, which in Q4 was 86 lakh orders per day. Parallelly, if you look customers that we were acquiring was around 4, 4.2 lakh per this thing a month which by Jan and Feb we were clocking around 10 lakh client per month, that is we ’re acquiring around 10 lakh clients per month. So, this new set of customers, when they come in, definitely they are ac tive and what orders we get from our vintage clients and new cohorts also are of a similar kind of a nature when they are onboarded, within 10 to 15 days they are active on our platform. So, primarily it is because we have acquired a huge set of customer much beyond growth that we regularly clock and due to kind of like vintage clients also being active on our customer as we explained in Slide #9 and #10, combined with new set of customers, we saw activity growing up. And second proportion of order of BSE, we don ’t disclose that, but that is not a significant proportion. It is proportionate to whatever order we clock on NSE and all that. It is not that BSE has contributed in a big way, although we have a decent market share across NSE, BSE and all other segments. O n branding spend, yes, what we have shown, it includes IPL. Vineet would be the right person to walk you through this number. And on Slide # 10, specifically, Amit or Vineet, you can take this question.
Vineet Agrawal: On the IPL spend, as I just spoke in the commentary, we spent about Rs.22.7 crores in Q4 specifically in the month of March. This includes the proportionate share of the sponsorship as well as the spend towards media and digital adverts. So, as you would be aware, we ’ve won the bid for Rs.82 crores annual bid for associate sponsorship.

This what we are doing is we are spreading it across all the matches. So, there are about 74, 75 matches to be held in IPL this season, of which about 13 were held in the month of March. So, the proportionate share of that Rs.82 crores towards the sponsorship cost has been booked in the month of March along with the spends towards digital and media adverts , and the balance plus the spend towards digital and media adverts would be spent in the month of April, May and June across the entire season. That will be roughly in the range of about Rs.1.2 billion or Rs.120 crores.
Swarnabh Mukherjee: Sir, the remaining amount would be Rs.120 crores. So, nothing additional apart from the IPL?
Vineet Agrawal: On the IPL front, this will be the total spend and thereafter we will continue to spend on our brands as we do as part of our general spend.

Swarnabh Mukherjee: Sir, just to clarify one, in Slide # 9, you have given that for FY ’24, branding spend was around Rs.88 crores. So, that number for FY ’25, we can take Rs.120 crores. That will be a correct number?
Vineet Agrawal: No, Rs.120 crores only is in the first quarter. So, what you can do is you can reduce Rs.23 crores from Rs.88 crores and spread it over the balance, say, 10 months to understand what is the spend every month going forward in the future.
Swarnabh Mukherjee: So, understandably, sir, on this, the margin outcome of 1Q would be, I mean, lower compared to what your guided range is. For the full year, are we confident to remain in the guided range?
Vineet Agrawal: Yes. So, as I said, this elevated cost is going to be in Q1, but as we go t

hrough the entire year, the margins would be in the range of the guided range and that ’s where we always advise our analysts and investors to look at our business from a yearly basis and not on a quarter -on-quarter basis.
Dinesh Thakkar: Just to add over here, see, this branding cost and when we are acquiring more customer than what we acquired in previous quarter, it will appear there is an impact. As I always said, this is kind of an upfront cost. If you refer to Slide # 9, we are clearly showing that all vintage customers across five years have given us revenue. So, best way would be that till the time this phase of growth continues and we are hopeful it will continue for many more years, whenever in a quarter we acquire m ore than what we acquired in previous quarter, that will appear as a suppression of margin. But that is only upfronted cost which if at all you want to know, annual ised kind of an OPM that will help you to remove it for time being. And if you are taking it, you divide it by five years because you would have apportioned 12.5% of due kind of like cost that we have taken because lifetime value of a customer as shown in Slide # 9, it is five years and beyond. So, this all cost that we are taking upfronted in terms of acquiring more customer and getting more market share is making our business model more stronger.

Swarnabh Mukherjee: Sir, on the aspiration in terms of number of orders per day, if you could give some colour?
Dinesh Thakkar: As I said that till this time we are able to acquire more customers and we are able to get revenue from our existing customers. This number of orders will grow. Now, to give a number would be like getting into forward -looking statements.
Swarnabh Mukherjee: And if you could take my last question?
Amit Majumdar : Amit here, I ’ll perhaps help you understand that slide. A couple of messages that we are giving out here. One is if you know the NSE headline active client that you usually get to see at the end of the month which NSE publishes, you will see that on an average Angel is about 27% to 28% active customers who are active on any given day in a rolling 12 -month period. So, that’s the data that you see as a headline number. What we are trying to convey is that that is not the right way to look at the active customers. The right way to look at is how many unique customers are active over a longer period of time because not all cust omers become active in the year in which they are acquired. And they begin to test the market, they begin to test the platform, test the process, the journey, and then they slowly begin to get active. So, this slide that we are referring to actually shows that for FY ’21 the cohort of customers that were acquired, close to 54 customers, 54% of them became active over the next four years. And we looked at that for the subsequent years cohort customers. In fact, in the subsequent year, close to 50% customers became active in the three years that that cohort existed. This implies that directionally it can be far more than 50% because all these customers become active over time. And that is the power of the platform that we are trying to convey so far as Angel is concerned. And in that context too, the other message we wanted to convey is even for customers who are doing pure futures and options, over time, after having understood the market well, begin to carry out long -term equity investment. And therefore, this slide actually shows almost all the F&O customers and there ’s a very small portion of an F&O customer who have not gone into equity as an asset class, but an overwhelming majority of them eventually go into equities, build a portfolio and therefore stay c onsistent on the platform. Now, imagine these customers, even after doing F&O, because they have built an equity portfolio, one is, they have tested the fa

ct that when they do long -term investment, mon eys grow, at the same time they ’re now going to remain sticky on our platform when it comes to engaging with that customer, I hope Swarnabh that is clear to you.

Swarnabh Mukherjee: Just one point. So, the data shows that in both situations that the count for number of customers is only cash is higher than what it is for F&O. So, does that mean that people who are coming in near large part will actually only do cash and not F&O, am I getting it right?
Amit Majumdar : The journey here is that well , majority or at least some portion of our customers when they come on our platform, the first point of engagement could remain an F&O, but eventually they will also have equity. What this shows is F&O and equity. So, the blue

portion is actually F&O and equity. So, around close to about 25% or 30% of them are F&O who are also doing equity and close to another about 40% of them are actually doing only equity. So, the point is, not everybody is doing F&O. People who are doing F&O are also doing cash, and people who are in cash are only doing cash.
Swarnabh Mukherjee: I will maybe take this offline to understand this a little better. There have been some news flows regarding regulators looking at the F&O space. This has come quite several times in the last one year. But any conversations you were having in terms of risk management of customers on the F&O side, if you could give some colo ur?
Dinesh Thakkar: Currently , if you see there is nothing concrete, whatever like discussion we are having with regulator that has been implemented and that is something like does not really concern us because their mostly focus is on not to lure a customer, not to kind of show wrong loss and profit statements and all that. I think that is quite old news now. There 's nothing new that I 've heard about.
Moderator: The next question is from the line of Sanketh God ha from Avendus Spark. Please go ahead.
Sanketh Godha: I am referring to Slide # 9 on the cohort analysis what you have given. See, if I do a simple math there, the revenue earned in that year where you acquired the client and do revenue per client in that particular year, then I see there is a structural decline in the revenue earned per new client what you have acquired means if I do that math that number is Rs.1,860 for FY '20, that number is Rs.700 for FY '24. So, just wanted to understand that incremental clients what you are adding, the marginal revenue they are bringing is meaningfully lower compared to what you are adding in FY '20. So, just wanted to understand that clie nt addition really matters from a revenue growth point of view because incrementally the revenue addition seems to be much lower for every client you had. That 's my first question. And the second question what I have is that with respect to QIP, Rs. 1,500 crores, you raised. Naturally, it will result in reduction in the working capital requirement. So, just wanted to understand how much borrowing costs will further come down in FY '25 going ahead with the fresh capital coming in? And lastly to Vineet, if I u nderstood it right, Rs.120 crores is what you will spend on IPL and that number will be a recurring number for next four years. That 's the way I need to look at it, right?
Dinesh Thakkar: So, let me answer the first one. See, on relative basis always when you acquire a new client from new territory or a new demography, always it takes time to optimize it. So, what we look at is not that okay, we want only customers who give like very high revenue and what we look at is what 's the cost to acquire new set of customers. And if that fits in our model where we say that whatever cost we take to acquire this customer would be able to give us an OPM of around 50% to 60%, we would lik e to go and expand. That is

how all digital players have expanded their market share. Traditional brokers were stuck with high ticket size. But we thought that we can go into new territories, acquire those customers if it is profitable, if unit wise econom y is favorable, we should

go and acquire those customers. So, if you look at demographic change which has happened across years , we are now acquiring customers from tier -3 and beyond. We are acquiring customers who are young , millennials and Gen Z and all that. So, these are new set of customers who are getting exposure to capital market. What we look at, if you look at our margins and all that, this is how we have expanded our market share and there is a stickiness of our customers whichever year we have acquired, t hey continue to be on our platform for next years, following years and we are able to cross - sell many products. So, right now it is too early to say what would be a lifetime value of a customer where we haven 't sold all the products to those customers. Wha t we look at is cost of acquisition and what would be lifetime value of a customer. With this cohort that we are acquiring also shows that lifetime value of a n customer would be around in the region of 7x. In digital model , I feel that up to the level of 5.5, 6x also we are profitable and we can maintain these margins. So, with that approach, every quarter we see what are the new kind of areas that we can get into. This process has been going on since last three, four years. So, we tried to get into new kin d of like channel, new kind of demography, new PIN codes and acquire customer. But what we see across years , they're able to give us a decent OPM. So, we would not look at relative basis, we look at absolute basis, what 's the cost, what 's the revenue.

Sanketh Godha: A follow -up on that, Dineshbhai. A small clarification. So, the number is Rs.700 per gross client today, so any number below which you believe that it is unviable to acquire more clients, maybe say Rs.400, Rs.500 -?

Dinesh Thakkar : When you see Rs.700, a ctually, whenever a year complete, client has not completed 12 months. Some clients we have acquired in the later quarter, some quarter we acquired in the previous quarter. If I look at 12 month steady state content revenue, there we don 't see any concern like big deterioration or big concern. Vineet, QIP and IPL, if you can take.

Vineet Agrawal: Sanketh , on the funds raised from QIP, we 've raised about Rs.1,500 crores and this will be deployed across the margins with the exchanges and to grow our MTF book. In terms of the finance cost, that is a subjectivity -based question because with the growth in the business volumes, the growth in finance cost will be t here. But I would tell you that it would be in that same range of what we have spent in the last quarter as a percentage of the gross revenue, it 's not going to be very different from that. But again, it depends on how we grow our client funding book and the volumes of the orders growth that we see for the current year. On the IPL cost, the commit -

Dinesh Thakkar: I would just like to add over here. Sanketh, this QIP was not to retire debt, it 's a growth capital. We can see a huge growth and we would like to deploy this capital for the growth of the business be it margin trading book or increasing orders and all that.

Vineet Agrawal: On the IPL, the committed cost for the next four years is about Rs.82.5 crores annual and beyond that, whatever we are going to spend on digital and media adverts is over and above that. For this year, you 're right, we have committed to spend almost like

Rs.143, Rs.145 crores over this entire IPL season including the media adverts and digital ads.

Sanketh Godha: One small clarification. Rs.120 crores is excluding Rs.22.7 crores you have already spent in

fourth quarter, right? So, for the full year, cost will be Rs.120 crores?

Vineet Agrawal: No, the cost of this entire IPL sponsorship and related advert spends is Rs.143 crores as we see it today, of which Rs.23 crores has been accounted for in Q4 and about Rs.120 crores will be accounted for in the current quarter.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Firstly, sir, like the spend on IPL now we 've already have almost seen one month of IPL. How has been the impact of the spend that we are doing on this -- Is the experience better than what we had thought or what we were doing without IPL, how has been the experience so far? Second, in fact, just following up on Sanketh 's question earlier, so if we look at that run rate has come off from Rs.1,860 to Rs.700 and even in the second year when we look at it, it 's come down from Rs.3,400 to Rs.1,500, for third year again, it's down from Rs.3,000 to Rs.1,600. That has been the declining trend. Whether is this somethin g where possibly these are the numbers that we should look at or is there a scope for this to further go down? So, the point that I am making is the customers that we would have acquired in FY '24 about 8.8 million, they have given around Rs.615 crores of revenues, so that is Rs.700. So, what would be the number of trades that they would have given, whether that is a number that is kind of achievable or possibly further more downside can be looked at on this number? And lastly, just a clarification if you can give on the presentation Slide # 10, What do you mean by when you say realized equity gain of Rs.5.5 billion and unrealized equity gain of Rs.18 billion, could you just clarify this for FY '22?

Dinesh Thakkar: Prayesh Jain, thank you for your compliment first of all. And now coming on IPL spend, although it is one month, but like broadly we are looking at increasing visibility of Angel One across Tier -3 and beyond and IPL is the best media to really see a jump up in terms of spontaneous recall or maybe people recollecting Angel One as a fintech player . So, the benefit of this would be a bit long -term, I would say this will take some time for this visibility to kick in and result in some good numbers. But what we are seeing is that now when we are running our digital campaign and all that, acceptability and kind of like recognition is very high, and we believe that this will result in some business numbers. And for us, it is important to be visible across all tiers, because mostly customers that we are getting is from Tier -3 and beyond and cricket is a very popular kind of sport across all age group. So, initial numbers are showing tremendous kind a like visibility benefit that we have got. So, we believe this will boil down to business numbers. So, that is the main objective that we went for IPL to get a good kind a like spontaneous recall and top of the mind recall from audience was looking at digital stock broking. In digital space, what happens? There is a space for three players. So, we want to see when a prospective customer is thinking about stock broking, does he r ecall

our name on the top? That means you will get a market share of 35% to 40%. He or she has to recall that name in at least top three. So, that lead indicators which will help us that okay, when this population of people who are having PAN account, internet trading, internet account and all that which is around 50 crores to 60 crores. When they think about stock broking, are they thinking abo ut Angel One ? If the answer is yes, of this huge revenue pie that we are going to see in next five, six years, by defaul t there 's a lead indicator to suggest that like one out of three is recalling Angel One name. So, that's the purpose of this IPL and branding. Now coming to FY'24, the way you are calcula

ting, we acquired 8.8 million, but the revenue of the se customers did not come for all 12 months. So, if you see our most of the acquisition has happened in December, Jan and Feb. So, they haven 't contributed for a total of 12 months. The way we look at is that th ese are lead kind of like parameters for our data science team works that if you are getting this kind of like revenue in first month, second month, so they extrapolate what kind of in like lifetime value or revenue will get when they complete 12 -months. And we have been perfect modeling that to the tune of like error of 1.5%, 2%. So, the clients that we have acquired clearly show that they are profitable, and they will fall within that bracket of breakeven of six to seven months. They will fall in that bracket where you would be able to get an OPM of around 50%. So, that is our main objective, to be very focused on business metrics. So if a new pocket opens up and we see there is a huge potential in terms of increasing lif etime value and our data science team is able to extrapolate that trend. So, we try to spend early, and we have been doing it since the last three, four years. That 's the secret sauce that we were able to be successful in digital model. Now, we have perfected that modeling to an extent , if we acquire a customer, we are able to predict what kind of revenue we will get in the next 12-months. So, then we work out if it fits in our OPM and breakeven period and all that, we go aggressive and acquire that market share. On Slide # 10, Amit, would you like to take it forward on that?

Amit Majumdar : So, Prayesh, on the Slide # 10, what we mean by realized gain is these are customers who have traded in equity or at least bought an equity and then sold in the course of the last four years. So, for customers who were acquired in FY '21 in the four-year period that they have been in existence on our platform, some of them would have actually sold their portfolio in the course of four years and some have continued to hold the portfolio as on 31st March 2024. So, the realized equity gain is that part of the gain that was bought and sold in the course of the four years. The unrealized gain is those that are getting held, continue to be held as on FY '24 and that value of the portfolio is actually worth Rs.66 billion and a gain of Rs.24 billion of that Rs.66 billion, the Rs.66 billion includes the gain of Rs.24 billion.

Prayesh Jain: But sir, when you say Rs.7.4 billion, does that include only cash portfolio churn or is this also includes F&O because these are the clients who are doing both F&O and cash, right, so would that mean that they would have also earned some profits on F&O and combined or possible in a combination of loss in F&O and gains in cash, is that the right way to think about it?

Amit Majumdar : No, Prayesh. So, the purpose of that is to say that there is a realized equity gain. It is not about F&O. It 's pure equity gain. The intention here is to say that customers who are doing F&O are also doing equity and they are experiencing gain. That 's the purpose of the slide.

Dinesh Thakkar: There is a concern in the market that people just do F&O. What we want to say is that this young population is always attracted towards quick money. But not that once they 're unable to achieve something successful in F&O, they stop investing. They move towards investment. And once you move towards investment and you see some kind of like profit. This would be sticky on our platform because across all that kind of like life cycle when this person is thinking about saving instead of going to a bank and putting money at 6%, this person has seen the benefit of equity appreciation. This person will remain and put all that lifetime savings in equity market, if they learn how to really deal with mutual fund , equit

y, portfolios and all that. So, we are seeing early signs where we are seeing customers who started their journey as traders are also moving towards equity and creating a portfolio.
Prayesh Jain: Compliment on the amount of data you are disclosing. This is helping us to understand the business granularly. Thank you for sharing this information.
Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh : On the corporate structure changes that we announced I think one or two quarters back, is there any update in the regulatory approval on the corporate structure changes that we are planning to do?
Vineet Agrawal: No, we are still engaging with the regulator in terms of making them understand the entire structure. So, no update as of now.
Nidhesh: What is the guidance for EBITDA margin -- are you saying that we will be in the guided range of 45% to 50% for full year FY ’25 even after accounting for IPL cost?
Dinesh Thakkar: As I said, if you look at like increased cost in acquisition and cost that we take in IPL, it has a huge benefit. But if we stagger it for 12 months, we would be within this range of 45% to 50% OPM and only impact would be other businesses that we are building that can have an impact of around 1.5%, 2%. Vineet, would you like to elaborate that?
Vineet Agrawal: So, what we envisage is that we will be in that range of about 45%, 47% for the next year, but there will be an impact of about 1.5% on the new businesses that we are building across AMC and wealth. So, you can take the average margin profile to be in the range of about 43% to 45% for the next year.
Nidhesh: Lastly, the new businesses that we are incubating, how do you think about from a medium term perspective, let ’s say three, five years, what sort of revenue contribution all these new excluding broking business can contribute to our P&L?

Dinesh Thakkar: See, we see huge kind of synergy and this all business that we are building , complements to what we are doing until now. So, when we are talking about acquiring customers as we look at the prospect, if we look at that our services should be available across all segments, be it mass affluent, HNI, UHNI and all that. So, it will take its own time for us to build all that businesses to a level where we say it will have a contribution in terms of revenue, profits and all that. But all said and done, we are seeing a huge opportunity in both the businesses, particularly Wealth Management where we have got very senior kind of like co -founders who know their business and we are excellent at in terms of technology and all that, we see a great future. But for this one or two years I think broking is doing excellently well and it makes sense for us to invest in future trends.
Nidhesh: But any number you want to put this out, x -percentage of revenue may come from the new businesses?
Dinesh Thakkar: As we said that in terms of expenses, this will have an impact of around say 1.5% on the OPM margin. But in terms of building a business, too early right now, Srikant h, would you like to give a brief on this Wealth Management .
Srikanth Subramanian : As Dinesh mentioned, very early stage, I think the teams have just come on board about a month, month and a half back. We do have aspirations to create two large verticals. One is to cater to the ultra-high net worth or in other words $5 million plus which is something that the team has almost two decades of experience in terms of catering to. We think that there are huge opportunities available there in terms of cost overheads that can be brought down using technolog y and that is one of the reasons why we are super excited being part of this family which is very efficiently used technology. And the second which I think is where a lot of interest also lies for all of us to create is the affluent or t

he emerging HNI as we call where there is a lot of width available for us to take all our trade and brand that we have taken so far for the ultra-rich to the next level of emerging rich in India. And I think that reach and width is not possible if we don ’t marry the right domain and right tech, and that is how we are trying to build. As far as some guidance is concerned, very early days. I think in some of the other calls that we will interact, we will have a little more guidance. We are also awaiting the necessary

regulatory approvals to come in place before we hit the rubber on the road. So, we will
keep everyone posted.
Moderator: We will take the next question from the line of Jayant K harote from Jefferies. Please go ahead.
Jayant Kharote : I have two questions. First is on the F&O broader market in general wanted your view sir. We 've seen a lot of HF Ts are sort of increasing, if you track the NSE market pulse for the share of co -location base d trades is now almost 60 %-65% in the equity derivative segment. We have seen the low latency prop traders were making profits, but retail still got to keep some , but with the HFT sort of increasing and the outlook is much, much larger players coming in the market in the next one or two years, do you think the retail profit pool can shrink meaningfully and then spread on these five products can come

off meaningfully and it will have of course a knock -on effect on overall retail volumes. So, would love to hear how is your view of these two problems specifically because NSE is also adding the data center in New Bombay. So, that will open up much more colocation tracks. There is a regulatory sort of arbitrage between having access to those tracks for retail. So, just wanted you view on this one?
Dinesh Thakkar: See, when we look at F&O, there are two sides of a trade when it 's executed, one side is retail -retail, core retail. And the second side is HNI, HFT and FIIs who are putting that trade. So, when we are talking about retail, second leg is executed by these players what you 're talking about HFT or co -location or kind of like FIIs. So, retail is not impacted. You see, the market share of retail almost it has remained constant, that does not fluctuate in a big way, would be in the region of 44% to 45%. So, we take a part of the market share from this segment. We are not into HFT, we are not into colocation business, we are not into kind of unlike arbitrage desk. So, whatever volume you are seeing it is purely because of retail participation. So, what we are seeing is that retail in India is really taking lots of interest. They want to participate in the capital market. And when the y are participating, that is a segment that we are aiming at, and we are saying that we are able to increase market share. But if you look at retail that what is needed to come in this market? We are saying you need an internet connection, smartphone or any other device and you should have a PAN account and reasonab le saving where you can start your journey, investing in equity market. It can be as low as Rs.500, Rs.1,000, Rs.2,000 start your SIP in Mutual Fund . Slowly as you progress in your life, they try out different, different segments, F&O, cash, commodity and all that. So, we are seeing a huge opportunity, but the potential is huge. Now, when a larger player comes in this market, they enable larger market, they enable wider market to come in and participate. And we as I said that being recognized as an fintech player where we have a kind of an incremental kind of like market share on this incremental acquisition that we do , to the tune of 23%, 24% we are beneficial. Because our model is very different. The customer on our platform slowly evolves to a higher ticket size and moves towards kind of like area where he wants to invest in equity, Mutual Fund or

maybe later
on go towards Wealth Management product. So, we feel that the introduction of larger player is going to help expand this market. When we have such a big population, who have reasonable saving, what 's the reason they 're not coming to equity market? Because of lack of awareness, because they 're concerned about lots of things which must have happened in the past. So, we always feel that a new player coming in with a big budget is going to expand this market and that is going to help us increase our market share.
Jayant Kharote: Actually, my question was more about product profitability because we have limited products in the F&O market, right, five products. Because I was more worried that the product profitability of the spreads will become so thin that for the retail player basically does this lead to fatigue?
Dinesh Thakkar: No, currently we are not seeing any kind of price pressure or any fatigue in terms of the product that we are offering. Retail is just like playing on the direction of the market. So,

they buy, call or sell the thing, buy, put, beyond that their activity is limited. So, what we do is that we try to design certain kind of like product journeys where they 're able to understand this better. When it comes to pricing, I don 't think there 's any price pressure. In fact, there 's a concern like opportunity for us, even charge for cash segment. But right now, we are looking at kind of an revenue that we get from customers that are onboarded. It 's quite decent enough for us to justify our costs. We are not charging on cash segment. But if we want, we have a huge volume on the cash segment. If we want, we can charge it also. Few of the competition in fact are charging on cash segment. But we are saying there 's a huge cash like revenue that is generated to other segment, we are okay keeping that at a zero price.

Jayant Kharote: Second question is if you can explain the journey on the bank guarantee replacement, how has the -

Dinesh Thakkar: I am unable to hear you.

Jayant Kharote: If you could explain what is your average daily clearing margin with the clearing corporation, what 's the mix of bank guarantees in that, how much has been replaced and how is the journey over the next few quarters?

Dinesh Thakkar: As we said that this QIP was raised for growth, it was not for the replacement of any instrument, but Vineet would be the right person to take this question.

Vineet Agrawal: Our current bank guarantee deployment across the clearing corporations is about Rs.2,800 crores. And apart from that, we also avail intraday facilities for the time differences for the settlement with the exchanges.

Jayant Kharote: These Rs.2,800 crores is fully owned funded now?

Vineet Agrawal: Yes. Since September of 2023, all bank guarantees that we have been deploying in the business are own funded.

Jayant Kharote: This panel that the government is setting up with RBI, SEBI, there is some concern that the bank guarantee limits may be sort of difficult to get from banks. Anything you are hearing on our banks being a little more cautious in extending limit?

Vineet Agrawal: No, we did not face any kind of difficulty in availing bank guarantees.

Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Just wanted to understand, We've seen on the AMC side, the peers go ahead, I mean, I understand it 's the approval side, were they faster in filing the approvals and that 's why they are ahead, just wanted to understand because we 've been leading so far in everything.

Amit Majumdar : We will take it. Hemen – our CEO is here.

Pallavi Deshpande: On the AMC side, I understand you mentioned some approvals pending, but we 've seen our peers actually launch

ed that ahead of us. So, wondering were we late in filing the approvals, are we behind them in filing them or how exactly that has happened?

Hemen Bhatia: On the AMC front, we are currently undergoing the process of getting the approval. While there is no regulatory TAT on when will get the approval, I can just say you that we are progressing well on that front. With reference to competition, I would not like to comment on any particular player but let me tell you as compared to the general in the industry trend of getting the approval, we are very much in line with where we are progressing currently, so nothing much to disclose on that front.

Pallavi Deshpande: You mentioned about the unrealized gain in the slide about the client making. Is that post the brokerage or pre -brokerage, equity gain of Rs.5.5 billion for the F&O client?

Amit Majumdar : Pallavi, this is the net realized gain; this is after all expenses for the customer. So, the customer has made a net gain on his portfolio. Either he has realized it by selling off and therefore it is called realized gain. And if he has not sold it and holding it, it is called unrealized gain. So, it is the gain to the customer after setting off of the cost of acquisition of those assets.

Pallavi Deshpande: After the brokerage expenses?

Amit Majumdar : Yes, these are all post -charges.

Pallavi Deshpande: So, on the advertising spend, we 've seen a significant ramp up even excluding the IPL this year triple the ad spend excluding IPL. So, could there be a regulatory backlash given this very high thing on the IPL side, I mean?

Dinesh Thakkar : Pallavi, we were always below average spending on branding and all that. If you look at like the last few quarters, it has been almost like been constant except for we getting into IPL sponsorship.

Pallavi Deshpande: Now, just given how much concern was there by SEBI, I mean like you said that there 's nothing much they can do, but given their concerns -?

Dinesh Thakkar : There is no restriction like that.

Moderator: The next question is from the line of Di xit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi : First question is on Page #9 presentation where you have given the vintage clients. So, you have given the margins excluding the branding spend. It ’s more or less flat over the last three years. Can you give a margin excluding the branding and the client acquisition cost, just to understand that once the vintage client’s revenue comes, the vintage

client’s margin is how it increases over the years? And secondly, on Wealth Management , you have mentioned that the cost will increase next year. So, will our business be similar to the other Wealth Management companies where we will be having a large pool of RMs and the physical bit is more of an offline business or being a technology player, we will be doing something differently on the Wealth Management side also and leverage our technology and also our existing 22 million customer base. And third, What will be the ESOP cost next year?

Dinesh Thakkar: We don ’t really disclose the sales cost, but I think we have been incurring this high sales cost since many quarters that will give you a great sense in terms of what our OPM has maintained across all these quarters, maybe there is a quarter when we ramp up our sales, there is some kind of depression, but as revenue kicks in, we have seen that margin will catch up. Branding we gave separately because the new exercise we are doing , so, for all analysts to understand that, okay, what does this cost , so, that you all are aware that how this would be shaping up in maybe three, four quarters. So, vintage wise client already we had given a kind of like what kind of like revenue we generate. So, you see there is kind of like very less drop in customers we acquired even pre -
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Y’20, FY’21 and FY ’20 & ’21. So, if you take the sales cost, as you say, this chart clearly shows that there is a lifetime value of five years and beyond. Up to five years already, you can see the data. So, whatever sales cost we do, it has to be apportion ed for five years. But exact number we do not reveal, so I would not be able to help you on that. On the Wealth Management side, I will ask Srikanth to take it over, but on ESOP, Vineet can give you more clarity.

Vineet Agrawal: So, for the next financial year, our budget for the ESOP cost is about Rs.100 crores, of which about Rs.50, Rs.52 crores is the carry forward cost of the ESOPs that have been granted over the last two or three years and about Rs.50 crores will be the cost which will be incurred towards the new grants that we are going to do in this year.

Dinesh Thakkar: Srikanth, if you can take model and differentiator ?

Srikanth Subramanian : I think it ’s a fair question, but in some sense your question also alluded to the answer, that is yes. We envisage the deep integration between domain and tech. I think at least we believe in the next five and 10 years the right to win in the ever-expanding Wealth Management landscape will be by people who can embrace technology in a way where you can take technology to much wider space. I think Wealth Management in India so far has been more about going deep. We at least in Angel One Wealth believe that it will now have to be played both in terms of depth, which is where high quality domain knowledge comes in, and in terms of width, which is where technology comes. So, for example , over the next few years many products that could be available in a fractional manner. We ’ve already seen white papers and circulars around fractional REITS . We are already seeing similar fractionalization across products. So, while the team has a deep insight on what the ultra-high net worth clients require and we w ill continue to service them. We will use technology for that space to bring opex down because one of the things that we see is, most of the cost models for current Wealth Management

firms are built keeping in mind revenue models which have completely changed. So, revenue models have over periods of time being disintermediated, have moved from upfront to a very back -ended kind of revenue model. So, we believe that usage of the right technology can enhance productivity. But we also think that large investors may not be 100% ready to fully consume everything without high quality RM. So, we envisage the right mix of an omnichannel kind of a requirement for a client and the next customer se gment, which is the HNI and the affluent , we will be present in both, that ’s the plan in terms of having good quality RM, dispensing good quality wealth services and also using the technology leverage with the parent partner here Angel One , create interfaces across app and website which we will be able to give customer the right services. So, the idea is the right mix of domain and tech to be able to capture both depth and width which would be there.

Moderator: The next question is from the line of Aditya Sharma from Aditya Birla AMC. Please go

ahead.
Aditya Sharma: The MTF book has declined quarter -on-quarter from Rs.1,980 -odd crores to Rs.1,770 crores while the market has been buoyant, especially the cash market has been quite buoyant last quarter. If you could just help us understand, I know it 's a balance sheet item, probably it was reflecting on the day 31st March, but I just wanted to understand the reasons for the decline?
Dinesh Thakkar: So, MTF book was also rising proportionate to our customer base and volumes that we did in terms of number of orders . But by Feb, we realize that it is going to a point where we need more capital. That is where we had put restrictions on customer availing this margin trai

ling. So, that's the reason we did QIP and all that. So, that we are well capitalized to ride this trend kind of like growth in this MTF book. So, we took a pause. Now, we have restored back to normal. You will see a growth in MTF going forward .
Aditya Sharma: Any aspirations from your side in next two years, can we do around Rs.3,000 crores of lending in terms of MTF by the end of FY '26, is that a reasonable assumption to make?
Dinesh Thakkar: Yes, it is a reasonable assumption. So, like already, as I said that by Feb around Rs.2,100, Rs.2,200 crores of MTF. So, to get to that Rs.3,000 crores is like possible, it is not a difficult target, aspirational target will be higher than that.
Aditya Sharma: And also, sir, in terms of margins, when you have provided the breakup, so there has been significant improvement in terms of the margins from the AP business, so around 62%-odd. So, just wanted to understand, what 's the reason behind it and is it something structural or is it just for the quarter?
Dinesh Thakkar: No, no, it is structural. I think I would ask Nishant to give a brief on this AP business.
Nishant Jain: So, what has happened is that we were essentially having an omnichannel play whereby a lot of engagement with our existing sub -brokers was through digital means and we were also last year largely not acquiring new sub -brokers. So, any expense on

account of sales would not have happened, and therefore what you 're seeing is a slightly, I would say exaggerated version of what the usual margins would look like. Going forward as we kind of start onboarding new sub -brokers and we start incurring some of those costs, plus as we unlock new regions, in particular, rest of India where the exist ing presence or the existing contribution to the revenue is not that strong , I think some of these costs would also come into play and therefore the margin that you 're referring to would kind of sober down a bit, but yes, overall story is very robust, and we would continue to kind of register the similar momentum going forward that you 've seen in last year.
Aditya Sharma: Just a follow up on this. So, how are we progressing in terms of the AP addition, if you could share some bit of color on that, that would be helpful?
Nishant Jain: So, there has been a very, very strong interest ever since that we restarted that process. However, we have been a bit choicefull in terms of the kind of sub -partners that we would like to engage with. We have kind of enhanced some of those screening parameters and ensuring that people who are coming onboard are coming onboard with a certain persona and therefore the idea is that go ing forward we would like to onboard higher quality sub-brokers who can be kind of contributing meaningfully to the client addition and be a long -term partner along with us.
Moderator: The next question is from the line of Ar avind R from Sundaram alternates. Please go ahead.
Aravind R : What is our aspiration in terms of client addition and what is our aspiration in terms of improving that to make the client active, the client is becoming active usually in five years and now come down reasonably , is there any further improvement possible there? And what are our aspirations in lending and deposits business that we have mentioned either in terms of penetration among existing clients? And are there any aspiration in terms of disbursements by FY '25 or '26? And another question is considering the IPL association for five years, will this expense be recover for next five years?
Dinesh Thakkar: So, our aspirations on this client addition, as we always say, being a digital player, we would aim to get a market share of around , in new acquisition , to the tune of around 35%. That is where we feel that a digital player should position themselves. So, there 's an aspiration kind of like we have that w

hatever new client come to market, we should be aspiring to get to that market share. Progressively, we are inching towards higher number every quarter and all that. So, that is a positive thing. In terms of offering customer multiple service, we believe time has come that we have to leverage our Super App platform where we offer multiple services to customer to increase their lifetime value and engagement on our platform. So, because of that, we will see lots of active customers. As you refer to Slide # 10, we have clearly shown that when we acquire a customer across here they become more active on our platform. So, Amit, if you can take that point, that would be helpful. On lending side, Saurabh can take that

platform. I 'll just complete IPL and then hand it over to Amit and Saurabh. On IPL, it is not about recovering cost, it is about, as I said, that we have an aspiration to get a market share of new acquisition to 35%. And as I said in digital business lead indicators are that what a kind of recall people have for your brand. We do lots of surveys and exercise to see our spontaneous recall for our brand and top of the brand recall when we are asking them which is the broking firm you 're going to open. So, there should be Angel One name in that. That 's the lead indicator that we would be able to reach that market share of 35%. So, this IPL is more about visibility, about that spontaneous recall that people should have, if they 're thinking about stock broking, Angel One should come in their mind.

Amit Majumdar: Aravind, so as I understand, I guess you also want to understand how the customers will evolve over time, right? If that is the question, then I mean this slide actually says that in about four years ' time, I mean we are comparing this to or we are actually kind of veering the discussion towards the active customers and we are saying that notwithstanding what NSE reports as the total number of customers who are active in a given year. What we are seeing is that when we see a certain cohort of customers that we acquire in a certain year, how many unique customers of them actually become active over a period of time, and therefore this data actually represents that, that in FY'21, whatever customers we acquired, in this case 2.4 million, 54% of them became active over a period of four years. So, when we now revisit this data in the following year, I am sure we will see a larger number there and similar is the behavior of the subsequent cohort of customers that we acquired. So, I hope that address es your question, Arvind.

Aravind R: Yes, sir.

Amit Majumdar: I'll give this to Saurabh to address on the lending and deposits aspirations.

Saurabh Agarwal: Hi, Ar avind. I think your question on lending is what is our aspiration in the next couple of years, right?

Aravind R: Yes, sir.

Saurabh Agarwal: Lending is largely the biggest area in Financial Services in India, and we also have very high aspirations there. At the moment we are in beta testing phase of the lending product and the experience for our customers. And as soon as we are out of it, we will start to aggressively build this vertical in the next two to three years, you should see a very large lending distribution play from our side. In terms of deposits also, I think most likely this quarter or early next quarter we should b e out with our deposit offering, where we will have tied up with a few banks and NBFCs to offer their corporate bonds and FDs.

Aravind R: Any numbers you can give in terms of penetration you would like to see in few years or like the quantum of this that you would like to see through?

Dinesh Thakkar: So, this question is pertaining to overall penetration, right?

Aravind R: Yes, especially with respect to new business , mining the existing clients.

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rabh Agarwal: I think as of now we are still in the early stages of the business, right. The aspiration is quite large, but too early to give out a number right now in terms of the penetration that we would hit.

Aravind R: Just one clarification. I understand the IPL association. I understand the importance of it. I am just trying to understand like will this expense continue for like FY '26, FY '27 also?

Dinesh Thakkar: See, Ar avind, if you look at IPL spend as our revenue will increase, so this spend would be very small amount compared to what we are spending today. So, we are spending this so that we are able to gain market share. So, when we see our growth rate and if this organiz ation becomes 3x or what we are in five years , this IPL spend would be quite small and insignificant.

Moderator: Ladies and gentlemen, due to time constraints, that would be the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Over to you, sir.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we were able to answer your queries satisfactorily. Should you require any assistance, please feel free to contact Hitul Gutka, Head of Investor Relations or SGA o ur IR Advisors. Good day.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Angel One Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

Classified as Public
Angel One Limited
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Research Analyst: INH000000164, Investment Advisor: INA000008172,
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To,
Listing Department
National Stock Exchange of India Limited Department of Corporate Service
BSE Limited
Exchange Plaza, C-1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Symbol: ANGELONE Scrip Code: 543235

Dear Sirs/ Ma'am,

Subject: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Further to our intimation on June 27, 2024 intimating of the earnings call with analysts and investors to be hosted by the Company on July 16, 2024, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same.

Thanking you,

For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer

Date: July 19, 2024
Place: Mumbai

Encl: As Above

Angel One Limited
Q1 FY '2 5 Earnings Conference Call

July 16, 202 4

MANAGEMENT :
Dinesh
Thakkar Vineet
Agrawal Amit
Majumdar Ravish
Sinha Jyotiswarup
Raiturkar Nishant
Jain
Chairman &
Managing
Director Chief Financial
Officer
ED - Strategic
Initiatives
Chief Product &
Technology
Officer Chief Technology
Officer
Chief Business
Officer – Assisted
Business
Prabhakar
Tiwari Ketan
Shah Deepak
Chandani Anuprita
Daga Subhash
Menon Saurabh
Agarwal
Chief Growth
Officer
Chief Strategy
Officer
Chief Data
Officer
Group Chief
Information &
Security Officer Chief Human
Resources
Officer Chief of New
Business
Devender
Kumar Bhavin
Parekh Hemen
Bhatia Shobhit
Mathur Dharmendra
Jain Hitul
Gutka
Head of Online
Revenues Head of
Operations, Risk
& Surveillance CEO – Asset
Management Co-founder –
Angel One
Wealth Co-founder –
Angel One
Wealth Head of Investor
Relations

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange
on 16th July 2024 will prevail.

Moderator: Ladies and gentlemen, good day and welcome to Angel One Limited's Q1 FY '25 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you and over to you, sir.

Hitul Gutka : Thank you. Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q1 FY '25 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and press release are also available on the website.

For today's call, Angel One is represented by Dinesh Thakkar, Chairman and Managing Director; Vineet Agrawal, Chief Financial Officer. We also have the senior leadership team of Angel One, along with SGA, our IR consultants. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a question -and-answer session.

Please note that there may be certain forward -looking statements during the course of the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks.

Dinesh Thakkar : Thank you, Hitul. Good morning, everyone. India's fintech industry has witnessed robust growth over the past few years, and platforms that help build wealth for young Indians have seen significantly adopted across the country. Digital enablement of products and services and Internet penetration ensures that an average Indian citizen now has multiple options that were previously unavailable. Seeing the rate of adoption on our platform indicates that future growth should be unprecedented. Angel One continues to remain at the forefront of this evolution, by continuously working on deepening adoption and closely observing customer behavior, shaping favorable outcomes for both the consumer and platform.

Encouraged by this deeper penetration of our digital platform across the country, we felt it prudent to associate ourselves with IPL, a household sporting brand with powerful regional loyalty, innovative marketing, a broad reach and more importantly, high youth engagement. This effort will not only help build a lasting brand, but will also deepen the category as a whole. An independent third -party study recognized Angel One as one of its top 3 most visible and recall ed brands during IPL 2024 season. Such investments

yield long -term benefits, enhanced visibility and recall and support our growth strategy as we diversify our product offering to include distribution of lending fixed income products, along with launch of asset and wealth management business.

We remain committed to excellence with client -centric approach, constantly exploring breakthrough strategies to capitalize on future trends and opportunities. We have implemented initiatives like offering a guest user experience for those who have yet to register a valid account, simplifying journey s for SIPs in ETF and single stocks and innovating in areas like stock discoverability. I'm happy to share that An

gel One is the
only major broker offering a fully digital process for opening joint demat accounts.

It is equally worthwhile to note the nature of new clients on our platform. They are young, new to market, Gen Z with unique needs and aspirations. Recognizing this need, we have invested in social media community initiatives to entertain, engage, empower Indian youth with high-quality financial content. This youth, coming from cities from Tier 2, 3 and beyond, need help in learning about stock market, personal finance, business case studies and much more , in the language they understand and on the platform they engage with.

In quarter 1 FY '25, we witnessed healthy trading volume with the peak orders growing at 31% sequentially. During the quarter, the platform executed over 13 million orders in a single trading session, thus establishing a new benchmark. To maintain our high standards of reliability and uptime, we have continuously evaluated and re-invested in our infrastructure. In quarter 1 FY '25, we moved our process es to new data centers and conducted regular disaster recovery drills to enhance reliability and preparedne ss. We also instituted innovative monitoring tools to track and improve our s ystem performance in real time.

Our assisted business have seen multiple products aimed at enhancing the NXT platform, offering our channel partners a superior digital experience. Some of the key initiatives include streamlining and automating the on -boarding process for mutual fund distributors, creating journeys to empower our partners to effectively cross -sell and up - sell to their clients. Leveraging our strong data analytical ca pabilities, we expanded into new areas while protecting our margin profile for the segment. Additionally ex periments with differentiated MTF pricing have yielded positive results , with blended yields ranging between 15% to 16%.

At Angel One, we harness the power of data science and analytics to drive informed business decisions and validate strategies for sustainable growth and efficient operations. By leveraging advanced techniques, we are able to devise accurate growth models, target the right cohort with precise campaigns and enhance client retention. Our focus on personalizing the platform experience and improving overall client satisfaction ensures a tailored journey for each user. We have automated customer service task with large language models, allow ing us to effectively provide accurate and prompt response to client's email query, thus freeing our team to handle more complex issues . Our commitment to building a secure cutting -edge data platform that offers a

comprehensive 360 -degree view of our customer, enables us to provide appropriate nudges , make strategic decision about costs, enhance customer lifetime value an d improve resources allocation. This data driven approach not only fosters business growth, but also improves customer satisfaction.

Thus, continuous investment in technology, product and data science are essential to curating a better client experience and deepening the market while also giving us an edge over our peers.

We have achieved new milestones in mutual fund distribution, reflecting the excellence of our mutual fund journeys. We reported our best quarter with over 0.5 million unique SIP registration in June 2024 alone and nearly 1.5 million in a quarter overall. We also commissioned journey s to view and manage the ir mutual fund investments seamlessly across different platforms. These innovation s reinforce our position as the second largest player in incremental registered SIPs.

Efforts are underway to integrate credit and fixed income products into our platform. We are making the necessary efforts to ensure reliability and effectiveness as we integrate our system with manufacturer's ecosystem.

We are expanding our wealth manageme

nt team and have instituted an advisory council and think tank with renowned industry experts. In Wealth Management, we aim to focus on product innovation across diversified verticals to cater to a wide spectrum of clients by leveraging technology.

Our AMC business awaits final regulatory approval and we will provide updates in due course.

Operationally, Angel One continued to deliver healthy performance and acquire about 2.6 million clients in the quarter with 90% from cities from Tier 2, Tier 3 and beyond, expanding our client base to over 24 million. Consistent investment in expanding the client base have increased our share in India's demat account to 15.2% as of June 2024. Our client s executed over 460 million orders during the quarter, translating into an ADTO of nearly Rs. 44 trillion with an 18.9% share in overall retail equity turnover. We continue d to witness sustained improvement in our cash segment market share, which expanded to 16.6 %.

Funds raised via the QIP in April 2024 have been deployed to grow the business, as evidenced by our healthy order volumes and robust growth in our client funding book, which average at over Rs. 26 billion in quarter 1 FY '25 , that is 29% higher sequentially.

I would like to allay any concern about the potential impact on company's revenue and margin from recent regulatory guidelines on true -to-label recovery of exchange turnover charges or any other intervention that can potentially affect our streams of reven ue. At Angel One, we are extremely sensitive to the overall experience we offer to our clients, while ensuring appropriate safeguard of the interest for all the stakeholders. I assure you that our business has inbuilt safeguards and provides adequate business levers including price action , thus ensuring continuity o f our growth and profitability.

Just like any other business, we are subject to an evolving regulatory environment. Regulatory interventions lend long -term clarity to business operations , making them predictable and resilient. We support regulation that protect investors and their long - term value , enhance transparency and disclosure help manage risk, provide fair access to market and enhance market integrity. We are also actively engaging with regulators on all aspects, that only foster higher confidence, given the long runway that the s ector has yet to exploit in terms of penetration and growth.

The Board has decided to defer dividend payout for the next few quarters to conserve resources, optimize our balance sheet and support our growth trajectory.

I will now ask Vineet to take you through our financial performance before we open the floor for any questions you may have.

Vineet Agrawal : Thank you, Dinesh bhai. Good morning to everyone. We continue to deliver a healthy operational and financial performance in quarter 1 of financial year 2025, with our average daily orders sustaining at 7.7 million, taking our aggregate order count to 462 million during the quar ter. We clocked our highest ever quarterly reported gross revenue at Rs. 14.1 billion, registering a 4% quarter -on-quarter growth.

Our gross broking revenue remained at par with quarter 4 of FY 2024 at Rs. 9.2 billion. Gross booking revenues accounted for 65% of our total gross revenues with F&O contributing about 84% in quarter 1. Cash segment contributed 11% of our gross broking revenue, which optically appears low since we do not charge on cash delivery orders for clients under the flat fee plan. Share of the commodity segment increased to 5% in quarter 1 of FY 2025.

Since majority of our clients are part of our direct business, their share in our net broking revenue stood at approximately 78%, while the balance 22% was contributed by clients acquired through our assisted business.

While our cash delivery order volumes continue d to remain strong in quarter 1, momen

tum in cash ADTO was in an upward trajectory. Higher activity in this segment, coupled with availability of capital from the recently concluded QIP, led to 29% sequential growth in our average client funding book to Rs. 26.3 billion for the quarter. Our period ending client funding book stood even higher at Rs. 34.1 billion. This led to a corresponding growth in the interest we earned on this book. The interest earned on client funding, along with the interest earned on deposits with exchanges, grew by 18.9% sequentially to Rs. 2.9 billion. Thus accounting for about 21% of the total gross revenues for the quarter.

The ancillary transaction income linked to the value of the orders executed by our clients on our platform remained stable at Rs. 1.1 billion and accounted for nearly 8% of our quarter 1 total gross revenues. It is these charges being referred to in the recent true -

to-label SEBI circular of July 1, 2024. The net income from these charges for the last financial year was Rs. 3.5 billion.

In quarter 1 FY 2025, we fully utilized the proceeds from our recently concluded QIP in funding our margin obligation with the clearing corporation and growing our client funding book. This limited the utilization of borrowed capital for the business despi te a 29% growth in our average client funding book and healthy turnover volumes, leading to stable finance cost at Rs. 556 million.

Employee benefit expenses, including cost of granting ESOPs was at Rs. 2 billion for the quarter, sequentially higher by 27%. This was primarily on account of headcount increase in our broking and wealth management businesses, increments and apportionment of variable pay for the current financial year.

Our operating expenses for the quarter grew by 15.5% sequentially to Rs. 4.9 billion. This includes over Rs. 1.1 billion on account of proportionate cost towards IPL associate partnership sponsorship and related digital and media adverts spends. The entire cost of IPL season 2024 has now been accounted for. Net of this brand spend for both quarter 1 FY '25 and qu arter 4 FY '24, our other opex declined by 6.4% sequentially. The decline reflects over 10% lower gross client acquisition, partly offset by higher spends on cloud infrastructure, demat charges and CSR -related spends.

Here, I would like to inform you that Angel One will continue to invest in scaling up its brand over the next few years. Our brand spend for the last -- for the rest of the year will be in line with our pre -IPL quarter trend. Such spends help us significantly amplify our brand across the country, giving us better reach to our target audience.
Our reported consolidated EBDAT margin declined to 37.7% for the quarter, primarily on account of higher IPL associate sponsorship -related spends. Normalizing both quarter 1 and quarter 4 for such spend on IPL, our EBDAT margin expanded to 48% in quarter 1 of FY 2025 from 47% in quarter 4 of FY 2024. This normalized margin also subsumes the expenses of incubating our new businesses of asset managemen t and wealth management.
Depreciation and amortization costs increased by 35% sequentially to Rs. 226 million in quarter 1 of FY 2025 , as this was the first full quarter post capitalization of our data center and disaster recovery sites in quarter 4 of FY 2024 in addition to incremental assets capitalized in quarter 1.
Our reported consolidated profit after tax from continuing operations declined by 14% quarter -on-quarter to Rs. 2.9 billion against a very strong quarter 4 PAT of Rs. 3.4 billion. Netting out the impact of IPL -related costs from both these quarters, the normalized profit after tax grew by 5.7% sequentially to Rs. 3.8 billion in quarter 1 as against Rs. 3.6 billion in quarter 4 of FY 2024.
Period ending cash and cash equivalent increased to Rs. 110.8 billion on the back of increase in client margins and cash genera

ted from the business.

Period ending client funding book nearly doubled to Rs. 34.1 billion as of June 2024, as compared to Rs. 17.7 billion as of March 2024. Consolidated net worth of the company grew to Rs. 48.3 billion, which includes Rs. 15 billion raised via the QIP in April 2024 and profit for the recently concluded quarter. In quarter 1 of FY 2025, annualized return on average equity stood at 29.8%, which was impacted with a higher net worth on account of the fund raise and softer margi n due to the higher IPL -related spend s. The leveraging of funds raised via the QIP, coupled with us revisiting the tariff profile, should further strengthen the margin profile for the forthcoming quarters. We also expect the ROE to come back to closer to our historic levels over the next few qua rters.
With this, I conclude the presentation and open the floor for further discussion. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Congratulations on a good set of numbers. Sir, firstly Dinesh bhai, on the regulations. There's just too much being spoken about. Firstly, it was true -to-label charges. Then second there was a change in the way the pledge -- the stocks qualifying for pledge would kind of change and Angel is one that broker who offers 100% pledge allowance to the customers.
That is second. And third is obviously all the aspects of the media article which came in spoken, speaking about number of expiries declining as well as the lot size increasing. Could you give some granularity on our businesses, particularly from the fact that what pricing actions or what other levers we have to offset the impact of true -to-label element?
And secondly, also on the aspect of what is the average lot size trading of customers. In the past, you've mentioned about 20% customers accounting for 80% of the volumes or revenues. So how should we look about this if all these changes were to be impleme nted in toto, then how would volume get hit? That will be my first question, actually.
Dinesh Thakkar: Yes. Thank you. Let me take one by one. First, true -to-label. So as you have seen this quarter, we have earned around Rs. 112 crores. And what we believe is that, okay, like we have enough levers to offset this impact, not ruling out a change in pricing and all that, that includes even charging for collateral that we accept for F&O segment and all that. So that way, we feel t hat our business has enough levers, which we can play to offset this true -to-label.
Okay. Second, on expiry, that SEBI has not come out, what would be their approach and what kind of like was said and done, what I understand there will be few indices, which will expire weekly and rest of this would be having a monthly expiry. So there will be traded options across the month. So customer for -- that customer is important that

whatever option he likes, he would like to trade on that, that is available across the month.
So I do not think that, okay, there will be a big impact because ultimately, what happens, customers have a certain wallet share for trading . So if there is kind of like weekly expiry or there's a monthly expiry, which is available across the month, they would trade in that.
There can be a small impact in volume. But if you look at kind of like number of trades they will do in a year, we believe that is not going to decrease in a substantial way. And whatever small kind of reduction of changes we can see, collectively, we work out what are the kind of like levers we have to offset that kind of like impact on our revenue, margins or growth.
As I said, that there are a few levers that we would like to use, including pricing on certain services and prici

ng on certain kind of like areas that we are not charging. We have to relook based on what impact we will have, but definitely we will have a relook after all the announcements are in place. And on average trading lot, I think Devender or Bhavin if you can take that question or Amit.
Bhavin Parekh: Yes, sir. The average trading lot, the lot size increase is still under discussion, and we are waiting the final say from the SEBI. But we presume there won't be any impact because recently, only the lot size has been decreased in NIFTY and we did not see a major difference in terms of how the customer behavior is towards that. So we'll wait for the regulatory to announce on this particular part.
And regarding the pledge question that you had, yes, recently, there was a circular from NSE, where some 1,000 scrips have been removed from the collateral and in a staggered manner, it will be removed till October. We are evaluating internally. And as Dinesh bhai said, we have internal levers and if it means that we have to pass on this particular thing to the customer, we will take an appropriate call on that as well.
Dinesh Thakkar: So Prayesh, overall, we think that we have enough levers and there's enough elasticity in our pricing. So that will take care of this announcement that we have heard till now because this is more competition sensitive information, we would not like to reve al and allow our competition to have some insight on what we are thinking about.
Prayesh Jain: Yes. Sir, just on this lot size. In the past, when you have mentioned that 20% of your customers account for 80% of the volumes, would you say that it will be 20% accounting for 80% of the revenues? And would it mean that this still would not get hit if the lot size increases to, say, 3x or 4x? Would that be a fair assumption that at least this 80% of the revenues or volumes will not get impacted under -- if the lot size increase by 3x or 4x?
Dinesh Thakkar: My belief is that it should not get impacted as I said, that client is with that has some allocation towards trading investment and all that. And if you look across kind of like different -different cycles, this is my experience , a customer will find out way how to

trade. If they want to trade, they will choose their kind of like contract size or all that, unless it becomes like a banning of options. Okay. But this is the leverage product, what they are used to. Increasing – decreasing lot size -- like that decrease a lot size, that did not mean that our volume went up 100%. It has a small impact, and it gets utilized within some time.
So we believe that this change in lot size, if it is substantially higher, then it can have some impact. But what will happen this people or a client who want to do trading, they will find out some other instrument to trade. What we believe is that people who are trading, they have certain allocation towards speculation risk. They have some risk capital. So that is going to stay in this market. Which instruments they are going to use, what expiries they are going to use, that all depends based on changes th at the regulator will announce. But overall it is fair to say , I don't see any kind of like volume moving out from this market.
Prayesh Jain: Okay. Got it. Sir, last question on the AMC license. It's been -- the final approval is pending for a very long period now. Now this time gap is possibly the longest for any of the applicants in what we've seen. So is there any -- so what's the challenge o ut there that we are not getting the final approval?
Dinesh Thakkar: I think Hemen is the right person to take this question. Hemen, please?
Hemen Bhatia: Yes. There's a process for seeking the AMC MF license. So we -- I could say that we are in the final stages. And as a part of the process, there are different things from filling

an application, to getting in -prin

ciple approval, to getting the inspection done. So most
of our things are in place. And as of now, we do not have any f urther comments from
anybody to address. We are awaiting the license. And as a general trend, I've seen,
during the time of election, the overall process -- approval process little bit slow s down,
okay . So given that we are done with the election process, etcetera, I think things should
now pick up pace and we should have our final approvals very soon.
Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund.
Please go ahead.
Ajox Frederick: Sir, you mentioned that the dates of expiry decreasing will not have a major impact. I'm
just trying to understand that, sir. Can you please elaborate on that?
Dinesh Thakkar: See, as I said, that if you look at customers who are coming to the market, they have
some allocation of capital or trading or investment and all that. I do not think that
allocation is going to change. Even if like there's a weekly instrument or a monthly
instrument, it is traded on daily basis.
So we believe this customer, instead of trading expiry contract, which was available
daily, they will take contracts which may expire after a month. But for them, what is
important to take a position on the day basis or two -day basis or three -day basis, th at
options are available. In that sense, whatever kind of wallet share they have for trading
purposes that will remain in this market.

Ajox Frederick: You're saying that instead of the last day we should do to T-minus 1, T -minus 2,
etcetera…
Dinesh Thakkar: Yes, I have seen that. Ye s, exactly. And we have seen -- our experience is that when a
customer trades like one day or two day prior to expiry, they in fact lose lesser kind of
an amount. So what I believe is that, that extends their life in the market.
Ajox Frederick: Understood, sir. And sir, second question, you also mentioned about pricing elasticity.
But if you look at the market, we're all around one large player's pricing. And therefore,
you think the large player moving will directionally indicate where we will e nd up with?
Dinesh Thakkar: All large players you say -- this market right now is driven and expanded by large four
or five players. So unit -wise economy of every player is same. In fact, we are far more
efficient. We have take an average efficiency of this industry. If we are impacted by
certain percentage and we try to use that lever of price, everybody would be impacted
in terms of unit -wise pricing. So that way, I feel when I say elasticity, customer does not
mind paying few rupees extra per order or paying for cash segm ent and all that. What
is important for them, they should get best service on this platform.
When they are trading in any kind of like contract, they take a calculated call for them.
In fact, they don't mind paying more. But what is important is that are they getting
service? Are they able to associate with the particular brand for trading investm ent
purpose? So that way, Angel One is fortunate in terms of great efficiency and great
brand value for people who want to come to capital markets.
Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: First on the timelines for the launch of credit product as well as fixed income product,
what are the timelines when we should start seeing some pickup in that?
Dinesh Thakkar: Yes, great question, Nidhesh. I would ask Saurabh to answer this. Because just to brief
you that we are seeing a very positive trend on that. We have completed our integration
with our platform. I think Saurabh would be the right person to give you more in formation
on this.
Saurabh Agarwal: We are currently in a beta on the credit product side, we have integrated with a lender,
we should be integrating with three, four more lenders in this qu

arter. And we should
largely be out of our beta by the end of the quarter. And in terms of traction that we are
seeing on the platform, even though we have opened it up for a very ins ignificant base
of our overall KYC'ed customers, we are seeing great positive traction on the credit
product side. Again, on the fixed income side, we are in beta. We have made it live to
a select audience base. By the end of the quarter, we should have rolled out to our
entire audience base.
Nidhesh: Okay. So by the end of this quarter, Q2, both these products should be live for all
customers?

Saurabh Agarwal: Yes.
Nidhesh: And secondly, what is your strategy in wealth management? Because I see that we are targeting all customers across income levels. But our captive customer base is coming more in the mass category of customers. So why are we targeting the UHNI's customer segment, which is very different and the entire investment s required will be quite different and have very low synergies with the existing platform or existing customers that we have?
Dinesh Thakkar: In Wealth our strategy is that, we believe that we have to serve all individual needs when it comes to capital market. And there is a segment of investors, which we feel that can benefit by combining technology and people with domain knowledge. And we have got a great team of co -founders who m we believe that they, first of all, have a domain knowledge and they understand importance of technology.
So I would like Shobhit to answer you on this wealth management which area they are targeting. And just to give you a brief that we have seen a great response in terms of attracting talent. So we are very optimistic in terms of achieving great kind of like business through this vertical. Shobhit, over to you.
Shobhit Mathur: So the thought process is that we are seeing a very, very strong tailwind both in terms of the emerging HNIs and HNIs that the country is seeing. And some of us who have joined the team have had large number of years of experience in managing the money for HNIs and Ultra HNI clients. And that's the domain skill that we think we will be able to bring to the table very strongly.
And as Dinesh bhai rightly answered, I think in order to reach out to a large number of growing emerging HNIs and HNIs across the country, I think the need of having a very strong technology platform in place to be able to reach out to those many customers is going to be essential. And I think that's the synergy that one is really strongly looking at.
No doubt, the market itself is providing great opportunities. Indian investors' interest in terms of taking risk and deploying money into financial products is also growing. So I think it is a combination of all three pillars, a strong domain skill and a s trong technology platform. And of course, ours is meant to be an omni -channel platform where there will be additional relationship managers who will also be reaching out to those set of customers. So I think those are the three strong pillars on which we t hink that the HNI needs can be fulfilled the best, and that's what we are going to capitalize on.
Nidhesh: Just a clarification, are we also targeting UHNI segment individuals with Rs. 25 crores plus of that segment in?
Saurabh Agarwal: Yes, we will be.

Nidhesh: Because by skill set and the platform requirement will be very, very different across all three categories -- three, four categories within this segment. And what is the investments that we have already made in this business or in terms of team building?
Dinesh Thakkar: Like you want to know investments that we have done? Okay. Vineet, if you can take this.
Nidhesh: I want to understand the operating cost that is increasing -- employee cost which is increasing, how the trajectory will be? Are we fully inve

sted in wealth management,
asset management, or we will see further increase in the operating cost from these businesses?
Dinesh Thakkar: At HoldCo level, Vineet, if you can just take this question?
Vineet Agrawal: Sure. So as I had communicated in our last earnings call, the impact of the new businesses, the incubation of the new businesses in the overall operating margin of the consolidated entity will be about between 1% and 1.5%. So this is going to be there.
This quarter also, these expenses that we've incurred towards the new businesses have contributed to about 0.6% of the overall operating margin of the business.
Nidhesh: Okay. So 60 basis point of revenue is being -- is the investment in these businesses, is the cost of these businesses as of now?
Dinesh Thakkar: I was unable to get your question, if you can just repeat the last one.
Nidhesh: Yes. Just a clarification, so 60 basis points of the revenue is the operating cost of these businesses in this quarter?
Vineet Agrawal: No, 0.6% of the operating margin of the broking business is the impact of the new businesses. So the new businesses have burned about 0.6% of the overall operating margin.
Moderator: The next question is from the line of Ankit Babel from Subhkam Ventures. Please go

ahead.
Ankit Babel: Most part of my question has been answered, but just a clarification. Sir, you mentioned that your ROE will go back to previous highs in the next few quarters. Now we understand that there would be a big impact from 1st October due to this SEBI regulation on turnover charges. At the same time, you also mentioned that there are enough levers available to compensate that. But just wanted to understand, are those levers enough to fully compensate this loss without impacting your overall growth and client experience?
Dinesh Thakkar: Ankit, as I mentioned that there are enough levers to offset this increase or maybe benefit that would be withdrawal. But what we are looking at is that, as I said, that size that we have in this industry, our efficiency is better than average for -- if I take an

average of all four, five digital payers. So whatever impact we see in terms of unit wise cost that can be easily offsetted with using all that levers.
Ankit Babel: Okay. But to compensate this current loss and any future losses which might come due to change in regulations, is increasing the brokerage rate option available? Will you consider that?
Dinesh Thakkar: Yes, definitely . This is what I am saying that we are waiting for announcement on other things. We will evaluate what kind of an impact it can have on volume. If you see certain impact, which needs some correction in pricing also, we would definitely do that.
Ankit Babel: Okay. So lastly, as investors, is it fair to assume that going forward, you will maintain this 47% to 48% kind of operating margins in the coming years without impacting your growth?
Dinesh Thakkar: After the capital raise, Vineet, if you can just like answer this? After capital raise, ROE would be different.
Ankit Babel: Not ROE, EBITDA margins?
Dinesh Thakkar: Yes, EBITDA margin definitely would bounce back. If you see today also at sales, our margins are quite decent enough. So there are lots of levers which we can play in terms of looking at new regulation, what kind of inflows we see in customer coming new to market and all that. So it's too early to say, but as I said, there are lots of levers including looking at increasing our price, which are available. If you look at variable costs, that chart that we do, there are lots of things that we c an use to get this OPM back. So we are very confident that we'll be able to, in a few quarters, we will be able to come back to this OPM.
Moderator: Thank you. The next question is from the line of Gautam Trivedi from Nepean Capital LLP. Please go ahead.
Gautam Trivedi:

This is for Dinesh Thakkar. The figure that stood out immediate supply...
Moderator: Sorry to interrupt sir may I request you to use your handset sir you're not clearly audible.
Gautam Trivedi: Yes, I'm using my ear pods. Can you hear me now? Is it better?
Dinesh Thakkar: Yes I can hear continue. Gautam continue.
Gautam Trivedi: Okay. Thank you. One of the things that stood out for me was that your client funding book is up 200% as you mentioned to Rs. 34 billion year -on-year and then your exposure per client is also up 80% to Rs. 1.8 lakh. So both these numbers obviously are much quite bigger on a year -on-year basis, quite staggering. My question is do you think that the market at this point is overheated ?
Dinesh Thakkar: It is very difficult to say when market is overheated . I think best of expert would not be able to say you when market is oversold and all that things. We have been tracking

market including you all since 30 years, never we have predicted peak or the bottom. I think looking at fundamentals definitely everybody is bullish.
We don't feel that it is overheated . Lots of kind of a value there still in the market and we are expecting lots of concerned inflows retail as well as from FIIs and all that. Though I am not an analyst tracking the market, but my gut feeling says that the best phase of market is yet to come.
Gautam Trivedi: Fair enough. And one last question from my side. On Slide 25 on the extreme right you've got the client funding book segmentation and there it says 84% of your client funding book is blue. So the blue color says 0.1 million. So what is that 0.1 million? I s that the average contract size AUM of the customer? What exactly is that? How do I read that?

Dinesh Thakkar: Vineet, if you can take this question.
Gautam Trivedi: Vineet do you want me to repeat the question.
Vineet Agrawal: No I understood your question. What this bar which is deep blue it denotes is that the 84% of our total book comprises of clients having exposure of less than Rs. 100,000.
Gautam Trivedi: So that equates to the low per client exposure of Rs. 1.79 lakh?
Vineet Agrawal: That's the average the average across the entire book is about Rs. 1.8 lakh or Rs. 1,80,000. 84% of this book is about less than Rs. 1 lakh and then 9.6% is between Rs. 100,000 to Rs. 500,000 and about 6.4% of the book is between more than Rs. 500,000.
Gautam Trivedi: Understood. Thank you very much. Just one question for Mr. Thakkar you mention ed that you are postponing on the dividend you don't want to declare for the next few quarters to conserve capital where is that coming from, what's the concern or why are we doing that?
Dinesh Thakkar: If you see that we have skipped dividend, we have raised the amount through QIP because we feel looking at the growth of this industry lots of capital is required to support this growth. So we would like to watch the trend for few quarters and then again I will start coming back to giving dividends.
Gautam Trivedi: Got it. Thank you so much.
Moderator: Thank you. The next question is from the line of Abhijeet S from Kotak Securities. Please go ahead.
Abhijeet S: Yes hi good morning everyone. Sir I have couple of questions again on the MTF book. One is that how should we see this book growing now that with fresh capital we are already seeing the impact on growth, but what's the untapped potential with our current customer base and where can we take it to in the next 6 months to 12 months?

Dinesh Thakkar: We are seeing a good traction on MTF in direct business as well as assisted business. So if we -- like we feel that growth in this segment will continue at a decent rate. Devender and Nishant if you can take this question in terms of...
Devender Kumar: This is Devender this side. So on the MTF front there are two, th

ree big changes which have come in. Obviously, the funds coming in has allowed us to expand our base of users who we were restricting in terms of usage because the same thing so that I expan ded which has allowed large customers or large ticket size also to come in. Secondly, there are major innovations changes that we have done on the product front where we have introduced now MTF product base, so people can actually have a complete experience of an MTF product which was not available earlier as well as we have intro duced some journeys where clients who are trading or buying investments. We have come up with journeys where if there are short on funds , we are giving them an option of using MTF which we were not doing earlier , which has now obviously allowed lot of peop le to -- generally people who were investing in the market to come ahead and use these funds for their investment purposes for short -term purposes. So combining all these three activities has resulted in the overall increase in MTF that you're looking at w hich has got us to a place today.
So we continue to look at going ahead as well. This will continue as we are bringing more innovations and more simplified products for our customers to use this in a much more higher customer experience oriented way which is what is now driving this growth at this point of time.
Nishant Jain: Further to add what Devender mentioned. The market remains to be highly robust. The overall book at the industry level is at about Rs. 73,000 crores and we believe that from here on we would definitely be seeing a 50% upside in the next 6 months to 12 months if that was the question that you have.
Abhijeet S: Got that useful. And just qualitatively I guess the customer profile of MTF clients would be somewhat different from the rest of the client base. So if you could give us some color in terms of what are the average positions that they hold with us or age pr ofile vintage?
Devender Kumar : We don't look at this data, but generally when we have looked at data we have found that they are very similar to our investor category and trading. We don't see much difference in terms of their profile and general trading clients or investing clients. We don't see that differ ence in terms of age and rest of the places.
Abhijeet S: Okay. And one last data question is that what's the revenue share for the AP clients who are borrowing through MTF? What share of interest income is getting shared with the APs?
Dinesh Thakkar: I don't think we share that data. Vineet do we share this data?
Vineet Agrawal: No, we don't.

Dinesh Thakkar: We don't share this data.
Abhijeet S: Okay no problem. Thank you so much.
Moderator: Thank you. The next question is from the line of Ashish Goyal from Invest Savvy Portfolio Management L LP. Please go ahead.
Ashish Goyal: Good afternoon. I'd like to ask that while I understand that there was not much of an impact when the lot size was reduced, but if the lot size has significantly increased which seems to be what SEBI is trying to do , indicat ive numbers given in one of the articles indicated lot size going to as much as Rs. 20 lakhs to Rs. 30 lakhs.
Now clearly I understand investors have a certain amount of capital which they want to use for trading, but if the lot size goes to that amount then how do you mitigate that risk and what is the kind of impact you would see in your business?
Dinesh Thakkar: Ashish it's very difficult to say that what SEBI is going to introduce. What we understand would be certain measures which I think that we have seen lot size from say like Rs. 6 lakh to even like Rs. 15 - Rs. 16 lakh and we did not see much of an impact on revenue.
I'm not saying across 8 years, 10 years. Lot size has been changing time and again.
So unless and until it is very kind of an like different than what we are thinking we cannot co

mment on what SEBI would come out as a final figure, but whatever discussion we are having and what we are understanding does not seem to be very substantially h igh, but even if there's like in your range what you are saying, I don't think it is going to impact in a big way because we have seen that okay when lot size increase then to retail may trade less, but what we have seen is that capital allocation towards trading does not change across life style. I have seen this industry since last 25 years whatever leverage product is available customer has certain allocations of their capital towards this. So if it’s lot size is within that range unless and until they come out with very kind of a different number. What we are discussing, what we are talking would not have a significant impact and whatever little impact it will have I think we have enough elasticity in price to offset and take care of that.
Ashish Goyal: Okay. I guess we'll have to wait for the numbers to come out.
Dinesh Thakkar: Yes, exactly. We have to wait for the announcement then it will be a right time for us to comment on that.
Ashish Goyal: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Thank you for the opportunity. Last quarter when we announced the results we said that our EBITDA margin will be somewhere between 53 to 44 percentage for FY '25.
Today, it is around 37% means if I adjust for the IPL cost it is closer to 48 %. So is it fair

to assume that in subsequent three quarters maybe in fourth quarter you will still have an IPL impact again, but you will operate in that 47%, 48% EBDA T margin and end up with the year at 43.5% or 44 kind of number. How do I look at the EBDA T margin story to play out?
Dinesh Thakkar: Sanketh as you mentioned that we have to wait for SEBI announcement, there can be impact for one or two quarter till the time we adjust to new announcement and all that, but overall if you look at -- now let us come to IPL first. IPL would have a long -term kind of like benefit. So it is not right to say that okay with IPL I believe that main impact or benefit of IPL would be seen in the block of 5 years.
So if I apportion that 5 years, I don't think IPL is going to impact with that block in a big way, but when we are spending in that quarter impact is seen. Now coming to like OPM across FY '25 , we believe , as I said that when we evaluate this announcement which are going to come already we know about this true -to-label and all that. For that, we are very confident that lots of levers can be used to maintain our OPM.
We have to wait for SEBI announcement and then it will be the right time for us to tell about FY '25 OPM because these announcements are expected to come say in a month or two. So it will take some time for us to react in a way you have to evaluate in terms of what changes we have to do in our business model , what levers we have to use to offset any impact , if that is there. So a bit early to say, but overall I can say as a business model we would be maintaining this OPM of 47%, 48%. We cannot comment on th at quarter.

Sanketh Godha: Yes, I got it. Sir, but then it is safe to safely assume that any lot size change on any regulation with respect to options which will come, you are indirectly admitting to the point that it will have an impact on the growth and therefore predictability o f the profit margin will be difficult to tell at the current juncture?

Dinesh Thakkar: No, Sanketh what I am trying to say when announcement comes we have to evaluate it properly that exactly what would be our kind of like strategy for that. So that many times takes 15 days, 20 days or a month, quarter is just three months. So we would not be very impulsive in terms of reacting. We have to evaluate each and every concern. See

we are more of like company who believes in data. We look at 5 -years data. We check what would be an impact on customer behavior.

If it is temporary, short term or medium term so I'm commenting on that quarter when announcement will come that quarter may not reflect a right OPM picture. But if I look at overall what we can achieve in terms of business model if I take even two quarter s here and there we would be able to restore back or come back to OPM of 47%, 48% that is my point. It's a big announcement that we have to wait to evaluate. We cannot be impulsive. We cannot be prepared for what we don't know.

Sanketh Godha: Got it. And on margin trade funding book you said industry size is Rs. 75,000 crores , so we are broadly at 5% market share. If I do the reverse math I think the largest player

is somewhere around 20% plus. So just wanted to understand it means to drive the margin trade funding book means you will keep on focusing on cash market and cash delivery market. So is it fair to assume that when you say tweaking of the charges, you might not touch the cash delivery because it's kind of an indirect support for margin trade funding book, which is more profitable. Can one make that conclusion? Or do you think both are independent and margin trading funding book and cash delivery charges will not move hand in hand?

Dinesh Thakkar: Sanketh I can tell you one thing that okay, whichever segment was subsidized and all that, that will not remain. And customers are okay to pay for a cash market they never said no. We felt that we have enough OPM, we continue to kind of like keep a zero brokerage.

Sanketh Godha: The reason I'm asking sir, this is that last September only, we took that call of reducing meaningfully lower compared to the industry competition. So now we are coming back on our stand.

Dinesh Thakkar: You are getting confused. That was intraday. This is delivery. So intraday charges, we realized while going digital, we missed out that portion of somebody is trading in a low kind of like ticket size. We need to give kind of a like brokerage, which that p erson would be able to kind of like trade and earn. If we charge too much on that contract, we will lose that customer to traditional brokers. See, by definition discount broking on people like us using technology platform has to be lower t han traditional brokers. That segment, that pricing, that ticket size, we were higher. The day we realized we reduced that price to Rs. 20 or 0.03%, whichever is lower.

So that is not connected to the cash segment what I'm discussing right now. And this charging on delivery will have an impact on margin funding, we don't believe even a customer is kind of taking delivery, they are okay to pay charges. But only on our own , we are cutting zero.

Sanketh Godha: Got it. And this MTF book, I just wanted to understand which customer segment is driving. It is direct or assisted sales people, customers are predominantly driving our MTF book.

Dinesh Thakkar: Growth, we are getting growth from both the segments, as Devender and Nishant told you that both those books are growing at an equal rate and there's a good potential. So right now, like already we have seen a good growth. So kind of an adoption and custom er like liking, margin trading platform on our -- margin trading service on our platform is really like they appreciate it and they use it also. So what I feel many times, suppose I have seen in my life that if option ticket size goes highe r many of those customers move to cash trading platform they leverage by taking margin trading.

Sanketh Godha: Got it. Perfect. And lastly, sir, on this offline business using your authorized person and getting into distribution I think we did not touch upon on that point. Can you just tell us the progress and when we can see revenue materialization happening in th at plan?

Dinesh Thakkar: When you're saying assisted business?
Sanketh Godha: Yes, assisted business.
Dinesh Thakkar: Assisted business authorized people distribution in terms of mutual -- other products, you are saying?
Sanketh Godha Yes, right.
Dinesh Thakkar: Okay. Nishant, if you can take this question?
Nishant Jain: Yes. So as Dinesh bhai had mentioned during his initial opening remarks, we have recently taken live the journey for DIY on -boarding for mutual fund distributors. And the whole idea is to create a disruption of sorts and provide these players a very potent platform, which they can use to one, attract their own clients and also grow their business into different other revenues, which we already offer.
So I think with this going live, we are very confident that we would be able to attract a very decent size of mutual fund distributors and eventually panning out into a decent growth as far as our AUM and mutual fund clients are concerned. And the approac h also is once those kind of customers come by who may have a mutual fund first approach, we would like to use that funnel to also cross -sell multiple other products including broking and our internal data is suggestive of this trend.
Sanketh Godha: Got it. And have you finalized what will we be sharing between you and MFD I mean, 70-30, 60 -40. Anything concrete is metallized now?
Dinesh Thakkar: No, we don't disclose that.
Moderator: Thank you. The next question is from the line of Yashodhan Nerurkar from Edelweiss Mutual Funds. Please go ahead.
Yashodhan Nerurkar: So firstly, I wanted to understand since you have a plan to incorporate a wealth management division, I wanted to understand how are you looking to scale that up because I mean, I'm asking because I mean most of the client base is somewhere below 30 on an average. And the opportunity to cross -sell the product also is taken out because of the client age. So how exactly are you planning to scale that business?
Dinesh Thakkar: Yes. First of all, we have formed the company. It is not we are planning. Already, we have formed. Team is in place. And I would ask wealth management team to reply on this.
Shobhit Mathur : Yes. So the plan here is basically to build solutions for emerging HNI, HNIs and ultra HNIs as I mentioned earlier, we already have got the team scaling up. We already, basically 3 broad directions in which the teams are getting built. There is an investme nts team which is going to be looking at all kinds of investment solutions, which cater to the requirements of the HNI customers in general.

There is a technology team additionally which is setting up the technology platform because the requirements of HNI customers are different than the requirements of customers that currently are offered on the Angel One platform. So there is a separate technology team, which has already got set up. And thirdly, there is -- as I mentioned earlier, there is an omnichannel approach , we are also going to have relationship managers, who are going to be approaching many of these HNI clients because HNI clients do like to have interactions with individual relationship managers because the discussions can go beyond pure execution of financial investments.
There are discussions around various other aspects related to their wealth management needs. So it is a comprehensive platform, which is getting built. We already have got registration with AMFI for distribution of mutual funds. So to that extent, the bui lding blocks are starting to come in shape. We have a plan where this all business will continue to keep adding up and the teams will continue to keep getting built to address various kinds of requirements and needs of wealth management customers.
Amit Majumdar : Yashodhan, if I may add on your point about our customer base at Angel and i

f there's
a potential to cross -sell. And the point here is that we have seen our customers also evolve. The number that you mentioned in terms of the age is actual the median age but there are a set of customers who are on the higher side of the median age and basis our data analytics they also fulfill some of the parameters that the wealth team is currently exploiting , and therefore, to that extent we will be enablin g the journey more as a tech wealth -tech kind of offering to those set of customers because we believe they are far more digitally savvy at the same time at the right age and the right value bucket.

And we see that over the next few years, 5 years to a 10 -year bucket a lot of our existing customers will eventually evolve there. And this is the beauty of our model because even in any other product, we believe in setting it up at the right time so that we are not too ahead of the curve. At the same time, we have the platform ready, so that whenever there is any change in the business strategy then we have process -- already to take care of it. So that's the point to answer about your existing customer b ase of Angel One.

Yashodhan Nerurkar: All right, that's very helpful. And secondly, I just wanted to understand, I mean do you guys keep a data as to the number of people who are trading the derivatives. They're trading on daily options or monthly or the weekly options. So do you bifurcate the se sort of traders? And the revenue contribution from each of them, do you categorize them into different buckets as such?

Dinesh Thakkar: See internally, we do lots of kind of bucketing but this being very competition -sensitive data, we don't disclose all this.

Yashodhan Nerurkar: Okay. No worries.

Dinesh Thakkar: We have a big Data Science team just doing all this job.

Yashodhan Nerurkar: Okay. Sir, just one last question. Since earlier participant asked you about your -- the margins. So I understand there are certain expenses which are not in your control and are dependent upon the multiple regulation that will be coming out. But there are certain costs, which are in your hands, I mean in terms of scaling up certain initiatives which you have been planning. So in terms of moderation of those expenses, do we see them moderating in a year or 2 or they'll continue to be on that elevated front because of the investments you are making in different new initiatives.

Dinesh Thakkar: Yashodhan, investment in new initiatives is kind of like long -term call, so definitely, there is no slowdown in that , in fact, we are seeing quite positive kind of like signals we are getting from all new businesses including wealth management and AMC. So that investment will continue.

Now for information already, we have taken that cost, and we're yet to see revenue from all those vertical. But looking at original -- initial kind of responses we are getting in terms of attracting right kind of talent and all that , I think we will continue to be fully invested in that. On scaling up as we always see cost of acquisition to lifetime value. I believe lifetime value with all these changes is not going to change. Hence, our strategy in terms of scaling up also will remain as it is.

Yashodhan Nerurkar: Okay, fair enough. Thank you so much. That's it from my side and good luck to you.

Moderator: Thank you. The next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: I just have 2 general industry -level questions. So firstly, active NSE clients is a metric reported by all the companies to represent their market share and for market sizing. Just want to understand what percentage of active NSE clients are usually the on es operating in the F&O segment. So basically, how representative it is of the majority of our business. That's the first question.

And secondly, could you prov

ide some sense around the value and volume growth of the industry? Basically, is it that more people are entering into F&O trading that is what is driving the growth? Or is it that the same people are putting in more money into it some sense around this?

Dinesh Thakkar: First question on active customer base that does not represent our volume on F&O because these are the customer base who have just traded once in a year. Our experience is that any customer when we acquire they may not be active in their first year but the y later on become active in F&O and other segment. So that way, there is no straight correlation between active customer base and active customers on F&O segment.

Second, on your question was on value and volume growth. See what I have seen the customer has a certain kind of like appetite for trading in the market. So what is important for us that okay, whatever a customer has a capital in terms of trading or

investment that has remained almost constant. I don't see much of a change in that ticket size.

So exposure for customers, if I take even after this volume has increased on F&O , if I take customers like 2 years back their ticket size or exposure in F&O market was same.

This volume that we are seeing growth in premium or F&O it is because of more number of customers coming to the market. So overall ticket size of a customer remains same. I think this whole surge that we saw in volume it is because people across India because of access to capital market , they all have become active if you look at growt h in kind of like premium markets and growth in customer base almost goes hand in hand.

Chinmay Nema: Got it sir. And lastly, you've been in this industry for a long time. So typically, what's the behavior of this customer segment during times of market downturns, I mean, clearly, the last 4 years markets have been in major upswing. But in your experience, subjectively , what happens during periods of downturns?

Dinesh Thakkar: We have seen during downturn previously because market was shallow, mostly retail were participated through kind of like urban and tier , metro population, we were unable to even counter like selling from FIIs, even small selling in a year like Rs. 50,000 crores, Rs. 60,000 crores, even Rs. 1,00,000 crores used to create a big disaster in market. So what I am seeing is , one scenario is before digitization and after digitization. After digitization, what happen a new set of customers, young who were social media savvy , they understood virtue of equity. So what I'm saying if you look at downtrend, it is not downtrend has not happened. If you look at COVID, there is a big downtrend. There are lots of kind of pockets where market has corrected a lot. That correction, what we saw retail behavior was different than what it used to be. In every downturn, they have really bought shares. I'm not talking about just trading in F&O, they have really acquired -- they have created AUM at every downfall. So right now, appetite of people who want to build AUM is so large, and they are so kind of like savvy in terms of that wealth can be created only through investing in equity. They know every thing about SIP, Mutual Fund, F&O. We colour this youth as they are very kind of like aggressive , they just want to trade in F&O. But if you look at buckets of investors who are investing in SIP, invest in cash market , he is the same profile. So I believe in downtrend, they're going to buy because they have an appetite to build their AUM if they see market is available at the right valuation because this generation gets information or kind of like wisdom from social media and they're ready to put their savi ng what they usually used to put in bank in equity market.

Chinmay Nema: That's very helpful.

Amit Majumdar : I am sorry, Chinmay. I have to a

lso help you -- seek some attention to Slide #37 of our Q1 FY'25, where we have given some representation around what happens to retail participation when the market falls by 5% or more. That's a very useful slide. You will see it over a longer period of time, it doesn't impact. So, that kind of addresses your question 2.

Chinmay Nema: Thank you so much.

Moderator: Thank you. The next question is from the line of Arvind Datta from Marigold Wealth. Please go ahead.

Arvind Datta: My question is regarding the SIPs that have been registered on your mobile app or the platform. As Mr. Thakkar said that 0.5 million SIPs got registered in June and almost close to 1.5 million for the quarter. So, first question is that what is the average ticket size of this SIP? And second one is, what is your current AUM on the mutual fund side? That's it from my side?

Dinesh Thakkar: First of all, we are seeing a good traction on SIP, both from direct business and B2B. I would like Saurabh and Nishant to take this question.

Saurabh Agarwal: So far, we don't disclose the AUM on the entire book because the idea is to get more and more customers used to investing in SIP and start getting retained on the platform. In terms of the average SIP value, we have seen a consistent increase in the SIP va lue over the last 1 years since when we started the journey. And we would be in the range of roughly Rs. 1,500 per SIP, per new SIP that is registered.

Arvind Datta: Thanks a lot. That's from my side. Thank you.

Moderator: Thank you. The next question is from the line of Sanidhya from Unicorn Assets. Please go ahead.

Sanidhya: So, first question is on the side of the MTF. So we are seeing that SEBI and regulators continuously heading on the revenue side of the entire market. So, do we see any changes in terms of our MTF Book as per the new norms because many of the stocks will be out of the list now?

Dinesh Thakkar: Bhavin, you would like to take this?

Bhavin Parekh: Yes. See, this stock is not related to MTF. MTF there is actually as per regulation any stock which forms part of Group 1 securities, MTF can be backed. What has taken away

by NSE is the collateral that can be repledged to -- that is a clearing corporation , that they will not give an exposure towards the margins of the F&O.
But as far as MTF is concerned, this has nothing to do with that circular. So, MTF would continue to be as is. And as per regulation, as I said, all Group 1 securities are allowed to be funded through MTF route . I hope that answers.
Sanidhya: Yes. So do we see any impact on our internal cost due to this? That was actually I wanted to ask?
Bhavin Parekh: No, nothing.
Amit Majumdar: And to your question on how the regulators are seeing this space , so this MTF that we are referring to is actually a regulated product, and it is done in the books of broking

itself. So, far as this particular segment of the business is concerned, we don't see any challenge there because this is a rightful way to borrow money on the back of securities with a certain percentage of margin and all of that from a risk management pe rspective is a very well institutionalized product in the segment.
What is also important here to note from our point of view is perhaps we are the only digital player who has this product enablement on our digital platform. So to that extent, it gives us an edge when it comes to any pricing change that we need to introduce and if there is any leverage impact on a customer, and the custome r were to actually use the equity cash market as a leverage, then we will be the ones who will be benefiting from it because we have a well institutionalized digital journey already on t he platform.
And therefore, the only other player that we compete with here is the bank -led brokers, who have a s

ignificant amount of capital. I wouldn't say infinite, but significant amount of capital. So it's a function of capital. But from a digital enablement, we a re very much there because we have been in this business for very long.
Sanidhya: Secondly, on the lending business. Can I get an overview on what kind of lending business are we looking foray into? And what kind of RBI approvals have we taken or other regulatory approvals we have taken for that?
Dinesh Thakkar: Saurabh, if you can take this.
Saurabh Agarwal: Yes. So in terms of the lending business, we are looking at being a distributor for secured, unsecured products, credit cards over time, right? As of now, we are in beta for unsecured PL lending right now. In terms of RBI Approval since we are acting as a distributor, we don't need too many approvals. Having said that, we act as LSP for the lenders who we distribute for. And we are compliant with respect to SEBI regulation on what we can do and what we can't do with respect to the distribut ion business. So that is in terms of the regulations. In terms of the business thought process, the idea is to enable more and more lenders to participate on the platform and to give the best price and the best offers to our customers both on the unsecured and the secured side. Over time, we are heavy on the unsecured side for now and gradually also build a secured book.
Sanidhya: So we are we covered in terms of exposure to regulatory risk from RBI in this front? So right now, our business would be small. So as we explained, are we working continuously to ensure that we don't face any regulatory kind of headwinds in terms of this len ding business going ahead?
Saurabh Agarwal: Yes, since we a re acting as a distributor, honestly speaking there is no real regulatory headwinds at our end. Having said that, we are more than 100% compliant in whatever we do or attempt to do on the distribution side.
Sanidhya: And lastly, on the Slide #12. So there, we mentioned that how which clients acquired -- as per the year -end, how many clients have transacted. I think last we mentioned was

FY'22, and I think we are in FY'25. So don't we think that FY'23 number would be good number to portray like how many clients have transacted in the last 2 FY almost?
Dinesh Thakkar: Amit, if you can take this?
Amit Majumdar: Yes. So here, the whole objective was to show that when a certain cohort of customers spend longer time on the platform, how does those customers behave over a longer period of time. So that's really the objective. And therefore, with FY'25 going by, final ly when the year goes by, we will essentially be updating both for FY'21 and FY'22 to only demonstrate for those cohorts of customers if another year goes by then how will that customer behave on the platform.

And more importantly, the objective here was to say that whether he is an F&O customer or not, eventually, all customers begin to build equity wealth over time. So that's the objective of this slide. Updating it for FY'25 means that we are going to update only for the existing customers. We are not going to see it as a new customer cohort and what that impact will be in a year or 2. So please look at it with that context in mind, if I've answered your question.

Sanidhya: I totally agree. I just wanted to ask. So FY'21, FY'22, okay, fine. Now what about FY'23? The clients that we acquired in FY'23 is ranging to around 4.7 million, right? So what about that? How many percentage of that clients have transacted till FY'24 Or may be if we can get the real number for Q1 FY'25? That would be really helpful?

Amit Majumdar: We will evaluate this at the end of the financial year and take a call on of what needs to be presented then. Again, the point still remains sacrosanct. The objective is to see the customers maturing on a longer period of time. So even if we

look at in FY' 23, as of the end of FY'25, it will be less than 1.5 years old , because remember, a customer is acquired throughout the financial year. So not all customers become active in the second year any which way. So that is never the objective. So t hat's the point I was wanting to make. Any which way, we will revisit this data at the end of the financial year.

Sanidhya: And if I can ask you a last question. So on the LTV, lifetime value of a customer, do we see any changes on that front because now the F&O part could be -- revenues from the F&O part could really change and we might be looking into getting from equity expo sure of the client. So equity exposure totally depends on the kind of capital that the client can bring in. So do we see any changes on the LTV of existing client base and the new client base that we have?

Dinesh Thakkar: No, I don't see any change in LTV. In fact, if at all, I go with my past experience, if a client is trading less and investing more, LTV will increase. Because then what happens is that when they lose less capital, they dedicate more capital to capital mar kets otherwise when they are burning it fast, they are unable to understand market , so allocation of their wallet share towards this capital market takes time to come in. So my belief is there would not be any change in LTV, but this may get extended because now they are trading less. We look at like cost of acquisition and what kind of

an LTV we can generate from customers with whatever kind of like experience we have and what data suggests, it appears there would not be any impact on LTV.

Sanidhya: Thank you so much, congratulations and all the best. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we have answered your queries satisfactory. Should you require any assistance, please feel free to contact Hitul Gutka , Head of Investor Relationship; or SGA, our IR advisers. Have a good day. Thank you.

Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

Angel One Limited
Q1 FY '2 4 Earnings Conference Call

July 14, 202 3

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Managing Director Vineet Agrawal

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Moderator: Ladies and gentlemen , good day, and welcome to the Angel One Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone Please note that this conference is being recorded.
This conference call may contain forward -looking statements about the company, which are based on the beliefs , opinions and expectation of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, sir.
Hitul Gutka: Thank you, Ryan. Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q1 FY '24 financial and business performance. The recording of today's earnings call and tra nscript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Dinesh Thakkar, Chairman and M anaging Director, Vineet Agrawal, CFO. We also have the other senior leadership team of Angel One on the call, along with SGA, our IR consultant.
The leadership team will give us a brief overview of the operational and the financial performance of the quar ter gone by followed by a Q&A session. Please note that there may be certain forward -looking statements during the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Dinesh Thakkar for his opening remarks.
Dinesh Thakkar: Thank you, Hitul. Good morning, everyone. I'm happy to share that Angel One has continued to deliver strong performance and I will take you through some of the key developments of the quarter and important initiative wh ich are lined up during the financial year. Vineet will walk you through our financial performance thereafter.
During the quarter, we maintained our focus on investing in technology and product to offer our clients a seamless experience on all our digital platforms. We endeavour to develop a user -friendly platform for new to market clients while making it swift for experience d traders . We continue to refine our customer journey on our Super App, shipping out key functionalities and enhancement regularly. Th is has led to a further improvement in our overall NPS to a historic high. I'm happy to share that Angel One features in the top 15 club of free finance apps across Play Store and App Store, outperforming many of our peers as we compete with ba nking, payment, lending , wealth apps .
We'll be rolling out several exciting features this year such as the always on order feature, which will enable clients to place orders at any time of the day, including even when they are out of the network, thus improving engagement with our app. We are

also developing an advanced conditional order platform on which a statement will be translated to an order via a large language model. We have further enhanced our SmartStore , a market place offering a wide range of exclusiv e rule-based fintech apps catering to clients' diverse needs. Its integration with our Smart API facilitates trade execution for clients. In addition, the SmartStore provides educational resources, including blo gs and webinars that keep clients updated with the latest trend and insights in the investment space. We are in the process of enhancing the SmartStore basket in a manner that is relevant and comprehensive acr

oss all the financial needs of our
customers.

Angel One is a dominant retail focused fintech platform with a large and growing client base. With our focus on a more comprehensive financial services playbook , we commissioned the direct m utual fund journey on the Super App, which has been a resounding suc cess. This model has witnessed a fourfold growth in registered SIP to over 430,000 in Q1 FY '24 over the sequential quarter. I'm happy to share that Angel One is amongst top 2 players in India in terms of incremental registered SIP in June 2023.

Next, we a re building partnerships and journeys to operationalize the distribution of consumer credit products, which is expected to go live over the course of the year. This year, we have planned a formidable brand campaign to enhance awareness of our full stack fi ntech platform, which aims to address all our customers' financial needs and aspiration.

Our network of Authorized Person , AP, the affiliate business channel, remains one of the important growth engine in the business. We continue to dominate the industry with the largest network of Authorized Person in the country at over 21,000 channel partners. As of June 2023, we further augment and build greater efficiency in the channel, ensuring highest level of compliance and governance. And to facilitate the APs to serve our clients better across multiple asset classes, we have further upgraded the NXT platform, which is an industry -first dedicated digital platform to them. For us to capture the full potential of our distribution capabilities of digital f inancial products, we believe all affiliate channels, including IF As, insurance agents , MF distributors are extremely important. This channel represents large untapped potential for us.

With our ability to harness big data at Angel One through our AI/ML ca pabilities in discerning patterns, trends and the preference of customers and to offer service digitally, our fintech DNA will be able to better empower such affiliates to serve a larger audience than has been hither to been possible. This will further ena ble them to expand their product basket, thus ensuring customer retention. Besides, this will help us fulfil our aspiration to positively influence the lives of underserviced population of the country, which relies purely on such affiliates for achieving t heir financial goals.

Our comprehensive digital capabilities, combined with such affiliate channels serving a large customer base, will foster a mutually rewarding partnership. We are in the process

of hiring a Chief Business Officer - Affiliate Channel to comprehensively capture this large potential.

Since we now have a large pool of clients and a huge data lake, we are focusing on better utilizing this by further augmenting our data analytic capabilities. Over the past 9 months, we have centralized seve ral heterogenous data sources to produce fact-based data sets on a common data platform. This centralized database collects and integrate various eligible client data, including user persona , engagement, trading behavio ur, product touchpoint attributes, clickstream data and trans action data. This comprehensive repository empowers our product , tech and growth functions as they gain holistic insight into clients' behavio ur and preference to further personalize engagement, thus improving client satisfaction an d retention.

During the quarter, we collaborated with a U.S. -based service provider to conceptualize and implement GPT -driven chatbot for our customer support system. The chatbot is being trained on a large language model with our client specific and other tempora l data. This initiative has resulted -- has delivered a 70% success rate as of now. We aim to incorporate real -time insights into a conversational model and go live during the current financial year.

To scale this up mor

e effectively , we have expanded our management bandwidth with
on-boarding of Mr. Deepak Chandani as Chief Data Officer. Deepak comes with a

strong grounding in business intelligence , data analytics and data science and possesses strong AI/ML -related capabilities, having led thes e initiatives in his past assignment with companies such as British Petroleum, UBS, Apple and Infosys.

In our pursuit to become India's most trusted and preferred fintech brand, we will continuously explore opportunities that are synergic to this objective . In this context, we are also exploring inorganic acquisition and partnerships, partnership opportunity across the consumer financial products and service landscape, including core tech product distribution platform, we alth-tech, learning and content enga gement platform, which would enhance and complement our existing and future offerings.

Last but not the least, it gives me great pleasure to announce that we have been ranked 52nd amongst top 100 best company to work for in India by the Great Place to Work Institute besides topping the fintech category and also being amongst top 25 in BFSI sector. These achievements are possible because of our firm belief in our core values of innovation, speed, thinking bi g, collaboration, trust and customer centricity. Th us, bringing about a collective sense of purpose and passion amongst all Angelites.

Coming to the operational performance in Q1 FY '24, we continue to demonstrate healthy progress. Our overall NPS continues to grow handsomely. Angel's share of India's increment al demat accounts stood at 21.3% as we concluded the quarter with a total client base of over 15 million. Our orders , a key revenue driver for our business, remained robust at 249 million, with the underlying ADTO growing by 23% quarter -on-

quarter to nearly R s. 23 trillion as we continue to expand our market share in overall retail equity turnover by 175 bps quarter -on-quarter to 24.5%.

I hope this insight has given you a flavo ur of our tech -driven business and our efforts to have a more integrated financial product pla y. Vineet will now take you through our financial performance after which we will be happy to answer your questions.

Vineet Agrawal : Thank you, Dinesh bhai, and good morning, everyone. FY '24 has commenced on a positive note for us as we surpassed the 15 million clients marked in June 2023 and achieved our highest ever market share across retail overall equity turnover and NSE active cl ients.

Whilst the business continues to be on a very strong footing, Q1 FY '24 had its own peculiarities in terms of 3% or 2 lesser number of trading days compared to Q4 FY '23, impact of annual increments and continued investments in tech and product. To this extent, Q1 has to be looked at slightly differently.

In Q1 FY '24, our total gross revenue stood at R s. 8.1 billion. Gross booking revenue was lower by 4% sequentially to nearly Rs. 5.6 billion, accounting for about 69% of our total gross revenues for Q1 FY '24. Share of F&O segment in gross b roking revenue reduced to 84% in Q1 FY '24 from 87% in Q4 of FY '23. Contribution of cash and commodity segments expanded to 10% and 5%, respectively, as compared to Q4 of FY '23.

Approximately 78% of our net broking revenues are contributed by clients from direct channel and 22% by our clients associated with the affiliates channel. It is important to note that as clients mature on the Angel One platform, their contribution to the net broking revenue continues to remain strong. This trend is evident from the rising share of net broking revenue from 2 to 3 years cohorts in Q1 FY '24. This cohort has consistently grown over the quarters and now stands at 22%, up by almost 3x from 8% in Q1 FY '22.

The longevity of these young new -to-market revenue -generating clients on the platform is further being fortifie

d throug h various initiatives , developments and offerings across the ent ire spectrum of Angel One Super App platform.

Interest income, which includes interest earned from client funding book and from deposits with exchanges, grew by approximately 6% quarter -on-quarter to Rs. 1.4 billion. This accounted for about 18% of total gross revenues in Q1 of FY '24. Ancillary transaction income linked to the turnover stood at approximately Rs. 0.7 billion, accounting for 8% of Q1 FY '24 total gross revenues.

Employee benefit expenses, which stood at Rs. 1 billion in Q1 FY '24, include the impact of annual increments to employees, non -cash accrual of costs towards annual grants of stock options and proportionate accrual of the budgeted variable pay for the curr ent financial year. Other opex for the quarter stood at nearly Rs. 2 billion, which grew in line with our operations driven by spend s on client acquisition, software, connectivity & maintenance expenses, demat charges, CSR and other expenses.

Our consolida ted operating margin for the quarter stood at 48.6% versus 51.2% in Q4 of FY '23. It may be recalled that in Q4 FY '23, employee benefit expenses had a one - time positive impact of Rs. 405 million on account of reversal of stock option grants and year-end variable pay provision, leading to a higher -than-usual operating margin percentage. Therefore, on an adjusted basis, there is a 7.4% decline in EB DAT on a sequential basis from Rs. 3.3 billion in Q4 FY '23 to Rs. 3.1 billion in Q1 FY '24.

Similarly, on an adjusted basis, our consolidated profit after tax from continuing operations declined 6.9% quarter -on-quarter from Rs. 2.4 billion in Q4 FY '23 to Rs. 2.2 billion in Q1 FY '24.

The Boar d has approved distribution of 35% of the quarter's post -tax profits as first interim dividend to the shareholders, aggregating to Rs. 775 million. This translates to Rs. 9.25 per equity share.

Period -end cash and cash equivalents increased to Rs. 66 billion on the back of increase in client margins. Client funding book remained stable at Rs. 11.4 billion as of June 2023 compared to Rs. 11.5 billion as of March 2023. Consolidated net worth of the company grew by 9.6% to Rs. 23.7 billion. As we conti nue to operate the business within the desired margin profile, our Q1 FY '24 annualized return on average equity remains a healthy 39%.

With this, I conclude the presentation and open the floor for further discussion. Thank you.

Moderator: Thank you. Our f irst question comes from the line of Swarnabha Mukherjee with B&K Securities. Please go ahead.

Swarnabha Mukherjee: Hi sir, thank you for the opportunity and good morning. So couple of things that I wanted to understand was first on the employee expense si de, if you could give us a break up of fixed and variable components and how to think about this for the next three quarters.

So, is the variable component provisioned only in this quarter, or will it be spread over the next three quarters as well, which m eans that we should see a run rate of a similar level along this?

And also, your comments on the add -on interest cost that you have highlighted, Rs. 40 crores to Rs. 50 crores earlier, now that it has gotten shifted by a couple of months. So, is there a ki nd of change in guidance from your side regarding that? And then I would have a follow -up also on the client acquisition, so after your answers we may can ask that?

Dinesh Thakkar: Sure, sure. Mr. Mukherjee, let Vineet answer your two questions. Vineet, if you can take it over.

Vineet Agrawal: Sure. So, Swarnabha , we do not disclose the breakup of the fixed and variable employee cost. And to answer to your question about how much of the variable cost has been factored in, this is spread over the e ntire year. So, one-fourth of the budgeted variable pay for the current financial year would be part of the Q1 expenses and then proportionately it will be spread over the other three quarters.

Your question about the update on the additional expenses that we are going to incur because of the circular, well, it is more or less in line with what our guidance was in quarter four and we continue to maintain that guidance. Again, that depends on the movement of the turnover and volumes on the platform. But the variance could be maybe 5% or 7% here and there. That is it, not more than that.

Swarnabha Mukherjee: Okay, understood. So, in the balance sheet on the borrowing front, so that number is over th e last two quarters around Rs. 750 crores to Rs. 850 crores, it used to be upwards of Rs. 1200 crores 2-3 quarters back, even before you had th at additional working capital requirement for paying out clients on by the first week of every quarter. So can yo u point to the reason why this borrowing numbers have come down from Rs. 1200 plus to this Rs. 850 crores around?

Vineet Agrawal: Sure. So largely our borrowing is linked to the onward lending that we do towards MTF and T+7. So as this number has come down over the last quarter or so , similarly, the borrowing has come down. And again, whatever cash we generate from the business, quarter -on-quarter that is again fed back into the business to fund the MTF and the T+7.

Swarnabha Mukherjee: Sure, sure. Very helpful. Just quickly on the client acquisition, so I'm just looking at your numbers over the last six months, around 2.5 million customers have been added, but if you look at the active clients' numbers, so it has gone up by 0.2 million. So just wanted to understand whether you are seeing any different trends in terms of activating these clients or what it means for your payback periods at the current standpoint?
Dinesh Thakkar: Yes. Yes, thanks. Devend er, if you can just answer this.
Deve nder Kumar: Hi, Swarnabha . This is Devend er. So , if you look at the overall market, Swarnabha , the overall market has also been adding a very large amount of clients, where the total base of clients is almost touched 12 crores now. And if you look at the a ctive base of NSE which is close to 3 crores. So, if you look at from an overall industry point of view, the overall active base which is the active participation of retail has been subdued in the last two quarters. And as a result, the same is reflecting in our case as well, where our active base is kind of, has been stagnant, or let's say, has been stable to an extent. But from an overall point of view, during this period, when we look at our market share in terms of NSE active cli ents, we have been gaining market share, almost two percentage point is what we have gained in the last two quarters, which is reflective of the robustness of the way we have been doing our digital business.
From an overall per se, I think we are launching multiple services on the mutual fund side, and we have plans to monetize or, let's say, provide various kinds of products and

services to our clients, which will further enhance the active base that we are going to look forward at. So that's precisely the reason.
Vineet Agrawal : Swarnabha just to add, what you need to also monitor is the number of orders executed on our platform because that is something which translates into revenue for us. And if you see, as I mentioned in my comment, that our 1 -to-2 and 2-to-3-year client base has been giving us higher revenues. So that kind of shows the stickiness on the platform. So that is something that people need to be aware of. As a percentage, it may vary the active client versus the total client base, but it is more important to see the number of orders and the longevity of the revenue generating clients on the platform .
Swarnabha Mukherjee: Yes, Yes. So, like just if I

calculate, I mean that number comes around 10%, but I'm pretty sure that you will be actually activating more customers because few older ones might actually be also dropping out. Just wanted to understand that if I were to just look at the incremental customer base but compared to the market, what you are seeing, do you see your rates kind of reac tivation rates to be on the higher side, maybe not as much as on the peak of the market but right now on the higher side compared to market or would we be fairly at a similar level?
Devender Kumar: So, from an overall point of view, if I look at from an industry point of view, the overall industry activation rate is close to 25% and we are close to 30%. So, we are doing better than what the industry average looks like, but in the long period of time we are looking at the current market outlook an d the current market conditions , this has remained subdued and we feel that it will in line with what market performance and market behavior is looking like in the coming time. But we are doing better than our peers from an industry point of view with our overall rate being 30% in comparison to the industry rate of 25%.
Vineet Agrawal : Just to add to that, Swarnabha this is a very interesting data point because it only shows a client who has traded once in the tra iling 12 months, that client might have done number of orders instead of one, but that somehow is not being captured in this data point which is available for the industry and therefore, to that extent you can't really concentrate on this data point.
Moderator: Thank you. Our next question comes fro m the line of Prayesh Jain with Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, I had a few questions. Firstly, if I look at the industry, the MTF book has been on the rise, but for us it has been kind of a steady trend rather than any impact from the peak we are on the much lower side. So, what is the reason why we have not focused on this business given that the margins have been much, the peak margin norms have kind of made it much better than the earlier scenario. That is first.
Second, I wanted to c heck, you know, with respect to the threshold level of the broker - wide limits. Where are we and what happens in case we hit those thresholds? In the past, I think there has been some mention about having a different card and getting

implementing the same t here. But is it really possible to do that execution? That is my second question.
And third one is you mentioned in the opening remarks about focus on the AP network. Does it mean that we are kind of changing our approach and seeing that, on the lower Tier or Tier 3 and Tier 4 towns, you need stronger presence through AP network? How should we read into this?
Dinesh Thakkar: Yes, see on your first question about MTF book, as I always have maintained my stand that we are not into kind of like everything in m argin funding, lending and all that. Mostly it is in kind of like bridge funding given to people who are trading in cash and they want some fund for say like their interim need. So, we are not very much focused to increase our margin funding book. Beyond, it is a part of service that we provide in our brokerage book. So, we don't do a ESOP funding and all that. So, we believe that as market like small cap, mid cap, will see a rally, there will be a proportionate growth, but to expect a linear growth in MTF, that is not our focus.
Okay, second on our threshold kind of a limit, I think still we are far away from that, but we have enough kind of a like contingency plan to take care when we hit that.
On your third point on affiliate channel, if you look at India, that population apart from digital, there are lots of population who are dependent on bit assisted model. And when it comes to when we are going to all services beyond broking, look at mutual fun

d, if
you look at in surance and lending products and all that, still it is like an assisted kind of a model.
So, to have a proper focus and have a market share and leadership position in all segments that we'll be offering on our Fintech platform, we thought it is best to hav e a scale in all offering that we do. Plus, if you look at the platform that we provide to our affiliate channel, it is high on technology. Now, when we talk about data science and all that, today, if you look at affiliate channels , they are unable to guide customers very effectively because of lack of information and data with them. And with kind of like competency that we have to build technology and to build platforms, which with the kind of like AI/ML tools, we believe that we would be able to achie ve a better market share across all our product offering, be it on digital platform or B2C, or be it people who want an assisted model in products like mutual fund, insurance and lending products and all that.
That is the reason we want to create a proper focused kind of a division who does not miss out on any kind of like market share across all this kind of like offering. Our focus remains on being a technology player, using this technology data science so that we are able to be effectively grow and expan d this market across all categories.
Prayesh Jain: Okay, got that. Just a follow up on the second question. So, what are the contingency plans in case we hit that threshold level?

Dinesh Thakkar: See, like there are lots of things which can be worked out. Today we allow clients to keep do trading on all kinds of instruments and all that. So, when time comes, we will be very specific in terms of how we can save that bandwidth. Apart from that, we have one more membership that with us. So, we can split that b usiness also. So that is not an issue. When time comes, we'll address it appropriately. Right now, I don't think we -
- that is like under our consideration to see that, how we are going to take care of threshold.
Prayesh Jain: Dinesh bhai if I get one last follow -up. When you mentioned that MTF book is not a focus area and just more of an offering to the customers, but don't you think, this is a very safe business now and relatively much safer than what it used to be earlier and can be a very good revenue stream and profit stream for you. So why not increase the focus in this product and improve the offerings that we have currently? Or do you see that because on our platform, the cash volumes are much lower and you don't earn a lot of revenues out o f the cash delivery segment, you would want to focus continue be on F&O segment and not so much in cash segment. Is that the way to think about it? Because…
Dinesh Thakkar: No. That is wrong way of thinking, Prayesh. I think that our focus on retail lendin g is there. We would like to be a leader in that. What I was trying to say, when you look at this lending book, it consists of retail lending, plus many other components, HNI and all

that, that we are not interested. The focus is not to increase this MTF a t any cost. We are a focused player. So, we want to achieve more market share, better market share in retail segment.

In retail segment, if you see, we are growing. So, retail does not work in a linear way because when they find some good opportunity on op tion side, they get very active on option side. Suddenly , when you see small and mid -cap picking up, they will come to cash segment. So, my point is that, when it comes to retail offering or retail requiring this kind of service, we would be very aggressiv e, we would like to have a highest market share. But being focused on MTF and trying to go into other segments, where we are not interested to serve other kind like needs of that customer, we would not like to just for the sake of increasing margin funding book,

would like to go into that segment.

That is what I meant.

Prayesh Jain: Thank you so much for the details. Thank you, sir. All the best.

Moderator: Thank you . Our next question comes from the line of Nidhesh Jain with Investec. Please go ahe ad.

Nidhesh Jain : Thanks for the opportunity. On SIP, so when we are saying that, we have become number 2 player in SIPs, is it on number of SIPs? And does it include all the participants, including banks, nonbanks? And how will be the -- our positioning i n terms of value of SIPs?

Dinesh Thakkar: Okay. Saurabh would the right person to answer this. Saurabh if you can?

Saurabh Agarwal : All right. Thanks. The number includes banks, nonbanks, fintech's , everyone. So, we are second overall in the market. In terms of the value of the SIP, this is not an information that we disclosed proactively, but will be in line with most other players in terms of direct mutual fund in the market.

Nidhesh Jain : Sure. Secondly, how are the trends on payback period, which used to be two quarters earlier. How are the trends for this -- in this quarter on the payback side?

Dinesh Thakkar: Vineet, if would like to answer this?

Vineet Agrawal: So, Nidhesh Jain , again, we wo uld want you to concentrate more on the LTV to CAC. Of course, the payback remains more or less in that bandwidth. But it's more important to understand what the LTV to CAC is and that, as we explained in our presentation, it's a very healthy, 8x the CAC. So, that is more important a metric to concentrate on.

Nidhesh Jain : Sure. And lastly, so when you're talking about this affiliate channel strategy, we already have some 21,000 channel partners. And probably as we scale it, this number may become much larger. So, do we have also plans to have insurance b roking license? Beca use without insurance b roking license, the value proportion on the insurance side will not be that material.

Dinesh Thakkar: See, currently, like we are in the process of creating this -- strengthening this vertical. So, in terms of granular detail of this kind of business model in affiliate channel, give us some time, we will be more clear and give more disclosure by the next quarter.

Nidhesh Jain : Sure. Thank you, sir. That's it from my side.

Moderator: Thank you. Our next question comes from the line of Sumit Rathi with Centrum PMS. Please go ahead.

Sumit Rathi: Thank you for giving me the opportunity, sir, to ask this question. My questions have partially answered. But I wanted to check that our active client as a percentage of gross client has b een in a declining trend and that you rightly said, it's been with competitors also. How do we see this trend getting going forward basis or would it get stabilized at what level, if you can give some colour on that?

Dinesh Thakkar: See Sumit , activity of a customer depends on market conditions. You know that we are into kind of like cyclical market, where we see activation of customers for a year, it appears to be normal. But if we track it month -on-month and all that, it will appear to be going up and dow n. So, my point is that we are introducing lots of services to make this customer base active.

For us, what is important, that what is the lifetime value we are creating from our customer , are we able to extend that . That is where our focus is. Our focus is not on day-to-day, what customer is doing, but we try to compare ourselves with competition and all that.

But our journey that we are building up fintech is far different than what industry is building. So slowly a nd progress ively you will see, we also wanted activation ratio often customers should increase and that customer should become active on many other products, which will not be captured by NSE 's database.
Sumit Rathi: Okay. Makes sense, sir. And l

astly, on the ESOP cost, how will the trajectory be going forward if we have to see like next two years, three years down the line?
Dinesh Thakkar: Vineet, if you can answer this.
Vineet Agrawal: So, I can't give you a forward -looking kind of a number. But for this year, the budgeted spend on ESOP is about Rs. 50 crores, Rs. 55 crores.
Sumit Rathi: All right, sir. And any update on our AMC business launch, where we are progressing in that, like that would be my last question?
Dinesh Thakkar: Vineet, if you can answer this.
Vineet Agrawal: Sure. So, we are in the process of creating the entire infrastructure and the organization. We've already incorporated the asset management company and the trustee company. And hopefully, in the next couple of weeks or three weeks, we should be able to file our application for final approval.
Sumit Rathi: Okay. And with the final approval, what time does it take to really launch the products and all that?
Vineet Agrawal: Well, it depends. Normally, our understanding is, it will take about two quarters for SEBI to come back with th e final approval. And immediately, we can launch schemes.
Sumit Rathi: All right, sir. Thank you. Thanks a lot, for all the clarification.
Moderator: Thank you. Our next question comes from the line of Gautam C Jain with GCJ Financial Advisors. Please go ahead.
Gautam Jain: Good morning. Congratulations for good set of numbers and thanks for giving opportunity. My first question is, how much is the gap between us and other top two player in t erms of rank based on NSE active client?
Dinesh Thakkar: See, that data is available on the website. Somebody can answer, Bhavin or Ketan.
Devender Kumar : Yes. The top two players, I...
Dinesh Thakkar: No, what is the rank, he is asking. Rank, I think right now, we are in the top, active clients, we are third, right?
Devender Kumar : Yes. We are rank number three.
Dinesh Thakkar: That is his question.

Gautam Jain: Gap between our market share and top two market share?
Dinesh Thakkar: Gap between market share you are saying?
Gautam Jain: Yes.
Dinesh Thakkar: Yes. We can just share the number, yes.
Devender Kumar : So today -- so our market share is 14.3% in the June month. They're just checking the top player, that is close to 20% market s hare. So, the gap is...
Dinesh Thakkar: Gautam . Let me clarify. This gap does not show you anything in terms of revenue and all that. So, this would be a wrong parameter for you to track. But we are giving you data. But if you look at the revenues and all that, that will be far more better kind of reflection of health of business and where particular player stands.
Gautam Jain: Okay. Yes, I got it . And my second question is your gross booking income to your order. If I calculate, it's Rs. 22.4 per order. And that has -- we have seen the bottom in Q4, which was Rs. 22.1 and it has gone up now Rs. 22.4. So, it's like, yield has improved or because of mix change between discounted scheme and traditional plan for direct to channel revenue because of the fee broking income from the number of orders gone up sequential?
Dinesh Thakkar: I'm not sure whether we are tracking it. Devender, you have any like clarity on this?
Devender Kumar : So, we track it. I t's in stable nature, but we don't really disclose how it is t rending to the market.
Gautam Jain: Okay, fine. And last is, can we get the breakup of interest income between interest received from the client and interest on our investment book?
Dinesh Thakkar: Vineet, do we disclose that?
Vineet Agrawal: No, we don't disclose, but I can give you a directional view. So, as we mentioned in our annual report as well, about 75 -80% of the interest that, we generate on the fixed deposits comes from the client margins and the balance is on our own proprietary funds.
So t

hat's how the trend is. But the number that we've disclosed in the quarterly financials
is the consolidated number of the interest e arned from MTF as well as interest earned
on fixed deposits.
Gautam Jain: Okay. And what will our cost of borrowing?
Vineet Agrawal: The cost of borrowing is remaining in that same ballpark of about 8% and 8.5%.
Gautam Jain: Okay. Great. And lastly, the other cost has gone up sequential , despite the number of
orders have declined. So , was any one -off in that? Or have you increased some variable
cost to acquire the clien t or some fixed has gone up. How to read that?

Vineet Agrawal: No, it's in line with the growth of the business. So that's what I mentioned in the
comment as well that the other expenses are growing in line in terms of the number of
clients that we are acq uiring and the growth in the volume of the business.
Gautam Jain: Okay. Great. And are you seeing any improvement in number of orders since market
has started doing good even after June, daily number of orders?
Vineet Agrawal: You will see the number being published at the end of or the early part of August for the
July month. We will not be able to disclose any number right now.
Gautam Jain: Okay. Great. Thanks you so much. I'm done.
Moderator: Thank you. Our next question comes from the line of Pallavi Deshpande with
Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Yes, sir. Thank you for taking my question. Just wanted to understand on the SIP book,
how much would be from a regular plan versus the d irect plan? And second would be
on this -- on the credit business that you're looking. Have we hired the Chief Credit
Officer and the tie -up with the NBFC? Thank you.
Dinesh Thakkar: Thank you. Pallavi. Saurabh, if you can just answer this.
Saurabh Agarwal: So, in terms of the breakup between the direct book and the regular book, that is not
something that we are disclosing for now. And the second question around credit, right,
since we are largely into the distribution of credit products and not bei ng a lender
ourselves, we don't need to hire a Chief Credit Officer. Having said that, the team in
terms of building the lending business is getting hired, and we are hiring top quality
talent there to take the lending business forward.
Pallavi Deshpande: And what would be the size of the team you were looking at?
Saurabh Agarwal: That is not something we tend to disclose.
Pallavi Deshpande: Okay. Thank you, sir.
Vineet Agrawal : It will be commensurate to be the kind of business that we develop. So, it's not
something that will be static.
Pallavi Deshpande: Right. Thank you so much.
Moderator: Thank you . Our next question comes from the line of Sanketh Godha with Avendus
Spark. Please go ahead.
Sanketh Godha: Thank you for the opportunity. Sir, what I understand from the mutual fund strategy is
that you typically sell largely direct plan on the app on, the Super App. But the
incremental strategy, what you have been seeing on affiliate people selling the third-
party products, which is mutual fund, the insurance and everything. Sir, just wanted to
understand, the 21,000 people who, in your view, how many are already into this

product distribution? And incrementally, why they need to switch to Angel to distr ibute
on your behalf?
And also wanted to understand, when you are going offline, which means that, we give
the tech solution to them, whether you will be focusing unlike app, Super App story,
more selling regular plan there so that you third party fee income will grow. So just
wanted to understand the broader strategy there, how you're looking at it. And how
much it can potentially contribute since you are already looking to hire a C hief Business
Officer to cater to this particular segment? How much revenue you

are targeting to
generate from this particular piece ?
Dinesh Thakkar: Coming to your second question that is very important so when we talk about affiliate
channel currently 21 ,000 are authorized persons primarily focused on stock market
activity, plus they are selling over third -party products. But we feel that if you want to be
successful in all the products because when we are introducing everything on fintech
platform, so it makes sense for us to have a scale of that business. Look at all third -

party products apart from this stock -- including stockbroking, sorry. There is an audience who would like to have some assistance when they are going for that service or buying produc t like, insurance, lending product and all that. And given the fact that we have a best technology platform , already for stockbroking, we extend a platform called NXT and because of that they are able to be more effective in terms of serving their client n eed. So, we want to enhance that kind of like capabilities of our authorized people, plus attract the people who are into distribution of mutual fund , IFAs and all that. So that they are also able to take benefit of advanced technology platform that we hav e and plus as I said that we are getting deep into data science and all that . So, all said and done we want to see that affiliate channel , everywhere on all the channels , whatever they are selling they have a right kind of information for products they are selling. So that we are able to include more people in this financial service.

So digital is one way , we have proved that we are able to acquire customer serve their need, but when we look at mutual fund industry, when you look at insurance, when you look at lending, still we feel that there is enough business in those affiliate channels but what is the gap between currently what is happening is a good technology bridge, a good technology platform, which can help them to be more effective in terms of servicing their customers. So, our approach of super app giving all kinds of services on platform remains same. But we feel this is a natural extension to digital capabilities that we have created and that will help us to get more market share.

So, we are not as in broking also we are not focused that affiliate channels should sell only like, traditional products and all that. We are going to extend all digital, all latest services to them also they can sell traditional, they can sell whatever we think is right for in customer, it is up to them. But what we are going to give them, a scale better price and better data management and information management of end -customer.

Sanket h, I just missed your first question, direct plan, what is?

Sanketh Godha: Because super app, we preferably sell direct mutual fund plans so that your customer remains more engaged with the apps and probably ends up trading more. That's broadly the strategy which I understand. Then if it is the offline mode which is AP model then the mutual funds what you will distribute there would be typically the regular ones where you will earn commission that is the whole idea is what I wanted to understand, or it will be similar to…

Dinesh Thakkar: See, what happens Sanket h, when somebody is providing some additional service, he or she is entitled to charge some fee. And it makes s ense for a customer also who is not total digital or who want some assistance in terms of their services, so it makes sense for them to pay some small premium. So that their asset management and everything is managed properly.

Sanketh Godha: Got it. But si r, just wanted to understand but given our distribution income quarterly run rate is say, Rs. 8 crores today, so which is coming from third -party products. So given this strategy, any number you have in mind? This quarterly run rate maybe in two years or three years can become 3

x or 4x compared to what you generate on per quarter basis?

Dinesh Thakkar: Yes. See, Sanket h, our aspirations are very high in terms of gaining market share and gaining revenue also from that. But if you see, third -party product which is sold in affiliate channel, it has a revenue attached to that. So difficult to put a number right now but as you know that whichever division or vertical will go into, we'd like to be a leader in that. So fairly, you can say that what is the market share of a leader in that segment , would like to be closer to that.

Sanketh Godha: Okay sir, great. And last Vineet, one small question. This 90 -- our finance cost or interest cost is Rs. 18.3 crores and we have guided that the number would be Rs. 40 crores because of the change in rules with respect to upstreaming of client money. So just wanted to understand out of the Rs. 40 crores for nine months FY ’23, how much is already sitting in first quarter FY ‘24?

Vineet Agrawal: So Sanket h, this Rs. 18 crores does not include this Rs. 40 crores. So Rs. 40 crores, we'd calculated effective 1st of July. If you read it carefully, we'd said that the upstreaming circular is going to be implemented from 1st of July and that's how we'd calculated it for a pro -rated period of nine months in the current financial year to Rs. 40 crores and the annualized cost, we had estimated to be about Rs. 50 crores, Rs. 52 crores. We more or less stand by that again there could be some changes due to the change in volume and g rowth in the business. But as I mentioned earlier, it's not going

to be a very significant number.
Sanketh Godha: So basically, if I go by that Rs. 18 crores, which you reported in first quarter FY ’24, probably will become maybe Rs. 30-odd crores or Rs. 32-odd crores in next year as these rules get implemented, right?

Vineet Agrawal: Again, it's very difficult to estimate because the cost of -- finance cost is also linked to what my client funding book is going to be and what the benefits of the efficiency in the clearing corporations are going to come back to us. So, it's difficult to estimate that number.
Sanketh Godha: Okay Vineet, thanks for that. That’s it from my side.
Moderator: Thank you. Our next question comes from the line of Nidhesh Jain with Investec. Please go ahead.
Nidhesh Jain : Thanks for the opportunity again. So, on the -- again on the question of the SIPs, so can you share some data around how much SIPs are taken from active customers and how from non -active customers? I'm trying to understand that because of SIPs, because of these new product additions, are we able to get incremental engagement from non -active customers or largely the active customers are coming for the SIPs and other products?
Dinesh Thakkar: Nidhesh Jain , we don't have a breakup of that, but I can tell you t his all this whatever is mutual fund we are selling, we are selling to only our existing customer base and Saurabh would be able to add more light to this.
Nidhesh Jain : So, the idea is to understand basically, the existing customer base is divided into tw o parts active and inactive. Active customers are giving us revenue, non -active are not giving us revenue. So, if we are able to engage more with non -actives in future there is a possibility of to monetize them. From that point of view, I was trying to und erstand.
Dinesh Thakkar: Yes, Saurabh is going to take.
Saurabh Agarwal: Yes. I'll just give you directional flavour, right. Active versus inactive what is the share in terms of SIP that we can't disclose but what we have already started to see, is becaus e of the customers who are buying mutual funds from us and having a portfolio with us, their engagement and their retention on the platform has started to already show green shoots. And that will materialize into decent broking numbers going forward.
We ar

e still quite early into the mutual fund journey, so it is difficult to really quantify those numbers but in terms of engagement and retention, we are already seeing good traction.
Nidhesh Jain : Sure. So that is from the active customers but any colour on the inactive customers? Are we able to sell mutual funds to the inactive customers who are not trading, they have our app but not trading but maybe interested in mutual funds.
Saurabh Agarwal: Yes. I mean so, in terms of the mix of the customers of active versus inactive as I just told a few moments back, we can't give the exact split, but we are seeing good chunk of inactive customers also starting to buy SIPs and do lump sums with us.
Nidhesh Ja in: Sure, okay. Thank you, sir , thank you. That's it from my side.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain with Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, hi. Just a couple of questions again. Firstly, on the finance -- consumer finance business, I missed that part when you were mentioning about what kind of strategy you would be implementing there. Just throw some -- if you could throw some light again on what is the strategy about distribution of finance products? That is one. And I'll ask the second question after that.
Dinesh Thakkar: Saurabh, if you can just take this?
Saurabh Agarwal : Hi Prayesh. So, in terms of the strategy around consumer credit ri ght, we'll be starting with launching personal loans. The opportunity is quite large there and we're looking to tap into that business. In terms of the model, we'll be undertaking distribution without taking any risk on our books which can actually help us scale big. And however, in the medium term, we don't intend to just be a vanilla distributor. We are building intelligence around AI/ML based models to assist our lending partners in all aspects of the lending journey, using internal and external customer data. And this can potentially enable us

to get higher distribution margins going forward.
What looks good for us, primarily, with the initial analysis that we have done and the engagements that we are in the process of with our lenders, is one the overal l base quality in terms of the credit profile of the customer looks quite good.
Secondly, the engagement of the on the platform with our customers is already high and mutual fund scaling in a very short time frame without any external marketing is a testim ony to that, which can enable us higher offtake even for credit from the platform.
And third is, we have proprietary data around clients and high-quality data intelligence which will enable us to get higher approval rates and higher commissions from our lenders. So, this is largely, our consumer credit strategy. Personal loans being the product to go live within a few months. We'll also look at credit cards in some time but still early to comment on that.
Prayesh Jain: Okay. And have you tied -up with any N BFCs or banks currently?
Saurabh Agarwal : Yes, we are in the process. I mean, discussions are happening with the top banks and NBFCs in the country. And you could hear something good from us in the coming quarters.
Prayesh Jain: Okay, got that. And just on this finance book again, so does Angel also charge to customers who give -- bring in 100% collateral and the 50% is funded by Angel? Interest gets charge d to those customers?
Vineet Agrawal: No. We do not charge anything for that. So, any customer who brings in incremental non-cash collateral, over and above 50%, we allow them to bring that collateral but we do not charge anything for that.

Prayesh Jain: Okay, got that. And just lastly on this strategy on the associated person. So, your associated person network is a franchisee network, right? Is that the right way to unders

tand, or there could be just individuals also having working from their own home?
Dinesh Thakkar: You are talking in terms of affiliate channel that we are talking about?
Prayesh Jain: Yes. Associated person's network. So, could you just give some more clarity as to even these are having a brick -and-mortar presence in their areas or wor king from home?
Dinesh Thakkar: Ketan, i f you can address this?
Ketan Shah : Yes. So, it's a mix of this authorized person. They are individual, they are corporates, so all mixed people are there.
Prayesh Jain: Okay. And you mentioned that you will be also looking at hiring IFAs and these individuals, who can bring us volumes on distributi on, right? Is that what I got it correctly?
Dinesh Thakkar: Yes, yes, correct.
Prayesh Jain: Got it. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Sumit Rathi with Centrum PMS. Please go ahead.
Sumit Rathi: Yes. So, on the lending business segment only, sir, though, you given a lot of clarity already. Just wanted to check that the risk is not on our balance sheet but are we going to also get engaged ourselves into collection process over there, or that collection would also be the responsibility of your NBFC partner?
Dinesh Thakkar: Saurabh
Saurabh Agarwal : So in terms of collection just nudging the customers to remind them that their EMIs are due etcetera, which is what we call soft collections is something that we can help our lenders with but hard collections, where -- which is what we call collections in the industry is something that the lenders only will undertake.
Sumit Rathi : All right, sir. Thank you for the clarification.
Moderator: Thank you. Our next ques tion comes from the line of Sumit Jankar with SaiGanga Niwas. Please go ahead.
Sumit Jankar: Thank you for providing the opportunity. I had a question regarding the active clients . What is the share of active clients , who are trading into derivatives? And how much share contribution of derivative clients has increased in active clients ? And my next question is that a derivative clients tends to make loss, so the tendency or the lifespan of a derivative clients is lower as compared to cash. So, is there any way that you're looking to -- for retention of this type of clients ?

Dinesh Thakkar: Okay. Sumit, first of all, we don't give breakup of active clients in derivatives and all that. So, and second question, when you look at a customer's journe y, always it starts, whenever it starts from equity, especially traders, most probably they are going to make losses at all. You have seen people around you who have started their equity journey and if they are bit kind of risk taker, they'll get into a pr oduct which may result in losses but that does not mean they stop being into the market.
So, when we talk about lifetime value, what happens that customer comes is looking for some extra income initially, one or two years. So, he's trading or she's trading but after third year, they tend to look into wealth creation opportunities. They don't shy away from totally from equity market, but they change their approach, they change their strategy, they change their investment in this market.
So, when we calculate lifetime value, it includes all these phases. When we are saying, now you are looking beyond just the people who are active as a trader or into just equity, where we would like to expand this lifetime value by giving offering them or so that they can cont inue with mutual fund, some insurance product or some lending product and all that.
So overall, we should not put any colo ur to traders that they come to the market they make losses and they forever go away from the market. There is no other asset class where they can invest where they can get a good wealth creation opportunity. So, we have seen across like,

whatever my experience is in this industry for 30 years, initially, everybody trade, they make some losses and people who understand virtue of equity they remain in equity market for almost ever.
Sumit Jankar: Okay. Thank you, sir. Thank you for answering in depth. And all the best.
Dinesh Thakkar: Thank you.
Moderator: Thank you. Our next question comes from the line of Sahil Shah with Bridge Capital. Please go ahead.
Sahil Shah: Yes, hi. So, sir, I have three questions. First is on the account of the aggregator and sahmati tie-up, will it be a playing a level field for -- a level playing field for everyone right now?
Dinesh Thakkar: You want to ask all three questions or you want one -by-one?
Sahil Shah: Yes, I'll ask all three. So yes. Second would be on the mortality. So just wanted to ask on active versus inactive, and how do we currently make our inactive clients active?
And the la st question is on the cohort analysis. So, we have highlighted for FY ’22, this analysis, how do we see this trend in the past four, five quarters, how was it?
Dinesh Thakkar: Okay. On account aggregat or, Ankit, if you can just answer that?

Ankit Rastogi: Hi Sahil. Ankit, here. So, we have gone live with account aggregator. An account aggregator as a service from sahmati is available for all the fintech players. We are one of the consumers and we see the beauty of account aggregation is that as mor e-and-more aggregators and including suppliers and the requesters come to the platform, it will be the exponential growth for all. So more -and-more accounts get linked irrespective of who does that it will be beneficial for all. So right now, our on -boardi ng has been powered by that and we'll also look into further use cases of that.
Dinesh Thakkar: Sahil, can you repeat your question on mortality?
Sahil Shah: Yes. So basically, it was on active versus inactive. And how do we make our inactive clients acti ve again, so it will be the process behind it?
Dinesh Thakkar: Yes. Processes to introduce more services like, we are working out with coming out with lots of kind of like, new services. Devender, if you would like to continue from here?
Devender Kumar: Hi Sahil, so from the point of making inactive client active, inactive mortality , inactive client active, there are two points here. From overall point of view, there are multiple services that we have . We have launched MF and we have multiple insur ance as well. So we look at overall spectrum like IPO, ETF all services comes into picture where we look at exposing our clients and making them learn about these new services to get them into it . From the point of view of getting the clients active again in the broking segment, different clients have different activation rate. Let's say, some clients will know let's say, like, a delivery clients will activate maybe once in six months and once in two years maybe and some clients are active on a daily basis. So, we have a very clear program for each cohort of client, where we're looking at a delivery client who has done delivery investments let's say, one year back and now what are they looking at and how are they going to look at rebalancing. Similarly , trader who are trading for a monthly

cycle, for a weekly cycle, so we actually cohortize them in every aspect. And the way we actually make them active is basically offering them a lot of education in terms of what are the tools that the different client s are using within the app, which is what is making the m progress into a better mature state of usage of a service as well. And obviously, we do a lot of discounting offers in terms of our pricing to an extent to, for clients who are inactive for a very la rge period of time. So as to see, how we can initiate them back into the system as well. So, we will look at these two pron ged strategies, plus m

ulti -product strategies to really work on the overall base of our clients.

Sahil Shah: Okay. Thank you. And las tly, I just wanted to I ask some of the trend over the past four, five quarters on the cohort analysis?

Dinesh Thakkar: Devender, if you can just take this?

Vineet Agarwal : No. So, we will not be sharing this data on a quarterly basis because this data gets curated , we test the data and then we publish it. So, you will have to wait for some time for us to refresh this data.

Sahil Shah: No problem. Thank you so much and all the best .

Dinesh Thakkar: Thank you.

Moderator: Thank you. Our next question comes from the line of Hardik Jain with White Stone Financial Advisors. Please go ahead.

Hardik Jain: Yes. Good afternoon, sir. Thank you for the opportunity. So, my question is on the distribution platform for the lending business that we are trying to build. So, from what I understand, you will help your NBFC and bank clients to source borrowers or clients based on from our app. And also, you'll use machine learn ing and other technologies to assess the credit quality of the borrower. So, you will do this business only through your platform or you can also give this API of this of your software to the lending partner where your credit assessment engine can run behi nd the front end of your credit partner?

Dinesh Thakkar: See currently objective is to use our platform so that we are able to give more services to our customer. Saurabh, would be the right person to take it from here.

Saurabh Agarwal : Yes, so I mean, the thing that you are trying to mention is us being a TSP, right? Just a Technology Service Provider. So fundamentally, TSP as a business is starting to become a low margin business because there are too many players offering the same services to NBFC in ter ms of just the platform play. And there is much more money to be made by being a distributor and by being an intelligent distributor. So, we don't intend to just hive out our technology platform to other lenders to underwrite their customers and without us being a distributor there.

Moderator: Thank you. Our next question comes from the line of Pratik Shah, an investor, please go ahead.

Pratik Shah: Thanks for taking my question and congratulations, Angel team, for putting a great set of numbers and increas ed market share. I have a couple of questions. The first one is, as we know that the company is in a process of hiring a new CEO, just wanted to check the status of that and by when we can expect this announcement? And second one is how Angel One is incorp orating machine learning and artificial intelligence in this broking service or any advisory service?

Dinesh Thakkar: Yes, so process of like looking out for a right candidate is on. It would be very difficult to put a timeline because we are looking at so meone very senior and seasoned, but all said and done, there are hiring agencies who are looking out for candidates. Second on use of AI/ML on broking or any other services. Jyoti, would you like to take this question?

Jyotiswarup Raiturkar : Sure, DT. Hi, so…

Dinesh Thakkar: And then Deepak can add, because Deepak is just joined, so maybe you can just give a perspective on our business and Deepak can talk about new technologies and everything, what you would be using.

Jyotiswarup Raiturkar : Sure. So, we use AI/ML across the customer journeys on our platform for example just in this now release we have talked about customer support so we have leveraged a LLM model with contextual data specific to us to help answer customer queries and it

has got a 70% success rate. Besides this, we also leverage it from our acquisition during
KYC for various things like signature recognition etcetera.
And even for our activations right for churn management of clients

, we figure out what
is the right campaign or right ca mpaign needed for a particular person to get activated
on the platform.
Dinesh Thakkar: Deepak, if you'd like to add on this, your vision strategy have seen the world.
Deepak Chandani : Yes, thank you very much. I'm very excited to be here today. I think as Jyoti mentioned,
a lot of things are going on. Here, I see a lot of technology play while we can use artificial
intelligence, machine learning, data science, to kind of enhance customer engagement,
experience and further revenue increase for us.
So, I'm looking into all the initiatives which are running right now and have a lot of ideas
from the past. We have done journeys at Apple in which we have a lot of customer
base, and we use that halo effect in which a customer comes in and then we push them
onto v arious journeys. That's what we are planning to do in Angel One.
So I'm in process of building a strategy roadmap and using technology, I am hoping we
will be able to enhance customer engagement , experience and revenues for us. So
please hold on for more c oming quarters and we will come up with exciting ways on
how our customers get benefit. Thank you.
Pratik Shah: Yes, thanks, sir. And one more question, sir. Like we have, all we know that BSE has
also introduced this derivative segment with launching of S ensex and Bankex, but we
are still not supporting that. So, any plans to introduce that with our super app?
Dinesh Thakkar: Yes, Bhavin can take this question and Ankit can add on product side.
Bhavin Parekh : Sure. Yes, BSE has actually started the Sensex weekly options and the Bankex as well.
We have evaluated that and we have started working on this. In the start of quarter
three, we should be live a little before that, but there is an integration which has already
started in the towards that as well. Ankit .
Ankit Rastogi : Yes, Yes, nothing to add there.
Moderator: Thank you. Thank you. Our next question comes from the line of Prathamesh with
Proinvest Nirmiti. Please go ahead.
Prathamesh: So, I wanted to understand what impact will be there on our order volumes with the
recent changes in the weekly expiry that have been done by NSE and BSE?
Dinesh Thakkar: See, when weekly expiries increase, definitely there is some kind of an uptick on
customers engagement and all that. Devender, you would lik e to answer this question?

Devender Kumar: So generally, when the weekly expiry is coming up, we have seen improvements in line
with market. And I think what we are seeing is much more distributed behavior, rather
than concentrated behavior, is what we are able to see. And which is overall increasing
the engagement of people as multiple instruments are getting distributed across the
week.
So, it is overall increasing the engagement of people in a much more focused way,
which was concentrated earlier in natu re and which is helping the overall business. We
can't quantify how much impact it will bring, but it is a benefit for the overall business
that we are able to see.
Moderator: Thank you. As there are no further questions, I would now like to hand the confe rence
over to Mr. Dinesh Thakkar for closing comments.
Dinesh Thakkar: Thank you for joining us on the call today. I hope we have been able to answer all your
queries. Should you require any assistance, please feel free to get in touch with Hitul
Gutka, Head IR, or SGA, our investor relationship advisor. Good day.
Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you
for joining us. You may now disconnect your lines.

Call: Oct 2024

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Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on September 25, 2024 intimating of the earnings call with analysts and investors to be hosted by the Company on October 15, 2024, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

You are requested to take note of the same.

For Angel One Limited

Naheed Patel
Company Secretary & Compliance Officer
ACS: 22506

Date: October 18, 2024
Place: Mumbai

Encl.: As Above

Page 1 of 22 Angel One Limited Q2 FY '25 Earnings Conference Call October 15, 2024 MANAGEMENT: Dinesh Thakkar Vineet Agrawal Amit Majumdar Ravish Sinha Jyotiswarup Raiturkar Ankit Rastogi Chairman & Managing Director Group Chief Financial Officer Group Chief Strategy Officer Group Chief Product & Technology Officer Group Chief Architect & Chief Technology Officer Chief Product Officer Nishant Jain Prabhakar Tiwari Ketan Shah Deepak Chandani Anuprita Daga Meenal Maheshwari Shah Chief Business Officer – Assisted Business Chief Growth Officer Chief Sales & Revenue Officer Chief Data Officer Group Chief Information Security Officer Group General Counsel Manmohan Singh Subhash Menon Dr. Pravin Bathe Saurabh Agarwal Devender Kumar Bhavin Parekh Group Chief Risk Officer Group Chief Human Resources Officer Chief Compliance Officer Chief Business Officer - New Business Chief Revenue Officer – Direct Business Chief Product Operations Officer Hemen Bhatia Shobhit Mathur Dharmendra Jain Hitul Gutka CEO – Asset Management Co-founder – Angel One Wealth Co-founder – Angel One Wealth Head of Investor Relations E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 15th October 2024 will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to the Angel One Limited's Q2 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, sir. Hitul Gutka: Good morning and welcome, everyone. Thank you for joining us today to discuss Angel One's Q2 FY'25 financial and business performance. The recording of today's earnings call and the transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and press release are also available on the website. For today's call, Angel One is represented by Dinesh Thakkar, Chairman and Managing Director; Vineet Agrawal, Chief Financial Officer. We also have the senior leadership team of Angel One, along with SGA, our IR consultants. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a question-and-answer session. Please note, there may be certain forward-looking statements made during the course of the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks. Dinesh Thakkar: Q2 FY'25 has been an eventful quarter, characterized by regulatory changes and strategic initiative at Angel One. First, SEBI introduced the true-to-label regulation with the goal of ensuring the standardization of transition charges for trading and investment fraternity. SEBI also introduced some tightening of regulation around the derivative segment for the industry with admirable intent of strengthening the equity index derivative framework, focusing on the long-term sustainability and protection of investors, particularly small retail participants, while promoting growth and stability in India's capital market. These efforts include the rationalization of weekly index derivative product to one per exchange, increased contract sizes for index derivatives and a 2% increase in the ELM on expiry day. While these adjustments may potentially result in short-term softness in trading volumes, they are expected to fortify the market in the long run. We at Angel One will continue to monitor client behaviour closely in coming quarters and we remain optimistic about the long-term outlook measured as a lifetime value for our clients. Our belief stems from our past experience of SEBI's earlier interventions such as peak margin regulations enacted in December 2020 and the margin segregation between cash and collateral in May 2022.

Taking into consideration the permanent impact of the true-to-label transition charges, we implemented several proactive tariff adjustments, including introduction of brokerage on cash delivery orders and the imposition of interest on disproportionate non-cash collateral offered as margin exceeding ■ 50,000. These measures, as communicated in our previous earnings call, were designed to mitigate the revenue impact while maintaining a sustainable business model. In our ongoing effort to enhance our market share, we have rationalized the interest on the margin trading facility offering to a flat rate of 14.99% annuall

y, based on our successful experimentation in previous quarter. We believe this approach will help us continue to garner a larger market share in growing MTF segment. Diversification remains a very important aspect of our overall growth strategy. Angel One went live with distribution of credit products on its platform after thoroughly testing and incorporating client feedback. The company launched unsecured personal loans through partnership with three NBFCs and plans to onboard more partners soon. The digital distribution model offers deep penetration, providing access to credit to a diverse client pool. The platform utilizes a proprietary propensity scorecard for risk management. This scorecard was developed by leveraging our data analytics capabilities. As of the 30th of September 2024, cumulative disbursement through our platform totalled ■ 3.6 billion. As we progress in this segment, we will take a calibrated approach in scaling up the credit distribution business based on enhanced risk understanding. We also launched the distribution of fixed deposit on the app through ties with six partners, including banks, small finance bank and NBFC. Our clients can now invest in fixed deposits as an off-the-shelf product without the need to open a bank account, further diversifying our product offerings. In mutual fund space, we achieved a significant milestones, reporting our best quarter with more than 2.3 million unique SIP registration, including more than 8 lakh in September 2024 alone. Signifying the excellence of our mutual fund journey, we witnessed positive trend in terms of time to first SIP purchase, average ticket size, number of clients doing their second SIP, etcetera. The adoption and maturity achieved by the product on the platform suggests that the engagement and retention efforts are paying off well. The expanding suite of products from equity broking to distribution of third-party financial products showcases the evolution of our Super App and its advanced capabilities. As we continue to enhance our product offerings, we are steadily becoming more capable of fulfilling all clients' financial needs and empowering them to close their financial life cycle loop within the platform. On broking front, we remain committed to improving the trading experience through technological advancements. During the last quarter, we launched a refreshed version of Traders Spa with several key enhancements, augmented clients' ability to change order preference and optimized search functionality for better keyword matching, to name a few advancements. In

addition, we integrated ChartIQ into our platform, providing an alternative to the existing charting option available on Super App. The strategic use of data continues to drive our operational efficiency and improve client engagement. Data democratization and advanced data science solution provides sharper client insights, improve client support through automation and streamlined operations, ultimately enhancing client retention. During this quarter, we also witnessed notable progress in our assisted business. We redefined the partner acquisition, engagement and retention playbook, refined journey on the NXT platform and integrated a signalling mechanism to empower partners to engage with clients more effectively. Leveraging our strong data analytical capabilities to develop cohort personalization based on behavioural insights, the business vertical continues to experience significant growth as envisaged. As a part of our ongoing effort to invest in building blocks of wealth management, we have expanded the team and our presence across different cities. We onboarded talent with deep knowledge -- with deep domain and tech expertise as well as decades of experience in client relations and proven track record of delivering success at the point -- at some of the large global consumer-focused tech companies. In addition, we are augmen

ting our relationship managers' bandwidth as we focus on penetrating and serving clients in Tier 2 cities. We strongly believe that there is a tremendous growth opportunity, especially in the HNI segment, which is currently the underserved segment. Through our wealth management, we strive to leverage that domain expertise, coupled with our technology capabilities to disrupt the business and offer the service to the wider audience. Our asset management business awaits final regulatory approval, and we will provide updates in due course. During the quarter, we further solidified our management bandwidth with onboarding of Arief Mohamad as a Chief Business Officer, Direct business. Arief brings over 16 years of distinguished experience in e-commerce, scaling up business with a strong understanding of customers entailing superior engagement. Prior to joining Angel One, Arief served as a Vice President and Head of Fashion at Flipkart. He led critical charters ranging from creating customers first strategy for shaping client engagement, spearheading loyalty programs, overseeing digital marketing initiatives, growing the mobile and fashion category by leveraging data. Operationally, Angel One delivered strong results in quarter 2 FY'25, acquiring approximately 3 million new clients with about 90% coming from Tier 2, Tier 3 and beyond cities. These acquisitions mean our total client base exceeds 27 million clients, making us one of the largest player in the industry. Our focus on gaining and sustaining our market share is evident from the 44 basis points of sequential expansion in our share in India's Demat account, reaching 15.7 percentage as of September 2024.

Our clients executed nearly 490 million orders during the quarter, translating into an ADTO of more than ■ 871 billion, on an equity option premium basis. With a 19.3 percentage share in overall retail equity turnover, we continue to report improvement in our market share across all segments. Our sustained focus on growth, client satisfaction, technological advancement is further solidifying our position as a leading player in India's evolving financial ecosystem. Here, I would like to emphasize that our focus on unit economics guides us towards healthy business growth. Our digital model enables us to achieve economies of scale with superior lifetime value while optimizing the cost of acquiring clients, thus enabling us to sustain our robust profitable metrics despite the evolving customer demographics. I will now ask Vineet to take you through our financial performance before we open the floor for questions. Vineet Agrawal: Thank you, Dinesh bhai. Good morning, everyone. Amidst a quarter of -- with muted volumes, I am happy to share that Angel One delivered a very strong operational and financial performance with sustained market share gains in Demat accounts, active clients and retail equity turnover. Our aggregate orders grew by 5.8% sequentially to nearly 490 million, aided by 6.7% higher number of trading days. We clocked our highest ever quarterly total gross revenue as we crossed the ■ 15 billion mark for the first time, registering a 7.5% quarter-on-quarter growth. Our gross broking revenue grew by 2% sequentially to nearly ■ 9.4 billion in quarter 2 of FY 2025. The growth in our gross broking revenue trailed the growth of our aggregate orders as we witnessed a healthy growth in the cash delivery orders from our direct business where we did not charge clients during the quarter. Gross broking revenues accounted for 62% of our total gross revenues with F&O contributing about 81% in quarter 2. Share of cash segment rose to nearly 13% of our gross broking revenue, which shall improve further as we start charging for orders executed in the cash delivery segment under the flat fee plan from November 2024 onwards. Share of the commodity segment also increased to 6% in quarter 2 of FY 2025. Since majority of our client

s are part of our direct business unit, their share in the net broking revenue stood at approximately 77%, while the balance 23% was contributed by clients acquired through our assisted business unit. With rising volumes in our cash delivery segment, we witnessed corresponding growth in our client funding book as well, which averaged at nearly ■ 39 billion for the quarter, sequentially up by 48.1%. Our period ending client funding book stood even higher at ■ 43 billion. Growth in the interest earned on this book also factors the differential interest rate charged to our assisted business clients. The interest earned on client funding book, along with the interest earned on deposits with exchanges, grew by 22.1% sequentially to ■ 3.6 billion, thus accounting for about 24% of the total gross revenues for the quarter. Effective November 2024, the interest charge on margin trading facility across all clients is being reduced to 14.99% from 18% earlier. We believe that

this alignment of interest with other industry peers and our seamless offering of the product will help grow the client funding book and cash delivery orders, thereby offsetting the impact. The ancillary income, transaction income linked to the value of the orders executed by our clients on our platform remained stable at ■ 1.1 billion and accounted for nearly 8% of our quarter 2 FY 2025 total gross revenues. From October 1, 2024, it is this income that has got extinguished as per the recently introduced true-to-label SEBI circular of July 2024. In our effort to insulate the business from this impact, we have implemented several measures as highlighted by Dinesh bhai in his opening remarks. Income from distribution operations grew 53.4% sequentially to ■ 257 million, accounting for nearly 2% of our gross revenues for the quarter. This was predominantly driven by higher number of IPOs, coupled with full-fledged distribution of credit products through our platform to our clients. Finance cost increased by 35.7% quarter-on-quarter to ■ 754 million on account of 38% quarter-on-quarter higher borrowings to fund the growing client funding book. Employee benefit expenses, including cost of granting ESOPs, grew 14.6% sequentially to ■ 2.3 billion on account of headcount increase in the wealth management technology, product and data analytics teams. Increase in employee benefit expenses sans ESOP cost is on account of new joinees and accrual of variable pay for the wealth business, whilst the increase in ESOP cost is on account of fresh grants to new joinees across the businesses. Other operating expenses for the quarter fell by nearly 25% sequentially to ■ 3.7 billion. In quarter 1, we booked ■ 1.1 billion on account of proportionate cost towards IPL associate partnership and related digital and media advert spends. The same does not form part of our quarter 2 financials. Net of this brand spend of quarter 1, our other opex declined by 2.1% sequentially despite nearly 16% higher gross client acquisition during the quarter. Our quarter 2 reported consolidated EBDAT margin stood at 49.9%, while this was higher by 1,220 basis points quarter-on-quarter as compared to our reported quarter 1 margin, it was still better by 191 basis points quarter-on-quarter when compared to the normalized quarter 1 margin at 48%. This operating margin also subsumes the expenses on incubating new businesses of asset management and wealth management. The robust margin profile validates our granular focus on the unit economics as we reap the benefit of higher lifetime value of our clients, which is core to our growth metrics. Depreciation and amortization costs increased by 13% sequentially to ■ 256 million in quarter 2 as this was the first full quarter post capitalization of assets in quarter 1, coupled with increased incremental assets capitalized in quarter 2. Our reported consolidated profit after tax from continuing operations grew by 44.6% q

uarter-on-quarter to ■ 4.2 billion, making this our historic best profit performance. The normalized PAT for the previous quarter was ■ 3.8 billion after netting out the impact of IPL-related costs, and our reported profit for quarter 2 is higher by 12.2% sequentially.

Our H1 total gross revenues and profit after tax stood at ■ 29.3 billion and ■ 7.2 billion, representing a growth of 57.3% and 36.3%, respectively, over the corresponding previous quarter. Our H1 profit after tax is 63.6% of our entire FY 2024 profit, demonstrating our sustained and strong growth trajectory. Period-end cash and cash equivalent, client funding book, investments and security deposits with exchanges stood higher as on 30th September 2024 as compared to 31st of March 2024. Correspondingly, we also witnessed higher client monies and borrowings as of 30th September as compared to March 2024. The consolidated net worth of the company increased to ■ 52.8 billion as of 30th September. As we continue to operate the business within our desired margin profile, our H1 annualized return on average equity remains healthy at 34% and improvement over our quarter 1 annualized ROE, which was impacted due to softer margin and higher net worth on account of the fund raise. We strongly believe that our ROE is on the trajectory to trend back to our historical levels in due course. With this, I conclude the presentation and open the floor for further discussion. Thank you. Moderator: The first question from line of Swarnabh Mukherjee from B&K Securities. Swarnabh Mukherjee: Congratulations on a great set of numbers. Four questions from my side. First of all, on the circular on the equity derivatives space, just wanted -- I mean, you have already mentioned that there could be a shorter-term impact on the trading volumes in terms of some softness there. Just wanted to understand how we are seeing the impact for us. Maybe if you can give some quantification or the proportion of clients who might get impacted by the different facets of regulation, particularly the lot size increase in specific. And what could be your if you're on the same corrective actions or pricing-related actions that you might want to take on the F&O side? Sir that is the first question. Next, on the cash delivery segment, I wanted to understand whether the price increase can lead to some amount of sensitivity of customers because one large peer has still not increased the price in this segment. And if you could give some color on what could be the blended realization of this segment as the pricing kicks in, whether it would be closer to the ■ 20 mark that is there or it should be somewhere in between? A couple of more things quickly, sir. One is on the interest income side. The UPI block mechanism, how do you see this panning out? Would you expect a shift there? And related to the strong delivery in terms of the expenses this quarter, just wanted to understand what steps you have taken to control the cost this quarter and whether this can be sustainable. Sir these are my questions. Dinesh Thakkar: Thank you, Swarnabh. First, on circular on this derivative segment, we say like this is very difficult to quantify exactly how much would be the impact. But our estimation is that impact would be roughly in the region of around 13% to 14% of net income that we get from the customer. But if you look at tailwind that customer acquisition run rate, which is in the region of around 50% to 60%, it seems this impact would be negated in not more than a quarter or 2 quarters. But what is important is that intent of SEBI is to reduce losses of retail audience. So if

losses reduces, if they are able to achieve that, lifetime value of a customer is going to increase. So we are very optimist that in terms of lifetime value, there is no impact. There can be impact of revenue from a customer in a week or a mo

nth or 2. But we work on a business metrics of cost of acquisition to lifetime value. That is not going to change. And second factor, what we see is that growth rate of customer base, which continues to be in the region of around 50% to 60% for digital players, including us, that will continue. So the small kind of like correction, regulatory changes, which makes market healthy is always good for long-term prospect of organization like us. So we are very kind of like bullish in terms of the revenues that we are going to get from the customer in terms of lifetime is going to be same or is going to increase. Second, as we are entering into multiple products because customer will be retained on our platform, we would be able to sell more products to the same customer. So overall, we are expecting that we will be able to get more wallet share from the same customer. On second -- on cash segment, I believe... Swarnabh Mukherjee: Sorry to interrupt, sir, just before we move to the cash segment, I just wanted to clarify that this 13%, 14% number you mentioned, is this only on the F&O broking or overall like broking, distribution, interest income all together? Dinesh Thakkar: No, no. It is broking and related income from broking like Demat charges and all other related income that we get from customer. Related to his broking activity, that is what I'm mentioning, impact on that total income from a customer. So when we calculate lifetime value from a broking customer, I'm talking about that income. Swarnabh Mukherjee: Okay, sir. And just one clarification was that you like take any measures to neutralize it or as the lifetime value increases, you will eventually see we need to recoup? I mean, I just was curious that whether we should expect the industry level maybe pricing increasing there and you might also want to take that step that I wanted to understand. Dinesh Thakkar: Pricing is not exactly connected to this. Pricing can be because we are offering a better product on our platform. And there's a big difference between pricing what we are offering and what a traditional broker with inferior kind of like experience is providing, it can be a factor of that. But if you look at by changes in derivative contract, cost is not increasing. So if cost is not increasing, there is no impact on margin. So there is no reason for us to really think about pricing immediately till that time we see impact we will not be able to recover. But if you look at customer base, the way it is growing to the tune of 50%, 60%, it is a matter of extra capacity that is created. But having said that, we are open to, if at all needed to work on price and all that. But currently, we would like to wait for a quarter or so to see the impact of volume. But as I said that I do not see any kind of an impact in terms of cost escalation in terms of serving a customer or acquiring a customer. So it is a matter of time that we would bounce back to a similar kind of an OPM. But price, we are -- like there is lots of elasticity.

If we go for price increase and all that, I don't see any impact in terms of customers not coming on our platform. See this platform -- time and again, we have seen, it is not sensitive to price to the tune of ■ 5, ■ 10 per order. There are lots of competition who came out with ■ 10 per order and all that. They were unable to gain market share. What is important is that experience of a customer on this platform, if they see value on being on this platform and if we feel that, okay, we need to increase price, there is nothing that, okay, we feel that we will lose customer or customer will not come on our platform. So there's a big difference between pricing what technology players are offering and what traditional brokers are offering. Still, there is quite a headroom that we -- if we want, we can utilize that. Swarnabh Mukherjee: Understood, sir, very clear. Sir, if you could address the... D

inesh Thakkar: Yes. And second, on cash segment, it appears to be blended kind of realization would be closer to what we get in F&O because we have seen ticket sizes quite decent in cash segment. So it will be somewhere around what we get in F&O segment. Third, you were talking about UPI blocking mechanism. Vineet, if you can take this or Devender can take this. Vineet Agrawal: So Swarnabh, this ASBA in secondary market or UPI block, as you mentioned, this is mandatory offering for QSBs from January onwards. Let's wait and see how the client behaviour pans out. We don't see that there is going to be any significant impact on this because of the ticket size of our clients. But again, this is something which we'll again discuss maybe during the fourth quarter call once this mechanism becomes active. Dinesh Thakkar: And on your fourth question on expenses this quarter. See, primarily, we have accounted for all the expenses for all the businesses in this quarter. And what you will see is that, okay, in future quarters, like as you saw that, okay, we are able to now able to sell our kind of like loan products and all that. So slowly, we'll see lots of revenue coming from that vertical where already we have accounted for expenses. But there is one factor of expenses, which is very important for you to keep in mind, acquisition of client. If we get an opportunity to acquire more customer, given that we are entering like in 2 quarters IPL and all that, if you see that opportunity, always, as I say, it is an upfronting cost where revenue is going to follow for the next 5, 6 years. So we would not shy away from taking more expenses if we get an opportunity to acquire more customers and get a better market share. Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Prayesh Jain: Congrats on great set of numbers. Just on the new businesses, so we've disbursed around ■ 3.6 billion in terms of loans or distributed rather. So what is the kind of realization that we're getting? And what is the kind of aspirations for this segment to be, say, in the next one year or so? That would be my first question. Dinesh Thakkar: Sure. See, we are very bullish on all these new businesses because as you said that we migrated from broking app to Super App. Reason was that we want to be leader in all kind of like distribution business, be it loan product, be it insurance, be it anything that a retail customer wants. So we have very kind of high aspiration in terms of being leader in that segment. On numbers and everything, I'll ask Saurabh to answer this.

Saurabh Agarwal: In terms of the take rate, I think we are at par or slightly better than market standards right now in the distribution business. And more and more details of the business we'll get out once we ramp up the business over the next few quarters. Prayesh Jain: Okay. And where are we in terms of wealth management with regards to products, RM addition and where are we in terms of wealth management? Dinesh Thakkar: Is Shobhit there on the call Shobhit Mathur: I'll take that. Dinesh Thakkar: Yes. Please you can take. Shobhit Mathur: Yes. So there are a combination of things that we have done. As Dinesh bhai mentioned, this is more a combination of very strong domain expertise and bringing technology together to deliver that and add efficiency. We've already started to do 2 sets of activities. First one being that we have already started to publish content, which is across three different categories of content, which you will see in the Investor Relations presentation as well across macro views on asset classes, across views on overall macro economy and specific news on events which happened. So those things have started. And separately, we have already initiated third-party distribution business where a combination of mutual funds, PMSs, AIFs have already started to get offered to customers. Prayesh Jain: Oka

y. Where are we in terms of RM count? And what are the addition plans there? Shobhit Mathur: So the relationship team is getting hired a combination of people -- some people on board, some people joining us over the next few months serving their notices. The RM team is under the ramp-up stage right now, I think the full-fledged team should be built out over the next month or so. So you will see the full built-out of the RM team in the next quarter. Prayesh Jain: Sir, on the assisted partners business, what is the kind of AP network that we have today? And how many have we added in the, say, last 6 months? Also, the mutual fund business is mentioned to be scaling up from that element. So will the distribution revenue start growing from that channel as well? And what kind of potential we see there? Dinesh Thakkar: See, AP business, we are very bullish on AP business, and that's the reason like we have brought in a big team and big changes. In AP business, we believe that not only we would be kind of like looking at distribution or like getting revenue from broking, but also distribution of mutual fund, insurance and all that. For further detail, let me get in Nishant over here, if at all he is online. I think there was some disconnection. Okay. So Nishant is disconnected. Let me take this. So in terms of number of APs, we are in the region of around 9,000 to 10,000. And this business is also growing as equal to our digital business. So share of AP business is around 22% to 23% of our revenue. But we feel that this also business would be able to keep pace with this growth in digital business.

Prayesh Jain: And last question on the burn rate of these new businesses, what should we think? And when do we see real contribution from these businesses, say, from FY'26 or FY'27? How do we see the burn rates in these businesses and going ahead? Dinesh Thakkar: Like new business distribution of loans and all that, already we are seeing traction in terms of getting revenue from that. And in a few quarters, we will see -- we'll start distribution of insurance on our platform. So these new businesses where we have been invested like for 18 months, already, they have started doing revenue. And on wealth side, I feel it is a matter of like a few quarters that will start giving good revenues. So as previous earnings call, we guided everyone that this burn rate would be around 2% to 2.5% of our total revenue. So that way, we maintain that because we want to grow all that vertical. So we believe that kind of breakeven for new businesses would be in next 1.5, 2 years and maybe wealth may take around 2.5 to 3 years. Moderator: Our next question comes from the line of Swechha Jain with Whitestone Financial Advisor. Swechha Jain: Sir, I have two questions. One was on the lending distribution that we have started. Just wanted to understand what would be our revenue model there? I mean are we getting some onetime kind of a fee for distributing these loans? Or it will be like -- how do we make -- what would be the income out of that? What is the revenue model basically for us there? And second thing on the NBFC lending, what happens if a loan defaults? So, we mean those loans that we are distributing, will it count as an NPA for us or the credit risk belongs to the banks or the NBFCs through which we are tying up for distribution. So this was the first question. So answer this and I'll ask the second one. Dinesh Thakkar: No. I you can ask second. So let us take all the questions and then we'll answer all that. Swechha Jain: Okay. Sir, second one was on the transaction -- standardization of the transaction. I think you did mention some bit of it in the opening remarks, but I kind of joined a little late, so I missed that commentary. So just wanted to understand how do we plan to negate that impact because I think it will be an impact of ■ 400 crores, ■ 410 crores on an annual basis? So how do we kind

of take care of that impact of the transaction costs? Dinesh Thakkar: Okay. So impact of transaction kind of like you're talking about transaction cost that is true-to-label, right? Swechha Jain: Transaction charges, the transaction charges, which now -- we were charging -- we used to charge slab-wise to our customers. Dinesh Thakkar: Yes. So we have increased our kind of like -- or maybe we have started charging for cash delivery transactions. We have put -- like we are charging interest on collateral that we receive for -- so that way, by putting all these additional kind of charges on cash segment and charging for collateral that we receive as a margin, we would be able to negate this impact of true-to-label. Second comes change in F&O contract size and rationalization of weekly expiries and all that, one contract per exchange. So we feel that impact would be around in the region of 13% to 14%

of the total income from the client. And we are seeing that customer base is growing at a rate of 50%, 60%. So, we would like to see the kind of like impact on overall behaviour of customers. Then we'll take a call whether some action has to be taken on price side or is there any other levers that we can use to negate that kind of like impact. Too early to talk about that impact. But true-to-label impact, we have negated by putting charge on cash delivery and interest on collateral that we receive. And on NBFC, Saurabh, if you can answer on one time and risk of that credit default? Saurabh Agarwal: Sure. Sure Dinesh bhai. On your first question on how we intend to make money on the lending distribution piece, the idea is to -- the idea is to charge a one time payment for a loan that is disbursed via an NBFC. And each time the customer takes a repeat loan also, then again, we make the one time payment for that loan itself. So the idea is to have the customer on our platform and to serve the customer continuously over his lifetime, where if it takes multiple loans, we make money on each loan. So that is in terms of the income. In terms of the default, right, I mean, since we are purely in the distribution business, right, the default completely lies in the books of the NBFC and/or the bank that we have tied up with. So there is no implication of the default on our business whatsoever. Moderator: The next question is from the line of Nidhesh from Investec. Nidhesh: First, can you break the opex that is being incurred for wealth management and asset management business in quarter 2? Dinesh Thakkar: Vineet, if you can take this. Vineet Agrawal: Yes. So, Nidhesh, as we have guided in the past, the overall impact of the opex for incubating the asset management and wealth management businesses is about 1.8% of our OPM. So this 49.9% OPM, had we not spent on the wealth and asset management businesses, would have been around 51.5%. Nidhesh: Okay. Secondly, in the assisted business, the mutual fund distribution that we will be doing, that will be regular plans or direct plans? And if you can share the quantum of AUM that you have gathered through assisted business, mutual fund distribution. Dinesh Thakkar: Nishant, you can take this. Nishant Jain: Yes. So as far as the mutual fund side is concerned, we are about -- we are operating through the regular mutual funds, if that was the first part of the question. On the AUM, I would request. Vineet Agrawal: Nidhesh, right now, we're not sharing the AUM numbers. So we'll disclose it as we feel it appropriate at some later time. Nidhesh: Sure. And just last question on -- again, on assisted channel. Do we also have plans to distribute loans and other financial service products through the AP channel? And what is the -- is there any update on distribution of such products as of today?

Nishant Jain: Yes. As articulated in some of the previous interactions, assisted business is an omni-channel

play. We intend to have clear plays in multiple categories of products and therefore, multiple channels. And therefore, a short answer to your question is yes. More details would follow once we have kind of fructified and initiated some of those plans. Moderator: The next question is from the line of Sanidhya from Unicorn Asset. Sanidhya: Firstly, congratulations to team at Angel One for such great set of numbers in such a challenging situation we are facing at the business. My first question, sir, would be on -- okay, multiple questions, just small questions for the basic answers. So firstly, on the market share increment in the Demat, so incremental market share in the Demat. So that is reduced by almost 2 percentage if you see quarter-on-quarter. So do you see any impact on the SEBI circular for not going via the unregistered partners? Is there any impact on that, firstly? Secondly, on the ■ 500 crores limit per trading member that would be reviewed, I think intraday from January, I think maybe new circular. Thirdly, on the -- you're saying that lifetime age of the customer would be increased. So I wanted to -- if you can throw some numbers, how do you think the LTV would be increased? Because you are saying 13% to 14% impact on the net income from the customer to the broking side. So what other products do you think would be able to compensate this? And lastly, if you could share the average ticket size or the per order value for the equity cash segment for last year, not current year, but if you can share for FY'24, that would be great. Dinesh Thakkar: Okay. On market share on Demat, Devender or Bhavin, you can take this question on this ■ 500 crores trading limit. On LTV, what I meant is that when a customer comes to this market, he or she allocate some share of wallet to do trading and do some activity in cash or commodity market. That is not going to change. So if a customer loses lesser amount in the market, that person would be encouraged to continue for the longer term in the market. So when we calculate lifetime value, we see that, okay, what's an activity of a customer, which would be there for a block of, say, 5 years. But data suggests that lifetime value of a customer is beyond 5 years because we have almost completed like a kind of life cycle where we can extrapolate data beyond 5 years. So we can see there is a life left beyond 5 years also. Now that we have introduced more products on our same platform, mutual fund, we have seen good traction of people buying mutual fund. And if you look at mutual funds SIPs and all that, almost we can say that customer would continue to invest in this market if they start their journey at 25, 26 till the time of retirement. So one, in kind of like broking activity, trading activity, we are seeing if they lose less money, they are going to be more active or for a longer period, they will be active in the market. That will increase lifetime value. Plus, they will buy multiple products on our platform. So overall, what is important is that retention of a customer on our platform, if they lose less, they are going to stay more. On other questions, average order size, we don't disclose. Rest demat and trade limit, if at all Devender and Bhavin can take this question.

Devender Kumar: Can you repeat the question on the market share reduction on Demat side? It was not clear on our side. Sanidhya: Yes, yes. Sure. So if you see the presentation, so last Q1 FY'25, the incremental share in Demat account was 22.8% whereas 21.1% share is incremental Demat account in Q2 FY'25. I wanted to understand this almost 1.7% impact in the additional new Demat account. So is this because you see any impact due to the change in the regulation that we cannot now tie up with the unregistered people with SEBI? Devender Kumar: Okay. Yes. So I think at an overall level, we have maintained that we have been working on the overall business metric of pro

fitability of the client. And we -- keeping that as guideline is how -- we have moved ahead in terms of market share acquisition. So at an overall level, we don't see any subdue in terms of market. And at our level, we have maintained our margins, and there might be a small change in terms of growth here and there. But on an overall level, we see that the market share that we have been doing, which is around 23%, will remain constant and we'll progress from that point of view. Sanidhya: Okay. So no impact from the new circular that you cannot tie up with the unregistered people right? Amit Majumdar: No, Sanidhya, if I may add. So the digital channel, digital referral agent was not a large business for us any which way. So that doesn't have an impact on the customer acquisition. And as Devender pointed out, there will be times during the year where we could be lesser than the usual other quarters, but that is more to do with how do we see the market panning out from a profitability standpoint. As Dinesh bhai had also pointed out that our cost of acquisition is a function of what kind of opportunity we see in the market. So in the last quarter, we saw differential opportunity, and therefore, that plays out in the way the number of customers we acquired for that quarter. But in the subsequent quarter, things may again change. So this is a very volatile number. Nothing should be drawn on the basis of this. Sanidhya: Great. And on the ■ 500 crores limit for trading update? Bhavin Parekh: Yes. So on the ■ 500 crores limit, as you know, that there is a clearly defined number by SEBI. But we don't see this getting impacted to our retail base as of now. So we have not seen this as a problem at our end. And.... Sanidhya: Assuming that there will be no impact on our trading position. Bhavin Parekh: Absolutely. Sanidhya: Okay. And lastly, if I could ask you -- okay, we are not sharing the per order value for the cash segment, if you can share the overall turnover for the last year? Dinesh Thakkar: Vineet, do we share any of the number what he's asking? Vineet Agrawal: So we share the overall cash turnover, not the cash delivery turnover. Cash turnover for the last... Sanidhya: Intraday and delivery, both could share. Yes.

Sanidhya: Sorry? Vineet Agrawal: Can I just come back on this number? Sanidhya: Sure. And one last for Dinesh sir. Sir, I just wanted to say if we can have a separate call with the wealth management team once the business starts because there are a lot of questions to be asked. Dinesh Thakkar: Yes, sure. We are also equally excited to have a call. So definitely, like we will arrange a separate call with the wealth management team with their plans, aspiration and what they are planning in the next few quarters. Sure. Vineet Agrawal: The cash turnover was ■ 100 billion for the quarter. Sanidhya: No. Sir, last year, if you can share, that would be fine. We can extrapolate. Okay. That helps. Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Sanketh Godha: Sir, can you give me what is our -- in equity derivative market or options market, what is our premium to notional percentage? Means how much premium cost typically we collect compared to the notional ADT or what we do in only in options market like in bps, if you can give me a colour, that will be useful. And second, because the premium turnover data clearly not available in your presentation. And second is that just wanted to understand from your total volumes perspective in options derivative, how much is contributed by Bankex? Just -- that's the second question. And the third question, what I have is, sir, that given you have indicated that there could be 13%, 14% impact on the net income, if you can give a waterfall on that impact, whether it will be more because of the lot size increase or reduction of the number of expiry days. Sir in your assessment, which will be impacting that 1

3%, 14% of impact in the net income? And lastly, if there is a 13%, 14% impact, will you still maintain that EBITDA guidance, which you shared at the start of the last year -- or this year, around 43%, 44% for the full year? Yes, those are my questions. Dinesh Thakkar: Yes. Yes, in terms of premium volume, I'll just ask somebody to answer later. On this impact of 13%, 14% see, there is no arithmetic -- very simple arithmetic what you are seeing that, okay, is there an impact of like Bankex or Nifty and this. So we have seen that when lot size was decreased just in the beginning of this financial year, if you apply that logic, our volume should have really gone up substantially but does not work that way. So based on past patterns and all that, we try to do work -- working on what kind of customer activity would be and instead of what they are doing, what they will do. So our data science team has worked out the kind of bit complex kind of like metrics, which we are able to extrapolate that based on past whatever has happened, it seems impact of -- on these changes what SEBI has announced would be in the region of 13% to 14%. So whatever kind of like prediction we have made in the past also you will see they are very closer to what impact we see in the industry unlike lots of our competition gets worried. But I think it does not work very arithmetically that, okay, person doing one lot will stop doing it. By that sense, even when lot size was decreased, there would have been

substantial rise in volume, which happened in April 2024. We did not see that kind of a rise in volume. So the way retail works, it is not that in the market for one lot, if all that is not available, they are going to totally withdraw from the market. Youth who wants to come in equity and want to trade, they will explore a few other opportunities or they will bring in more money or whatever. So this is how we calculate it. It's a bit kind of like complex based on our data science models. Sanketh Godha: Based on your assessment, maybe I understand that it's a difficult number to quantify. But your model says that whether it is more to do with lot size increase or more to do with reduction in the number of expiry days, which will have an impact. I just wanted to understand which impact? Dinesh Thakkar: Yes. So it is a combination of both, but that weekly expiry which has been reduced, more impact can come from that side. But as I said that, okay, if a customer is active in the market, instead of doing, say, like 10 lots, he may do maybe 6, 7 lots in that month. But if I take extend this kind of like activity for a year, the activity for a year would proportionately would be almost same, I would say. So sometimes weekly options also not necessarily that client is active all the weeks. So if they get kind of a lesser expiry, so they may like in a year, they will trade almost of an equal kind of like quantity. So our model is based on like, okay, maybe based on this rationalization, there can be kind of like larger impact in a month or so. But if I extend this for a year, it seems that impact would not be as high. So on your second question, whether guidance on EBITDA, would we be able to maintain that? Yes, definitely, we would be able to maintain that. We can see improvement in that because now we are able to sell multiple products to the same customer. Sanketh Godha: Got it. Perfect. And maybe before Vineet can answer premium to notional number, just if you can quantify your revenue from loan distribution in second quarter or 1H? Dinesh Thakkar: Too early to say just because we have started this quarter. Give us 1 or 2 quarters so that we are able to be a bit precise in terms of guidance and number. Sanketh Godha: Got it. Perfect, sir. And on initial 2 questions, the premium to notional and Bankex contribution to total number of orders? Dinesh Thakkar: Bankex is a separate contract, we don't disclose. Vin

eet, if you can take that first question. Bhavin Parekh: Yes. So Sanketh, this is Bhavin here. Premium to notional ratio is similar to what exchange ratio is. It's in the range of 16 basis points to around 18, 19 basis points. It hovers between that. Sanketh Godha: Okay. So basically, average what gets reflected in NSE is broadly reflected at your end too, right, in that sense? Bhavin Parekh: Yes. Yes. Perfect. Sanketh Godha: Is it fair to assume that in your volumes still Bankex and Sensex contribution is not meaningful because base notional to -- premium to notional is meaningfully really low.

Amit Majumdar: Sorry, Sanketh, those are numbers we are not able to disclose today. So we can't give you index-wise what volumes we do. Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Pallavi Deshpande: Just wanted to know on the wealth management side, the ■ 250 crores investment, so what is the stake we hold versus the co-founders that we brought into the business? Dinesh Thakkar: Wealth management company is 100% subsidiary of AOL and there is a separate ESOP pool for that company. Pallavi Deshpande: Right. Just wanted to have a sense of where do we see our holding, let's say, 4, 5 years down the line in this -- in the wealth management arm. Dinesh Thakkar: It depends on performance and all that, too early to say that. There's an ESOP pool which we have created based on performance. Moderator: The next question is from the line of Aman Singh from Profitgate Capital Services. Aman Singh: I have two questions. First, on the MTF side. So we highlighted a few quarters earlier that we'll focus on the MTF and we have doubled the book in a year. And now we have reduced the interest rates on MTF. So is it the competition that is haunting the MTF and the growth will slow down in coming quarters? This is first. And second, so we are selling regular mutual funds in the wealth management part of the business and direct mutual funds on the platform the Super App that we have. So what are the plans to monetize the customers that are purchasing direct mutual funds from us? Are we planning to introduce regular plans on the Super App also? These are the 2 questions. Dinesh Thakkar: Okay. On MTF side, it is not that we were influenced by competition and all that. It is based on like leverage what we can get and growth prospects that we see in that vertical, we would like to increase our market share. So if we look at viability in terms of business model and all that, it is viable at this rate. And in fact, if at all, we see higher volumes, we would be okay to adjust price because what is important what's an offtake of this book that is important. So what we are seeing currently, we saw a good opportunity in terms of growing this book size. And keeping that in mind, we thought let us kind of like put the price where it becomes viable for the customer to borrow money and trade in the market and all that. So all said that, equity is going to give a certain return. So we have to see that customers who are using this facility, it becomes viable for them to avail of these facilities. So based on that, we take decision and we look at growth opportunity and what kind of like future growth we can see in that area. On second question, on that platform, we offer direct. And there is no kind of like need for us to monetize as these customers are doing some other activity on our platform. As I always say, we don't look at revenue or profit per transaction. We look at the revenue that we can get from relationships. So a person who onboards and buys mutual fund on our platform, they are -- probably they are going to be retained for a longer period of time. That whole lifetime, they are going to do far more other transactions, avail of more services on our platform. So if you look

at lifetime value, always you say li

fetime value is important for us. So we believe this person who starts his SIP journey and would be buying more multiple products, lifetime value of this customer who starts onboards as a buying mutual fund directly or a customer who onboards as an equity, it appears lifetime value would be almost similar. Aman Singh: Sir, a small follow-up on the second part. So as we are now entering the wealth management business also, will it not make -- will it not be better that we target the bottom of the pyramid, the people who are buying direct funds by monetizing and selling them the regular funds because we are entering the mutual fund distribution business to the wealth arm also. Dinesh Thakkar: See, they are probably different models. Wealth management is more of kind of an advisory, guidance for people who want on the wealth. Direct business on the platform, people who are taking their own decision, and they will look for some kind of digital advisory and all that. So we want to keep it separate. So because people who are coming on the wealth management side, they want to pay for advisory services or they want to pay for guidance that they get for their wealth and for their assets. So we want to keep it distinct. Distribution would be on our platform, which is direct. If at all any customer wants an assistance, there is a charge for that. Aman Singh: Right, sir. Sir, just a small clarification. As you highlighted earlier on the call that the company will not shy away from any upfront marketing that will give us more customers. So the IPL cost that we incurred last year, the IPL sponsorship cost that would be there for next 5 years, and there are no change in plans because of the disruption in the F&O part of the business. Am I correct? Dinesh Thakkar: Yes, yes. Because we would like to continue being like, I would say, increase our market share. So wherever you get opportunity in terms of -- on top of the mind recall or people who want to consider to come into equity, our name should be a first choice for them. So we would continue to spend on IPL plus complement by putting in more kind of expenses on branding and all things what we did last year. So we have seen a big benefit because of doing this activity and complementing with some branding activities. So we'll continue with that. Now we have more reason because now more products are available on our platform where commercially we can just sell and earn from that. Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Ajox Frederick: Just one question, sir. Sequentially, our admin and other expenses adjusting for IPL has come off despite clients or the customer acquisition going up about 15%, 16%. So what are we doing differently this quarter one? And can this cost optimization sustain in the coming quarters? That's my question. Dinesh Thakkar: See, we work on cost of acquisition to lifetime value. So say, like every quarter, you see there will be some kind of like difference because cost of lead and all that changes, pricing on social media changes. So there can be small variation. But what we look at average cost of acquisition across the year, and we believe wherever we see opportunity that we have been able to optimize that cost, we would like to scale it up and acquire more customers. Our focus is on getting market

share. And wherever we see unit-wise economy is viable to acquire more customers, we would like to go for that. So current focus is not on optimizing cost, it is more on market share. Ajox Frederick: So there could be some elevated costs coming up in subsequent... Dinesh Thakkar: If we get an opportunity, yes. Moderator: The next question is from the line of Parth from Alpha Wave Global. Parth: Congratulations on a great set of numbers. Just have one question. How frequently do you hit the open interest limit of 15%, given we have 20%-odd market share of turnover -- of

the market turnover? And also the consequent question is, how large do you think you can grow from here on this front? Dinesh Thakkar: On open interest, we haven't faced like big problem. Bhavin, you'd like to take this? Bhavin Parekh: Yes, sir. So Parth, we have not seen this particular problem at our end. And as the market open interest -- the 15% of market open interest, whichever is higher, we have a share of that. So we don't see any issue as of now on this. Parth: Got it. And just one more question. The 13% to 14% odd impact that you are expecting from the incoming regulations, is this on today's stock user base? Or are you sort of also factoring new customers coming in and sort of adjusting for that as well? Dinesh Thakkar: No, no. This I'm saying per impact of per client who are active, what would be. But if I take a growth automatically like maybe it gets offset in 1 or 2 quarters because we are seeing tailwinds in this industry in terms of acquiring new customers, new customer coming to this market continues at the rate of 50%, 60% for digital payers. So I'm not factoring in that growth rate. So factoring the growth rate, then impact is negligible. In fact, we would be positive again in next year. Moderator: The next question is from the line of Aravind from Sundaram Alternates. Aravind: Congratulations on the good set of numbers. Sir, just a... Moderator: Sorry to interrupt, Mr. Aravind. Could you come a bit close to your handset? Aravind: Yes, yes. Is this better? Dinesh Thakkar: Yes, it's better. Aravind: Yes. Yes. Sorry for the interruption. But when we talk about non-BSDA accounts, is it safe to assume all the active clients would make up the major portion of the non-BSDA accounts or would be much more than that? Dinesh Thakkar: Bhavin, if you can take this? Bhavin Parekh: So it's safe to assume that most of our active customers are non-BSDA also.

Aravind: Okay. Would it make a significant proportion of it like or would be like only 50%, 60% of non-BSDA accounts? Bhavin Parekh: Yes, yes. Most of them is non-BSDA, and it will not have an impact. And that's what we can state as of now. Aravind: Yes. And sure, sir. And you were also talking about the operating profit margin would have been like 1.2% higher like if it not had been for the investment we made in asset management and wealth management. Is it primarily a one-off kind of an expense? Or is it going to be like every year, like such level of expenses need to be incurred for wealth management business, but the revenue will come like a bit later, as you mentioned, like in 2 or 3 years for the business to break even? Dinesh Thakkar: No. See, we have invested in different verticals in different, different kind of time zones. So if you look at loan distribution and all that, they have already become active and they are selling their product. So this 1.8% is like what we have like been spending on other verticals, which we have accounted, but still that revenue has not started from that vertical. So -- but if you look at distribution of loan, already in this quarter, we are seeing some good numbers. Similarly, we will see for distribution of other verticals like insurance and all that also in a few quarters, they will kind of like come in. Similarly, next year, you will see revenue will come from wealth management and all that. So difficult to say what's the percentage, what the decrease would be there. But in terms of -- our continuing to invest or put money in this vertical would be there because we want to grow this business. We want to see that we become market leaders in whichever area we get into. Aravind: And just one last thing, if I can squeeze in, sir. Like other market like especially the brokers, like are they confident of being able to increase the charges if there is a significant -- I wouldn't say significant, there is a considerable like a decline in number of trades or volume per client. Dine

sh Thakkar: I don't see any concern for digital players because there are limited digital players who have excellent platform, which are kind of working at a scale and all that. If there is a need for anybody to change this kind of pricing, I see that we have lots of elasticity in terms of increasing our price. Whether it is necessary or not, I think once we see what kind of an impact is there and if it is necessary, we'll increase it. Like for true to label, we thought it is necessary, we increase it. And we don't feel there's going to be any impact because of charging for cash delivery. Similarly, if we see that impact is beyond what we were anticipating, I'm talking about digital players, I think they have a good kind of platform where customer once they use digital platform, they don't mind paying ■ 5 or ■ 10 more. What is important is that they want to see experience and engagement that they are having on the platform, that should be superior, and we should be able to maintain that experience. So I don't think customers are sensitive on ■ 5, ■ 10 per order. Moderator: The next question is from the line of Yash Mehta from Aart Ventures Yash Mehta: I just wanted to know that what is the kind of revenue target that you are anticipating for FY'25?

Dinesh Thakkar: We don't disclose forward-looking numbers. Sorry for that. But you can extrapolate what kind of customer base, rate we are growing. So I don't see any kind of headwind on that side that will continue and you can put impact what we have told you and extrapolate for 3-4 quarter and you will get the number. Moderator: The next question is from the line of Sukant Garg from Equible Research. Sukant Garg: First of all, congratulations on the numbers that have been published. Secondly, my question is regarding the AMC license. What is the status update on that? Last quarter when we have a call, you told us that it's in progress and we will see it in the next 2, 3 months as well. So by when we can expect that? Dinesh Thakkar: Sure. Hemen, if you can take this? Hemen Bhatia: Yes, sure. So again, in terms of the license, I can say we are in the final stages of getting the AMC license. And it could be any day, any time now that we hear it from the regulator. And that's what we maintain now also. Sukant Garg: And any targeted revenue from that we are planning around. Hemen Bhatia: So I think it will be too early to talk about the revenue metrics given that we have yet to get the license. And then the idea is getting the license and being on ground at the earliest, that is going to be our immediate next step. Moderator: The next question is from the line of Rucheeta Kadge from Iwealth. Rucheeta Kadge: So my question was on the employee cost. So how do we see this panning ahead in the following quarter? Dinesh Thakkar: We have taken most of the cost that way. And if we look at like we are talking about next quarter, there can be some impact on all that. I see there is an enough capacity, there is no need for us to really increase until the time we see some good opportunity somewhere, and we want to bring in that vertical. Otherwise, steady state business as usual, what we are doing, I think we have sufficiently kind of like spend on employee cost. There's no need to increase. Only we will see now optimization of kind of this cost because after reaching certain age in any digital business, there's optimization. But once we start spending on other vertical, doing kind of like in a growth industry, there can be an opportunity where we would like to spend. But if you take businesses that we are doing, I think over there, we have enough kind of spend on people needed for this vertical. Rucheeta Kadge: Okay, sir. And sir, just one more question. The 13% to 14% impact that we've said, so it's basically on the per order that a client places, right? Like if he was placing 5 orders per month, so that we are saying that, that can reduce

by 14%, right? Dinesh Thakkar: So again, as I said that, okay, this 13% to 14% impact is immediate. But if I take like activity of a customer on this platform for year 2, 3, I don't see there will be any impact on lifetime value. So if you take it this way that if I take an activity of a customer for a quarter or 2 because there

are less opportunities, they may trade lesser by 14% to 15%, if I take revenue from customer for quarter or 2. But if I take a block of 1 year or 2 years, revenue from the same customer and what we got previous this circular would be almost same. Rucheeta Kadge: Got it, sir. And sir, just one last question on the interest cost. So our interest cost has gotten elevated a little bit. So how do we see this for the whole year and the next year maybe? Dinesh Thakkar: Vineet, if you can take this? Vineet Agrawal: Sure. So interest cost is an offset of the MTF, the client funding book that we have. As the client funding book grows, part of that will be funded through borrowings and the interest cost will go up. So it's linked to our borrowings for the client funding book. Moderator: Due to time constraint, we have reached the end of our question-and-answer session. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments. Dinesh Thakkar: Thank you for joining us on this call today. I hope we have answered your queries satisfactorily. Should you require any assistance, please feel free to contact Hitul Gutka, Head of Investor Relations; or SGA, our Investor Relations Advisor. Have a good day. Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

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Angel One Limited
CIN: L67120MH1996PLC101709,
SEBI Registration No Stock Broker:INZ000161534,
CDSL: IN-DP-384-2018, PMS:INP000001546,
Research Analyst: INH000000164, Investment Advisor: INA000008172,
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Symbol: ANGELONE Scrip Code: 543235

Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on December 17, 2024 intimating of the earnings call with analysts and investors to be hosted by the Company on January 14, 2025, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
Membership No: A22506

Date: January 17,2025
Place: Mumbai

Encl.: As above

Page 1 of 28 Angel One Limited Q3 FY '25 Earnings Conference Call January 14, 2025 MANAGEMENT: Dinesh Thakkar Vineet Agrawal Amit Majumdar Ravish Sinha Jyotiswarup Raiturkar Ankit Rastogi Chairman & Managing Director Group Chief Financial Officer Group Chief Strategy Officer Group Chief Product & Technology Officer Group Chief Architect & Chief Technology Officer Chief Product Officer Nishant Jain Arief Mohamad Ketan Shah Anuprita Daga Meenal Maheshwari Shah Manmohan Singh Chief Business Officer – Assisted Business Chief Business Officer – Direct Business Chief Sales & Revenue Officer – Assisted Business Group Chief Information Security Officer Group General Counsel Group Chief Risk

Officer Subhash Menon Saurabh Agarwal Devender Kumar Bhavin Parekh Hemen Bhatia Srikanth Subramanian Group Chief Human Resources Officer Chief Business Officer - New Business Chief Revenue Officer – Direct Business Chief Product Operations Officer CEO – Asset Management – Angel One Asset Management Company Co-founder & CEO – Angel One Wealth Dharmendra Jain Hitul Gutka Co-founder & Head of Business Product – Angel One Wealth Head of Investor Relations E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th January 2025 will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to Angel One Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded. This conference call may contain forward-looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, Sir. Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q3 FY '25 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Mr. Dinesh Thakkar, Chairman & Managing Director; Mr. Vineet Agrawal, Chief Financial Officer. We also have the senior leadership team of Angel One, along with SGA, our IR consultants. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a Q&A session. Please note there may be certain forward-looking statements during the course of the call, which must be viewed in aggregate with the risks that the company faces. With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks. Dinesh Thakkar: Thank you, Hitul. Good morning, everyone. I wish you all a very happy and prosperous 2025. India's capital markets are on the remarkable growth path driven by a surge in demat account additions. This momentum reflects the growing trust of retail investors in equity as a promising asset class, an achievement rooted in ever evolving regulatory landscape. Enhanced transparency through regular regulatory updates has cultivated trust, fuelling steady increase in participation and trading volume across the industry. We enthusiastically support this advancement as they not only empower investors, but also ensure long-term client retention, a key driver of sustainable growth for a business like ours. The regulator made such an update to cultivate trust, as Q3 FY '25 reflects the implementation of the True to label framework, standardizing exchange charges with a flat fee structure regardless of turnover. This change has brought client much needed

transparency and predictability about the cost they incur. This move was undoubtedly beneficial for clients, but it also eliminated a key revenue stream for brokers. To adapt, we took proactive steps introducing flat fee brokerage for cash delivery orders and implementing interest charges on disproportionate non-cash collateral exceeding ■ 50,000 from mid-November 2024. These adjustments have been warmly embraced by clients, who prioritize exceptional platform and experience over minor pricing tweaks. More importantly, this highlights our ability in devising effective pricing strategy in response to evolving business environment. In Q3, the industry also saw implementation of first phase of the measures to strengthen equity index derivative framework for increased investor protection and market stability. The full rollout will take place across the ongoing quarter. While regulatory changes often lead to temporary disruption and volume corrections. History shows that client adapt quickly, as seen during the

peak margin regulation between 2020 and 2021, which ultimately fuelled growth through an expanded client base. This reinforces our belief that these interventions enhance client longevity and drive higher LTV across the industry. At Angel One, we estimate a short-term impact of 13% to 14% on total net income due to these changes for the period of implementation till client behaviour adjustment, apart from market-driven softer volumes as evident since October 2024. Additional regulatory update on grouping monthly expiry for each of the exchange, 2 exchanges to 1 day of the week, would bring an additional 3% to 4% decline. We will know more about the real impact of these interventions by the end of March. However, we are confident that our aggressive client acquisition strategy and normalization of trading behaviour will not only bridge this gap, but also set the stage for renewed growth in subsequent quarters. Our investment in acquisition channels, product innovation, technology, analytics capability remains robust as we meet our expected increased client on-boarding. Our client centric Super App strategy is central to a vision of offering a seamless, all-in-one financial ecosystem. This platform is steadily progressing towards becoming the first port of call for our clients as we expand the product portfolio to address all our clients' financial needs. I am happy to share, Q3 FY '25 saw significant milestones, including the beta launch of insurance journey within the SuperApp. The regulatory approvals for launching our Mutual Fund under the aegis of Angel One Asset Management Limited and Portfolio Management Services under Angel One Wealth Limited. I am also delighted to announce the launch of wealth management brand ‘Ionic Wealth’ by Angel One. Srikanth will provide further detail on this. We continue to expand our offering across broking, MTF, third-party product distribution and our foray into asset and wealth management. These achievements, coupled with our endeavour to enhance personalization algorithms, position Angel One as a

comprehensive non-banking financial service platform, empowering our clients to create long-term wealth. Our assisted business channel also scaled up the mutual fund distributor network, contributing to a growing mutual fund AUM. Based on behavioural insights, we refined client engagement through improved discovery on the app. We are continuously investing in improving the NXT platform for our assisted business partners, empowering them with comprehensive visibility of client activities across incremental product offering, and better tools to offer clients a curated service experience. To help our high-quality business partners further expand their customer base, we have piloted super local activity that leverage targeted localized insights and tools. This strategy helps bridge the gap between digital convenience and personalize community focus interactions. Operationally, we achieved healthy results despite headwinds adding 2.1 million clients with 88% coming from Tier 2 and Tier 3 and beyond cities. Our consistent focus on growing market share is evident with 26 basis points sequential expansion in our share across India's total demat account to 15.9% as of December 2024. Furthermore, our overall -- the retail equity turnover market share expanded by 41 basis points to 19.7% in Q3 FY '25. Angel One remains focused on sustainable growth with strong control on unit economics. The digital model facilitates economies of scale with superior LTV while optimizing our cost of acquiring clients. As a result, we can maintain our robust profitability metrics amid the evolving external environment. I am pleased to announce that the Board has approved reinstatement of dividend distribution of 35% of quarterly consolidated profit after tax. I now invite Saurabh to provide further updates on the distribution business. Saurabh Agarwal: Thank you, Dinesh Bha

i. Good morning, everyone, and I wish you all a very happy New Year, and thank you for taking the time to join us today. I am excited to share our progress across key areas of our business over the last quarter. We have made strong strides in enhancing client experiences and expanding our product offerings. In the mutual fund distribution business, we achieved a major milestone in December 2024 with nearly 9 lakh unique SIP registrations, our highest ever. For the past two consecutive quarters, we have recorded over 2 million SIPs, reinforcing our position as the second largest player in the incremental SIP registration and continuing to increase our market share.

Our first MF brand campaign also gained excellent traction, marking the beginning of our journey to establish ourselves as the easiest and the most consumer-friendly investment platform, particularly aimed at younger investors who are just starting their financial journey. Additionally, we are seeing strong 6-month and 12-month retention from our MF users, which only strengthens our belief that client longevity on the platform will continue to increase as the MF play scales. Also, share of users who have transacted on MF have continued to increase, further solidifying our multi-product Super App strategy. In our digital insurance distribution business, we took a significant step forward by launching motor insurance on our app. We have integrated with three insurers and are now live with a select group of clients. We are very quickly adding more insurers to the platform and will move beyond the beta phase to extend this service to our full client base in some time. Now, I want to focus on our credit distribution business, a space with immense potential. Over the last two to three years, the personal loan space has grown rapidly but not without challenges. In the industry, there has been higher KYC frauds, over-leverage and delinquencies exceeding expectations. As a result, lenders are now adopting a more cautious, measured approach. While this has led to some short-term growth headwinds, this pause is crucial for building a stronger and more sustainable ecosystem in the long term. Having said that, we remain extremely optimistic about the future of this space and here is why. India's credit potential is enormous. Our retail credit to GDP ratio is still low compared to developed economies, which presents a huge growth opportunity. Consumer demand is strong. The younger generation is embracing credit to fulfil their aspirations and once they understand how to use credit responsibly, there is no turning back. The regulator is also active and proactive. With measures like increasing risk weights and shifting bureau reporting to a 15-day cycle, they are minimizing risks and promoting responsible long-term growth in the sector. Technology is transforming the landscape. Account aggregators are making the underwriting process more seamless and efficient while video KYC is addressing fraud issues. With throughput improving every quarter, onboarding will become faster, more secure and more scalable. Lastly, borrowing rates will normalize over time, making this a more favourable environment for lenders and borrowers alike. Angel One, we believe, is particularly well positioned to thrive in this market. The foundation that we have built is rock solid. Our tech stack is very robust, ensuring minimal downtime and a seamless experience for both customers and partners. Our customer base is high quality from a credit standpoint, demand is high and engagement on our platform continues to be exceptionally good.

More importantly, while we operate as a distributor, we are investing heavily in building our risk modelling capabilities. By leveraging advanced decision systems, we can provide the right products to customers, support lenders with better underwriting and improve the effici

ency of collection, all while we continue to take zero risk on our books. Additionally, coming to Q3, this quarter had a strong start. We went live with 3 lenders, refining our processes and learning valuable insights on the lender management front. So far, we have cumulatively disbursed ■ 600 crores in personal loans on the platform. We are also integrating with 3 more lenders in the final stages and will scale in a measured manner. While some headwinds may persist over the next couple of quarters, we are very confident that we will emerge stronger and continue to accelerate growth given that there is minimal legacy that we have to live with in this new paradigm. The credit distribution business fundamentally is a long-term game with the right strategy, a cutting edge technology platform powered by deep AI/ML models, and an unwavering commitment to doing things the right way in alignment with the regulator. Angel One is poised to, over time, become a very large player in this play. With that, I will pause and request Hemen to share his insights on the AMC opportunity that lies ahead. Hemen Bhatia: Thank you, Saurabh. Good morning, everyone. I'm extremely excited to share that we have recently received the regulatory approval to commence our mutual fund operations, a significant milestone in our journey to create a trusted brand for passive-only products. Our focus is clear, and we are working to develop a range of products that combine exchange-traded funds, i.e., ETF and index funds to meet the diverse needs of our clients. Let me explain our approach. While the ETFs will be distributed through brokers, offering their clients a cost efficient and accessible investment option, Index Funds will come in 2 forms: direct plans and regular plans. Direct plans that investors can purchase directly through platforms, and regular plans where we will pay commissions through distributors, ensuring widespread accessibility. To help our clients fully embrace passive investing, we are creating educational material to demystify this product and explain their advantages. We believe education is key to empowering clients and will play a critical role in driving adoption. The potential for growth in this space is immense with the industry's rising AUM base and the increasing share of passive in the overall mix, we see tremendous opportunity to contribute to this shift. Active funds often face challenges in consistently delivering outperformance, which is where passives come in. They provide better visibility into returns, a low-cost model for clients and a stickier asset base, offering stability over the long term. I am also incredibly proud of the pedigree team we have built, which is working to ensure we deliver high-quality, client-focused solutions. As we move forward, we have

ambitious plans to expand our product suite and cater to a broad spectrum of investor needs. At the heart of our efforts is a commitment to offering low-cost solutions, client education and a clear focus on sustainable growth. I am confident that our approach will not only position us as a leader in the passive investment space, but also create lasting value for our clients and stakeholders. Thank you for your trust and support as we embark on this exciting journey. I now invite Srikanth to take you through the developments in our wealth management business. Srikanth Subramanian: Thank you, Hemen, and good morning, everyone. Interesting times in India's wealth management industry as we are entering a very pivotal phase, and we have often quoted the triple multiplier effect, which essentially comprises of a growing number of high net worth individuals, appreciating assets and also incremental savings as everyone's income sort of also increases year-on-year. Yet despite this promising growth opportunity, the current structure of the industry remains largely evasive for a very emerging segment, which is what we call a

s the middle belly of the segment. We believe this is an opportunity not just to grow, but to redefine how wealth is managed. Our vision is simple, and we are very ambitious to reimagine conventional wealth management. We aim to blend our deep domain expertise, our core strength, with innovative technology to achieve scale and efficiency like never before. At the heart of this vision is our commitment to creating an omni-channel wealth experience. We want to give our clients the flexibility to engage with us on their terms, whether it is through DIY tools and tech or by leveraging the expertise of an experienced wealth manager. Our growth strategy rests on 3 critical pillars: investment quotient, IQ; digital quotient, DQ; and a very important ingredient in our high-quality wealth business, emotional quotient, EQ. These pillars shape everything we do, ensuring we deliver not only cutting edge solutions, but also curate an exceptional client experience. To support this, we have embraced some of the best governing standards. We have constituted a world-class Advisory Council, an expert think tank for various asset class views and an internal investment and a product approval committee to guide our product strategies. These are our engines of innovation, pushing us to think differently, act boldly and stayed ahead of the curve. As a customer-first organization, we rebranded ourselves as Ionic Wealth and Asset Management, respectively. The brand aspires to be the cofounder in our customer's journey of wealth creation by bringing the power of networks alongside strong investment and tech capabilities to enable their vision.

We also have launched our Ionic Wealth app in both Play Store and App Store. To start with, it will allow us to provide real-time access of portfolio performance analytics and assisted client journey. This will help us make -- this will help investors make better portfolio decisions. You can soon expect the app to bring more features basis customer feedback and suggestion as we build further based on a customer-first approach. From a regulatory standpoint, we made significant progress. With our ARN, PMS and RIA licenses already in place, we are ready to serve our customers. Our product offerings will focus on 5 themes; passives, quant, PIPE, secondaries and high yield. And of course, also Global is one of it that we are quite excited about to ensure we cater to diverse customer needs. In terms of scale, we have been progressively expanding our geographic footprint with offices now across 7 cities and a dedicated team of about 140 professionals spanning relationship management, investment experts, technology and other support functions. We will keep a strong focus on growing the market horizontally without diluting quality and look to better margins, leveraging the omni-channel approach. I am confident that with our strategy, our people and our passion, we are poised to transform the wealth management landscape. Thank you for your time and trust. With this, I will hand over the call to Vineet to give you an update about the financial performance of the quarter gone by. Thank you. Vineet Agrawal: Thank you, Srikanth. Good morning, everyone. Despite the general market weakness, coupled with the impact due to the implementation of new regulations, we have been able to expand our market share in demat accounts, NSE active clients and retail overall equity turnover. Our aggregate orders for the quarter were lower by 13.8% to nearly 422 million, which also includes the impact of 4.7% lower number of trading days. This being the first quarter post implementation of true-to-label regulation, our Q3 FY 2025 gross revenues were impacted to that extent. Ancillary transaction income, which stood at ■ 1.15 billion in Q2 of FY 2025, was nil in Q3 of FY 2025. Had we been able to garner this income in Q3 as well, our gross revenues would have been higher by ■ 1.1 billion. To of

fset this impact, we levied various charges from mid-November 2024, which led to an income of about ■ 238 million. Hence, on a like-to-like basis and considering the impact of the index option regulations, our total gross income would have been at approximately ■ 13.5 billion as against ■ 12.6 billion reported today. That is a decline of 10.9% sequentially against 16.6% printed now. Our gross broking revenue, which accounted for about 65% of our total gross revenues, de-grew by 12.5% sequentially to nearly ■ 8.2 billion in Q3, owing to lower client activities. F&O continues to contribute about 81% of our gross broking revenues, followed by cash and commodity segments at 12% and 7%, respectively. Share of direct business in our net broking revenues remained consistent at 76%, and the balance being contributed by clients under our assisted business.

Our average client funding book grew by 4.2% sequentially to ■ 40.5 billion for the quarter, which at the end of the quarter was higher at ■ 43.3 billion. The revised interest rate of 14.99% on MTF introduced in November 2024 reduced our interest income by nearly ■ 102 million during the quarter. The interest earned on fixed deposits was also lower by 7.8% sequentially, owing to lower quantum of fixed deposits and a marginally lower yield. Both these led to a 2.8% sequential decline in our interest income to ■ 3.5 billion, thus accounting for about 28% of the gross total revenues for the quarter. Income from depository operations, which account for 4.4% of our total gross revenues, declined by 24% sequentially, mainly due to lower cash delivery transactions. Income from distribution operations grew 16.9% sequentially to ■ 300 million, accounting for 2.4% of our total gross revenues for the quarter. This was primarily driven by growth across distribution of credit products and IPOs. Finance cost increased by 10.8% quarter-on-quarter to ■ 835 million on account of 4.6% higher borrowing to fund the growth in the client funding book and for margin requirements at the exchanges, coupled with a 35 to 40 basis points increase in average cost of funds. Employee benefit expenses, including cost of granting stock options, grew 3.1% sequentially to nearly ■ 2.4 billion on account of headcount increase in tech, product, data analytics, legal and the wealth business. Other operating expenses for the quarter fell by 9.7% sequentially to ■ 3.3 billion, primarily on account of lower client acquisitions. CSR contribution for the quarter was higher by ■ 28 million, along with some increase in brand-related spends. Our Q3 FY 2025 reported consolidated EBDAT margin stood at 42%, while this was lower by 787 basis points quarter-on-quarter as compared to our reported Q2 margins. However, this compression was lower by 257 basis points when adjusted for the impact of the ancillary transaction income. This operating margin also subsumes the expenses of incubating our new businesses of asset management and wealth management. Our margins are likely to remain in this range till the time the new regulations are fully implemented and client behaviour normalizes. Having said that, the unit economics of the business continues to remain healthy as we reap benefits of high lifetime value for our clients. Depreciation and amortization costs increased by 4.2% sequentially to ■ 267 million in Q3 as we capitalized infra assets. Our reported consolidated profit after tax from continuing operations declined by 33.5% quarter-on-quarter to ■ 2.8 billion. This would be 16.8% lower sequentially compared to Q2 PAT adjusted for the ancillary transaction income.

Our 9-month FY2025 reported gross total revenues and profit after tax stood at ■ 41.9 billion and nearly ■ 10 billion, representing a growth of 43.4% and 27%, respectively, over the corresponding year last year. Our 9-month FY2025 profit after tax is 88.6% of our

entire FY '24 profit, demonstrating our sustained and strong growth trajectory. Period-end cash and cash equivalents, client funding book and investments stood higher as of December 31st, 2024, as compared to March 31st, 2024. As of December 31st, 2024, the margin monies from clients were lower, while borrowings were higher when compared to March 2024. The consolidated net worth of the company increased to ■ 56.3 billion as of 31st December. Our 9-month FY 2025 annualized return on average equity remains healthy at 33.3%. As the business normalizes, we strongly believe that our ROE should trend back to our historical levels. With this, I conclude the presentation and open the floor for further discussion. Thank you. Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Prayesh Jain from Motilal Oswal. Prayesh Jain: So just firstly on the impact of the regulations, right? So firstly, on the true-to-label implementation, we have -- we had mentioned in the previous call that we don't expect any hit because of the pricing action that we have taken. But I understand that the period that we have seen is only for the benefit we got of the new action was only for half of the quarter, but still, the benefit seems to be much on the lower side. I understand some part of it would be the volume hit, but still, that is only 10% or 12% of the volume hit. Then why we have not been able to recoup that part. Secondly, on the lot size impact visibility, this probably first 15 days of Jan first 13-14 days of January, if you could highlight as to what is the kind of behaviour of the customer in your cohorts, wherein whether the customers who were trading a year, one lot have kind of started trading into the new lot size. Or how is the kind of impact? Because my guess is it would be relatively lesser impact. So could you throw some highlights there? Thirdly, on the credit business, how would you be kind of monitoring the end use of personal loans that you have disbursed so far, whether that's coming back to markets or how would the behaviour be? And my last point would be, are you contemplating a price hike anytime soon in the F&O segment as to how long will you wait before you kind of take that call because the profitability is definitely getting hit. Those would be my questions. Thanks.

Dinesh Thakkar: On your first question on true-to-label, what we discussed was primarily based on price increase that they are going to do and charges that we are going to put on collateral that we receive or -- non-cash collateral that we receive, but it appears to be like there will be hit not more than 1% to 2% difference in terms of what we had estimated and what we see. So overall, we can see that, okay, we were able to recover lots of loss, but not fully, but maybe there is a hit of around maybe 1% or 2%. That too, as we see volume build up, I am sure that we will be able to cope up. So what is important is that what is that overall hit? When we talk about true-to-label about rationalizing this F&O and all that. So in that area, I would say that what we had estimated last time, hit of around 13% to 14%, still it remains true. But only difference is now that, okay, with bunching of monthly expiry into 1 day per exchange, there would be an additional hit of 3% to 4%. So overall, it would be safe to say that hit appears to be overall, combined everything, true-to-label and all that areas combined together, it would be around 18%. And if you look at our customer base growth, that remains intact. The good part is that customer inflow in this market remains very healthy. So we are growing at 40-45%, and that trend continues. We are expecting that this will offset this onetime hit that we have seen. The current hit that you are seeing that includes everything, regulatory changes, slowdown in global economy, slowdown in our economy. So

all that impact clubbed together appears to be a bit higher than what we had guided. But we are very sure that this hit would be within the bracket of around 18%. For kind of safety purpose, in your model, we can take a revenue hit of 20% one time. But if we look at lifetime value of a customer, I don't see any reason for me to believe that there will be a change in lifetime value of customer. It is too early right now to say people who are doing one lot, what they're going to do. So 10 to 12 days, it's too early for us to give some insight on what these customers are going to do. But if we have to guesstimate, somewhere this customer will go towards cash market and all that, that will increase volume in cash segment and because we are charging on cash orders, so that would be compensated. So January hit and all that combined together, it includes all this, what I'm saying, hit will be 18% around. And plus point is, as I said, customer base is still growing at a very healthy rate of around 40% to 45%. And on credit business, I'll ask Saurabh to talk about that -- one second, Saurabh, before you take now, he had asked about price hike. See, Prayesh, what we will wait for 1 or 2 quarters to see a permanent impact. And if needed, definitely, we have levers to play on our prices. So prices, we would like to see all patterns stabilize in terms of what's an hit because of market conditions, because of global environment. And then we'll take a very informed call on how much hike we have to incorporate. If at all, we see there's a permanent some kind of a loss. Too early to say, right, at this point.

Prayesh Jain: Yes. So yes, before we move on to the credit question, sir, just 1 clarification. When you say 18% to 20% hit on revenues from your existing base of customers -- so that we should think from a yearly perspective, right, that from a year-to-year perspective, your existing customer base revenues would be hit by 18% to 20%? Dinesh Thakkar: See, Prayesh, what happens like in broking business, what we look at, what does that -- kind of like first year revenue we get from end customer. So based on that, we work out our acquisition cost and margins and everything. So that base is something averages of what we get from customers in good and bad market. In good market, we may get higher. Bad market, we get lower. But what we have to take is an average realization of end customer when we acquire. So that we are saying, first year revenue can take a hit of around 18%. But if I take a lifetime value of end customer or say, previously, we were taking 5 years, it will extend beyond 5 years. So lifetime value, there would not be any hit. That is our initial guesstimation. But maybe once we get the data for a few months, we would be able to extrapolate lifetime value of end customer also, whether this hit is permanent or it is just kind of like reaction to these changes. If at all we feel it is permanent, we will try to use our price hike levers. Otherwise, if you think it is temporary revenue of a customer, in terms of first year revenue, is going to revert back to normal, we would be okay with this pricing because we are seeing overall OPM would be around 50%. That is what we would be comfortable with. Prayesh Jain: Got that. Dinesh Thakkar: Saurabh? Saurabh Agarwal: So to answer your question on end use monitoring, our customers, when they take personal loan on our platform via our lenders, they confirm in the journey that they won't be investing this money in the capital market. Having said that, is there a direct way to monitor end use of this money, fundamentally not because money is fungible. Where a customer gets money from in his account and where he invests, that is not possible to understand. Having said that, we do some surrogate analysis to understand if there is a possibility that the customer is investing money back into the trading ecosystem again. And the initial analys

is does not say that the number is too high. There is no direct way to ascertain any end use of any loan that the customer get from any lender anywhere. Prayesh Jain: Got that. Just one last question. If you look at your opex, in spite of the sharp fall in the customer addition in the quarter, your opex still hasn't kind of commensurate fall we haven't seen. So apart from CSR expense that you mentioned, what other expenses were kind of elevated in this quarter? And what should be the kind of run rate going ahead when we look at this?

Dinesh Thakkar: Vineet, if you can take the question. Vineet Agrawal: Sure. So Prayesh, the overall other expenses, which are reflective of a large part of our customer acquisition cost, has declined by almost 10% and that decline also subsumes the impact of higher branding spends that we have done and the CSR expenses. If we were to acquire the same number of customers, then the cost would have been higher to that extent. But overall, there is a slight increase in the COA, and that's seasonal in nature given the fact that in Q3, generally, you have a lot of competition from these e-commerce platforms, etcetera. So it's not something which is of any cause of concern or worry. Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Funds. Ajox Frederick: Sir, if I back compute the per customer revenue from cash delivery, it is coming to be at about ■ 4. Is my math right, on an average? So what I'm doing is I'm -- yes, you mentioned that for cash deliveries, we have some ■ 238 million income and I'm just dividing that by the number of deliveries, which we disclosed in volumes, which is 57 million… Dinesh Thakkar: Is there any insight on that, Vineet or... Ajox Frederick: No. I'm trying to see if this is sustainable because you're charging about ■ 20. So -- but we're getting about ■ 4. So I'm just trying to run the mental math incremental revenue from the cash delivery. That is what I'm getting at. Dinesh Thakkar: First of all, we have started charging by mid of November. So I don't know what volumes you are taking. You're taking for full quarter, then you are wrong. Ajox Frederick: No. I'm -- yes, I'm netting off half of it. So exactly -- so if I should do it one-third for the quarter and then do it that way? Dinesh Thakkar: Vineet, is there any guidance on that? Ajox Frederick: Or going forward, yes, that will be better. Vineet Agrawal: So this ■ 238 million that we've mentioned are inclusive of the charges for non-cash collateral, cash delivery and some of IPFT, etcetera. It's not only for cash delivery. And these charges have been implemented across the quarter. So some got implemented, say, in the second week of November, some in mid-November and thereafter. So it's -- I mean, the way you've calculated, it's not the right way. But anyways, we don't give monthly numbers. So I will not be able to give you any insights on that. Ajox Frederick: Okay. And sir, on this cash delivery volumes going forward, we'll be making roughly what per order? Dinesh Thakkar: Vineet, do we have any guidance on that?

Vineet Agrawal: So that's something which we don't say. And again, these are dependent on what kind of volumes our clients do. So we can't give you any number on that. Dinesh Thakkar: But broadly, what we charge, if we can, Devender or somebody can give that indication. What is our charges? Devender Kumar: Yes. On the delivery side, we introduced the pricing of ■ 20, or 0.1% with a minimum charge of ■ 2 on the cash delivery side. Now the average charge will depend on the behaviour of the clients in different quarters. That's the way it is. Moderator: The next question is from the line of Gourav Gumber from Taurus Mutual Fund. Gourav Gumber: Sir, my question is how big can you see this AMC and opportunity going forward? Dinesh Thakkar: The AMC and wealth business can real

ly grow at a substantial size. We have seen what can happen like market is available and opportunities are available. By using tech and kind of like domain knowledge, this business can really grow well. I would ask Srikanth to brief you on this.

Srikanth Subramanian: As Dinesh mentioned, we are seeing a number of SIP growth in accordance to the full year growth -- full year growth in almost in the same accordance as we are seeing demat growth. So I think that is a well-known information that how retail investors are sort of embracing mutual funds, especially on the SIP side, but as my colleague, Hemen had mentioned in the call just before me, both from the AMC side, which is focusing on a very passive-only kind of the business and also from a wealth side, where we are taking the baton and increasing the solutions to the customers using PMS and AIF for offering alternative active management routes. We are looking at giving the 360-degree solutions to our clients, and we are trying to take a very paperless approach in wherever we can, just to ensure that we are able to grow the market, both horizontally and vertically. But as part of the overall growth plan both the newly incepted businesses, which is AMC and Wealth have a significant contribution in the future growth plan of the firm. Dinesh Thakkar: I will ask Hemen to cover, but we believe that even passive managed funds and all that, it is the right product for retail and especially for a platform company like us, it is going to give a substantial growth. Hemen, if you can just touch upon your insight on AMC? Hemen Bhatia: Yes, sure. See, the idea is that we want to be a trusted and go-to brand, go to AMC for passive-only products, that is ETF and index funds. So one part is expanding the investor base, right, for passive products. So we want to expand the investor base. We want more and more new investors who start investing in passive products, and that can happen by educating the customers on the benefits of passive investment strategy. At the same time, we would want to enlighten customers investing into active funds, over the underperformances of active funds over long-term, that why it is difficult to keep beating the benchmark on a consistent basis. So we'll have to highlight that to the

existing customers who are investing in active funds, that till now you have been ignoring passive funds, but with passing time and with market maturing, you'll have to -- passive funds will have to be included as part of their overall portfolio. Additionally, we would like to build our product bouquet also of ETFs and index funds and provide logical building blocks to the customers so that they can build, it can be used to build the core part of their portfolio. Yes. Gourav Gumber: And sir, how are you seeing this revenue mix shifting from proper broking business to this AMC and the wealth management business going forward -- 2, 3 years going forward? Dinesh Thakkar: See, we are seeing a good growth in all the verticals. As we said that we have started credit business since 2 quarters, we have disbursed around ■ 600 crores. Similar is the case with mutual fund SIP, today we are number 2 in terms of incremental SIP. So it will take its own time but focus is to be leader, to gain big market share. So currently, we are not like trying to see that, okay, how much revenue we'll get from which vertical. But what is important is that how much of wallet share of an individual that we acquire comes to us in whatever service they want to use. Focus is on wallet share. We want customers to come on our platform, retain with us, buy all the services, whatever is needed in terms of mix of services, that person should be satisfied with us. Gourav Gumber: Okay. Thank you, sir. Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead. Sanketh Godha: This question is to Vineet, basically, Vineet

if you see would have applied these new charges like on non-cash collateral and the delivery, and if you applied for the full quarter compared to given the numbers are already there on orders and everything. So if you would have applied for the full quarter, the ■ 23.8 crores would translate into what kind of a figure? Vineet Agrawal: Sanketh, it's difficult to estimate because there has been some market correction also. So it wouldn't be comparable like-to-like basis whilst the turnover charges have been hovering same at almost ■ 1.1 billion, ■ 1.15 billion. But because the market sentiment across cash, F&O have been slightly weaker, so it wouldn't be right to compare that. Sanketh Godha: I understand the point support, given we have the data of number of orders and everything. On like-for-like, whether that number would have been easily double, closer to double kind of a figure is around ■ 50 crores or ■ 45 crores. So just wanted a broader colour on how much we could have could if it be applied for the full quarter? Vineet Agrawal: So you've got to look at it from this way that in the long term once things settle down and the behaviour normalizes, we should be able to ideally recover almost 75%, 80% of this cost that we've been talking about in the past also. So just wait for the entire scenario to pan out, and then we'll have a better picture in terms of how we are able to

recoup this cost. As Dineshbhai also mentioned that overall, the impact should not be in the overall revenue pie, it should not be more than 2% for this true to label. Sanketh Godha: Okay. Perfect. And second question, probably to Dinesh. Sir, you said that the impact on net revenue could be in the range of 18 to 20. So just wanted to understand, you are making second quarter, which was of no regulation, as a base. On that number, the impact could -- net revenue impact could be 18%. And it remains and you believe that this 18% to 20% impact will get only reset in the third quarter of FY '26. That's the way I need to understand, right? And then the second point is that this 18% to 20% you are saying on net revenue, because the rules are probably applicable to derivative, then on broking, this impact could be as high as 30% to 35%, only broking line item in between line item. Dinesh Thakkar: Sanketh, when a customer comes, he uses all the services, F&O, cash, commodity, uses margin trading. So we have to see impact on total revenue that we get from customers. So for us, whether that person trades in F&O, cash, commodity or margin trading, it becomes a part of our broking services. So that way, we will always calculate what the impact on net total revenue that we get from customers, because when we acquire a customer, which is what the revenue we can get from this customer. Okay. We don't decide that whether this customer who is onboarded will start cash market or he start F&O and all that. Just to segregate F&O does not reflect a proper business model of Angel One. Okay. So what is important over here is that this market are cyclical. It is like a mutual fund industry. When you say you'll get a CAGR of 14%, there would not be any year you will get 14% consistent. Sometimes you'll get 8%, sometimes you'll get 22%. But what we work out is averages. Similarly, in our business model, we have to work at averages that we can get -- the average revenue that you can get from customer, whether quarter 2 represent that kind of like cohort, not necessarily because we take data of almost 8 quarters to 9 quarters and see what kinds of revenue you can get when we acquire a customer average revenue. There will be a bad quarter, there will be a good quarter. If I extrapolate quarter 2 and say that this revenue we would have got for a year that would have been wrong. Because if I take quarter 2 and a growth of 40%, it would hit the roof.

So what is important for you all is to understand what is an

average revenue this broking house can get? So based on this average, you form the kind of like baseline, then you see what the customer growth that we are getting. It's around 40% to 45%. Adding all that, you can work out a model for 3 years, 5 years. Otherwise, if you go by quarter-in-quarter, it is very difficult to predict this kind of business. Similarly, if I want to predict which mutual fund is going to give me what returns, I'll go wrong, if I look at just quarterly performance. So broking business is almost similar, where we take averages and we take average revenue that we'll get from a customer that we acquire for first year, averages for 5 years. So there is also data scientists model that we use, which goes into detail of each and every cohort and comes out with averages. That is how we budget or spending to acquire a customer.

Sanketh Godha: Got it, sir. But just to put it in simple words, given we are adding more customers. Naturally, they will add to the revenue. So this 18% to 20% in your assessment, what is a negative impact, will get wiped down because of the extra customer addition, say, in a couple of quarters? Vineet Agrawal: Exactly my point. So now there is a new base that we are working with, okay? So it’s a 1 time correction. But if you look at growth of this base remain intact because customers that are coming to the market are coming at the same numbers. And not only they are coming at the same numbers, in fact, their spending in second year, third year is increasing. They are buying more products. So we have to look beyond broking now. Currently, whatever we are talking is based on broking revenue. But maybe in a few quarters, we'll start talking about revenue from other verticals that our services they are using. Sanketh Godha: Got it. But sir, this 18% to 20%, you believe a couple of more quarters of pain, then it will get reset by maybe we'll see the similar revenue by what we delivered in second quarter, saying -- I know it's a difficult question. But just asking whether it will be visible in, say, second quarter of FY '26 that you'll see the same revenue what you deliver in second quarter of current fiscal year? Dinesh Thakkar: Looking at the growth rate, we don't give forward-looking statement, but a clean maths I'm giving you. Hit of revenue in terms of 20%, market normalizing and growth rate of customer to the tune of 40%, in 2-3 quarters, we'll be back to these numbers. Pure math, not predictions. Not forward looking statement. Yes. Sanketh Godha: I understand, sir. So again, this is a little more strategic question. See, we are doing multiple things like offering distribution, credit, wealth, AMC, So these are all new incubations, so maybe it's a little long-term question, 3 years, 5 years, if you add up all these numbers, whether these will contribute how much to your total topline as such? Internally, whether you have made a target that we should be contributing, let me say, 15, 20, 30, 40, what that number would be as a percentage of the total revenue. At what level of the contribution you believe all these businesses will break even and add to the bottom line? It's a long-term question, maybe not an immediate basis, maybe 3 years, 5 years, when you see these things will play out materially in top line and bottom line inductions? Dinesh Thakkar: See Sanketh, very interesting question, but I don't want to sound as if I'm giving some forward-looking statements. But what I believe youth, like when they are on-boarding this platform, they want all the services on one platform. So you can check the data that, okay, how much they are going to spend on broking services and investment, how much they're going to spend on insurance, lending product, how much they are going to put money in mutual funds and wealth management. So we believe that we will get substantial portion of their wallet share for all the services. So I believe that we ar

e looking at how to get into wallet share and how to like get a

market share where we say that whatever vertical we are entering, we have a leadership position in the next 5 years. So based on that, I would say that we would be a substantial player in all the services that we are offering, like you started mutual fund. When we started 6 quarters back, we had clear cut view that we want to become a leader in this segment. So today, as we speak, we are number 2 in terms of incremental SIP. So slowly in a few years, you will see in a substantial portion in AUM and all that. So for every business, we have a target that we want to become a leader in that segment. That's the reason you will see our initial investment would be on top management so that we get the structure right, with the vision that we want to be leader. It is not that we are doing it for additional revenue, whichever area we are entering, we want to be into top position. So based on that, you can do a rough calculation in 5 years, what is the revenue pool for different services that you are offering. In every services, we want to be into that top 10 players. Sanketh Godha: Got it. Perfect. That's it for my side. Thank you. Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead. Nidhesh Jain: Sir, when you talk about price hike decisions, so what that decision will be based on, whether you will look at payback period, LTV or what data point you will try to make it equal to prior versus today versus prior to regulation? Dinesh Thakkar: Right. So what we look at that we are focusing on business model, which can give an OPM of 50% on a very sustained and long-term basis. So very important is if we can just work out a lifetime value, which is not easy, it takes some time. So initial kind of like reaction, if at all we have to take a decision on price hike would be on what kind of like growth we are seeing in customers who are doing 1 trade in F&O, which area they are going, are we able to recover certain portion that we have in our mind to achieve that OPM of 50%. So if at all we see, we would not be able to maintain this trajectory of OPM of 50% for this business, we will take a call on price hike. Nidhesh Jain: And by OPM, you mentioned you mean EBITDA margin, right? The reported EBITDA margin that we reported? Dinesh Thakkar: Yes. Nidhesh Jain: And secondly, there is a sharp decline in trade payables on a Q-on-Q basis from ■ 9,400 crores to ■ 6,500 crores. So what is the reason for the decline? And how should we see that trend going forward? Dinesh Thakkar: Vineet, if you can take this question.

Vineet Agrawal: Yes. Nidhesh, this is in trend with the weaker sentiments in the market. And when people trade more, they bring more money when people trade less, they keep lesser money. So this is nothing to worry about. As the market sentiments improve, we will see an improvement in the trade payables as well. Nidhesh Jain: Sure. And last question is on mutual fund distribution monetization. So we have become second largest SIP originator, I think mutual AUM has crossed ■ 10,000 crores. So is there a plan or is there any way we can monetize this platform on the mutual fund distribution? Dinesh

Thakkar: Currently, this in mutual fund distribution on B2B, we are charging. And on B2C, we are not charging. Because that is helping us to retain our customers and engage customers for a longer period of time. So our calculation shows that whenever we acquire a customer usually is acquired for broking even if you acquire for mutual fund services, revenue from those customers are almost same because ultimately, this customer trades in stocks, he goes and trades in F&O, commodity. So lifetime value, as well as first year revenue, is almost similar to a broking customer. So we do not see any kind of like loss because we

are offering this at like a direct plan, where we are not earning revenue, by direct selling mutual funds to them. But revenue that we get from other services was almost same when we acquire a customer for broking service. Nidhesh Jain: Sure. Thank you, that's it for my side. Moderator: Thank you. The next question is from the line of Shreyansh Shah from Fort Capital. Please go ahead. Shreyansh Shah: This is Shreyansh. So basically, my question was what is the churn rate among your NSE active clients like this trend as compared to the industry benchmarks? Dinesh Thakkar: Devender, any data we share on this? Devender Kumar: We do not share data on churn rate, but it will be ballpark in the same way as the industry rate. There's not much difference. Dinesh Thakkar: If you can see, we are gaining more customer, active customer on NSE that is disclose our data. So you can take industry and our trend. Our trend is a bit superior to competition. Amit Majumdar: Shreyansh, if I may add, what you will notice is that there are a couple of data points that we have been coming out with. One is, of course, the consistency in revenue year-on-year, so which shows that our customers are sticky on the platform. We have also have data around, how they have been building wealth for the next few years when they are on the platform, that also shows their stickiness.

And the data that Dineshbhai mentioned on the incremental customer additions, so far as the active customer base is concerned, which you will see on the NSE, and we are actually trending pretty well and amongst the highest in terms of the number of incremental customers that are coming and trading on our platform. And this is a 12-year rolling period. So given that 12-month rolling period. So given the 12-month rolling period, we are seeing a significant rise in active customers who are trading on our platform, even in these market conditions. Shreyansh Shah: Okay, yes. And just a follow-on question. In regards to this wealth management segment, what share of revenue do you expect in next few years? Dinesh Thakkar: See, we are not comparing this revenue with broking. So this is a wrong comparison. We are looking at that segment independently, and we want to become a really big player there. Srikanth, if you'd like to take this question? Srikanth Subramanian: Yes, sure. Dinesh also mentioned wealth, as you all know, is a practice business. It's not a business that is built overnight. And we are here in terms of having some of the best quality talent from the industry, both in terms of domain and obviously combining it with Angel One's tech prowess. The idea here is conventional wealth management has seen some bit of struggle to grow in terms of their ability to serve customers beyond, let's say, the top end of the customers. We believe that there is a play, where if we do not dilute our domain skills and add technology skills on top, we can grow the market horizontally, which means we can take our trade across to a much wider set of audience, where we can by using technology can disseminate services without adding to the cost to serve economics. So, I think the vision that we have is to continue focusing servicing some of the higher-end customers who have been patrons and who we have been very fortunate to service for a long period of time and continue that high-touch business. But now to take a similar experience and bring it to a much wider audience, who are ambitious, we have reasonably strong wealth. But as I mentioned in the opening remarks, there is a reasonable scarcity in terms of high-quality services and choice of services available to these customers. So our idea is to expand the market, thereby expand our economic model accordingly. And also by using technology automate most of the journeys, which in wealth management are ready for automation. So for example, anything that touches, will keep a very high-touch experie

nce. Anything behind that we believe can be significantly automated, thereby keeping our overall opex in check. So we will, of course, keep speaking to each other for a while to come. You will see some of these playing. I think our ability or our vision to grow this business is slightly more over the medium to long term, keeping in mind how to keep the cost economic model slightly different, whereby we can service a much larger audience and to keep the operating margins slightly more in control by using the right technology. So, that's the way the vision of wealth management has been in the foundation.

Shreyansh Shah: So currently, you don't have any quantifiable numbers as such in mind to share? Srikanth Subramanian: Look, these licenses that are required to run this game almost towards the end of the last quarter. We already have a fairly interesting pipeline, but we can only -- we could have only started once the relevant regulatory approvals came in place. So I think now that they are all behind us, we expect the numbers to start picking up from here. So I think at this point of time, I'll refrain from making a forward-looking statement, but it suffices to say that what was required to build it in terms of people, product, and license, and technology, all four are in place now. Shreyansh Shah: Thanks a lot. It's from my side. Moderator: Thank you. The next question is from the line of Sanjay Shah from Pranishta. Please go ahead. Sanjay Shah: Dineshbhai, I think you partially answered the question in response to another participant, but I just wanted to kind of understand that with all the initiatives that we have on insurance, on lending credit that is, mutual fund is mostly passive, wealth management, by when do you think all of this will start firing on all cylinders to augment the revenue base that we have currently? Will it be more like 2 to 3 years or probably 4 to 5 years? Just an understanding of how you think the company will shape? Dinesh Thakkar: So already we have factored in all the costs for all this vertical, almost to a great extent, and they have started firings. If you look at mutual fund, as I said already, we are number 2 in terms of incremental SIP. In terms of credit, we have disbursed around ■ 600 crores. Insurance journey, we have just did a beta testing. Wealth, we just got licenses and team is in place. So I believe that already like all the verticals have started contributing to the top line. So every quarter, you will see the growth rate and we'll disclose number of each and every vertical. Sanjay Shah: Got it. And how would you think the company would look like in, unless it's an absolutely unfair question, I mean, just want to get a sense of how, you visualize the company to be in 3 to 4 years, time as compared to where we are right now? Dinesh Thakkar: See, like size of the company would become bigger, but we want to be a platform company, except for wealth management, where we would be looking at Ultra HNI, HNI business. But, what is important for Angel One is that how we can use technology to disrupt and make inclusive for everyone, all individuals across the country to get the service whatever they need in terms of their personal finance. So I would see next 3 to 5 years is a platform company where revenue is coming from all different services. So a customer has a faith in terms of when they on-board, they are sure that they would be guided advice on all the services, what they're looking out for. We are not a company who will be just selling or pushing all the products.

We'll be using lots of AI tools to understand personalized every cohort, every person's requirement and be fully connected with ecosystem. So what we would be in 3 to 5 years would be fully connected platform with the whole ecosystem and would be having a good insight of every individual who on-boards on our app a

nd we'll be able to guide in terms of their cash flow, their goals, their requirement. We will be totally a different company than what we are today. So we are investing heavily on those tools and those kind of like innovations. And you will see every quarter, you will see some kind of like incremental kind of like innovations would be bringing on our platform. Sanjay Shah: Understood. And Dineshbhai, just 1 quick last 1 on the regulatory changes happened, and a lot of regulatory changes have happened, do you have any view on any further maybe market practice changes or regulatory changes that we might need to adapt to over the next foreseeable future? Or you think that we've probably seen as much as 1 at this point in time? Dinesh Thakkar: I think whatever like major kind of like regulatory changes, which they had in mind, have already been implemented. I don't see any major kind of this thing coming now. We have to just get adopted and adjusted to this kind of new reality. And for customer, it takes time to adapt and readjust to this reality. So they are also like be trying to work on that, which segment they want to be active. Now given that there was slowdown this quarter, so they need some trigger to get back into market and say, hey, I was doing F&O, I want to do cash or commodity or whatever. So I think that kind of like that implementation of regulatory changes, almost is there in our market and our volumes. Sanjay Shah: That's fantastic. Thank you so much, Dineshbhai and all the best. Dinesh Thakkar: Thank you. Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead. Swarnabh Mukherjee: So I just wanted to understand on the expenses side. So what would be the proportion of, say, fixed cost in the other expenses head and how to read this going forward in the coming quarters in sync with the customer acquisition? And alongside that, you had mentioned overall margin of around where we are right now, so maybe to 40% going forward also. So I assume that, that should be excluding the investments for IPL, or you're expecting a margin profile of that, including IPL cost as well. So that is the first part. And also, in the IPL period, would we be continuing to do the same amount of like advertising spend like we did last time or in the current situation where the market conditions are stepping, would we be looking to maybe slowdown slightly that spend? So that is on the other expenses. And also if you could give some guidance on how we

expect the employee expense base to shape up going forward and whether we would expect some inflation going ahead in FY '26. So that's on the expenses side. And also in the assisted business, I wanted to understand how many sub-brokers we had and what is our, you know, right to win there. I mean, considering that few of your sub-brokers might already be distributing financial products. So, if you could just give us some color of, how we expect growth there. And slightly on a medium-term point of view, in your mind, if you could help us understand which businesses among the newer ones that you are investing in is likely to scale up faster than the other. How should we think about it? Yes, these would be my questions. Dinesh Thakkar: Okay. First of all, on expenses side, almost we have taken a majority of expenses, except for our CEO would be joining maybe in our next start of the financial year. So otherwise, I don't see any major kind of changes in terms of fixed expenses because we were in that build-up at almost like whatever was needed in terms of senior resources. Now everything depends on how business grows and how much we want to spend on acquiring the customer, given that, we were growing at the rate of around 40%, 45%. So that is already factored in our cost. And IPL, again, expenses are always is based on responses that we get when season starts. So it's just too early to c

omment on IPL part. But definitely, we would like to continue with our visibility and expenses that we did last year, we saw a good benefit from that. On your financial product distribution, Saurabh and Nishant, if you want to take this question? Nishant Jain: Yes, so I'll try and respond to your question with regards to how would the channel partner expansion help us drive revenue and overall expansion and growth. So here is how one has to see this. One is that the vision for the assisted business has always been multi-channel play and multi-product play. And therefore, what that means is that it doesn't necessarily restrict us from not expanding the channel partner base. So for example, to your point, there might be a few sub-brokers who might be having a POSP elsewhere. So that's fine. But also, there would be a large portion of sub-brokers who might not be dealing in insurance, and that is the first port of call that we would, of course, drive. Having said so, we are also actively targeting the 2 million-odd POSPs that exist in the industry. At the same time, we see a lot of opportunity for us to train youngsters and make them self-sufficient. So it will be a combination of the 3. As far as our expansion of the channel partner in regards to Insurance is concerned. The same approach has to be seen in context of mutual fund distributors. We have almost doubled our mutual fund distributor base in the last 9 months. Now another vector of growth for us would be that you may come in as a mutual fund distributor or you may come in as a point-of-sale partner. But eventually, we would anticipate and we would expect you to also transition to broking, which is the mainline and vice versa. So there will be a lot of cross pollination. As a result, the growth or the upside would be, I would say, a summation of all these activities. Swarnabh Mukherjee: Understood, sir. And Dinesh, sir, on the question like on the 3 businesses that we expect to grow?

Dinesh Thakkar: As I said, whatever business we get into, our vision is to become a leader in that business. So all business are very important for us in terms of growth and having certain position because our customer needs all these services. But if you are -- I think you are purely talking about, when they will contribute to bottom line. So business like credit, wealth, mutual fund, insurance business would be fast to contribute to bottom line. AMC, because we want to build a very sustained, a very large business will take its own time because we want to sell just right product which is for retail. And for us, like as I said, when we are selling a right product, mutual fund and all that, it may not contribute to bottom line immediately but it helps us to retain sustained customer and expand this market and get higher market share in terms of new acquisition and get people who are trusting on our platform. Swarnabh Mukherjee: Okay, sir, understood. And just a quick last one. The 18% to 20% impact that you see, so that is on the net income, right? So, I mean, excluding what we pay to our APs. Would that be the right assumption? Dinesh Thakkar: Right. It's the net impact on our revenue. Swarnabh Mukherjee: impact on? Dinesh Thakkar: Net revenue, Yes. Swarnabh Mukherjee: Okay, sir. Understood. That's very helpful, sir. Thank you so much, sir. Moderator: The next question is from the line of Karan from Jetha Global. Please go ahead. Karan: I had two questions. When you think about AI and one of the biggest benefits of AI in the BFSI vertical, I think the recent Bajaj Finance Investor Day made it quite clear that there's a big potential increase in revenue per employee. And if you sort of benchmark the number of employees, that Angel One has at this point, which is if your website is correct, 3,700 employees versus global peers such as Futu, Interactive Brokers or Robinhood, you do have 50% more employees than them, despite revenue base tha

t is far lower. So I guess the question is, when you double and triple your revenue base from where we are today, what do you think happens then to your employee base? Because theoretically, AI should allow you to really drive that number up materially, which I think is a much more important metric than necessarily margins in any given quarter. So that's the first question. The second question would be just on the engagement, if you look at MAUs. I know we're building this kind of cross-sell platform, which is fantastic. It's certainly enlarges the TAM. Now the payment platforms who are considerably more MAUs have tried this

in a way and failed. And I guess my question is with many fewer MAUs, we're hoping to build this platform. I guess, with the thesis that the retention of our customers is higher and they come in with very purposeful intent to shop for financial services. But yes, if you could explain why it didn't work there and why you think it's going to work here in terms of cash rates of these various services because it certainly didn't work, I think, in that scenario, other than just lending, I guess, right? Dinesh Thakkar: I will ask both CPTO Ravish and CTO Jyoti to add. But what I want to say is that we are very much focused on using AI and all that. That's the reason you will see a lot of spending is going on acquiring people who have knowledge, who have worked with these models. But we are not just looking at just creating this efficiency of employ. We would like to use AI to personalize service to our customers and many more things. Ravish and Jyoti, if you can add on this, both the questions, yes. Ravish Sinha: So, I think the first question around how AI is going to take over and what will happen to the employees, I necessarily don't see it that way. Any kind of technology evolution, even in the past, has never resulted in saying what happens to the employees or how they stand. It just up-levels the job. And people do jobs at a more extracted level, rather than impacting the employee directly. So I don't necessarily correlate those things. AI actually should bring in goodness to us and better personalized experiences to our consumers, which we are committed to and we have started and pouring into that to personalize services. So that would be the answer to the first question. The second question, can someone repeat that? Dinesh Thakkar: Karan, ask the second question on what you were asking, retention of customer and all that? Karan: Yes, I can repeat my second question. So my second question is, if you look at Paytm and PhonePe, they have 200 million MAUs or at least PhonePe does, and they tried the cross-sell strategy in financial services, and it hasn't worked. You have far fewer MAUs than that, although growing rapidly. But you, I guess, you are positive here that your cross-sell strategy will work. So I just want to understand why it didn't work in 1 case and why it should work in this case? Dinesh Thakkar: Let me just answer first part, then Ravish or Jyoti, you can take over. Cross-sell branch would have a stretchability on what they can sell. So maybe we work hard on seeing that, okay, whether we are able to get first of all visibility and top-of-the-mind recall, where people are able to connect with their services. So maybe what we are doing in terms of working on brand visibility and trying to work on creatives is helping us. Second thing is that when we build any platform company, immaterial of whether you're using AI or not, to build a platform company takes lots of expenses. Once you have built, capacity of that platform is immense.

So as we acquire more customers, you will see our proportionate to what customers we are acquiring or revenue we are getting, our cost will not grow proportionately. On other things, Ravish or Jyoti, if you can take. Jyotiswarup Raiturkar: So we already l

everaged Copilot whether it's for core completion or for automation of a few manual activities already, right. So we are working closely with Microsoft on figuring out how Copilot can improve, developer productivity and how we can automate certain tasks which were previously done manually. Amit Majumdar: And Karan, if I may also add, the stickiness of the customer is actually depends upon the intrinsic nature of the platform. So like you compared ourselves to, say, a Paytm. So the point here is that our hero product has been equity. And in an equity, a customer has exposure on a platform and he is investing money, he is investing stocks, he is holding them, and therefore his ability to stay on the platform is far more longer than comparing, say, to a platform which is a payment-driven platform where the stickiness of the customer is limited because there are several payment platforms, each of them giving out offers, so the customer generally follows an offer to maximize his own gain. And to that extent, therefore, the inherent nature of the platform also determines how SuperApp, in our case, will be more successful. And therefore, it is this very sticky customers to whom we are selling other products and services. And that ensures that our SuperApp strategy is here to stay and will be far more beneficial when compared to the platforms that you mentioned. Hope that also addresses your question. Nishant Jain: So I would also like to kind of chime in here. Given my past experience, what I am seeing is that the adjacencies also play a role. So, to the point which Amit just made, if as a consumer I am coming into a platform like a PhonePe or a Paytm, taking a payment-first approach, I am not necessarily seeing an adjacency in a Paytm mall or adjacency in a travel unless there is a payment involved or adjacency in investments. I am looking for subject matter expertise and which, on occasions, it has been perceived by the consumers that these platforms have fallen short of it. The very fact that PhonePe has so heavily, I would say, promoted motor insurance is a very concerted effort to re-divert the active users that they have towards a particular segment. So, the point one is making is that a very, very fragmented adjacencies have not necessarily worked. Now, how it differentiates and distinguishes us is that we have always been an equity-first approach. Our consumers who have come in so far have come in from an equity-first use case. Now, when an adjacency like a mutual fund or an adjacency like an insurance or an adjacency which could be in the form of a wealth product is pitched to that consumer, the receptivity of that consumer is far higher. That's what our experience so far suggests.

And I'll also kind of re-emphasise on the point which Amit had made and Dinesh Bhai had also touched upon, which is that if you look at even a consumer who's coming from a mutual fund-first approach, the moment that consumer shifted into broking, we are seeing similar revenues from that consumer coming by. And therefore, what this is telling is that adjacencies is a very, very important component in terms of the decision-making. Now, that's one take on what your question was. Devender Kumar: Just to add, Karan, to what Amit and Nishant are highlighting, I think whenever you look at other platforms like PhonePe, Paytm, they are kind of operating in the space of money flow while they're helping and making it easier for people to flow the money into various services. But when you look at our services, we are kind of operating at the end point of that money flow, where that money gets deployed, wherever it's investment, whether it's insurance, whether it's lending. These are end points of money. I think that's where the prime difference lies in terms of how we are operating and how other platforms are operating. Moderator: The next question is from the line of Shobhit Sharma from HDFC Securi

ties. Please go ahead. Shobhit Sharma: Sir, my first question is we have exercised multiple pricing levers. One of them was quarterly account maintenance charges on the non-BSDA account. On the last quarterly call, we mentioned that most of our accounts are non BSDA. So what was the revenue, which we have recognized from these accounts in the current quarter? Dinesh Thakkar: Do we disclose all this, Devender or Bhavin? Devender Kumar: We don't share these numbers across. This part of other income is where it gets accounted Shobhit. But at an overall level, this is -- we don't share the point-wise numbers. Shobhit Sharma: Okay. My second question is on your insurance distribution space. We have started penetrating in this space. Are we penetrating this space? Is this entirely digital or we have some feet on the street for this distribution? Dinesh Thakkar: Yes. So Saurabh and Nishant, you both can answer this. Saurabh Agarwal: So on the insurance distribution piece, we have been there on ground for a few quarters now already. On the digital distribution piece, we have just launched motor insurance on the app with the insurers. So that will scale over time. But on the physical distribution piece, we already have feet on street, and we've been doing some business on the insurance side there as well. Shobhit Sharma: Yes. So a follow-up on this. Like we have seen the largest distribution platform on this space is a fintech, and they also provide support at the time of claims, which provides trust to the consumers for buying the policy via them. What kind of support does Angel One provide their customers if they procure insurance from them?

Saurabh Agarwal: We have just launched the buying journey for the customers, the claims support and all of those things to ensure that we have the best experience for the customer, which is getting built and will get built over the next few quarters, when we integrate deeply with our lenders, with our insurers and solve the claim journey. Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I would now like to hand the conference over to Mr. Dinesh Thakkar for his closing comments. Dinesh Thakkar: Thank you for joining us on the call today. I hope we have answered your queries satisfactorily. Should you require any assistance, please feel free to contact Hitul Gutka, Head of Investor Relations; or SGA, our Investor Relations Advisers. Have a good day. Moderator: On behalf of Angel One Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

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Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on March 25, 2025 intimating of the earnings call with analysts and investors to be hosted by the Company on April 17, 2025, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
ACS: 22506

Date: April 21, 2025
Place: Mumbai

Encl.: As above

Angel One Limited
Q4 FY '25 Earnings Conference Call
April 17, 2025

MANAGEMENT :

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Thakkar Ambarish
Kenghe Vineet
Agrawal Amit
Majumdar Ravish
Sinha Jyotiswarup
Raiturkar
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Managing
Director Group Chief
Executive Officer
Group Chief
Financial Officer
Group Chief
Strategy Officer
Group Chief
Product &
Technology
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Business Chief Business
Officer - New
Business Chief Sales &
Revenue Officer –
Assisted
Business Chief Data
Security Officer

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Management
Company Co-founder &
CEO – Angel One
Wealth Head of Investor
Relations

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange
on 17th April 2025 will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '25 Earnings Conference Call hosted by Angel One Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, Mr. Gutka.

Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q4 FY '25 financial and business performance. The recording of today's earnings call and transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Dinesh Thakkar, Chairman, Managing Director; Ambarish Kenghe, Group CEO; Vineet Agrawal, Group CFO; Saurabh Agarwal, CBO of New Business; Hemen Bhatia, CEO, AMC; Srikanth Subramanian, Co-Founder, CEO of Ionic Wealth.

We also have the other senior leadership team of Angel One, along with SGA, our IR consultants. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a Q&A session. Please note that there may be certain forward-looking statements during the course of the call, which must be viewed in aggregate with the risks that the company faces.

With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks.

Dinesh Thakkar: Thank you, Hitul. Good morning, everyone. India's capital markets are currently undergoing a transformative phase with multiple headwinds at play, including the implementation of F&O regulation alongside a volatile geopolitical backdrop, both of which are impacting buoyancy in the markets. While it's true that the impact of F&O regulation has led to immediate decline in volume, reduced active client participation and muted order activity. We view this development as fundamentally constructive in the long run. We continue to believe that this is a temporary recalibration as the market participants adjust to the evolving landscape. Historically, we have seen that regulatory interventions are often met with initial resistance, but they also ultimately foster a more sustainable, transparent and effective ecosystem. This augurs well for intermediaries like us because we can better predict our unit economics and LTVs, thus making the business more resilient. Key operational and financial metrics such as total number of orders, operating margin and return ratio may not fully reflect the underlying strength of the businesses in the near term given the prevailing softness in the broader market.

As I mentioned during our quarter 3 earnings call, we anticipated being in a better position to assess the regulatory impact by the end of quarter 4. It now appears that much of the initial

disruption is indeed behind us. While client activity may remain somewhat subdued through the first half of FY '26, we have chosen to stay firmly committed to our growth investments. This decision may affect short-term profitability, but they are a critical enabler of long-term value creation and a market leadership. With the domestic macros improving gradually, inflation coming

under control and the Central Bank moving on a softer interest rates, we believe that the situation should gradually return to normal. We anticipate quarter 4 FY '26 will mark a normalized quarter with operational and profitability metrics returning to their previous levels.
We are encouraged by the healthy demat account opening, sustained retail participation and reaffirming trends of mutual fund offtake to our platform. Though these are early signs, they nonetheless reinforce our confidence in strong underlying client interest.
Even during the transition period, we remain sharply focused on delivering a superior client experience. Our steady progress towards leadership position across metrics such as demat market share, NSE active client and trading turnover attest to the resilience of our platform.
Looking ahead, we are executing our long-term strategy to build a comprehensive financial service platform beyond broking to encompass credit, insurance, fixed income, wealth and asset management. Our branding partnership with Indian Premier Cricketing Tournament has further enhanced our visibility and strengthened our recall.
We are also investing significantly in technology to elevate the digital experience through the use of advanced analytics, artificial intelligence and machine learning. We aim to curate personalized client journeys, improve risk profiling and deliver relevant financial solution in a timely and efficient manner. We are beginning to see a tangible result from those efforts on our platform, driving deeper and more meaningful client customer engagement.
At this juncture, I am pleased to have Ambarish Kenghe or AK, our new Group CEO, joined today's earnings call. Ambarish is an accomplished leader with a proven track record in building and scaling impactful technology products across both global and Indian market including playing an instrumental role in the growth of Google Pay in India. Prior to that, he held senior leadership roles at Myntra, where he led product and platform strategy and at Cisco, where he focused on building innovative collaboration technologies. He also brings strategic insight from his time at Bain & Company, where he advised global client on business transformation. AK holds 4 patents to his name, displaying his strong academic credentials. He holds an MBA from UC Berkeley, a Master's Degree in Computer Science from Purdue University, a Master's Degree in Computer Science and Engineering from IIT Kanpur and a Bachelor's Degree in Computer Engineering from AMU. AK's unique blend of deep product expertise, technology leadership and strategic acumenship makes him well positioned to lead the next phase of our growth.
I'm pleased to introduce Rohit Chatter as our Chief Data Officer. Rohit brings over 29 years of experience in driving AI and data innovation at scale. With leadership role at Walmart, InMobi and Yahoo! he has led ground-breaking work in generative AI, AdTech transformation and Big Data platform, turning technology into a business advantage time and again. His appointment reinforces our commitment to becoming an AI-first organization. With Rohit leading our data

and AI strategy, we are well positioned to accelerate innovation, deep customer engagement and drive operational excellence.
With favorable demographic trend in play, we are steadily enhancing our clients' relationship, traveling with them in their journey of wealth creation. Our expansive product and service offering, including credit, insurance, wealth and asset management will facilitate our garnering a greater wallet share from every client. The leadership of each of this business will provide you with further insights.
I'm also pleased to inform you that in line with our policy, the Board has approved a final dividend of ■ 26 per share of the consolidated annual profit of the company.
Thank you for your continued

trust and support as we work towards creating long-term value for all shareholders.
I now invite Ambarish to provide further updates.
Ambarish Kenghe: Thank you, DT. Good morning, everyone. Thank you for joining us on the call today. It is an absolute honor to be addressing all of you on my first earnings call as the group CEO. Coming into this role as a technologist at the core, I'm truly excited by the opportunities that lie ahead of us.
We are operating at the intersection of finance and technology, a space undergoing rapid and continuous transformation. What is most encouraging is how receptive and ready the market is for newer technologies that can create not just scale and efficiency, but also truly delightful client

experiences and long-term engagement and impact.
That said, I also want to acknowledge the dynamic and evolving nature of this segment of the fintech industry. As DT mentioned, the impact of regulatory adjustments, current market conditions and broader macro uncertainty is leading to some softness in volumes and revenues. However, these are near-term fluctuations, and we remain confident that the underlying fundamentals of our business and the industry are intact and resilient. And most importantly, the long-term prospects of India remain as strong as ever.
In fact, our long-term health indicators continue to remain robust. Even during such times, we have been successful in sustaining our market share across multiple metrics like total demat accounts, incremental demat account additions, active clients on NSE and overall turnover. These numbers reflect continued client trust and strong operational execution despite a challenging environment.
As it has been mentioned in our earlier earnings calls, I wish to reemphasize that technology remains the cornerstone of our growth strategy. As we look ahead, we see immense opportunity in leveraging artificial intelligence and machine learning to deepen our capabilities. Whether it is about hyper-personalizing client journeys, understanding behavioral and risk profiles or curating more relevant product offerings, AI can help us deliver greater value at scale.

As we scale, AI will also make our internal processes and operations more efficient and effective. We are investing with a long-term view to ensure our platform continues to evolve into a truly intelligent end-to-end financial services destination.
Let me now turn briefly to our Assisted business. We refined our partner acquisition strategy, focusing on onboarding better quality partners. We are continuing with our hyperlocal engagement strategy with partners for better long-term outcomes. I'm happy to share that the channel's diversification strategy is also playing out well with a steady growth in its mutual fund AUM. To better support our channel partners and drive productivity, we continue to improve NXT, our digital platform for them with emphasis on deeper client interactions, better advisory and cross-sell capabilities.
On the distribution side, while Saurabh will give you more details around it, I'm happy to share that we have expanded our partner roster to 6 for credit distribution and 5 for insurance. On the client side, we onboarded 2 banks, demonstrating the high level of confidence placed on us with respect to scalability this platform can achieve. We strongly believe this segment can play a significant role in diversifying our revenue base and addressing a wider set of financial needs for our clients in the long run.
Our operational performance has been healthy in the macro schematic at play. We acquired 1.6 million clients with 88% from Tier 2, Tier 3 and beyond cities. Consistent and well-calibrated acquisitions drove our market share in demat accounts and incremental demat accounts higher sequentially by 19 basis points and 50 basis points to 16.1% and 21%, respectively. Our market share in activ

e clients and overall retail equity turnover remained steady at 15.4% and 19.9%, respectively, during the quarter.
Angel One will continue on a path of sustainable growth while maintaining a strong focus on unit level profitability. Our digital-first model enables scalable operations and enhances lifetime value, all while keeping costs efficient. Most importantly, we stay committed to serving our customers in the best possible way.
I now invite Saurabh to provide further updates on the distribution business.
Saurabh Agarwal: Thank you, AK. Good morning, everyone. Always a pleasure to have you with us, and I appreciate your time. Let me walk you through the key updates from this quarter and our outlook on the evolving distribution opportunity. As AK mentioned, diversifying our products and service offerings to address the broad spectrum of our consumers' financial needs is central to our Super App strategy.
We have approached this in a calibrated manner, ensuring each rollout delivers the desired impact before scaling meaningfully. We will continue with this disciplined approach as you will see some products reaching maturity while new rollouts are released in parallel. To this end, in Q4, we doubled down on strengthening our client journeys, expanding product coverage and deepening our strategic partnership across verticals.
Let me start with credit, a business we believe will become a formidable vertical for us going forward. This quarter, we added 3 more lenders on our platform, 2 banks and 1 fintech, bringing

our total partnerships to 6. More integrations are underway, setting us up for broader coverage and a stronger funnel across consumer profile. We continue to see strong demand, particularly in unsecured loans, where we have disbursed over ■ 7 billion cumulatively as of March 2025. Even as lenders adopt a cautious stance, we believe this foundation gives us credibility and momentum to scale from here. More importantly, we are investing in credit with a long-term and a strategic lens. We are building proprietary lender allocation engine, which matches customers with the right offers based on eligibility, risk and likelihood of approval.

We also continue to focus on building AI/ML-driven risk and propensity models, thus enhancing our ability to add more value to our customers and partners. The thesis remains clear. India's credit penetration is low, digital access is improving and regulatory support is constructive. With a differentiated tech-led approach, we aim to build one of the most reliable, scalable and partner and consumer-friendly credit distribution platforms in the country.

In the mutual fund business, while the quarter saw some softness with new SIPs at 1.9 million, this trend was broadly in line with market sentiment. Good news is that our MF AUM continues to grow and our share in incremental SIPs remains stable, a strong sign of platform stickiness. But this business is not just about numbers, it's about brand trust and investor confidence.

We had run our first MF brand campaign in Q3, and the response from young first-time investors was very encouraging. We are now focused on positioning Angel One as one of the most consumer-friendly investment platforms, especially for those just starting out on their financial journey. Our focus going forward will be to increase our brand consideration along with continuous improvement in client experience.

Overall, retention remains strong, and we are seeing more users adopt multiproduct behavior, a natural validation of our Super App strategy.

In our insurance distribution business, we have onboarded 2 more insurers this quarter, enhancing our coverage and strengthening our proposition as a holistic one-shop insurance platform.

The focus here is razor sharp, create best-in-class journeys with minimal friction and best pricing, use tech to personalize policies based on c

ustomers' needs and build both assisted as
well as fully digital offerings to serve all consumer segments well. We are currently in the process of integrating additional insurers. And over the next few quarters, this vertical will see expansion both in terms of product lines and reach.

To summarize, while macro conditions remain a little volatile, our belief in the long-term opportunity remains stronger than ever. Credit is a marathon, not a sprint, and we are building for scale and sustainability. Mutual funds are showing clear signs of brand trust and platform love. Insurance will slowly move out of beta and into expansion mode. We are also investing well in data intelligence, personalization and real-time recommendation engines so that every customer gets the right product from the right partner at the right time.

With that, I'll pause here and hand it over to Hemen to share more on the AMC business. Thank you.

Hemen Bhatia: Thank you, Saurabh. Good morning, everyone. In our Q3 earnings call, we shared the exciting news of receiving the regulators go ahead to commence our mutual fund operations. I'm pleased to share that the progress since then has been both energizing as well as encouraging. In a short span of time, we successfully launched our maiden new fund offering.

We introduced 2 flagship products, the Angel One Nifty Total Market Index Fund and Angel One Nifty Total Market ETF with the latter being India's first ETF tracking this index, a true first-mover achievement. Later in the quarter, we expanded our product suite with our first debt offering, Angel One Nifty 1D Rate Liquid ETF Growth.

These offerings mark our strategic entry into passive investing space, and they reflect our commitment to simple, efficient and scalable investment solutions. We distributed these products through a multichannel strategy, leveraging our captive reach, third-party distribution partners and the direct route, ensuring a wide accessibility across investor segments.

Now let me share some early traction that speaks volumes. In just a short time, we garnered ■ 740 million in AUM across these 3 products. More importantly, we saw participation from clients spread across over 8,800 PIN codes, a truly remarkable start for a newly launched AMC. This is not only a short -- strong start, but it is also clearly validates investor appetite and trust they instill in us.

This initial momentum reaffirms our conviction in the immense potential of passive investing in India. We believe this space is primed for structural growth driven by powerful underlying levers such as favorable demographic trends, rising income levels and growing awareness of portfolio

diversification and the role of passive products.
Passive products are democratizing investing. They cater a wide spectrum from first-time investors seeking simplicity and transparency to seasoned professionals building long-term low-cost portfolios. What makes passive investing particularly compelling is its philosophy of owning the market rather than attempting to outperforming.
This approach minimizes the risk of poor stock selection, removes human bias, lowers portfolio cost and supports long-term capital appreciation with minimal friction. These are the outcomes that clients are seeking. At Angel, we believe we are in the right place at the right time with the right capabilities to seize this unfolding opportunity. Looking ahead, we have ambitious plans to launch our product suite to cater to a variety of client needs, thus staying true to our mission of making quality investment accessible to all.
In parallel, we are deeply committed to investor education, empowering clients to better understanding the benefits of passive strategies and thereby driving deeper adoption. Our long-term vision is clear, that is to emerge as a category leader in passive investing space while consistently creating a

n enduring value for our clients and stakeholders.

With this, I take a pause and invite Srikanth to take you through the developments in our Wealth Management business.
Srikanth Subramanian: Thank you, Hemen. Good morning, everyone. As my other colleagues covered the evolving landscape, I would like to take a moment to build on that by sharing our perspective on what lies ahead and how Ionic Wealth is positioning itself in this environment. In a world marked by uncertainty with multiple global scenarios playing out simultaneously, prudence and preparedness are key. This is why we believe 2025 is a year of asset allocation. We are actively advising our clients to diversify across precious metals, including gold and silver, building duration in debt and in some cases, tactically even into global equities. Indian equities remain neutral with a staggered approach. Diversification is no longer optional. It's foundational.
With an estimated AUM between USD1 trillion to USD1.2 trillion, India is entering a pivotal growth phase. We are seeing new capital formation and active portfolio reshaping from promoters of listed companies to a new generation of investors seeking differentiated opportunities. This signals a structural shift in how wealth is being created, mobilized and deployed.
Risk appetite too, is evolving. Today's HNIs are increasingly embracing non-traditional asset classes from pre-IPO participation to early-stage investing. Regulatory initiatives such as the accredited investor framework and asset classes like SIFs are further expanding access to sophisticated products. And fueling this momentum is the triple multiplier effect, which is the powerful convergence of rising HNI participation, asset appreciation and incremental income-led savings.
Over the past year, we have laid a strong foundation across our key business verticals, the ultra-high net worth individual cohort, which we define as greater than ■ 25 crores net worth, the HNI or the wealth tech cohort, which we define as the INR1 crore to ■ 25 crores net worth segment and our alternate assets vertical.
What sets us apart is our decision to go omnichannel, giving our clients the flexibility to manage their wealth the way they choose. Our D2C app is seeing good initial momentum. Investors from first time -- first-timers to seasoned professionals are using the app not just to view their investment portfolio, but also to use our insights to implement changes.
Tools like tax calculators, analytics and portfolio assessments are helping them make informed decisions. While technology enables scale and access at one end for our HNI customers, our personalized portfolio-led approach continues to drive deep engagement at the other end for our ultra HNI investors.
Our ultra-high net worth business, which is clients above ■ 25 crores net worth is our current growth engine. We are leveraging our RM network to engage with listed promoters and founder entrepreneurs. The response to our tactical deals and curated product suite has been extremely encouraging. Clients are particularly drawn to exclusive investment opportunities.
On the other hand, the HNI of the wealth tech segment, which caters to investors between ■ 1 crores and ■ 25 crores is where we see massive untapped potential. In recent months, 2

approaches of ours have gained strong traction among HNIs. A, fractionalization, enabling access to previously elusive investment opportunities at more accessible investment levels; and B, accreditation, supporting clients in becoming accredited investors, thereby unlocking sophisticated products such as PMS and AIFs at lower entry thresholds.

Let me now take a moment to share a snapshot of our business progress. In the first year since inception, Ionic Wealth now manages over ■ 3,790 crores in assets under management, comprisi

ng of ■ 3,327 crores in actively managed assets and an additional ■ 463 crores in custody assets.

We proudly serve a base of 680-plus clients across ultra-high net worth and the HNI segments through dedicated relationship managers, our website and the mobile app, offering a seamless omnichannel experience tailored to their preferences. Our team has grown to 166 professionals, including 57 highly experienced relationship managers.

Equally strong are our tech team and product and research team. We have established our presence in 9 key cities, ensuring we are close to our clients. In closing, we believe India offers a compelling long-term structural story and Ionic Wealth is strategically positioned at the intersection of this opportunity.

With this, I hand it over to Vineet for the next segment.

Vineet Agrawal: Thank you, Srikanth. Good morning, everyone. Quarter 4 of financial year 2025 was the first full quarter post implementation of the index derivative regulations. This, coupled with softer market conditions, led to a 22.4% decline in our number of orders to about 327 million. As a result, our Q4 FY 2025 gross and net revenues were lower by 16.3% and 15.7% sequentially.

Our gross broking revenue, which accounted for about 60% of our total gross revenues degrew by 22.6% sequentially to nearly ■ 6.3 billion in quarter 4, owing to softer client activity. While F&O continues to be the larger contributor, its share in our overall gross broking income reduced to approximately 77% in quarter 4 of FY 2025 as compared to its range of 81% to 87% in the last 11 quarters. Share of cash and commodity segments increased to 14% and 8.6%, respectively, in quarter 4 of FY 2025.

Share of direct business in our net broking revenues remained consistent at about 76%, with the balance 23% being contributed by clients from our assisted business unit. Our average client funding book remains steady at ■ 40.3 billion, for the quarter.

We had lowered the interest rate on margin trading funding to 14.99% in mid-November 2024. Q4 being the first full quarter of this change, we saw a 5.2% sequential decline in our interest income on this average book. The interest earned on fixed deposits was lower by 1.7% sequentially owing to lower quantum of fixed deposits. Both of these led to a 3.4% sequential decline in our gross interest income to nearly ■ 3.4 billion, thus accounting for about 32% of our gross total revenues for the quarter.

Income from depository operations, which accounted for just over 4% of our total gross revenues declined by 20.5% sequentially, mainly due to lower cash delivery volumes. Income from

distribution operations grew 4.6% sequentially to ■ 314 million, accounting for 3% of our total gross revenues for the quarter. This was primarily driven by growth in distribution and insurance products.

Finance cost decreased by 3.9% quarter-on-quarter to ■ 803 million pursuant to a marginal decrease in average cost of borrowings. However, the average quantum of borrowings were higher by 7.3% quarter-on-quarter, primarily for margin requirements at the clearing corporations.

Employee benefit expenses, including cost of granting ESOPs, degrew 21.3% sequentially to nearly ■ 1.9 billion. This was on account of onetime impact of the variable pay reversals by ■ 641 million. ESOP cost for the quarter was higher due to issuances of fresh annual grants under LTI Plan 2021 for Angel One, along with the grants for the wealth management business under its LTI Plan 2024.

Other operating expenses for the quarter rose by 13.6% sequentially to ■ 3.8 billion. This includes ■ 344 million we spent on IPL associate partnership sponsorship and related digital and advert media spends during the quarter, which was not there in the previous quarter in addition to our regular brand spend.

Our quarter 4 reported consolidated operating margin at 31.8% was lower

by 1,019 basis points
quarter-on-quarter as compared to our reported quarter 3 margins. This was because of sustained investments in acquiring clients even in softer market conditions as we strongly believe that this will give us the substantial impetus for growth of our business in times to come.

Please also note that this operating margin subsumes expenses of incubating our new businesses

of asset management and wealth management.
As we go into quarter 1 of the current financial year, we will continue with our growth investments with an aim to expand our market share. In quarter 1 of this financial year is also seasonally impacted on account of increments, proportionate booking of variable pay for the new fiscal and higher IPL spends owing to more number of matches.
Depreciation and amortization cost increased by 7% sequentially to ■ 285 million in quarter 4 as we capitalized assets during the quarter.
Our reported consolidated profit after tax declined by 38% quarter-on-quarter to ■ 1.7 billion.
Our reported total gross revenues and profit after tax for the full year FY '25 stood at ■ 52.5 billion and over ■ 11.7 billion, representing a growth of 22.6% and 4%, respectively, over the corresponding period last year.
Period-end cash and cash equivalents were higher on account of marginally higher client monies, coupled with our own cash generated during the course of the year. Correspondingly, some of our -- of this positive cash flow generated is also reflected in investments. Post our QIP last year, our client funding book soared by 2.2x to ■ 38.6 billion. This growth was funded through a mix of the QIP proceeds, our own cash generated and borrowings, which led to a 1.3x increase in our period-end borrowings.

The consolidated net worth of the company increased to ■ 56.4 billion as of 31st of March 2025.
FY 2025 is a mixed year, for the first half reaping benefit of buoyant market conditions and the second half impacted by regulatory changes and market softness, leading to an overall impact on our profitability and return on average equity, which contracted to 27%. As the business normalizes over the next few quarters, we strongly believe that our ROE should trend back to its historical levels.
With this, I conclude the presentation and open the floor for further discussion. Thank you.
Moderator: The first question comes from the line of Swarnabha Mukherjee with B&K Securities.
Swarnabha Mukherjee: Three questions from my side. First one, I wanted to have a better understanding on the expense head for the quarter and how we should look about it for FY '26 in particular, in terms of the reversal of the variable pay, what was the rationale for the same, and then when we move ahead in FY '26, as you mentioned in your opening statements in terms of incremental provision for the variable pay for the next year, how should those numbers look for FY '26? And also, if you could give similar comments related to the opex because as I am seeing that the customer acquisition rate has come down, but even if I remove the IPL related costs from the opex head that you have reported, I think the headline number looks fairly steady.
So with lower customer acquisition, the opex levels still continue to remain steady. So has the cost of acquiring new customers gone up? And if so, I mean, would it be like a structural thing? Or should we expect it to mellow down going forward?
So based on the cost side and also wanted to understand in terms of the cohort level analysis that you have provided, if I look at the revenue generation across various cohorts, what I see is that in the current environment, so FY '25 versus FY '24, I think the revenue drop for the customers acquired in fiscal '23 has seen a more disproportionate impact. So what is -- I mean, if you could highlight what would be the reason why this particular cohort is more impacted vis-a

-vis others?
And secondly, also, I noticed that the breakeven period has impacted. So is this more a reflection of market situation? Or is there something structural and it should prompt us to look at our strategy? So these are the broad level questions. I have one or 2 bookkeeping questions, which I can possibly ask after the response.
Dinesh Thakkar: So Swarnabha, on this variable cost as our industry is cyclical, always we say we have some buffers, which are variable, which we can play with. So when we set our targets, we set certain variable portion. If we missed that this time because of regulatory changes and all that, we were unable to reach our targets, so definitely, there is a reversal of variable cost. But going forward, always this is the practice, we do some projection based on that, we work out fixed and variable pay. So for coming year also, same system would be followed.
So on second question on customer acquisition, I will ask Arief to address this later. On your cohort level revenue and all that, we don't disclose much on that unless -- Amit, do we disclose cohort level revenue?
Amit Majumdar: Yes, Dinesh bhai. So I think he's referring to slide number 12.

Dinesh Thakkar: Okay. One second. You can take that later. And on breakeven impact, we believe that if we look at customers' wallet share, that has not shrunk. So their engagement in this market will, in fact, going to improve. So except for the temporary phase that we are seeing because of regulatory change and macro getting weak and all that, we are seeing this impact. But otherwise, I believe that we will be able to maintain this breakeven of between 6 to 9 months. So Arief, you can take that customer acquisition cost and then Amit, you can take that cohort level.

Arief Mohamad: Thank you sir.

Swarnabha Mukherjee: If I can just -- sir one just follow-up on the employee expense side. If I just understand, I mean, we are broadly running at INR200 crores, INR210 crores kind of a run rate in second and third quarter. For the provisioning and basically the number for, say, 1Q onwards, should we expect a number higher than that?

Dinesh Thakkar: Okay. Let Vineet answer this properly. Vineet, if you can take this question.

Vineet Agrawal: Yes. So Swarnabha, obviously, with the increments and the new variable pay provisions for the current financial year, the numbers will be higher than the previous year, but you can take the trend of the previous years and extrapolate these numbers.

Swarnabha Mukherjee: Okay sir , helpful.

Dinesh Thakkar: Yes, Arief if you can take that.

Arief Mohamad: Yes. Thank you. Good morning, everyone. Thanks a lot for the question. That's a very -- so when I look at it, the cost of acquisition had gone up in JFM across the industry, driven by a couple of channels and correspondingly, it also went up for us. But our acquisition mix is based on a multiple set of channels, and we have corrected for that mix. And we are very confident that the COAs will come down as we go forward, and we are already seeing the reduction as we get into April.

Swarnabha Mukherjee: Sir, just one quick follow-up. This reduction, will it be like what we have seen previously in non-IPL periods or so? So maybe somewhere at the level of 2Q or something. Would that be a fair assumption?

Arief Mohamad: There will be a seasonal mix of IPL being slightly on higher side, but we see it below last year levels as we go forward.

Swarnabha Mukherjee: Understood.

Dinesh Thakkar: Okay. Amit, you can take the next one.

Amit Majumdar: Yes. Thank you, Dinesh bhai and Swarnabha, on the cohort level revenue, the question that you posed. So FY '25 has been an extraordinary year for reasons that we all know. And if you observe carefully, you will see that almost for all cohorts, there has been an impact.

With respect to FY '23, in particular, that you mentioned, well, this is just th

e start of a cohort of customers, which has to be allowed some time to stay on the platform for them to start

generating revenue. So I think what we tried doing here is transparently declare Y-o-Y cohorts that we have been acquiring and how their behavior has been over a larger period of time.

So actually, if you see from year 3 or year 4 onwards is when there is consistency of revenue of that particular cohort. So therefore, in case of FY '23 and for any other year beyond, we have to allow for a few more years to go by for us to make a very firm assessment around the quality of that cohort.

We are not seeing a significant challenge so far as cohort acquisition is concerned because our acquisition metric for cohort-wise -- acquisition metric for cohort has been consistent Y-o-Y. So we have not had a significant change in the way we acquire our customers. On your point on breakeven, again, to look at a breakeven point for FY '25 will be very short-term view. You will have to again allow it some time to settle.

We continue to believe that when markets are normal and in a cycle of 4 to 5 years, you will have periods of abnormal market conditions, either downward or upward. And therefore, the way to look at this is more long term and allow the entire cycle of 5 years to play out. And therefore, that year of FY '25 breakeven is not a number that you should go by in terms of future trends.

Swarnabha Mukherjee: Okay, sir. That's very helpful. Just a couple of bookkeeping questions. If you could share the mix between cash intraday and delivery orders among the overall cash orders mix. You used to disclose that earlier, but I think I did not find that in the presentation. And second is in terms of the new ventures, for example, Ionic wealth, is the number -- where is the number reported in our overall revenue mix that we have provided in the gross revenue?

Dinesh Thakkar: Vineet, if you can take that Ionic Wealth and then Amit, you can check whether we disclose the mix or not.

Amit Majumdar: Yes.

Vineet Agrawal: So the new businesses, including asset management, wealth and distribution, they are clubbed under distribution. The 3% revenue that we have disclosed as a constituent of the total revenue, it's included there.

Swarnabha Mukherjee: Okay, sure sir. On the order mix if you can...

Vineet Agrawal: Swarnabha, on the order mix, since now we are charging for both cash delivery and cash intraday, it doesn't make any difference. So we've clubbed it as cash segment. And you can continue to extrapolate those numbers.

Moderator: Next question comes from the line of Prayesh Jain with Motilal Oswal Financial Services Limited.

Prayesh Jain: Just a few questions. Firstly, on the expenses front, again, you mentioned that the cost of acquisition has gone up. First of all, could you allude the reasons for the same? And how do we see this? You mentioned that it will go down. But if this run rate, even it sustains or if it kind of

goes down by 10%, thereabouts, still the margins that you had spoken about in the earlier call that a long-term sustainable margin of 45% to 50% seems to be far-fetched right now.

So what kind of trajectory should we think about EBITDA margins from FY '26? Or as you mentioned that Q4 FY '26 will be first normal quarter of normal levels, that would be -- would that mean a 45%, 50% EBITDA margin by then or would you say FY '27 will be a year where we should think about that kind of levels? That would be my first question.

Second question would be on the wealth business. You mentioned in the presentation of about ■ 3,300-odd crores of AUM. Could you split it for us as to how much is transactional? How much is in MF, PMS, AIF? What is the color of this book today? And because the size looks pretty good. And what is the kind of revenue potential out of this asset on a ye

arly basis?

Third question would be on the MF AP channel. You mentioned that AUM has been gaining traction. What is the kind of AUM size that you would have achieved in this business? And last on loan distribution, you have been able to distribute only about ■ 100 crores in this quarter versus about ■ 240 crores in the previous quarter. Why this decline? And what kind of traction should we see from here? Yes, those would be my questions.

Dinesh Thakkar: Okay. Great. First, on this thing, expense side, cost of acquisition, Arief will take in terms of what do we see in terms of cost of acquisition going forward. But let me tell you one thing. See, our model, coming back to margin and all that, cost of acquisition, if at all, in certain quarter goes up and down, but still it is not as big to change the margin profile of the company altogether. Because even in digital company, if you see cost of acquisition to LTV, if it is even 5 - 5.5 also, you will see margin going beyond 50%. So I believe that, okay, already what we are seeing is that, okay, there will be some seasonality. There will be some change in terms of pricing in certain channels, but we acquire customers from multiple channels. So we would like to then focus more on channel, which is more viable for us to acquire customers, so we are seeing enough channels are available for us to maintain kind of a growth rate in customer acquisition.

In terms of margin, because of this regulatory changes, macro and lots of things happened in this quarter 3 and quarter 4, what we are seeing is that in terms of revenue curve, we are seeing bottoming up from, say, like revenue curve has changed from Feb and in March, we saw an uptick. And as we speak also, we are seeing that revenue curve has taken a turn for better.

Margin expansion, you will see at the exit of quarter 4 where again, you will see a margin coming back to 40%, 45%. So exit of quarter 4, we will see again margin coming back and we again going back to normal kind of like productivity metrics, margin as well as ROE. And yes, on Wealth Management, if Srikanth or Shobhit, you can take this question.

Srikanth Subramanian: Yes, I'll take it, Srikanth here now. Prayesh, thank you for your question. Happy to sort of answer in a manner that while it's been a year as far as wealth inception is concerned, we actually became fully licensed over the last 4 or 5 months. So in view of all of that, we -- on our roughly about ■ 3,370-odd crores of actively managed assets, around 75% of that is in the nature of recurring AUM, which means it's a mix of advisory, it's a mix of trail-based distribution businesses and about 20% to 25% of that will be transactional assets.

The only reason I will add a caveat for no other reason, but the fact that it's too early for me to project the trend line. I think the team is experienced enough to know that a good high-quality wealth management business is built when you build a strong annuity income over long periods of time without losing focus on strong tailwinds as far as transactional opportunities are concerned. So at this moment, it is close to about 3/4 of this in various portfolio compositions

across advisory and trail income and about 20%, 25% would be into transactional assets.
Prayesh Jain: Srikanth, what is the revenue contribution of this ■ 3,300 crores in a sense, what basis points could you be doing it on an annual basis in terms of revenue?
Srikanth Subramanian: Yes. Prayesh, at this stage, as I said, I think it's just been about 3, 4 months. So we haven't done a full 1 year of seasoning, but we are fairly in line with what the established best practices in the markets are. So now that we have clearly established benchmarks in terms of what others are in terms of an annual margins. At this point of time, we are fairly in line with that, but I would want this to be seasoned a bit more before w

e start getting into specifics. But at this point of time, a very healthy mix of this AUM is into an annually recurring kind of color.
Dinesh Thakkar: Yes. And on your AUM on mutual fund, already, we are building a good AUM on direct as well as B2B, but your question was particularly on AP. I will ask Nishant to answer this. Nishant, you are there? Okay. Let Nishant come in. On loan distribution, Saurabh, you can take this question.
Saurabh Agarwal: So yes, on the credit disbursement side, we saw a temporary moderation this quarter due to cautious underwriting in slightly volatile macro conditions. That said, momentum is actually slowly picking up again as confidence is beginning to return and funnels are becoming slightly better. Having said that, we are focused on building a strong, sustainable lending play with the right partners, the foundation is being laid right now and which positions us well for long-term scale and resilience. Short-term softness is not something that we are really worried about. Also, as I mentioned earlier, last quarter, we have added 2 bank lenders and a fintech, right, and built very solid AI/ML models on propensity and matching algorithms, right, all moving us towards a very robust future for credit in Angel One.
I hope that answers your question.
Prayesh Jain: Yes, I got that.
Dinesh Thakkar: Okay. Did we get Nishant back? Nishant, can you hear me?
Nishant Jain: Yes. I can.
Dinesh Thakkar: Can you just give brief on MF fund AUM that we have built in that AP channel?
Nishant Jain: Sure. So with regards to your question, we have grown by about 2.2x with regards to the last financial year in this year. This has been coupled with some of the interventions that we had done in this space, driving mutual fund distributor appointment. We in fact, acquired over 7,000 mutual fund distributors in this year itself. There were a lot of intelligent cross-sell nudges that

we were providing to our users to, therefore, build traction around SIPs, lump sum. And some of those initiatives have helped us deliver about ■ 3,700 crores of AUM as we exited this year.
Moderator: Next question comes from the line of Pradyumna Choudhary with JM Financial Family Office.
Pradyumna Choudhary: So 2 questions. First one is, if I look at your F&O market share, there's been a slight moderation in Q4 compared to Q3. So how should we maybe look at this going forward given that anyway, the market share gains have already slowed down compared to earlier quarters? And similarly, on the commodity side, the last 3 quarters, we've been seeing a declining market share. So how should we really understand this? And if you could maybe comment on the players who seem to be taking the incremental market share? That's the first question.
Dinesh Thakkar: Okay. Devender, you'd be -- please take this question of F&O market share. And commodity, who would be the right person to answer that?
Devender Kumar: I'll take both of them. Mr. Choudhary, from an F&O market share point of view, we see a slight change. From an overall trajectory point of view, we are seeing incremental market share gain. We are seeing a temporary dip with that F&O regulation changes coming in, which is affecting the retail client segment, particularly harder, where we have a very strong market share. And that is reflective of that aspect only, which is basically you can see that there is some reset that has happened and it is the growth that we have been able to do will continue from there. From a commodities point of view, I think it's more of a composition mix of the commodities market, where traditionally, we have a very strong market share in crude oil. And what lately has happened as the composition of the market is changing and crude oil turnover contribution in commodities has gone down, this is what is reflective. We have not really lost any market share.

It's more of a composition mix, which is reflecting in terms of the overall market share that Angel is having.
Pradyumna Choudhary: Understood. Well understood. And second question is on the activation rate. So one would ideally expect this number to -- at certain times, if I compare over the last several years, quarter-by-quarter, one would expect this number to at times go up, especially during a bull run when you expect maybe the active clients would start growing faster than the total clients and maybe

decrease during a bear run or a flat markets.
But what we see is it has continuously declined over the 2-, 3-year period quarter-on-quarter. So if -- like why is this happening? And if this is happening, so then is it even a right metric to look at total client acquisition given that maybe we are anyway not able to convert a larger chunk incrementally into active ones?
Dinesh Thakkar: What happens we need to have a particular base. From that base, a certain amount of customer becomes active. It is not that the person becomes active, they only remain active. As you rightly said, in bull market, bear market, you will see different kind of customers becoming active of the base.
So if base is larger, definitely number of customers getting active in good times and all that would be more. But if there's a bear market, lots of people who have opened the account, maybe

bought some shares, they would like to wait till the time they find a proper opportunity. It is not those accounts are dormant or they are not interested in market.
They are opening the app. They are getting engaged in terms of looking at markets and all that.
So customer acquisition is important to increase our base. So that's the top of funnel that we get.
And when market conditions based on whatever liking customer has, they become active.
Moderator: Next question comes from the line of Karan with Jetha Global.
Karan: Can you hear me?
Dinesh Thakkar: Yes, I can hear you.
Karan: Okay. Great. And hopefully, we're turning the corner. So I wanted to just address the multi sort of vertical strategy here because you're setting yourself up for what is hopefully a very durable growth. I'm pretty curious to hear from the new CEO on how -- what is his assessment of the tech stack.
We had to rate it on -- you had to grade Angel One's tech stack today, maybe on a scale of 1 to 10, where is Angel One. And then what's the plan there in terms of getting the tech stack to a place where you can obviously sell these products and it's seamless for the customer and all of that? Are we already there? Or is there a lot more work required?
And then I guess a broader question is, if you look at the materials, these calculations on cohort and LTV and paybacks, they're all -- they only consider 1 product or maybe 1.5 products in terms of what the customer is doing. But can you give us a sense of a customer who has actually engaged with many of these other products?
Maybe they are using 3 or 4 of your products, they bought an ETF, they bought an insurance policy, they've taken a loan, they're buying and selling derivatives. What does that look like?
And ultimately, if you're paying higher CAC, are you underwriting that these customers are going to eventually subscribe to more than one product? So how are you bringing it all together in terms of products per customer, however you want to look at it?
Dinesh Thakkar: Okay. I will take 2 questions. Latter one first. And on tech stack and all that, I will ask Ambarish to comment. In terms of like cohort LTV and all that, currently, our calculation is based on revenue that we get from broking services and allied services. So we are new in terms of getting into other products like mutual fund, loan business and all that. So we are still in the process of building up and gaining some good market share.
So going forward, definitely, all that reven

ue from this customer from all these services will be incorporated. And on higher CAC, it is just, I think, a temporary phase. Right now, we are not targeting higher CAC based on revenue from other verticals because we feel that we have enough base and we are able to attract enough clients who can justify their CAC based on broking revenue.

But as we get more detail and data on revenue from other products, definitely we would like to acquire customers at higher cost. So that's broadly our strategy that going forward, we want to be a platform company where we are able to sell multiple products and then see what the revenue we can get from this customer and what is the lifetime value based on that, we can increase our cost to acquire the same customer.
Ambarish, if you can take that tech stack question.
Ambarish Kenghe: Yes. Thanks, DT, and thank you, Karan, for the question. I'm actually very pleased with the shape of the tech stack at Angel One across the board and across products that you see. In fact, if you look at Angel One, it's the only company that kept up with the times really across the

board and continuing to evolve.
So the tech stack is in phenomenal shape. That said, I think it's a continuous process. You have to continuously evolve with the times. And the good news is we have a phenomenal team. DT talked about Rohit joining the team, but we have a phenomenal set of leaders across the board who are continuing to stay up with the times.
You are also going to see more investment, as we have talked about in artificial intelligence and that being an inflection point. So that will continue. But to your question, the tech stack is in a phenomenal shape, is able to handle a large amount of volume, a large amount of features and keep up with all the compliances as well.
Moderator: Next question comes from the line of Abhijeet Sakhare with Kotak Securities.
Abhijeet Sakhare: My first question was -- so I wanted to get a sense of the customers that we've acquired in the recent quarter because this is coming with a new set of -- under a new set of regulations. I wanted to understand if this set is -- this cohort is behaving very differently in terms of activation rates or the first products that they trade with.
And a related question would be, how has been the competitive intensity in terms of customer acquisition during this quarter?
And second question is just to go back to the previous question to AK, which is that if you could talk about a few areas where he thinks he can make a decent sort of intervention or impact on the current business because he comes with a financial services background plus a consumer background. So Angel in a way kind of is a mix of both. So are there any areas where we can see some major shifts based on his experience?
Dinesh Thakkar: Okay. Sure. DK, if you can take this quality of customers that have been acquired after regulatory changes. And let me just answer in terms of competitive intensity, I think that, okay, that is not an issue because we are gaining market share. And it seems that, okay, whatever we are doing in terms of efficiency, it is better than competition.
Currently, any kind of like element which is coming from competition is not really a concern.
In fact, we are looking at how do we delight our customer in a far better way than what

competition is doing. So DK, you can take this customer quality. And Arief, if you want to add on this competitive intensity first?
Devender Kumar: Yes. Thanks, Dinesh bhai. Abhijeet, from an overall point of view, the customer profile remains overall pretty same as what we've been acquiring in quarter 2 and quarter 3. But what impact we have seen on the overall industry is also similarly applicable to the new clients that is there as well. But I believe that as the consumer behavior evolves,

some of the product segments have gone away, our belief still stands.
The wallet share that we have been able to take care will continue to elongate, and we'll see these impacts coming in the next 2 quarters where their behaviors will evolve. That's what the belief is. From a competitive intensity, I think, Arief, do you want to put some words?
Arief Mohamad: Yes, yes. Thanks a lot for the question. On the competition intensity, I would say that our read is that there's a lot of wait and watch that is happening in general across the industry, but we feel that this is also a good time for us to be staying aggressive in acquiring clients, right?
Also to kind of add on to what DK mentioned, see, bearish and bullish markets might have an impact on the immediate activations. But once you acquire a client, they are an asset that will keep adding to the growth. The activation might slightly take a slightly longer gestation, but they will return back the goodness for us is how we look at it.
Dinesh Thakkar: Ambarish, if you can take that -- your final question.
Ambarish Kenghe: Yes. Thank you for that question. I think any leader coming in, as you would understand, has to, of course, enable the team, and that's the most critical thing. And I see a fantastic team already in place and moving in the right direction. So what you're going to see is that I'm going to enable and be a multiplier for that.
But that said a few areas that I have in mind and you will see happen is, number one, I think as we do more product diversification, we have lending, insurance, other things that you see around us, how do we bring all of these things together and make it better for the customer and create a fantastic place for financial services platform for people to come in there. So that's a very important part of it. How do you sort of bring it all together?
Number two, I think you will see a bunch of chat from me on AI also artificial intelligence and machine learning over as we continue this conversation. And you're going to see a few areas where it's going to impact, right? Number one, it's going to have an impact on what you see built into our products, models, personalization.
So you're going to see AI impact on that. Number two, you're going to see an impact on how we produce those products. Are we doing code generation using AI? Are we building our UX

through AI and stuff like that. You're also going to see that impact, and it's already starting to happen in our processes and what -- how we are using AI tools internally to improve our processes, making them both efficient and effective.

And in the long term, you're also going to see us getting smarter using AI, just use it for learning and other things. Now this is not all going to happen next quarter, right? It is a journey that we'll continue on, and we'll continue that conversation.

The last thing I'd mention is that we would also get better at -- it's evolution, but get better at reading signals from the customers, understanding them better and creating better, more delightful journeys for them as we acquire them as well as take them through our product. Thank you.

Moderator: Mr. Sakhare, are you done with the questions?

Abhijeet Sakhare: Yes. That was useful.

Moderator: Next question comes from the line of Ajox Frederick with Sundaram Mutual Funds.

Ajox Frederick: Sir, you have mentioned that the impact of new businesses on your cost is 1.8% for the full year. Can you help me understand what was the quantum in 4Q?

Dinesh Thakkar: Vineet, if you can take this question.

Vineet Agrawal: Sorry, can you just repeat the question? What was the quantum? I couldn't get the last bit.

Ajox Frederick: Yes. The quantum, which was on account of incubating new businesses, the expenses basically in 4Q.

Vineet Agrawal: Yes. So the net burn in 4Q was about ■ 62 crores, ■ 63 crores for these 2 new businesses, which is the Asset Management and Wealth Management, which translates to about 1.8% of the operating margin overall.

Ajox Frederick: I'm assuming that's for the full year, right?

Vineet Agrawal: No, this is for the -- yes, full year. And for the quarter, I think it was about -- yes, I mean, it's 1.8%.

Ajox Frederick: Okay, sir. Secondly, sir, you also mentioned that you have confidence of bringing down COA eventually. So what feelers or what indicators are we seeing out there to bring down the cost of acquisition?

Dinesh Thakkar: Arief, you can take this question.

Arief Mohamad: Yes, DT. So it is not -- just to correct that -- so it is not about getting the COA down eventually, whatever increase that we saw in JFM, we have corrected for our mix. And we are already seeing that cost of acquisition coming down even for this month. So it's not about an eventual scenario. So we are already there.

Dinesh Thakkar: Yes. In this cost of acquisition, what is important is that, as I always said that, okay, what is the lifetime value of a customer and which pockets can we get into to get more market share. So always our focus would not be on reducing any kind of like cost when it comes to acquiring

customer. It is more about getting quality customer for whatever kind of like geography we're acquiring. So in JFM, what happened was a temporary kind of like bit upside. But what we are talking about, we'll get back to the normal trajectory. But as we see more revenue coming from the same customer because we are getting to multiple products. If we see we are able to sell more product than just broking, definitely, it makes sense for us to even increase our cost of acquisition. So we are constantly monitoring what the cost of acquisition and what kind of activity we see of a customer on our platform.

Moderator: Next question comes from the line of Nidhesh Jain with Investec.

Nidhesh Jain: The first question is on a possibility of price hike that is completely off the table or that is still under consideration, given that we have already seen 3, 4 months of customer behavior after the regulations?

Dinesh Thakkar: Nidhesh, we have to watch in terms of -- because there are lots of things which happened in this quarter as last time I told. We have to wait for 1 or 2 quarters to say that what is the behavior of customer post these regulatory changes. But initial sense, what I'm getting is that, okay, we would be back to normal kind of margins by exit of quarter 4.

But till the time it is not necessary for us to look into prices, we would like to maintain this price. So initial kind of signs what I'm saying in terms of, as I said, that revenue curve has almost bottomed out, and we are seeing revenue kind of like improving since March. So we would like to monitor this situation for 2 quarters before we take a stand on price. See price, I feel customers are not sensitive, but we want to maintain this price if we are confident that we would be able to get to this margin what we would be comfortable, that is in the range of 45%, 50% in few quarters. So stand would be wait for a few quarters, take the behavior of customer. As I said, there are lots of products that we are introducing, look at kind of margins, what we'll get from customers that we have and we acquire. We are confident that in a few quarters, we would be able to bounce back to margin of 40%, 45%.

We would be comfortable focusing on increasing more customers on this platform. See, digital company has to look at how many more customers we can serve on a similar platform. So till the time we are seeing customer acquisition rate is very high, we would like to pause and check and take a call only if it is necessary.

Nidhesh Jain: Sure, sir. Understood. And second question is that -- so we started as a digital broking business, then we are now doing a lot of things on the financial management s

ide for the client. So do we also think that there is a possibility of entering into other financial service areas, specifically on the transaction payments, credit card side to become a holistic financial services platform over a medium-term perspective?

Dinesh Thakkar: See, currently, our focus is to be a distributor for all the services. So whatever services user wants and where we can extend our platform, we will do that. AK, you want to say something on this?

Ambarish Kenghe: No, I think that makes absolute sense. I think we've got a platform that we've got tons of customers coming here. And we are already doing -- of course, you talked about AMC and

Wealth Management, but we are starting -- we are doing lending, insurance, of course, broking very big. So those are all just the right things, and we'll continue to distribute any financial products that we can on a platform. So think of it as a platform.

Moderator: Next question comes from the line of Vikram Raghavan with Moon Capital.

Vikram Raghavan: Just one question. What is the percentage of revenue expected from new businesses over the next, say, 1, 3 and 5 years?

Dinesh Thakkar: Yes. So we believe these new businesses, especially like distribution of credit, insurance and particularly wealth management, they can really substantially grow at a good size given if it all we give proper time and focus on that. And that is our focus that how to become a leader in all this kind of like vertical. But to give a time frame in terms of what the percentage of revenue mix will happen in next few years would be difficult to predict because even broking is expected to grow at a very high rate for the next 15 to 20 years.

So even if we are able to grow other line of businesses, so to give a kind of a call in terms of what the percentage revenue that we'll get from other businesses in next 3, 5 years, it's a very dynamic call that because we have to keep something constant.

But when all these verticals are growing at a good rate, I can tell you one thing that our aim is where -- whichever vertical we want to get into, we want to achieve leadership position. In any other vertical that we have gone apart from broking, broking, definitely, our aim is and we are leaders, but we would like to be a leader in that in the next 3 to 5 years.

Moderator: Next question comes from the line of Aman Dugar with Nuvama Wealth.

Madhukar Ladha: This is Madhukar Ladha here from Nuvama. I don't know whether this question was addressed or not. The total staff cost for the year is about ■ 855 crores. And in Q4, there has been a little bit of a reversal in variable cost. Can you spell out what is the total fixed and variable cost -- staff cost for the entire year? That is just one thing that I would like to know.

Dinesh Thakkar: Vineet, you can take this question.

Vineet Agrawal: Yes. Thank you, Madhukar, for this question. But we don't really disclose the entire variable. As we said, we've reversed a large part of our variable cost in this year. So you can extrapolate the number based on that. And of course, there is a little bit of variable pay that we give to some of our other junior level employees.

Moderator: Next question comes from the line of Sanketh Godha with Avendus Spark.

Sanketh Godha: Basically, the question is that your March saw an improvement in number of orders per day to 5.4 million. And I just want to understand in April, how you are seeing the trend. And actually, in the full year, you were at 6.9 million orders per day in FY '25. So just wanted to understand, are you decently confident that for FY '26 the number of orders for the full year or by exit at least, you will claw back to 6.9 million orders per day is the first question what I had.

And the second question was, sir, that in the fourth quarter, your margins were at around 3

2%.
I believe in first quarter of FY '26, it will be more impacted maybe because of higher IPL cost allocated to that quarter. So from residual 9 months of the next year, to even deliver 41% EBITDA margin, you should be maybe closer to 45% plus or maybe closer to 50%.
So just wanted to understand what are the levers you might be having other than maybe cost-cutting exercise to deliver EBITDA margin at least similar to what you have delivered in FY '25. So that -- those are 2 my questions, means if you can give a little number related things, it will be really useful.
Dinesh Thakkar: Yes. See, we always take a number based on like averages what industry has delivered. So to take a call on 1 month or 1 quarter would be difficult. But what we believe is that factors which were impacting kind of like create dullness in market are getting resolved. Macros of India, if you see interest rates are coming down, So that will bring in more customers to equity market.
So our belief is based on averages that we see for 3 years, 5 years and all that. And based on, we understand that customers what we have acquired will become as active as they were maybe in quarter 2 of last year. So to give a call that, okay, whether it is going to improve in a few months or 1 or 2 quarters will be difficult.
But as you rightly said that, okay, we can take a call that by exit of this financial year, we would be able to acquire a certain amount of customers, and we believe activation ratio of this customer would be at a certain point. Based on that, we are confident that by exit of quarter 4, again, you will see margins coming back to this.
So to comment on quarter 1 onetime cost, the IPL cost is a cost which has to be kind of like -- which is giving us more visibility, more recall. So when we talk about Indian youth coming to this market for the next 5 years, 10 years, 20 years, you should think about Angel One as a preferred kind of like platform company.
So this cost, I think we should look at a bit medium- to long-term horizon, although we had to book it in that quarter itself, but I would say it is something like earning before this IPL, which should matter to all the analysts because benefit that we get from IPL is a bit medium to long term. So we are confident that we'll be able to achieve a good margin kind of like by exit of quarter 4. We are not looking at cost cutting. We are focused on growth.
We believe by exit of quarter 4, you will see lots of other verticals where we have started investing will contribute to the revenue, may not be to profits. But what happens, what is important is that, okay, slowly their burn rate and their focus on being a leader in all that is going to ultimately generate more revenue from per customer that we acquire.
So we are very confident by exit of quarter 4, we will see everything would be almost to normal what we used to see in this industry because as a digital company, there's a fixed cost that we have to take to build the platform. So incremental customer that we acquire, margin from that incremental customer is very high.
So we are very confident if you look at growth rate of acquisition that we are getting, even in bad market where -- we never knew how do we acquire a customer, how do we react when

there's a big regulatory changes. Now that everything has stabilized, worst is behind us, we'll again work out a proper growth strategy where we are able to acquire more customers, which will lead to expansion in margin by exit of quarter 4, yes.
Sanketh Godha: Got it. So basically, you are decently confident that by end of the fourth quarter, you will get to 45%, 50% kind of a margin, which we usually used to operate in that sense?
Dinesh Thakkar: We can say 40%, 45% by exit of quarter 4, and it will expand as we move to the next financial year.
Moderator: Next question comes from the line of Swechha Jain with Wh

itestone Financial Advisors.
Swechha Jain: I have 2 questions. My first question is, sir, when we distribute the third-party products, I just want to know how much do we get as a part of commission or whatever, how much do we make on this? And second thing, sir, I wanted to know if you could share how much revenue have we made in this quarter from distributing the products other than the broking revenue. So products from AMC -- revenue from the AMC, wealth management, credit distribution and insurance. If you could just give me...
Dinesh Thakkar: Vineet, can you take this question based on whatever we disclose.
Vineet Agrawal: Yes. The percentage of revenue that we have earned from the distribution part of the business, which includes the distribution of credit products, insurance, the asset management and the wealth management businesses is about 3% of the revenue.
Swechha Jain: Overall revenue. So this is Q4, right?

Vineet Agrawal: Yes.
Swechha Jain: Okay. Fair enough. And sir, when we distribute the third-party products, how much typically we make on that?
Dinesh Thakkar: In general, if we make take this.
Saurabh Agarwal: Sure, sure. So in general, for most products, I think we make in line with the industry, be it credit or insurance, right? And for mutual funds since we largely do direct at one part of the business, there, it is zero commission. For the regular part, we make in line with the industry again.
Moderator: Next question comes from the line of Bhuvnesh Garg with Magma Ventures.
Bhuvnesh Garg: Just a couple of data keeping questions. So firstly, if you can mention the ESOP cost for Q4 and how it would look like in FY '26 and '27?
Dinesh Thakkar: Yes, Vineet, if you can take this question.
Vineet Agrawal: Yes. The cost for stock options has been in the range of about ■ 35 crores - ■ 38 crores quarter-on-quarter. And overall, for the entire year, it's in the range of about ■ 105 crores. Next year,

based on the grants that we are going to do now, the cost is going to increase. I'll come back with the number maybe in first quarter once we have the grants in place.
Bhuvnesh Garg: Okay. Sure, sure. Second question is on gross broking revenue per order. So if I see, it was flat quarter-on-quarter, but I understand that we start charging on delivery orders from mid-November onwards. So basically, Q4 would be the full quarter where there should be the full impact of the charges on delivery order. But still, the revenue was flat -- per order was flat Q-o-Q. So if you can just explain what was the reason for this?
Dinesh Thakkar: DK, you can take this question.
Devender Kumar: Yes. Mr. Garg. So at an overall level, the macro of the industry has been subdued in quarter 4, which has impacted. But what I'm seeing, it's more of a play of the composition mix of various segments that has kept it flat and the macro conditions, which we believe in the coming time will recover. So it's just a macro aspect.
Moderator: Next question comes from the line of Ajay Nandanwar with Blue Argon Capital Capital.
Ajay Nandanwar: Quick question on your sort of future growth areas. What's the opportunity you see in distribution from a customer perspective and from your right to win perspective?
Dinesh Thakkar: Saurabh, you would like to take this question?
Saurabh Agarwal: I'd actually want to hear that question once again, please.
Ajay Nandanwar: Sure, of course. So you mentioned that you want to focus on distribution as a growth area going forward. I'm keen to understand what do you see as the opportunity in the market from customers' perspective and from your sort of competitive advantage perspective?
Saurabh Agarwal: Yes, sure. Great question. So I mean, if you take one area at a time, if you just take credit, which is like the key focus area, unsecured credit over the last 3, 4 years has grown massively. You would have seen close to ■ 6 lak

h crores to ■ 8 lakh crores of PL being distributed in the market over a 1-year time frame itself, right?
So the size of the opportunity and that too growing at close to 20% CAGR over the last 3, 4 years. So over the next 4 years, 4 to 5 years, we might look at close to a ■ 20 lakh crores annual offtake in PL in India, right? Even if we look at, say, a 1% market share, that is ■ 20,000 crores of PL being distributed. So that is the size of the opportunity that we look at only from an unsecured credit in PL perspective.
Then there will be more growth areas that we will enter over time in credit, be it on the unsecured side or the secured side as and when we deem fit. Even on the insurance side, if you see digital penetration as of now is still very poor. And with large regulatory push from IRDA, right, to have more penetration, this size of the business will also keep on growing. So I think both these areas, be it insurance or credit, we are very bullish that they can become very sizable business over the next 3 to 5 years.

Dinesh Thakkar: Yes. Apart from that, even like mutual fund AUM, wealth distribution and all that, all that verticals are very promising.
Ajay Nandanwar: I don't doubt the size of opportunity. My question is more about what is Angel's competitive advantage in that space. We have been a broking house for a long time. So what our sort of differentiator when it comes to distributing.
Dinesh Thakkar: Saurabh, you would like to answer? Let me just cover this, then I will give it to you. The main advantage is that we have built an excellent platform where customers are really loving to buy

more products. So our cost of acquisition becomes limited. If you are able to sell incremental products, definitely, that makes a big sense for us.

And even for a customer, it makes a sense that they are buying all the product from the same platform. So that is where we have invested on tech, and we have created a big kind of a team who have created a very delightful kind of an experience on this platform. That makes very kind of like user-friendly platform for user who is coming for one product and buying multiple products. Yes, Saurabh, over to you.

Saurabh Agarwal: I'll just to add to what DT said, I think there are 2 or 3 large levers. One, the customer quality that we see on our platform is substantially good. right? The second is the engagement of the customers on the platform is higher than a lot of other consumer platforms in the country. And the third is the amount of time that they spend on our platform gives us a lot of handle on their data, right? So these are 3 large levers that enable us and have clear competitive moat with respect to others who are doing plain vanilla distribution for their customers.

Ajay Nandanwar: Got it. Okay. One more question, if I could. On the client funding book, what's the yield on assets? You have around ■ 3,850 crores asset book. What's the yield on it at this point?

Dinesh Thakkar: Vineet, if you can take this?

Vineet Agrawal: Yes. So we levy an interest of 14.99% on MTF.

Ajay Nandanwar: If I look at the interest income, it seems much higher. It's ■ 338 crores. Is there something else there?

Vineet Agrawal: Yes. So this interest revenue line item comprises of 2 components. One is the margin trading -- interest from margin trading funding and the other is interest from deposits that we place with the exchanges.

Moderator: Ladies and gentlemen, due to time constraint, that will be the last question. I would now like to hand the conference over to Mr. Dinesh Thakkar for closing comments.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we have answered your queries satisfactorily. Should you require any assistance, please feel free to contact Hitul Gutka, Head of Investor Relations or SGA, our Investor Relations advisor. Have a good day.

Moderator: Thank you. On behalf

of Angel One Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

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CDSL: IN-DP-384-2018, PMS:INP000001546,
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Symbol: ANGELONE Scrip Code: 543235

Sub: Filing of the transcript of earnings call with analysts and investors under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on June 18, 2025 intimating of the earnings call with analysts and investors to be hosted by the Company on July 17, 2025, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company’s website at www.angelone.in .

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
Membership No: A22506

Date: July 23, 2025
Place: Mumbai

Encl.: As above

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PATELDigitally signed
by NAHEED REHAN PATEL Date: 2025.07.23 17:38:55 +05'30'

Angel One Limited
Q1 FY '26 Earnings Conference Call
July 17, 2025

MANAGEMENT :
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Strategy Officer Group Chief
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Officer
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Officer Chief Business
Officer – Direct
Business Chief Business
Officer – Assisted
Business Chief Business
Officer - New
Business Chief Data
Security Officer Group Chief
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Officer Group Chief
Human
Resources Officer Group Chief
Compliance
Officer Chief Product
Operations

Officer Co-founder,
Ionic Wealth
Hemen
Bhatia Hitul
Gutka
CEO – Angel One
Asset
Management
Company Head of Investor
Relations

 Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call, hosted
by Angel One Limited. This conference call may contain forward-looking statements about the
company, which are based on the beliefs, opinions and expectations of the company as on date
of this call. These statements are not the guarantees of future performance and involve risks and
uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing star then zero on your touch-
tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and
over to you, Mr. Gutka.
Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's
Q1 FY '26 financial and business performance. The recording of today's earning call and the
transcript will be uploaded on our website under the Investor Relations section. The financial
results, investor presentation and the press release are also available on the website.
For today's call, Angel One is represented by Dinesh Thakkar, Chairman and Managing
Director; Ambarish Kenghe, Group CEO; Vineet Agrawal, Group CFO; Saurabh Agarwal, CBO
New Business; Shobhit Mathur, Co-Founder Ionic Wealth, Hemen Bhatia, CEO, AMC.
We also have the senior leadership team of Angel One, along with SGA, our IR consultants. The
leadership team will give us a brief overview of the operational and the financial performance
of the quarter gone by, followed by a question-and-answer session. Please note that there may
be certain forward-looking statements during the call, which must be viewed in aggregate with
the risks that the company faces.
With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks.
Dinesh Thakkar: Thank you, Hitul. Good morning, everyone, and thank you all for taking time to join us on the
call today. It is always a pleasure to connect with you and share our vision for the road ahead.
The rapid advances in India's financial services have been truly inspiring and yet it is even more
exciting to realize the huge potential waiting to be unlocked in the financial service sector.
Over the past decade, digital has redefined how Indians manage their money. But let me put this
in perspective. Only about 115 million unique PAN holders have a demat account today. Mutual
fund AUM is still below 20% of GDP and insurance penetration lags far behind global norms.
Fixed income, credit, protection products remain concentrated in top cities, leaving most of the
India underserved. Clearly, the runway for growth is vast, and it cut across every corner of
financial services.
At Angel One, we have always believed technology is a bridge between aspiration and access.
That belief has shaped our journey so far, and it defines our ambition today, which is to build a
truly digital platform that can serve every financial need across our clients' life cycle. Whether

 they are investing, borrowing, protecting or planning, our vision is to deliver it all seamlessly
through one trusted intelligent platform.
During period of heightened uncertainty, whether driven by market cycles or external factors,

our foundational and ongoing strategy is to maintain and consolidate market share. We believe this focus will ensure long-term sustainability and relevance, especially where the broader environment may be more volatile.
In broking, where we began, our digital-first strategy has driven our reach deeper into heart of India, especially in interiors, nine out of ten cl

ients we onboard today come from beyond Tier 1,
which clearly shows the power of technology to take quality of financial services to the place where they were probably unavailable.
An important reason for the proliferation of our business over the years is that we have never regarded ourselves just a broker. Mutual funds are already becoming a habit for many Indians. And with SIP inflows at an industry high of over ■270 billion a month, we see enormous opportunity to extend our role here. On our Super App, we are making mutual fund journey even more intuitive and personalized. And I am proud to say we are already second largest contributor in new SIP registration in the country.
Credit is another expanding transformative frontier. The high demand for mid-ticket loans and personal credit in non-metros have advanced our digital partnerships with banks and NBFCs, and we are scaling this business carefully.
This philosophy of reimagining financial services through technology extends into affluent segment as well, where traditional wealth management models are being challenged by the digital revolution. Here too, we are creating a new kind of experience for digitally savvy affluent clients. Similarly, our asset management business has just begun, and we regard it as a long-term opportunity to offer differentiated products and capture greater wallet share.
What ties all of this together and what I am most excited about is the role of data, AI and machine learning. We are sitting on one of the largest and richest data sets in the industry. And as we scale, this data married with advanced technologies will enable us to keep costs low, engagement high and trust intact even in the smallest of towns because let us not forget the real India lives in Tier 3 and beyond, which is where the next wave of investors and savers is coming from. Technology is the only way to serve them effectively and the only way to meet their aspirations at scale, which is why we remain relentless in building a platform that is intelligent, affordable and deeply human in its design.
We also recognize that some businesses take time to scale, and we are entirely comfortable with that. Our approach is to ground them well, give them the time they need to mature, and integrate them thoughtfully into our broader platform. Whether this process invokes product innovation, partnership alignment or a redefined intuitive digital experience, it will not be rushed. All the initiatives on which we embark will be deeply considered because our North Star is to empower billion lives, leveraging the power of data and technology. We will not hesitate to take the calls when we believe they are in the service of our clients and our long-term purpose.

 Looking ahead, I believe the tailwinds are all in place. India's young population and their increasing wealth, combined with digital openness and a more consistent, predictable regulatory regime will accelerate the delivery and use of financial services, and Angel One is perfectly positioned to lead this next chapter of India's fintech story. We are no longer just a broking company. We are building Angel One as a fintech platform, one that is product agnostic, client-centric and technology-led. Crucially, this platform will serve every financial needs and grow with every client's ambition.
The opportunity ahead is immense. And as always, we will pursue it with same discipline, innovation and customer focus that brought us here.
Thank you for your trust and confidence in us. I now hand over the proceedings to Ambarish.
Ambarish Kenghe: Thank you, DT. Good morning, everyone. Thank you for joining us on the call today. With the macro opportunity clearly laid out by DT, let me take a moment to share where we stand today.
We remain deeply committed to scaling our platform as we continue to onboard newer products and fe

atures to expand the choices for our evolving client base. Our ambition is very clear, to enrich client experience in a way that builds lifelong partnerships, and I am very confident that this part rooted in intelligence, scale and trust will drive our long-term growth trajectory and enable us to reach our North Star to become India's most trusted fintech brand, empowering a billion lives by leveraging the power of data and technology.
Every single day, we process billions of signals. And through AI/ML, we convert these into meaningful actions like personalized nudges, sharper risk insights, predictive engagement and smarter protection. These are not just buzzwords. These are the building blocks of our platform architecture, real capabilities embedded across the client life cycle.

For example, AI-powered nudges are helping clients make better financial decisions. Predictive models are strengthening our risk and fraud detection frameworks. We have also begun working on Agentic AI to automate workflows, which will lead to improved speed, accuracy and cost efficiency across multiple operating metrics.
These capabilities will expand our platform's intelligence, drive stronger client retention, deepen engagement and enhance lifetime value. We are already seeing this play out in the numbers even as the broking industry navigates a complex yet promising phase. Over the years, we have witnessed the industry go through multiple peaks and troughs, which has only strengthened our conviction in its long-term growth potential. Retail investors remain active, observant and digitally engaged, and we are doubling down on technology to meet them where they are.
The regulatory recalibration over the last few quarters has made the ecosystem all the more robust. While the near-term fluctuations are inevitable, we see this as essential groundwork for sustainable long-term growth. Despite this evolving environment, we have strengthened our market position. Our total demat account market share stands at 16.3%, and we continue to be a leader in incremental acquisitions with a 21.7% share. We added over 1.5 million clients in Q1 FY '26 with 88% coming from Tier 2, 3 and beyond. Our market share in active clients and
 overall retail equity turnover held stable at 15.3% and 19.7%, respectively, and our clients executed 343 million orders during the quarter.
We continue to refine our acquisition and engagement engines using data-backed tools that enhance advisory, improve cross-sell and upsell effectiveness and ensure long-term alignment with clients. Our period ending client funding book reached an all-time high of ■48 billion this quarter, further validating client confidence and platform stickiness.
Our Assisted business too is scaling steadily, fuelled by the same AI-first philosophy that drives our platform. We are embedding intelligence into every layer of the ecosystem, enhancing partner efficiency, engagement and effectiveness. AI generated podcasts in 4 regional languages now empower partners to educate and connect with clients more meaningfully, while curated advisory reports like TechnoFunda, Options Strategy, Daily Equity and Commodity updates help deliver timely, actionable insights. The NXT platform has been upgraded and redesigned with a more intuitive interface that improves navigation, enabling partners to serve clients with a greater speed and precision. As a result, the assisted business is emerging as a vital growth engine, enriching client experiences, deepening trust and amplifying value creation across our ecosystem.
In the non-broking vertical, the emerging metrics remain strong. We added over 1.9 million new SIPs in the quarter and distributed ■2.3 billion in credit. With this, our cumulative distribution of credit now stands at over ■9.3 billion within a year of launching the offering. Here too, we have leve

raged AI/ML models to develop proprietary scorecards to predict propensity and improve precision and scale for the top of funnel.
What excites me most is the direction in which we are moving ahead, a future where Angel One becomes India's go-to financial platform an all-encompassing platform that is simple, intelligent, rich in experience and trusted by millions.
This vision is also what led us to scale horizontally into product manufacturing through our wealth and asset management verticals. Both these businesses are off to a strong start and are scaling in line with our expectations.
Ionic Wealth continues to expand its client base and now serves over 1,000 clients as of June 2025. Here, too, we are bringing our digital and data capabilities to serve the next generation of wealth creators. Like DT rightly said, we are here to challenge the orthodox and redefine the rules of, with bold thinking, fresh ideas and relentless execution. Recently introduced products like specialized investment funds and an accredited investor framework facilitate our intent to enhance market accessibility for investors.
Our asset management business is also progressing well with a healthy cadence of product launches, the business is steadily gaining traction as reflected in our growing AUM.
As we scale, we will do so with discipline, staying true to our vision of technology-driven sustainable growth. The platform we are building is not just a digital interface. It is an ever-evolving, reliable partner in our clients' financial lives.
 AI is no more just an enabler. It is the core engine driving every aspect of our platform. With

over 32 million clients and billions of data points processed every day, our deep focus on data science, machine learning and platform intelligence is enabling us to build India's most inclusive and intelligent financial services ecosystem.

I now invite Saurabh to provide further updates on the emerging growth verticals. Saurabh.

Saurabh Agarwal: Thank you, AK. Good morning, everyone. It's great to have you with us. As AK said, we are not building just another financial services business. We are building an intelligent AI-powered, product-led, multi-offering platform designed to meet the full spectrum of our consumers' financial needs, anchored in trust, engagement and lifetime value. Everything we are doing from nudges to credit engines, from SIP journeys to partner intelligence is focused on making the customer experience smarter, more intuitive and deeply personalized.

Today, I'll take you deeper into how this vision is playing out across our emerging growth vertical, the unique opportunity we see ahead and why we believe Angel One is uniquely positioned to lead. Market is vast, there is tremendous headroom ahead. The ambition is very large and we are building to be systemic, not just a participant in the categories we operate in.

Let me start with credit. Credit continues to be one of our most exciting and strategic verticals. The opportunity is massive and we are building in a disciplined long-term way. India remains structurally underpenetrated with household credit to GDP ratio less than half of global average. The unmet demand, particularly in emerging towns is vast and growing as incomes and aspirations rise. This is not just an economic opportunity it’s the platform to deliver inclusion at scale.

As mentioned earlier, in Q1 FY26, we facilitated disbursals of ■2.3 billion across 6 partners, taking our cumulative disbursals to ■9.3 billion within a year of launch. But again, these are outcomes. What matters more is the system we are building beneath it with rich behavioural signals from our platform.

Proprietary AI/ML-driven scorecards for credit worthiness, propensity and partner mapping, deep integrations that allow for seamless journeys and stronger approval funnels and intent-based mo

dels that make, that match customers with lenders more intelligently. We are clear we are not underwriters. We are a platform play with deep data-driven intelligence. Our job is to orchestrate a match between the right customer and the right lender and make that match as precise, scalable and efficient as possible.

We are already seeing our data-led approach, help partners manage risk better and our margins are healthy, in line or better than market. Importantly, our credit ambition is not just limited to our broking platform. While our customer base is premium and highly engaged, the opportunity is too large to be constrained by one channel. We have started experimenting with models to serve users beyond our core base, and we are actively working on tracking unit economics for this broader play. We have also begun early work on secured credit. These are initial steps, but the direction is clear.

 As digital assets become more visible and verifiable, we see meaningful opportunity to build experience-led secured journeys, again with the same data-first approach. This is a long game, and we are building to win it, with a deep pool of high-quality customers, high engagement on the platform and long-term intelligence-first approach, we are sure to create a dent in this business.

Coming to mutual funds. Mutual funds are the cornerstone of our engagement and habit forming strategy. As of June 2025, over 3 million customers have engaged with our mutual fund offering, up from nearly 1.2 million a year ago. Our SIP engine continues to perform well with 1.9 million new SIPs added in Q1 FY26. This is not just about scale. It's about deepening relationships. Magic lies in the behavioural depth and not just in raw count. Repeat SIPs are growing, wallet share is growing, cross product adoption is increasing. Client stickiness is clearly rising. Clients are starting to think of Angel One as a long-term investment partner. This is trust in action and trust is our biggest moat.

What is working here is a combination of smart journeys, nudges and education. Our AI-driven explainers are helping simplify fund discovery, personalized nudges are creating habit loops and all of this is driving stickiness and cross-product engagement. As customers build confidence, we will see a direct impact on the lifetime value, not just through SIPs, but through their openness to engage with other products as well.

Lastly, on insurance, we are seeing some traction, especially on the phygital side across both life and health. The business is growing steadily through our sub-broker channel, and we are layering in technology to improve both customer and intermediary experience.

From partner dashboards to smoother policy journeys, the focus is on making insurance simpler and more intuitive. This is a category that has historically seen broken experiences, and we are

solving for that one layer at a time. Foundations are strong, and we are confident of scaling this meaningfully over time. Overall, across the emerging growth verticals, we are still in the early innings, but with a strong scalable foundation in place, we see a clear path to meaningful and sustainable growth ahead.
With advanced technology, deep data science capabilities and client-centric mindset, we are uniquely positioned to unlock the full potential of India's untapped wealth and credit markets, creating lasting impact at scale. We focus on the user and let his trust on us to create value.
To reiterate, we are not here just to cross-sell. We are here to create enduring relationships across products over years and let those relationships fuel sustainable growth. As trust compounds, so does loyalty. As loyalty compounds, so does value. And value when built with intent, scales naturally and sustainably.
With that, I will hand it over to Shobhit to walk you through the wealth

business. Thank you.
Shobhit Mathur: Thank you Saurabh, Good morning everyone

 Let me begin with a brief overview of the macroeconomic environment shaping investment decisions in 2025. Globally, trade tensions, especially U.S. China tariffs have raised sector input costs by 15% to 20%, causing volatility, but also creating long-term opportunities in supply chains and innovation, notably in semiconductors and AI. Global GDP growth is set to slow to 2.6% in 2025 with persistent inflation keeping central banks cautious. India's GDP growth is tracking above 6%. Inflation has moderated to 2.7% year-on-year and RBI has kept the repo rate steady at 5.5%.
Given this backdrop, 2025 is shaping up as a year of asset allocators and presents opportunities for patient investors. While domestic equities remain attractive, we recommend cautious diversification. Also, select global equity markets are also doing very well, and we are taking a calibrated exposure there.
Wealth Management:
India is moving from a product to portfolio solution approach, mirroring the U.S. shift that drove 3 to 4x profit multiples, driven by deeper advisory, discretionary portfolios and private market access. In addition to the triple multiplier effect, growth is also fuelled by rising investor participation from Tier 2 and Tier 3 cities, IPO monetization and the accelerating integration of technology and artificial intelligence. The convergence of investor maturity, regulatory support and digital adoption continues to validate our strategy of building an omni-channel wealth platform for India's HNI and UHNI segments. UHNI continues to be our growth driver.
Our approach continues to be on focused portfolio strategies anchored in high conviction themes and timely tactical allocation to capture market opportunities for our clients. Our domain experts blend deep India conviction with global diversification, offering portfolios that go beyond the conventional. The UHNI growth is powered by strong referrals and word of mouth.
HNI, we are seeing early green shoots:
We are continuing to build our digital stack with a dual objective to deliver a seamless, intuitive experience for clients while equipping relationship managers with tools that enable deeper, more informed engagements.
Our app experience is built around what we call the 4 As, key touch points that define every investor's journey with us, understanding their portfolio, designing the right asset mix, unlocking exclusive investment opportunities and benefiting from the guidance of a dedicated relationship manager. We have also been early to adopt emerging industry initiatives, including the accredited investor framework, specialized investment funds and fractionalized access to high-quality strategies like Gift City funds, long India strategy, etc.
Business update:
We have crossed ■5,000 crores in AUM with over 1,000 clients across 9 cities. This includes both active mandates and custody assets, with a team of 184 across domain client relationships and technology. Our latest technology launch is Ionic Agent, a proprietary intelligence platform that empowers relationship managers to construct clients' investment portfolios in real time. It

 is integrated with a suite of AI agents trained to handle complex client queries, run portfolio diagnostics and gain financial insights without human biases.
We believe this blend of domain expertise, strong relationships and tech-led advisory is what will define the next decade of private wealth in India. Thank you. And now I invite Hemen to

give you an update about the AMC business.
Hemen Bhatia: Thank you, Shobhit. Good morning, everyone. I am excited to share that our asset management business continues to gain meaningful traction and momentum. As you would recall, in Q3 FY25, we had shared the exciting news of receiving regulatory approval to commence mutual fund operations. Since then, the progress has not only been steady, but also encouraging. In a short span of time, we have launched 5 products across equity and fixed income. In Q4 FY25, we debuted with 3 passive products, the Angel One Nifty Total Market Index Fund, Angel One Nifty Total Market ETF and our first debt product, Angel One Nifty 1 Day Rate Liquid ETF.

I am proud to share that in this quarter, we have continued that momentum with the addition of 2 new offerings, Angel One Nifty 50 Index Fund and Angel One Nifty 50 ETF. These additions represents our continued commitment to building a broad-based, low cost and efficient passive product suite that caters to India's growing investor base. With the inclusion of the scheme, we are not just expanding product basket, but are also deepening our alignment with the needs of both new and seasoned investors who are seeking transparent, cost-efficient investment solutions.

I am very pleased to share that our AUM stood at over ■3.4 billion as of 30th of June 2025. But more than the number, it is the quality and breadth of traction that truly stands out. We continue to see pan-India participation across investor cohorts, reaffirming the core thesis behind our strategy that passive investing is not just an urban trend, but a structural shift that is democratizing wealth creation across Bharat.

Another dimension we are particularly proud of is our distribution architecture. We have stayed true to a multichannel approach as we leverage our captive distribution reach through our vast digital client base and enable direct access to clients who prefer that route. This strategy ensures that our products are available and discoverable regardless of where the investor is in their financial journey.

Importantly, all of this growth has come with zero marketing expenditure to date. Instead of chasing scale with spend, we have stayed focused on building organic traction through meaningful investor education and product awareness campaigns.

We have been active on social media, shared information creatives and bite-sized content, and this content-first, education-led approach is already bearing fruit as we see clients engage more meaningfully with our products and platform.

Looking ahead, we are gearing up for the next wave of expansion. We plan to continue adding to our equity bouquet and are now working towards launching commodity-based products. This aligns with our long-term road map of offering a comprehensive suite of passive solutions across asset classes tailored to different investor goals.

 At the heart of all this is our belief in simplicity, transparency and scalability. Passive investing is an idea whose time has come and Angel One AMC is positioned to be at the forefront of this evolution, whether it is through removing human bias, reducing costs or delivering long-term market returns with minimal friction. Passive products deliver outcomes that investors increasingly value. Our vision remains unwavering to become a category leader in the passive investing space in India. We are building for the long term with a relentless focus on client trust and long-term value creation for all stakeholders.

With this, I will take a pause and invite Vineet to take you through the financial performance.

Vineet Agrawal: Thank you Hemen, Good morning everyone

I am pleased to share that quarter one of financial year 2026 was an encouraging quarter for us, marked by operational strength, continued client engagement and gradual growth across our diversified revenue streams despite this being the first full quarter after the implementation of the index derivative regulations of 2024.

During the quarter, we saw modest market dynamics translating into high retail participation. Total orders rose by 4.8% sequentially, crossing 343 million, a clear sign of healthy client engagement. Our financial performance reflected this momentum. Gross revenues increased by 8.1% quarter-on-quarter to ■11.4 billion. Net revenues grew by 7.3% quarter-on-quarter to ■8.9 billion.

Our total revenue mix continues to be well diversified. Over 45% came from broking commissions in the F&O segment, around 10% from the cash segment, 6% from the commodity derivatives segment, 31% from interest income across client funding and deposits placed with the clearing corporations and the balance from depository operations, distribution, wealth and asset management businesses. Our total gross broking income increased by 9.1% sequentially to

■6.9 billion. After accounting for the sharing of the commissions to authorized persons, net broking income rose by 7.3% quarter-on-quarter to ■5.3 billion.
Notably, the share of the direct business in net broking revenue held steady at about 76%, underscoring the strength and scalability of our digital-led model. Our client funding book reached a new high, averaging ■42 billion in the quarter, up by 4.3% quarter-on-quarter. This, along with higher placements of deposits drove a 5.5% quarter-on-quarter rise in total interest income to ■3.6 billion. Interest income from client funding rose by 3.6%, while income from deposits grew by 7.2% quarter-on-quarter.
Other income lines also saw healthy sequential growth. Income from depository operations increased by 14.3%, reflecting higher delivery-based volumes. Income from distribution business grew by 11% to ■349 million, supported by strong performance in distribution of credit and insurance products and IPOs.
During the quarter, we continued to invest in brand building, most notably through our partnership as an IPL associate sponsor. This led to IPL and associated media spends of ■1.1 billion in quarter one compared to ■344 million in the previous quarter. Excluding these IPL

 costs, our underlying operating expenses actually declined by 9.9% quarter-on-quarter to ■3.1 billion, reflecting cost discipline amidst softness in client acquisition numbers.
On the talent front, we made fresh grants of stock options under the LTI Plan 2021 for Angel One and the LTI Plan 2024 of the Wealth Management business. This, along with the full quarter impact of the earlier grants resulted in cost of grants increasing by 38.1% quarter-on-quarter to ■465 million. These investments are deliberate and consistent with our strategy to attract, reward and retain top talent, supporting our long-term growth ambitions. The estimated full year cost of the grants made, to be made in FY 2026, along with the carrying cost of earlier grants is estimated to be ■2.1 billion for the current fiscal.
Our reported operating margin was 21.8%, lower sequentially due to the IPL costs and a prior quarter variable pay reversal. However, on a normalized basis, adjusting for these items, the operating margin increased by 30.5% quarter-on-quarter to around ■3.1 billion, translating into a healthier margin of 34.3%.
This normalized margin also absorbs a 2.6% impact from our continued incubation of the newer businesses of Asset Management and Wealth Management. Reported PAT for the quarter was ■1.1 billion, lower by 34% quarter-on-quarter, but normalized PAT after adjusting for the IPL and variable pay effects actually grew by 26% quarter-on-quarter to approximately ■1.9 billion.
On the balance sheet side, our period ending client funding book stood at ■48 billion, supported by incremental borrowings, which increased by ■1.9 billion sequentially. Consolidated net worth was at ■55.7 billion as of June 30, 2025.
Cash and cash equivalents remained healthy, driven by higher client balances and internal accruals, partly offset by dividend payouts and deployment into the funding b

ook.
In summary, quarter one FY 2026 was a quarter of healthy operational performance, while we remain focused on the long-term growth, continuing to invest in brand and technology to deepen client engagement, diversifying our product suite to cover the entire financial life cycle from broking to distribution of third-party products, wealth management and asset management and maintaining a disciplined sustainable approach to cost and risk management.
We are confident that these steps will make our platform even more integral to our clients' financial journeys and create enduring value for all stakeholders.
Due to a bereavement in Ambarish's family, we will have to excuse him for the rest of the call today. Other members of the management will respond to your questions.
With this, I conclude the presentation and open the floor for further discussion. Thank you.
Moderator: The first question comes from the line of Swarnabha Mukherjee with B&K Securities.
Swarnabha Mukherjee: Three questions from my side. So first of all, sir, just wanted to understand in terms of the current trend that we are seeing in the orders run rate, the daily average orders that we have. So June

 was lower than May. And if I think the number of contracts that are trading in exchanges would be the indicator, I think it continues to remain slightly tepid.
So just wanted to understand that whether your timelines that you had earlier kind of envisaged that you will be able to recoup the number of orders back to the earlier levels considering the current trends, is there any extension in the timelines? What would be your thoughts regarding

that? And similarly, on the client acquisition and activation rate, what would be your thoughts in the current scenario?
Particularly last quarter in the presentation, you had, I think, disclosed that the payback period post acquisition is at around 10 months for FY25. So has it changed? Has it improved or has it gotten extended? I would like to hear your thoughts on that. So that's on the broking part. Also in terms of the new businesses, so I think from the mix point of view, it is now at around 3%. So I just wanted to have some colour from you that where do you see this in a couple of years, where can the contribution go and also, when do we expect to see the cost absorption playing out?
Because I think compared to last quarter, the impact of the new business incubations on the margin has increased slightly. So just your thoughts on that would be very helpful. And lastly, one question on the cash broking realization, I see that the realization per order has increased on a Q-o-Q basis. So anything to read into that? Is it more because of, say, higher MTF being done and the ticket sizes are larger? Any view would be very helpful. That's it from my side.
Dinesh Thakkar: So in terms of current trend on order and revenue, you can see in this quarter, already we have seen growth of around -- in terms of revenue around 7% to 8%. So what we saw that, okay, if you see that FIIs were absent for like last year third quarter and fourth quarter and this first quarter, for first 2 months, they were positive and they had a positive inflow. And we can clearly see an impact of like momentum in the market and FIIs has strong correlation between retail activity and their orders.
So we believe as this macro will improve and FIIs and retail will come back, we will see some kind of like good earning momentum and all that, we are very hopeful that we will be able to exit quarter 4 with a decent visibility on OPM that we were speaking about. So we are confident that our OPM is going to return back to normal by exit of quarter 4, looking at the trend of customer acquisition and looking at activity of customers, which is increasing on our platform.
On client acquisition trend, again, payback period depends on market

conditions and
engagement of retail in that particular 6, 8 months and all that. But we are confident, we focus more on cost to revenue. If at all, revenue justifies cost and we are able to see that, okay, that will result in OPM 40-45%. We would not like to leave any growth on the table.
And on new businesses, Vineet, if you can take that on new businesses contribution and impact of this thing on our margins and all that.
Vineet Agrawal: Sure. So Swarnabha, as we have been maintaining in the past that the new businesses will take some time to breakeven, we expect the wealth business to break even faster than the AMC business, which is a long gestation period business, given that we are into passives. And we have
 always guided that the margin impact of these new businesses in the short term till they become profitable will be around 2%. It could vary between 2-2.5% depending on how the quarter's performance goes. So I mean, there is no major change in what we have already been communicating.
Dinesh Thakkar: And on fourth point, cash broking, yes, it would be impact of because margin trading book is really picking up. So people who invest through margin trading, their ticket size is a bit higher. So realization per order would be higher.
Swarnabha Mukherjee: Right, sir. Very helpful. Just a follow-up on the last point. We are seeing that this -- on the margin trading side, I think the competitive intensity has also increased over the last few months. So from the profit pool point of view, is there any further risk on the lending and basically the rate that we offer to the customer for borrowing or I mean any competitive pressures you see there?
Dinesh Thakkar: Currently, we don't see any competitive pressure because what we -- see, we have been doing margin trading since ages. So this margin trading fund book depends on market momentum and volatility. If at all, we are hopeful about movement would be positive, earning growth FIIs inflows will come again, I don't see any pressure. In fact, that will be tailwinds. Right now, I don't see any competition in terms of margin funding, in terms of retail that we are getting and plus people who are opting for margin trading. Currently, as I am speaking, I don't see any competitive pressure in that segment.
Moderator: The next question comes from the line of Prayesh Jain with Motilal Oswal Financial Services Limited.
Prayesh Jain: Just a couple of questions. Firstly, on the businesses of wealth, AMC and mutual fund, what would be the revenue of each of these businesses today? And are they kind of sitting in the distribution part of the reporting, every part is -- every of these except -- so where are they sitting in the P&L?
And secondly, on the tax rate, again, it was on the higher side in this quarter. How do you see

the tax rate going ahead? And lastly, on the cash segment realizations, should this sustain at current levels given -- and do you think the margin trade funding book will continue to grow?
Dinesh Thakkar: Okay. Vineet, can you take this question?
Vineet Agrawal: Yes. So Prayesh, on the split of the revenue, it is the distribution part of the business, which is about 3% of the total revenue. That is primarily driven by the distribution of insurance and credit products and IPO. For the other businesses, the asset management and the wealth management, they are spread across commissions and interest income because some part of the revenue that we get from the wealth business is the capital that we have put in treasury operations, etc. So it's spread there.
Primarily, it's the distribution part of the business, which is 3% for credit, insurance and IPOs.
On the -- yes, on the tax rate, yes, the effective tax rate for this quarter is higher. And this is primarily because a couple of our businesses are loss-making, and therefore, the effective tax

 rate has gone up by about 3% because of those businesses. And the CSR contribution that we do quarter-on-quarter, that doesn't qualify for any tax deduction. So that's also about a 1% impact of the CSR contribution. So the effective tax rate for this quarter is about 30%.
Dinesh Thakkar: And on this cash segment realization, if Arief and Nishant can comment. But broadly, what we have seen is that it depends on the market condition. And if at all like we are able to maintain and increase this book size, realization would not change much. But still, I would like Arief and Nishant to comment on this.
Arief Mohamad: Yes. Good morning, everyone. Arief here, right? So the cash segment has been very strong for us. Our market share has been growing. MTF, we are confident that the book will keep growing at a healthy pace. We are also working on figuring out a more smoother experience in MTF. So that should not be a concern in the short to midterm, we should be good on our Cash segment.
Nishant Jain: This is Nishant Jain this side. And I would like to echo what Arief just mentioned. We are seeing a secular growth in the last 3 odd quarters and pretty much expect the momentum to continue. There are a host of initiatives that we are bringing about as far as the in-app experience is concerned, also trying to augment our advisory around MTF stocks in particular. And therefore, with the interventions, which are basically built around client experience and trying to augment the understanding there, we believe that the momentum should continue and should not be contingent on any kind of interest rate fluctuations.
Prayesh Jain: Just a follow-up on the first question. What would be the quantum of wealth management revenues, AMC revenues? Wealth management, in particular, we have about ■5,000 crores kind of an AUM. How much of the -- what would be the revenue size of this segment and even for the AMC?
Dinesh Thakkar: On that, Shobhit, if you can this? Vineet, will you take this or should we give it to Shobhit?
Shobhit Mathur: Yes. I'll just add more on a qualitative basis. So largely, wealth management AUM is a trail-bearing kind of a business and the revenue is back-ended in nature. So to that extent, you will see the AUM growth happen and then the revenue follows for that. But on specific details, I'll let Vineet take that.
Vineet Agrawal: I think as we mentioned that let these businesses grow and then we'll start disclosing more detailed information about these businesses. Today, as we said, these businesses are in the incubation stage, and we will leave it at that.
Moderator: Next question comes from the line of Vikram Raghavan with Moon Capital.
Vikram Raghavan: My questions have been answered. Thank you.
Moderator: Next question comes from the line of Nidhesh Jain with Investec.
Nidhesh Jain: First question is on economics of the new customer that we are acquiring in terms of CAC. Last quarter, you mentioned that the customer acquisition cost has increased. How are the trends in this quarter? And any comment on LTV to CAC for these new customers? Second is, if you can

 share what is the approximate retention on wealth AUM? And what is the share of fee-earning AUM in mutual fund distribution? And the third question is on ESOP, how much ESOP expense we should budget on a quarterly basis going forward? These are the 3 questions.
Dinesh Thakkar: On cost of acquisition, it remains same as what it was last quarter. It does not change significantly or even like marginally also, small fluctuation here and there is there. But overall, we are seeing trend in terms of customer acquisition also, we are able to maintain this trajectory and market share of around 21% on a new acquisition that we do. So that way, that side, it is

very much in control.

Your second question was can you just elaborate on that AUM...
Nidhesh Jain: Any comment on LTV to CAC? Earlier, we have disclosed 8x. And then I think recently, we've been talking about around 6x LTV to CAC.
Dinesh Thakkar: Yes. So we would like to refresh that LTV to CAC maybe once we see this cycle completely panning out. But just this quarter, we saw impact of F&O. As I said, it takes time for customer to really bounce back and search, which instruments they would like to participate. So too early to really refresh that chart. I would say let us wait for 1 or 2 quarters, let retail again get active the way they are active in the market. And then it will be a better time to refresh that chart.
Nidhesh Jain: Sure. Sir, next question is on retention on wealth AUM. What is the yield or retention that we earn on wealth AUM roughly? And what is the share of fee earning AUM within mutual fund distribution?
Dinesh Thakkar: Vineet, do we disclose anything about this?
Vineet Agrawal: No. Right now, we are not giving those granular details. So yes, so we are almost in line with the market, but we'll come out with more details as these businesses scale up.
Dinesh Thakkar: And on ESOP budget?
Vineet Agrawal: Yes. On the ESOP cost, as I mentioned in my opening statement that the estimated total cost of the stock grants for this year and the previous year’s put together is about ■2.1 billion, ■210 crores, of which we've spent about ■45 crores in this quarter. So it will be in the range of about ■55-odd crores for the next 3 quarters.
Moderator: Next question comes from the line of Pradyumna Choudhary with JM Financial Family Office.
Pradyumna Choudhary: First question is on the F&O market share. So the broader understanding was post March, post the last phase of regulations, we'll again start seeing the gains in line with increase in retail activity month-on-month. So that really hasn't happened, right? Like there were some market share gains in the month of May. And then again, June was a lower month -- subdued month for us. So how do we -- I know it's just 1 month, but like how do we really see this going forward?
Dinesh Thakkar: Market share gain takes time to really like right now if you see retail activity in F&O, is less to maintain. Market share is also likely something that we are working on. And if you look at this whole segment, there are lots of prop desks who come as an individual. So their kind of like volume has not decreased. But for us, to maintain retail market share and that, I think, is a big

 achievement. And I don't think we have lost any market share anywhere across any equity segment or even commodity. Arief, you would like to comment on this?
Arief Mohamad: Yes. Thanks, DT. So as I mentioned, right, our market share in equity and MTF has been going up sequentially and quite strongly. On the F&O, it's a bit of a month story that you're talking about, but we are fairly confident that we will recover back. I don't think we have lost any market share per se. But there's a little bit of up and down of a few bps month-to-month, but that's okay.
Dinesh Thakkar: Just to add, see F&O, retail growth and all that has remained robust so if you look at this options, you will see that trajectory is quite strong.
Moderator: Mr. Choudhary, are you done with the questions?
Pradyumna Choudhary: Sir, just a follow-up. So how do we see this F&O market share evolving for us over the coming months? Are we expecting to make gains? Are we expecting to just maintain? And in case we are looking at gaining share, then what would be the drivers for this?
Dinesh Thakkar: What we are seeing is that because we are acquiring more customers, so market share improvement will be gradual. But what we are seeing is that this whole pie of like volume on F&O side is going to expand. That is going to he

lp in terms of us gaining that normalized OPM by the end of quarter 4.
Pradyumna Choudhary: Understood. And anything you've heard from SEBI in recent times, there's been news articles on fortnightly index expiries and all those things. So anything we are hearing from SEBI in addition to whatever is been in the news?
Dinesh Thakkar: No, we haven't heard anything like that, news which is going to come. There are articles published in media and all that. But overall, no communication or any changes on F&O segment.
Moderator: Next question comes from the line of Abhijeet Sakhare with Kotak Securities.
Abhijeet Sakhare: Sir, my first question refers to the exit quarter operating margins that you are guiding towards. It would be useful if you could also sort of give us what this would imply in terms of the order run rate or, let's say, the MTF book or the broad cost ratios as we get into the fourth quarter? Because as of now, if I just look at what we've done in the last fourth quarter as a base of the expense line, it seems like the ask rate on the top line seems to be slightly stiff. So just trying to kind of get better clarity into the input variables into the operating margin assumptions there.
Dinesh Thakkar: Okay. So first of all, like expenses in this quarter is all about increment appraisals which happens

plus there is an IPL cost. So if you look at top line, that is growing at the rate of 8%. If it continue growing top line at the rate of 8% and keep cost kind of under control, so what you will see is that exit is 40 plus OPM. That is what we are guiding. If you look at this quarter also, if you remove that one-time kind of benefit that we got from quarter 4 and our expenses, you can clearly see that although like growth in top line is around 8% to 9%, but if you look at normalized EBITDA, there's a growth of 30%.
 So clearly that if at all we are able to see that, okay, quarter-on-quarter revenue is going to grow at the rate of 7%, 8%, which we are very confident, but as I said that macros and corporate results and all that are expected to be better than what we are seeing right now. And you will see investment and retail participate more actively in coming quarters.
So clearly, it shows if you are able to maintain the trajectory of revenue at the rate of 7%, 8% quarter-on-quarter and keep our cost under control. Definitely, there is no reason for us to believe, to increase the cost right now because already platform has been built and cost of acquiring customers has been incorporated every quarter. So clearly, we are seeing at exit of quarter 4, this trajectory would be visible to all of you.
Abhijeet Sakhare: That was useful. And just to follow up, is fourth quarter really the critical quarter where you kind of take the call on pricing as well if by then, let's say, if numbers don't stack up well? Or do you kind of then move on to the next year, assuming that recovery gets delayed by a few quarters and as a result, pricing action may not be required by the end of the fourth quarter itself?
Dinesh Thakkar: See, Abhijeet, what is important is that is trajectory in terms of gaining revenue or activity of customers is increasing expanding our margin? If answer is yes, we cannot predict market like precisely it is quarter four, March is when we need to take some kind of a decision. What we are looking at when customer activity is increasing and more customers we are acquiring, are you seeing expansion in margin? If you are seeing it waiting for one, two quarter, it does not matter. What is important in business don't try to create a pricing model, which becomes so kind of lucrative, it attracts more competition.
So we believe what we have to look at is that as our cost of order increased, No. We have built the platform, so already we have taken a cost. And if we get increased kind of an order flow in

maybe quarter four or one quarter later, should we change the price just because quarter four exit we did not see that OPM. I would say answer lies that, okay, what is our call on participation of Indian retail in this market for next three, four years? Is it going to increase? What we are seeing, it can we exit of fourth quarter or start of first quarter next financial year does not make a difference. I think that we will not be looking at price increase till that time we are seeing expansion in margin.
Abhijeet Sakhare: Got it. And sir, second one is that like in terms of customer inflow or acquisition that has been happening, any broad thoughts even if qualitative, in terms of if we can bring down the dependence on, let's say, having to acquire -- having to pay for acquiring new customers versus organic growth because that tends to have a sort of slightly better impact in terms of flow through to the bottom line.
Dinesh Thakkar: Yes. So we are working on lots of parameters where quality of acquisition improves. And that's the reason we have been visible in IPL and all that. That's the long-term content strategy. And we are working on lots of things. Arief, if you can take this question and explain what through kind of activity we are doing to improve the quality of customer.
Arief Mohamad: Thanks a lot for that question. So our acquisition strategy is fundamentally centered around three pillars. One is if there's an opportunity, we would want to keep gaining the market share there.
 Second is, as you rightly said, organic market share has to keep growing, and that for us has been the fastest-growing channel in the last eight-nine months, twelve months. So that is a key focus area for us. Third part that we focus on is how do we gain premium or high-value clients? These three would be the key pillars of strategy for us in our acquisition strategy.
Moderator: Next question comes from the line of Sanketh Godha with Avendus Spark.
Sanketh Godha: Sir, if I understood you right, you are saying that if due to any reason, if you fail to achieve 40-45% OPM margin by end of the fourth quarter, that will not trigger a price hike in your decision. That's a fair understanding, sir?
Dinesh Thakkar: Yes, right. So what is important when we are acquiring new customers and old customers getting active, are we seeing expansion in margin, that is important.

Sanketh Godha: Got it. And second question which I had was that if you want to achieve 40-45% EBITDA margin by end of the quarter, you said revenue growth of 7-8% is per quarter -- sequential growth will help it, which means that you expect ex IPL overall operating cost should grow at just 2 to 3% every quarter to deliver that 40-45% EBDAT margin by end of the fourth quarter?
Dinesh Thakkar: Yes. So it is like when we project something, it is based on that market will support. And what we believe is that when we make model, we believe Indian stock markets are going to give a CAGR of 15%. So if one year does not give, it is going to give in the next year. So it is very difficult to predict in which quarter like how market will behave.
And if you look at FIIs inflow, there is an average of FIIs inflow, which happen in emerging markets and certain allocation comes to India. If they defer it for quarter, they are not going to defer it forever. So when we make business model, we are making for 3 years, 5 years. We don't take a call on one quarter, two quarters. But based on the trend what we are seeing, we give the estimation that it appears to be by exit of quarter four, we would be in this position. But what is important -- most important is if we are seeing more activity of customer and revenue growth is higher than increase in cost, which we have seen in this quarter, that gives us confidence that we have built a platform with certain capacity and which will -- cost w

ill not increase
proportionately increase in revenue.
So proof of concept is this quarter and this is a strong belief based on projection that we make that further revenue increase that we see, we will not see proportionate cost increase. To answer your question, 2-3% or something like that would be in that region, that is what we believe.
Sanketh Godha: Got it. Perfect, sir. And lastly, maybe last 2. See, RBI took a call of rate cut. Just whether you will take a decision on reducing your lending rate on margin trade funding compared to what 15-odd percent is what you charge. And if you don't do, then your incremental borrowing cost coming down because of the rate cut, will it expand your NIM or overall profitability on the margin trade funding book? I just wanted to understand whether you'll pass on the rate cut benefit to the customers or you will take better NIMs?
Dinesh Thakkar: The margin funding book, the way it functions in terms of prices, it is not sensitive to RBI repo rate cut and all that. Across the years, you will see, we have seen different, different interest
 cycles. Lending rate almost in MTF has remained same. Until the time we take some conscious decision that we have to bring it down, that is what we did 2 quarters back. But overall, I don't feel that this is sensitive to what RBI does. And in terms of margin increment, Vineet, if you can take this question in terms of cost of borrowing, how it impacts.
Vineet Agrawal: Yes. So Sanketh, what typically happens is that today, the borrowings are all linked to MCLR. And therefore, the rate cut on the borrowing side happens slightly with a lag. But yes, there would be a margin expansion as we go along as we see the rate cut happening on the borrowing side, and that will help the business.
Sanketh Godha: Got it. Perfect. And last one on philosophical side, sir. See, if I look at the overall market share across the products, it has broadly stabilized, whether it is cash or even F&Os and even to that extent, commodities. So is it fair to say that now your incremental growth of 7-8% or in general is a function of more market doing well or recovering from lows what we saw in fourth quarter? Or you think there is further more scope to gain market share?
Dinesh Thakkar: Sanketh, what happens our activity of the customer depends on its wallet share and size of the wallet. And what we see, if at all wallet is expected to grow at a rate of 11-12%, we are going to see activity of our customer increasing at least at the rate of 11-12%. But now if you look back and see that what in kind of like wallet share they were giving for trading in market or investing in market, that got shrunk because of the regulatory changes. That has not come back to normal. So what we believe is that existing people who are active in this market, at least they will dedicate that amount what they were getting to the trading investment activity. So you will see that base effect that gets shrunk to a level, which is going to expand to get to normal.
So when it gets to normal, you will see our OPM will go back to normal. Then we have to look at what kind of new clients addition is happening and that we can correlate with something like what expansion we are seeing in terms of trading volume and what increment we are seeing and what market share. In this three -four quarters, what will happen, we are aiming to gain market share.
As I said, retail is not trading in as. So it is mostly, when you look at F&O, our contract is on option side. But we believe customer activity will go back to normal. That will help us to give this growth of 7% to 8% per quarter. But overall market share, I believe it will increment proportion to infusion of new customers in this market.
And that also in new customer base, we have a market share of around 21-22%. But for them to become active a

nd all that, there will be a lag effect. So overall, to answer your question, one, there is a base effect, which will help us to bounce back and give us a revenue growth of 7-8% for few quarters. Second would be because of under penetration and we gaining incremental market share. Incremental market share is 21-22%. But overall active market share is 16% or something. So we will see a small increment every quarter in market share.
Moderator: Next question comes from the line of Raj Vyas with TM Investment Technologies Private Limited.
 Raj Vyas: As mentioned in the opening remarks, we also believe that India's growth story remains intact and the capital market will play a significant role because currently, out of the total population, we only have 12 to 13% of demat accounts. So the penetration level is quite low compared to developed countries. And in this Angel One as it focuses more towards the Tier 2 and Tier 3 customers, it will definitely play a crucial role in a growth trajectory going forward. However, over the years and the quarters, we have seen promoter shareholding coming down as well. So my question to Mr. Thakkar is that why does the reason behind promoter shareholding declining? And any plan for succession planning and what the future looks like?
Dinesh Thakkar: Yes. So we are very bullish on India growth story. I believe that this per capita income, what we have seen in the past 20 years is nothing what we are going to see when we reach per capita income of $10,000 and all that. This story is yet to unfold and there is a big opportunity lying ahead of people going to capital market. So capital market is going to play a big role because if you look at retail for them wealth creation opportunity can come only when they start investing in equity. And today, they are not investing because of awareness, because of perception of risk and all that, that is going to get addressed through proper content, proper kind of an giving access to right information.
So overall, we are very bullish in terms of participation, which is coming from existing customers. At this level, they are just satisfying the basic need and small amount is coming in capital market.
So when you see India at a level of $10,000 per capita income, most of these flows will come into savings and kind of an like -beyond necessity they are going to put investment in increasing their lifestyle and all that. So overall, as you see Tier 2, Tier 3 has not yet participated in a big way, so we are seeing a big opportunity.
And coming to your point, why promoter holding is decreasing, it is because professionals are taking over charge of this company. And we have to see that they are able to -- when they are creating wealth for all stakeholders, they are able to create wealth for them through ESOPs. So because of ESOP, you will see promoter holding will see declining, but it is not promoter is selling. It is because of that new allocation to ESOP plans and all that it appears to be, plus one or two promoters have declassified them as a promoter. Hence you will see that change. Nobody has sold their shares in the market.
Raj Vyas: But for the shareholding coming down, right, because I guess, last 3-4 years, if we see the trajectory, from 45% though it has come down to 35%. So basically, what you have said is that the ESOPs have been increased, and that's the reason the employee shareholding might have increased, right? That is my basic understanding.
Dinesh Thakkar: So there are 2 combinations. ESOP plus one group of promoters that declassified as an ordinary shareholders.
Vineet Agrawal: And just to add to that, Raj, if you recollect in March 2024, we did a qualified institution placement of about ■15 billion. By law, the promoters are not required to participate in that, and therefore, there was a dilution there as well because of the

additional fund raise that we've done.
 Moderator: Next question comes from the line of Raman KV with Sequent Investments.
Raman KV: Sir, I just want to understand with respect to Jane Street saga, what was the volume before the Jane Street and what's the volume after the Jane Street saga?
Dinesh Thakkar: Jane Street is a very recent phenomenon. It is a matter of days that, it is very difficult to get the impact on that. But I have a view on that.
Raman KV: So are the volumes back to where it was before the Jane Street -- the entire Jane Street episode happened?
Dinesh Thakkar: We don't give volume day to day. As I said, that Jane Street episode happened just a week or so before. We disclose our volume on a month end, okay? And this is too early to gauge any kind of episode which has happened and straightaway impact on that day or in two-three days. That

does not tell you any story of where this capital market is moving towards.
So my point is that Jane Street people are opportunist people who put money which is hot money just to gain something like arbitrage opportunity. Long term is decided by retail and FIIs who put their money for short and long term. If they are present, people like Jane Street would be replaced by some other player. So we are not saying there will be very big impact on capital market because of Jane Street.
Raman KV: Sir, and another follow-up, in the same line of this. Sir, with respect to how much was the company's broking revenue impacted because of the entire Jane Street episode? Was there any significant impact during the one...?
Dinesh Thakkar: Again, I am repeating, Jane Street when did it happen? This last week. So we don't give numbers on a weekly or daily basis.
Vineet Agrawal: And just to add to that, Raman, I mean, we are not institutional brokers. So directly, there was no impact on us because of that.
Moderator: Next question comes from the line of Sanjay Singh with Tenex Capital.
Sanjay Singh: Sir, I just wanted to know that what is the incremental variable cost for -- not for client acquisition, but let's say, when your revenue grows by, let's say, 5%, what is the incremental margin on that revenue?
Dinesh Thakkar: Vineet, if you can take this and explain that. Based on this quarterly number, also you can explain.
Vineet Agrawal: Yes. So it all depends on various factors. So if the revenue grows by 5%, then the margins will expand, and we've seen that in the last quarter. So the expansion is more than 5%, given the cost more or less remains stable. Again, it depends on what kind of acquisitions we do in a month and what revenue that we generate from those acquisitions. So there are multiple factors which play around this increase in the margin basis the increase in revenues.

Sanjay Singh: No. What I was trying to say is, let's say, the incremental order gives you ■20. So on that, there is no variable cost like any fees to SEBI that is over and above, right? So the ■20 is purely for you to keep or there's anything which you need to pass on to somebody in that sense?
Vineet Agrawal: No. So the broking commission that we earn ■20 is our income. There is no sharing other than the fact that if it comes through the assisted business, then there is a revenue sharing arrangement. Otherwise, the SEBI charges, the transaction charges, GST entity and all above that, yes.
Sanjay Singh: And just on this thing that Mr. Thakkar was saying that growth should be 5%, 6%, 7%, 8% every quarter. But in July, at least the index level -- the NSE and BSE index level, NSE and BSE combined together have seen almost a 27% drop in options, which is July first 15 days over the Q1 average, so April, May, June quarter average. July first 15 days over the quarter average is around 27% drop in option volumes -- opti

on premium and almost a 45% drop in future volumes in NSE. So I'm assuming you would see a similar drop in July or is it something very different?
Dinesh Thakkar: No. Already, we had disclosed our number. July was a bit flattish and April, May...
Sanjay Singh: You disclosed number for July, I mean?
Vineet Agrawal: June, June.
Dinesh Thakkar: July, we haven't disclosed yet, yes.
Sanjay Singh: But industry is around almost 27%, 28%. So is it fair to understand it will be something very similar or is it completely different?
Dinesh Thakkar: Currently, what happens is a knee jerk reaction to Jane Street, and it takes time for players to get readjust to something like this scenario. So we have seen like a market if something happens like this, there's an impact for 10-15 days and things go back to normal. So we should not read anything from this number what we are seeing in 7 to 8 days. Only it has been volatile, it's not that every day it was low.
Sanjay Singh: Okay. Okay. And I think more probably from an industry perspective, I mean we keep reading that India is 60% of option volume in the world, etc. And we have seen in the past, China, Korea with regulatory actions volumes coming down 80-90%. So what is your take? I mean I understand that you are invested in this business. But looking at global examples and with India having such high volume, do you see any risk of more regulatory action, which can clamp down on this pretty exceptional volume that India has seen?
Dinesh Thakkar: See what happens, as I was answering previous this thing question, there is a concern like wallet of a customer, they would put some amount in this because of nature of kind of people like youth. Young people, they would like to leverage and try out something in the market. So you see currently, they prefer trading in option. But if you look at their journey, slowly they moved to investment and all that.

 So one of -- on my Twitter post I shared, I think, in FY20, total AUM of retail, direct and indirect, was around ■16.7 lakh crores. And last year, AUM stood at around ■70.8 lakh crores. Even if I take a CAGR of around 14-15% of market, so they are seeing an appreciation of ■11-12 lakh crores per year. This is the new customer who came to the market. They started their journey in option.

But ultimately, they have realized that wealth can be created in equity. So I don't think that their trading in option is concerning till the time they are moving their long-term money into equity. That is what we have seen growth in SIP, growth in AUM, in cash market. That is a very heartening figure, does not come on headlines all the time because we are just looking at negative.

But what has happened, if you see, number of demat accounts has increased, they have come and put money in long-term investments. That's the reason we are seeing AUM going from ■16.7 lakh crores to ■70.8 lakh crores, that's a big, big amount. And today, they hold almost 18% of our market cap. So I think when people have earned so much and see such an occasion, they're going to remain in the market.

But the way they will come, they will do some leverage product between margin funding or option. That should not concern us. What is important is we need to see how market expands, how people from Tier 2, Tier 3 are participating in this market. That's what I wanted to say.

Retail has created a big wealth and this retail story, equity story is broader and deeper than what we think. It is not cyclical, it is structural.

Moderator: Next question comes from the line of Bhuvnesh Garg with Magma Ventures.

Bhuvnesh Garg: My question is on content strategy. You mentioned the importance of content in customer engagement and acquisition. So we see other large players, so like Zerodha and Groww, they are also going very aggressive on content. So in that scenario, how do you measu

re your -- the effectiveness of your content compared to peers? And what do you think will give you an edge in this area compared to peers?

Dinesh Thakkar: Every industry, there will be a place of 3-4 players, and they will have their own different strategy. And none of the players will be having a similar strategy because clients that we are targeting will be different, what they are targeting will be different. So the way we have designed our content strategy for all those will continue with that. And because of that, we are seeing a market share in new incremental client base at the rate of around 21-22%. And that clearly shows whatever we are doing till now is really working well and how do we improvise now by using latest technology and all that.

Arief, if you can cover on this?

Arief Mohamad: Thanks, DT. Just to add to that, AI will play a very important role in the way forward of content strategy for Angel One. It will give us that kind of width. It will give us that kind of presence to convert that width at even for vernacular languages and different geographies and all that. So especially for Tier 2, Tier 3 towns, the penetration of our content will increase. So we see that as a meaningful lever going forward in terms of our acquisition strategy.

 Bhuvnesh Garg: Understood. Would it be possible to share any quantitative colour on this in terms of how is it benefiting in your client acquisition cost or reaching out to clients or engagement levels? Any quantitative colour?

Arief Mohamad: I don't think sharing the numbers would be right here. So I would refrain from sharing those numbers.

Moderator: The last question will be from the line of Pranav Gupta with Aionios Alpha Investment Managers. Since there is no reply from the line of Mr. Gupta, ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over for closing comments to Mr. Dinesh Thakkar. Please go ahead.

Dinesh Thakkar: Thank you for joining us on the call today. I hope we had answered your questions satisfactorily. Should you require any assistance, please feel free to contact Hitul Gutka, our Head of Investor Relations or SGA, our Investor Relations Advisor. Have a good day.

Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Bandra (East), Mumbai - 400 051. Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Symbol: ANGELONE Scrip Code: 543235

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on September 30, 2025, intimating of the earnings call with analysts and investors to be hosted by the Company on October 16, 2025, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
Membership No: A22506

Date: October 23,2025
Place: Mumbai

 Angel One Limited Q2 FY '26 Earnings Conference Call October 16, 2025 MANAGEMENT: Dinesh Thakkar Ambarish Kenghe Vineet Agrawal Amit Majumdar Ravish Sinha Ankit Rastogi Chairman & Managing Director Group Chief Executive Officer Group Chief Financial Officer Group Chief Strategy Officer Group Chief Product & Technology Officer Chief Product Officer Arief Mohamad Nishant Jain Saurabh Agarwal Rohit Chatter Sridhar Govardhan Anuprita Daga Chief Business Officer – Direct Business Chief Business Officer – Assisted Business Chief Business Officer - New Business Chief Data Officer Group Chief Information Security Officer Group Chief Information Security Officer (Till 31st Oct, 2025) Meenal Maheshwari Shah Manmohan Singh Subhash Menon Manoj Agarwal Bhavin Parekh Srikanth Subramanian Group General

Counsel Group Chief Risk Officer Group Chief Human Resources Officer Group Chief Compliance Officer Chief Product Operations Officer Co-founder & CEO – Ionic Wealth Hemen Bhatia Hitul Gutka CEO – Angel One Asset Management Company Head of Investor Relations E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th Oct 2025 will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings Conference Call hosted by Angel One. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. I now hand the conference over to Mr. Hitul Gutka from Angel One. Thank you, and over to you, Mr. Gutka. Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q2 FY '26 financial and business performance. The recording of today's earnings call and the transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Dinesh Thakkar, Chairman and Managing Director; Ambarish Kenghe, Group CEO; Vineet Agrawal, Group CFO; Saurabh Agarwal, CBO - New Business; Srikanth Subramanian, Co-Founder of Ionic Wealth; Hemen Bhatia, CEO AMC. We also have the senior leadership team of Angel One, along with SGA, our IR consultant. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a Q&A session. Please note that there may be certain forward-looking statements during the course of the call, which must be viewed in aggregate with the risks that the company faces. With the brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks. Dinesh Thakkar: Thank you, Hitul. Good morning, everyone, and thank you for taking the time to join us today. It is great to connect with all of you again and to share how we see the opportunity ahead. After my remarks, the team will take through our performance highlights. India continues to stand out as one of the world's most resilient and fastest-growing economy. Its strengths: a young digital-first population, steady formalization and a strong policy momentum give it a solid foundation for long-term growth. Recent government reforms, especially in personal income tax and GST rationalization are timely and meaningful. They put more money in people's hands, simplify compliance and encourage consumption. Over time, that means higher savings and more investment in financial assets. We believe we are at the start of multiyear expansion across investing, wealth management, protection, credit and fixed income. The last 5 years have already shown the early signs of this shift. India's adoption of digital financial solutions, including equities, mutual funds, credit and insurance have grown rapidly. Fintechs are at the center of this transformation. They are opening up access, removing friction,

creating experience that are simpler, smarter and more inclusive. By using AI, data and automation, fintech platforms are changing the way India invests, borrows and builds wealth. At Angel One, our AI-powered platform continues to bridge the gap between formal and informal financial worlds, expanding our reach and offering personalized journey at scale. Our vision remains clear to touch a billion lives and serve their financial needs through one integrated digital ecosystem. Today, nearly 90% of our clients come from beyond the metros and Tier 1 cities, which is a strong reflection of how deeply we are reaching into Bharat. Our platform now goes well beyond equity broking. We are steadily added

more products and some of these are beginning to generate annuity revenue. Long-term wealth creation is being enhanced through mutual fund and other emerging wealth products. You can see this shift across the industry as well. India's SIP inflows reached over ■ 290 billion in September 2025, the highest ever compared to a monthly average of ■ 85 billion just 5 years ago. With innovations like MF Lite, Chhoti SIP and Specialized Investment Fund - SIF, expanding participation. Our asset management business is well placed to capture a growing wallet share. On credit side, fintech-led models like ours are improving discovery, underwriting and delivery. Using alternate data and behavioral analytics, we are making credit distribution more efficient, responsible and inclusive. As a part of our broader strategy to strengthen our presence across financial services, we have also entered into a joint venture with LivWell Holding Company PTE Limited. Together, we are launching a digital-led pure protection life insurance offering tailored for India. This partnership combines LivWell insurance expertise with our technology data, deep consumer insights, allowing us to shape the future of protection in India. Our goal is to reimagine how protection is delivered with smarter underwriting and seamless claim, built entirely a strong digital foundation. While this is a collaborative adventure, it gives us opportunity to influence product design, embed protection within our platform and deliver solutions that are proactive and personalized, not one size fits all. Angel One will hold a 26% stake in this ■ 4 billion joint venture, subject to regulatory approvals. It is partnership built on trust and credibility, and it positions us to capture a significant disruption opportunity. We are methodically building out every aspect of customers' financial needs, wealth, credit and protection. Each with a long-term view. These businesses take time to mature. So we have invested early in AMC and Wealth in 2024 and in credit 2025. This gives each line the time and space to compound meaningfully over time. At the heart of all this progress is our data-driven intelligence layer. It powers smarter products, sharper segmentation, deeper client engagement. We are constantly using these insights to design better journey and improve efficiency, and we are seeing strong traction. Our platform keeps evolving to stay simple, intuitive and personalized for every user.

Looking ahead, the tailwinds are unmistakably from a young ambitious population, rising affluence and forward-looking regulatory framework. Angel One is uniquely positioned to lead this fintech evolution and shape how Indians participate in financial economy. It's encouraging to see regulators adopting a balanced progressive approach, one that supports innovation while keeping the ecosystem healthy and resilient. This strengthens market confidence and reinforces the long-term potential we all see. The opportunity before us is immense, and as always, we will approach it with the same discipline, innovation and client-first mindset that has brought us so far. Thank you for your continued trust and confidence in Angel One. I will now hand it over to Ambarish. Ambarish Kenghe: Thank you, D.T. Good morning, everyone. Thank you for joining us on the call today. At Angel One, we continue to invest deeply in building stronger client affinity with our platform, powered by next-generation technology and relentless focus on experience. As I had mentioned in our previous quarter's earnings call, AI is central to this continuous transformation, helping us improve speed, accuracy and achieve efficiencies. I am very happy to share the launch of our AI-powered chatbot, Ask Angel, which has been developed in-house using open source LLM models. It has quickly become a key digital touch point, delivering fast and reliable query resolution across mutual funds and equit

ies. Clients can simply type in their queries or use contextual widgets to receive precise and personalized responses. The chatbot's architecture leverages our proprietary Agentic AI framework and the results have been exceptional with over 80% of the users resolving their queries without escalation and 67% reduction in resolution time for 95% of the cases. We are also responding to a significant percentage of support e-mails using AI. This is AI at work, creating tangible impact and client delight. Over time, Ask Angel will extend across our full product suite. We have also removed friction across client journeys. The launch of our cross-widget discovery engine now enables seamless navigation across mutual funds, loans, commodities and ETFs. For our channel partners, we have enhanced the NXT platform, offering them unified revenue views, discovery of smart advisory and client group monitoring for sharper portfolio oversight. These immersive experiences are driving stronger retention, deeper and more meaningful engagement and expanding lifetime value. Our operating metrics validate the positive momentum these efforts are yielding despite headwinds like fluid global geopolitical situations and softer market conditions at home and a phase of constructive regulatory evolution. As we've always believed, a strong, well-regulated ecosystem builds resilience and businesses that stay focused on solving the real pain points of retail consumers thrive over the long term.

Our client base crossed 34 million with over 1.7 million new clients this quarter, higher by 12.2% sequentially. Our Demat market share rose to 16.5% and overall retail equity turnover market share increased by 71 bps to 20.5%, reaffirming the quality of our franchise. Average client funding book touched ■ 53 billion and clients executed over 360 million orders this quarter. Our efforts of engaging better with clients for the mutual fund product continues to deliver stellar growth as we registered nearly 2.4 million new SIPs, a growth of nearly 24% sequentially and strengthened our position as the second largest player in incremental SIPs. Mutual funds are a great engagement product with over 3 million clients having purchased it on our platform. 40% of these clients got activated through the mutual fund product itself and nearly half of this cohort also invests in equities, showcasing the cross-pollination power of our platform. Credit adoption is also accelerating with nearly ■ 4.6 billion disbursed this quarter, up 97% sequentially, translating into an annual run rate of ■ 18 billion, underscoring client confidence and platform stickiness. We are encouraged by the calibrated regulatory environment, which continues to foster innovation while ensuring market stability. Our proactive approach to compliance, data privacy and AI governance keeps us well prepared for both current and future regulatory requirements. We are equally excited about our emerging growth engines. Ionic Wealth continues to expand its AUM to over ■ 61 billion from 1,250 -- more than 1,250 clients, while our asset management business has launched its first commodity fund, scaling folios to nearly 1.4 lakhs with ■ 4 billion in assets within a short span of time. We are excited to announce that we will set up a branch in GIFT City, a strategic move that opens up new growth avenues. This will be subject to regulatory and statutory approvals. We are scaling every product line with discipline and precision. What we are building is not just a digital platform, but it is a long- term relationship founded on trust, intelligence and reliability. With our expanding product universe, deep AI capabilities and a unified digital ecosystem, Angel One is positioned to lead India's fintech transformation, reimagining how millions of Indians invest, borrow and build wealth. Our journey has only begun, and our focus remains on building for the long term with tech

nology, trust and transparency at the heart of everything we do. I now invite Saurabh to provide further updates on the emerging growth verticals. Saurabh Agarwal: Thank you, A.K. Good morning, everyone. It's great to have you with us. This quarter, we sharpened focus and executed with rigor, empowering clients to plan, manage and grow their finances seamlessly. Most users begin with investing and then naturally expand into credit, protection and savings.

From checking credit scores, tracking challans, comparing insurance prices, viewing consolidated portfolios to investing in mutual funds or FDs, everything now lives in one intuitive interface. Each feature deepens trust, strengthens engagement and makes Angel One the financial home screen for millions of Indians. That's our flywheel, usefulness to drive trust, trust to drive depth and depth to drive growth. Starting with credit. Credit continues to be one of our most exciting and strategic verticals. Disbursals rose sharply from ■ 2.3 billion last quarter to ■ 4.6 billion this quarter, taking the cumulative disbursals to nearly ■ 14 billion. We also on-boarded another lending partner, taking the total to 7, spanning multiple ROI and ticket size segments, allowing us to serve a wider range of customers. While disbursals grew 2.4x year-on-year, only a small fraction of our customers have taken credit from us so far. The headroom is massive, both within our base and in the market. To put things in perspective, our users alone took over ■ 1 trillion of personal loans from the open market last year. And when we include secured categories, the opportunity becomes even larger. We are hence strengthening our partner enablement right from equipping them to underwrite better using richer intelligence, enabling greater collection efficiency to operational prudence. While we do not assume any credit or collection risk ourselves, our frameworks and insights help lending partners achieve superior efficiency in managing these aspects. When partners manage risk better, lower their opex and improve collection, we create tangible value for them, and that value naturally accrues back to us. This foundation positions us to operate at one of the most efficient and profitable take rate in the industry. Our platform economics are strong today and with deeper data loops, this advantage will only widen. Our aim is simple: to become the most trusted and performance-driven credit platform in the country and achieve a leadership position in the coming years. On the mutual fund front, India's mutual fund industry continues to expand rapidly with AUM growing from around ■ 67 trillion in September 2024 to over ■ 75 trillion in September 2025. We continue to do well here. Our own AUM has grown from nearly ■ 8,700 crores to over ■ 15,000 crores now with continued gains in the direct SIP market share. Over 3 million customers have engaged with our MF offering and repeat SIP participation continues to rise, reinforcing the trust users place in us. Mutual funds are central to our engagement flywheel. They build lasting habits and strengthen platform retention. SIP customers show deeper participation across other categories, and our focus remains on making these journeys simpler, faster and more intuitive. On insurance, we are focused on improving both discovery and buying experience through sharper targeting and omnichannel reach. The business continues to see decent traction and data science-led models are improving funnel efficiency. Overall, our focus remains clear: expand reach, deepen engagement and monetize with discipline. With that, I'll hand it over to Srikanth to walk you through the wealth business. Thank you.

Srikanth Subramanian: Thank you, Saurabh, and good morning, everyone. If India's asset management industry was formalized over the last decade, then the coming decade will do

the same for wealth management. We in India are at the cusp of creating a large and profitable ecosystem, much like what the West witnessed during its own phase of financial deepening. At Ionic Wealth, we are seeing positive traction of our omnichannel hypothesis. Since our inception in 2024, we have reached an AUM of INR 61 billion with 1,250 plus clients across 9 cities. This shows that deep domain, combined with a tech-led platform is key to capturing the unfolding wealth management opportunity. Our UHNI business, defined as servicing clients above ■ 25 crores remains our growth engine with several large mandates from marquee Indian families and entrepreneurs. We are deepening wallet share with high conviction research, product ideas and diversification across global markets and commodities to deliver strong returns for our clients. Our wealthtech business, defined as ■ 1 - 25 crores segment, we are seeing strong validation of our omni-channel proposition. Our investment in digital capabilities is translating into productivity gains and in driving scale. Next week, we are launching our Ionic Agent for our clients, an AI-powered feature to review portfolios, plan goals and explore investments. Today, we have a team of over 200 professionals, including 85 in the client-facing team, 40 tech engineers and 29 domain experts across fund management, product and research. Our alternate AMC vertical has also kicked off well, particularly with our GIFT City-based global innovation fund. To prepare for fast-changing trends, we do so by future-proofing client portfolios with themes around tech and innovation-led investment opportunities, commodities, global diversification and quant-led strategies. With these pillars in place, we are trying to not just respond to the trends, we are almost anticipating them. To conclude, I'll share a quick summary of our market views from our monthly newsletter AssetX. We have a positive view on precious metals, select global emerging markets, whereas in India, our focus continues on the ongoing earnings season. Thank you. And with this, I pass the baton on to Hemen. Hemen Bhatia: Good morning, everyone. I'm delighted to share that our asset management business continues to build strong momentum. The business in many ways is reflective of the growing understanding of financial assets, digital empowerment and the benefits of long-term and disciplined investing. Continuing with our strong pace of launches from Q1 FY '26, we introduced 2 new offerings in the commodity segment, Angel One Gold ETF and Angel One Gold ETF Fund of Fund. With these offerings, our product bouquet now includes 7 schemes across equities, debt and commodities, each thoughtfully designed to cater to different investor goals with simplicity and transparency.

What's truly encouraging is a growing investor engagement. Our AUM now stands at ■ 4 billion, spread across nearly 1.4 lakh folios, reaching investors in over 15,700 pin codes. This isn't just scale, it's inclusion. Passive investing, once niche is now resonating across Bharat. The transformation did not happen by chance. It is a result of our consistent focus on investor education, on making finance simpler and not intimidating. Through digital content, vernacular video and social media, we are demystifying passive investing, thereby helping investors to stay disciplined and long-term focused. Alongside our digital-first approach, we are also leveraging our captive distribution franchise along with a host of third-party digital and offline partners, enabling us to connect with investors across channels from first-time savers to seasoned wealth builders. At the core of this journey lies our guiding philosophy, simplicity, transparency and scalability. Passive investing represents a structural shift in the way Indians diversify their investments to include low-cost bias free wealth creation. As we look ahead, the momentum

is only set to gather pace. India's passive investing landscape is entering a golden decade. Fintech-led investing is unlocking access, trust and transparency at scale, thus deepening adoption of such financial assets. At Angel One AMC, our vision is very clear: To be at the forefront of this transformation. We are not just building products, we are creating habit of making investing simple, accessible and rewarding for every Indian. I will now pause and invite Vineet to take you through the financial performance for this quarter. Thank you. Vineet Agrawal: Thank you, Hemen. Good morning, everyone. Quarter 2 of financial year 2026 has been a healthy performance as we delivered on our operating and financial KPIs despite macro headwinds. Our gross revenues increased by 5.3% quarter-on-quarter to ■ 12 billion, while our net revenues grew by 5.6% quarter-on-quarter to ■ 9.4 billion. 46% of our gross revenues came from broking commissions in the F&O segment, followed by 8% from the cash segment and 6% from commodity derivatives segment. Interest income from client funding book and fixed deposits with clearing corporations accounted for nearly 32% of our total gross income. The balance came from depository operations, distribution, wealth and asset management businesses. After commissions paid to our authorized persons, the net broking income grew by 5.4% quarter-on-quarter to ■ 5.5 billion. The share of direct business in net broking revenue expanded by 84 basis points to 77%, underscoring the strength and scalability of our digital platform. Our client funding book reached a new high, averaging at ■ 53 billion in the quarter, up 26.1% quarter-on-quarter, driving a 6.5% rise in total interest income to ■ 3.8 billion. Our finance cost increased by 12.4% quarter-on-quarter to ■ 932 million, pursuant to increase in the borrowings to finance this higher client funding book, partially offset by a reduction in the average borrowing rate. As a result, net interest income grew by 4.6% quarter-on-quarter to nearly ■ 2.9 billion.

Our income from depository operations decreased by 4.3% due to lower volumes. Our distribution income witnessed a very strong growth of nearly 28% during the quarter, driven by nearly two-fold jump in sale of credit products, robust IPO market and sustained growth in mutual funds through our assisted channel. Our employee cost, including ESOPs, remained stable at ■ 2.7 billion during the quarter. Other expenses decreased 19.2% quarter-on-quarter to ■ 3.4 billion, primarily due to the absence of IPL-related expenses. Net of IPL spends, our other expenses were higher by 9.8% quarter-on-quarter, primarily on account of 12.2% higher client acquisitions. Our reported EBDAT margin at 34.5% is higher by 1,270 basis points over Q1 FY '26. However, on a normalized basis, adjusting for the IPL spends, our EBDAT is higher by 6.1% quarter-on-quarter to ■ 3.2 billion. Our reported profit after tax grew by 85% quarter-on-quarter to ■ 2.1 billion. However, our normalized profit after tax grew by 10.1% quarter-on-quarter. On the balance sheet side, our period ending client funding book stood at ■ 59.5 billion, supported by incremental borrowings, which increased by ■ 10.3 billion from March 2025 to aggregate to ■ 44.2 billion. Our networth increased to ■ 58.3 billion as of September 30, 2025. Cash and cash equivalents remained healthy, driven by higher client balances, partly offset by deployment into the funding book. With this, I conclude the presentation and open the floor for further discussion. Thank you. Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Prayesh Jain with Motilal Oswal. Please go ahead. Prayesh Jain: Yes. Hi, good morning. Congrats on a good set of numbers. Sir, first question is on the cash segment, where we saw the realizations dip. And also, I assume that you have take

n a pricing action on the cash side. So how do we see this panning out from a -- and so that would be the first question. Second would be on the breakup of distribution income where if you could split that up into credit, wealth management and others in some form, that will help us understand the color of the revenues. Third question is on the margin trade funding book. Do we have a separate realization for margin trade -- orders placed to margin trade funding book or it is same as the order that you charge on the cash delivery? Yes, those would -- and lastly, on the burn of the new businesses, what is the burn on the new businesses, yes? Ambarish Kenghe: Yes, Prayesh, thank you so much for the questions. On the sort of -- on the cash segment realization, again, it changes on what the mix of various things is there. But on the pricing action, I just want to clarify because you asked that question. I think the pricing change really is to bring things -- make things simpler. What we have done is that across both delivery as well as intraday, we have made it 0.1% with max of 20 and min of 5. What it will do is that it actually makes just the whole pricing very simple for the consumer. So that's on your first question. On the second one on breaking out the distribution income, today, the way -- we don't break out that income.

The way you should look at those businesses is look at AUMs as well as disbursals. That's the best way to follow those businesses. They will build over a period of time and they all have different gestation periods. So today, we don't break them out. On the MTF book realization, Vineet, do you want to take that question? Vineet Agrawal: Yes. So right now, we are charging the same price broking commission that we charge for cash delivery where there is no MTF that people avail. It's the same. Ambarish Kenghe: And on the burn, I don't think we are breaking out our burn of different entities. Vineet Agrawal: Yes. So as I've been telling in the past that the burn remains in that range of about ■ 100 crores annual for the two new businesses that we are incubating the asset management and the wealth management business. Prayesh Jain: That rate continues, right? Vineet Agrawal: Yes. Moderator: Our next question comes from the line of Swarnabh Mukherjee with B&K Securities. As there's no response, we'll move on to the next question. It's from the line of Nidhesh with Investec. Nidhesh: So first question is on operating profit margin guidance that we have initially talked about of around 40% plus as we reach for Q4. So do we reiterate that guidance or do we see some changes to that guidance as we end this year? That is the first question. Second question is on wealth management business. So as of now, it seems like wealth management is completely built separately from the existing Angel One clients. Is there any overlap with existing Angel One clients? And what is the path to offer wealth management products to the clients of -- clients which Angel One has acquired over a period of time? And third question is on a comparison with your peer. One of your peer has filed for an IPO. Their cost -- their revenue structure and their client base is better -- higher than Angel, but the cost ratios are far, far lower. So if you have compared where do you see -- what are the reasons you see that the cost structure for that particular peer is far lower than Angel? These are the three questions, sir? Ambarish Kenghe: Thanks so much for your questions. On the OPM guidance, yes, we continue to have the same guidance at exit, we want to be at 40% to 45% OPM, and we are well on our way to that path from everything that we can see. I'll come back to the wealth question. On the peer question that you asked, I think different companies are built very differently, and we take a very long-term approach to it. We are built in a different way. And so it won't be appropriate to c

ompare different metrics. I think it's best to look at our metrics, our growth and where we are going. We are continuously working on efficiencies and making sure that we get the most out of what we have, but very different kind of businesses. So best to compare -- look at them differently. On wealth management, perhaps Srikanth, you can come in and talk about it.

Srikanth Subramanian: Yes. So, Nidhesh, I think that's a valid observation you made. So while at this point in time, the journeys are created for set of investors who have their own sort of unique identity of being a large value investor, but the current ecosystem of Angel One also we are actually going to offer wealth solutions through both fractionized products and also through platform services that we provide. So there is a lot of work happening in terms of harmonizing the throughput between the customers flowing in and the solutions flowing back from the wealth agent. So you will, over the course of the next few months, see that harmony sort of playing out between the customer cohort of Angel and the solution cohort of Ionic Wealth. Moderator: Thank you. The next question comes from the line of Sanketh Godha with Avendus Spark. Sanketh Godha: Thank you for the opportunity. Vineet, I have a question for you. So basically, our margin trade funding book on a sequential basis has grown by 24 percentage. But if I look at our NIM number, interest income, it has grown just 5% QoQ. Just wanted to understand this divergence. Is it largely because we have cut the interest rates on the MTF book with the rate cut environment or is it due to lower interest income earned on the float or margin money? Just -- and if you can give the breakup, it will be useful to understand this divergence between the MTF book growth and the interest income growth. That's my first question. Vineet Agrawal: Thank you for this question, Sanketh. So you're right, the -- while the MTF book has grown by almost 26%, there has been a growth of just about 6.5% for the interest income. And that's primarily because almost 45% of the total income that we earn comprises of the interest that we earn from fixed deposits and the balance comes from the MTF. And on that part, on that 45% because the interest rates have declined, so the yields have declined by almost 50 basis points, and therefore, we are seeing a lower income there. And of course, there was some moderation in the -- between the quarter in client margins, which have come back to normal levels now. So there was a little bit of decline in that. So that has been the reason why it has got affected. There hasn't been any change in the interest rate that we charge from the clients on MTF. So it remains same at 14.99%. Sanketh Godha: Perfect. Got it. And see, this client margin coming down is predominantly of the lower trading activity. Is it fair to say that's largely the reason? Vineet Agrawal: Well, it could be due to multiple reasons. But as I said, that was a momentary thing and things have come back. So as we speak, we are seeing healthy client margins with us. So it's not a matter of concern. Sanketh Godha: Okay. Got it. So the second question which I had was that the number of orders per day in 1Q was around 5.6 million orders. And even in 2Q, it is at the same level, exactly the same level. Honestly, we were of a view that it will see an improving trend to the question which you answered previously that our EBITDA -- we might by end of the quarter, we go to 6.8 - 6.9 million orders per day by fourth quarter, and that will lead to the EBITDA margin or operating margins to go back to 40 - 45% levels.

So just wanted to understand this 5.6 million orders per day, how confident you are will go to that kind of a number around 6.8 - 6.9 million to deliver that 40 - 45%. And if it is going to achieve -- just any color you have, what will

lead to this number to go up if you are not changing any prices as you mentioned last time in the quarter? Ambarish Kenghe: Sanketh, I think the way to look at this is, again, like I have said this, Vineet has also said, there's been a ton of macro headwinds. And in spite of that, so we publish our orders per day number every month. So if you look at February, we were at about, let's say, approximately 49 lakh to 50 lakh orders a day. So 5 million orders a day. Now that has -- if you look at that in September, that has gone to 58 lakhs, 5.8 million orders a day. So that has been a very -- so month-to-month, there will be some variation. There are sometimes some -- you see some market changes and you can see some variations because of that. But that has been a very healthy growth when you see in the last 6 months or so. So we think that is a good base and good base of growth. And we think it will -- we'll continue to get the kind of revenue growth we are thinking in terms of creating that kind of OPM. And we are also being very, very conscious on our costs. As you can see, I think we are being very clear on being efficient there. So combination of both of those things should result in an exit OPM for sure. Sanketh Godha: Got it. Got it, sir. And lastly, given SEBI Chairman or SEBI has been pretty vocal about elongating the tenure of the expiry contracts. Suppose it comes, I don't know when it will come, given they are pretty vocal in communicating this point in public forums. So have you done any sensitivity analysis at your end to see a likely impact on the profitability if, say, 8 number of expiries in a month get reduced to either 2 or 1 if they directly move to monthly thing. So any sensitivity you guys have done and likely impact on the numbers, if you could share, that will be useful. Ambarish Kenghe: Sanketh, I think there's a lot of speculation in this area. So it's best for us to not add to that and talk about it because we don't know what is going to happen or if there is anything that is going to happen. So best to stay away from that. Let's just look at if there's something coming and then we can talk about it. Moderator: The next question comes from the line of Mohit Surana with HDFC AMC. Mohit Surana: Just one question from my side. If you can break up the MTF book between customers that have been acquired from the direct channel and the AP channel? That's it from me. Vineet Agrawal: Mohit, we don't give out that number. And I mean, honestly, it doesn't matter because for us, both the clients give us similar interest. So it doesn't really matter. And anyways, we don't give out that number. Mohit Surana: And sir, the commission that is paid out to the partners in the AP channel between broking and non-broking products, is there a way to think about it, how that is split up between broking and non-broking? Vineet Agrawal: No, it's primarily for the broking commission that we share the fees with the partners. We do some sharing for the mutual fund for the regular plan, but it's primarily on the broking commission.

Mohit Surana: And if at all, there is an MTF book sitting with the customers that have been acquired through the AP channel, there is no sharing on the MTF part, right? Is that correct? Vineet Agrawal: As I said, we share commission for the broking revenues that we earn from the clients that are tagged with the AP channel. Moderator: The next question comes from the line of Shobhit Sharma with HDFC Securities. Shobhit Sharma: So I have 2 questions. Firstly is on the customer acquisition cost. Can you give us some trends around how the customer acquisition cost has been trending? And how do you expect that to play around in the second half of the year? And we have seen over the last 12 months, we have slowed down considerably in terms of the new client acquisition. So what's going to be our strategy on that side? And lastly, can you help us understand

what's your idea behind entering into the life insurance business given that's a little bit complex in nature? So yes, that would be 2 of my questions, yes. Ambarish Kenghe: So on CAC, it's mostly flat to slightly down perhaps, but these things just think of it as really flat. We have actually -- I mean, just to point out, we did do more client acquisition. Last quarter, we had done 1.55 million. And this quarter, we did 1.74 million. So we grew about 12% in terms of client acquisition. So that growth has happened. For life, I can give it to Amit. Amit Majumdar: Thank you, Shobhit, for that question. And the way we look at this particular opportunity is slightly different than how it has been so far on the legacy life insurance piece. We have actually been waiting for a while to see if there is a way to give out a product on the life side, which can be end-to-end digitally enabled. And so for a while, we have been -- while being a distributor on the life side, we have not been able to really enable a complete end-to-end digital journey. While that is quite well played out in some parts of general insurance like motor, for instance, but that doesn't get played out in the life in a big way. It's only recently that we came across an opportunity to do so with a set of people who have been successful in rolling out critical illness and protection plans purely on the back of digital enablement and also using proprietary technologies like face scan and so on. There are certain other technologies that this particular organization is also holding a patent for. So we realized that this was one reason that for a very long time, we could not achieve decent penetration in life. And what we have also observed that whenever a digital platform like ours has been able to solve for access, businesses have grown, retail consumers have begun to consume products, which otherwise was not available to them. We saw that play out in the wealth. We see that played out in the credit too. And we are very confident that similar trajectory will get played out even in protection. And therefore, we thought perhaps the timing is right. Customer orientation is better. They have begun to understand the need for protection, especially post-COVID and regulatory enablement, which is in some form, enabling us to give this confidence that with insurance now for everyone

by 2047, with IRDAI's bill pending approval from the parliament, which has some very interesting suggestions, including bundling of life insurance products with wealth with savings. And so we believe that we have the right to play in a segment like that when products are getting digital and also an enablement to bundle them. And hence, we have decided to start our journey. These are long-term businesses. This will take more than a decade for us to turn profitable. But we know that these businesses often take time while they will take time. But in a digital ecosystem, we are far more confident of how this will play out. I hope that addresses your question, Shobhit. Shobhit Sharma: Yes. Thanks, Amit. Ambarish, just a follow-up. So should we expect similar kind of acquisition run rate for the clients going forward for the next 12 to 18 months? Ambarish Kenghe: Look, I don't want to give a forward-looking statement on that, but you can look through sort of the last few quarters, and that should help you extrapolate. We look at a variety of factors when we go into what we want to acquire because it has to be the right set of customers, people who want to make investments. So I'd just say looking at the past few quarters should give you a sense of it. Moderator: The next question comes from the line of Neeraj Toshniwal with UBS Securities. Neeraj Toshniwal: My question is again on the price increase what you have taken. And if you can give more quantitative sense on how much increase in revenue that can have because we don't know how many customer

s were at the minimum earlier -- on the earlier economics. And also on the cash realization, I think Q1 was a bit of an uptick, in Q2, we saw again a kind of a moderation. So what kind of dynamics seeing because cash volumes are anyways down throughout the year. So -- and how can we think of it playing out in the future? If you can give some color to that? Ambarish Kenghe: I could understand your first question was about pricing. The second one, can you please repeat, was it about CAC? Neeraj Toshniwal: It was cash realization, which went down in this quarter compared to an uptick what we saw in Q1. Ambarish Kenghe: Got it. Okay. I got it. So let me take your price question. I think I just -- for earlier question, talked about what is the sort of exact price change. And just to reiterate, the price change is to make things simpler for the customers. It becomes sort of the same pricing for intraday and delivery. Since you asked for the quantitative thought on that, we expect that on a yearly basis, at current run rate, it should have about ■ 50 to ■ 60 crores upside on a net basis to us. So it actually just falls down to the PBT in that sense. And on cash realization, I think Vineet talked a bit about it. I don't have anything more to add. But Vineet, do you want to talk about that? Vineet Agrawal: These are things that based on the market factors and other things, keep on varying. So not really anything that we can give any further details on.

Moderator: The next question is from the line of Abhijeet with Kotak Securities. Abhijeet: My first question was that typically of all the customers you acquired in a quarter, how many would come from the AP network versus direct? Vineet Agrawal: So the AP -- the clients acquired through the AP channel contribute about 24 - 25% of the total acquisitions that we do in any quarter. And this number could vary between 20 to 25% depending on the quarter. So yes, that's the kind of proportion. Abhijeet: Got it. Second question was that if I look at the distribution revenues that you've called out, now obviously, there is wealth within that. But if I strip that out, of the rest of the business, is it possible to get some sense how much is coming from the AP network versus direct? Ambarish Kenghe: Yes. No, we don't break that out. I think on distribution, the best way to follow it is using the numbers we are giving on AUM and distribution. As those businesses mature, we can perhaps break them out in the future. But they're growing -- I mean, you can look at the numbers and they're growing really well. If you look at credit distribution or AMC or wealth, all of those numbers have been growing really well. Abhijeet: Got it. So the question was that when I look at the broking business as such, just trying to figure out if there are ways to improve margin profile of this business, especially given the earlier comments around automation and some of the other points you mentioned at the start of the call. Are there any levers, low-hanging fruits or any plans to kind of cut down on some of the cost and make it a more profitable business? Ambarish Kenghe: Look, we are continuously looking at efficiencies. And the idea is that where we are going in terms of OPM, right? I mean we want to -- like we said, we're looking to exit at 40 - 45% OPM, and that's where we are going in terms of that. In terms of cost efficiencies and overall efficiencies, don't just think of cost, but overall efficiencies, that is definitely happening. For example, if you look at the chatbot that I talked about, if we didn't have that, we would have had to take on the cost same way with e- mail responses. There's a lot happening inside the company on AI that will improve efficiencies. So we are looking at efficiencies all the time and saying, look, you know what, how do we make ourselves better every day. So that is a constant continuous journey that we are on. But there is d

efinitely things that we look at and make sure that we get the most out of what we have. Abhijeet: And I just want to recheck the number you mentioned in terms of impact of price hike, it was ■ 50 to ■60 crores, right? ■ 50 to ■ 60 crores? Ambarish Kenghe: That's right, ■ 50 crores to ■ 60 crores on a net basis. Moderator: The next question comes from the line of Bhuvnesh Garg with Magma Ventures. Bhuvnesh Garg: A couple of questions from my side. Firstly, on the customer acquisition. So I just want to understand that what has led to the increase in this customer acquisition cost because it has been elevated for last 2-3 quarters. And how do you see it going forward? Because it has disrupted the economics of our business for now. And whether it is a new normal or if it is expected to go down, what will drag it down going forward? That's the first question. Ambarish Kenghe: Arief, Do you want to take the customer acquisition cost question? Arief Mohamad: Arief here. Am I audible? Ambarish Kenghe: Yes, you are. Arief Mohamad: Yes. So the way we look at it is cost of acquisition is an investment that we do in terms of acquiring the right customer. And if we feel that the customer is right, and we feel that the return on that investment makes sense economically, we think that's the right thing to do. So we are quite confident that the quality of clients that are acquiring for the spend we are doing makes sense economically. So we will be aggressive on this wherever we find the opportunity. So yes. Bhuvnesh Garg: Right. But if the customer acquisition cost doesn't come down, then how will we achieve our 40% EBITDA margin target that we have for Q4? Because for last 2-3 quarters, it has been hovering around the same level of 34%, 35%. Arief Mohamad: So there are 2-3 things, right? One, obviously, we want the revenues to go up and we would want the revenue market share to go up and all of that. But cost-wise, also, we are looking at how do we push our organic, how do we push our content-based acquisition, some of those things. But again, as I say that we look at business in semi long term also that today, if we have to invest something into acquiring the right clientele, even if it is slight dilution in the OPM in short term, but if it gives us return in long term, and that's something that we are interested in. Bhuvnesh Garg: Okay. And second… Ambarish Kenghe: Add to that, just to clarify this, Bhuvnesh. Look, one of the aspects is the customer acquisition cost, which I said, look stable to slightly down perhaps. But there is also the revenue increase that is happening quarter-over-quarter. You're seeing that for a couple of quarters as well. So that will happen as well, and that should result in a 40 - 45% OPM anyway. Bhuvnesh Garg: Okay. Understood. Understood. And second thing is on our employee base. So overall, out of around 4,000 employees, I believe nearly 900 are in digital team. Of the remaining, let's say, around 3,000. So if you can share some breakup of how much of it is in, let's say, customer service. I want to understand from the perspective of that, that in one of the earlier questions, one participant asked compared with the peers that they have around 1,500 employees for the similar scale of operations as we have, and we have 4,000. So just want to understand where is the difference? Do we have feet on street for our business -- assisted business? And how much would that be for the assisted business? So where is the difference in this employee base? Ambarish Kenghe: Yes. Look, I mean, one is that we don't break these out. We give you sort of the total information. However, we are slightly different businesses, which is what I was saying that -- and long term,

we've shown there is a strength to having that business. So we have both, as you know, AP business as well as a direct business. And so there is

no feet on street that we have. But of course, in the AP business, we have APs and we have folks, RMs and stuff like that, where they would be working with the APs. So slightly different structures and -- but over a period of time, we are definitely creating more and more efficiency. So you'll see more output out of what we have. And what's also happened is that we are also a much more mature organization where we have built out all the functions already. And therefore, you're not going to see more getting added to this, which is why you see sort of our employee benefit expense being the same last quarter and this quarter. So part of it is that we have sort of built out -- we are more mature, we built out these functions. Part of it is just slightly different business, but we'll continue to work towards making everything that more efficient and get the most out of what we have. Bhuvnesh Garg: Sure, sure. Understood. And just a data keeping question. So if you can share the numbers on regular AUM under mutual funds and also our market share in SIP flows. We give the data on number of SIPs, but what would be our market share in SIP flows, these data. Ambarish Kenghe: Yes. We don't share those breakups at this time. So we can't give you that data. We do share, I think, the number of SIPs and we share the total AUM for AMC, but we don't break out these numbers or we don't have the market share there. Moderator: The next question comes from the line of Raman KV with Sequent Investments. Raman KV: Can you hear me? Moderator: Yes, sir. Raman KV: Sir, I joined the call a little late. So apologies if my questions are repetitive. I just want to understand this life insurance JV, which you planned subjected to the SEBI's approval. I just want to understand, are you planning to become a distribution launch -- is this a distribution type of business? Or will you be launching your own products? Amit Majumdar: Raman, thanks for the question. So look, this is a 26% joint venture partnership from our end. And so while the actual manufacturing might will come from the 74% partner. And all we are doing is helping to see if there is a way to co-create some of these products with the insurance company, given our better understanding about the customer segment that we service on our platform. So while the manufacturing largely will be managed by the 74% partner, in this case, LivWell Company Holdings Pte. Limited, Singapore, and they have all the requisite expertise to do so. We will also be offering our platform exclusively for distributing the products that we are going to co-create with the manufacturer. So to that extent, they will be exclusive to us on our platform. But that's all so far as this particular joint venture is concerned.

Raman KV: So basically, the other JV partner, will be -- they will be coming up with the insurance products, and you will leverage your Angel One's platform to cross-sell that product, if my understanding is right? Amit Majumdar: Yes, that's right. So the JV company actually will have its own distribution network. Largely, it will be relying on digital networks for distribution. We will be one of those digital partners who will be distributing those products on our platform. However, by virtue of us being a joint venture partner, there is an opportunity to co-create products which are specific to our platform. Raman KV: Okay. And sir, on the -- I just want to understand, you -- initially, you mentioned 46% of the gross revenue came from broking segment in this quarter. Can you give the other split? I wasn't able to note the other gross revenue split. Hello? Sir, can you hear me? Vineet Agrawal: Yes, yes. So the F&O segment contributed 46% to our gross revenues, while cash segment contributed 8% and commodities about 6%. Interest income from client funding and deposits brought in about 32%, and the balance came from depository distribution businesses.

Moderator: The next question comes from the line of Prayesh Jain with Motilal Oswal. Prayesh Jain: Your guidance on 40 to 45% exit rate by fourth quarter, right? And if I assume that the cost remains the same and assume that exit rate would be 45% EBITDA margin, you're talking about almost a 20% kind of a jump in revenue rate from the current quarter to the fourth quarter. So how do you think this would come through? How much would be from broking? How much would be from your new businesses? And obviously, in that period, how should the cost kind of pan out, right? So just trying to understand when you say 40 to 45%, what are the thoughts behind it broking growth or these businesses capturing a larger share of the growth? How should we think about this? Vineet Agrawal: Prayesh, as you've been seeing, we've been growing our order run rate every month. And we see that in H2, we will see a better order run rate. And therefore, broking will continue to be the mainstay of the growth. Obviously, the distribution businesses are also now contributing to the top line. So hopefully, with all these things coming in, the exit in quarter 4, we should see a 40% plus operating margin. Costs are more or less stable at where we are today. And therefore, I don't see a bump up in cost. Margin trading funding is also something which is growing significantly. And therefore, these things will help us improve the margin. Customer additions also are a growth engine for us. So as we keep on adding clients and those clients become active, they will start contributing to the orders and the revenues. Prayesh Jain: ■ 5,900 crores margin trade funding book that we have at the end of the quarter, how much does the balance sheet kind of provide you the room to go up to considering more borrowings or net worth because simultaneously, if the ADTOs and the cash or the -- is going up, you will also require net worth to support the margins, right? So what is the kind of balance sheet flexibility you have to kind of scale this up to about ■ 10,000 or ■ 12,000 crores in the next few quarters?

Vineet Agrawal: Yes. So as we've been mentioning that we can easily double this book from where we are today without having to raise any additional capital. And as you would have seen, the gearing ratio for us is pretty low debt equity ratio. So we don't have any challenge there. We can easily raise more funds on the debt side to be able to leverage and fund this book. Prayesh Jain: Got it. And last question, in terms of your customer acquisition, how much would be organic and how much would be to the paid? And how has that been kind of trending in the past few quarters? Ambarish Kenghe: So we don't break it out, Prayesh, because it's -- even if we were to try to, it's not super straightforward, it's not very reliable because it depends on how you attribute various things. There are all kinds of attribution mechanisms. So we generally stay away from it. You get to see sort of sum of the costs that we are incurring, and that's probably the best guidance there. Moderator: Mr. Prayesh, does that answer your question? Prayesh Jain: Yes, yes. Moderator: The next question is from the line of Sanjay Ladha with Bastion Research. Sanjay Ladha: I have a few questions. One is, so we are developing various products in-house like mutual fund, credit, fixed income, wealth management. So can you share at what AUM or at what time frame we are looking to break even or start generating profit? I understand this -- all our products are long-term products, but wanted to understand the scale and profitability from 3 to 5 year horizon. Vineet Agrawal: Yes. So I think this is a question which we've been answering for a while now. The wealth business, we anticipate should turn breakeven incrementally, say, in about 2.5 - 3 years' time, whilst the AMC business, which is a low-cost, long gestation period business should be able to turn increme

ntally breakeven in about 7 to 8 years. Sanjay Ladha: And sir, my another question would be, so what is the cross-sell ratio for us as you are largely top 3 players in the broking business. But incrementally and as we move forward, our cost to acquisition cost is keep on increasing. So I understand you guys are developing client acquisition base and improving the trend so forth. But just wanted to understand what is the cross-sell ratio and how you guys are thinking on that line so that we try to understand as going forward, how things will change from here on in terms of cross-sell ratios and developing on that side? Ambarish Kenghe: Right now, we are able to actually leverage the platform quite well, right? People are coming in for broking. Most of the acquisition is for broking and then people are going to mutual funds, lending, other places. So we are definitely seeing that advantage. And as these businesses grow, you're going to see more and more of this cross-pollination advantage that will come in. But we don't define the ratio except for we gave -- I gave you one data point in my opening remarks, where 50% of the mutual fund customers are also buying equities. So you can see there is sort of that cross-pollination already happening. Moderator: The next question is from the line of Saeed Jaffery with Ajanta Capital.

Saeed Jaffery: Just had one question on the income breakup. Now brokerage as of now contributes about 60% of the gross number as I see in the presentation. And we've been incubating a couple of these new businesses on the -- like AMC and the wealth management piece, now insurance as well and credit products. On a more longer-term basis, what would be -- I mean, what number -- how do you see these businesses evolving, say, 3 years out, 4 years out? Where do you think this breakup will settle at? Or think about it in another way, where do you -- what do you think will be a good diversified income mix for you? What would be that number? Vineet Agrawal: Yes. So on a longer-term basis, while our broking business itself is going to grow at almost 25%, 30% long term. So there will be a long growth story for this business. The newer businesses, especially the distribution, the wealth and the asset management businesses, between 3 to 5 years, our estimate, they should contribute double digit to our top line. And while in the absolute numbers, they will be significant. So that's how we see the business evolving in terms of revenue diversity over the next 3 to 5 years. Saeed Jaffery: Okay. And of the 3 new businesses that you have, which is the credit business, the AMC and the wealth, which will probably have a higher salience of the 3? Vineet Agrawal: Well, wealth and distribution businesses should have a higher share in the revenue because AMC being a passive business is a low-yielding business. And therefore, the wealth and the distribution businesses will have a higher share in the diversification. Saeed Jaffery: Okay. And currently, the products that you have on the AMC, what is the yield, sir? Hemen Bhatia: So our -- the fees -- the TER, which we charge is in line with what is the market practice. So on average, the TER, which we are charging across products in our direct plan is approximately 25 to 30bps. Saeed Jaffery: Got it. That's blended of the 7 products that you have. Moderator: The next question comes from the line of Deeya with Sapphire Capital. Deeya: So your revenues decreased on a YoY basis. So what is the reason behind that? And do you see this trend continuing this year? Or will it get better this year and for FY '27? Vineet Agrawal: So YoY basis, the revenue decline is primarily on 2 fronts. One, there was a lot of buoyancy in the market this time around last year because of the general elections and the overall activity in the market. And two, there was a stream of income that the industry used to earn, which was an arbitrage on the transa

ction fees, the turnover charges that the exchanges used to levy on the brokers and the brokers used to levy on the client. That became zero from 1st of October last year. So that was one big decline that the entire industry saw and of course, the market factors. Ambarish Kenghe: And Deeya, just to add to that, if you're following year-over-year, the other thing to follow is the -- how the market share has been doing for us. Because if you look at, for example, our cash market share, it's gone from 17.5 to 18.7%. The F&O premium market share has gone from 20.7

to 21.7%. Same way commodity has gone from 62.2 to 65.1%. So there's been very large increases in market shares that we have shown year-over-year. So the company -- as a company, we continue to perform really well in this segment. And long term, we believe in the value of the industry, the macro in India, all of that, that DT talked about at the beginning. So the future in that sense is very good. This is like a 1-year aberration that we are talking about. Deeya: Okay, sir. And for the revenue targets for next year, what do you think it will be? Vineet Agrawal: We don't give out any targets on revenue. The only guidance that we give is on operating margins. And we've said this year exit will be 40% plus. Long term, we should be able to achieve 45 - 50% operating margins as we go along and grow the businesses. Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Dinesh Thakkar for closing comments. Dinesh Thakkar: Thank you once again for joining us today. I hope we have been able to answer your questions and share useful insights. If you need any assistance, please reach out to Hitul Gutka, our Head of Investor Relations, or to SGA, our Investor Relations Advisors. Have a wonderful day. Moderator: Thank you. On behalf of Angel One, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2026

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on December 16, 2025, intimating of the earnings call with analysts and investors to be hosted by the Company on January 16, 2026, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
ACS: 22506

Date: January 21, 2026
Place: Mumbai

"Angel One Limited
Q3 FY '26 Earnings Conference Call "
January 16, 202 6

MANAGEMENT :
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CEO – Ionic
Wealth CEO – Asset
Management –
Angel One Asset
Management
Company Head of Investor
Relations

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange
on 16th January 2026 will prevail.

Angel One Limited
January 16, 202 6

Moderator: Ladies and gentlemen, good morning, and welcome to the Q3 FY '26 Earnings Conference Call, hosted by Angel One Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask quest ions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch - tone phone.

I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, sir.

Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q3 FY '26 financial and business performance. The recording of today's earnings call and the transcript will be uploaded on o ur website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website.

For today's cal l, Angel One is represented by the entire management of the company. We also have the sen ior leadership, along with Dinesh bhai, Ambarish, Vineet, Saurabh, Srikanth and Hemen, along with SGA, our IR consultant.

The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a Q&A session. Please note that there may be certain forward -looking statements during the course of the call. This must be viewed in aggregate with the risk that the company faces.

With this brief introduction, I now invite Mr. Dinesh Thakk ar for his opening marks.

Dinesh Thakkar: Thank you, Hitul. Good morning, everyone, and a Happy New Year to you all. Thank you for joining us today. As you look back on the quarter and step into 2026, India's financialization journey continues to benefit f rom strong structural tailwinds, a young digital native population, accelerating formalization and stable policy environment, this forces continue to reinforce our conviction in long -term opportunity across investing, credit, wealth and protection.

Our str ategy is simple and deliberate. We are building a technology -led financial service platform that supports clients across every stage of their financial journey. This approach helps us to deepen trust, enable scalable platform -led monetization, steadily exp and clients' lifetime value. We have entered new business lines at the right inflection points , where digital platforms can meaningfully improve access, discovery and transparency, scale effectively and do so in a way that promotes fairness and reduces bias.

What further strengthens our long -term outlook is the convergence of broader product suite and maturing client base. As clients progress through their financial lifecycle, we see higher engagement, greater wallet share and monetization across multiple products. This creates a compounding growth engine while steadily improving unit economies.

With this conviction, we continue to invest in expanding both our client base and our product offerings , while also driving operational efficiency through disciplined execution and responsible use of AI. We are extremely mindful of the importance of cybersecurity an d continue to invest in best -in-class processes, controls and governance frameworks. Trust is foundational to our client relationship, and cyber resilience remains central to preserving the trust.

On regulation, we have always viewed a robust framework as an enabler of sustainable growth. As we shared earlier, ac tivity level are normalizing and margins are reverting back to historical trends. Our stand -alone operating margin is already a t a hefty 43%, reflecting the strength of our core business model. We e xpect further operating leverage as we continue to acquire new customers and deepen engagement by offering more products to our existing customer base.

As we scale into broader financial ecosystem, we are also strengthening our leadership, governance capab ilities . In this context, I am pleased to welcome Ajit Sinha as our General Counsel. With over 24 years of experience, including his tenure at National Stock Exchange, Ajit will further strengthen our legal, regulatory and compliance framework.

The Board has also approved our first interim dividend of ■ 23 per share and a stock split of 1:10.

We remain focused on disciplined execution, responsible adoption of technology and keeping client outcome at centre of everything we do.

I will now hand it over to Ambarish. Thank you.

Ambarish Kenghe: Thank you, DT. Good morning, everyone. At Angel One, we believe enduring value is created by investing at the right time in technology, talent and new business lines. Over the last few years, we have made delib erate investments across wealth, asset management and credit. The outcomes are clearly visible in our business metrics. Yet, we are just getting started. We operate with a beginner's mindset. We are always at the beginning of something, focused on building what comes next and putting new opportunities in motion.
As our existing verticals scale, we will continue to build new capabilities, sustaining a disciplined cycle of investment, monetization and earnings resilience. The mindset remains constant even as the environment around us evolves, and we help shape it.
Technology and AI are central to how we drive growth and efficiency. Previously, we have talked about our support chatbot AI -generated e -mail responses, et cetera. Beyond these use cases, a major focus area for us is institutionalizing AI across the organization. There are many things growing internally on this front. This quarter, we launched the beta of our in -house Data Analyst Agent, an AI -powered conversational analytics tool that enables teams to derive insights from complex data sets using natural language. For instance, queries like show me the monthly trend of revenues for top 10 cities from December to November, which can then be followed up with more querie s in a conversational style.
In parallel, we are adopting agentic AI across our software development life cycle to accelerate engineering velocity. For example, we have been using top -of-the-line tools to generate source

code. Together, these initiatives r educe decision and execution latency, improve productivity and enhance operating efficiency, allowing us to stay ahead of the curve. But this is not just about efficiencies and velocity. We believe AI will help us build fundamentally better products.
Turni ng to broking , we are seeing early signs of recovery in line with what we ha d guided. Our average daily orders have been improving consistently from a low of 4.9 million orders in February, post the F&O regulatory changes, to an average of 6.2 million in Q3 FY '26.
We have always maintained that regulatory changes strengthen market structures and support long-term participation. We continue to welcome the regulator's proactive, progressive and consultative approach.
Our franchise across direct and assisted channels remains resilient. Our tech -enabled assisted business provides a strategic advantage through a pan -India network of over 10,000 AP s and over 11,000 MFDs, offering deeper connect.
We sustained a 20.4% overall retail equity turnover market share an d strengthened our demat market share to 16.5%. In commodities, Q3 marked the highest ever order and ADTO at 3

5
million and ■ 1.7 trillion, respectively, higher by 21% and 43% quarter -over-quarter. Year -over-year, it is a gain of 53% and 169%, respectively .
Our client funding book grew 10.4% sequentially to ■ 58.6 billion, reflecting rising client confidence and deeper wallet share.
Our emerging businesses continue to show promising traction. Strong mutual fund SIP registrations and robust credit growth hig hlight improving engagement across the platform. Credit disbursements reached ■ 7.1 billion during the quarter, growing 56% quarter -over-quarter, translating into an annual run rate of ■ 28 billion. These businesses are designed to mature over time, solving client needs and driving sustainable monetization.
Despite a year of regulatory changes and softer market conditions, our stand -alone EBITDA margin, comprising broking and distribution improved to 43% this quarter, underscoring the strength of our operating model. Wealth management continues to gain momentum with Ionic's AUM crossing ■ 82 billion, while our asset management business scaled steadily with AUM at ■ 4.7 billion.
As we expand into a broader financial ecosystem, we are continuing to stren gthen our leadership and governance. I am delighted to welcome Ajit Sinha as a General Counsel, bringing over 24 years of experience, including most recently at the National Stock Exchange.
To conclude, we are building Angel One as a full stack omnichannel AI-native financial services platform, compounding through technology, trust and disciplined execution. The foundations are strong, our engines are scaling and the opportunity ahead remains compelling.
With that, I will now hand it over to Saurabh to walk you through the emerging growth verticals.

Saurabh Agarwal: Good morning, everyone, and thank you for joining us. Our emerging businesses continue to make steady and meaningful progress, with credit evolving into a key strategic growth engine. During the quarter, we scaled disbursements to ■ 7.1 billion, supported by stronger demand, deeper partner engagement and improving execution across the platform.

What is compelling is how early we still are. Only a small fraction of our client base currently accesses credit through us, despite the fact that our base already takes over ■ 1 trillion of personal loans annually from the broader market. The embedded opportunity within our ecosystem alone, therefore, even before considering secured categories is quite substantial.

The strength of our customer base, combined with more disciplined industry environment and clearer regulatory framework has increased partner confidence and capital deployment on our platform. We are del iberately building this business as a long -term platform play and not just a short -term distribution play.

Our investments are focused on deeper data loops, stronger intelligence and more robust operating frameworks that help partners underwrite precisely, operate more efficiently and manage outcomes more predictably. This creates durable partner value and positions us to capture attractive economics over time.

We will continue to scale with discipline, but our strategic intent is clear: To build one of the most trusted high -performance credit platforms in the country with strong unit economics and defensible differentiation.

On mutual funds, we remain well positioned as a mutual fund friendly platform, maintaining our presence and share in the SIP market wi th 2.3 million unique SIPs registered during the quarter. Overall AUM has grown to ■ 171 billion.

Adoption continues to expand meaningfully beyond metros as well, reinforcing the long -term structural growth of the category. Of the 3 million clients, who ha ve invested in mutual funds on our platform, more than 38% began their overall investment journey with mutual funds only, demonstrating that MF is not just an engagement driv

er but also a powerful customer activation engine.

A significant portion of these clients subsequently deepen their relationship with us through broking, reinforcing MF as a strong monetization lever also. Our focus hence is clear: expand reach, deepen engagement and build these businesses into durable franchises that compound long-term value. While we remain excited about the opportunity, we will continue to scale with discipline rather than optimize for short -term growth .

With that, I will hand it over to Srikanth to walk you through the Wealth business. Thank you.

Srikanth Subramanian: Thank you, Saurabh . Good morning, everyone, and thank you for joining us. Let me we begin the broader context. 2025 was one of the most challenging years for investors, not because markets move in any one direction, but because every asset class behave d differently. We saw significant global volatility with returns being driven by focusing on asset allocation and not

from betting on a sing le market or theme. In that sense, 2025 truly stood out as the year of asset allocation.

Adding to that, Wealth Management in India emerged as one of the most active sectors. It grew strong interest from established and new age companies, attracting signif icant fresh capital and demand for talent pool across domain and technology.

Coming specifically to Ionic, excited to share that today we manage ■ 8,217 crores in AUM, which is a 34% QoQ growth. We service the needs of 1,600 plus clients across 10 cities. This scale reflects how we have doubled down on our omnichannel proposition, combining technology with deep domain expertise to make sophisticated strategies accessible to emerging HNIs , HNIs and ultra HNIs.

Throughout this year, research and domain expertise held us in good stead through market volatility. Several of our research -led views across commodities, global markets and new emerging areas, played out well. This consistency translated into higher clien t confidence. We saw a deepening of wallet share within existing relationships alongside the acquisition of new clients.

Building a wealth practice requires managing significant assets under management at sustainable margins, and that remains our core phil osophy. Our investments in technology have demonstrated improving productivity while bringing down operating costs. For example, today, 37% of our code base is AI generated, allowing faster build cycles and iteration.

With digital quotient as a key strateg ic pillar, we actively experiment with new use cases, especially in artificial intelligence. Our recent initiatives include an AI avatar, automated portfolio weekly wrap, AI generated mutual fund summaries and automated meeting notes that enhance client en gagement for RMs , while providing portfolio and marketing insights to our clients.

One of the outcomes of this approach is our portfolio assessment featured on the Ionic app, which gives investors deep analysis and a holistic view of their portfolio. Over ■ 10,000 crores of portfolio value have been analysed by investors via a digital platform.

Our focus in the coming year will be to double down on our early omnichannel success es, while we actively engaged to activate Angel One HNI investor base with portfo lio management being digitally facilitated through Ionic.

Finally, on the investment side, asset allocation remains the core theme for 2026 as well with a positive outlook of precious metal, select emerging markets and commodities supported by global liquidity and a potentially supportive central bank. Discipline , diversification and execution remain key to capital appreciation.

With this, I will pass it on to Hemen.

Hemen Bhatia: Thank you, Srikanth. Good morning, everyone. India's relationship with m utual funds is still at an early stage, especially when seen again st the scale of household savings

and rising income.

This creates a large long -term opportunity with passive investing set to play a bigger role as investors increasingly seek simplicity, tr ansparency and cost efficiency.

At Angel One AMC, our growth strategy is anchored around expanding our product suite and investing in investor education to drive informed adoption. As savings grow, passive products naturally find a more permanent place in investor portfolios. And our focus is to make this transition simple and well understood.

During the quarter, we strengthened our passive line -up with the launch of 2 new offerings, the Angel One Nifty Total Market Momentum Quality 50 Index and an ETF vers ion as well, which are the industry first smart -beta offering on Nifty Total Market Index. With this, our passive portfolio now spans 9 schemes across asset classes, offering investors broad choice through transparency and low cost structure.

We continue t o see encouraging traction across key metrics. Our AUM stands at ■ 4.7 billion, spread across 1.9 lakh folios in over 16.9 thousand PIN code s, reflecting deeper engagement and growing adoption across Bharat .

Education remains central to our approach. Through digital content, vernacular communication and platform that engagement, we are simplifying passive investing and helping investors build long-term wealth with confidence. To expand reach, we are leveraging our strong captive distribution network, along with third -party online and offline distribution channels. As we look ahead, we remain focused on building a scalable education -led passive franchise that compounds steadily over time.

With that, I now hand i t over to Vineet to walk you through the financial performance for the quarter.

Vineet Agrawal: Thank you, Hemen. Good morning, everyone. As mentioned earlier by both Dinesh bhai and Ambarish, I am pleased to share that in the third quarter, we saw clear s igns of recovery, meaningful improvements across both operational execution and financial performance.

Despite 3 fewer trading days in the quarter, we delivered sequential improvement across both operating and financial metrics. Total gross income increase d 11.1% quarter -on-quarter to approximately ■ 13.4 billion, while total net income grew 9.3% sequentially to ■ 10.3 billion. Importantly, this growth was driven by multiple revenue streams, reflecting improving quality of earnings.

One of the key structura l themes this quarter , continues to be the diversification of our revenue mix. The share of gross broking income declined to 58.1% in quarter three FY 2026 from 64.7% in quarter three of FY 2025. Share of interest income, including income from our client funding book and interest earned on deposits with clearing corporations, increased to 33 .0%, up from 27.6% in the year ago.

In addition, supported by strong growth in credit distribution business and a healthy IPO environment, the contribution of distribut ion income increased to 4.3% in quarter three from 2.4% in quarter three of FY 2025. We will view this growth as volume -led and largely non -

cyclical given our expanding client base and product penetration. The remaining income was contributed by depository operations and other services.

Within broking revenues, the share of F&O declined to 44.3% of the total gross income compared to 52.5% in quarter three of FY 2025. This reflects a deliberate shift towards a more

balanced and less volatile revenue profile rather than any loss of competitiveness. At this point, we -- at the same time, we witnessed strong momentum in the commodity segment, where gross broking income grew 46.2% year -on-year to ■ 821 million, contributing 6.1% to the total gross income compared to 4.4% in the same period last year.
Turning to income -- interest income sustainabili

ty. Our average client funding book reached a
new high of ■ 58.6 billion, up 10.4% sequentially. This growth remains well within our internal risk thresholds, supported by adequate LTVs and robust monitoring framework. Along with higher fixed deposits placed with the clearing corporations, this resulted in 16.2% quarter -on-quarter growth in interest income to ■ 4.4 billion.
Finance costs remained -- increased 36.4% sequentially to ■ 1.3 billion, primarily due to higher borrowings on account of regulatory change requiring the upstreaming of client cash margins under MTF trades as well as growth in the average client funding bo ok. I would like to clarify that the elevated borrowings relating to this upstreaming activity are temporary and timing related, and we do not expect this to have a lasting impact on our structural cost of funds.
On net basis, the impact of cost of upstrea ming funds on the EBDAT is ■ 70 million for the quarter. Finance cost has increased by ■ 300 million, with an increase in interest earned from the deposits by about ■ 230 million.
On the opex front, we continue to exercise strong discipline. Employee expen ses, including ESOP costs, remained stable at ■ 2.7 billion, even after accounting for a onetime impact of the new labour reforms of ■ 38.6 million for past service period up to September 2025. Other operating expenses increased modestly by 2% quarter -on-quarter to ■ 3.5 billion, largely driven by higher client acquisition, which we view as discretionary and variable in nature.
As a result, our reported EBDAT margin expanded to 39.4% in quarter three FY 2026, a sequential improvement of 489 basis points, despite ongoing investments in incubating newer businesses. This reinforces our confidence in the operating leverage inherent in the model.
Reported profit after tax increased by 26.9% quarter -on-quarter to ■ 2.7 billion, reflecting both revenue diversification and cost discipline.
Finally, on the balance sheet, the period -end client funding book remained stable at ■ 59.2 billion, borrowings increased to ■ 59.7 billion while net worth strengthened to ■ 61.5 billion as of December 31, 2025. Cash and cash equivalents remained healthy at ■ 135.8 billion, supported by higher client balances. We continue to maintain strong liquidity buffers and conservative leverage, providing flexibility to support growth w hile managing regulatory changes.
That concludes my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.
Prayesh Jain: Congratulations on a good set of numbers. Firstly, a very bookkeeping question. You have kind of presented two types of financials in your presentation , one is the consolidated financial performance, and then you have given broking and distribution, which is like MF plus credit business , so the gap between the two accounts for what?
Vineet Agrawal: Yes. Thank you, Prayesh. So the distribution plus MF and credi t distribution plus broking constitutes the stand -alone financials, and the other one is the consolidated financials.
Prayesh Jain: Sir, the wealth management would be...
Vineet Agrawal: Wealth management would be part of the consolidated financials. In th is stand -alone, it includes broking, distribution of credit and MF only.
Prayesh Jain: Because why I am asking that is if I look at the gap between the two financials that you have reported, revenue profile has not changed materially. In fact, it is kind of weak in the last couple of quarters, but the cost o r the EBITDA, loss or the gap is kind of increasing every quarter. So -- and even on the PAT it is kind of increasing. So what explains that?
Vineet Agrawal: Yes. So a

s we have been mentioning in the pa st, there is a burn of incubating the newer businesses, the asset management and the wealth management businesses, which is in the range of about 3 -3.5% of the operating margin, and that's the gap.
Prayesh Jain: But Vineet then the revenue profile should h ave increased significantly, right? The kind of scale up we have seen on the wealth management AUM, the gap right now in what you have shown on the two charts, the revenue gap is hardly changing at all. In fact, it is just about ■ 20 crores for the past 2 or 3 quarters.
Vineet Agrawal: As you would be aware, while the AUM continues to build up, there is a lag in the revenue realization because of the regulations where you cannot realize revenue on the movement of the AUM up to a certain point in time. So th ere will be some lag in the revenue realization from this

AUM, especially on the wealth side, which will show up in the coming quarters.
Prayesh Jain: A more strategic question on the AMC. When you would have started the AMC, you would have certain targets in your mind with respect to scale -up of the AUM and everything. How are we performing against it? And where do you see this scaling up? In spite of launching a few schemes, our AUMs have not scaled up. The existing clients that we have on the AMC front, whether those are largely our own clients? Or how is the profile like? Do you see a significant scale up here in the anywhere anytime in the next couple of years?
Ambarish Kenghe: Okay. I think this is Ambarish. These are long gestation businesses. So we do not think we should start viewing them in 1 or 2 years. Overall, very pleased with how the folios and the AUM has been growing. But Hemen, maybe you can give the specifics on the portfolio and AUMs again, so that becomes clearer.

Hemen Bhatia: Yes. Than ks, AK. Yes, see, the idea is to build a strong, education -led, passive AMC. As you would know, mutual fund is a long gestation business, and it takes time to build the scale, create a brand, build a scale and then leverage on to what we build.
So currentl y, we are very happy with the number of clients who have started participating in our ETFs and index funds. It is growing at a very, very steady pace. And we have seen that once the clients grow, basically over a period of time, you start seeing that slowl y and steadily in AUM as well. So that is how it is.
Prayesh Jain: Got that. Just last question. Any colour on the AP channels productivity on the distribution side, whether it's mutual fund, insurance, credit? What is the kind of AP channel size in terms of these businesses? Largely, I think, on the broking side, we understand and we can do some reverse working with respect to the broking side.
But with respect to mutual funds scale up, which is ideally, I would presume that, that's more on the distributor route. So you will be earning income out of it. So what kind of size we have been able to reach on mutual fund as well as insurance and credit there?
Vineet Agrawal: Prayesh, we do not, right now, give any split of the distribution income between the direct and the assisted business. But overall, it will be in that same ballpark of the broking business, which is roughly 75 is to 25. For now, you can take that. And as we go along, we will start giving more information in the following quarters.
Moderator: We take the next question from the line of Nidhesh from Investec.
Nidhesh: First question is on pricing per order. So that has increased in this quarter on a QoQ basis. Last quarter, I t hink we have taken a price hike. So it is now a new normal or you see further increase in pricing per order going forward?
Ambarish Kenghe: Look, we have -- as all of us have said, we are operating at a fairly healthy margin. We are focused on building a g reat product and serving our customers. So there is

no thought on more
pricing changes.
Nidhesh: Secondly, on the opex , how should we build trajectory from a 2 - to 3-year perspective? We have seen pretty good growth in opex over the last 3 to 4 years. But how are you planning from a next, let's say, 3 -year perspective? Do you still see that opex growth will be lower than revenue growth or it can be similar to revenue growth going forward?
Vineet Agrawal: So Nidhesh, a large p art of our opex is driven by customer acquisition that we do. So that we are quite buoyant about it. We are very focused on that. Other than that, I think we continue to guide the -- our stakeholders about operating margin of about 45% , 40-45% for the brok ing business, which we will continue to endeavour to obtain. So that should be the guiding principle for any future projections.
Nidhesh: And lastly, on the wealth management, how many clients that Angel One has, which will qualify in the HNI category? And what will be the operating model in that segment?

Amit M ajumdar : So Nidesh , on that, well, we are still working on those because right now, as you know that the wealth business is just beginning to scale and ensuring that more and more products are provid ed on the platform. There is a digital platform that the wealth is themselves built. Only this year, we are now looking to integrate wealth platform into our Super App. And as more numbers emerge, we will come back to you with more information at a later t ime.
Moderator: We take the next question from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha: Sir, my first question is on the gross b roking income mix. I mean honestly, if you see last 8 quarters data, largely the authorized person contribution, it remains in the range of 41 -42%.

Despite adding so many number of clients, the direct customers contributi on significantly did not change in last 8 -odd quarters.
Sir, just wanted to understand, is our reliance on authorized person to delive r the growth has increased off late and or there is a slowdown in the traction in the direct guys? That is point number one.
And the second thing related to that thing only, two things which I wanted to check was that, you used to disclose EBITDA margins o f AP channel and direct channel separately in the past. If you can reshare that number, that would be useful just to understand the colour of the profitability.
And related to the authorized person only, if you can give a colour on how the margin trade funding book works? It is skewed towards AP customers or more skewed towards direct customers. That is the thing which I wanted to check.
Ambarish Kenghe : Look, many of these things, we don't break out. Thanks so much for your questions, Sanketh. Overall, both the businesses, direct as well as AP businesses, are fairly vibrant. Both of them we are investing in. So we continue to be excited about both the businesses, but we do not break out the specifics.
Sanketh Godha: Yes. The reason, sir, I am asking this question is that because if the operating leverage needs to play out very strongly in the company, I was under the impression that the direct growth should be much stronger because it takes us down directly to the bottom line. And there is a kind of stagn ation in the gross broking income between authorized person and direct. So that is the reason I wanted to check on that particular point.
Ambarish Kenghe : Look, we are investing in both the channels, and the split is remaining quite similar. The beauty of the assisted channel is that when you look at the long tail, when you start looking at Tier 2, Tier 3 and beyond; you get really good growth from there. And as we are expanding, I think both these channels remain fairly important for us.
Sanketh Godha: Okay, sir. Understood. And last one, Vineet, you probably missed on your opening remarks, the finance c

osts went up in the current quarter. I just wanted to understand, it is largely because of the regulatory reasons, because of the upstreaming or there was something else?

Vineet Agrawal: So one is, of course, our client funding book has also grown. So some part of that is attributable to the growth in the client funding book. But the majority of it, as I mentioned in my opening remarks, is due to the regulat ion, which came into effect from 1st October for the industry, wherein the upstream of client funds is required. But as I mentioned, this is something which is transient. It is not a permanent feature. So hopefully, by the -- sometime during the quarter, we will have a solution in place.
Sanketh Godha: Okay. But the current run rate will continue. Is it fair to assume or you will have a resolution to that?
Vineet Agrawal: This -- for some period during the quarter, it will continue. But by -- hopefully, by the end of the quarter, we will have a more realistic number, which is going to be lower.
Moderator: We take the next question from the line of Gautam Jain from GCJ Financial.
Gautam Jain: Congratulations for very good numbers. Sir, we have seen that the r evenue per order in this quarter has gone up. So is it fully factored in or we can see further rise in revenue per order going forward? I mean whatever hike we have taken is completed, the full impact has come in the quarter, or we can see further rise in first quarter revenue?
Ambarish Kenghe : Gautam, thanks for the question. And there are multiple factors that go into it. There's a mix of orders, I think you've referred to a little bit about the pricing change we made. The pricing change that we had made actually went into effect middle of the quarter. So some impact you saw of that also, but there are multiple factors going on this, and a lot of it depends on the mix of orders as well. So it can change some quarter -to-quarter.
Moderator: We take the next question from the line of Raman KV from Sequent Investments .
Raman KV: Yes, sir. Sir, I just want to understand your credit disbursement business. Does the business include your insurance business as well?
Vineet Agrawal: No. The credit distribution busine ss is only for loan -- distribution of loans, insurance distribution, though we do that, but it's a separate business.
Raman KV: So from what -- I just want -- from the PPT, what I can read is the distribution business or revenue from distribution, does th at include your credit as well as insurance or only the credit disbursement distribution?
Vineet Agrawal: So Raman, as per the regulatory guidelines, the insurance business can be done under a separate legal entity. It is done under Angel Financial Advisor s, which is a wholly owned subsidiary. And therefore, the stand -alone numbers that you see, which is broking plus distribution MF and credit, that does not include the insurance distribution cost or the revenue. That's part of the

consolidated numbers. As I mentioned, the distribution business for insurance -- for credit and MF and the broking is part of the stand -alone that's there in front of the presentation.

Raman KV: Understood, sir. And sir, my last question is with respect to the asset management sid e. We have been launching index funds and ETFs. Is there a plan of pivoting to manage -- actively managed fund like a flexi cap or a mid -cap by the company?
Ambarish Kenghe: Thanks, Raman for the question. We are very focused right now on the passive side. And you may see actually more come on that side, but nothing to talk about on the active side.
Moderator: We take the next question from the line of Devansh Tandon from Findoc Finvest .
Devansh Tandon : My question is regarding the commodity turnover market share. In the recent business update that you ha

ve shared, it has reduced from 65% in Q2 to 53%. So what led to this decline in the market share?
Ambarish Kenghe: Devansh, thank you so much for your question. Look, I think we -- I talked about this in my initial comments also. When we look at, let's say, quarter -over-quarter, just the number of orders went up by 21% for us. The ADTO, if you look at it, that went up by 43%, this is the quarter -over-quarter. We look at year -over-year same numbers, orders wen t up by 53% and year -over-year ADTO went up by 169%.
So what is happening is that there is a tremendous growth in the commodity market and the market is expanding. So what you're seeing is that the pie is expanding quite rapidly. And even above 50%, that's a very, very healthy market share. So we, of course, welcome when the market is expanding, we are seeing the growth. So happy about the growth we are seeing in commodities.
Devansh Tandon: So going ahead, sir, do you expect the number to remain in the sam e range or like...
Ambarish Kenghe: I think overall, I do think that maybe the drop in the share that you're seeing is definitely stabilizing. And we continue to see a lot of growth in commodities. So we are expecting -- again, it's hard to predict the fut ure growth specifically, but we do expect more growth in commodities.
Devansh Tandon: Okay. And sir, regarding the EBITDA margins on the consol level. So are you expecting it to remain in the same level for next 2 to 3 years?
Ambarish Kenghe: On the -- our request would be that, in fact, which is why we sort of break that down is that look at the stand -alone basis because that is more -- that shows you the strength of the core business.
On the consol level, things can change depending on what investments we make. We want to continue to make investments in growth as and when opportunities arise.
And therefore, the consol margins could change based on that. The guidance that we have given, you should -- on the stand -alone basis, I think that will continue to b e there, and I think we only see that business strengthening.
Moderator: We take the next question from the line of Dipanjan Ghosh from Citigroup. Ladies and gentlemen, the participant has left the question queue. We will move on to the next question from the line of Vatsal Nagelia from AstralMind Capital .

Vatsal Nagelia : Over the years, we have been able to increase our market share in cash and F&O at a steady pace. One of our competitors, which was recently listed, they have a similar base and are gaining market share at a much faster pace and also spending less on marketing. So do you see any gaps in our strategy that we can address? And also, like how do we see the market share evolving going further?
Ambarish Kenghe: Sorry, Vatsal, I did not -- the last part you faded a little bit. Can you repeat the last line, please?
Vatsal Nagelia: Yes. Yes. So how do we see our market share evolving going further? And also like is there any gap in our strategy that we -- that we can address?
Ambarish Kenghe: Look, I think I feel that we have been always – we have been a player who's been around for more than 30 years, right, if you look at different ways that we have operated. And we have seen the ups and downs of this market and various businesses.
So we really stay focused on what we are doing and how we are doing better. If you look at it, we have had a healthy gain, for example, if you look at even cash, right, we have had almost 100 basis points growth year -over-year in cash market share. We have very healthy F&O share, very healthy Commodity share also.
So there isn't sort of -- of course, there is no gap in the strategy or anything. I think we can – it is slightly different businesses. Every business is different, and we continue to be focused on our strategy, focusing on innovation, technology, AI. And you will c

ontinue to see strong growth. I
think you are seeing that in a continued basis anyway.
Vatsal N agelia: So is there any stable market share that you are targeting?
Ambarish Kenghe: No, nothing specific, I think, that I want to announce on that front in terms of the market share. We, of course, continuously want to be stronger in the market share, but most importantly, do the right things for our customer. I think the most critical thing is fundamentally do the right things for our customers, keep innovating and everything else takes care of itself .
Moderator: We take the next question from the line of Sanil Desai from ICICI Securities.
Sanil Desai: My question is more on the -- just circling back there. So I think you said there are some regulatory change, which led to the finance cost going up. So the borrowings have also increased. So can you just ex plain like what was the regulation change and why these borrowings have gone up. And you said like you are planning to reduce it going ahead. So what are some of the ideas or plan of action you have to reduce these borrowings in the next quarter?
Vineet Ag rawal: Yes. So the regulatory change is the reporting requirement from 1st of October, if we were to segregate the margin that we take from the clients, 3x and 5x of ELM, then the requirement was to upstream clients' margins with the clearing corporation a nd not use it for settlement of the trades. And therefore, there was a higher working capital requirement to that extent, which has elevated our working capital and therefore, the finance cost.

As I mentioned, it's something which is transient in nature b ecause there is a software update that is going to happen in some time, which will help us segregate and then not upstream this amount. And therefore, by the -- hopefully, by the end of this quarter, we see a decline in the borrowings and therefore, the fi nance cost.
Ambarish Kenghe: Just to add to what Vineet said, I think what we did was the short -term increase that you are seeing. It is really better for the customer. We just want to make sure that there is no disruption in our customers, and that's some thing that we want to stay focused on their experience.
Moderator: We take the next question from the line of Dipanjan Ghosh from Citigroup.
Dipanjan Ghosh: Sorry, my call got dropped off previously. So just a few questions from my side. First, if I were to look at the industry landscape today, a lot of players with deep pockets or favourable capital regime are offering the MTF facility at far lower rates than the leading peers. Now let's say, unlike broking where marginal difference in brokerage pricing do es not really alter the customer return profile, in MTF, a huge divergence of, let's say, 5% plus can meaningfully alter the customers' returns.
So on that perspective, assuming this sort of a divergence persists in the industry, would you kind of consider , let's say, differential MTF pricing based on ticket size or even maybe lower your pricing if competitive intensity were to kind of sustain? So that's the first question.
The second question is, what sort of aspirations do you really have in terms of scal ing up your B2B2C architecture ? As you mentioned that as you go into the interiors of the country, B2B2C kind of becomes an important channel to get that last mile customer. And in this line, would you have any inorganic plans also?
Ambarish Kenghe: Thank you so much for your question. I think let me address the first question, and then I will hand it over to Nishant who leads our B2B2C vertical to answer your second question. On the MTF pricing, you are right, I think in the industry, you see a bunch of different pricing schemes. The thing to -- really, as you go into the detail of that, you realize that there is a lot underneath. I think sometimes these schemes are fairly complic

ated on how things are charged and what is
actually the net effect of it. So that's what makes it harder for the consumer to discern. But what we've done is we've kept the pricing fairly simple. And we think we are at the right pricing point in it and don't need to actually look at it much. We've been growing the book quite well. As you saw, we grew our group -- the book -- MTF book more than 10% quarter -over-quarter. And we can -- of course, we always continue to monitor everything, but we don't see any need to look into pricing there at this time. Actually, Amit wanted to add som ething. Go ahead.
Amit Majumdar : Dipanjan, what we also need to understand that the MTF as a product is an integral journey to a customer's broking experience. So no matter what the pricing is, the customer remains engaged on the same platform. So even if there is a deep pocketed broker who is looking to reduce the MTF pricing -- but ultimately, it is about giving an extended service to an existing broking customer, and it is integrated in his journey. And therefore, to that extent, the customer will always remain in the same platform.

Nishant Jain : On your last question with regards to the growth prospects for B2B2C, we have always followed a phygital approach in our GTM, which seeks to leverage digital outreach along with physical outreach. And therefore, that gives us the unique advantage to be able to scale at par with other digital models and also, therefore, deliver a high double digits on a sustained basis.
Today, we are available in all the 19,000 PIN codes by and large. We have a very, very extensive expansion plan by adding other channel partner categories, be it mutual fund distributors, be it POSPs or be it DSAs in future. So yes, the outlook remains to be very strong and robust as we move forward.
Dipanjan Ghosh: Sir, my question also at an extend ed part, which is there is a certain divergence between -- in cost if you were to kind of build it out organically versus, let's say, acquire some of the fast -scaling players. So any inorganic plans that you may likely consider going ahead?
Ambarish Kenghe : Look, on all fronts, not just any specific front, as any company would do, we keep looking at inorganic opportunities wherever there is interest, we have conversations. But nothing specific, of course, that we can talk about it on that front.
Moderator: We take the next question from the line of Amit Jeswani from Stallion Asset Private Limited.
Amit Jeswani: Sir, I just wanted to know that the large margin difference between us and the newly listed player? Of course, our cost structure is a bit different. Just wanted to know what do we model our fixed cost as a 20% delta right now. So what do we expect that our cost growth would be because we've already invested a lot in the new b usiness verticals going forward?
Ambarish Kenghe: Amit, thank you so much for the question. I think one of the things that you will see in our costs, in fact, let's say, for example, if you look at the employee benefit expenses as Amit talked and as Vineet talked about, we've not been -- in fact, we've been keeping quite steady on that front. And so we think we have built a platform. We've built up a lot of these costs in the process. So we have a fully -fledged platform , and now from here, as we scale, we don't expect the costs to go up, especially the fixed costs. Some of these acq uisition costs, of course, would depend on what kind of acquisition is available, what's happening there. But we do think we've built up a really good technology team , we have built up really good -- even infrastructure costs are built into it. So as we sc ale for a long time, I don't see us needing that kind of increase. And then some of the investments that we are making in the AMC, Wealth, other places, I think that's great because that we want to conti

nue to invest in things like that for the future inst ead of worrying about short -term expenses there. But overall, I think we've built up a platform and a good base, and that's why you're seeing the cost stay steady and you saw that sort of PAT increase quarter -over-quarter.
Amit Jeswani: So would you say th at this ■ 275 crores quarterly run rate would grow at around 10% next year? Would that be a right estimate to think about next year, assuming then if our volumes keep growing at 25%, that is where the operating leverage comes in.
Ambarish Kenghe: Yes. I th ink overall, instead of guiding you on a specific cost item, my suggestion would be that keep our guidance on the margin of that 40 -45% on the stand -alone basis, and I think that will continue to happen.

Amit Jeswani: So basically, that we've already achieved. So right now, would you say that from a year onwards, our revenue growth should equal to our PAT growth or PBT growth?
Ambarish Kenghe: Well, I think it depends on where we end up investing and what kind of growth happens. For example, if you tak e a lot of acquisition costs or other places, then you see that existing . That's why I don't want to give you on a specific line item basis because that guidance then becomes -- it may not be accurate for you to follow. Best is to, I think, follow the oper ating OPM margin guidance that we have given , and as we go along, we can provide more information.
Amit Jeswani: That's only on the stand -alone business, right? And this is the...
Ambarish Kenghe: Yes, I would say on the operating margin, look at the opera ting margin guidance on a stand -alone basis. And as we make investments, either increase, reduce, we can continue to keep informing you quarter -to-quarter.
Amit Jeswani: But this is including the IPL ■ 150 crores that will be hitting our balance sheet in Q 1, right?
Vineet Agrawal: So this guidance of about 40 -45% is on an annual basis. There will be quarterly gyrations based on certa in specific events like IPL, et cetera. And I would urge not to get too perturbed about it. But on an annual basis, we should be able to achieve 40 -45% operating margin for the broking and distribution business.
Moderator: We take the next question from the line of Abhishek Wagadre from UTI AMC.
Abhishek Wagadre : Just wanted to ask what is the guidance for the MTF book scale up, say, by FY '27? And how are we planning to fund it? Are we going to issue more CPs? Or are we going to -- are we getting more limits from the banks?
Ambarish Kenghe: Go ahead, sorry. Is that the question?

Abhishek Wagadre: Yes.
Ambarish Kenghe: I think on the MTF one, you can start -- you can look at the past performance. We do think last quarter, for example, we grew 10% quarter -over-quarter. I do think that we think that the cash market will deepen further in India, and we do expect that to happen. But ha rd to give you a specific guidance on the book itself. I'll hand it over to Vineet for how we want to fund this.
Vineet Agrawal: So the funding, the basket of borrowings, we continue to diversify and recalibrate based on the availability of funds across va rious channels. Recently, RBI has circulated the draft circular where they have taken a step forward in terms of enabling banks to offer lending towards margin trading funding , that is something which is still in works. No final circular has come. But yes, if banks do start offering funds for MTF, then we would also look forward to, but we'll continue to expand our other channels, including commercial paper offerings and other avenues .
Abhishek Wagadre: Right. Any rough number that you can give me for FY '27 where we see the MTF book?
Vineet Agrawal: No, we don't give out any number. I mean, technically, we can grow this book substantially from where we are given the leverage that we ha ve in terms of the net

worth and the borrowing

capacity. But it's difficult to give a guidance on any specific numbers pertaining to MTF. I think the trajectory that we've achieved in the past, you can extrapolate that to get an understanding of where we c ould potentially go, let's say, in a few quarters from now.
Moderator: We take the next question from the line of Raghvesh from JM Financial.
Raghvesh: First of all, congratulations on very strong results for the quarter. I had a couple of questions. First, can you give ideally quantitatively else qualitatively how the customer acquisition cost has trended for this quarter? And what share of the customers we are acquiring through paid marketing? Even a qualitative answer would be fine.
And secondly, specifi cally on the cost front, given that the IPL is expected to be largely in the next year, so does that change how we typically book our expenses for IPL branding between FY '26 and '27? And just a data keeping question, have we spelled out the ESOP cost for this quarter?
Ambarish Kenghe: Yes. Thank you so much for the question there. On the customer acquisition side, I think -- we don't -- you should just -- there's no specific guidance we can give on it. You can generally take it as flat where it is. We're not looking for it to give a specific guidance on that.
On the channels, I think it's hard to -- you mentioned that how many is happening through certain channel or not. I do want to get into a little bit of detail on that because it's very hard to exactly assign which channel. For example, do you go with first click attribution or last click attribution and perhaps you got -- you can attribute to organic, but they may have seen your ad somewhere else. So it's very hard to attribute across channels. It's no t -- internally, we will do some of that, but it's not useful for us to give you a guidance on that. On IPL cost, I'll hand it over to Vineet.
Vineet Agrawal: So as we have been booking the IPL cost in the past, it will be basis the number of matches, whic h are played across, say, the month of March, April and May. So we would see some costs getting booked in this quarter, which is the last quarter of the current financial year. And there will be a significant cost that will come in, in the first quarter, d epending on the number of matches.
The schedule is not yet out. Once it's out, we'll have a better clarity on that. Yes. We have actually -- if you were to see our presentation, we've mentioned the ESOP cost for this quarter, which is about ■ 504 million and in line with our guidance for the entire year.
Moderator: We take the next question from the line of Vedant Sarda from Nirmal Bang Securities Private Limited.
Vedant Sarda: Sir, can you give me the bifurcation of our MTF book, which comprise of about ■ 25 lakhs and below ■ 25 lakhs?
Ambarish Kenghe: We don't -- I think we have that breakup in our financials, maybe Vineet can just give us.

Vineet Agrawal: If you were to refer to Slide 30 of our -- if you were to refer to Slide number 30 of our presentat ion, there we've given a breakup in terms of less than ■ 1 lakh, less than ■ 1 lakh up to ■ 5 lakh and more than ■ 5 lakh. That's the only segregation that we provide.
Moderator: We take the next question from the line of Jayshree Bajaj from Trinetra Asset Manager s.
Jayshree Bajaj: First of all, congratulations on the good set of numbers. My question is that I can see credit disbursal has seen an annual run rate of ■ 28 billion and yet the company currently relies on 7 partnerships with the banks and NBFCs. So my question is as credit is becoming the fast

emerging engine of the growth, are we planning to maintain the asset -light partnership model indefinitely? Or is there a plan to seek an NBFC license to capture higher margins?

Saurabh Agar

wal : As of now, w e are doing the distribution play only, but we are building capabilities to build it into a full -fledged platform play over time where we can get much more credit for what we are doing for our partners over time. And as and when newer opportunities come, w e'll think of doing things on our own balance sheet or not over time.

Jayshree Bajaj: Okay. And one more thing I want to get a little bit clarity on that how do your AI/ML models specifically adjust your credit risk of new -to-market clients who may like tr aditional credit histories and all?

Ambarish Kenghe: So I think this is something that is up to the lenders to do it themselves. We are largely a distribution platform as of now. So this is what the lenders do right now.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Dinesh Thakkar for closing comments.

Dinesh Thakkar: Thank you once again for joining us today. We hope we have been able to address your questions and share helpful insights. If you ne ed any other further information, feel free to reach out to Hitul Gutka, our Head of Investor Relations, or to SGA, our Investor Relation Advis ors. Have a wonderful day.

Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference c all. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further to our intimation on March 27,2026, intimating of the earnings call with analysts and investors to be hosted by the Company on April 17, 2026, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company's website at www.angelone.in .

Thanking You,
For Angel One Limited

Naheed Patel
Company Secretary and Compliance Officer
ACS: 22506

Date: April 22, 2026
Place: Mumbai

Angel One Limited
Q4 FY '26 Earnings Conference Call
April 17, 202 6

MANAGEMENT :
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Kenghe Vineet
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CEO – Ionic
Wealth CEO – Asset
Management –
Angel One Asset
Management
Company Head of Investor
Relations

Moderator: Ladies and gentlemen, good day and welcome to Angel One Limited Q4 FY '26 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Hitul Gu tka. Thank you, and over to you, Mr. Gutka.
Hitul Gutka: Good morning and welcome everyone. Thank you for joining us today to discuss Angel One's Q4 FY '26 financial and business performance. The recording of today's earnings call and the transcript will be uploaded on our website under the Investor Relations s ection. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Mr. Dinesh Thakkar, Chairman and Managing Director; Mr.

Ambarish Kenghe, Group CEO; Mr. Vineet Agrawal, Group CFO.
We also have the senior leadership team of Angel One along with SGA, our IR consultants. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by and the floor will then be open for Q&A. Plea se note that there may be certain forward -looking statements during the course of the call , which must be viewed in aggregate with th e risks that the company faces.
With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks.
Dinesh Thakkar: Good morning, everyone. Thank you, Hitul.
India is going through a structural shift in financial services, driven by a rapid digital adoption, rising financial awareness and a young aspirational population entering formal market at scale. What matters just as much is how the participation is changing. Investors are not only entering the market, they are becoming more active, deploying more capital and using digital platforms as their main way to access financial services.
Technology is accelerating this shift. Data and digital platforms are making access simpler, improving decision -making and enabling more personalized journey across investing, saving, credit, wealth and protection. In this environment, the long -term winners will be platforms that combin e scale, engagement and trust.
At Angel One, we are building that intersection.
Over the past year, as a regulatory framework evolved to support more balanced and sustainable market participation, client engagement remained resilient. This reinforces our confidence in the long-term opportunity in India, where equity participation and ownership remains low, le aving a long runway for growth.
Our average daily orders have recovered well , and our operating margins are back within our guided range. This has been supported by deeper and more active participation on the platform, reinforcing our confidence in the structural drivers of our business.

Across wealth, asset management and credit, we are seeing encouraging early sign of scale. In wealth, unit economics are improving, which gives us confidence to scale up further. In asset management, we remain focused on strengthening and expanding our strategy. In credit, deeper client engagement is translating into rising demand and we are scaling in a calibrated and disciplined manner.
Together, these businesses are helping us deepen client relationship and increase value per client over time. Our ambition is clear, to build a unified technology -led financial platform that supports client across their financial journey from investing and wealt h creation to access to credit.
This journey is supported by balanced regulatory framework led by SEBI and

RBI, which
continues to support innovation while preserving stability and trust. As we look ahead, we believe Angel One is well positioned to participate at scale in the next phase of growth in India's financial service market, driven by broader parti cipation and deeper engagement.
I will now invite Ambarish to take you through the operational and business details. Thank you.
Ambarish Kenghe: Thank you, DT. Good morning, everyone. As DT highlighted, India's financial participation is deepening rapidly, driven by digital adoption and a more engaged investor base. At Angel One, our strategy has been to stay ahead of this evolution, strengthening our core, scaling new engines of growth and embedding technology deeply across the organization. This quarter reflects steady execution across each of these priorities.
A defining pillar of this transformation is our shift towards becoming an AI -native platform. We are moving decisively from isolated AI use cases to platform -level AI integration, rearchitecting both client experiences and internal workflows.
During the quarter, we elevated Ask Angel into a conversational AI -driven assistant. It has evolved into a natural language interface supporting client service, query resolution, IPO discovery and stock insights. Ask Angel is now embedded contextually across key journeys within the app, surfacing in the most relevant pages to assist clients based on where they are in their investment journey. This is powered by a robust hybrid architecture with proprietary agentic guardrails, ensuring reliability, scalability and integrity.
In parallel, among our AI -enabled engineering teams, more than 50% of development is augmented by AI. It is an integral part of day -to-day coding workflows, optimizing developer effectiveness and development timelines. A testament of this is the transform ation of Ask Angel itself, whose development was supported through AI -based tools.
More broadly, AI is now embedded across multiple efficiency, effectiveness and growth initiatives for both our clients and the organization. For instance, grievance email and ticket automation, real -time e -signature validation and onboarding KYC face match - where, live

facial recognition is matched against photo IDs with over 99% accuracy, thereby improving client experience. To drive organization -wide effectiveness, we developed the data analyst agent, which we had referenced in our previous earnings call.

Turning to the broking business, engagement rebounded meaningfully over the past year. Average daily orders scaled from 5 million in February '25 to 7.4 million in March '26, thus taking the aggregate order count to 431 million for the quarter, marking a six-quarter high. This strong recovery reflects resilience of our business amidst a softer macro backdrop due to geopolitical events like global trade tariffs, ongoing wars, full implementation of F&O regulations, etc. We sustained a 20.4% share of overall retail equity tur nover, an expansion of 46 bps year -over-year, and further strengthened our demat market share to 16.7%, higher by 54 bps year -over-year.

Our emerging businesses continue to scale with discipline. In credit, our lifetime cumulative disbursements reached ■ 27.1 billion, with ■ 6.1 billion disbursed during the quarter, reflecting steady traction. I would like to highlight here that we are today engaging with only a small segment of our clients for credit. The embedded opportunity within our ecosystem remains large, with our base c onsuming personal loans of over ■ 1 trillion annually from the broader market.

Mutual funds continue to remain a high -engagement product for us. It is a product with huge potential to create wealth and we are witnessing a growing investing culture in India through this. Here too, we are doubling down on simplifying the journeys for client

s, which is steadily
enabling us to strengthen our foothold in the industry. We continue to be the second largest provider of new SIP registrations in the country.

Our wealth management business continues to gather strong momentum. Ionic Wealth's AUM crossed ■ 100 billion, higher by 23% quarter -over-quarter. The already strong UHNI business has evolved into a powerful flywheel, driving 2x growth over the last 12 months and enabling entry into larger and more discerning families.

The omnichannel model central to wealthtech, HNI segment, has emerged as a proven moat. The platform is poised to scale distribution and unlock the next phase of growth. Assets under management per RM has grown 3x year -over-year. Interestingly, greater tha n 45% of the 1,900 -plus client base today is from non -metros. AI has evolved from experimentation into a core pillar driving scale and productivity. Today, 80% of Ionic Wealth's code base is AI generated, accelerating build cycles and enabling rapid innovation.

In our AMC business, we launched Angel One Silver ETF and Angel One Silver ETF Fund of Fund, thereby taking the count of number of schemes to 11. Period ending AUM at ■ 3.6 billion was lower sequentially, impacted by softer market conditions and some redemptions in the liquid fund. Interestingly, we saw our folio count increase by 28% sequentially to over 246,000 across 17,575 PIN codes.

To conclude, our focus remains on disciplined execution, technology leadership and earning client trust. Our foundations are strong, our capabilities are compounding and we remain well positioned to create durable long -term value. With that, I will now hand it over to Vineet to walk you through the financials.

Vineet Agrawal: Good morning, everyone, and thank you for joining us. Building on the strategic context shared earlier by Dinesh bhai and Ambarish, I am pleased to share that the fourth quarter witnessed a

meaningful improvement in client engagement and platform activity, translating into strong sequential growth across key operating and financial metrics.

Overall, the quarter reflects the resilience of our platform and the strength of client engagement, resulting in one of the strongest quarters in our history, while also positioning us well to scale our emerging businesses.

Despite one less er trading day during the quarter, orders executed on the platform increased by 13.3% sequentially to 431 million, reflecting strong client participation and improving trading intensity. This translated into gross income growth of 9.7% quarter -on-quarter to ■14.7 billion, while net income increased by 10.4% sequentially to ■11.3 billion.

The growth during the quarter was primarily driven by our core broking franchise with the share of broking revenues increasing to 60.7% of total gross income, highlighting improving trading activity across segments. Within broking, we witnessed strong momentum in the commodities segment supported by a healthy rally in bullion and energy commodities , with commodity broking income growing 15.8% sequentially. Similarly, F&O revenues increased by 16.1% quarter -on-quarter, benefiting from elevated market activity and volatility during the quarter, while the cash segment registered 4.6% sequential growth.

On the distribution side, revenues moderated sequentially primarily due to lower credit distribution and softer IPO activity, though this was partially offset by continued growth in the insurance distribution business. These trends remain largely cyclical in nature and we expect gradual normalization as capital market issuance activity and credit demand strengthen.

Turning to interest income, the client funding book remained broadly stable sequentially, while the interest income from fixed deposits increased by 10.3%, in line with higher client balances and margin placements with clearing corporatio

ns. As client eng agement on the platform continues to deepen, client funding and treasury income will continue to remain important contributors to the overall revenue mix over the medium term.

On the cost side, we continued to demonstrate disciplined fiscal control. Employee and ESOP costs declined sequentially following normalization after the Labor Code implementation in the previous quarter, along with some attrition and incentive rationaliz ation commensurate to period -end achievements.

Other operating expenses increased during the quarter due to higher client acquisitions, IPL -related brand investments, and a one -time reimbursement of ■192 million to clients arising from an external market infrastructure disruption. Excluding these items, the underlying cost structure remained well within control.

As a result, our reported EB DAT margin expanded by 227 basis points sequentially to 41.7%. Importantly, adjusting for one -time items and IPL -related spend, normalized EB DAT margin improved by 498 basis points sequentially to 44.4%, reinforcing the scalability and operating leverage embedded in the platform. This strong operational performance translated into profit after tax for the quarter increasing by 19.2% sequentially t o ■3.2 billion.

From a regulatory standpoint, the recent RBI directions relating to banks' capital market exposures are expected to have limited operational impact on us given our existing funding structures and collateral framework. While intraday credit availability fr om banks may tighten, leading to higher deployment of bank guarantees, the broader funding ecosystem remains diversified with continued access to funds from NBFCs, NCDs and other money market instruments like CPs.

Our balance sheet continues to remain very strong with a period -end client funding book at ■54.5 billion, net worth of ■61.5 billion, and cash and cash equivalents of ■165.6 billion, providing ample liquidity and financial flexibility to support growth while navigating regulatory developments.

The elevated borrowings on the balance sheet were largely driven by year -on-year growth in client funding book, margin deployment with CCs in line with elevated order volumes, and temporary liquidity arrangements undertaken to ensure uninterrupted operatio ns around the banking holiday on 1st of April 2026.

As we look forward, we remain focused on strengthening and scaling our emerging businesses alongside our core broking franchise. In this direction, the company has proposed a capital infusion of up to ■1.5 billion each into our wealth management business and our NBFC platform, which will enable us to scale these businesses meaningfully and further diversify growth engines over the medium term.

Overall, the improvement in trading activity during the quarter combined with expanding retail participation and our continued investments in technology, product innovation and adjacent businesses positions us well to capture the long -term structural opportunities in India's capital markets ecosystem. With that, I conclude my remarks and we would be now happy to take your questions. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Swarnabh Mukherjee with B&K Securities. Please go ahead.

Swarnabh Mukherjee : Hi sir, thank you for the opportunity and congratulations on a great set of numbers. Two, three questions from my side. First of all, sir, in terms of the overall environment, as you highlighted in the opening remarks, that activity levels have picked up. I just wanted to understand in terms of numbers, for example, the active client number that we are seeing, of course, this is a 12 -month kind of a number, but I mean, that number has been remaining static despite our order run rates, et c. going up over the quarter.

So I just wan

ted to understand that is this like, is there a slower activation rate of newer customers and the existing customers only are providing more orders? Or is this that older customers who have not traded, that impact is playing out, if you could highlight on that? And also, is it related to the -- what would be your thoughts on customer acquisition going forward? And you have previously highlighted that you are doing cost optimization related to that. So how should we think about that run rate goi ng ahead? So this is on the customer side.

And also, if you could provide some quantification on the items you had mentioned in the presentation related to costs that will start playing out from Q1, which is like how should we think about in terms of the employee cost and the ESOP grant? How do we build in the ESOP cost run rate for the next year and the year after that? That would be very helpful. Thank you, sir.

Ambarish Kenghe: Thanks, Swarnabh, for the questions. On the NSE active, like you rightly said, it's a 12 -month metric. So there is a lot that goes in in terms of sort of what was happening 12 months back, which reflects potentially in the number that you see today. Of cou rse, the last year has been quite tumultuous. And what you're starting to see now, you're starting to see actually the industry add, starting to add net clients at NSE active clients, which was not the case for a few months. We've also added a few clients now. I do think that we should not look at like a few months, but this is a yearly metric, so I would say wait for a few months and you will start seeing more momentum on that front. I don't think we should read too much into it. From a cost of acquisition, we have generally guided that it's continued to stay mostly on the stable side, and we continue to work on initiatives to make sure it stays within reason and hopefully bring in more efficiency, but we don't disclose that c ost specifically.

On the employee and ESOP, Vineet, do you want to take that?

Swarnabh Mukherjee : Sorry, Ambarish, a quick follow -up on this active users. Just wanted to understand that if I was to look at the monthly active users for the industry, would we be kind of, our delta be mimicking that? Or would we be better off or maybe slightly softer? If you could give some color on that, that would be helpful.

Ambarish Kenghe: I think we don't guide on the monthly active users, Swarnabh. But what we do disclose is that we are continuing to add new users. We do disclose our client acquisitions. In fact, we disclose that every month. So we are continuing to have a healthy mix and MAU in general is continuing to go up.

When the markets, and you know this, when the markets are not doing well, something like what happened in March, for example, was very unprecedented. And there, of course, you see fewer users coming back on the platform across the board. So that's somethin g that we also saw. But overall, we are seeing a continuously increasing trend of MTUs and MAUs.

Vineet Agrawal: Yes. So, Swarnabha, on the employee cost, we will likely be within the same range of the FY 2026 number, which is about ■11 billion, including the ESOP cost. ESOP numbers are being finalized as we speak, so I will be able to give you a more detailed answer about this in the July call, but it's likely to be in that same range as it was last year.

Swarnabh Mukherjee : So just to clarify, I mean, it will have a similar run rate between FY27 and FY26.

Vineet Agrawal: Yes, I mean employee costs are not going to rise during the current year as compared to the last year.

Swarnabh Mukherjee : Okay, very helpful. Thank you so much.

Moderator: Thank you. The next question comes from the line of Swati Gupta with Hill Fort Capital. Please go ahead.

Swati Gupta: Hi, sir. Thanks a lot for ho

sting the conference and congratulations on a strong set of numbers.

I just had one quick question on the growth numbers. So as we look at probably the marketing spend that we have been doing over the last few years, right, we have spent heavily on marketing and we correlate that to the growth in the numbers, right? So if we look at the growth in the number of users or the turnover or the asset sizes, especially on the F&O and the equity derivative side, I am not seeing a growth which is as high as I would have hoped correlating into the marketing spend. So just wanted to get your views on this, that is there something structurally different in the market which is not giving us as effective return on advertising and marketing as we were getting before.

And just as an extension to that, the second piece of the question is in ARPU s. So Average Revenue Per User , if we compare what we are getting for a new user in FY25, FY24 cohort or

FY23 cohort is lower than what we saw in FY2021. So is there like, that's the other question I'm just trying to understand, is there anything structurally different in the industry tha t might change the numbers here? Thanks.
Ambarish Kenghe: Yes, Swati. Thanks for the question. I think in terms of the marketing numbers, you have two kinds of numbers there, right? One is what we spend on branding and IPL of course is a large spend for us. And what we do with performance marketing. The branding one, you have to take a very long -term view on that. And there are different kinds of metrics like top of mind or TVC that we do. So as you know, it's a ver y different metric that one puts on it.
On the performance marketing, of course, we look at CAC and we follow that closely. The last year has been very interesting, right? I mean, and we have shown growth through that year, and we had guided that, look, we get to a certain OPM and we are there now. This last year actually had a little bit of an aber ration because there was this change in F&O regulations that the industry was also adjusting to. So multiple changes that happen.
So that is creating a bit of aberration that you are seeing. And on top of it, there was sort of the se macro shifts as well. I think we have to wait for the next few quarters and then make a sense of where the marketing spends are creating value or not. But like I said, brand is a very long -term thing, and performance is what we really measure in terms of what it provides us.
Swati Gupta: Got it. And anything on the ARPU you can elaborate on?
Ambarish Kenghe: I think ARPU is also, this is where the year comes in. I think what you're looking at is that the last year, you've got a bunch of events and regulations coming in that our users and the ecosystem was adjusting to. So that's what, and all the sort of macro events. So that sort of caused the ARPU there. We do have to wait for the next few quarters and then judge how the ARPU is trending.
Swati Gupta: Got it. Thank you.
Moderator: Thank you. Next question comes from the line of Prayesh Jain with Motilal Oswal Financial Services Limited . Please go ahead.

Prayesh Jain: Yes, hi. Congrats on great set of numbers. Two questions from my side. First, just a couple of items on the P&L. So the ■19.2 crores one -time hit, can you explain that a bit more as to why was that? And do we have any recourse to that number?
Ambarish Kenghe: Bhavin , do you want to take that?
Bhavin Parekh : Morning, Prayesh. Angel encountered a technical issue originating at the MII level which led to an abnormal trading environment for our clients. While the root cause was external and there was no obligation on us, we proactively supported the affected clients through a one -time goodwill gesture.
Prayesh Jain: But do we have a recourse to it in a way, can you recover this from the MII entity?
Ambarish Kenghe : So we ar

e continuing to work with the MII on this and looking to resolve it.
Prayesh Jain: Got that. And you mentioned about AI investments to kind of and going full-fledged out there. So that primary to drive down cost and Vineet mentioned that employee cost will be stable between FY26 and FY27 including the ESOP cost. So just trying to figure out whether some bit of efficiencies will be coming in from AI to, or how do you think about AI investments an d the returns from those?
Ambarish Kenghe: That's a fantastic question and everybody in the world is looking at that. The way we think of it is that it's not just efficiency. You have to think of it's a new world, right? The world around us is changing. And therefore, how do we think about our org anization, our business, our clients overall. So which is why you're seeing initiatives across the board. And the whole idea is not just to go after efficiencies, but actually create growth from it.
And every little bit that we do with efficiencies, effectiveness, it is what we're doing with Ask Angel on engagement. So you will see this permeate all parts of the work that we do. And of course, like Vineet mentioned, there are some efficiencies that wi ll get driven through AI as well, but we are not in a hurry to do any of that. We want to make sure we grow it in a very methodical way, very long -term view on this. I've said this before, I think people are overestimating what AI can do in the short term and underestimating what will happe n in the long term. And we continue to be focused on the long term.
Prayesh Jain: Does that mean your investments or opex will kind of increase for the AI investments and so the savings that you would see on the, for the employee cost front will be offset by some higher cost on the opex front?
Ambarish Kenghe: We are definitely increasing our investments in AI, but in a very measured and sustainable way. So of course, there are efficiencies that come in , some of it will get ploughed in. But it's not just efficiencies in employee costs, but you are seeing efficiency across the board in the tools that we use, how things get done.
So each of these efficiencies basically, there may be a higher cost base, and over a period of

time, it starts giving more leverage. But we will definitely pl ough in the efficiencies that we g o across the board into new er technologies and growth that we can do for the long term.

Prayesh Jain: And so you had kind of guided for a 40% margin at exit rate on the broking business, which is very well achieved. Now what would you guide for an exit rate for FY27?
Ambarish Kenghe: Look, I won't give you a specific number on it. But what I'd tell you is that because we are keeping a close eye on efficiencies and costs, therefore, as revenue grows, you get, if you keep the costs steady, you get some operating leverage out of that right away. And any more efficiencies we get will create more margin expansion. So we do hope that there will be, and we do think that there will be more margin expansion from here. I don't want to guide you on a specific number on that because at the same time, you should, of course, then we guide on someone, these things, it's on broking and distribution. But even in that business, if we get opportunities for growth, we will plough it back. Therefore, I wouldn't want to give you a specific number. But in general, you can expect margin expansion.
Prayesh Jain: Last question. Why did the cash segment realization is dropping this quarter? We were expecting it to increase, right?
Ambarish Kenghe: I think it depends on what happens in terms of the order ratios and what kinds of orders happen. Part of it is that it's been quite an interesting quarter, if I may. March was quite a difficult month in terms of everything that was happening around it. So I won't read too much into it.
Moderator: The n

ext question comes from the line of Sanketh Godha with Avendus Spark.
Sanketh Godha: Sir, my first question is probably there's a sharp drop in the employee cost compared to third quarter and the current quarter. And also despite the ESOP costs going up, and you're also guiding that number to be flat for the next year. So anything to read that there has been a meaningful drop in the employee count with that tech I think what you are trying to say? And if it is a benefit beyond FY27, then how do we see, maybe the same question, how do we see the margins to play out assuming fourth quarter is going to repeat in a base case scenario for the next entire year in that sense in the revenue term s at least?
Vineet Agrawal: Sanketh, as I mentioned and Ambarish also reinforced the fact that we are using technology and therefore we will see efficiencies coming across the board. And those efficiencies over a period of time will also see our cost line items also getting better. So you will see that happening. And therefore we maintain that our employee cost will be flat year -on-year in spite of all the efforts that we are doing and the growth of business that we want to see.
Sanketh Godha: So have you seen a decline in the employee count or if you can spell the number compared to the previous quarter to current quarter, that should be giving a colour to us?
Vineet Agrawal: Yes, I mean the employee count keeps on gyrating . There will be opportunities in the businesses where we will fill the gaps for critical hires and there will be instances where the bench strength that we have will fulfil the need for the business. So there is a marginal decline in the employee count qua rter-on-quarter. And as we go along, we will continue to optimize on that.
Sanketh Godha: Understood. And second thing is that I just want to understand if you can give the breakup of net broking into direct and authorized person, which I did not find it in the PPT this time. And related to that, your commodity broking yield also has come down . So is it to say that the direct

guys are trading more in commodity compared to the AP guys, and therefore the yields have come down and that will be the new trend?
Vineet Agrawal: On the split between the broking -- of the broking revenue between the assisted business and the direct business, it remains more or less same at about 25%, 27% coming from the assisted business and about 75 %-odd coming from the direct business. And I'm sorry, I couldn't get your second question.
Sanketh Godha: Sorry, I was saying your broking yield in the commodity market, commodity segment has come up meaningfully. So whether is it fair to say that the direct guys who are on the flat pricing model are relatively trading more in the commodity market compared to the authorized person which was maybe the case a couple of quarters back. And that's the new normal in the broking yield realization in the commodit y is my assessment right or not is the point I am trying to check?
Ambarish Kenghe: No, I think, look, in commodities what happened is, again, I think these are, I wouldn't read too much into it because what's happened is that there's lots of changes recently you've seen. There was this whole sort of gold and silver pricing -- prices that were fluctuating, for example, in February. And then you saw a lot of action on crude in March. So some of these will change due

to that.
But I wouldn't read too much into it. There isn't any meaningful shift on that. The thing, though, is that overall, there is a rise in commodities over a period of time. The market is expanding because it's also a newer product that I think that people are getting introduced. So you are seeing a bit of that. But there isn't any major chan ge in the short term here that we are seeing.
Sanketh Godha: Okay, understood. And lastly, fundamental question, sir t

hat if I look at our numbers, whether it is margin trade funding book market share or our market share or even if I compare the cash ADTO, F&O ADTO or even commodity ADTO we broadly seems to have stagnated with respect to the market share. Last of part of the growth which we see is largely getting reflected by the market tailwinds, rather than we accelerating the market share.
I understand that the market was not benign but in last one year or more than one year. But some way the stagnation in the market share, if you can address it, how do you see it can improve, what measures you have taken, maybe if you can give a colour on that thing will be useful. And lastly, last year you disclosed the cohort analysis, this time it is missing in the PPT. I'm not sure why it's not there, but if you can give a colour there also it will be useful in that sense?
Ambarish Kenghe: Thanks for the question. See, let me actually come to the facts on the market share. So when you look at the F&O premium market share, quarter -over-quarter we have grown by 51 bps and year -over-year we have grown by 77 bps. When you look at the overall eq uity market share where, when you add up cash and F&O premium, year -over-year we have grown 46 bps and quarter -over-quarter we're slightly down by 4 bps, mostly flat.
So there is expansion there. Coming to commodity, in commodities quarter -over-quarter we have grown 100 bps. Year -over-year actually we have dropped. And that's where I explained that, in fact the market expansion has happened because as more and more peop le enter this market, market expands and to keep a market share of 54 -55% or 60% is untenable then because

the market is expanding, but we are again, I think continuing to expand what we are showing through the quarter -over-quarter growth. In cash, specifically, you are seeing a year -over-year drop of about 37 bps and a quarter -over-quarter drop of 117 bps. Now, in cash, March was very special. So March ends up being a month in which our cash share drops generally because of the client behaviour and the types of clients we have at that time. But the second thing that happened in March is also the market environment where the market was dropping sharply. And depending on the segment of customers you have and the market conditions, the market share can vary. I fully think that in April when we publish our numbers, you will see a bit of a bounce back in those numbers. So overall I'd say, just to summarize th is, right, I think there is an expansion that there is an increase in market share that we are showing. On cash you're, specifically on cash we are seeing a bit of a dip because of March. And on commodity it's a bit of a market expansion thing which is goo d. I think market expands and then everybody grows in that process.
Sanketh Godha: Understood.
Vineet Agrawal: Cohort related question, I mean, details about the cohort related revenues, that data is still there on Slide Number 12, so you can check that.
Sanketh Godha: Okay sorry maybe I missed it. Thanks. That’s it from my side.
Moderator: Thank you. The next question comes from the line of Vivek Ramakrishnan with DSP Mutual Fund. Please go ahead.
Vivek Ramakrishnan : Sir, good morning and congratulations on an excellent performance. So my questions are all around the credit business, which you see there is tremendous potential. Now in Q4 we've seen a drop in volumes. And in fact last year of the Q4 there was a drop in volumes. Is it seasonal? Two, in terms of your partnerships, I understand that you will not be taking any of the credit risk. But have your models been validating what the customer behaviour has been post giving the loan which builds be tter credibility with your partners?
Ambarish Kenghe: Saurabh, can you take that question?
Saurabh Agarwal: So just to answer the first questio

n, I don't think there is a seasonality. Last year also there was a dip, this year also there was a dip. I mean, it is coincidental. There were some ecosystem challenges that we faced this quarter. And which is why there is a small dip from Q3 that you see here. In terms of the credit models, I think our models are becoming better quarter -over-quarter. And in some shape and form there is validation from a couple of large partners that we work with. And over time, we see this capability only increasin g going forward.
Vivek Ramakrishnan : Thank you very much. Just one clarification. There is no credit exposure that comes onto your book side, via FLDG or anything which will be there on your books in this portfolio?

Saurabh Agarwal: Yes, in the distribution business there is n o risk whatsoever on our books, no FLDG what soever.
Vivek Ramakrishnan : Excellent. Thank you very much and wish you all the best.

Moderator: Thank you. The next question comes from the line of Gautam Jain with GCJ Financial s. Please go ahead.
Gautam Jain: Yes, good morning congratulations for great set of numbers. Just want to get a clarif ication that employee costs on FY27 would be similar to FY26. Is that correct?
Ambarish Kenghe: That's right. It's going to be in line with what we spent in FY 2026.
Gautam Jain: Okay. And second question is, so obviously your margin forecast which is 40 to 45% will be taken out in FY2 8 end. So w e want to increase our guidance from FY29 onwards because if our revenues grow mo re than expenses, obviously revenue the margin with expand further. Your comment on that?
Ambarish Kenghe: Look, I think you're talking about -- so FY26 is what we had guided 40 to 45% on broking and distribution. I think y ou're talking about FY27.
Gautam Jain: I'm talking about 28. I mean by that time I think we will exceed 45% margin, so will we expand our guidance?
Ambarish Kenghe: Yes, look, I don't want to go that far as FY29 , but you will see a margin expansion. I think you should look for higher than 45% margin on broking and distribution. But like I said, look, it depends on if we get growth opportunities to invest in, then we will go ahead and invest in it because we will not reduce our long -term growth for managing quarter -to-quarter OPM. But you should think of it as the margin expanding further.
Gautam Jain: Okay. So non -employee costs, c an we assume that 10% run rate should be something which we can guide for further expenses other than employee costs?
Vineet Agrawal: Yes, I mean again, it depends on the how the business grows, how we see the opportunities in the market in terms of client acquisitions and the business volumes growing . So there will be a commensurate increase in the costs with the growth in the business and the o pportunities that we want to harness.
Moderator: Thank you. Mr. Jain please rejoin the queue for more questions. Next question comes from the line of S ahej Mittal with Axis Max Life Insurance . Please go ahead.
Sahej Mittal: Hi, morning. Just one question on your customer acquisition cost. So one trend which played out in FY26 was that our CAC per customer and new customer acquired gone up quite materially. So how do we see our CA C moving per customer in FY27? Do we see that coming down per customer o r how should we think about it? And on overall customer a dditions, what is our strategy, w ill that number be higher than FY26?
Ambarish Kenghe: Arief, do you want to take the CAC question?
Sahej Mittal: Yes, and our strategy o n the number of customer additions, I mean, will it be higher than FY26, I mean how are you thinking about that ?
Ambarish Kenghe: Yes, Arief can take both the questions.

Arief Mohamad: Yes, I think let me take the second question which is the client addition first. So one,

it depends
on the general buoyancy in the market in terms of how many people are entering the market.
Our focus would be on how do we gain market share on the new additions while focusing on the quality of the clients that we acquire.
So difficult to put a number on it, but broad strategy is gain market share and focus on getting higher quality of clients who can add higher revenue for us . On the cost of acquisition depends on a bunch of variables, channel mix, channel pricing, but more importantly on the tactical opportunities that we see to push for a larger mix of high value clients in that quarter or in that month, right? So it can go up and down a little bit. But I think more or less, we expect cost of acquisition to remain in the r ange of similar levels at this point of time. .
Sahej Mittal: Got it, got it. Okay, perfect . Thank a lot and all the best.
Moderator: Thank you. The next question comes from the line of Nidhesh Jain with Investec . Please go ahead.
Nidhesh Jain: Thanks for the opportunity . Two questions. First is on NBFC, we are planning to infuse capital. Are we thinking of offering more credit products and keeping those products on a balance sheet? And second question is on EBITDA drag from the new initiatives for the full year and the p ath to breakeven on that drag .
Ambarish Kenghe: Saurabh will take the NBFC question and then Vineet on the other one.

Saurabh Agarwal: I mean, w e have a lot of customers who have asset in our securities , in our d emat, and they should have the ability to raise credit at a lower cost than personal loans, and which is why we are starting a loan against securities business on our own balance sheet, which is largely just a credit limit on p ledged AUM with us , with a seamless digital journey and instant disbursal.

And since we have customer assets in our demat and great engagement on our platform, there is a great right to play and possibly a great right to win and scale this play on our platform. And as we understand more about our customers, build more understanding of the credit business, we'll continu e to invest in credit on our own balance sheet. And which is where the current investment comes in.

Vineet Agrawal: On the operating margin drag from the newer businesses, I think for the current year we will have in the r ange bound of about 2.5 to 3%. So that's going to be there as it was in the last year.

Amit Majumdar : And if I may add, Nidhesh, we have to treat the core broking and distribution business independent of the newer businesses because these are growth drivers and we are enabling them only now. So there is a long runway for their growth going forward.

And therefore, we should not look at EBITDA as a mix of all businesses taken together. They all are very different, and they follow a different growth trajectory. And even their metrics of assessment or analysis will be very different from the way the broking business gets evaluated.

Ambarish Kenghe : The other thing very quickly, I wanted to clarify on the NBFC question is that when Saurabh said balance sheet, it is really the NBFC doing LAS product. I just want to make sure that that's very clear.

Nidhesh Jain: Sure, sure. And for this 200 - 250 to 300 basis points negative drag for the new business, so what is your view on the timeline when it will br oken even?

Amit Majumdar : So, Nidhesh , each of these businesses have a different trajectory of break ing even because they have started at various points in time. And of course, they all are very different businesses too and they all have their own gestation. Our belief is our wealth business, for instance, is going to achieve a breakeven in about 3- 3.5 years is something that we've already indicated to the street.

We are, of course, looking to invest further into that very business for this year given that we are seei

ng significant growth there. So, look, it is again a function of how busines ses evolve, what looks like a breakeven trajectory. But in the same time , if you are able to see unit economics doing well, we may actually invest more. So, it's a tough call today. These are all very nascent businesses but allow it to mature for some more time before we start having these conversations in greater detail.

Nidhesh Jain: Sure. Thank you. Thank you. That’s it from my side.

Moderator: Thank you. The next question comes from the line of Jaiprakash with Korman Capital. Please go ahead.

Jaiprakash : Sir, I just want to understand the reimbursement which you did to the clients, the nature of it, which product category, which services i s in this guide and all?

Vineet Agrawal: I think we have given enough information on that. It was a one -off event, and we would like to keep it at that. This happened sometime in March, and we are engaging with the relevant MII and hopefully we'll sort this out with them.

Ambarish Kenghe: I do want to sort of clarify again just to be, for full clarity, there was no obligation on us to do this and like Vineet and Bhavin have mentioned, we did it as a one -time goodwill gesture.

Jaiprakash: Okay. Thank you, sir. And I have this IPL cost, this is -- it is slightly higher than -- I think you have given some color on this si de that it will be -- next quarter it will be higher than what we have currently . So it will be significantly higher or just marginally higher? That's the one question. And if you can give me the full form of MII.

Vineet Agrawal: Sorry, on the IPL costs, the overall cost that we will incur during the season and incidentally the season started pretty late in March, so there was a lower cost that got booked in quarter 4. But overall it will be about ■1.5 billion, as we have been spending in the past as well. So no major increment in the cost as far as the overall spend during the IPL season is concerned. What was your second question?

Ambarish Kenghe: MII, I think you asked the full form. It's Market Infrastructure Institutions. I think these are intermediates.

Jaiprakash: Okay. T hank you.

Moderator: Thank you. The next question comes from the line of Dipanjan Ghosh with Citi. Please go ahead.

Dipanjan Ghosh: So a few questions from my side. First, we have gone through a few phases of market volatility in the last 12 to 18 months, both on the regulation front and also on the global geopolitical front.

Now, when you look at your cohorts of customers on the back book, and let's say, broken between those pre -COVID, post -COVID, through the AP channel, without the AP channel . And in terms of the behavior of those customers, if you can give some color on, during these major events and maybe with a focus more from a March perspective, I mean, how do you see the behavior difference between various cohorts of customers or various custo mers of differentiated demographics? Some broad color on that will be useful.

The second question is on Ionic Wealth. Obviously, I mean, you articulated your strategy in terms of sustained investments in that. But out of the AUM that you have raised till now, which is around ■100 billion, in terms of the potential hurdles that you see in this particular business, whether it is in terms of new talent acquisition or whether it is in terms of getting new flows from potential clients . And what are the hurdles do you really see in this particular business, at least from a medium term perspective, and any color on growth aspirations out here?

The third question is on the other expenses, and this is more exclusive of IPL spends. A good portion of th at expenses is marketing expenses and tech initiatives. So if the market environment were , let's say , to remain weak, hypothetically, what sort of flexibility do you really have in terms of

curtailment? Rather, would you want to curtail if let's say there is a prolonged period of pain in the broader market s?

Ambarish Kenghe: Hi, Dipanjan, and thank you for your questions. I'll take one and three and then I'll send the other, number two to Srikanth later. On the behavior, and you talked about March, in general what happens is that when markets are volatile like that and going down drastically an d there's a lot of uncertainty, not everybody wants to invest or trade at that time. So you see fewer people showing up on the platform. But people who show up end up, these are I think more high er end sometimes customers who average revenue per client tends to be higher. The lower end of the segment, a lot of times customers who are not investing or trading as much, many times stay away from the market in such matters. Again, you can't generalize fully, but that's sort of the broad guidance I can give you in terms of the behaviour .

On the other expenses, and just talking about marketing and tech initiatives, look, I mean, last year has been quite an interesting year with everything that has happened. But we think of long term, so we stay committed to what will drive long term growth in a sustainable way. So wherever it makes sense, wherever it is sustainable, we will continue to make those investments instead of trying to manage to a certain OPM.

We do want to be sustainable in the long term. I do hope, and we really think, that markets turn around. There are some signs of that as well across the board. But if there are challenges, we will of course make a judgment call at that time. But in general, we will not compromise long term growth for short term results. For Ionic Srikanth, do you want to take that?

Srikanth Subramanian: Yes, sure. AK, Dipanjan, thanks for the question . Look, I think we are building, this is a team which has built wealth over periods of time. So, if one wants to understand what sort of goes behind building a steady, sustainable wealth business, then some of the hurdles as you mentioned, whether it is co mpetition intensity, whether it is talent, is actually a very normal course of going through the motions of the business.

In fact, for us, in less than two years, the AUM numbers that we sort of happily reported is just a manifestation of making sure that we don't play for a particular cycle or a particular trend or a particular product. But we build it a slightly more horizo ntal business where we are able to capture different shades of what is right for the customer at a particular point of time. And given the fact that you build it with all the right tenets, we, on the other hand, have been quite fortunate to see reasonable interest from inbound quality of talent. We recently announced a very senior hire to lead our ultra -high net worth business as the CEO for that business. So I think while you are right that there are more and more players who are entering this space, but if one does this business with the right tenets, then the hurdles actually don't look like that big to cross. And for us, so far, we focus on the fact that if we can give clients the right experience, if we stay out of any unwanted sort of extreme measures on either side, regulatory, everything is well within the norm and use technology to increase productivity. I think if those pillars are there, I don't see any huge hurdles as far as building this business is concerned.

Dipanjan Ghosh: Got it. Thank you. Just i f I can squeeze one small question on the MTF book. And there was a pretty interesting disclosure in your presentation on the book aging on the client funding side.

Now, if I look at that chart closely, it shows that almost two thirds of the book gets unw inds within a 30 -day period or broadly within a 30 -day period.

Now, have you guys done some exercise on these customers, and given that the

MTF book has
exploded in the last one year, what sort of return profile are the customers really making? And especially in the last one month, what we have seen that despite markets correcting like 10 -15% plus, the MTF unwinding for the industry was, or for you guys also are like in the range of 7 - 8%.

So, when you combine and triangulate this book aging chart with the market correction and the unwinding, which was pretty low, how should one correlate these three parameters? And in terms of that, MTF, how much can this really grow from here on? Those are my questions.

Vineet Agrawal: Dipanjan , there are a couple of things. One, when you see the book unwinding, it's not necessarily that they square off the positions. Sometimes what happens is that at the time of the opportunity, clients may not have the full capital with them, and they are expecting some inflows over a period of time. And therefore, they kind of bring in their own capital and unpledge their stocks and retain those stocks in their portfolio.

And of course, there is an opportunity for them to square off the positions based on their belief of the growth that they had initially taken that bet on. So it's a combination of that. Unfortunately, we don't share that number with anyone. That's somethin g which is more for the clients.

And yes, I mean, I think from that perspective, we have seen a healthy growth in the client funding book , and we continue to have very, very strong belief that this part of the business, along with the cash business, will grow significantly over a period of time.

Dipanjan Ghosh: Got it. But any comments on the return profile? I mean, qualitatively , like on the F &O side, obviously, the regulator gives us some colour on the return profile of the customer. But on the MTF side, there still isn't much visibility ?

Ambarish Kenghe: I think we don't share that specific data, but since you I think talked about F&O, I think there is, when we disclose this data overall, I think what you see is, and we have a slide on this also in our investor presentation, is that initially you might se e the cohort that joins us has slightly higher participation of F&O, and slowly you see them going into cash and cash and F&O. So, you see that becoming people getting introduced sometimes through F&O and then going into other products. Also, when you see the, out of the transacting clients, the number of people who do just F&O is definitely less than 10%, but as low as 5% in cert ain cohorts, and as it matures it sort of goes down to that number. So, it's a small number of people who do F&O only trades, a lot of them actually end up going to other segments and sometimes it becomes an introduction to the markets for them.

Dipanjan Ghosh: Got it. T hank you, everyone, for all the comprehensive answers and all the best.

Moderator: Thank you. The next question comes from the line of Abhijeet Sakhare with Kotak Securities. Please go ahead.

Abhijeet Sakhare : Yes. Hi, good morning, everyone. Thanks for the opportunity. My first question to Ambarish. I think it's been a year for you now. So, any broad observations on any parts of the business where you think there needs to be like a more structural change over the medium term, especially on the broking side of things ?

And secondly, like a sub -question to that would be that one part of the business, but generally there is a lot of focus on how do we build scale by being more efficient maybe on the acquisition side. So, do you think that part of the business can potentially, you can tweak the business model in some ways over the medium te rm?

Ambarish Kenghe: Thanks for reminding me of the one year. It does seem longer given how the year across the macro was. I don't think there is any structural changes to be done. We have a very good platform on which we can sc

ale. Like we have talked about, there is, of cou rse, across the board technology and AI that we are continuing to use in all parts of the business and that will evolve over time because our thinking itself , you can't just say, look, we want to just have this process and then replace the same process with AI or technology. I think in the new realm , new era, we have to think differently of saying, look, does the process look different or do we have to do that process in the new era? So you will see changes evolve because of that, but there is no sort of specific one place where we would want to change anything.

We are actually, as you've seen in the last few quarters, we're continuing to perform very well as a team and also managing the macro headwinds quite well. On the acquisition front, I think the whole funnel across the board is getting optimized continuousl y. So you have to start it from

how are performance marketing, organic, different channels are working . And then when

installs or leads come in through that, how do we take them through the journey of KYC, and then how do we introduce them to different segments, and how we are able to retain them. So we are looking at all aspects of it, and that will contin ue to get fine -tuned over time.
When you look at it from month -to-month, there are gyrations based on what is happening in the market, because people's sentiments change. So you will see some of that fluctuate. But overall, it's moving in the right direction.
Abhijeet Sakhare: Got it. I have a couple of data questions. One is that on your earlier comment around margin improvement for FY '27. Now FY '26 itself, first half was very different from the second half.
So should we take the second half as a more reasonable base, which is like around 42 - 43% sort of a margin number as a base on which you want to build on for the next year?
Ambarish Kenghe: For sure, for sure. Second half should be the base that you look at.
Abhijeet Sakhare: Got it. And just one tiny question is that , let's say if you acquire 100 customers in a given year, how many would come from the AP channel?
Vineet Agrawal: That is about -- it varies between 20 to 25%.
Abhijeet Sakhare: And that channel itself specifically does not require any like a marketing spend or is that assumption wrong?
Ambarish Kenghe: Nishant, you can comment on that.
Nishant Jain: So the way we kind of approach that channel is one, the leads or KYCs that are being generated by APs through their own networks. And then we also enable them through a host of interventions, which are centred around building digital capabilities for those APs, building on - ground events where those APs generate a better visibility amongst the local crowds, et cetera.
So it's a combination of a lot of factors.
Abhijeet Sakhare: Okay, got it. Super helpful. Thank you so much .
Moderator: Thank you. The next question comes from the line of Shobhit Sharma with HDFC Securities Limited. Please go ahead.
Shobhit Sharma: Hi sir, I just have a question on your MTF book. This book has done pretty well in FY'26?
Ambarish Kenghe: Can you be a bit louder, we can't hear you very well.
Shobhit Sharma: Can you hear me now? On MTF book, we have done pretty well in FY '26. So how should we think about it from here on? And as the inflationary pressures persist, we can expect a rise in interest rate, so how should we think about our yields in this book? And on the distribution income, if we look at, it has grown pretty well as compared to last year. So what is actually driving this piece of business and how should we think about it going forward? And lastly, a data keeping question, tax rate for the year has been on the higher side. So any specific reason for that or should we or should we stick to a lower rate? Yes. Thank you.

Ambarish Kenghe: What was the last question?
Shobhit Sharma: Tax rate?
Ambarish Kenghe: Tax rate. Vineet, do you want to take the last question first?
Vineet Agrawal: Tax rate, so there are various factors, the contribution of CSR also gets a deduction there , so there are multiple factors which drive the tax rate, including the cost that we incur for the emerging businesses. So these factors drive. It's not a very large difference. But as the other businesses scale up and start making profit and the deductions reduce, the tax rate will come to about 25% to 26% of the PBT.
Ambarish Kenghe: On your MTF question, we do -- I agree with you that last year was very good in terms of how the book grew. We do think that there's really, I mean, the headroom is very large in the Indian equities market. And the cash market, especially, will deepen further. So you will see more interest in MTF. So we do see that growing.
Month -to-month, especially when events like March happened, you would see a dip there because people tend to exit their positions when th ere is that kind of uncertainty. But long term, we do see a very healthy growth in MTF. Interest rates are hard to predict, so we wouldn't want to sort of venture into that territory right now. But for now we are very happy with wha t our pricing is on that front.
In terms of distribution income, I think the key is the number of people that come on our platform. We have a very large base. And folks who are coming on our app then have other needs that are satisfied through distribution of whether it's credit or insur ance or other products. Therefore, that ends up being the top of the funnel from where people start looking at an d start, people get interested.
It is also driven by how well we are able to offer and what journeys we are able to expose it in terms of discovery, and what we get right in terms of our journeys and make it simpler for them to understand those products as well as avail those products. S o that is a continuous effort that we keep doing, and I think that's working well.

Shobhit Sharma: Just a follow -up on the distribution side. So what can be our penetration in terms of the large population which we have, so any number to that?
Ambarish Kenghe: I think we have given some trail, but I'll have Saurabh take it.
Saurabh Agarwal: I think , just a flavour on the number of customers who have taken credit from us over the last one year is close to 1 lakh people. And we have 3.5 to 3.7 crores KYCs, right, on the broking side. So I think, hence the headroom for us for growth is immense. I think the penetration on especially the credit piece is just starting.
Shobhit Sharma: Okay, perfect. Thank you and all the best.
Moderator: Thank you. The last question comes from the line of Vishal Biraia with Bandhan AMC . Please go ahead.

Vishal Biraia : Hi sir, my question pertains to again on the credit book. Is there any change in... ?
Ambarish Kenghe: A bit louder please, Vishal.
Vishal Biraia : Sure, sorry. Is there any change in take rate and what are the kind of loans that we are doing here?
Saurabh Agarwal: Yes. So there is largely no change in take rate. But as we expand the book and as we get more lenders and the distribution of loans across lenders change, take rates can change. Having said that, our take rates are generally best in kind in the industry. So t hat's one.
The second question around the kind of loans, right now we are doing on the distribution side only personal loans. And when we launch our own NBFC, we'll be starting with loan against securities.
Vishal Biraia : And what is the average ticket size for the personal loans that you do?
Saurabh Agarwal: ATS, we generally don't disclose, but we don't indulge into loans which are less than ■50,000, which are the small ticket loans which have seen a lot of

risk in the market over the last, say, two to three years. So we don't indulge in those loans.
Vishal Biraia : Sure. And lastly, any FLDG obligations on our part?
Saurabh Agarwal: No FLDG.
Vishal Biraia : Okay. Thank you very much, sir.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of question and answer session. I now hand the conference over to the management for closing comments.
Ambarish Kenghe: Thank you. Thank you once again for joining us today. As always, it has been a pleasure engaging with you to discuss our results and progress. If you need any further information, feel free to reach out to Hitul Gutka, our Head of Investor Relations or to SGA, our Investor Relations Advisors. Have a wonderful day. Thank you.
Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2026

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Further to our intimation on June 24,2026, inti mating of the earnings call with analysts and investors to be hosted by the Company on July 16, 2026, please find enclosed herewith the transcript of the said earnings call for your reference and records.

The transcript of the earnings call will be posted on the Company’s website at www.angelone.in .

Thanking You,
For Angel One Limited
Naheed Patel
Company Secretary and Compliance Officer
ACS: 22506 Date: July 21, 2026 Place: Mumbai

Angel One Limited
Q1 FY'27 Earnings Conference Call
July 16, 2026

MANAGEMENT :
Dinesh Thakkar Managing Director Ambarish Kenghe Group Chief Executive Officer
Vineet Agrawal Group Chief Financial Officer Amit Majumdar Group Chief Strategy Officer
Ajit Narayanan Chief Technology Officer Anand Agrawal Head of Product
Arief Mohamad Chief Business Officer – Direct
Business Nishant Jain Chief Business Officer –
Assisted Business
Saurabh Agarwal Chief Business Officer - New
Business Rohit Chatter Chief AI Officer
Sridhar Govardhan Group Chief Information
Security Officer Manmohan Singh Group Chief Risk Officer
Subhash Menon Group Chief Human Resources
Officer Ajit Sinha General Counsel
Manoj Agarwal Group Chief Compliance
Officer Bhavin Parekh Chief Product Operations
Officer
Srikanth Subramanian Co-founder & CEO – Ionic
Wealth Shobhit Mathur Co-founder – Ionic Wealth
Dharmendra Jain Co-founder – Ionic Wealth Murali
Ramasubramanian Interim CEO – Asset
Management – Angel One Asset Management Company

Hitul Gutka Head of Investor Relations

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th July 2026 will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '27 Earnings Conference Call hosted by Angel One Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sign al an operator by pressi ng star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hitul Gutka from Angel One Limited. Thank you, and over to you, Mr. Gutka.

Hitul Gutka: Good morning, and welcome, everyone. Thank you for joining us today to discuss Angel One's Q1 FY '27 financial and busine ss performance. The recording of today's earnings call and the transcript will be uploaded on our website under the Investor Relations section. The financial results, investor presentation and the press release are also available on the website. For today's call, Angel One is represented by Dine sh Thakkar, Chairman and Managing Director; Ambarish Kenghe, Group CEO; Vineet Agrawal, Group CFO. We also have the senior leadership team of Angel One, along with SGA, our IR consultants. The leadership team will give us a brief overview of the operational and the financial performance of the quarter gone by, which will be followed by a Q&A session. Please note that there may be certain forward-looking statements during the course of the call, which must be viewed in aggregate with the risks that the company faces.

With this brief introduction, I now invite Mr. Dinesh Thakkar for his opening remarks.

Dinesh Thakkar: Thank you, Hitul. Good morning, everyone, and thank you for joining us.

When I look at India today, I see once in a generation opportunity for financial services. We are a nation of more than 1.4 billion people with nearly 1 billion people of working age, over 1 billion Internet connection, world-leading digital infrastructure and rising incomes, yet participation in formal investing remains low related to India's size and potential.

Our opportunity lies in enabling the hundreds of millions of customers who will enter financial ecosystem for the first time, helping them progress from access to participation and ultimately pointing them towards long-term wealth creation.

This opportunity extends well beyond the categories we operate today. As customers' financial needs evolve, they will increasingly look for integrated financial solution across investing, wealth, credit, protection and retirement. The platform that understands the customer best and fulfils their need responsibly will have a significant long-term advantage.

We believe technology-led financial platforms will continue to have a lasting advantage.

Every interaction on our platform generates valuable data. Every transaction, query and decision helps us learn, adapt and improve. In our view, the winners over the next decade will not be simply those with largest customer base, but those with deepest understanding of their customer and the ability to convert that understanding into relevant, trusted, timely solution. That is why we remain in a continuous build mode because great fintech business are built by compounding intelligence over time.

As our platform matures, that intelligence compounds enabling more relevant customer experiences. This deepens engagement, strengthens trust and expands monetization opportunity across multiple financial products. This leads to higher retention, a greater share of wallet and ultimately stronger customer lifetime value.

As we expand into new customer segment, future cohorts do not need to monetize at the same level or at the same pace as earlier ones. What matters is that customers' lifetime value grows through deeper engagement and increased cross-sell adoption, while our technology platform and scale continue to lower the cost to serve. Together, this creates a powerful flywheel, wider reach, deeper engagement, better unit economies and sustained profitable growth.

Our progress in this quarter should therefore be viewed in the context of this long-term strategy. We are not simply building a fintech product. We are building a long-term financial ecosystem designed to participate in India's fina ncialization journey for decades to come with technology, data and customer first at its core, and we believe we are still only at the beginning.
With that, I will hand it over to Ambarish to take you through our quarter 1 performance and key development during the quarters. Thank you.
Ambarish Kenghe: Thank you, DT. Good morning, everyone. As DT highlighted, India is in the early stages of a multi-decade financialization journey. For us, the opportunity is not only about acquiring users. It is about building enduring relationships, deepening engagement and becoming the preferred platform across every stage of their financial life cycle.
At Angel One, we continue to execute on this vision by strengthening our platform, expanding our product ecosystem and embedding intelligence into every user interaction.
Every trade, SIP, loan application, portfolio review, user query, et cetera, generate valuable data signals and insights. Over time, these signals create a powerful flywheel. Higher engagement leads to richer data, richer data power smar ter AI and smarter AI enables more relevant experiences. This allows us to deepen relationships with them and compound value over time through greater engagement, retention and wallet share.
Importantly, this model is not built around one product. It is built around the user's evolving financial journey. A user may begin their relationship with us through trading and investing, later adopt mutual funds, seek credit as thei r financial needs grow and eventually require wealth management and lo ng-term asset allocation solutions. As they evolve through various

stages of their life, there is a continuous requirement for new financial products, allowing us to deepen relationships and expand monetization at minimal incremental cost to serve.
At the same time, the regulatory landscape continues to evolve. While we closely monitor these developments and remain agile in adapting to regulatory changes, our conviction in the long-term opportunity remains unchanged. Over the years, we have consistently demonstrated our ability to navigate market cycles and regulatory transitions while continuing to invest in technology, product innovation and user experience. Our strategy is built with long-term perspective, anchored in the structural growth of India's capital markets rather than short-term market conditions.
Our financial performance this quarter reflects the resilience of this approach. Revenue for Q1 FY '27 grew 25.4% year-on-year to ■ 14.3 billion. We maintained margins within our desired operating band post normalization of IPL-related expenses and ESOP reversals during the period. Consolidated profit after tax increased 102.1% year-on-year to ■ 2.3 billion, underscoring the strength of our diversified business model and disciplined execution.
Today, with over 38 million registered users, we are already seeing this play out. Broking continues to be a powerful gateway product with nearly 60% of our mutual fund clients engaging with us first through our broking services, while a meaningful proportion of mutual fund first customers subsequently participated in broking activities.

This ability to create multiproduct relationships has helped us achieve our lifetime best average client funding book of ■ 61.4 billion, sustain a 22.2% turnover market share in equity derivatives and improve our cash equity turnover market share to 17.4%, while maintaining a 20.2% share of overall retail equity turnover, reflecting the strong affinity users have for the Angel One platform.
During the quarter, we continued to scale AI ac ross both the user and operating stack. Ask Angel has evolved into a conversational assistant powering discovery, engagement and support journeys, serving over 1.1 million users and ad dressing queries in finance and support. Beyond user-facing experiences, AI is embedded across user onboarding for face match, real-time signature validation, grievance and ticket automation, content generation, software development, analytics and portfolio intelligence.
In addition to enhancing user experiences, AI is also enabling us to scale more efficiently by automating workflows and improving decision quality. As these capabilities continue to mature, we believe AI will increasingly become a source of both operating leverage and competitive differentiation.
Our AI-led decisioning capabilities are increasingly driving both engagement and monetization.
In credit, our propensity models, probability of default scorecards and lender approval engines enable intelligent user segmentation, richer engagement and more relevant product matching, leading to 130% year-over-year growth in our credit distribution to ■ 5.3 billion. With only a small share of our customers having ever avail cr edit through the platform, we see a significant embedded monetization opportunity across our ecosystem.

The same platform advantage extends into our wealth management business, where our technology-led experience continues to gain traction. Ionic Wealth-tech AUM crossed ■ 32.3 billion, while the UHNI segment expanded to 263 families with an AUM of ■ 87.3 billion. Across the broader franchise, total AUM grew 33.3% to ■ 134.4 billion, dominated by recurring revenue-linked assets.

Our asset Management business also continues to witness momentum with its AUM crossing ■ 6.2 billion. Over time, we believe this business will become an integral part of our broader investment ecosystem, comple menting our existing offerings and strengthening customer engagement.

As we scale, security remains foundational. Trust is the currency of all fintech platforms. We continue to operate with a security by design approach supported by ISO-certified systems, compliance and SEBI's CSCRF fram ework and alignment with evolvi ng digital privacy standards.

Through multiple layers of control, governance, monitoring, encryption and authentication, we remain focused on safeguarding the interests of all our stakeholders. We are also at the forefront of safeguarding our users from AI-driven risks in the post-Mythos era. As financial relationships deepen and AI becomes more pervasive, we believe trust, security and responsible use of data will increasingly become competitive differentiators.

To conclude, our strategy remains robust, deepen engagement, expand product adoption, grow wallet share and leverage intelligence to create superior user outcomes. Increasingly, we see Angel One evolving into an intelligent AI-powered fintech that accompanies users through every stage of their financial journey. Our technology capabilities are compounding. Our platform moat continues to strengthen, and we believe we are exceptionally well positioned to participate in India's vast financializat ion opportunity for many years to come.

I'll now hand it over to Vineet, who is our Group CFO. Thank you.

Vineet Agrawal: Thank you, AK. Good morning, everyone, and thank you for joining us.

Quarter 1 of this financial year was another quarter of healthy execution for the company. While market activity moderated sequentially across the industry, our diversified business model once again demonstrated its resilience, enabling us to deliver healthy profitability, maintain margins, while continuing to invest for long-term growth.

Consolidated revenue, gross revenue for the quarter stood at ■ 14.3 billion, growing 25.4% year-on-year while moderating 2.3% sequentially, largely reflecting softer trading activities across the capital markets. We processed 406 million orders during the quarter with the moderation primarily driven by lower derivative volumes, broadly mirroring industry trends rather than any change in our competitive positioning.

Importantly, our revenue profile continues to become increasingly diversified, while our core trading platform remains our largest acquisition engine, contributing close to 60% of our gross

revenues, the remaining 40% now comes from complementary businesses such as client funding, distribution, depository, wealth and other asset management businesses. This diversification is steadily improving the resilience and quality of our earnings profile.

Interest income remained a key contributor duri ng the quarter, accounting for 32.6% of gross revenues and growing 2.6% sequentially to ■ 4.7 billion. This was supported by continued growth in our average client funding book to ■ 61.4 billion, while the period-end book reached a record ■ 71.5 billion, reflecting increasing client engagement and deeper adoption of our financing solutions.

Distribution income moderated sequentially owing to seasonally softer insurance sales and muted credit disbursement. While distribution currently contributes about 3% of revenues, we continue to see significant long-term opportunity across lending, insurance, wealth and investment products as client relationships deepen.

Let me now turn to profitability.

Reported consolidated EBDAT for the quarter stood at ■ 3.6 billion, translating into a reported margin of 32.7%.

Sequentially, profitability was primarily influenced by four largely seasonal or time-related factors, moderation in market activity, annual employee increments and variable pay accruals, fresh ESOP grants during the quarter and higher IPL-related brand marketing expenditure concentrated in April and May of this quarter. These impacts were partially offset through disciplined control over acquisition and operating expenses.

More importantly, adjusting for these seasonal items, our normalized EBDAT margin stood at 43.6% compared with 44.4% in the previous quarter, remaining comfortably within our guided operating range.
I believe this is the more meaningful measure of the business. It demonstrates that our core franchise continues to generate strong operating leverage even as we consciously invest for the next phase of growth. Our newer businesses, particularly Wealth Management, Asset Management and Distribution, remain in their in vestment phase, but we are building them with the same financial discipline that has defined our core business. We continue to balance growth investments with profitability, ensuring that these businesses scale responsibly without diluting the overall return profile of the company.
Consolidated profit after tax stood at ■ 2.3 billion, representing 102% year-on-year growth, while our trailing 12-month PAT to ■ 10.3 billion and EPS of ■ 11.4. Profitability continues to compound faster than revenues, reflecting the scalability of our platform and disciplined execution across businesses.
I am also pleased to share that the Board has approved our first interim dividend for this financial year of ■ 1 per share with the record date being July 21, 2026.

Our balance sheet remains one of our strongest competitive advantages. Net worth increased to ■ 64.2 billion, while borrowings reduced meaningfully during the quarter despite con

tinued
growth in our client funding book. The temporary increase in borrowings at the end of the previous quarter was entirely related to the 1stApril banking holiday and has since normalized.
Equally important is the quality of our assets. 83% of our client funding exposure is below ■ 100,000 per client, while 85% of the portfolio is less than 30 years old (to be read as less than 30 days old), supported by fully collateralized client holdings and negligible delinquency.
Our capital allocation philosophy remains consis tent and disciplined. We continue to deploy capital selectively into businesses where we see long-term structural opportunities while maintaining a strong balance sheet, healthy cash generation and prudent risk management. We are not pursuing growth at the expense of returns, while investment is evaluated through the lens of scalability, profitability and long-term shareholder value creation.
Stepping back, I believe 3 things stand out from this quarter. First, our business model is becoming increasingly diversified with nearly 40% of our revenues now coming from businesses beyond core broking, making our earnings profile more balanced and resilient.
Second, our core operating engine continues to demonstrate strong operating leverage, allowing us to absorb normal seasonal cost cycles while sustaining margins.
And third, we are investing in the future with discipline. Our newer businesses are scaling steadily, but importantly, they are being built without compromising profitability, balance sheet strength or capital efficiency.
Taken together, these give us confidence that we remain well positioned to deliver sustainable and profitable growth over the long term.
With that, let me hand over it back to -- for the questions. Thank you.
Moderator: The first question comes from the line of Prayesh Jain with Motilal Oswal Financial Services Limited.
Prayesh Jain: Congratulations on a good set of numbers. Firstly, on the credit side, what has caused the slowdown? It's been kind of dipping over the past couple of quarters. What's kind of happening there. At Q3, we had disbursed about ■ 710 crores, then ■ 610 crores and now ■ 530 crores.
What's kind of transpiring there?
The credit growth in the industry seems to be very strong, but we've been kind of seeing weakish trends out there, and how should we think about it? Because you spoke about the potential of it, but it's kind of been slowing down at our end? That is point number one.

Point number two is on the broking side of the business, what is the kind of expectations you have from the current trajectory definitely for the month of July started on quite a weak note probably because of volatility or whatever the implications of BG would have on the overall industry, the second order impact would have happened on us. How do you see it kind of playing out in the next couple of quarters? And how should one read into the current weakness in the volumes?
Third would be on your Wealth Management business. Any color on -- again, and I ask this every quarter, but not getting these numbers, but anything on revenue that segment accounts for, cost, what's the kind of cost that's been incurred?

And lastly, if I compare the top management and particularly AMC, we've seen a massive churn in your top management. How do you see this business AMC, in particular, going ahead? And what are the plans out there?
Ambarish Kenghe: Prayesh, we'll start one by one. As you went there, on the credit side, I shortly hand it over to Saurabh, but I think you have to look at specially the credit business in the long term, if you see year-over-year, there's a 130% increase, and I'll hand it over to Saurabh to provide a little bit more commentary on that.
Saurabh Agarwal: So, you see generally disbursals in the quarter is driven by a combination of factors, your customer sentiment, lender underwriting

and pricing and customer experience on the platform are the important ones. Over the long term, all of these do pan out. But in the short term, some of these can create some impact. We, however, continue to work with our lending partners to improve conversion and strengthen the customer journey, and are very confident that the actions we are taking put us in a much strong er position to improve growth going forward.
Having said that, our long-term thesis remains completely unchanged. We continue to see a very, very large opportunity in credit. Within the Angel ecosystem itself, we have a very large engaged customer base, strong proprietary data and significant headroom to deepen credit penetration.
Our focus is actually on building a scalable, high-quality business with strong unit economics and scalable lender partnerships rather than optimizing for every single quarter disbursals. And we actually believe this approach will create much larger and much durable business over the long term.
Ambarish Kenghe: Thanks, Saurabh. On the broking piece, Prayesh, when you talked about, I'm assuming you're talking about the industry, ADTO. Look, I think we've seen 15 days of July. So too early to think about anything. The way we think about it is real ly in a year's time frame, nothing fundamental has changed about India, if anything, we are due for a big growth. So there is no -- I don't think there is anything to read into that one.
On the wealth management side, I'll hand it over to Srikanth to talk about it. Srikanth?

Srikanth Subramanian: Look, see, for us, one of the more important metrics as far as wealth is concerned is to build high-quality asset management -- asset under management led kind of a business, and that's why one of the key focus that we put and very inordinate focus on that is to have a very ARR-led AUM because in this kind of market as we are all aware, it's easy to give into the temptations of getting AUM, which is very high on one-time transactional revenue, which actually puts a lot of pressure on building a long-term sustainable business.
So, I think as an experience, all of us are brutally focusing on building a wealth management firm where not only are the assets growing at a very healthy rate, but the assets are growing with a significant focus on annuity as a corresponding revenue to that.
For us, what is also crucial is the unit economics are something that are starting to fire. It's been about 5 or 6 meaningful quarters after we started our business. And hence, one of the reasons why we focus more on parameters such as AUMs and cost-to-serve economics and unit economic metrics is those are the building blocks.
We've always maintained that we have a plan that we are working with , which gives us about 3 to 4 years in terms of having a more potential breakeven visibility. And at this point in time, all parameters are pointing towards that region. So that's the approach with which we are building, Prayesh.
Ambarish Kenghe: Thanks, Srikanth. And I think on the AMC question, I'll invite Amit Majumdar to talk about it.
Amit Majumdar: Prayesh, on the AMC, look, I mean, for us, AMC is an important capability and within our wider wealth ecosystems, our objective is to obviously build products that are simple, relevant and digitally distributed while leveraging the strength of our customer base and technology platform.
At this stage, our focus is on building the right foundation and strengthening our product suite, distribution capabilities and customer experience. So, you should think of the AMC as an important strategic investment that complements our platform and deepens customer engagement over time.
So, we will continue to evaluate opportunities across the spectrum, but our philosophy remains to build where we believe we can create genuine customer value and differentiate through digital distribution and tech

nology.
Prayesh Jain: I get that, Amit. Just two things. One, what has so far not gone right? It has been some time that we have launched the AMC and we have hardly scaled up any AUM. And second, on the credit part, again, where you mentioned that -- so what has not worked for us in the last 6 months, whether it is our platform, whether it is our relationship with the banks and with the partners, basically? Or what has not gone right that -- what has not worked for us that we've gone down by almost like, say, 30-odd percent from the peak. So, what has not really worked

for us? Those would be my questions.

Amit Majumdar: I'll pick up the AMC piece first and then let Saur abh of explain the credit part. Look, AMC all along has been a passive-only approach for us at the start. Passive businesses take a long time to mature. We started this about 15 months ago, not too long ago. And in that sense, passive grows as content grows, as educations grow. And if you know, passive is largely sold as a DIY on digital platforms.
So, the first 15 months has actually been to ensure that we roll out the right kind of products. Today, we have all the products that we need, the most important ones that we have already rolled out. And these have all got rolled out over time. In fact, most of the product rollout happened in the last quarter of the last fiscal. So, this takes time for it to build.
And while we are building the passive, we also recognize the fact that as an AMC, and given the length and breadth of the product suite that is available for us to exploit, we are looking at how to further expand this portfolio beyond what we are currently doing in passive. So, it's very early for us to actually comment on the performance as of now. But we are confident that over the next 3 or 4 quarters, we will have far greater visibility on our real strategy on the AMC front. On the credit, Saurabh?
Saurabh Agarwal: Just to expand on what I had said earlier. I thin k there are two or three things which could have gone better. But in general, I think lenders keep calibrating their risk and their pricing on our base over time. So, quarter-over-quarter, some of these do impact our disbursals. Secondly, as well, I mean, since we work with lenders and wh o in turn work with a lot of tech partners themselves for underwriting and for KYC, etcetera, so some friction in those parts of the funnels also do impact in the short term.
But some of these have been identified and in the process of getting corrected. So, we don't see any short-term to midterm blip in the credit growth. In the long term, we are actually very, very bullish on the same.
Ambarish Kenghe: Prayesh, I won't read too much into the quarterly gyrations, it's a very long-term business. You will see it grow.
Moderator: Mr. Jain, are you done with your questions?
Prayesh Jain: Yes, yes.
Moderator: Next question comes from the line of Sw arnabh Mukherjee with 360 ONE Capital.
Swarnabh Mukherjee: Just two, three questions. First, on the industry volume side, sir, I just wanted to understand that how you are, at the current run rate, seeing the broking volumes? So like in the first 15 days of July, how are we seeing the broking volume, particularly on the derivative side?
And do you see any impact of the RBI's circular second order impact on your numbers, if you can highlight that? If there is any possibility of a spillover effect that might come through,

although I understand that we are not -- we do not do the prop trading part, but if any spillover effect is coming, if you could highlight, that is one.
And secondly, I wanted to understand also on the MTF run rate, how are we seeing as we move in the first 15 days of July, if you could give some color on that, because I think at the industry level, it looks tepid. So any color would be helpful.

Thirdly, on the cost front. Sir, wanted to understand that, I mean, our employee expense, the flattish trend despite the increment. So how shou ld we think about the employee count? Has it kind of degrown over this period? I mean, if you can give some color on that.
And fourthly, in terms of our customer acquisition cost, you have mentioned that the acquisition cost has been lower this quarter. Would you mean in terms of the per client acquisition cost? Or is this a function of lowe r number of customers acquired. These will be my questions.
Ambarish Kenghe: Thanks, Swarnabh. I think on the first 2 question s, really, we don't -- we again talk about the quarter after it is done. So the first 15 days, I wouldn't -- I mean, you can look at the industry volumes. We continue to monitor our market shares and those situations, but we don't comment on them in the middle of the quarter. So I wouldn't want to talk about that. Maybe
Vineet, do you want to talk anything about the RBI circular at all because I mean, it's really hard to say, hard for us to predict that.
Vineet Agrawal: No. I mean, we are not seeing any kind of a liquidity issue as far as the funding position is concerned. So I mean, I think this is something which is transient and over a period of time will even out.

Ambarish Kenghe: Vineet, also on the employee cost, you want to talk about employee costs and the number of employees?
Vineet Agrawal: Yes. So Swarnabh, if you recall in the conversation that we were having in April, I had mentioned that we would be more or less flat as far as our employee cost is concerned vis-a-vis the last financial year. So in the last financial year, we were at about ■ 11 billion for the entire year, including the cost for stock options.
My sense is that we will be in that similar range in this year. And it's a bit early to give you a complete sense, but the way I'm looking at the business, we will be in the range of about ■ 11 billion as employee cost for the year.
Ambarish Kenghe: But I think across the board, you'll see that as we grow, we want to continue to drive the business efficiently. On the CAC, I don't think we comment on the CAC itself, Overall, you may see some changes in the total acquisition cost, and that is just dependent on how rich the market is in terms of acquiring the customers, but we don't comment specifically on the CAC itself.

Swarnabh Mukherjee: Right. So sir, just wanted to understand, I don't want any specific number in terms of the CAC, I just wanted to understand that your presenta tion comment was at an overall level and the total cost level or at the unit cost level of acquiring one customer?
Ambarish Kenghe: Swarnabh, it was at a total acquisition cost level.
Moderator: Next question comes from the line of Raman KV with Sequent Investments.
Raman KV: Sir, I have 2 questions. One is from the presentation and from the numbers, one can see that our distribution revenue has declined over the past 2 quarters as a percentage of gross revenue.
So can you -- is there any headwinds that we are facing in the distribution business? One is that.
And second is with respect to client funding book, which has grown substantially quarter-on-quarter. So, I just want to understand what is the risk of this client funding book on the -- at the company level if there is a -- if the market for next 2 quarters turns -- doesn't perform or the market takes a dive down?
Ambarish Kenghe: Raman, thanks for the question. On the distribution revenue, some of these quarterly gyrations that you see are also because of the insurance distribution business because Q4, as you know, March tends to be very, very, very strong in that business. So I wouldn't read too much into it.
We talked a bit about our lending business, but beyond that, not much. I think it's a very strong business. We continue to have great momentum there. So we do think you will see more momentum on that business.
So -- on the MTF, on the client funding book, th ere is actually very, very limited risk to us because we have exchange prescribed margins an d sometimes, we go over and above that as well. So we stay quite safe. But Vineet, do yo u want to comment anything else on the risk?
Vineet Agrawal: I think as I've been mentioning it in the past, the risk management system remains a strong backbone for any broking entity and especially fo r the client funding-related activities. We have a very strong risk management framework. And if you see in the past also, there have been instances where the markets have been flattish or there are events that have resulted in sharp decline in the market, but we haven't seen any kind of an issue.
As far as the momentum is concerned, there ar e multiple factors, which drive the momentum, including movements in the market. I think the overall penetration at this point in time amongst our client base is pretty low. And therefore, we see a long-term strong growth opportunity in the client funding segment. And therefore, we are very bullish about it.
Raman KV: Understood, sir. And sir, my final question is on the AMC business. It has grown substantially over the last -- like I think since we have launche d, we have been able to grow this business at 80%, 90%. So I just want to understand what's our long-term vision? Like is there any internal target of reaching ■ 100 billion AMC -- AUM in the near term?
Ambarish Kenghe: Amit will take that question.

Amit Majumdar: Raman. Yes. So look, I mean, we, of course, have -- we have set some targets for ourselves. And while -- until so far, our AMC has been primarily a passive AMC. But over time, we have been trying to figure out ways in which we want to expand this beyond what we are currently doing.
And we did have -- we do have an expectation on the AMC over the next few years, but obviously, we cannot state that now because thes e are all in the works as of now. I'm sure you will hear more about this over the next couple of quarters.
Moderator: Next question comes from the line of Neeraj Toshniwal with UBS.

Neeraj Toshniwal: NSE active client base, we see some decline over there. And obviously, client acquisition has also been a little slower. So just wanted some sense, given the July activity has also started a little bit muted. How should one think about overall this trajectory and in that sense, the target for full year?
Ambarish Kenghe: Look, I think Nifty client base, as you know, tends to be overall a 12-month metric. So depending on what has happened during those 12 months, that metric will sometime move month-to-month. We continue to focus on getting a good client base, acquiring a good set of customers when they are available.
And we keep monitoring as well as figuring out which level we want to acquire clients. We are acquiring at a fairly good market share in terms of -- when you look at our market share, we continue to acquire at a high market share there. So as -- and especially some of these are also dependent on market conditions.
As you see perhaps more IPOs when people get interested, as you see some more activity in the Nifty, right? I think that's also been quite flat, you'll see more investors come back in, and that should start showing you good numbers. At the same time, I think we continue to be quite strong, and if you look at the ranking on the active, so it continues to be strong, and we think in the future, you'll see us rise from there.
Neeraj Toshniwal: Okay. And in terms of the overall target and the aspiration for 40%, 45% margin, that kind of stays, I think, ex- of the wealth rundown what we are having every quarter. So there's no change in trajectory over there, right? I mean...
Ambarish Kenghe: I mean, no change in that. You can actually se e the -- I mean, you can see that quarter-over-quar

ter, we've been actually doing that. And we -- just to be clear, when we give you that guidance, we always talk about the stand-alone margin. But overall, consol also, I think you see our margins have been fairly healthy. This quarter, of course, because of IPL and other adjustments, you have to look at it on an adjusted basis. And that 45% to 50% margin guidance remains intact.
Neeraj Toshniwal: Got it. And lastly, again, on the distribution bit, as you mentioned that it will pick up and you have confidence in that. Just wanted some sense any seasonality here? Obviously, Q4 has

generally more towards distribution side in later part of the year. But are we seeing some trends in terms of doing something different to make it improve from here?
Ambarish Kenghe: So Neeraj, I mentioned earlier, definite seasonality, especially in insurance, you see definite seasonality there. On lending, we talked about it. You will see it rise from there. We are actually at a -- where we want to go compared to that, we are at a very small base. So you will see it rise from there. Also, a very small number of ou r customers have ever taken loans from us.
So you will see definite momentum in those areas. But again, we don't think of especially a business like lending, we don't want to think of it quarter-over-quarter. It's really important to grow it responsibly. And so we look at a very lo ng-term view of that. We have a fantastic set of 7 partners. All of them are growing. So you will see momentum there.
Moderator: The next question comes from the line of Nidhesh Jain with Investec.
Nidhesh Jain: My first question is on the -- slightly on the wealth management for the existing clients of Angel One platform. So if you look at our AUC of stock is very high at ■ 1.7 lakh crores, but mutual fund assets that these clients are managing on your platform is quite low at, I think, around ■ 20,000 crores.
So how do you plan to, first of all, increase the engagement from a mutual fund perspective?
And secondly, how do you see monetization of the AUC of stock that your clients are managing in terms of stock advisory or anything else?
Ambarish Kenghe: So I think we are actually seeing momentum in mutual fund. It's an important business to create wealth for our investors. And so one of the metrics that we look internally at is just how many active SIPs and what is our share of that. And acro ss the board, we are seeing definitely that do well for us.
You will see a few things here that will change the momentum further. One is, I think we are starting to use AI to make sure that people can get their questions answered, and you will see momentum on that front. We're also improving UX and UI on certain front to make the usability even better.
Also on the assisted business side, we have a focus on mutual fund distributors. So you're going to see value on that front also. So we are seeing momentum, and there is more momentum coming on that front for sure.
Nidhesh Jain: And any plan to offer stock advisory, etcetera, to further your clients to manage their investment in stocks better?
Ambarish Kenghe: Look, not at this time. We do -- of course, we have RAs and we provide calls, as you know, those are different. But no plans on the stock advisory front. We, of course, have Ionic, which is our sort of wealth management

business, so people can sort of have a full solution set there on that
front.

Nidhesh Jain: Sure. Secondly, in terms of AP channel, what is the count of active AP that you have as of June '26? Secondly, in that channel, I think we had plans to scale up loan distribution, mutual fund distribution and other financial service product distribution. So what is happening there? Any data that you can share?
Ambarish Kenghe: I'll let Nishant take that question.
Nishant Jain: Count of AP was the question, I gu

ess. So it shou ld be around 9,800 at th is point, active APs.
Ambarish Kenghe: That's an approximate count. Approximately think of the number of APs as about 10,000 is what you should think of. And I think your next question was about mutual fund distribution?
Nishant Jain: Yes. So we have very aggressive plans.
Nidhesh Jain: You have plans to use AP channels for mutual fund distribution, loan distribution, insurance distribution and other financial service product distribution. So what is happening there?
Nishant Jain: So yes, that is a natural progression, which is making our APs more salient with regards to their capabilities and their ability to offer multiproducts. And that has been a very clear visioning that we have had with regards to multiproduct selling GTM on back of our existing APs. As also like A.K. alluded, we are looking at reinstating the acquisition on the mutual fund distributor side as well. So I think you would find multichannel, multiproduct play as we move forward.
Nidhesh Jain: Do you also plan to originate, let's say, small DSAs on the platform for loan distribution?
Nishant Jain: No, not at this point.
Nidhesh Jain: Sure. And the last question is on Wealth Management. What is the contribution of wealth management in terms of revenue and cost for the quarter?
Ambarish Kenghe: Let Vineet take that.
Vineet Agrawal: Revenue right now, we're not disclosing any revenue as Ambarish mentioned earlier, it's a very nascent stage. So we don't disclose the re venue for the wealth management or the AMC business separately. As far as the cost is concerned, so the cost is in line with our plans for this year.
Overall, as far as the operating margin decrement is concerned, it's about 4% for both the AMC and the wealth businesses put together from the overall. So on an adjusted basis, where you're seeing about a 44% operating margin for the broking and the distribution business -- sorry, for the consolidated business, this includes the burn that is there for the wealth and AMC businesses.
Nidhesh Jain: So 400 basis point is the burn from the wealth and AMC for the quarter?

Vineet Agrawal: Yes. Given that this quarter was different in terms of the spends on IPL and all. So therefore, this burn is about 4%, 400 basis points.
Moderator: Next question comes from the line of Dipanjan Ghosh with Citi.
Dipanjan Ghosh: So a few questions from my side. Firstly, if I look at your annual report, it seems that there has almost been a 15% to 20% decline in the employee count in FY '26. Now if I were to take a view over the next 2 to 3 years in terms of your employee base, I mean, the way I see it is on one side, you will probably continue to invest in the new businesses, maybe sales teams, product teams? While on the other side, you might want to kind of rationalize your existing base on the pure-play platform or the traditional business that you're building on the platform side and APs.
So just wanted to get some sense of how does your employee count look like from a business perspective when you think of it from medium term?
Second question is on the wealth franchisee. Now if I look at it, out of your overall AUM, ultra HNI AUM, the way you classify it, is still the biggest contribution to the overall AUM number. Now looking at the ticket size, it seems that you would be competing with the incumbent wealth companies in that segment? So the question really is what's the strategy from a client acquisition perspective? I mean and especially in linkage with that relationship manager acquisition perspective, I mean, are these RMs pe ople who have been working in existing banks or maybe boutique wealth franchisees who -- when they get onboarded on the platform already have a clientele list, which they can tap into? So just wanted to get some sense of the client and RM acquisition strategy in that business.
And finally, the last questi

on, in one of your comments, you mentioned that on the wealth side, you want to build a franchisee around recurring revenues. But when I look at the broader markets and maybe compare it globally also, I thin k access to exotic deals, one-off transactions, have been a key driver of acquiring new clients in certain segments. So at a certain point of time, once the AUM scales up, how does your product strategy really shape up?

Ambarish Kenghe: Thank you, Dipanjan. On the first question of employee count, I've mentioned before, we continue to make sure we drive our business in the most efficient manner. At the same time, we are looking -- always looking for talent in the right places. If we find a good talent that will result in growth for us, we'd always go after th at because long-term growth always will beat that cost.

But overall, over the next 2-3 years, you're definitely going to see the world change. There is AI, other tools, all of that. And we'll continue to stay on that trajectory. And overall, I don't want to give a guidance on employee count, but you will see employee productivity increase for sure as we have all this -- access to all of these things.

But across the board, and not just with employee count and across the board, you should think of us as continuing to work on running our business more efficiently, get more productivity out of the unit resource that we have, whether it's capital, people, anything else. On the wealth

stuff, Srikanth, can you comment on those two questions on the AUM as well as the recurring revenue stream, please?

Srikanth Subramanian: Yes, I'll do that. And Dipanjan, firstly, congrats. I think you asked some questions which are at the heart of wealth management itself. I'll give you our take of how we are sort of building this franchise. Look, I think it's been a stated position since the beginning that we are building a full-service suite as far as wealth management is concerned.

We are catering to most customer cohorts, largely split as either the ultra-high net worth, which we loosely qualify as customers with net worth of ■ 50 crores and above and people between the ■ 1 crores and ■ 50 crores net worth. So as far as the first is concerned, it's something that majority of the leadership team have done for about two decades, and hence, the ability for us to have attracted the right quality of talent.

And along with the right quality of talent, the righ t quality of clients sort of walking in, that's been one of the reasons why you see an initial higher sort of AUM building towards UHNI. I see the trend continue, but I also see the trend where it starts becoming more flatter and more equally distributed between the ultra-high net worth and the second business, which is the ■ 1 crores to ■ 50 crores wealth tech segment.

So the difference between the 2 businesses is the first business of ultra-high net worth continues to be a RM relevant high touch and a domain-led capability. A lot of productivity-based experiments happen behind the scenes, where to keep every RM productive and relevant, we are able to now, at a very initial date, are able to demonstr ate a far superior unit cost economics as compared to what is the traditional conventional norm.

So whether it is in terms of coverage of RM fr om a service point of view, coverage of RM from an operational point of view, coverage of RM fr om an advisory analytics point of view, those using some of the automation that we've been able to bring together, we are seeing the integration of the RM providing the right comfort for the investor from an experience point of view.

And behind the scenes, the productivity and efficiency getting some high-quality attraction.

Now as far as the second business is concerned, where currently we are at close to about ■ 3,400 crores, ■ 3,500 crores of AUM, that's the business which is built more granularly becau

se

unlike the UHNI business where there could be lumpy assets that comes in, in the second business, the fun of building that business is that, that business gets built granularly, is extremely sticky as we continue to build, and from a volume point of view, that's the one that sort of stretches the belly horizontally if we build that right. That business for us also pivots from being a high-touch wealth business into an omnichannel business where we use the availability of technology and RM, and we put the power of choice in the hands of the investor.

So the way we have positioned this is instead of preaching to the investor what is right, we put the power in hands of the investor to choose whether they wish to have services disseminated to them through technology or through the RM.

That's how the two businesses are fairly dealing. We, on the other hand, have made a fairly innovative call where we do not differentiate between the 2 businesses basis products or service superiority or inferiority. In many cases, if a client is characterized in a lower or a higher segment, you are also assumed that they will also get better service or better product, but what technology has shown us all throughout is you need not have differentiation in your service or product capabilities, but you can have the ability to service one-to-many and one-to-one using a tech or an RM kind of an interface. So that's the core with which we are operating.

As far as your customer acquisition question is concerned, the first business self-answers it. The UHNI business usually works with high-quality RMs bringing in their customers, and usually the reference flywheel in a UHNI business is extremely strong. So with the team having done this for a fairly long period of time, this part of the business comes fairly naturally to us.

On the other side, having good quality access to products, and not all products need to be exotics or not all products need to be transactional, but products could also be, for example, one for us -- one of our very strong product focus has been international experiences for investors.

Now those are the areas, including products, right research, domain, and high-quality RM, have been the reason why our customer acquisition flywheel continues to be extremely strong at this point in time. And second question, in some sense is partly answered, that while you're absolutely right, that you can't always have only very similar asset allocation products, while on the more sustainable basis, that is the approach that builds the core, but what is equally crucial is that you always have to have access to hi gh-quality products, which could be at some point of time privates, unlisted, international, or for that matter, even listed equity. And I think with the experience of a very strong product and research team, we are in no shortfall of that as well.

I don't think we have a philosophy of cutting products as transactional revenue. We look at products as exclusive, contextual to market, strong guardrails of having gone through suitability and product approval, committee approvals. But we have enough products at all points of time where we are able to grab the right attention from an investor point of view, Dipanjan.

Dipanjan Ghosh: Thanks for the detailed answer. Maybe one small follow-up. If you were to hypothesize and think of those business, let's say, 5 years from now, would it be fair to say that new to Angel customers would form bulk of the AUM? On the wealth piece specifically, Ionic?

Srikanth Subramanian: I think it should be an important pivot. I wouldn't go so far as to say whether -- I mean, that's one of the superpowers that we all have, right? We have a strong customer acquisition throughput through Angel One. We have a strong product and domain platform here at Ionic. The combination of the 2 should, in some sense, play out in the right fo

rm. But at this point of time, we are also seeing extremely strong organic customer acquisition on the UHNI as well. So while it is possible, what you're saying could be a reality, but on the other hand, we continue to see the organic acquisition through the current team, organic customer acquisition through the

product that we are launching, and also client references continuing to grow very strong. So difficult to hypothesize, but yes, it would be one of the stronger pillars for sure.

Moderator: Next question comes from the line of Pavan Kumar with Edelweiss Public Alternatives.

Pavan Kumar: Sir, thank you for the opportunity, and congrats on really good performance. A couple of questions. Can you please give any update on launch or progress of loan against securities via your own NBFC? That is one. And on the personal loan side, can you give update on like addition or deletion -- I mean, reduction in any of the partners with whom you are distributing the loans?

And third question, touching on the earlier question by another participant, the employee count has gone down from 4,139 at the end of FY '25 to about 3,300 at the end of FY '26. Can you give which divisions have seen a significant reduction? The fourth question on the cash realization, right? They seem to have shot up meaningfully this quarter from about ■ 15, ■ 16 earlier to close to ■ 19. Is this driven purely by the increase in ticket sizes or any other reason? Thank you. These are my questions?

Ambarish Kenghe: Thank you, Pavan. A really good set of questions. I'm going to shortly hand it over to Saurabh, but on the LAS, the quick answer is that we have a pilot going on, which is a very small pilot, but you're going to see that expand. But Saurabh, you want to talk about LAS and personal loan partners?

Saurabh Agarwal: I think we have spent quite some time -- hi, Pavan, so we have spent quite some time building the infrastructure and the journey for the LAS business, and we are in COG mode right now. As and when we get more experience from the customers, we'll open up the entire base, and in next two or three quarters, you should see that business becoming big.

On the PL side, we work with 7 lenders right now, and over time, some of the lenders come in and they scale with us and some of the lenders who don't scale with us, we sort of offload them.

So 7 it is -- right now, it is across banks and large NBFCs primarily with a couple of fintechs getting added over the last 2 or 3 quarters.

Ambarish Kenghe: Thanks, Saurabh. And Pavan, you'll see that listed on Page 18 of our quarterly report. On the employee count, I think we don't break out specific ally in different functions. But you know as I've said, we continue to become more and more efficient. On the cash realization question, I think there's a few factors there.

If you look at it over a period of time, there was -- in November, we had made a small pricing change. That definitely has an impact. But recently, quarter-over-quarter, what we have seen is 2 major factors, one is the change in the ticket sizes, right, greater than 20,000 versus less than 20,000 orders. So you're seeing a different mix there. So that is resulting it.

Second is that on the assisted side, we have different plans. There is a value-added plan that we have started where we get a better cash realization, and that has been doing extremely well because customers are liking it and signing up for it. And we see in this business that when you

provide the right set of features and service to th e customers, they're willing to pay more for it because their investment and money is much more important than what they pay as a brokerage. So we are seeing that play out.

Pavan Kumar: Just one follow-up. Do you see further scope for the increase in the realization of the cash from the assisted exhi

bition?

Ambarish Kenghe: Look, it's very hard to predict, especially on the mix side. So I wouldn't bake in any further increase from here, and it can change quarter-to-quarter, depending on how the mix of orders come in, which we don't necessarily control.

Moderator: The next question comes from the line of Ritika Dua with Bandhan.

Ritika Dua: So just wanted to understand the opportunity on the U.S. equity side. So how would maybe you know we would look to maybe position in term s of pricing or maybe product differentiation? Yes, just a broad would help. Thank you.

Ambarish Kenghe: Look, I think it's a good question. U.S. equities is a very interesting opportunity. We already have certain offerings, but we are looking to upgrade these offerings. We got a GIFT City license also on that front, as you would have seen. We can't talk about any pricing at this time because we haven't launched the product. I would say just wait for it, but we do think it's an important segment where you'll see more activity from us for sure.

Ritika Dua: Just one follow-up, if I may. So for the offerings which are already there in the market, I mean, is there a number maybe in terms of how profitable it is? And also maybe what is the allowable limit and etcetera, which -- just to maybe understand per customer basis -- per customer, how much would be the allowable limit there? So 2 follow-ups…

Ambarish Kenghe: Look, the industry stuff we can follow up with you on, but that's sort of industry data that's out there. On the limit, really these are the LRS limits that are prescribed by the RBI and so these are sort of -- this is actually a fully cumulative limit for the year. So it's really $250,000 is what the LRS limit is. But depending on like what you're doing, there are different limits may apply.

So I don't want to provide a regulatory answer here, but that's sort of what you should look at, is that it's really based on the LRS limits. So it is part of that, it is not outside of that.

Moderator: Next question comes from the line of Deepak Lalwani with Unifi Capital.

Deepak Lalwani: First question is on the client acquisition side. So we've seen some moderation in this quarter. So is that a deliberate approach that we have taken to control costs, etcetera., or are we seeing some challenge on ground to acquire new customers, given that the leader has become more active, his client active market share has gone up slightly from March levels. Just wanted to touch upon that.

Ambarish Kenghe: Deepak, thank you for the question. On the client acquisition, if you see, you should look at the overall industry data. If you see what is sort of the CDSL number for client acquisition, that itself

actually has been softer last few months. But the way we look at our client acquisition is that we are looking at what kind of client segments are available. We have different channels of acquisition, and we say, look, what is the cost at which a client is coming? What segment are they from? What kind of LTV can we get out of them? And based on that, we keep adjusting our spend. This is not to reduce costs in any way. If we get great clients at some time through channels, we would actually -- we have mentioned in the past that we would definitely be biased towards growth. So there's no specific intention to reduce costs on that front. Sometimes when the markets are not doing that well, a lot of customers don't get excited by being -- first time coming to the equity market. When markets are doing well, lots of IPOs are happening, customers get excited and more people want to join the fray.

But long-term, you will see the trend that equities are very underpenetrated in India. Only 5% to 10% of retail wealth is in equities. So long-term trend will continue. So I won't read too much into the sort of last month or 2 there.
Deepak Lalwani: I understand that. Sir, the cost related

to these client acquisitions, if you just divide the cost by the client acquisition run rate, it seems to be on the higher side. So I understand there is an IPL cost associated with it, but apart from the lumpy IPL cost, is there a structural increase in our cost to acquire new clients, or will we be getting back to our older levels of client acquisitions?
Ambarish Kenghe: So one thing I just want to make sure. I know you're not sort of alluding to that, but I just want to clarify that. Look, the IPL costs are really not a acquisition cost. It's a branding cost, very, very long-term cost. So that has to be kept very much out of it. And even though sort of you're not going there, but that said, generally what happens, and we've said this in the past, is that during the IPL time, there's a lot of activity in the market, so the client acquisition cost does tend to creep up a little bit, but it does come back down. So we expect that to happen. I do think really it is dependent more on how the markets are doing and that can get people excited about it. When markets are flattish over a period of tim e, new investors may not want to come into the fray because they've not seen the long-term trajectory and the long-term advantages. But over a period of time, they see it and they come in.
Deepak Lalwani: I just wanted to touch upon the wealth division. Although we've scaled up well, I just want to understand a level deeper on our right to win in this segment because our assets are largely coming from the ultra-high net worth individuals today and it's mostly ARR assets. So it's the best of 2 that we can have. So wh at exactly have we gotten right? And what's our right to win in terms of scaling up on our current efforts? What you've answered in the previous question was the talent pool, which is available with us and the scale that each RM can get to. How much more juice is left in the productivity of that particular RM and the scale up of RM that you will be incurring in the coming years? So if you can touch upon the scalability that you're envisaging with the Ionic Wealth brand as well.
Ambarish Kenghe: Srikanth, can you take that question, please?

Srikanth Subramanian: Yes. No, Deepak. I think I anyways gave a slightly more detailed answer than the previous one. But just to sort of quickly touch upon our vision of in terms of how it's scaling. One, look, I don't think wealth is going to be a winner takes all market. I think in all developed parts, in all significant markets, there is always room for 8 to 10 high-quality wealth players, even in the top end of the pyramid. And as you start going down the pyramid, the ability for multiple people to coexist only increases thereby. So a, I think this question of each one having a unique right to win, while strategically each one will figure their own sort of strategy for us, it's the holy grail of integration between the right relationship talent, the right domain talent, and the right tech talent. And the intersection of these 3 sort of come.
But I think the way newer sort of wealth management clients are coming into the fold, the scalability is abundant. We had coined that term 2 years ago in the media called triple multiplier. Essentially what it says is that this is one of the unique industries where you are seeing 3 engines of growth expanding the market. You've got the as sets that are already deployed appreciating by x percentage, you've got newer customers entering the world of investments each year, and you've got the current investors increasing their investment amount each year due to their sort of disposable income going high.
All 3 are mutually exclusive, which is feeding into this market growing at a pace which is unparalleled to many other markets. And as Indi a grows from a US$ 2,800, US$ 2,900 per capita GDP towards greater heights, financialization is going to be a crucial so

rt of theme. So I think for us, scale availability of both customer base and talent pool, while enough is being said about it, we don't see that as a huge challenge. I think if we do the basic parts of risk management right, which is ensure that most of the products that we do are at core points of time right to both the customer suitability and market, we are able to ensure that we get talent pool, which is exactly right for our DNA rather than getting talent pool for any reason.
And c, using technology to make sure that the cost does not put its head up in a manner that it becomes untenable. I think if we keep these 3 things right, and that's the reason why I gave that slightly more exaggerated answer in the first question, that for us, using technology to make sure productivity is high is extremely crucial.
And after that, a quick last answer as a rejoinde r is given the experience of the team and given the fact that we've been very sort of lucky to have been joined by very high-quality talent on all 3 sides, which is relationship, tech, and domain, every now and then, the team is able to lay its

hand on slightly unique offerings, be it global, be it commodities, be it multi-asset allocation through discretionary formats. These are some of the early successes.
So the right sprinkling of ideas, which are slightly ahead of its time and going extremely strong on basic foundational principle, and the fact that India continues to grow means that I think none of the serious wealth players should worry about the scale opportunity that India presents.

Deepak Lalwani: Sure. Understood. Sir, you mentioned in the previous remarks that a breakeven period is going to be about 3 to 5 years. So if you can dwell deeper on this as to how you're thinking about breaking even? Is it going to be revenue-led or you're not going to increase cost much? So one is on that.
And on an absolute basis, earlier you used to speak about 3% of revenues being burnt in these new ventures, and now you're talking about 4%. So is there an absolute quantum that you can give us maybe ■ 100 crores or ■ 150 crores for these new ventures that Angel One is ready to bear until the next 3, 4 years? I know percentages are good, but an absolute quantum should be useful?
Ambarish Kenghe: Let Vineet take that question.
Vineet Agrawal: Deepak, on the cost overall for the business, yes, as I mentioned, it is about 4% for both the AMC and the wealth businesses put together for this quarter. But overall, I think we will be in the range of about 3%, 3.5% as at the financial ye ar. So given that this quarter was different in terms of the seasonality as well as the other costs -- other costs that are there.
So therefore, you are seeing a higher contribution as far as the burn is concerned in the operating margin level. On the breakeven side, I think we have been quite consistent that this business over a period of, say about 3 to 4 years should be incrementally breaking even.
Having said that, if we see opportunities to accelerate growth, we will definitely look forward to accelerate the growth and build the business on a stronger platform for a longer term growth and sustainability perspective. As of today, as I said, in the past also we mentioned that from the beginning, we are contemplating in about 3 to 4 years this business should incrementally breakeven.
Moderator: Mr. Lalwani, please rejoin the queue for more qu estions. Next question comes from the line of Subhash with Value Investments.
Subhash: Sorry. My question is not regarding your financia ls. I mean, your app is great. I'm one of your longest standing customers, and I've referred you to so many people. Because of a problem that I'm facing with your app or the restriction that you have placed in the app, I've stopped referring you to other people. I've tried calling your customer care, escalating to next level,

nothing has worked.
So that's why I thought maybe I could join the earnings call and talk to the top-level management. I think you are aware about the RSM category in Angel One, right, which is called as restricted basket, where a group of stocks which are put under this basket are restricted to either buy or sell. Even if we call the customer care and if we ask them to buy or sell, even they are not able to do it.
And this restriction is not from SEBI; this is a restriction which is done at the Angel level. So my question is, when there are so many restrictions already, which are very overwhelming by SEBI

already in India, if you see the ESM, the T2T, there are so many red circuits, so many things are there. So why this restricted basket is created by Angel when no other app has any such restriction?
For example, if I go to Zerodha, Upstox, or Groww, none of these apps have this restriction. I can buy any stock, I can sell any stock there. An d only for this reason, I have gone to CDSL website. I had to move my SME segment shares from Angel One to Zerodha because of this restriction.
And let's say that this restriction is not put on a stock when I'm buying, but then after some days it is put under that basket and I won't be able to sell it even though I have it in my portfolio.
So this is a very, very big problem for the existing customers, because of which you're losing some business. I know that you are growing at a very rapid pace. I'm very happy about it, but I think feedbacks like this should be considered very seriously. So I would like to hear you, like why you have that restricted basket?
Ambarish Kenghe: Subhash, first of all, thank you so much for doing this. I'm extremely sorry that you've not been able to reach our customer support, and I take it very, very seriously. Please write to me at ceo@angelone.in and I'll personally look into it. You have many, many channels and absolutely,

we'll make sure that we look at it.
In terms of the risk, as you know, we have our own risk management on top of what SEBI would prescribe because brokers have their own requirement to do things. But let's connect offline. I take your requirement. We are continuously reviewing all the set of securities, all the rules that we have, and we keep making these changes.
But I'd love to connect with you. Please write to me and we'll have somebody reach out to you literally today as soon as I get an email from yo u. I'm extremely surprised that you've not been able to connect with us. I take it very seriously...
Subhash: No. I was able to connect. I brought up this problem, but all the customer says, I mean, all they say is, this is just the policy from Angel One. We cannot change it. So they are also helpless, the customer representatives?
Ambarish Kenghe: We will connect.
Subhash: Sure, sir. I'll definitely connect. But I just like to hear a little bit more about this. Like why do you have that restricted basket when no other broker in India has such?
Ambarish Kenghe: Look, like I explained, we have a set of risk policies, based on which we decide, because there is risk surveillance, bunch of things that we do. I can speak more to you -- we can speak more to you about it and explain to you.
Subhash: So you will consider removing this, right?

Ambarish Kenghe: Look, as we get your feedback, any feedback that we get, Subhash, we -- I look through CEO escalation mails, every CEO mail, I take these things very seriously. And therefore you are seeing the tone and me giving out the email on this conference call. End of that, we will follow up every bit of feedback. Of course, we have to be logical about it. We have to do the right thing for the customer, right thing for the ecosystem, and stay within compliance. But absolutely we'll look through it, and we will regain you back, Subhash. You

have to come back to Angel One, and I'd love to see you…
Subhash: No, I'm already in Angel One. Like most of my -- 90% of my investment is in Angel One. I mean, why do I have to move to some other broker, right? I would like to keep everything in one account. Yes. I don't lose anything by creating another account. I can easily transfer, but I wanted to give this feedback. Yes.
Ambarish Kenghe: I appreciate that. Again, not appropriate to talk more on this call, but I appreciate you. We'll connect with you offline. Yes.
Subhash: Yes, could you please repeat your e-mail ID? I'll just write it down.
Ambarish Kenghe: It's ceo@angelone.in.
Subhash: Okay. Thank you so much.
Ambarish Kenghe: Thank you so much. I look forward to hearing from you.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I now hand the conference over to Mr. Ambarish Kenghe for closing comments.
Ambarish Kenghe: Thank you once again for joining us today. As always, it has been a pleasure engaging with you to discuss our results and progress. If you need any further information, feel free to reach out to Hitul Gutka, our Head of Investor Relations, or to SGA, our Investor Relations Advisors. Have a wonderful day. Thank you.
Moderator: Thank you. On behalf of Angel One Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.